BPER: Gruppo

BPER: Banca

ANNUAL REPORT 2018.

Shareholders' Meeting

Modena, 17 April 2019

Agenda

Ordinary part:

1) presentation of the draft financial statements for 2018 and related reports; presentation of the consolidated financial statements for 2018 and of related reports; related resolutions;
2) integration of the Board of Statutory Auditors for the rest of the three-year period 2018-2020 by appointing the Chairman and another Acting Auditor, as well as one or more Alternate Auditors, if needed; related resolutions;
3) proposal of the Directors' remuneration for 2019; related resolutions;
4) integration of the fees paid to Deloitte & Touche S.p.A., the company responsible for auditing the accounts for the period 2017-2025; related resolutions;
5) remuneration:
    a) presentation of the Remuneration Report pursuant to art. 123-ter of Legislative Decree 58 dated 24 February 1998, comprising the remuneration policies for 2019 of the BPER Banca Group and annual disclosure regarding implementation of remuneration policies in 2018; related resolutions;
    b) change in the limit to the ratio between the fixed and variable components for the benefit of all Material Risk Takers not belonging to Corporate Control Functions; related resolutions;
    c) proposal of the remuneration plan pursuant to art. 114-bis of Legislative Decree 58 dated 24 February 1998, implementing the remuneration policies for 2019 of the BPER Banca Group; related resolutions;
    d) Long Term Incentive Plan (LTI):
        d1) proposal for the "2018-2019 Long-Term Incentive Plan aimed at key personnel", pursuant to art. 114-bis of Legislative Decree 58 dated 24 February 1998, in implementation of the remuneration policies for 2019; related resolutions;
        d2) authorisation for the purchase and disposal of treasury shares for the "2018-2019 Long-Term Incentive Plan aimed at key personnel"; related resolutions;
6) information on internal control policies in terms of risk activities and conflicts of interest with related parties, in compliance with the requirements of the Bank of Italy's Circular 263 of 27 December 2006.

The present document is the English translation of the Italian Financial Statements, prepared for and used in Italy, and have been translated only for the convenience of international readers. Financial Statements were prepared using International Reporting Standards (IAS/IFRS); therefore they are not intended to present the financial position and results of operations and cash flows according to accounting principles and practices other than IAS/IFRS

BPER Banca S.p.A.
Head office in Via San Carlo 8/20, Modena, Italy
Tel. 059/2021111 – Fax 059/2022033
Register of Banks no. 4932
Parent Company of the BPER Banca S.p.A. Banking Group
Registered in the Register of Banking Group with ABI code 5387.6, since 7 August 1992
http://www.bper.it, http://istituzionale.bper.it E-mail: bpergroup@bper.it – Certified e-mail (PEC): bper@pec.gruppobper.it
Tax Code, VAT number and Modena Companies Register no. 01153230360
Modena Chamber of Commerce 222528 Share capital as at 31/12/2018 € 1,443,925,305.00
Member of the Interbank Deposit Protection Fund and of the National Guarantee Fund
Ordinary shares listed on the MTA market

Contents

2018 FINANCIAL STATEMENTS

Directors and officers of the Parent Company at the date of approval of the financial statements

Board of Directors

Chairman:		Pietro Ferrari
Deputy chairman:		Giuseppe Capponcelli
Chief Executive Officer:	*	Alessandro Vandelli
Directors:	*	Riccardo Barbieri
		Massimo Belcredi
		Mara Bernardini
	*	Luciano Filippo Camagni
		Alessandro Robin Foti
		Elisabetta Gualandri
		Roberta Marracino
		Ornella Rita Lucia Moro
	*	Mario Noera
		Marisa Pappalardo
	*	Rossella Schiavini
		Valeria Venturelli

(*) Members of the Executive Committee

Board of Statutory Auditors

Chairman:	Paolo De Mitri (°)
Substitute Auditors:	Cristina Calandra Buonaura (°°)
	Diana Rizzo
	Francesca Sandrolini
	Vincenzo Tardini

(°) Paolo De Mitri, Alternate Auditor appointed at the Shareholders' Meeting, replaced Giacomo Ramenghi on 8 May 2018 following his resignation from office (see the press release issued on the same day).
(°°) Cristina Calandra Buonaura, alternate Auditor appointed at the Shareholders' Meeting, replaced Antonio Mele on 22 November 2018 following his resignation from office (see the press release issued on the same day).

General Management

General Manager: Fabrizio Togni

Deputy General Managers:
Eugenio Garavini
Claudio Battistella
Pierpio Cerfogli
Gian Enrico Venturini

Manager responsible for preparing the Company's financial reports

Manager responsible for preparing the Company's financial reports: Marco Bonfatti

Independent Auditors

Deloitte & Touche s.p.a

Chairman's Message to the Shareholders' Meeting

2018 was a year of light and shadow, in which the prospects for the world economy, initially positive after a long period of recovery, gradually became less favourable. In recent months, economic growth has slowed worldwide, while forecasts by international bodies have been revised downwards. Commercial tensions and political uncertainties weigh on the economic situation, as does the prospect of a gradual reduction in monetary stimulus.

In the euro area, economic activity has slowed down recently, also affecting Germany, while a general underlying weakness in inflation remains.

In Italy, where aggregate productivity during the period of recovery grew at a lower rate than that of the euro area, the latest growth estimates for 2019 have been revised downwards, while ISTAT's figures showed a slowdown in industrial production at the end of the year.

Another delicate factor in the second half of the year was the increase in the spread, accompanied by strong tensions on financial markets: current levels risk producing negative effects on the capital of banking institutions over time.

Despite these difficulties, which were reflected in a number of critical situations, the banking system as a whole has intensified its efforts to overcome the effects of the crisis and to consolidate the recovery, committing itself heart and soul on the innovation front in order to achieve the highest possible standards of technology. It should be emphasised that Italian banks have contributed directly, with their own capital, to the management of crisis situations in the sector.

A lot of work has been done on the subject of bad loans, which have been reduced by more than half in just under two years, while the flow of new non-performing loans has fallen yet again, decreasing as a proportion of total loans. In addition, loans to the private sector showed an upward trend.

In a general context in which difficulties and uncertainties remain, the year just ended marked a further positive turning point for our Banking Group, which achieved an excellent economic result, accompanied by a significant confirmation of its financial solidity.

Mortgages granted to households and businesses have increased considerably, while there has been a significant decrease in bad loans, accompanied by a marked improvement in asset quality.

In particular, the huge commitment made by the Group to reduce non-performing loans has produced the expected results, hitting the target of a reduction in the gross NPE ratio, with the prospect of continuing on this virtuous path thanks to a more than reassuring capital situation.

This set of positive factors should support the prospects of profitability in the near future, while the implementation of non-recurring transactions and major structural novelties were completed. The process of internal efficiency has also continued with the definition of the new Business Plan, to which the commitment of all the bank's structures contributed.

Meanwhile, the daily and constructive relations with the Supervisory Authority continue, culminating in the stress tests which involved all the main European banks and which were concluded very positively for BPER Banca.

To sum up, your Bank has laid the foundations for it to carry on growing. The BPER Banca Group's main objectives are again to maintain an adequate level of capitalisation, to strengthen traditional banking profitability and to hold down operating costs.

We think that it is reasonable to say that the resources and energies that we have used to create a bank, that is again one of the best and most important in the country, is laying solid foundations to overcome the current phase of uncertainty and to take advantage of the opportunities for recovery that we hope will appear soon.

2018 CONSOLIDATED FINANCIAL STATEMENTS

Directors' Report on Group Operations


BPER:
Banca
Diamo valore
al tuo domani,
insieme.
BPER Banca è da sempre a fianco
delle persone, delle famiglie
e dei territori con iniziative
di sostegno concreto.
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www.bper.it
Messaggio pubblicitario istituzionale.

Content

1. The macroeconomic context

1.1. Background

2018 began with a positive trend in the global economy, thanks to the growth of manufacturing production and trade recorded during 2017. The driving force, however, lasted until the beginning of the summer, when investors' confidence in the economic prospects decreased for various reasons, leaving a weaker and more uncertain macroeconomic picture. One of the main reasons for this slowdown was the commercial tensions between the top two world economies, China and the United States, with the protectionist rhetoric of the American administration weighing heavily on investment strategies. The problems linked to specific emerging countries (Turkey and Argentina in particular), as well as - within the Euro-zone - the tug of war between the Italian Government and the European Union on Italy's Budget. On the basis of projections by the International Monetary Fund, world GDP recorded an increase of 3.7% on an annual basis in 2018.

Our comments on the main macro areas are as follows:

In the United States, despite the problems linked to commercial tensions and the decline in global manufacturing production, which had a negative impact especially in the second half of the year, 2018 was the best year of the last decade, in terms of both GDP growth, up by 2.9% y/y according to IMF estimates, and the trend in the main economic indicators (the unemployment rate, which remained firmly anchored at long-term lows (3.9%), investor and consumer confidence and industrial output). Two factors mainly supported the American economy: the fiscal stimuli decided at the end of last year by the American Administration - which helped household consumption and business investment - and the increase in public spending, which stimulated demand on the one hand, but raised the US federal deficit to record levels on the other. Inflation remained constantly in line with the objectives of the US central bank (Federal Reserve or Fed), except for a partial slowdown in December, mainly due to the drop in energy prices. The headline figure closed 2018 at +1.9% y/y, while core inflation, adjusted for the more volatile components, posted a rise of 2.2% y/y. A price trend that did not change the expected cycle of rate hikes by the Fed, which increased Fed funds four times during 2018 (currently between 2.25% and 2.50%).

In the Euro-zone, 2018 was a complicated year from the point of view of economic conditions. The slowdown registered at global level in the second half of 2018 took on much more marked contours, so that the German economy, the most important one in the area, saw a contraction in growth in the third quarter. Private sector activity in of the entire Euro-zone, in both manufacturing and services, ended the year particularly weak, with SME indices falling to their lows, not far from the threshold that separates expansion and contraction. After exceeding 2% y/y during the year, headline inflation ended 2018 with a more modest rise of 1.6% y/y. The core rate, on the other hand, remained constantly a long way from the ECB's target, posting a 1% y/y rise in December. Despite this, the European Central Bank confirmed termination of its Quantitative Easing (QE) programme at the end of 2018, reiterating however that interest rates were destined to remain unchanged, at least until the summer of 2019. From a trade point of view, the meeting held at the end of July between US President Trump and European Commission President Juncker made it possible to open negotiations between the two parties, which are still in progress. Lastly, the Italian political crisis and the uncertainty deriving from the lack of agreement on the Brexit front also contributed to the slowdown in the Euro-zone economy.

In Italy, the economic cycle has more or less followed the trend of the rest of the Euro-zone. After the first half of 2018 in which growth maintained an expansionary profile in absolute terms, the second half of the year coincided with a slowdown. In addition to the decline in exports, what weighed heavily was the uncertainty related to political risk and the financial tensions caused by the announcement of measures with a strong impact on the public finances, which caused tensions between the Italian government and the European Union. This caused international investors to reprice Italy's sovereign risk, which has tightened overall financial conditions. Third quarter GDP therefore closed with a cyclical decrease of 0.1%, the first decline in economic activity after a period of expansion that had lasted fourteen quarters. The sectoral spread of growth has decreased particularly in manufacturing, so much so that the SME index during the second half of the year began a declining trend that - between October and December - brought it to the area of contraction below the threshold of 50 points. Inflation in Italy was also conditioned largely by the trend in energy prices, though it remained subdued compared with the rest of the Euro-zone: on average, in 2018, consumer prices recorded growth of 1.2%, while core inflation, net of the most volatile components, came to +0.7%.

Lastly, as regards emerging countries, according to IMF estimates, the average GDP of 2018 is expected to rise by 4.6% y/y, compared with 4.7% y/y in 2017. In the last year the difficulties for developing countries remain: the uncertainties linked to the trade tensions between the United States and China have exacerbated an already complex context, in which liquidity has decreased globally and the strength of the US dollar has caused difficulties for all the major emerging currencies. In particular, the countries most dependent on foreign flows have come under pressure: above all, Turkey and Argentina which, having been hit by a heavy financial crisis and a surge in inflation, were forced to take drastic measures in order to limit macroeconomic imbalances and curb devaluation of their currencies. The South American country then had to resort urgently to financing from the IMF, due to a new economic crisis. China, which remains under special observation among developing countries due to the importance of its economy, after a first half of strong expansion by business, slowed down decidedly, so that growth in the whole of 2018 - with GDP of 6.6% y/y - was the weakest since 1990. The introduction of further trade sanctions by the United States - a 10% tax on imports of approximately Euro 200 billion of Chinese products came into force in September - naturally weighed especially on the dynamics of foreign trade. In December 2018, then, for the first time in the last two years, the SME index for the manufacturing sector fell below the expansion threshold. In order to reduce the risk of a hard landing by the Chinese economy, the government authorities and the PBOC - China's central bank - recently approved a series of massive fiscal and monetary stimulus measures.

(Value %)

	GDP			Inflation (annual average)			Unemployment (annual average)		
	2017	2018e	2019f	2017	2018e	2019f	2017	2018e	2019f
U.S.A.	2.2	2.9	2.5	2.1	2.4	2.1	4.4	3.8	3.5
Japan	1.9	0.9	1.1	0.5	1.2	1.3	2.9	2.9	2.9
European Monetary Union	2.4	1.8	1.6	1.5	1.7	1.7	9.1	8.3	8.0
Italy	1.6	1.0	0.6	1.3	1.3	1.4	11.3	10.8	10.5
Germany	2.5	1.5	1.3	1.7	1.8	1.8	3.8	3.5	3.4
France	2.3	1.5	1.5	1.2	1.9	1.8	9.4	8.8	8.5
Spain	3.0	2.5	2.2	2.0	1.8	1.8	17.2	15.6	14.7
UK	1.8	1.4	1.5	2.7	2.5	2.2	4.4	4.1	4.2
China	6.9	6.6	6.2	1.6	2.2	2.4	3.9	4.0	4.0
India	6.7	7.3	7.5	3.6	4.7	4.9	n.a	n.a	n.a

Key:
e: estimate
f: forecast

Source: FMI (World Economic Outlook - October 18 and January 19)

1.2 Public-sector finance

By way of introduction, it should be noted that the programmatic scenario 2019-2021 commented below was prepared by our Government (and transmitted to the EU on 16 October 2018) starting from the trend situation and inserting onto it the public financial manoeuvre to be implemented through the 2019 Budget Law. The trend scenario incorporates the VAT increases provided for by the 2018 Budget Law.

The Italian economy's recovery continued in the first half of the year, but at a slower pace than expected. The annualised rate of growth of GDP, which in 2017 was 1.6%, has in fact fallen and this has forced the authorities to lower their estimates for the whole of 2018 to 1.2%.
In 2018, the estimate of the deficit is confirmed in the 2019 Budgetary Planning Document at 1.8% of GDP, down from 2.4% in 2017, but with an upward revision of 0.2% compared with the April Economic and Finance Document (DEF), due to lower nominal GDP growth and interest charges that have been revised upwards.

The debt/GDP ratio is expected to decline already in 2018 and more rapidly in 2019-2020. In the planning scenario, in fact, the decline in this figure is expected to be 0.3 points in 2018, 0.9 points in 2019 and 1.9 points in 2020. The indicator would therefore fall from 131.2% in 2017 to 126.7% in 2021.

Subsequently, in December 2018, Prime Minister Conte speaking with the press immediately after the meeting on the manoeuvre with the EU President Juncker said that in 2019 the deficit/GDP ratio would fall from 2.40% to 2.04%.

Public-sector finance balance *(% of GDP)*	2018e	2019f	2020f
Net borrowing	1.8	2.4	2.1
Borrowing	130.9	130	128.1

Key:
e = estimate
f = forecast

Source: The 2019 Budgetary Planning Document approved by the Council of Ministers in October 2018

1.3 The financial market and interest rates

2018 proved to be a decidedly complicated year for the financial markets. Started under the best auspices in the wake of a euphoric 2017, it immediately had to face a crisis in late January, to then consolidate for a number of months until after the summer. Lastly, in the last quarter of 2018, there was a violent return of volatility, culminating in a strong bearish movement on stock markets. About 90% of financial assets closed the year in the red, turning in the worst result for several decades. The apprehension of investors is linked, above of all, to the trend in the world economy, which after years of growth has been causing fears of a heftier slowdown than expected; all of this, in a context that saw global liquidity steadily decline, with the major central banks continuing their gradual disengagement from their expansive monetary policies. Furthermore, market anxiety during 2018 was fed by trade tensions between China and the United States, which led to additional tariffs on both sides, the fear of a more aggressive Fed in its interest rate hikes, and certain critical situations that affected a number of emerging nations. In the Euro-zone, where the problem of Brexit has still not been resolved (indeed, the possibility that the United Kingdom and the European Union do not reach an agreement has yet to be excluded), Italy's political crisis has also weighed things down, having reached its apex in October 2018, partially calming down thereafter. All of these factors increased the overall uncertainty on the financial markets and put a brake on the investors' appetite for risk as a result, obviously penalising the most risky and volatile component: equities.
In fact, stock market statistics have highlighted a non-positive situation. The MSCI World index turned in a drop of 10.4%, essentially reflecting a fairly reliable average between the US stock exchanges and those that posted the worst falls, namely the European and Japanese stock exchanges. In the United States, the main indices stayed positive for almost the entire year, having recovered quickly from a violent correction at the beginning of February, to then decline in the last quarter; the S&P 500 index closed 2018 with a 6.2% decrease, while the NASDAQ technology index managed to limit losses (-3.9%), thanks above all to the strong rise recorded in the first half. The worst situation of all was in Japan, where the TOPIX index lost 17.8%, as well as in Europe, where the Euro Stoxx50 index fell by 14.3%. In Italy, the stock market was particularly affected by the tensions created between Italy and the EU regarding the 2019 Budget Law, as well as the international factors; the main FTSE MIB index, with -16.1%, has nevertheless closed in line with the other European markets. Positive signals instead come from emerging countries, where the Brazil's Bovespa index turned in the best performance (+15%) thanks to the confidence that the markets had in the liberal policies promised by the new president, Bolsonaro. The Russian and Indian equity indices were also positive. However, the main factor weighing on the general index of emerging countries (the MSCI Emerging Markets index, denominated in dollars, which closed at

-16.6%), was China: in fact, the Shanghai Stock Exchange fell by 24.6%, penalized by Washington's protectionist policies.

On bond markets, rates were influenced by future expectations regarding growth and inflation, which decreased progressively over the months; then there were the interventions of the various central banks, each of which struggled with different monetary policy cycles, but all in a basic context that saw their various stimulus measures in gradual retreat. In the United States, the Fed carried out a total of four rate hikes (now in the 2.25%-2.50% range), each of 25 basis points, and reiterated its message of confidence in US growth and inflation up to the latter part of the year, when it partially retraced its steps, reducing the estimates on the number of increases forecast for 2019 in light of the economic slowdown that was affecting the whole world. The yield on US government bonds (Treasury bonds) followed this change in the Fed's orientation, growing steadily throughout the first part of 2018 (also due to the Trump Administration's highly expansive fiscal policy), subsequently falling in the last quarter. On an annual basis, US government bond yields have however risen for all maturities, particularly the shorter ones, so that the rate curve has gradually flattened out. In the Euro-zone, on the other hand, German Bund rates have remained stable, even decreasing on longer maturities. The economic slowdown in the euro area has recorded more marked contours, but despite this the ECB has confirmed the plan for a progressive reduction in the monetary stimulus programme (Quantitative Easing) and its termination at the end of December. German government bonds, traditionally seen as a "safe haven", were also bolstered by the political tensions arising from discussions between the new Italian government and the European Union on the 2019 Budget Law, which caused a violent increase in the spread on Italian public debt. Although the crisis of confidence then partially receded, due to the compromise reached between Rome and Brussels, yields on Italian government bonds closed 2018 higher than at the beginning of the year: the 2-year BTP went from -0.25% at the beginning of the year to 0.47%, while the ten-year BTP went from 2.02% to 2.74%. The signs of a slowdown in the global economy and the problems that have affected some emerging countries have led to negative returns also for spread markets, both in the corporate bond sector and in developing countries' government bond market.

After an initial positive phase, the Euro has progressively lost ground among the currencies, penalised by the economic situation in the Euro-zone, which has gradually deteriorated, and above all by the political tensions that have been affecting relations between Italy and the EU. Over the entire year, the Euro weakened as follows against the other principal divided: -4.90% the decline against the US dollar, -7.20% the devaluation compared with the Japanese yen, a typical "safe haven" currency which benefited especially from the financial tensions that emerged in the last phase of the year. On the other hand, to lose ground against the Euro, albeit in a limited way, was the British pound, penalised by the lack of agreement on Brexit between the UK and the EU. Widening the analysis to the rest of the currencies, the most significant negative changes in 2018 were mainly in emerging currencies: the Argentine peso and the Turkish lira led the decline against the Euro of 48.14% and 24.44% respectively.

In the commodities sector, 2018 recorded strong negative performances. The signs of a slowdown in the global economy - especially those from China - combined with the skirmishes between Washington and Beijing on the tariff front, have fuelled fears about a possible decline in international trade, weighing on the entire raw materials sector. The CRB index closed 2018 down by 12.41%, but it was the assets most sensitive to the global economic cycle that suffered the most: industrial metals, with its overall index falling by 21%, and oil. In addition to a possible drop in global demand, fears linked to a possible excess supply, after the United States exempted eight countries from sanctions against the Iran, also badly affected the price of Brent - down by 19.55%. The fall in prices was only partially limited by the OPEC countries which, together with Russia, decided to cut production by a total of 1.2 million barrels a day in December. Lastly, gold (-1.56%) was able to limit the declines as, after a muted first part of the year, it benefited from the risk aversion phase that characterised financial markets in the last quarter.

1.4 The banking system and domestic interest rates

In a context of low (or negative) interest rates also because of the ECB's monetary policy, banks are struggling to get back to the levels of profitability that they had before the crisis. Low interest margins, the problem of asset quality, the aggression by fintech in a digital era and, lastly, a more and more rigid regulations, create a challenging and complex context. Duringf 2018, then, the banking system further ended up under pressure due to the financial tensions created on Italian government bonds following discussions between the Italian government and the European Union. Undoubted progress has been made in recent years: both in terms of financial solidity and reduction in non-performing loans. The road to greater efficiency is still a long one, however, and involves adopting a different business model, a reduction in costs and rationalisation of the branch network; in the first place, though, to support the banking system as a whole, the Italian economy has to resume a path of solid recovery, which it has abandoned for too long.

Loans

According to the latest ABI monthly report that was issued in January 2019, last December the amount of loans granted to customers by banks operating in Italy came to Euro 1,731.8 billion, an amount that is still higher than total customer deposits of Euro 1,717.2 billion.
More specifically, as far as bank loans are concerned, the December 2018 numbers confirmed that the improvement in the trend of loans to households and businesses is continuing, with an annual increase of 2.2%. Based on the latest available figures, i.e. November 2018, the increase in the mortgage loan market was also confirmed: in fact, the total amount of mortgage loans granted to households has increased by 2.3% on annual basis..

Net bad loans totalled Euro 37.5 billion in November 2018, with a sharp decline compared with December 2017 (Euro 64.1 billion, Euro 86.8 billion in December 2016). They decreased by almost 57% in 23 months.
As a result, the ratio of net bad loans to total loans is also decreased to 2.18% in November 2018 compared with 3.70% at the end of 2017.

In December 2018 there was a further reduction in interest rates applied to customer loans: the average interest rate applied to total loans was 2.55%, reaching a new all-time low (it was 2.69% at 31 December 2017). The average interest rate on new home purchase transactions stood at 1.94%, in line with the figure at the beginning of the year (1.90% in December 2017). The average interest rate applied to new lending transactions to companies cames to 1.39% (1.50% in December 2017).

Deposits

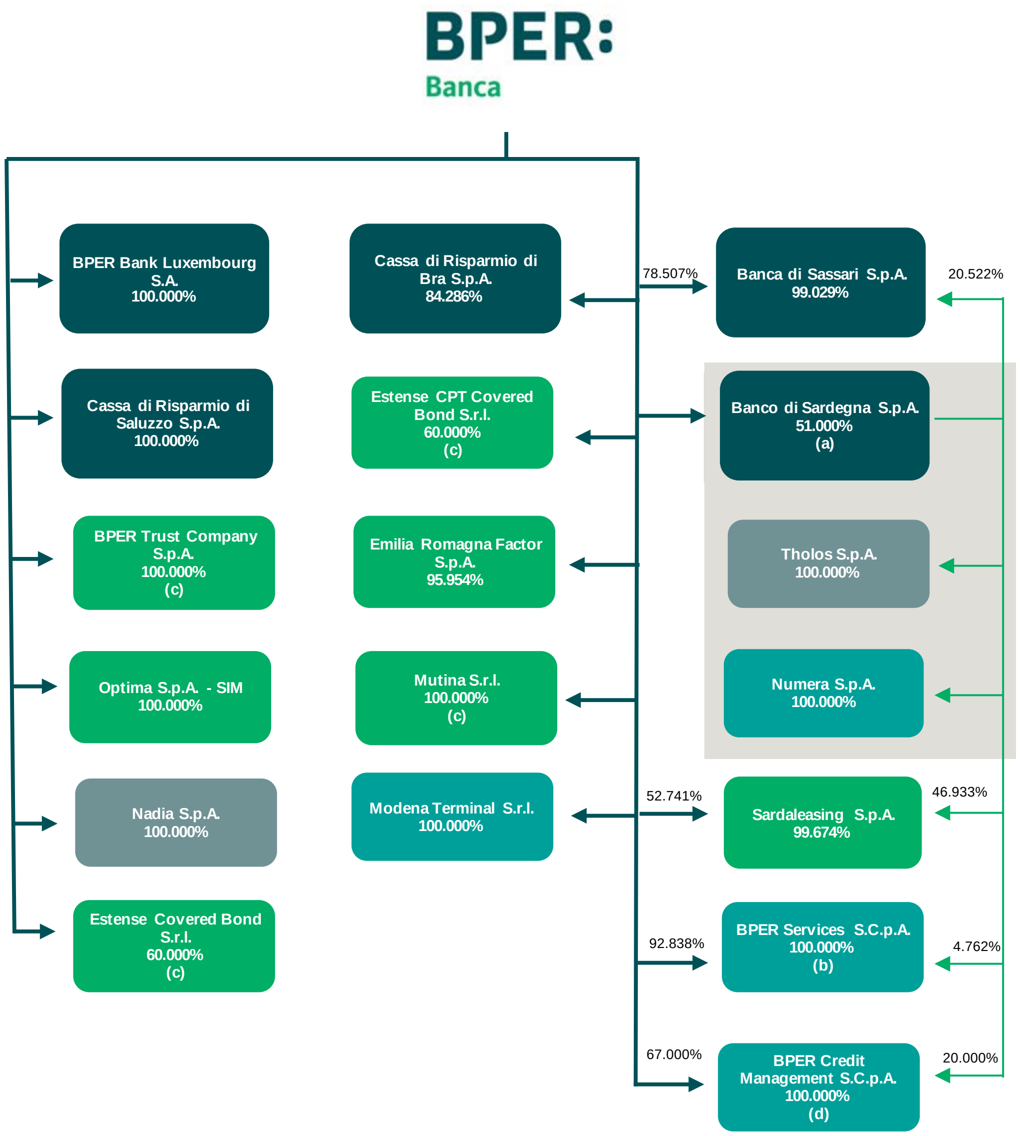
Over the past year, bank funding saw an increase in the gap between its two main components: the short-term one accelerated, while the long-term one fell.
In fact, if the overall figure declined by 0.6% on an annual basis, looking at the details one can see a negative trend in the net bonds sold to customers (-15.3%), offset by a positive trend in deposits from resident customers, for an annual increase of +2.2%.

More specifically, moving on to deposits (repurchase agreements, certificates of deposit and current accounts) the ABI report indicates an increase at the end of December 2018 of Euro 32 billion compared with the prior year, whereas it confirmed a decrease in medium-long term deposits, being those pertaining to bonds, of almost Euro 42 billion over the last 12 months.
The average interest rate in Italy as of December 2018 on total customer deposits (sum of deposits, bonds and repos in Euro to households and non-financial companies) stood at 0.66% due to:

- the interest rate on deposits (current accounts, savings deposits and certificates of deposits), which reached 0.38%;
- the yield on bonds of 2.34%;
- the interest rate on repurchase agreements of 1.00%.

2. Key figures

2.1 BPER Banca Group structure as at 31 December 2018



a) Equivalent to 50.940% of the entire Capital Stock consisting of ordinary, preferred and savings shares, the latter being non voting shares.

b) The following Companies also are shareholders of BPER Services S.C.p.A :
- Banca di Sassari S.p.A. (0.400%);
- Optima S.p.A. SIM (0.400%);
- Sardaleasing S.p.A. (0.400%);
- Cassa di Risparmio di Bra S.p.A. (0.400%);
- BPER Credit Management S.C.p.A (0.400%)
- Cassa di Risparmio di Saluzzo S.p.A (0.400%)

c) Subsidiary companies consolidated under the equity method.

d) The following Companies also are shareholders of BPER Credit Management S.C.p.A :
- Sardaleasing S.p.A. (6.000%);
- Banca di Sassari S.p.A. (3.000%);
- Cassa di Risparmio di Bra S.p.A. (2.000%);
- Emilia Romagna Factor S.p.A. (1.000%);
- Cassa di Risparmio di Saluzzo S.p.A. (1.000%);

In addition to the above members of the banking group, the scope of consolidation also includes the following subsidiaries companies which are not members of the banking group since they do not contribute directly to its activities.
These companies are consolidated under the equity method:

- **of the Parent Company** :
  - Adras S.p.A. (100%);
  - Italiana Valorizzazioni Immobiliari S.r.l. (100%);
  - Sifà S.p.A. (51%);
  - Banca Farnese S.p.A. in liquidazione (65,13%)
- **of the Italiana Valorizzazioni Immobiliari S.r.l.:**
  - Costruire Mulino S.r.l. (100%);
  - Frara S.r.l. (100%).

2.2 Summary of results[1]

In 2018 there was a profit for the year of Euro 402 million, up compared with previous year (Euro 176.4 million).

Asset quality continues to improve, recording a sharp decline in the gross stock of NPLs for approximately Euro 3.5 billion since the beginning of the year, also thanks to the two transactions, that is "4Mori Sardegna" and "Aqui" securitisation of bad loans for a total of Euro 3.0 billion completed during the year. In summary:

- Gross NPE ratio now at 13.8%, down by more than 6 percentage points from 19.9% at the beginning of the year;
- Net NPE ratio now at 6.8%, down from 9.2% at 1 January 2018 (-2.4 p.p.);
- Texas ratio of 85.0%, down from 101.5% at 1 January 2018 (-16.5 p.p.);
- coverage of non-performing loans of 54.52%.

The Group's financial solidity has been confirmed also for 2018, with a fully phased CET1 ratio of 11.9% at 31 December 2018, up on the figure at 1 January 2018 (11.06% which already considers the transition to IFRS 9). Phased-In CET1 ratio stands at 14.3% at 31 December 2018, well above the SREP requirement set by the ECB at 8.125% at 31 December 2018 and at 9.0% for 2019.

As regards the figures in the income statement, reference is made to the reclassified consolidated financial statements[2] in which indirect tax recoveries, allocated for accounting purposes to "Other operating expense/income", have been reclassified as a reduction in the related costs and contributions to the SRF, DGS and IDPF-VS funds have been shown separately from the specific accounting technical forms to show more clearly the trend in operating costs.

The profit from current operations before tax amounts to Euro 345.5 million in the year (Euro 199.1 million at 31 December 2017).

Operating profit amounted to Euro 2,081.3 million, up by 2.08% on last year. In particular:

- Net interest income comes to Euro 1,122.4 million, a drop of 0.18% (Euro 1,124.5 million as at 31 December 2017); the amount includes interest income of Euro 85.6 million relating to the time value of non-performing loans, as well as the writedown of part of the interest charged on non-performing loans to customers, amounting to Euro 9.3 million, (at 31 December 2017 these amounts were classified in captions 130 a) *"Net impairment adjustments to loans"*);
- net commission income amounted to Euro 776.3 million, up by 4.8% on the previous year. This positive performance was achieved mainly thanks to the sharp increase in net commission income from funds under management and "bancassurance" (+14.9%), bearing in mind that the scope of consolidation is not entirely comparable; it was also helped by the resilience of net commission income from the commercial business.

Operating costs totalled Euro 1,382.9 million, up by 6.66% compared with 2017. In particular:

- staff costs amount to Euro 821.5 million, an increase of 4.85%;
- other administrative expenses amounted to Euro 442.4 million, up 3.95%;

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[1] *As far as the income statement is concerned, the figures for the year ended 31 December 2017 (determined in accordance with IAS 39) have been classified using the new accounting captions required by the 5th update to Bank of Italy Circular 262, without any change in the profit (loss) for the year. The balance sheet data reported as at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or for total liabilities.*

[2] *As required by CONSOB in Communication DEM/6064293 dated 28 July 2006.*

- net adjustments to property, plant and equipment and intangible assets amounted to Euro 118.9 million, which was 36.04% more due to net writedowns of land and buildings totalling Euro 29.7 million.

Net adjustments for credit risk, amounting to Euro 226.7 million, were almost entirely attributable to the financial assets measured at amortised cost (Euro 225.8 million); the cost of lending to customers amounted to 47 b.p., which was down significantly from 112 b.p. in 2017.

In the balance sheet:

- the loans to customers measured at amortised cost total Euro 47.1 billion (-1.17% since 31 December 2017);
- direct deposits of Euro 50 billion is substantially in line with the figure at 31 December 2017, with a loans/deposits ratio of 94.11% (94.75% at 31 December 2017);
- indirect deposits of Euro 36.2 billion are up by 1.10% on 31 December 2017.

The capital ratios, calculated taking into account the internal model (AIRB) methodology for the credit risk requirement and with reference to the value of Own Funds, including the share of profit realised during the period, net of the dividend for the year, and the application of IFRS 9, are as follows:

- Common Equity Tier 1 Ratio (Phased In) of 14.27% (13.62% at 1 January 2018[3]). This ratio calculated on a Fully Phased basis comes to 11.95% (11.06% at 1 January 2018[4]);
- Tier 1 ratio (Phased In) of 14.37% (13.63% at 1 January 2018[5]);
- Total phased in capital ratio of 17.25% (16.14% at 1 January 2018[6]).

Leverage ratios:

- transitional arrangements (Phased In) of 6.0% (6.1% at 31 December 2017);
- under full application (or "Fully Phased") of 5.0% (6.0% as at 31 December 2017).

Liquidity levels are higher than the required minimums (Basel 3 envisages a 100% minimum requirement):

- Liquidity Coverage Ratio (LCR) of 154.3% (113.7% at 31 December 2017);
- Net stable funding ratio (NSFR) of 106.8% (105.2% at 31 December 2017).

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[3] The comparative amount was determined at 1 January 2018, in order to take account of the effects of applying IFRS 9 for the first time.
[4] See previous note
[5] See previous note.
[6] See previous note.

2.3 Performance ratios[7]

Financial ratios	31.12.2018	31.12.2017 (*)
Structural ratios		
Net loans to customers/total assets	66.61%	66.74%
Net loans to customers/direct deposits from customers	94.11%	94.75%
Financial assets/total assets	24.28%	21.95%
Fixed assets[8]/total assets	2.14%	2.13%
Goodwill/total assets	0.37%	0.46%
Direct deposits/total assets	89.36%	88.63%
Indirect deposits under management/indirect deposits	53.32%	55.08%
Financial assets/tangible equity[9]	3.85	3.01
Total tangible assets[10]/tangible equity	15.77	13.60
Net interbank position (in thousands of Euro)	(11,585,739)	(9,971,711)
Number of employees[11]	11,615	11,653
Number of national bank branches	1,218	1,218
Profitability ratios		
ROE	9.06%	3.62%
ROTE	10.15%	4.04%
ROA (net profit/total assets)	0.63%	0.25%
Cost to income ratio[12]	66.44%	63.59%
Net impairment losses on loans to customers/net loans to customers	0.47%	1.12%
Basic EPS[13]	0.836	0.367
Diluted EPS[14]	0.836	0.367
Risk ratios		
Net non-performing loans/net loans to customers	6.81%	11.35%
Net bad loans/net loans to customers	3.08%	6.08%
Net unlikely to pay loans/net loans to customers	3.60%	5.07%
Net past due loans/net loans to customers	0.13%	0.20%
Impairment provisions for non-performing loans/gross non-performing loans	54.52%	48.70%
Impairment provisions for bad loans/gross bad loans	66.62%	59.30%
Impairment provisions for unlikely to pay loans/gross unlikely to pay loans	35.73%	27.19%
Impairment provisions for past due loans/gross past due loans	12.33%	10.60%
Impairment provisions for performing loans/gross performing loans	0.37%	0.53%
Texas ratio[15]	84.97%	101.85%

(*) The comparative figures have been appropriately recalculated at 31 December 2017 to take account of the new classification criteria introduced by IFRS 9, with the exception of those relating to profitability ratios for which reference is made to the figures at 31 December 2017, as per the Consolidated financial statements at 31 December 2017.

[7] The information provided is consistent with the ESMA document of 5 October 2015 "Guidelines - Alternative performance indicators", aimed at promoting the usefulness and transparency of Alternative Performance Indicators included in prospectuses or regulated sources of information. To construct ratios, reference was made to the balance sheet and income statement figures of the reclassified statements prepared from a management point of view as mentioned in chapter 6 of this report "The BPER Banca Group's results of operations".
[8] Fixed assets include both Equity investments and Property, plant and equipment.
[9] Tangible equity = total shareholders' equity net of intangible assets.
[10] Total tangible assets = total assets net of intangible assets.
[11] The number of employees does not include the expectations.
[12] The cost/income ratio has been calculated on the basis of the layout of the reclassified income statement (operating costs/operating income); when calculated on the basis of the layouts provided by Circular no. 262 of the Bank of Italy the cost/income ratio is at 69.52% (65.97% at 31 December 2017 as per the Consolidated Financial Statements as at 31 December 2017).
[13] EPS has been calculated net of treasury shares in portfolio.
[14] See previous note.
[15] The texas ratio is calculated as the relationship between total gross non-performing loans and net tangible equity, including minority interests, increased by impairment provisions for non-performing loans.

(cont.)

Financial ratios	31.12.2018	01.01.2018 (**)
Own Funds (Phased in) (in thousands of Euro)[16]		
Common Equity Tier 1 (CET1)	4,367,711	4,410,721
Own Funds	5,278,852	5,227,226
Risk-weighted assets (RWA)	30,606,171	32,394,482
Capital and liquidity ratios		
Common Equity Tier 1 Ratio (CET1 Ratio) - Phased in	14.27%	13.62%
Tier 1 Ratio (T1 Ratio) - Phased in	14.37%	13.63%
Total Capital Ratio (TC Ratio) - Phased in	17.25%	16.14%
Common Equity Tier 1 Ratio (CET1 Ratio) - Fully Phased	11.95%	11.06%
Leverage Ratio - Phased in[17]	6.0%	6.1%
Leverage Ratio - Fully Phased[18]	5.0%	6.0%
Liquidity Coverage Ratio (LCR)	154.3%	113.7%
Net Stable Funding Ratio (NSFR)	106.8%	105.2%

Non-financial ratios	31.12.2018	31.12.2017 (*)
Productivity ratios (in thousands of Euro)		
Direct deposits per employee	4,304.47	4,311.89
Loans to customers per employee	4,050.88	4,085.57
Assets managed per employee	1,664.31	1,695.21
Assets administered per employee	1,457.29	1,382.51
Core revenues[19] per employee	163.47	160.05
Net interest and other banking income per employee	175.38	169.97
Operating costs per employee	121.93	112.13

(*) The comparative figures have been appropriately recalculated at 31 December 2017 to take account of the new classification criteria introduced by IFRS 9, with the exception of those relating to profitability ratios for which reference is made to the figures at 31 December 2017, as per the Consolidated financial statements at 31 December 2017.
(**) The comparative figures have been appropriately calculated at 1 January 2018 to take account of the impact of first-time application of IFRS 9, with the exception of those relating to the Leverage Ratio (Phased In and Fully Phased), the LCR and the NSFR, for which reference is made to the figures at 31 December 2017, as per the Consolidated Financial Statements at 31 December 2017.

[16] *Items have been calculated according to the provisions of Regulation (EU) 575/2013 (CRR), as amended by the Commission Delegated Regulation (EU) 2395/2017.*
[17] *The ratio has been calculated according to the provisions of Regulation (EU) 575/2013 (CRR), as amended by the Commission Delegated Regulation (EU) 62/2015.*
[18] *See previous note.*
[19] *Core revenues = net interest income + net commission income.*

3. Significant events and strategic transactions

3.1 Transition to IFRS 9

On 24 July 2014 the International Accounting Standards Board (IASB) issued the final version of IFRS 9 "Financial instruments" that, with effect from 1 January 2018, replaced IAS 39 which governed the classification and measurement of financial instruments up to and including 31 December 2017. The development of the project to adapt to the new accounting standard adopted at Group level at the beginning of 2016 and which allowed its application starting from 1 January 2018 is presented below; see the explanatory notes to the consolidated financial statements for a discussion of the new regulatory requirements and the approach to application adopted by the BPER Banca Group. Reference should also be made to the specific attachment to the financial statements for details on the impact of the transition to IFRS 9.

The BPER Banca Group completed a project to adapt to the new standard, examining in depth the various areas affected by it and determining its qualitative and quantitative impact. It also identified and implemented the application and organisational interventions needed for adoption of the standard from 1 January 2018.
More specifically, the project was organised into three parts, in line with the standard ("Classification and measurement", "Impairment", "Hedge Accounting"), identifying application and organisational interventions within the Group as a whole and for each entity belonging to it.
The main functions within the Group most involved in this implementation were Administration and Reporting, which headed up the project; Risk Management, for the determination and validation of appropriate new risk measures; Credit and Finance, for determination of the portfolios, the consequent business model and the consequent repercussions on operations, and Strategic Marketing, for the analysis of the commercial lending products offered to customers. The operating divisions were also involved in analysis of the process implications and for the related IT development work, with the aim of finding solutions consistent with the infrastructure and identifying and exploiting potential synergies. In addition, the IT implementation work mainly involved activities associated with the transition to the new standard and the implementation of additional software and organisational changes designed to ensure the "ongoing" application of the standard. In accordance with the current Group structure, the Systems function was actively involved in the project, with a coordination role in adopting and validating the process changes deriving from the implementation decisions made. Alongside the operating divisions, the internal control functions (Risk Management - Model validation, Internal Audit, Manager responsible for preparing the company's financial reports, Board of Statutory Auditors) and the auditing firm were informed about the progress of the Project.

The BPER Banca Group's adaptation project

The following brief presentation covers the work carried out in the principal areas affected ("Classification and measurement", "Impairment", "Hedge Accounting").

Classification and measurement of financial instruments

The BPER Banca Group classifies and measures financial assets (loans and debt securities) with reference to the following drivers:

1. definition of the relevant business model;

2. examination of the characteristics of their cash flows (so-called Solely Payment of Principal and Interests – SPPI).

With regard to the first driver, the BPER Banca Group has defined the reasons for holding financial assets over time in order to generate cash flows, together with guidelines for processing for transition purposes the financial assets already held at 31 December 2017.

With regard to the second driver for the classification of financial assets (SPPI test to verify the contractual characteristics of financial instruments), the BPER Banca Group has carried out activities to determine whether the contractual cash flows of the financial assets held at the transition date represent exclusively the payment of principal and interest accrued on the outstanding principal to be repaid. Analysis identified that only a marginal percentage of the debt securities classified in the previous accounting categories at 31 December 2017, HTM, AFS and LRO, failed the SPPI test and, accordingly, were classified and measured at fair value through profit or loss.
On the basis of national and international working parties in relation to units in UCITS, closed and open-ended funds are classified as "*Financial assets mandatorily measured at fair value through profit or loss*".
Analysis of the loans portfolio distinguished the "standard" contracts, typical of retail accounts, from the "non-standard" ones, customised contracts essentially arranged with larger corporate customers.
In essence, analysis of the characteristics of the cash flows deriving from the financial assets held by the BPER Banca Group at 31 December 2017 did not identify any need for significant reclassifications.

With regard to the FTA accounting treatment of equity instruments classified as AFS at 31 December 2017, the BPER Banca Group mainly made the irrevocable election, which requires subsequent changes in fair value to be recognised through the statement of other comprehensive income; the remaining instruments will be measured at fair value through profit or loss. On the transition, all the equity instruments classified at 31 December 2017 in the previous HFT category were classified as measured at fair value through profit or loss, retaining the original held-for-trading objective.

The classification and measurement of financial liabilities did not change significantly on their allocation to the new IFRS 9 portfolios; similarly, the limited planning activities carried out did not result in any reclassifications or changes in measurement methods for trading and hedging derivatives.

Impairment

The IFRS 9 impairment model adopted by the BPER Banca Group for loans is based on the following aspects:

a) Objective and quantitative criteria for identifying any significant increases in credit risk when assigning credit lines in Stage 1 or Stage 2. In particular, with regard to the objective criteria, the BPER Banca Group has identified the following conditions for the classification of credit lines in Stage 2 and applied them to estimate the related impact:
    - lines that are past-due for at least 30 days at the reporting date;
    - lines belonging to a counterparty in a state of forborne;
    - lines for which there is no origination rating;
    - lines classified as "Watchlist" in the Early Warning credit monitoring system.

   With regard to the quantitative criteria, the BPER Banca Group has classified in Stage 2 the loans that, at the reporting date, have experienced a "Significant Increase in Credit Risk" (SICR) since their initial recognition.

As a consequence, all performing loans that did not satisfy the above objective and quantitative criteria at the reporting date have been classified in Stage 1.

b) The BPER Banca Group has not adopted the simplification allowed by IFRS 9 regarding the "low credit risk exemption".
c) Classification in Stage 3 of all "non-performing loans/impaired" loans at 31 December 2017 in accordance with the definition of non-performing loans specified in the current regulations, consistent with the 7th update of Bank of Italy Circular 272 dated 30 July 2008, being those with the characteristics indicated in para. B5.5.37 of IFRS 9, which correspond to the "Final draft Implementing Technical Standards" (ITS) for forbearance (FBE) and non-performing exposures (EBA/ITS/2013/03/rev1 24 July 2014). The credit quality administrative classifications established by the Bank of Italy are retained within Stage 3.
d) Different methods have been defined for measuring the impairment adjustments in each Stage, applying the concept of "Expected Credit Losses" (ECL). For this purpose, the BPER Banca Group has adopted a model for calculating the provisions required to cover the expected losses on financial instruments based on:
    1. an estimate of the expected losses over the entire duration of the loan (Lifetime ECL), if the credit risk has increased significantly since initial recognition of the instrument;
    2. on the portion of the lifetime ECL deriving from possible default events within 12 months of the reporting date (or FTA of the standard), or a shorter time if the expected contractual duration is less.
e) The models for the measurement of expected losses include the current macroeconomic conditions (*Point-in-Time risk measures*) in the risk parameters used for the Stage assignment, as well as forward-looking information (*Forward-looking risk measures*) about the future dynamics of the macroeconomic factors that influence lifetime ECL. With reference to exposures classified in Stage 3, following in-depth analyses and evaluation of the IFRS Foundation's document entitled "Inclusion of cash flows expected from the sale on default of a loan" and the "Guidelines for banks on non-performing loans (NPL)" published by the European Central Bank in March 2017 for the pro-active management of non-performing loans, the BPER Banca Group determined that the inclusion of forward-looking factors in scenario evaluations also had "measurement" implications for impaired assets. Consequently, the BPER Banca Group assumed to take into account a "disposal scenario" in line with what is defined in the Group's "2018-2022 NPE Plan", as a possible way to recover exposures, as an alternative to internal recovery (workout scenario).

In order to apply the model consistently among the product portfolios held by the BPER Banca Group, the methods used to calculate the impairment adjustments for debt securities were borrowed, where possible, from the logic applied to loans (on and off-balance sheet) discussed above.
Specifically, the BPER Banca Group has defined an impairment model for debt securities based on the following criteria:

a) management of an "inventory" of debit securities for staging purposes, applying the FIFO method to relieve sold tranches from the portfolio;
b) model for identifying significant increases in credit risk, in order to classify debt securities in Stage 1 or Stage 2, based on the following criteria:
    - primary use of the internal rating model and, if unavailable, reference to Fitch, an external ratings agency;

- determination of the rating downgrade threshold by comparing the rating classes on origination with the rating classes on the measurement date (notching between rating classes);
- classification in Stage 3 of all debt securities in default at 31 December 2017, applying the definition of default contained in the 2003 ISDA document entitled "Credit Derivatives Definition".

No securities were classified in Stage 3 on FTA of the new standard.

Hedge accounting

As regards hedge accounting, the standard provides with an option to implement the new standard, IFRS 9, or to continue with the old standard, IAS 39 (opt-in/opt-out option). Based on the work performed, the BPER Banca Group has elected to opt-out and, thus, hedging transactions continue to be managed in accordance with IAS 39 (carve-out).

3.2 Strategic transactions

2018-2020 NPE Strategy: main actions and targets

The BPER Banca Group has reviewed and updated the actions and targets contained in the 2018-2020 NPE Strategy and 2018-2022 NPE Plan on the management of non-performing exposures. With a view to accelerating the process of improving asset quality, we have selected a target portfolio of gross non-performing loans potentially transferable of around Euro 6.4 billion. The net carrying amount of this portfolio was then quantified with reference to the amount deemed realisable in a disposal scenario, as envisaged in IFRS 9. This action led to additional provisions during the transition to the new standard of more than Euro 1.1 billion, resulting in coverage in line with the highest levels of the Italian banking sector. This new measurement model has been subsequently updated, based on dynamics and the probability that the planned disposal scenarios will occur.

This action reduced significantly the net NPE ratio, which is 6.81% at the end of 2018, due mainly to the securitisations and block disposals carried out during the year. With regards to these strategic guidelines, characterised by the disposal of bad loans at Group level for a total gross book amount (GBV) of around Euro 4.5 billion, Euro 2.9 billion have already been sold through securitisations in 2018. Therefore, at Group level, we confirm the objective for reducing the stock of NPEs over a three-year period by more than 40% to the levels recorded at the end of 2017, reaching a gross and net ratio put respectively at around 11.5% and 5.5% in 2020, with the forecast to fall below the thresholds of 10% and 5% in 2021. The adjustment of coverage to take account of the forward-looking scenarios will also significantly improve Group profitability, as already reflected in the 2018 results, by reducing substantially the cost of credit, which is at 47 b.p. at the end of 2018 and is estimated between 50 and 60 b.p. in 2020, with a coverage of non-performing loans over 55% at that time, assuming that the regulatory environment does not change.

Considering the scope of the BPER Banca Group at 31 December 2018, its current capital endowment, its organic generation deriving from the substantial increase in prospective profitability and the additional asset buffers that the Group has available will enable it to maintain an adequate level of capitalisation and to estimate a fully phased CET1 ratio of more than 12% by 2020. The significant portfolio of non-performing loans that could potentially be sold, identified in compliance with IFRS 9, and the high level of coverage reached allow significant operational flexibility in terms of reducing the stock of non-performing loans even further: the objective is to reduce the gross ratio below the 10% threshold by 2021. These forecasts will obviously be updated according to the corporate operations that the Group is about to carry out, as summarised below, also taken as a point of reference in the preparation of the new 2019-2021 Business Plan of the BPER Banca Group.

- *Disposal of non-performing loan portfolio: Cream 2 operation*

Consistent with the Group NPE Plan and contributing to the de-risking and asset quality improvement measures, as described above, Sardaleasing has begun a new programme of disposals to be carried out over the two-year period 2018–2019, drawing on the experience gained from an earlier disposal of NPLs linked to property lease contracts (the "Cream" operation) arranged in 2017.
In fact, a portfolio of bad loans (the "Cream 2" operation) totalling about Euro 49.6 million was sold on 15 June 2018 (with economic effect from 1 April 2018).
The bad property lease contracts presented for the consideration of potential purchasers were identified in close collaboration with BPER Credit Management, the Group Company specialised in the enforced recovery of loans.
Following completion of the tender process and the due diligence phase, offers were received from two potential purchasers, identifying the counterparty with the most advantageous offer.
Taking into account the high level of coverage of the bad loans sold, this transaction only had marginal effects on the consolidated income statement of the Group.

- *Disposal of bad loan portfolio: "4 Mori Sardegna" operation*

In execution of the Group's 2018-2020 NPE Strategy, on 22 June 2018, Banco di Sardegna spa concluded a sale transaction involving the securitisation of bad loans.
In particular, a contract for the without-recourse sale of bad loans was signed on 7 June 2018, with economic effect from 1 January 2018. This transaction pursuant to Law 130/1999, with a gross book value (GBV) at 31 December 2017 of Euro 900 million (about 59% of the total gross bad loans of Banco di Sardegna), has a gross collectible value of Euro 1,044 million and was arranged with "4Mori Sardegna S.r.l.", which was formed specifically for this purpose (SPV company).
On 22 June 2018 the SPV issued three different classes of security (the "Notes") totalling Euro 253 million (28.10% of the gross book value of the loans sold) fully subscribed by Banco di Sardegna:

- the senior tranche, Euro 232 million, corresponding to 25.70% of the GBV of the loans sold, to which investment grade ratings have been assigned: A- (sf) by Scope Ratings GmbH and BBB (low) (sf) by DBRS Ratings Limited; coupon of 6m-Euribor + 90 bps;
- the mezzanine tranche, Euro 13 million, to which a BB- (sf) rating has been assigned by Scope Ratings GmbH and a B (sf) by DBRS Ratings Limited;
- the junior tranche, Euro 8 million, without rating.

The consideration for this disposal, Euro 253 million was recognised to Banco di Sardegna following its subscription for all the Notes issued by 4Mori Sardegna on 22 June 2018.

On 27 June 2018 (with effect for accounting purposes on 29 June 2018), Banco di Sardegna sold 95% of the nominal value of the mezzanine and junior notes at par for Euro 20 million in total, leading to the deconsolidation of the assets sold for both accounting and regulatory purposes.
The Senior tranche was all kept in Banco di Sardegna's portfolio; for which the process of obtaining the GACS government guarantee has commenced and which led to the communication of 3 October 2018 by the Ministry of Economy and Finance (MEF) saying that it had granted the guarantee by Decree dated 5 September 2018, registered by the Court of Auditors on 27 September 2018 and by the Central Budget Office of the MEF on 1 October 2018. This guarantee is effective from the date of the decree (5 September 2018).

Taking into account the high level of coverage of the bad loans sold, this transaction only had marginal effects on the consolidated income statement of the Group.

- *Disposal of bad loan portfolio: "Aqui" operation*

On 7 November 2018, the Parent Company BPER Banca and the subsidiaries Cassa di Risparmio di Bra s.p.a. and Cassa di Risparmio di Saluzzo s.p.a. completed the "Aqui" securitisation of bad loans. In particular, a portfolio of bad loans was sold on 24 October 2018, with economic effect from 1 January 2018. This transaction, pursuant to Law 130/99, was worth a gross book value of Euro 1.9 billion (made up 59.5% of secured loans and 40.5% of unsecured loans granted by BPER Banca for Euro 1,814 million, Cassa di Risparmio di Bra for Euro 64 million and Cassa di Risparmio di Saluzzo for Euro 24 million) to the vehicle AQUI SPV s.r.l., which financed the purchased by issue of three classes of securities for a total of Euro 618.4 million, fully subscribed by BPER Banca on 7 November 2018.

- senior tranche, amounting to Euro 544.7 million, corresponding to 28.7% of the gross carrying amount, to which the investment grade ratings were assigned by Moody's (Baa3) and Scope Ratings (BBB-);
- mezzanine tranche of Euro 62.9 million;
- junior tranche of Euro 10.8 million.

95% of the Mezzanine and Junior tranches, initially subscribed by BPER Banca, were placed with an institutional investor on 14 December 2018; subsequently, the assets sold were deconsolidated for both accounting and regulatory purposes.
The overall negative economic impact of the Aqui transaction amounted to Euro 66.7 million (of which Euro 56.7 million originated from the sale of the Mezzanine and Junior notes).
The Senior securities have been fully retained by the Originator BPER Banca. For these, the process of requesting the GACS State guarantee has been activated.

Recapitalisation of subsidiaries

As part of its capital management actions, BPER Banca constantly monitors the levels of capitalisation of its subsidiaries. In this context, during January 2018, the Parent Company's Board of Directors decided to recapitalise a number of Group companies.
The rationale underlying these proposals, for the most part common to all the companies concerned, included:

- reduction of the regulatory ceiling for Large Risks of Financial Companies from 40% to 25% of Own Funds with effect from 1 January 2018 (with alignment to the limits currently in force for the Banks); the event affects the thresholds applicable in both Sardaleasing and Emilia Romagna Factor;
- capital increase requirements deriving from the growth in loans achieved and/or planned; in the case of Sardaleasing, the increase in volumes is also the result of the extraordinary acquisition of Nuova Carife's leasing portfolio.

- *Capital increase of Sardaleasing s.p.a.*

On 27 March 2018 the Extraordinary Meeting of Sardaleasing s.p.a. approved a divisible capital increase for cash totalling Euro 90.2 million, via the issue of 7,276,000 new ordinary shares. On the same date, BPER Banca and Banco di Sardegna s.p.a. paid in their portions of the above amount, being Euro 46.4 million (3,742,760 shares) and Euro 42.3 million (3,414,852 shares) respectively.
On 16 April 2018 BPER Banca subscribed for the 118,388 shares not taken up by S.F.I.R.S. s.p.a., the minority investor, paying an additional Euro 1.5 million.

The capital increase was registered by the Sassari Companies Register on 19 April 2018; the new share capital of Sardaleasing is therefore Euro 184,173,750, being 52.74% held by BPER Banca S.p.a., 46.93% by Banco di Sardegna s.p.a. and 0.33% by S.F.I.R.S. s.p.a.

- *Capital increase of Emilia Romagna Factor s.p.a.*

On 10 April 2018 the Extraordinary Shareholders' Meeting of Emilia Romagna Factor s.p.a. authorised a divisible capital increase for cash via the issue of a maximum of 1,819,697 shares, nominal value Euro 10 each.

BPER Banca subscribed for 1,802,534 shares in total (comprising its portion, 1,717,840 shares, and the 84,694 unsubscribed shares by other members), with a total payment of Euro 29.7 million.

This fully-subscribed capital increase was registered by the Bologna Companies Register on 24 April 2018; the new share capital of the company amounts to Euro 54,590,910, of which 95.95% is held by BPER Banca.

- *Capital increase of Cassa di Risparmio di Bra s.p.a.*

On 16 April 2018 the Board of Directors of Cassa di Risparmio di Bra s.p.a. approved a divisible capital increase for cash totalling Euro 30 million, via the issue of a maximum of 57,750,000 new ordinary shares at a price of Euro 0.52 each. The proposed capital increase and related amendment of the articles of association was submitted to the competent Supervisory Authority for the required authorisations.

The Extraordinary Shareholders' Meeting of Cassa di Risparmio di Bra authorised the capital increase on 26 July 2018, after having obtained authorisation from the European Central Bank. The minority shareholder (Fondazione Cassa di Risparmio di Bra) did not take up the shares under option and, accordingly, the entire amount was paid in by BPER Banca, raising its equity interest from 67% to 84.286%.

Merger by incorporation of Carife Servizi Evolutivi Integrati s.r.l. into Nadia s.p.a

On 12 March 2018 the Boards of Directors of Carife Servizi Evolutivi Integrati s.r.l. and Nadia s.p.a. approved the merger by incorporation plan under which the former would be incorporated by the latter. The purpose of the merger was to simplify and rationalise the distribution, organisational and governance structure of the BPER Banca Group, as well as to achieve synergies in terms of operational efficiency.

The plan, prepared in simplified form pursuant to art. 2505 of the Italian Civil Code, was submitted to the Extraordinary Shareholders' Meeting of the two companies involved in the merger, after its filing and publication as required by law.

The deed completing the merger of Carife Servizi Evolutivi Integrati s.r.l. into Nadia s.p.a., as approved at the respective Extraordinary Shareholders' Meetings pursuant to art. 2502 of the Italian Civil Code, was signed on 13 June 2018.

The merger took legal effect from 15 June 2018, following registration of the deed by the Ferrara and Modena Companies Registers on 14 June 2018 and 15 June 2018 respectively.

The operation took effect for tax and accounting purposes from 1 January 2018.

Merger by incorporation of Galilei Immobiliare s.r.l. into Nadia s.p.a.

Pursuing similar purposes as per the previous paragraph, on 2 August 2018 the Board of Directors of Nadia s.p.a. resolved to proceed with the merger of Galilei Immobiliare s.r.l., wholly owned by Nadia s.p.a.

The merger plan was then approved by the respective bodies on 10 September 2018 and filed on 13 September at the Modena Companies Register.

Pursuant to art. 2502 of the Italian Civil Code, the Shareholders' Meetings subsequently approved the merger plan with resolutions adopted on 24 September 2018, then filed with the Companies Register.
The deed completing the merger of Galilei Immobiliare s.r.l. into Nadia s.p.a., as approved at the respective Extraordinary Shareholders' Meetings pursuant to art. 2502 of the Italian Civil Code, was signed on 4 December 2018. The merger took legal effect from 7 December 2018, following registration of the deed by the Companies Registers. The operation took effect for tax and accounting purposes from 1 January 2018.

Merger by incorporation of Polo Campania s.r.l. into Nadia s.p.a.

On 8 November 2018, the Board of Directors of BPER Banca approved the merger by incorporation plan of Polo Campania s.r.l. into Nadia s.p.a..
As for similar operations performed in 2018 and previously commented on, the purpose of the merger was to simplify and rationalise the distribution, organisational and governance structure of the BPER Banca Group, as well as to achieve synergies in terms of operational efficiency.
The merger plan was then approved by the respective bodies on 6 November 2018 and filed at the Companies Registers.
Pursuant to art. 2502 of the Italian Civil Code, the Shareholders' Meetings subsequently approved the merger plan and then filed with the Companies Registers.
The deed completing the merger of Polo Campania s.r.l. into Nadia s.p.a., as approved at the respective Extraordinary Shareholders' Meetings pursuant to art. 2502 of the Italian Civil Code, was signed on 10 December 2018. The merger took legal effect from 17 December 2018, following registration of the deed by the Companies Registers. The operation took effect for tax and accounting purposes from 1 January 2018.

Subsequent events to 2018 year end

- *Merger by incorporation plan of BPER Services S.C.p.A. into BPER* Banca S.p.A.

On 10 January 2019, the Board of Directors of BPER Banca approved a merger by incorporation plan of BPER Services s.c.p.a; on 11 January 2019 the Board of Directors of BPER Services passed a similar resolution.
This transaction is consistent with the action plan that has led to a reduction in the number of legal entities belonging to the BPER Group with a view to improving operating efficiency and creating cost/income synergies.
The proposed merger is a transaction with a related party of BPER Banca and is classified as "less significant" as it does not exceed the materiality indices referred to in Consob Regulation no. 17221/10, as well as the internal regulations of BPER Banca contained in the "Group policy for the governance of non-compliance risk concerning conflicts of interest with related parties and risk activities with associated persons" (available on the website internet www.bper.it).
The transaction, aimed at the internal reorganization of the BPER Banca Group, will not have any impact on the Group's consolidated financial statements.

- *Acquisition of control of UNIPOL Banca*

As part of the strategic transactions with the Unipol Group, on 7 February 2019 the Board of Directors of BPER Banca approved the purchase of 100% of the capital of Unipol Banca, for a cash consideration of Euro 220 million.
This transaction aims at acquiring a bank that has completed a strong process of de-risking (thanks to the interventions carried out by the Unipol Group starting from 2017), boosting the size of the BPER Banca

Group with an increase in total assets of around +17% (total post-deal assets of more than Euro 80 billion) and total funding in the order of +70% (total post-deal funding close to Euro 150 billion); reinforcement of the customer base, with over 500 thousand new customers, and opportunities to optimise cross-selling and strengthen distribution channels.

- *"Emilia" disposal*

As part of the strategic transactions with the Unipol Group, confirming its commitment to pursue de-risking and the further improvement in asset quality with determination, on 7 February 2019 the BPER Banca Group signed a framework agreement for the sale to the Unipol Group of a portfolio of bad loans originated by BPER Banca and Banco di Sardegna for a gross book value of around Euro 1.0 billion (against a collectible gross value of around Euro 1.3 billion), consisting of 68% unsecured loans and 32% secured loans; the net book value at 31 December 2018 is substantially in line with the cash consideration envisaged as the purchase value, resulting in marginal impacts on the income statement at the time of execution of the sale.

- *Acquisition of a minority interest in Banco di Sardegna*

On 7 February 2019 the Board of Directors of BPER Banca approved the purchase of the ordinary and preferred shares in Banco di Sardegna held by the Fondazione Banco di Sardegna (FdS), against the issue in favour of FdS of 33,000,000 newly issued BPER Banca shares and a subordinate convertible Additional Tier 1 ("AT1") instrument with a nominal value of Euro 150 million issued by BPER Banca. This operation represents the last significant step for the simplification and rationalisation of the Group structure, enhancing the identity of Banco di Sardegna and its operations in the reference territory. Furthermore, it will allow a significant improvement in the level of regulatory capital (impact on the CET1 ratio and a positive Fully Phased Tier 1 ratio of approximately +50 b.p. and +90 b.p. respectively), as well as an acceleration in the process of optimising Banco di Sardegna's cost structure.

- *Increase in the interest in Arca Holding s.p.a.*

Following a joint presentation on 12 July 2018 and subsequent additions and amendments of a binding offer for the purchase of 19,999,000 Arca Holding ordinary shares held by Banca Popolare di Vicenza S.p.A. ("BPVI") in compulsory liquidation together with Veneto Banca S.p.A. ("VB") in compulsory liquidation, BPER Banca S.p.A. and Banca Popolare di Sondrio S.c.p.a. ("BPER", "BPS" and, together, the "Banks") won the auction on 13 February 2019.

BPER Banca and Banca Popolare di Sondrio are already shareholders of Arca Holding (which in turn owns 100% of Arca Fondi SGR) with 32.75% and 21.14% respectively; as a result of this deal, the Banks will respectively hold 57.06% and 36.83% of Arca Holding.

It is the Banks' intention at the closing date to sign shareholder agreements for the Arca Holding shares that they hold in order to regulate their reciprocal relationships in terms of corporate governance and circulation of the shares.

It is expected that the overall transaction should be completed by the end of the first half of 2019.

3.3 European Single Supervisory Mechanism (SSM)

BPER Banca and its Group are among the major European banks supervised directly by the ECB[20].
Consistent with the European SSM, BPER Banca has organised a process of constant discussion and alignment with the ECB that includes the provision of detailed periodic information flows in response to requests from the Joint Supervisory Team (JST).
The prudential requirements to be complied with on a consolidated basis as at 31 December 2018, as resulting from the SREP Decision of 2017 referred to in the ECB letter of 22 November 2017, are the following:

- Common Equity Tier 1 Ratio: of 8.125%, being the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 (4.50%), plus the additional Pillar 2 requirement in accordance with art. 16 of EU Regulation 1024/2013 (1.75%), plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU as transposed into national law (1.875%);
- Total Capital Ratio: of 11.625%, being the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 (8.00%), plus the additional Pillar 2 requirement in accordance with art. 16 of EU Regulation 1024/2013 (1.75%), plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU as transposed into national law (1.875%).

On 5 February 2019, after completing the 2018 annual SREP prudential review and evaluation process, BPER Banca received notification from the ECB of the latest prudential requirements to be met on a consolidated basis pursuant to art. 16 of EU Regulation 1024/2013. Based on the outcome of the SREP performed, the ECB decided that BPER Banca should maintain the following consolidated minimum capital ratios from 1 March 2019:

- Common Equity Tier 1 Ratio: of 9%, being the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 (4.50%), plus the additional Pillar 2 requirement in accordance with art. 16 of EU Regulation 1024/2013 (2%), plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU as transposed into national law (2.5%);
- Total Capital Ratio: of 12.50%, being the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 (8.00%), plus the additional Pillar 2 requirement in accordance with art. 16 of EU Regulation 1024/2013 (2%), plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU as transposed into national law (2.50%).

In accordance with regulations for the prudential supervision of banks, failure to comply with the CET1 Ratio and Total Capital Ratio minimum requirements would lead to limitations on the distribution of earnings and the need to adopt a plan for the conservation of capital.
The ECB has confirmed that the Italian Group banks and the Luxembourg bank must constantly meet the requirements for Own Funds and liquidity on the basis of Regulation (EU) 575/2013, of national legislation enabling Directive 2013/36/EU, and of any applicable national liquidity requirement, in compliance with Article 412 paragraph 5 of EU Regulation 575/2013.
These quantitative capital objectives were accompanied by the following qualitative requests to be sent to the ECB, related principally to the achievement of the targets established in the Business Plan and the management of the Non-Performing Exposures (NPE).

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[20] *Regulation (EU) 1024 of 15 October 2013 assigned specific tasks to the European Central Bank (ECB) regarding the prudential supervision of banks in cooperation with the national Supervisory Authorities of the participating countries, within the Single Supervisory Mechanism (SSM). The ECB accepted the tasks assigned by this Regulation on 4 November 2014; they are performed with assistance from the Bank of Italy, in the manner envisaged in Regulation (EU) 468/2014 of 16 April 2014. The ECB works closely with the various European Authorities including the European Banking Authority (EBA), as it has to perform its functions in compliance with EBA regulations.*

More specifically, the ECB invited BPER Banca to consider the supervisory expectations announced by the regulator on 11 July 2018 in relation to exposures classified as Non-Performing Exposures (NPEs), aimed at ensuring constant progress in reducing pre-existing risks in the euro area and achieving the same level of coverage for the stocks and flows of NPLs over a medium-term horizon. The ECB then announced that it would interact with each bank to define supervisory expectations on an individual basis, taking into account the main financial characteristics of individual banks and a benchmark of comparable banks. In this context, the ECB made a recommendation to BPER to implement a gradual adjustment of the coverage for the stock of non-performing loans outstanding at 31 March 2018 until full coverage is achieved 1) by 2025 for the guaranteed NPEs with an age of more than 7 years and 2) by the end by 2024 for unsecured NPEs with an age of more than 2 years. Non-performing loans classified as such from 1 April 2018 onwards are treated in the Addendum to the ECB Guidelines on NPEs.
BPER Banca operates continuously, defining and implementing the appropriate measures to comply with the Authority's requests within the prescribed deadlines.

3.4 Contributions to the Single Resolution Fund and the Deposit Guarantee Fund and developments in the Interbank Deposit Protection Fund: Voluntary scheme and Solidarity Fund

Once again in 2018, the BPER Banca Group contributed to the mechanisms to safeguard the soundness of the banking system, established in 2015 at European and Italian level, as follows:

- Single Resolution Fund (SRF): 2018 ordinary contributions paid for a total amount of Euro 20.3 million (Euro 16.8 million for the Parent Company), exercising the right to pay 15% of the total amount in the form of collateralisable Irrevocabile Payment Commitments (IPC); to these, an additional contribution was added for 2016, levied solely on the Italian banks by the National Resolution Fund, which involved the BPER Banca Group for Euro 8.6 million (Euro 7.4 million for BPER Banca)[21].
- Deposit Guarantee Scheme (DGS): ordinary contributions for 2018 totalling Euro 23.4 million (Euro 16.8 million from the Parent Company);
- Interbank Deposit Protection Fund (IDPF) – scheme of intervention on a voluntary basis: the voluntary intervention mechanism set up under the IDPF required member banks to contribute to the subordinated loan subscribed by the SV in Banca Carige; the contribution requested of the Group amounted to Euro 13.9 million (of which Euro 10.1 million from the Parent Company). The intervention was classified as a debt security under *"Financial assets mandatorily measured at fair value"*; at 31 December 2018, it was valued on the basis of an appraisal prepared by an independent advisor appointed by the IDPF, which resulted in a reduction of just over 4% with a negative impact on the income statement of Euro 0.6 million.
- Solidarity Fund established by the 2016 Stability Law: The Fund, set up to provide protection to small investors who held subordinated securities issued by the 4 banks put up for resolution on 22 November 2015, did not reveal the need to make any adjustments at 31 December 2018.

[21] *Please note that Law 208/2015 ("Stability Law") authorised the Bank of Italy to request additional contributions, up to triple the amount of the ordinary contributions paid, as envisaged in arts. 70 and 71 of Regulation (EU) 806/2014, if the endowment of the National Resolution Fund is insufficient to support the required action. Solely with regard to 2016, the Stability Law established the need to make two additional contributions, which had already been requested by the end of 2016.*
Decree Law 15 dated 23 December 2016, as enacted on 17 February 2017, also established that the Bank of Italy can determine the amount of additional contributions within two years of the period to which they relate and can require payment of additional quotas to be made over a time period not exceeding five years.

3.5 Other significant events

Shareholders' Meeting of the Parent Company:

- *Corporate bodies: new appointments*

The Shareholders' Meeting held on 14 April 2018 appointed the Board of Directors and the Board of Statutory Auditors for the three-year period 2018-2020.

The following directors were appointed pursuant to art. 19 of the Articles of Association: Alessandro Vandelli, Riccardo Barbieri, Massimo Belcredi (independent), Mara Bernardini (independent), Luciano Filippo Camagni (independent), Giuseppe Capponcelli (independent), Pietro Ferrari, Elisabetta Gualandri (independent), Ornella Rita Lucia Moro (independent), Mario Noera (independent), Rossella Schiavini (independent), Valeria Venturelli (independent) – drawn from list no. 1 – and Roberta Marracino (independent), Alessandro Robin Foti (independent), Marisa Pappalardo (independent) – drawn from List no. 2 – the Junior Minority List.

The following Statutory Auditors were appointed pursuant to art. 33 of the Articles of Association: (i) as Serving Statutory Auditors: Antonio Mele, Diana Rizzo, Francesca Sandrolini, Vincenzo Tardini - drawn from List no. 2 – and Giacomo Ramenghi, Chairman - drawn from List no. 1; (ii) as Alternate Statutory Auditors: Cristina Calandra Buonaura - drawn from List no. 2 – and Paolo De Mitri - drawn from List no. 1. At the meeting held on 17 April 2018, the Board of Directors appointed Pietro Ferrari as Chairman, Giuseppe Capponcelli as Deputy Chairman and Alessandro Vandelli as Chief Executive Officer, confirming him in this role.

The same meeting established the following Board Committees:

- Executive Committee: Rossella Schiavini (Chairman), Alessandro Vandelli, Riccardo Barbieri, Luciano Filippo Camagni and Mario Noera;
- Control and Risks Committee: Elisabetta Gualandri (Chairman), Alessandro Robin Foti, Ornella Rita Lucia Moro and Valeria Venturelli;
- Nominations Committee: Massimo Belcredi (Chairman), Mara Bernardini and Roberta Marracino;
- Remuneration Committee: Mara Bernardini (Chairman), Elisabetta Gualandri and Roberta Marracino;
- Independent Directors Committee: Valeria Venturelli (Chairman), Elisabetta Gualandri and Marisa Pappalardo.

- *Resignation of the Chairman of the Board of Statutory Auditors*

On 8 May 2018 Giacomo Ramenghi notified the Company of his resignation as the Chairman of the Board of Statutory Auditors, solely and exclusive for personal reasons. Pursuant to art. 34, para. 1, of the Articles of Association, he was replaced by Paolo De Mitri, born in Milan on 14 October 1963, who was the Alternate Auditor elected from the list from which the outgoing Chairman was taken.

- *Resignation of an Acting Auditor*

On 22 November 2018 Antonio Mele announced his resignation as Acting Statutory Auditor of the Company, because of his appointment as Chairman of the Board of Statutory Auditors at another bank, as well as other professional commitments.

Pursuant to art. 34, para. 2, of the Articles of Association, he was replaced by Cristina Calandra Buonaura, born in Reggio Emilia on 24 July 1971, who was the Alternate Auditor elected from the list from which the outgoing Statutory Auditor was taken.

4. Summary of activities and strategic direction of the BPER Banca Group

4.1 Introduction

The consolidated non-financial statements ("consolidated NFS") of the BPER Banca Group, prepared pursuant to Legislative Decree 254/16, constitutes a separate report (Sustainability Report) with respect to this Report on Operations, as provided for in art. 5, paragraph 3, letter *b)* of Legislative Decree 254/16, and is available on the website istituzionale.bper.it.
Furthermore, it should be noted that for the disclosure dedicated to "Human resources" and "Corporate Social and Environmental Responsibility", please refer to the contents of the Sustainability Report (consolidated NFS).

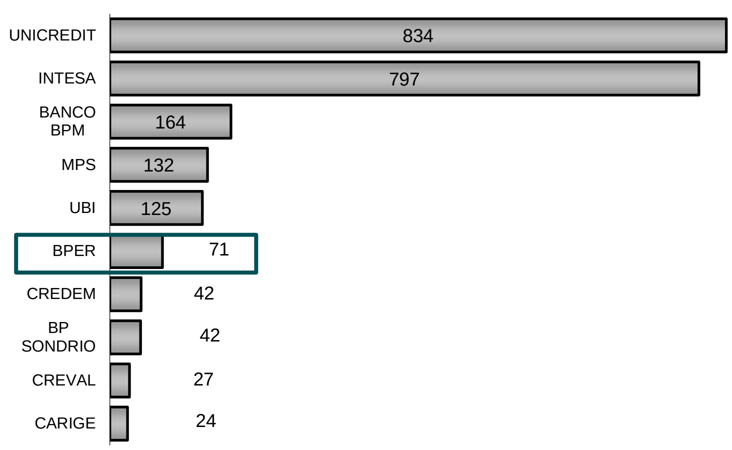
4.2 Market positioning

The BPER Banca Group operates mainly in the traditional banking sector, i.e. loans and deposits and providing credit to customers, who are mainly represented by households and small and medium-sized businesses through the parent company BPER Banca, which operates throughout the country, except in Piedmont and Sardinia: the former is served by Cassa di Risparmio di Bra s.p.a. and by Cassa di Risparmio di Saluzzo s.p.a.; the latter is served by Banco di Sardegna s.p.a.
Through a network of product companies, the Group offers its customers a wide range of services in Corporate and Investment Banking, Wealth Management and Insurance, Leasing, Factoring and Consumer Credit.
At 31 December 2018, the Group's network consists of 1,218 branches located in 18 Italian regions, as well as a branch office in the Grand Duchy of Luxembourg, with a domestic market share, updated to 30 September 2018, of 4.66%[22].

On the Italian banking scene, the BPER Banca Group ranks sixth by total assets and loans.

Positioning with respect to competitors

Figures at 30 September 2018 (total assets in Euro/bn)



Source: Accounts of banking groups, reference date: 30.09.2018

[22] *Source: Planus Corp. analysis of Regulatory Reports.*

Within the domestic banking system, the Group's market share[23] of loans to customers, excluding bad loans, was 2.63% at 31 October 2018, up from 2.60% of the same period in 2017 due, in part, to the absorption of Nuova Carife by BPER Banca. The market share of loans to family businesses has also risen (4.20% in October 2018 compared with 3.97% in October 2017), as has the share of loans to households (2.46% compared with 2.35%); the market share of loans to medium-large companies was stable (3.29%).
Market share of deposits as of October 2018 was up on the same period in 2017 (2.59% versus 2.43%). The increase is distributed across all categories of customers: the amounts relating to deposits from family businesses and households increased respectively from 5.23% to 5.45% and from 2.13% to 2.20% in October 2018. The share relating to companies also increased from 3.73% in October 2017 to 3.98% in October 2018. The Group has also achieved good results in the asset management sector over the past year. In fact, the national market share of assets under management[24] increased from 0.88% in October 2017 to 0.97% in October 2018.

4.3 Relations with customers

Breakdown of the customer base

The BPER Banca Group, with its federal structure, brings together four territorial banks for a total of 1,218 branches that cover almost all Italian regions with a vocation for serving families and small and medium-sized enterprises.
Distribution of the Bank's customers by age is in line with previous years and with the average for the traditional banking system. The majority of customers are of a certain age: more than a quarter of them are over 65, while about 18% are under 35. The breakdown of customers by gender is more or less 50/50.
On average, most customers have been with the Group Banks for a long time and have a very strong relationship with them. In particular, 37% of customers have been with Bank for more than twenty years, a figure that rises to 62.7% if we also include those who have been with us for more than ten years.

For more information on customer relations, please refer to the "consolidated non-financial statement".[25]

4.4 Lending policies

Given the scenario expected in 2018, the BPER Banca Group has established its Lending Policy in line with all its budget planning processes, identifying a target scenario of re-composition of the loan portfolio, helping to optimise it in terms of risk/return.
The drivers adopted in establishing the guidelines were:

- expansion of Target sectors;
- broader focus on Segments and Rating classes;
- development of loans in geographical areas featuring lower risk and greater potential.

[23] *Source: Planus Corp. analysis of Regulatory Reports*
[24] *Source: Assogestioni*
[25] *The consolidated non-financial statement of the BPER Banca Group at 31 December 2018 has been prepared pursuant to Legislative Decree 145 of 30 December 2018 "Budget for the 2019 financial year and multi-year budget for the 2019-2021 period", which changed article 3, para.1 letter c) of Legislative Decree 254 of 30 December 2016.*

All this with a view to consistency with current legislation which is always in flux; also with a view to growth and support for the territory, while always maintaining a healthy and prudent style of management.
To this end and in view of the objectives set, monitoring the Group's lending policy was developed and implemented during the year.
Consequently, specific instructions have also been provided on lending activity to the Group's product companies, having regard for the intrinsic characteristics of the products distributed (leasing, factoring, personal loans and lending-against-salary) and their lower risk profile compared with similar banking transactions.
The Group has participated in the initiatives promoted by ABI, which have been extended to 31 July 2018. They are in favour of Individuals and SMEs up to 31 December 2018 ("Suspension of loan repayments by households" and "2015 Lending agreement – Companies in the recovery phase"). In addition, the Group also continues to support other measures that help Individuals such as the "Mortgages Solidarity Fund", the "First Home Guarantee Fund" and the initiatives established by law suspending loan payments in areas hit by natural calamities aimed at all customers.
During 2018, precise monitoring of the loan portfolio (in terms of risk, return and related trends) and the macroeconomic context of reference was therefore carried out. The guidelines for the 2019 lending policy will therefore be defined on the basis of this context (as described in the chapter entitled "Background") .

4.5 IT research, development and innovation

Given the banking nature of the BPER Banca Group, Research, Development and Innovation activities are mainly aimed at studying the potential application of technological innovations in relations with customers, to improve and expand the offer of products and services, also in internal processes, to simplify them and make them more efficient.

The Group's IT function is handled by the consortium BPER Services s.cons.p.a., which is responsible for:

- the study, design, development, supply, management, maintenance and enhancement of IT and related systems and applications, as well as for the provision of data processing and transmission services;
- the provision of back office services, including accounting, administration and operational support, as well as the management of purchasing and shipments of all kinds, the handling of correspondence, valuables and accounting materials, the processing, management and storage of data, and the management of archives and stores.

Also belonging to the Group is a company named Numera s.p.a. (based in Sardinia and fully held by Banco di Sardegna), which is involved in e-money and electronic document management and which provides services within and outside the Group.

The principal project work carried out by the Systems Division of BPER Services during the year refer to:

- VBM – Value Based Management. Building on the components already defined, the objective of this project is to evolve and implement the Control Model for the BPER Banca Group in line with the principal characteristics of the Group's business model in order to provide operational support for the Business Model Analysis and, at the same time, ensure consistency with the Supervisory instructions. The objective relates to the definition of a new overall framework of the BPER Banca Group's control model. From a medium-term perspective, the intention is to gradually move towards a complete revamp of the data feeds to the management control system, replacing the direct flows from the legacy systems with new ones originating from the company's data warehouse.

- New BPER and institutional websites. Work has commenced on new institutional websites in order to improve the communications and brand positioning of the BPER Banca Group, adopting new technologies that facilitate implementation and use of the service (cloud based). At the same time, new features were introduced that favour the acquisition of new prospective customers. The new sites are the access point for the online sale of products (Smarty, loans, cards). They become the heart of the Bank's digital activities and are designed act as a "driver" to add visibility to other projects, also from an omnichannel point of view.
- Sardaleasing. Consistent with the adoption plan for the Basel II models, the processes used by Sardaleasing for the granting and management of credit and the assignment of risk measures have been integrated with the BPER Banca Group IT system.
- PSD2 and TPP. The European Payment Services Directive on digital payments (PSD2) introduces some important changes in terms of processes and methods of communication between banks and end users, both directly and through third-party providers (TPP) with a consequent increase in management and technological complexity. These technological requirements are addressed by the document entitled "Final draft of the Regulatory Technical Standards (RTS) on Strong Customer Authentication (SCA) and Common and Secure Communication (CSC)". The provisions of the RTS are expected to be activated by the end of September 2019.
- Data Governance. The purpose of this project is to implement the regulatory requirements on "data governance" (11th update of Bank of Italy Circular 285/13), while also supporting operational and business needs regarding the availability and quality of business data. The project envisages a component that addresses regulatory requirements (of strong organisational characterisation: processes, roles, responsibilities within the governance of corporate data are defined according to the indications of the regulator) and a component that addresses the need for availability and quality of data (strong IT characterisation: the New Data Warehouse - NDW is designed and built) as a single and certified source of company data, destined in future years to feed the regulatory, management and business processes of the Banking Group.
- Digital Transformation. Work continues on the digital transformation of the direct channels used by the Group (Internet banking, Mobile Banking, Contact Centre) via the implementation of support functions for product management activities.
- "E-money Big Data" Platform. The purpose of this project is to make the data generated by "e-money" products (revolving and full repayment credit cards, debit cards, prepaid cards, POS, Western Union and INPS vouchers) available in the data warehouse.
- MiFID II. As part of the adaptation to the MiFID II Directive (Directive 2014/65/EU) on the investor protection model and on the operational consulting processes, interventions were carried out on the Pico application to implement the new rules for the assessment of adequacy.
- Consumer Finance: Lending-against-salary and personal loans. In order to improve administrative efficiency, the new OCS platform for the sale and after-sales support of loans against salary has been activated, following migration from the previous application. This activity is currently managed by a network of external agents. At the same time, the loans granted were transferred to Banca di Sassari from the other Group banks. After-sales support of personal loans has also been implemented on the OCS platform.
- Non-Performing Exposures (NPE). As part of work to implement the ECB guidelines on the control of non-performing loans, certain Supervisory recommendations have been adopted and

changes have been made to the processes of granting and managing loans in support of the NPE plan.

- Disposal of mortgage loan portfolios. In support of the Group's Liquidity Plan, procedural changes have been made regarding the selection and management of the loan portfolios eligible for securitisations and the issue of covered bonds.
- GDPR. The new General Data Protection Regulation (GDPR) has requested interventions in the area of IT Security.

Certain design activities have involved various departments of Bper Services across the board. The main ones are:

- DEA - Digitalisation of cheques. The legislation on the payment of cheques in electronic form envisages their digitalisation on receipt by the branch and the exchange between banks of data and images, rather than the physical exchange of paper in the clearing room. In this context, the project completed by management has revised the cheque negotiation process at branch level, making it more efficient, and completely renewed cheque management procedures.
- IT alignment of CR Saluzzo. At the end of October 2018, the IT alignment activities of the subsidiary CR Saluzzo s.p.a. had been completed.

The BPER Banca Group was audited by ECB inspectors in 2018; their work addressed Operational IT Risk. Important areas addressed included the various aspects of IT and logical security. A large volume of documents was produced and reorganised in support of all this audit work, including responses to detailed requests for information about processes, current projects and the activities of the ICT Security Office, in part via in-depth interviews.

4.6 Real estate sector

The real estate sector within the Group is managed by Nadia s.p.a., a wholly-owned subsidiary of BPER Banca based in Modena, and by Tholos s.p.a., a wholly-owned subsidiary of Banco di Sardegna based in Sardinia. The real estate assets of the BPER Banca Group are managed and developed by the competent organisations within the legal entities and coordinated by the Real Estate Department of the Parent Company. At 31 December 2018, the total carrying amount of the real estate owned by the Group totals Euro 933.6 million (of which Euro 285.2 million relating to "land", including Euro 9.6 million of property held for sale) and Euro 648.4 million of "buildings". The principal income statement captions involved:

- Ordinary maintenance (expenses);
- work that adds value to properties (capital expenditure).

Ordinary maintenance work is principally dedicated to:

- implementing safety measures for properties whose defects or deterioration could cause injury to persons and/or possessions;
- guaranteeing reasonable usability;
- rendering properties that currently do not generate income capable of being leased or sold.

Significant work to increase the value of property in Italy (capital expenditure) has included:

- renovations with the introduction of a new branch concept at the Matera, Sassuolo (Modena) Bologna and Avezzano no.1, main branches;
- replacement of air conditioning systems in various branches where the installations had operating and/or obsolescence problems;
- Savignano sul Panaro (Modena): total renovation of the property, with the restructuring of 3 locals and renewal of the roofing;

- L'Aquila (head office): the building was hit by an earthquake in 2009 and, following the receipt of government grants for reconstruction (obtained on 26 October 2015), reconstruction work started on the property on 30 March 2016 and has been completed at the end of 2018;
- Cavezzo (Modena): the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained in January 2017), reconstruction work started on the property in December 2016 that is expected to be completed by the end of 2019 with transfer of the branch;
- Concordia (Modena): the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained on 20 October 2015), reconstruction work started on the property in October 2016 and has been completed at the end of 2018.

During 2018, Nadia S.p.a. continued significant repurposing and restructuring work to improve its real estate assets and make them available for sale/rent. Key elements included work in Modena at Centro Emilia Est, including the repurposing of the former Hotel Real Fini, and work related to the transfer of Optima, work for the Forum Monzani, for Corso Canalgrande, as well as elsewhere in the province: Finale Emilia, Concordia, Limidi di Soliera, Pavullo nel Frignano, Mirandola and Medolla. In addition to managing real estate maintenance, Nadia s.p.a. is also responsible for leasing properties to the Group and to third parties.
Following the entry into force of the recent Regional Law 24/2017 "Regional regulations for the protection and use of the territory", and subsequent resolutions adopted by the Modena Municipal Council, Nadia unfortunately had to drastically scale back expectations for certain projects relating to a major parcel of land owned in Modena, resulting in a prudent impairment writedown of Euro 7.5 million.
The Real Estate Department within the Parent Company arranged new lease contracts on behalf of BPER Banca and Nadia s.p.a., generating annual income of Euro 734 thousand, of which from third parties Euro 489 thousand.
It also completed 27 sales on behalf of the Parent Company and Nadia s.p.a. for a total of Euro 2.8 million, giving rise to a capital gain of Euro 143 thousand.
In addition, following the absorption of Nuova Carife by BPER Banca (completed in 2017) and Carife Servizi Evolutivi Integrati s.r.l. by Nadia s.p.a. (in the current year), certain properties were subjected to due diligence work designed to check compliance with the building-planning regulations and the adequacy of their installations.

The carrying amount of the real estate assets of Tholos, a subsidiary of Banco di Sardegna, is Euro 72.6 million. The company is continuing to take all possible steps to enhance the value of its real estate assets, via their sale or rental. At the same time, the technical and administrative management of leased properties continues, in order to safeguard and increase the returns generated.

5. Scope of consolidation of the BPER Banca Group

5.1 Composition of the Group as at 31 December 2018

The BPER Banca Group has been registered since 7 August 1992 with code no. 5387.6 in the Register of Banking Groups referred to in art. 64 of Legislative Decree 385 of 1 September 1993.
The following is a list of the banks and companies included in the scope of consolidation at 31 December 2018, distinguishing between banks and companies consolidated line-by-line and banks and companies, whether or not belonging to the Group, measured using the equity method.
The BPER Banca Group has decided to align the consolidation methodology used for accounting purposes with that required for prudential reporting purposes. This is discussed further in Part A of these Explanatory Notes.
Details are also provided of the percentage held by the Group[26], with further specific information provided, where necessary, by means of footnotes.

a) Group companies consolidated on a line-by-line basis:

1) BPER Banca S.p.A., based in Modena (Parent Company);
2) BPER Bank Luxembourg s.a., based in the Grand Duchy of Luxembourg (100%);
3) Banco di Sardegna s.p.a., based in Cagliari, which is held as follows: 51% of ordinary shares, 60.724% of preference shares and 48.809% of savings shares (without voting rights, listed on the Italian Stock Exchange), representing 50.940% of total capital;
4) Banca di Sassari s.p.a., based in Sassari (99.029%)[27];
5) Cassa di Risparmio di Bra s.p.a., based in Bra (Cuneo) (84.286%);
6) Cassa di Risparmio di Saluzzo s.p.a., based in Saluzzo (Cuneo) (100%);
7) Nadia s.p.a., based in Modena, property company (100%);
8) Modena Terminal s.r.l., based in Campogalliano (Modena), the activities of which are the storage of goods, the storage and ageing of cheeses and the cold storage of meat and perishable products (100%);
9) BPER Services s.cons.p.a., based in Modena, IT services consortium (100%)[28];
10) Emilia Romagna Factor s.p.a, based in Bologna, a factoring company (95.954%);
11) Optima s.p.a. SIM, based in Modena, investment broker (100%);
12) Sardaleasing s.p.a., based in Sassari, leasing company (99.674%)[29];
13) Numera s.p.a., based in Sassari, IT company and subsidiary of Banco di Sardegna s.p.a. which holds 100% of share capital;
14) Tholos s.p.a., based in Sassari, property company and subsidiary of Banco di Sardegna s.p.a. which holds 100% of share capital;
15) BPER Credit Management s.cons.p.a., based in Modena, a consortium for the recovery and management of non-performing loans (100%)[30];

[26] *unless otherwise specified, the percentage shown refers to the Parent Company.*
[27] *held by: the Parent Company (78.507%) and Banco di Sardegna s.p.a. (20.522%).*
[28] *held by: the Parent Company (92.838%), Banco di Sardegna s.p.a. (4.762%), Banca di Sassari s.p.a. (0.400%), Optima s.p.a. SIM (0.400%), Sardaleasing s.p.a. (0.400%), Cassa di Risparmio di Bra s.p.a. (0.400%), BPER Credit Management s.cons.p.a. (0.400%) and Cassa di Risparmio di Saluzzo s.p.a. (0.400%).*
[29] *held by: the Parent Company (52.741%) and Banco di Sardegna s.p.a. (46.933%).*
[30] *held by: the Parent Company (67.000%), Banco di Sardegna s.p.a. (20.000%), Sardaleasing s.p.a. (6.000%), Banca di Sassari s.p.a. (3.000%), Cassa di Risparmio di Bra s.p.a. (2.000%), Emilia Romagna Factor s.p.a. (1.000%) and Cassa di Risparmio di Saluzzo s.p.a. (1.000%).*

b) Other subsidiaries measured using the equity method[31]*:*

1) Mutina s.r.l., based in Modena, used as a vehicle for the securitisation of receivables (100%);
2) Estense Covered Bond s.r.l. based in Conegliano (Treviso), a vehicle for the issue of Guaranteed Bank Bonds under art. 7 *bis* of Law 130/99 (60%);
3) BPER Trust Company s.p.a., based in Modena, with the role of trustee for trusts established by customers, as well as providing advice on trust matters (100%);
4) Estense CPT Covered Bond s.r.l., based in Conegliano (Treviso), a vehicle for the issue of Guaranteed Bank Bonds under art. 7 *bis* of Law 130/99 (60%).

In addition to the above companies that belong to the Banking Group, the following direct and indirect subsidiaries are including in this grouping at 31 December 2018, even though they are not members of the Banking Group since they do not contribute to its banking activities[32]:

- Italiana Valorizzazioni Immobiliari s.r.l. (100%);
- Adras s.p.a. (100%);
- Costruire Mulino s.r.l., a wholly-owned subsidiary of Italiana Valorizzazioni Immobiliari s.r.l;
- Frara s.r.l. (formerly Sviluppo Formica s.r.l.), a wholly-owned subsidiary of Italiana Valorizzazioni Immobiliari s.r.l.[33];
- SIFA'- Società Italiana Flotte Aziendali s.p.a. (51%);
- Banca Farnese s.p.a. in liquidation (65.127%).

c) Companies measured using the equity method

1) Cassa di Risparmio di Fossano s.p.a., based in Fossano (Cuneo) (23.077%);
2) Cassa di Risparmio di Savigliano s.p.a., based in Savigliano (Cuneo) (31.006%);
3) Alba Leasing s.p.a., based in Milan (33.498%);
4) CO.BA.PO. - Consorzio Banche Popolari s.con., based in Bologna (23.587%);
5) Sofipo s.a. in liquidation, based in Lugano, held by BPER Bank Luxembourg SA. which holds 30% of share capital;
6) CONFORM - Consulenza Formazione e Management s.c.a.r.l., based in Avellino (49.410%)[34];
7) CAT Progetto Impresa Modena s.c.r.l., based in Modena (20%);
8) Resiban s.p.a., based in Modena (20%);
9) Unione Fiduciaria s.p.a., based in Milan (24%);
10) Atriké s.p.a., based in Modena (45%);
11) Sarda Factoring s.p.a., based in Cagliari (21.484%)[35];
12) Emil-Ro Service s.r.l., based in Bologna (25%)[36];
13) Lanciano Fiera - Polo fieristico d'Abruzzo - consortium based in Lanciano (25%);
14) Arca Holding s.p.a., based in Milan (32.752%);
15) Immobiliare Oasi nel Parco s.r.l., based in Milan (36.80%).

[31] *following alignment of the scope of consolidation for accounting purposes with that used for regulatory purposes.*
[32] *following alignment of the scope of consolidation for accounting purposes with that used for regulatory purposes.*
[33] *company that during 2018 had not yet started operating and is still dormant.*
[34] *held by: the Parent Company (46.430%) and Banco di Sardegna s.p.a. (2.980%).*
[35] *held by: Banco di Sardegna s.p.a. (13.401%) and the Parent Company (8.083%).*
[36] *held by: the Parent Company (16.667%) and Emilia Romagna Factor s.p.a. (8.333%).*

6. The BPER Banca Group's results of operations

6.1 Balance sheet aggregates

The more important consolidated balance sheet aggregates and captions at 31 December 2018 are presented below on a comparative basis with 31 December 2017, in thousands of Euro, indicating the changes between periods in absolute and percentage terms.

The data reported at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update to Bank of Italy Circular 262, in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or for total liabilities and shareholders' equity.

For additional clarity in presenting the results for the period, the formats envisaged in the 5th update to Bank of Italy Circular 262/2005 are presented below on a reclassified basis. In particular:

- debt securities measured at amortised cost (caption 40 *"Financial assets measured at amortised cost"*) have been reclassified to caption *"Financial assets"*;
- "Other assets" include captions 110 "*Tax assets*", 120 "*Non-current assets and disposal groups classified as held for sale*" and 130 "*Other assets*";
- *"Other liabilities"* include captions 60 "*Tax liabilities*", 80 "*Other liabilities*", *90 "Employee termination indemnities"* and 100 *"Provisions for risks and charges".*

Assets

(in thousands of Euro)

Assets	31.12.2018	31.12.2017	Change	% Change
Cash and cash equivalents	459,782	420,299	39,483	9.39
Financial assets	17,152,084	15,661,977	1,490,107	9.51
a) Financial assets held for trading	247,219	414,294	(167,075)	-40.33
b) Financial assets designated at fair value	218,662	223,192	(4,530)	-2.03
c) Other financial assets mandatorily measured at fair value through profit or loss	662,744	689,115	(26,371)	-3.83
d) Financial assets measured at fair value through other comprehensive income	8,560,568	13,395,435	(4,834,867)	-36.09
e) Debt securities measured at amortised cost	7,462,891	939,941	6,522,950	693.97
- banks	1,766,169	193,334	1,572,835	813.53
- customers	5,696,722	746,607	4,950,115	663.01
Loans	48,594,875	50,624,967	(2,030,092)	-4.01
a) Loans to banks	1,540,509	3,012,515	(1,472,006)	-48.86
b) Loans to customers	47,050,942	47,609,130	(558,188)	-1.17
c) Financial assets measured at fair value through other comprehensive income	3,424	3,322	102	3.07
Hedging derivatives	35,564	54,061	(18,497)	-34.22
Equity investments	446,049	454,367	(8,318)	-1.83
Property, plant and equipment	1,063,273	1,063,483	(210)	-0.02
Intangible assets	445,689	506,627	(60,938)	-12.03
- of which: goodwill	264,740	327,084	(62,344)	-19.06
Other assets	2,437,451	2,553,026	(115,575)	-4.53
Total assets	**70,634,767**	**71,338,807**	**(704,040)**	**-0.99**

Loans to customers

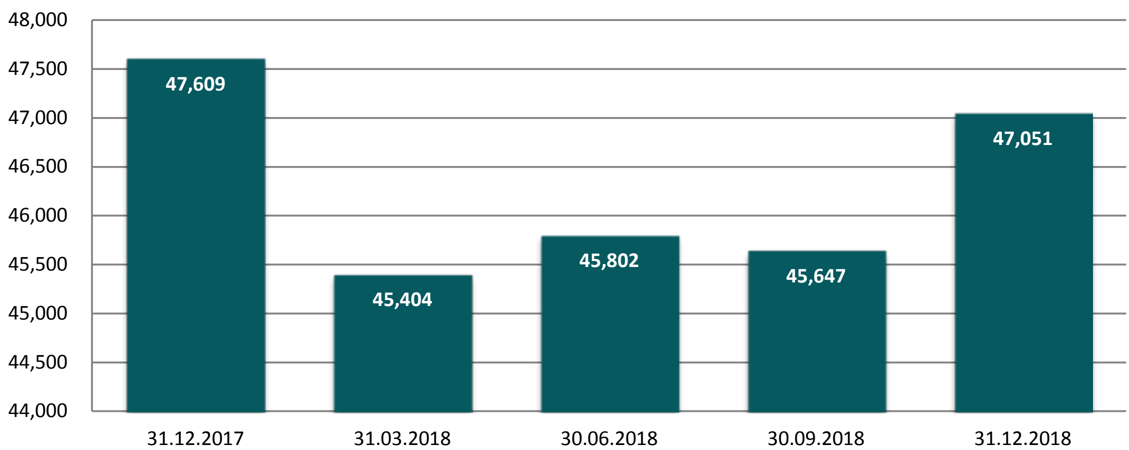
Net loans to customer comprise solely the loan component allocated to balance sheet caption 40 b) "Financial assets measured at amortised cost – loans to customers". The prior year balances have therefore been restated with respect to the information published in the consolidated financial statements at 31 December 2017.

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Current accounts	4,690,606	5,151,220	(460,614)	-8.94
Mortgage loans	28,373,757	28,783,725	(409,968)	-1.42
Repurchase Agreement	202,778	-	202,778	n.s.
Leases and factoring	3,666,579	3,622,836	43,743	1.21
Other transactions	10,117,222	10,051,349	65,873	0.66
Net loans to customers	**47,050,942**	**47,609,130**	**(558,188)**	**-1.17**

Loans to customers, net of adjustments, total Euro 47,050.9 million (Euro 47,609.1 million at 31 December 2017) down by Euro 558.2 million since 31 December 2017. This was principally due to the securitisation by Banco di Sardegna of a portfolio of bad loans with a gross value of about Euro 900 million ("4Mori" operation), and by BPER Banca, Cassa di Risparmio di Saluzzo and Cassa di Risparmio di Bra with a gross value of Euro 1.9 billion ("Aqui" operation).
In order to accelerate the process of improving asset quality and consistent with the 2018-2022 NPE Plan and 2018-2020 NPE strategy, the BPER Banca Group selected a portfolio of potentially saleable non-performing loans with a gross value of about Euro 6.4 billion, whose net carrying amount was then quantified with reference to the amount deemed realisable in a sale scenario, as envisaged in IFRS 9. This process resulted in the recognition of provisions totalling Euro 1.1 billion by the BPER Banca Group, arising on transition to the new standard.

Net loans to customers in millions



(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	%Change
Gross non-performing exposures	**7,045,555**	**10,530,726**	**(3,485,171)**	**-33.10**
Bad loans	4,338,160	7,109,135	(2,770,975)	-38.98
Unlikely to pay loans	2,638,374	3,317,327	(678,953)	-20.47
Past due loans	69,021	104,264	(35,243)	-33.80
Gross performing exposures	**44,011,304**	**42,432,925**	**1,578,379**	**3.72**
Total gross exposure	**51,056,859**	**52,963,651**	**(1,906,792)**	**-3.60**
Impairment provisions for non-performing exposures	**3,841,000**	**5,128,962**	**(1,287,962)**	**-25.11**
Bad loans	2,889,903	4,215,945	(1,326,042)	-31.45
Unlikely to pay loans	942,585	901,967	40,618	4.50
Past due loans	8,512	11,050	(2,538)	-22.97
Impairment provisions for performing exposures	**164,917**	**225,559**	**(60,642)**	**-26.89**
Total impairment provisions	**4,005,917**	**5,354,521**	**(1,348,604)**	**-25.19**
Net non-performing exposures	**3,204,555**	**5,401,764**	**(2,197,209)**	**-40.68**
Bad loans	1,448,257	2,893,190	(1,444,933)	-49.94
Unlikely to pay loans	1,695,789	2,415,360	(719,571)	-29.79
Past due loans	60,509	93,214	(32,705)	-35.09
Net performing exposures	**43,846,387**	**42,207,366**	**1,639,021**	**3.88**
Total net exposure	**47,050,942**	**47,609,130**	**(558,188)**	**-1.17**

The 2018-2020 NPE Strategy of the BPER Banca Group and the application of IFRS 9 determined a significant increase in non-performing loans to customers coverage.
Against the significant reduction in gross exposure resulting from the sales and write-offs made during the year, the provisions for non-performing loans amount to Euro 3,841 million (Euro 5,129 million at 31 December 2017; -25.11%), for a coverage ratio of 54.52% (48.70% at 31 December 2017), while provisions relating to performing loans amounted to Euro 164.9 million (Euro 225.6 million at 31 December 2017; -26.89%), leading to a coverage ratio of 0.37% (0.53% at 31 December 2017), which reflects the general improvement in credit quality of the Group's performing loan portfolio.
Considering the direct write-offs of bad loans still outstanding, Euro 727.4 million (Euro 858.6 million at 31 December 2017), the coverage ratio increases to 58.77% (52.57% at 31 December 2017).

The total coverage ratio is therefore 7.85%, versus 10.11% at 31 December 2017. Based on the same considerations set out above concerning direct writedowns, the total effective coverage of loans comes to 9.14% (11.54% at 31 December 2017).

(in thousands of Euro)

Loans to customers	31.12.2018		31.12.2017		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	39,677,286	36,673,479	41,114,761	37,240,484	-3.50	-1.52	7.57
2. BPER Bank Luxembourg s.a.	236,743	229,163	233,924	229,645	1.21	-0.21	3.20
3. Banca di Sassari s.p.a.	930,338	919,329	511,126	501,225	82.02	83.42	1.18
4. Banco di Sardegna s.p.a.	7,772,814	7,231,641	8,765,404	7,736,344	-11.32	-6.52	6.96
5. Cassa di Risparmio di Bra s.p.a.	1,183,697	1,060,168	1,210,569	1,060,433	-2.22	-0.02	10.44
6. Cassa di Risparmio di Saluzzo s.p.a.	636,243	597,273	726,154	652,979	-12.38	-8.53	6.13
Total banks	**50,437,121**	**46,711,053**	**52,561,938**	**47,421,110**	**-4.04**	**-1.50**	**7.39**
7. Sardaleasing s.p.a.	3,377,874	3,116,700	3,312,943	3,119,313	1.96	-0.08	7.73
8. Emil-Ro Factor s.p.a.	877,339	858,664	807,534	787,471	8.64	9.04	2.13
Other companies and consolidation adjustments	(3,635,475)	(3,635,475)	(3,718,764)	(3,718,764)	-2.24	-2.24	-
Total of balance sheet	**51,056,859**	**47,050,942**	**52,963,651**	**47,609,130**	**-3.60**	**-1.17**	**7.85**

Net non-performing loans amount to Euro 3,204.6 million (-40.68%), equating to 6.81% of total net loans to customers (11.35% at 31 December 2017), whereas, on a gross basis, the ratio of non-performing loans to loans to customers equates to 13.80% (19.88% at 31 December 2017).
More specifically, net bad loans amount to Euro 1,448.3 million (-49.94%), net unlikely to pay loans total Euro 1,695.8 million (-29.79%) and net past due loans amount total Euro 60.5 million (-35.09%).
The coverage ratio, which benefited from the different measurement method introduced by IFRS 9 already described above, has increased significantly to 54.52% from 48.70% at the end of 2017, up by about 582 b.p.

(in thousands of Euro)

Non-performing loans	31.12.2018		31.12.2017		% Gross change	% Net change	% Coverage ratio
	Gross	Net	Gross	Net			
1. BPER Banca S.p.A.	4,905,782	2,028,553	7,149,278	3,446,806	-31.38	-41.15	58.65
2. BPER Bank Luxembourg s.a.	13,514	6,318	9,567	5,288	41.26	19.48	53.25
3. Banca di Sassari s.p.a.	12,502	6,304	12,020	5,171	4.01	21.91	49.58
4. Banco di Sardegna s.p.a.	1,101,353	578,967	2,151,514	1,147,932	-48.81	-49.56	47.43
5. Cassa di Risparmio di Bra s.p.a.	248,292	127,576	326,820	181,361	-24.03	-29.66	48.62
6. Cassa di Risparmio di Saluzzo s.p.a.	77,388	40,120	129,652	58,765	-40.31	-31.73	48.16
Total banks	**6,358,831**	**2,787,838**	**9,778,851**	**4,845,323**	**-34.97**	**-42.46**	**56.16**
7. Sardaleasing s.p.a.	651,179	398,386	721,392	539,432	-9.73	-26.15	38.82
8. Emil-Ro Factor s.p.a.	35,545	18,331	30,483	17,009	16.61	7.77	48.43
Total of balance sheet	**7,045,555**	**3,204,555**	**10,530,726**	**5,401,764**	**-33.10**	**-40.68**	**54.52**
Direct write-downs of bad loans	727,371	-	858,628	-	-15.29	n.s.	100.00
Adjusted total	**7,772,926**	**3,204,555**	**11,389,354**	**5,401,764**	**-31.75**	**-40.68**	**58.77**
Non-performing loans (Total of balance sheet)/Loans to customers	**13.80%**	**6.81%**	**19.88%**	**11.35%**			

Net bad loans total Euro 1,448.3 million (-49.94%) or 3.08% of total net loans to customers (6.08% at 31 December 2017), while on a gross basis the ratio of bad loans to total loans to customers is 8.50% (13.42% at 31 December 2017).
The coverage of bad loans is 66.62%, up from 59.30% at 31 December 2017.

(in thousands of Euro)

Bad loans	31.12.2018		31.12.2017		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	3,071,119	894,519	4,870,977	1,854,919	-36.95	-51.78	70.87
2. BPER Bank Luxembourg s.a.	5,734	262	5,590	1,574	2.58	-83.35	95.43
3. Banca di Sassari s.p.a.	5,393	1,061	5,824	814	-7.40	30.34	80.33
4. Banco di Sardegna s.p.a.	690,969	314,947	1,586,985	715,954	-56.46	-56.01	54.42
5. Cassa di Risparmio di Bra s.p.a.	148,600	50,368	165,102	54,048	-10.00	-6.81	66.10
6. Cassa di Risparmio di Saluzzo s.p.a.	46,256	14,878	84,314	23,010	-45.14	-35.34	67.84
Total banks	**3,968,071**	**1,276,035**	**6,718,792**	**2,650,319**	**-40.94**	**-51.85**	**67.84**
7. Sardaleasing s.p.a.	343,247	162,016	368,664	234,153	-6.89	-30.81	52.80
8. Emil-Ro Factor s.p.a.	26,842	10,206	21,679	8,718	23.82	17.07	61.98
Total of balance sheet	**4,338,160**	**1,448,257**	**7,109,135**	**2,893,190**	**-38.98**	**-49.94**	**66.62**
Direct write-downs of bad loans	727,371	-	858,628		-15.29	n.s.	100.00
Adjusted total	**5,065,531**	**1,448,257**	**7,967,763**	**2,893,190**	**-36.42**	**-49.94**	**71.41**
Bad loans (Total of balance sheet)/Loans to customers	**8.50%**	**3.08%**	**13.42%**	**6.08%**			

Net unlikely-to-pay loans total Euro 1,695.8 million (-29.79%), representing 3.60% of total net loans to customers (5.07% at 31 December 2017), while on a gross basis the ratio is 5.17% (6.26% at 31 December 2017).
The coverage of unlikely-to-pay loans has increased significantly since the end of 2017 to 35.73%, compared with 27.19% at 31 December 2017.

(in thousands of Euro)

Unlikely to pay loans	31.12.2018		31.12.2017		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	1,807,840	1,111,408	2,245,013	1,562,901	-19.47	-28.89	38.52
2. BPER Bank Luxembourg s.a.	7,780	6,056	3,977	3,714	95.62	63.06	22.16
3. Banca di Sassari s.p.a.	3,986	2,585	4,222	2,651	-5.59	-2.49	35.15
4. Banco di Sardegna s.p.a.	396,181	251,804	549,636	418,946	-27.92	-39.90	36.44
5. Cassa di Risparmio di Bra s.p.a.	97,139	74,947	155,907	122,022	-37.69	-38.58	22.85
6. Cassa di Risparmio di Saluzzo s.p.a.	31,068	25,188	45,337	35,754	-31.47	-29.55	18.93
Total banks	**2,343,994**	**1,471,988**	**3,004,092**	**2,145,988**	**-21.97**	**-31.41**	**37.20**
7. Sardaleasing s.p.a.	292,189	222,086	312,003	268,535	-6.35	-17.30	23.99
8. Emil-Ro Factor s.p.a.	2,191	1,715	1,232	837	77.84	104.90	21.73
Total of balance sheet	**2,638,374**	**1,695,789**	**3,317,327**	**2,415,360**	**-20.47**	**-29.79**	**35.73**
Unlikely to pay loans/Loans to customers	**5.17%**	**3.60%**	**6.26%**	**5.07%**			

The net amount of past due loans of Euro 60.5 million (-35.09%) represents 0.13% of total net loans to customers (0.20% at 31 December 2017), whereas, on a gross basis, the ratio of past due loans to total loans to customers is 0.14% (0.20% at 31 December 2017). The coverage of past due loans is 12.33% (10.60% at 31 December 2017).

(in thousands of Euro)

Past due loans	31.12.2018		31.12.2017		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	26,823	22,626	33,288	28,986	-19.42	-21.94	15.65
2. BPER Bank Luxembourg s.a.	-	-	-	-	-	-	-
3. Banca di Sassari s.p.a.	3,123	2,658	1,974	1,706	58.21	55.80	14.89
4. Banco di Sardegna s.p.a.	14,203	12,216	14,893	13,032	-4.63	-6.26	13.99
5. Cassa di Risparmio di Bra s.p.a.	2,553	2,261	5,811	5,291	-56.07	-57.27	11.44
6. Cassa di Risparmio di Saluzzo s.p.a.	64	54	1	1	--	--	15.63
Total banks	**46,766**	**39,815**	**55,967**	**49,016**	**-16.44**	**-18.77**	**14.86**
7. Sardaleasing s.p.a.	15,743	14,284	40,725	36,744	-61.34	-61.13	9.27
8. Emil-Ro Factor s.p.a.	6,512	6,410	7,572	7,454	-14.00	-14.01	1.57
Total of balance sheet	**69,021**	**60,509**	**104,264**	**93,214**	**-33.80**	**-35.09**	**12.33**
Past due loans/Loans to customers	**0.14%**	**0.13%**	**0.20%**	**0.20%**			

The impairment provisions for performing loans, Euro 165 million, represents 0.37% of the gross amount of performing loans (0.53% at the end of the previous year).

The distribution of loans to non-financial corporates is analysed by ATECO category below:

(in thousands of Euro)

Distribution of loans to non-financial corporates	31.12.2018	%
A. Agriculture, forestry and fishing	743,407	1.58
B. Mining and quarrying	41,749	0.09
C. Manufacturing	7,485,531	15.91
D. Provision of electricity, gas, steam and air-conditioning	759,991	1.62
E. Provision of water, sewerage, waste management and rehabilitation	299,710	0.64
F. Construction	2,500,537	5.31
G. Wholesaling and retailing, car and motorcycle repairs	4,550,367	9.67
H. Transport and storage	1,219,320	2.59
I. Hotel and restaurants	1,242,455	2.64
J. Information and communication	524,312	1.11
L. Real estate	3,001,775	6.38
M. Professional, scientific and technical activities	672,255	1.43
N. Rentals, travel agencies, business support services	859,166	1.83
O. Public administration and defence, compulsory social security	1,777	-
P. Education	29,146	0.06
Q. Health and welfare	377,787	0.80
R. Arts, sport and entertainment	182,725	0.39
S. Other services	211,334	0.45
Total loans to non-financial corporates	**24,703,344**	**52.50**
Individuals and other not included above	16,667,258	35.42
Financial corporates	3,331,919	7.08
Governments and other public entities	2,323,010	4.94
Insurance companies	25,411	0.05
Total loans	**47,050,942**	**100.00**

Financial assets and equity investments

Among the financial assets, debt securities measured at amortised cost are presented by just the bond component allocated to balance sheet captions 40 a) and b) "Financial assets measured at amortised cost – loans to banks and loans to customers". The data reported at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update to Bank of Italy Circular 262, in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or for total liabilities and shareholders' equity.

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	%Change
Financial assets measured at fair value through profit or loss	1,128,625	1,326,601	(197,976)	-14.92
- of which derivatives	*90,659*	*128,533*	*(37,874)*	*-29.47*
Financial assets measured at fair value through other comprehensive income	8,560,568	13,395,435	(4,834,867)	-36.09
Debt securities measured at amortised cost	7,462,891	939,941	6,522,950	693.97
a) banks	1,766,169	193,334	1,572,835	813.53
b) customers	5,696,722	746,607	4,950,115	663.01
Total financial assets	**17,152,084**	**15,661,977**	**1,490,107**	**9.51**

Financial assets amount to Euro 17,152.1 million, including Euro 16,287.5 million of debt securities (94.96% of the total): of these, Euro 6,618.6 million relates to sovereign States and Central Banks (+4.94% compared with 31 December 2017) and Euro 6,677.3 million to Banks (+12.25%).
Equities come to Euro 413.1 million (2.41% of the total), inclusive of Euro 276.9 million of stable equity investments classified in the FVOCI portfolio.
"Financial assets held for trading" include financial derivatives of Euro 90.7 million (-29.47%) made up of derivatives linked to debt securities classified in "Financial assets designated at fair value" and forward transactions in foreign currencies (traded with customers and/or used in managing the foreign exchange position), interest rate and foreign exchange derivatives intermediated with customers, derivatives related to securitisations and other operational hedging derivatives.
At 31 December 2018 the Group has not entered into any of the "long-term structured repo transactions" mentioned in the document issued jointly by the Bank of Italy, CONSOB and IVASS on 8 March 2013.

(in thousands of Euro)

Financial assets	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	15,084,004	14,232,305	851,699	5.98
2. BPER Bank Luxembourg s.a.	172,973	185,595	(12,622)	-6.80
3. Banca di Sassari s.p.a.	7,686	6,327	1,359	21.48
4. Banco di Sardegna s.p.a.	1,457,923	939,279	518,644	55.22
5. Cassa di Risparmio di Bra s.p.a.	149,394	131,539	17,855	13.57
6. Cassa di Risparmio di Saluzzo s.p.a.	255,873	276,862	(20,989)	-7.58
Total banks	**17,127,853**	**15,771,907**	**1,355,946**	**8.60**
Other companies and consolidation adjustments	24,231	(109,930)	134,161	-122.04
Total	**17,152,084**	**15,661,977**	**1,490,107**	**9.51**

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Equity investments	446,049	454,367	(8,318)	-1.83
of which subsidiaries	*27,507*	*34,567*	*(7,060)*	*-20.42*
of which associates	*418,542*	*419,800*	*(1,258)*	*-0.30*

Following the alignment of the consolidation methodologies described in Part A of the explanatory notes, this caption comprises significant investments (non-Group companies subject to considerable influence being, usually, investments in which the equity interest is greater than or equal to 20%), subsidiaries that are not members of the Banking Group since they do not contribute to its banking activities, and Group companies not meeting the requirements of art. 19 of EU Regulation 575/2013 that are measured using the equity method.
The decrease is due to the writedowns made as a result of the impairment test performed annually, as well as to the absorption of the subsidiaries Polo Campania s.r.l. and Galilei Immobiliare s.r.l. by Nadia s.p.a., previously classified as subsidiaries not included in the Banking Group.
The part relating to implicit goodwill in the "Equity investments" portfolio amounted to Euro 112.3 million (Euro 112.5 million at 31 December 2017).

Fixed assets

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Intangible assets	445,689	506,627	(60,938)	-12.03
of which goodwill	*264,740*	*327,084*	*(62,344)*	*-19.06*

Intangible assets include amounts of goodwill for a total of Euro 264.7 million, as follows:

(in thousands of Euro)

Goodwill	31.12.2018	31.12.2017
1. Group companies	**264,740**	**327,084**
1.1 Banks	**32,180**	**40,080**
- Banco di Sardegna s.p.a.	27,606	27,606
- Cassa di Risparmio di Bra s.p.a.	4,574	4,574
- Cassa di Risparmio di Saluzzo s.p.a.	-	7,900
1.2 Parent Company BPER Banca	**225,792**	**280,236**
1.3 Other companies	**6,768**	**6,768**
- Emilia Romagna Factor s.p.a.	6,768	6,768
Total	**264,740**	**327,084**

The BPER Banca CGU includes goodwill arising from bank acquisitions and subsequent mergers by absorption in past years, as well as goodwill relating to purchases of bank branches from the Unicredit Group.
Impairment testing, as required by IAS 36, has shown the need for a writedown of goodwill relating to Cassa di Risparmio di Saluzzo (Euro 7.9 million) and partly of the goodwill booked in the Parent Company's financial statements (Euro 54.4 million).

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Property, plant and equipment	1,063,273	1,063,483	(210)	-0.02
of which owned land and buildings	*915,575*	*957,156*	*(41,581)*	*-4.34*

The reduction in value of owned land and buildings is mainly due to writedowns of the book value of certain property units after impairment testing.

Interbank and liquidity position

(in thousands of Euro)

Net interbank position	31.12.2018	31.12.2017	Change	% Change
A. Loans to banks	**1,540,509**	**3,012,515**	**(1,472,006)**	**-48.86**
1. Current accounts and deposits	169,438	259,261	(89,823)	-34.65
2. Reverse repurchase agreements	-	300,025	(300,025)	-100.00
3. Other	1,371,071	2,453,229	(1,082,158)	-44.11
B. Due to banks	**13,126,248**	**12,984,226**	**142,022**	**1.09**
Total (A-B)	**(11,585,739)**	**(9,971,711)**	**(1,614,028)**	**16.19**

The amount of loans to banks comprises solely the loan component allocated to balance sheet caption 40 a) "Financial assets measured at amortised cost – loans to banks". The prior year balances have therefore been restated with respect to the information published in the consolidated financial statements at 31 December 2017.

The following table gives details of such operations with the ECB. The principal element has not changed since 31 December 2017.

(in millions of Euro)

Refinancing transactions with the European Central Bank	Capital	Maturity
1. Targeted Long Term Refinancing Operation (TLTRO-II) -BPER Banca	4,000	01.06.2020
2. Targeted Long Term Refinancing Operation (TLTRO-II) - CR Saluzzo	95	01.06.2020
3. Targeted Long Term Refinancing Operation (TLTRO-II) - BPER Banca	1,000	01.12.2020
4. Targeted Long Term Refinancing Operation (TLTRO-II) -BPER Banca	4,136	01.03.2021
5. Targeted Long Term Refinancing Operation (TLTRO-II) - CR Saluzzo	34	01.03.2021
Total	**9,265**	

The BPER Banca Group has therefore obtained the maximum allowed amount of the TLTRO II loan. The original amount, Euro 9,265 million, has decreased to Euro 9,185 million at 31 December 2018 after deducting the accrued interest income.

At 31 December 2018, the Central Treasury held significant resources relating to securities eligible for refinancing at the European Central Bank, of an overall amount, net of margin calls, of Euro 18,716 million (Euro 15,897 million at 31 December 2017). The available portion amounts to Euro 5,692 million (Euro 3,305 million at 31 December 2017).

(in millions of Euro)

Counterbalancing Capacity	Nominal value	Guarantee value	Restricted portion	Available portion
Eligible securities and loans		**18,716**	**13,024**	**5,692**
1 Securities as collateral for own and third-party commitments		522	522	
2 Securities subject to funding repurchase agreements		3,316	3,316	
3 Securities and loans not transferred to the Pooling Account		1,974		1,974
4 Securities and loans transferred to the Pooling Account		12,904	9,186	3,718
of which:				
Own debt guaranteed by the Italian Government				
Own securitisations	*2,286*	*1,987*		
Guaranteed Bank Bonds issued by the Bank	*2,950*	*2,475*		
Collaterized Bank Assets (A.BA.CO.)	*4,824*	*2,522*		

As summarised in the table, at 31 December 2018, the Pooling account of the Central Treasury possessed significant resources relating to securities eligible for refinancing by the European Central Bank, of an overall amount, net of margin call, of Euro 12,904 million, of which Euro 9,186 million has been refinanced (Euro 3,718 million is still available).

These include:

- securities from self-securitisations of performing residential mortgage portfolios given to the Bank's own customers (currently Euro 1,491.1 million, eligible for refinancing up to Euro 1,270.6 million), using the special purpose vehicles Dedalo s.r.l. and Sardegna RE Finance s.r.l.;
- securities from self-securitisations of performing residential mortgage portfolios given to the Bank's own customers in the small and medium-sized businesses segment (currently Euro 794.7 million, eligible for refinancing up to Euro 716.8 million), using the special purpose vehicle Multi Lease AS s.r.l.;
- Guaranteed Bank Bonds issue by the Bank with a nominal value of Euro 2,950 million, eligible for refinancing up to Euro 2,475.4 million, using the special purpose vehicle Estense CPT Covered Bond s.r.l.;
- Collateralised Bank Assets (A.BA.CO) for Euro 4,824 million at 31 December 2018, of which Euro 2,522.5 million eligible for refinancing.

Liabilities and shareholders' equity

(in thousands of Euro)

Liabilities and shareholders' equity	31.12.2018	31.12.2017	Change	% Change
Due to banks	13,126,248	12,984,226	142,022	1.09
Direct deposits	49,996,419	50,246,417	(249,998)	-0.50
a) Due to customers	44,594,863	42,694,078	1,900,785	4.45
b) Debt securities issued	5,401,556	7,552,339	(2,150,783)	-28.48
Financial liabilities held for trading	143,824	170,046	(26,222)	-15.42
Hedging derivatives	92,374	23,795	68,579	288.21
Other liabilities	2,379,334	2,197,592	181,742	8.27
Minority interests	507,457	653,010	(145,553)	-22.29
Shareholders' equity pertaining to the Parent Company	4,389,111	5,063,721	(674,610)	-13.32
a) Valuation reserves	949	75,089	(74,140)	-98.74
b) Reserves	1,619,469	2,445,454	(825,985)	-33.78
c) Share premium reserve	930,073	930,073	-	-
d) Share capital	1,443,925	1,443,925	-	-
e) Treasury shares	(7,258)	(7,258)	-	-
f) Profit (Loss) for the year	401,953	176,438	225,515	127.82
Total liabilities and shareholder's equity	**70,634,767**	**71,338,807**	**(704,040)**	**-0.99**

Deposits

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Current accounts and demand deposits	37,413,210	35,285,793	2,127,417	6.03
Time deposits	1,901,381	2,455,533	(554,152)	-22.57
Repurchase agreements	2,539,391	2,148,650	390,741	18.19
Other short-term loans	2,740,881	2,804,102	(63,221)	-2.25
Bonds	3,990,573	5,391,780	(1,401,207)	-25.99
- subscribed by institutional customers	2,531,595	3,037,251	(505,656)	-16.65
- subscribed by ordinary customers	1,458,978	2,354,529	(895,551)	-38.04
Certificates	52,672	69,771	(17,099)	-24.51
Certificates of deposit	1,358,311	2,090,788	(732,477)	-35.03
Direct deposits from customers	**49,996,419**	**50,246,417**	**(249,998)**	**-0.50**
Indirect deposits (off-balance sheet figure)	36,257,418	35,864,653	392,765	1.10
- of which managed	19,330,962	19,754,236	(423,274)	-2.14
- of which administered	16,926,456	16,110,417	816,039	5.07
Customer funds under management	**86,253,837**	**86,111,070**	**142,767**	**0.17**
Bank borrowing	13,126,248	12,984,226	142,022	1.09
Funds under administration or management	**99,380,085**	**99,095,296**	**284,789**	**0.29**

Direct deposits from customers, Euro 49,996.4 million, is in line with the previous year.
Of the various technical forms, there has been a significant reduction in bonds of Euro 1,401.2 million (-25.99%, both in bonds placed with ordinary customers, which are down by Euro 895.6 million and with institutional investors, down by Euro 505.7 million), in certificates of deposit of Euro 732.5 million (-35.03%) and in restricted deposits of Euro 554.2 million (-22.57%).
On the other hand, there have been increases in current accounts of Euro 2,127.4 million (+6.03%) and repurchase agreements of Euro 390.7 million (+18.19%). The trends within this aggregate therefore show a greater propensity on the part of customers for more liquid forms of deposit.

Indirect customer deposits, marked to market, come to Euro 36,257.4 million, up on 31 December 2017 (+1.10%), despite the stock suffered from the negative market trend.
Total funds administered or managed by the Group, including deposits from banks (Euro 13,126.2 million) amount to Euro 99,380.1 million, substantially stable compared with 31 December 2017.

(in thousands of Euro)

Direct deposits	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	36,292,280	36,885,323	(593,043)	-1.61
2. BPER Bank Luxembourg s.a.	900,837	828,847	71,990	8.69
3. Banca di Sassari s.p.a.	124,905	153,606	(28,701)	-18.68
4. Banco di Sardegna s.p.a.	11,229,434	11,031,484	197,950	1.79
5. Cassa di Risparmio di Bra s.p.a.	803,429	830,682	(27,253)	-3.28
6. Cassa di Risparmio di Saluzzo s.p.a.	727,329	788,023	(60,694)	-7.70
Total banks	**50,078,214**	**50,517,965**	**(439,751)**	**-0.87**
Other companies and consolidation adjustments	(81,795)	(271,548)	189,753	-69.88
Total	**49,996,419**	**50,246,417**	**(249,998)**	**-0.50**

Direct deposits include subordinated liabilities:

(in thousands of Euro)

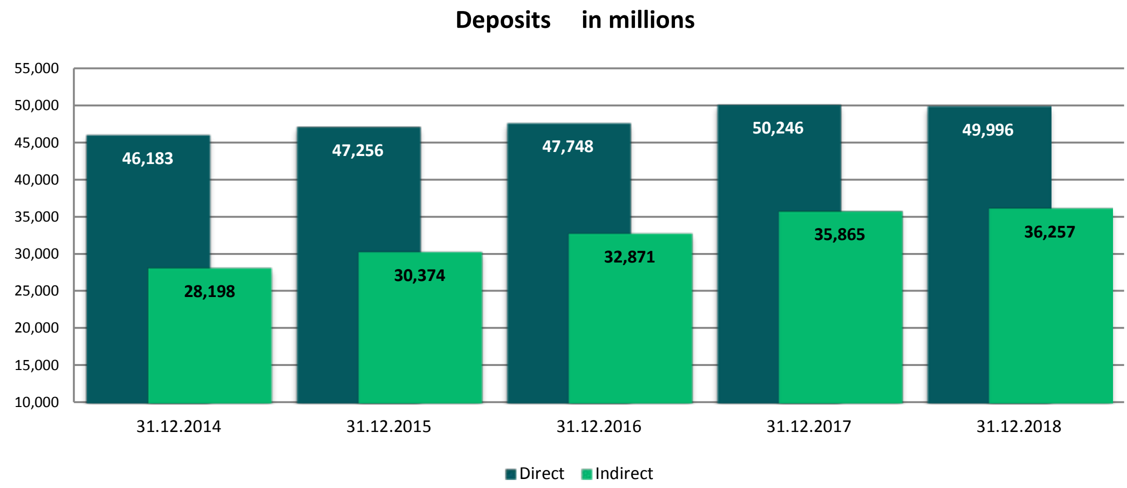
Captions	31.12.2018	31.12.2017	Change	% Change
Non-convertible subordinated liabilities	775,973	847,778	(71,805)	-8.47
Total subordinated liabilities	**775,973**	**847,778**	**(71,805)**	**-8.47**

The reductions reflect the payment of instalments on loans issued by the Parent Company that fell due on 31 December 2017 and were settled by the custodian bank on 2 January 2018.
There are no convertible subordinated liabilities at 31 December 2018 (as at 31 December 2017).

(in thousands of Euro)

Indirect deposits	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	31,978,280	31,639,460	338,820	1.07
2. BPER Bank Luxembourg s.a.	624,615	651,612	(26,997)	-4.14
3. Banco di Sardegna s.p.a.	4,025,753	3,741,020	284,733	7.61
4. Cassa di Risparmio di Bra s.p.a.	504,858	503,566	1,292	0.26
5. Cassa di Risparmio di Saluzzo s.p.a.	312,859	362,029	(49,170)	-13.58
Total banks	**37,446,365**	**36,897,687**	**548,678**	**1.49**
Other companies and consolidation adjustments	(1,188,947)	(1,033,034)	(155,913)	15.09
Total	**36,257,418**	**35,864,653**	**392,765**	**1.10**

The graph shows the dynamics of direct and indirect deposits in the last five years:



Indirect deposits do not include the placement of insurance policies, which has increased by 6.46% since 31 December 2017, mainly due to the life insurance business.

(in thousands of Euro)

Bancassurance	31.12.2018	31.12.2017	Change	% Change
Insurance policy portfolio	5,097,170	4,787,781	309,389	6.46
- of which life sector	*4,993,428*	*4,694,309*	*299,119*	*6.37*
- of which non-life sector	*103,742*	*93,472*	*10,270*	*10.99*

If life insurance premiums are added to the managed portion of indirect deposits, the total comes to Euro 24,324.4 million, which represents 58.97% of the overall total of indirect deposits and life insurance premiums (Euro 41,250.8 million).

Shareholders' equity

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Consolidated shareholders' equity	4,389,111	5,063,721	(674,610)	-13.32
- of which profit (loss) for the year	*401,953*	*176,438*	*225,515*	*127.82*
- of which shareholders' equity excluding profit (loss) for the year	*3,987,158*	*4,887,283*	*(900,125)*	*-18.42*

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Minority interests	507,457	653,010	(145,553)	-22.29
- of which profit (loss) pertaining to minority interests	*43,837*	*444*	*43,393*	*--*
- of which shareholders' equity pertaining to minority interests excluding their share of profit (loss) for the year	*463,620*	*652,566*	*(188,946)*	*-28.95*

(in thousands of Euro)

Shareholders' equity	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	4,081,335	4,677,987	(596,652)	-12.75
2. BPER Bank Luxembourg s.a.	55,433	54,226	1,207	2.23
3. Banca di Sassari s.p.a.	263,982	260,288	3,694	1.42
4. Banco di Sardegna s.p.a.	862,082	1,182,886	(320,804)	-27.12
5. Cassa di Risparmio di Bra s.p.a.	54,525	62,926	(8,401)	-13.35
6. Cassa di Risparmio di Saluzzo s.p.a.	46,529	55,765	(9,236)	-16.56
Total banks	**5,363,886**	**6,294,078**	**(930,192)**	**-14.78**
Other companies and consolidation adjustments	(913,108)	(754,229)	(158,879)	21.07
Total	**4,450,778**	**5,539,849**	**(1,089,071)**	**-19.66**
Profit (Loss) for the year pertaining to the Parent Company	401,953	176,438	225,515	127.82
Profit (Loss) for the year pertaining to minority interests	43,837	444	43,393	--
Total shareholders' equity	**4,896,568**	**5,716,731**	**(820,163)**	**-14.35**

This figure is made up of liability captions 120, 150, 160, 170, 180, 190 and 200.

The total net tangible shareholders' equity (after deduction of intangible assets of Euro 445.7 million) amounted to Euro 4,450.9 million.

6.2 Own funds and capital ratios

The harmonised rules for banks and investment companies contained in Regulation (EU) 575/2013 (CRR) and in the 2013/36/EU Directive (CRD IV) approved on 26 June 2013 and published in the Official Journal of the European Union the next day, entered into force on 1 January 2014.
This regulatory framework, which is the only set of rules that seeks to harmonise prudential regulations of the Member States of the European Community, was made applicable in Italy by the Bank of Italy's Circular 285, published on 17 December 2013 and subsequent updates.
From 30 June 2015 the accounting scope of consolidation is aligned with that required for prudential reporting purposes: companies excluded are treated in the same way as the banks and companies subject to significant influence and measured using the equity method.

On 31 December 2018, the BPER Banca Group adopted internal models for measuring the capital requirements relating to the credit risk represented by both business and retail customers. The model scope[37] includes BPER Banca, Banco di Sardegna and Banca di Sassari. Cassa di Risparmio di Bra, Sardaleasing and Cassa di Risparmio di Saluzzo are formally included in the roll-out plan and will adopt the IRB Approach as scheduled in the plan. The other BPER Banca Group companies and asset classes not included in the roll-out plan will continue to use the Standardised Approach.

At 31 December 2018 the Common Equity Tier 1 Ratio requirement to be complied with was equal to 8.136% Phased in and 8.761% Fully Phased, as it was also influenced by the additional requirement constituted by the specific countercyclical capital reserve of the BPER Banca Group of 0.011% in the fourth quarter of 2018.

[37] *The ECB authorised the use of internal models on 24 June 2016.*

Compared with that limit, the amount of available equity at 31 December 2018 can be quantified at Euro 1,877 million (about 613 bps of CET1) under the phased in transitional arrangements, while on a fully phased basis it can be put at Euro 972 million, about 319 bps.

Considering all of the above, the amount of CET1 has been calculated taking into account the portion of the profit for the year that is allocable to equity, namely Euro 339.4 million. BPER Banca has made the required communication to the ECB regarding its calculation for prudential supervision purposes, both pursuant to art. 3 of Decision (EU) 656/2015 of the European Central Bank dated 4 February 2015 and as envisaged in art. 26, para. 2, of Regulation (EU) 575/2013 (CRR), and received authorisation on 11 February 2019.

The following table shows the BPER Banca Group's capital ratios and the minimum capital adequacy requirements for regulatory purposes as at 31 December 2018.

(in thousand of Euro)

	31.12.2018 Fully Phased	31.12.2018 Phased in	31.12.2017 Fully Phased	31.12.2017 Phased in	Change in Phased in	% Change
Common Equity Tier 1 capital-CET1	3,642,754	4,367,711	4,455,677	4,522,957	(155,246)	-3.43
Additional Tier 1 capital - AT1	31,554	31,554	32,099	28,330	3,224	11.38
Tier 1 capital - Tier 1	**3,674,308**	**4,399,265**	**4,487,776**	**4,551,287**	**(152,022)**	**-3.34**
Tier 2 capital - Tier 2 - T2	878,992	879,587	878,460	885,544	(5,957)	-0.67
Total Own Funds	**4,553,300**	**5,278,852**	**5,366,236**	**5,436,831**	**(157,979)**	**-2.91**
Total Risk-weighted assets (RWA)	**30,489,167**	**30,606,171**	**32,573,002**	**32,573,002**	**(1,966,831)**	**-6.04**
CET1 Ratio (CET1/RWA)	**11.95%**	**14.27%**	**13.68%**	**13.89%**	**38 b.p.**	
Tier 1 Ratio (Tier 1/RWA)	**12.05%**	**14.37%**	**13.78%**	**13.97%**	**40 b.p.**	
Total Capital Ratio (Total Own Funds/RWA)	**14.93%**	**17.25%**	**16.47%**	**16.69%**	**56 b.p.**	
RWA/Total assets	**43.16%**	**43.33%**	**45.66%**	**45.66%**	**-233 b.p.**	

As stated previously, the following capital ratios were determined after taking into account the AIRB validation, the profit for the year to 31 December 2018, net of the expected dividend and of the choice to apply the static approach in the transition to IFRS 9:

- Common Equity Tier 1 Ratio (Phased In) of 14.27% (14.74% at 30 September 2018, 14.72% at 30 June 2018, 14.61% at 31 March 2018 and 13.89% at 31 December 2017). The ratio calculated on the full application regime (Fully Phased) is equal to 11.95% (12% at 30 September 2018, 11.63% at 30 June 2018, 11.71% at 31 March 2018 and 13.68% at 31 December 2017);
- Tier 1 ratio (Phased In) of 14.37% (14.84% at 30 September 2018, 14.81% at 30 June 2018, 14.70% at 31 March 2018 and 13.97% at 31 December 2017);
- Total Capital ratio (Phased In) of 17.25% (17.73% at 30 September 2018, 17.63% at 30 June 2018, 17.50% at 31 March 2018 and 16.69% at 31 December 2017).

The capital ratios (Phased in) are all much higher than the minimum levels required by the regulations (at 31 December 2018 equal to 6.375%, 7.875% and 9.875% respectively). The CET1 ratio is also well above the specific obligations for additional Own Funds imposed by the ECB as part of the 2019 SREP process, set at 9% for 2019, in force from 1 March 2019.

Note that the BPER Banca Group uses different methods for calculating risk-weighted assets, which are summarised below:

- credit risk - for Group entities represented by BPER Banca, Banco di Sardegna and Banca di Sassari, the credit risk measurement is performed using the AIRB method. For Banks and other Companies that are not in the scope of validation and for other risk assets not included in the validated models, the standardized approach has been maintained;
- credit down-rating risk - the standardized approach is used;
- market risk - the standardized approach is used for assessing market risk (general and specific risk on equities, general risk on debt securities and positioning risk for units in investment funds) to determine the related individual and consolidated capital requirement;
- operational risk - operational risk measurement uses the standardized approach (TSA).

6.3 Reconciliation of consolidated net profit/shareholders' equity

Consolidated net profit comprises the sum of the Group's interest in profits (losses) at 31 December 2018 of the following Group banks and companies included in the scope of line-by-line consolidation.

(in thousands of Euro)

Reconciliation of consolidated profit (loss) for the year	31.12.2018
BPER Banca S.p.A.	**306,715**
Other Group companies:	**66,525**
BPER Bank Luxembourg s.a.	*2,749*
Banco di Sardegna s.p.a. (Consolidated value)	*46,619*
Banca di Sassari s.p.a.	*8,783*
Cassa di Risparmio di Bra s.p.a.	*5,653*
Cassa di Risparmio di Saluzzo s.p.a.	*717*
Nadia s.p.a.	*(10,465)*
BPER Services s.c.p.a.	*(209)*
Optima s.p.a. SIM	*3,733*
Modena Terminal s.r.l.	*274*
Emilia Romagna Factor s.p.a.	*5,094*
Sardaleasing s.p.a.	*3,577*
BPER Credit Management s.c.p.a.	*-*
Total Group share	**373,240**
Consolidation adjustments	28,713
Consolidated profit (loss) for the year	**401,953**

The result for the BPER Services s.c.p.a. and BPER Credit Management s.c.p.a. consortia refers exclusively to the alignment with IAS/IFRS.

The following statement is presented with regard to the position at 31 December 2018:

Reconciliation of the shareholders' equity and results of the Parent Company with the related consolidated amounts

	Increase (decrease)	
	Profit (Loss) for the year	Shareholders' equity
AMOUNTS RELATING TO THE PARENT COMPANY	306,715	4,388,050
DIFFERENCES between the shareholders' equity of companies consolidated on a line-by-line basis (net of minority interests) and the book value of the related equity investments held by their parent companies, as follows:	89,811	(126,305)
-impairment losses on goodwill related to consolidated companies	*(7,900)*	
- accounts of intercompany:	*44,632*	
- elimination of intercompany profits and losses	*(13,446)*	
- share of the results of fully consolidated companies after tax effect	*66,525*	
DIVIDENDS collected from companies consolidated on a line-by-line basis or stated under the equity method	(11,223)	
DIFFERENCE between book value and the interest in shareholders' equity (including results for the year) of companies consolidated at equity method.	16,650	127,366
Profit (Loss) for the year and shareholders' equity of the Parent Company as at 31.12.2018	**401,953**	**4,389,111**
Profit (Loss) for the year and shareholders' equity of minority interests	43,837	507,457
Total consolidated Profit (Loss) for the year and shareholders' equity as at 31.12.2018	**445,790**	**4,896,568**
Total consolidated Profit (Loss) for the year and shareholders' equity as at 31.12.2017	**176,882**	**5,716,731**

6.4 Income statement aggregates

The following are the key figures (in Euro thousands) from the consolidated income statement for the period ended 31 December 2018, with comparative figures for the period ended 31 December 2017, together with an indication of the changes between periods in absolute and percentage terms.
The data reported as at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262, without changing the net profit (loss) for the period.
The amounts of 2017 only include the figures of the second half of Nuova Cassa di Risparmio di Ferrara s.p.a., which was acquired by the Parent Company on 30 June 2017 and subsequently absorbed.

The results presented have been reclassified to the formats envisaged in the 5th update to Bank of Italy Circular 262/2005. The principal reclassifications related to the following captions:

- *"Net income from financial activities"* includes items 80, 90, 100 and 110 in the standard reporting format;
- indirect tax recoveries, allocated for accounting purposes to item 230 *"Other operating expense/income"*, have been reclassified as a reduction in the related costs under *"Other administrative expenses"* (Euro 126,014 thousand at 31 December 2018 and Euro 126,175 thousand at 31 December 2017);
- *"Net provisions for risks and charges"* include Euro 17,400 thousand relating to the valuation of the profit-sharing clause in the contract for the acquisition of Nuova Carife, allocated to item 230 "*Other operating expense/income*" in the accounting schedule;
- *"Net adjustments to property, plant and equipment and intangible assets"* include captions 210 and 220 in the standard reporting format;
- *"Gains (Losses) on equity investments, disposal investments and impairment losses on goodwill"* include captions 250, 270 and 280 in the reporting format;
- "Contributions to the DGS, SRF and IDPF-VS funds" has been shown separately from the specific accounting technical forms to give a better and clearer representation, as well as to leave the *"Other administrative expenses"* as a better reflection of the trend in the Group's operating costs. In particular, at 31 December 2018, this caption represents the component allocated for accounting purposes to administrative costs in relation to:
    - the 2018 contribution to the SRF (European Single Resolution Fund) for Euro 20,347 thousand;
    - additional contribution requested by the SRF (European Single Resolution Fund) for 2016 from Italian banks for Euro 8,593 thousand;
    - 2018 contribution to the DGS (Deposit Guarantee Scheme) for Euro 23,385 thousand.

Consolidated income statement

(in thousands of Euro)

Captions		31.12.2018	31.12.2017	Change	% Change
10+20	Net interest income	1,122,437	1,124,479	(2,042)	-0.18
40+50	Net commission income	776,265	740,628	35,637	4.81
70	Dividends	34,339	12,416	21,923	176.57
80+90+100+110	Net income from financial activities	104,022	103,134	888	0.86
230 (*)	Other operating expense/income	44,209	58,190	(13,981)	-24.03
	Operating income	**2,081,272**	**2,038,847**	42,425	2.08
190 a)	Staff costs	(821,494)	(783,478)	(38,016)	4.85
190 b) (*) (**)	Other administrative expenses	(442,431)	(425,611)	(16,820)	3.95
210+220	Net adjustments to property, plant and equipment and intangible assets	(118,939)	(87,429)	(31,510)	36.04
	Operating costs	**(1,382,864)**	**(1,296,518)**	(86,346)	6.66
	Net operating income	**698,408**	**742,329**	(43,921)	-5.92
130 a)	Net impairment losses to financial assets at amortised cost	(225,772)	(535,975)	310,203	-57.88
130 b)	Net impairment losses to financial assets at fair value	2,066	(104,628)	106,694	-101.97
140	Gains (Losses) from contractual modifications without derecognition	(2,956)	-	(2,956)	n.s.
	Net impairment losses for credit risk	**(226,662)**	**(640,603)**	413,941	-64.62
200	Net provisions for risks and charges	(25,194)	(45,891)	20,697	-45.10
###	Contributions to SRF, DGS, IDPF - VS	(52,325)	(37,721)	(14,604)	38.72
250+270 +280	Gains (Losses) on equity investments, disposal investments and impairment losses on goodwill	(48,701)	(9,886)	(38,815)	392.63
###	Gain on a bargain purchase	-	190,892	(190,892)	-100.00
290	**Profit (Loss) from current operations before tax**	**345,526**	**199,120**	146,406	73.53
300	Income taxes on current operations for the year	100,264	(22,238)	122,502	-550.87
330	**Profit (Loss) for the year**	**445,790**	**176,882**	268,908	152.03
340	Profit (Loss) for the year pertaining to minority interests	(43,837)	(444)	(43,393)	--
350	**Profit (Loss) for the year pertaining to the Parent Company**	**401,953**	**176,438**	225,515	127.82

	Captions net of:				
(*)	Recovery of indirect taxes	126,014	126,175	(161)	-0.13
(**)	Contributions to SRF, DGS, IDPF - VS	(52,325)	(37,721)	(14,604)	38.72

Consolidated income statement by quarter as at 31 December 2018

(in thousands of Euro)

Captions		1st quarter 2018	2nd quarter 2018	3rd quarter 2018	4th quarter 2018	1st quarter 2017	2nd quarter 2017	3rd quarter 2017	4th quarter 2017
10+20	Net interest income	293,234	280,268	276,590	272,345	288,114	282,005	280,218	274,142
40+50	Net commission income	198,120	190,936	188,025	199,184	177,373	181,851	184,802	196,602
70	Dividends	584	12,877	325	20,553	312	10,812	507	785
80+90+100+110	Net income from financial activities	153,634	16,431	20,879	(86,922)	24,664	25,869	20,489	32,112
230 (*)	Other operating expense/income	11,485	8,174	10,998	13,552	10,310	14,298	23,565	10,017
	Operating income	**657,057**	**508,686**	**496,817**	**418,712**	**500,773**	**514,835**	**509,581**	**513,658**
190 a)	Staff costs	(207,534)	(212,900)	(194,553)	(206,507)	(194,125)	(191,551)	(191,656)	(206,146)
190 b) (*) (**)	Other administrative expenses	(102,285)	(109,981)	(104,323)	(125,842)	(96,628)	(104,864)	(107,465)	(116,654)
210+220	Net adjustments to property, plant and equipment and intangible assets	(21,339)	(34,986)	(22,933)	(39,681)	(18,685)	(22,012)	(20,653)	(26,079)
	Operating costs	**(331,158)**	**(357,867)**	**(321,809)**	**(372,030)**	**(309,438)**	**(318,427)**	**(319,774)**	**(348,879)**
	Net operating income	**325,899**	**150,819**	**175,008**	**46,682**	**191,335**	**196,408**	**189,807**	**164,779**
130 a)	Net impairment losses to financial assets at amortised cost	(26,141)	(58,793)	(70,272)	(70,566)	(133,573)	(189,659)	(89,722)	(123,021)
130 b)	Net impairment losses to financial assets at fair value	1,763	141	150	12	(17,381)	(54,236)	(29,383)	(3,628)
140	Gains (Losses) from contractual modifications without derecognition	-	(1,183)	(1,536)	(237)	-	-	-	-
	Net impairment losses for credit risk	**(24,378)**	**(59,835)**	**(71,658)**	**(70,791)**	**(150,954)**	**(243,895)**	**(119,105)**	**(126,649)**
200	Net provisions for risks and charges	(11,663)	(25,376)	(12,091)	23,936	(1,014)	(4,154)	(2,822)	(37,901)
###	Contributions to SRF, DGS, IDPF - VS	(20,282)	(8,670)	(23,448)	75	(18,061)	2,114	(20,205)	(1,569)
250+270+280	Gains (Losses) on equity investments, disposal investments and impairment losses on goodwill	2,827	2,591	3,535	(57,654)	3,705	2,843	4,885	(21,319)
###	Gain on a bargain purchase	-	-	-	-	-	130,722	-	60,170
290	**Profit (Loss) from current operations before tax**	**272,403**	**59,529**	**71,346**	**(57,752)**	**25,011**	**84,038**	**52,560**	**37,511**
300	Income taxes on current operations for the year	(6,918)	(2,850)	(14,206)	124,238	(7,743)	17,926	(23,696)	(8,725)
330	**Profit (Loss) for the year**	**265,485**	**56,679**	**57,140**	**66,486**	**17,268**	**101,964**	**28,864**	**28,786**
340	Profit (Loss) for the year pertaining to minority interests	(14,462)	183	(6,899)	(22,659)	(2,710)	2,540	1,032	(1,306)
350	**Profit (Loss) for the year pertaining to the Parent Company**	**251,023**	**56,862**	**50,241**	**43,827**	**14,558**	**104,504**	**29,896**	**27,480**

	Captions net of:								
(*)	Recovery of indirect taxes	31,823	31,629	31,522	31,040	29,981	31,001	31,382	33,811
(**)	Contributions to SRF, DGS, IDPF - VS	(20,282)	(8,670)	(23,448)	75	(18,061)	2,114	(20,205)	(1,569)

Net interest income

Net interest income comes to Euro 1,122.4 million, a decrease of 0.18% (Euro 1,124.5 million as at 31 December 2017); the result includes the benefit for the year of participating in emissions of TLTRO II for Euro 37.6 million. In addition, following application of the 5th update of Bank of Italy Circular 262/2005, the amount reported at 31 December 2018 includes interest income of Euro 85.6 million relating to the time value of non-performing loans (at 31 December 2017 this interest was classified in captions 130 "*Net impairment adjustments to loans*"), as well as the writedown of part of the interest charged on non-performing loans to customers, amounting to Euro 9.3 million.

The margin from commercial activities (loans and deposits with ordinary customers) decreased mainly because of a negative dynamics in interest rates on loans. The reduction in the cost of deposits, achieved by replacing bond loans as a source of funding with current accounts and deposit accounts, was not sufficient to offset the impact of the contraction in margins that characterises the market for loans (both short-term and medium/long-term).

The stability of net interest income is also linked to the reclassification of the time value effect on non-performing loans, which helped offset both the reduction in the margin trend from customers and the reduction in interest income on the securities portfolio. The latter was determined by the reduction in the average yield obtained by the securities portfolio in 2018 (down by 0.28%) as a consequence of the sales made on the market in the first quarter of 2018; this reduction must therefore be read in conjunction with the result obtained from the sale of financial assets measuerd at fair value through other comprehensive income.

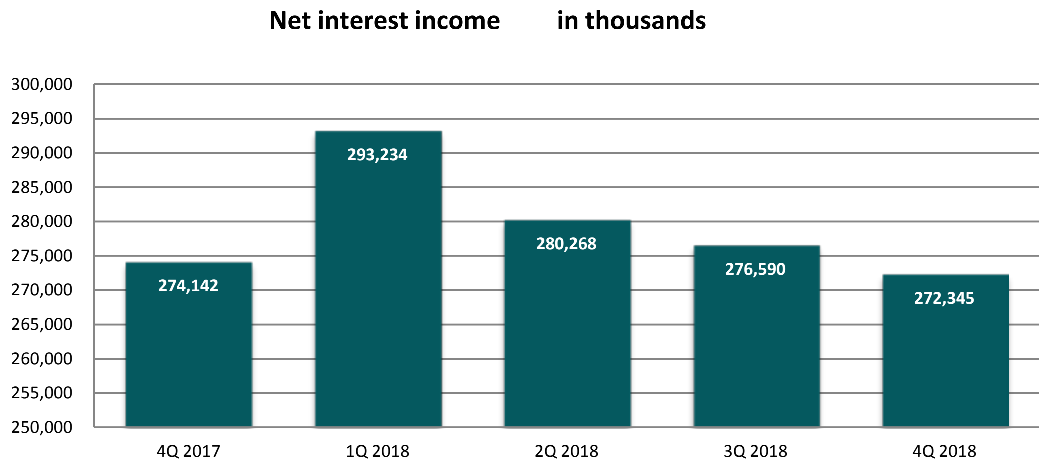
The cost of funding on the institutional market suffered mainly from the interest recognised to subscribers of subordinated bonds placed in 2017 with institutional counterparties.

In addition to recalling the dynamics of loans and interest-bearing deposits, already highlighted in paragraph 4.1 Balance sheet aggregates (which feature a growth in volumes), an indication of the trend in average lending/funding rates is given below for a better understanding of the trend in net interest income:

- the average interest rate for the year on Group's loans to customers amounted to 2.37%, a slight increase of about 2 bps compared with the previous year's average rate;
- the average cost of direct funding from customers was 0.39%, which is down by about 7 basis points (0.46%);
- total interest-bearing liabilities involved a cost of 0.30%, a decrease of 4 bps compared with 0.34% of the previous year;
- the spread between lending and deposit rates of Group relationships with customers came to 1.98% (1.89% at 31 December 2017);
- the overall gap between the average annual rate of return on interest-bearing assets and the average annual cost of interest-bearing liabilities amounts to 1.63%, down on last year (it was 1.67%).

(in thousands of Euro)

Net interest income	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	773,860	803,472	(29,612)	-3.69
2. BPER Bank Luxembourg s.a.	4,290	4,063	227	5.59
3. Banca di Sassari s.p.a.	33,085	20,233	12,852	63.52
4. Banco di Sardegna s.p.a.	210,576	200,352	10,224	5.10
5. Cassa di Risparmio di Bra s.p.a.	21,338	22,330	(992)	-4.44
6. Cassa di Risparmio di Saluzzo s.p.a.	14,318	13,665	653	4.78
Total banks	**1,057,467**	**1,064,115**	**(6,648)**	**-0.62**
Other companies and consolidation adjustments	64,970	60,364	4,606	7.63
Total	**1,122,437**	**1,124,479**	**(2,042)**	**-0.18**



The amounts reported for fourth quarter of 2017 have not been recalculated in accordance with the 5th update of Bank of Italy Circular 262/2005.
The marginal decline in net interest income in the last two quarters of 2018 compared with the second one is mainly due to the reduction in the contribution of the time value on the bad loans portfolio (affected by the "4Mori Sardegna" and "Aqui" disposals.

Net commission income

Net commissions income, Euro 776.3 million, increased on 31 December 2017 (Euro 740.6 million +4.81%). This positive performance was achieved mainly thanks to the sharp increase in net commission income from indirect deposits and "bancassurance" (+14.49%) and the resilience of net commission income on the commercial business, bearing in mind that the scope of consolidation is not entirely comparable.

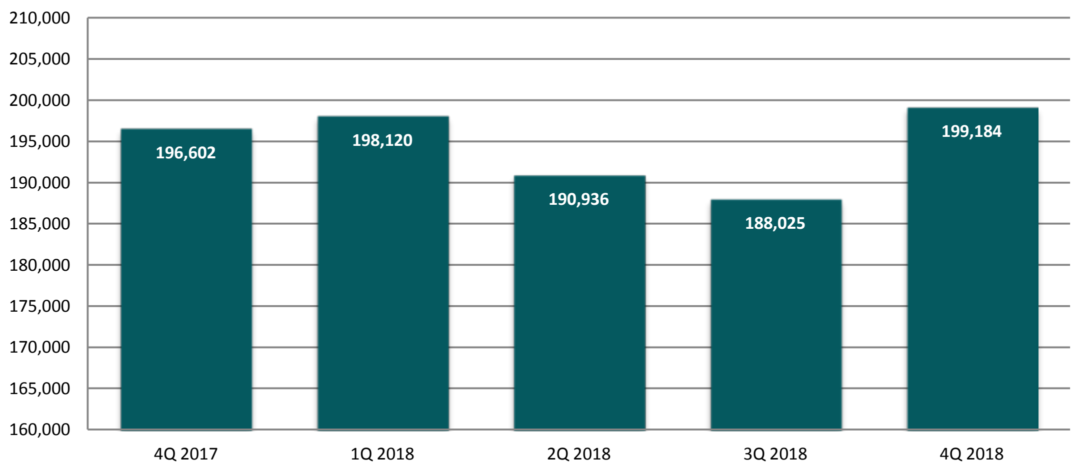
With specific reference to the commissions received from the placement of asset management products (mainly mutual funds and direct asset management), it should be noted that the increase in income of Euro 12.4 million is linked to the stable component of commissions, i.e. recurring items (management fees) following the steady growth in average volumes of assets under management. The contribution to the growth of commissions in the insurance sector, totalling Euro 19.4 million, is attributable to both "life" and "non-life" products.

(in thousands of Euro)

Net commission income	31.12.2018	31.12.2017	Change	% Change
Trading in currency/financial instruments	5,908	5,904	4	0.07
Indirect deposits and insurance policies	266,925	233,140	33,785	14.49
Credit cards, collections and payments	150,611	145,717	4,894	3.36
Loans and guarantees	313,961	321,455	(7,494)	-2.33
Other commissions	38,860	34,412	4,448	12.93
Total net commission income	**776,265**	**740,628**	**35,637**	**4.81**

Compared with the quarterly performance in net commission income shown in the graph, changes in the aggregate in 2018 are mainly affected by the trend in commissions for the placement of asset management products (both traditional and structured mutual investment funds). Although higher overall than the figure for 2017, gross inflows for these products in 2018 was in fact more concentrated in the first months of the year, subsequently posting a physiological decline in favour of insurance products, which allowed the Group to earn additional commission income in the fourth quarter of 2018.

Net commission income in thousands



Net income from financial activities

Net income from financial activities (including dividends of Euro 34.3 million) was Euro 138.4 million (Euro 115.5 million at 31 December 2017).

This net result and the increase compared with 2017 were determined in particular by:

- profits from the disposal of securities, Euro 198.5 million;
- losses from the disposal of bad loans for Euro 81.9 million (including Euro 56.7 million originating from the sale of the Aqui notes);
- extraordinary dividend distributed by the subsidiary Nexi s.p.a. for Euro 15.7 million;
- other positive elements for Euro 8.2 million;
- net losses on the valuation of financial assets for Euro 20.8 million.

The sale of securities on the market (essentially Italian government securities), already carried out in the first quarter of 2018, allowed the Group to realise the capital gains implicit in the portfolio, at a time when market conditions were most favourable.

(in thousands of Euro)

Net income from financial activities (including dividends)	31.12.2018	31.12.2017	Change	% Change
Dividends	34,339	12,416	21,923	176.57
Gain from disposal of financial assets and loans	116,610	63,370	53,240	84.01
Capital gains on financial assets	38,217	43,717	(5,500)	-12.58
Capital losses on financial assets	(59,006)	(8,514)	(50,492)	593.05
Other revenues (losses)	8,201	4,561	3,640	79.81
Total	**138,361**	**115,550**	**22,811**	**19.74**

Operating income

Considering other operating expense/income of Euro 44.2 million (58.2 million at 31 December 2017), Operating income totalled Euro 2,081.3 million (+2.08% higher than last year).

Operating costs

Operating costs totalled Euro 1,382.9 million, up by 6.66% on 31 December 2017. The main components of operating costs are as follows.

Staff costs, Euro 821.5 million, were higher than last year (+4.85%). This is mainly due to the different cost perimeter as a result of the acquisition of Nuova Cassa di Risparmio di Ferrara, the updating of the contractual tables that took place in October 2017 and an increase in the estimated variable remuneration component (MBO) resulting from an extension of the scope of recipients of this incentive treatment.

Other administrative expenses, stated net of indirect taxes recovered (Euro 126.0 million) and the contributions paid to the Resolution fund (Euro 52.3 million), amounted to Euro 442.4 million, up by 3.95% compared with the previous year.
This increase mainly refers to costs for professional and consulting services linked to the execution of the Group's NPE Strategy, or related to the sale and securitisation of non-performing loans ("4Mori Sardegna" and "Aqui" sales), as well as interventions for compliance with the ECB Guidelines on the management of NPLs.

Net adjustments to property, plant and equipment and intangible assets amounted to Euro 118.9 million (Euro 87.4 million in 2017). The result is influenced by the writedown of properties and land for a total of Euro 29.7 million (Euro 8 million at 31 December 2017) following an updating of property valuations and, in part, the change of use of certain properties.

(in thousands of Euro)

Operating costs	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	997,082	938,230	58,852	6.27
2. BPER Bank Luxembourg s.a.	4,178	3,777	401	10.62
3. Banca di Sassari s.p.a.	35,355	32,373	2,982	9.21
4. Banco di Sardegna s.p.a.	272,594	260,228	12,366	4.75
5. Cassa di Risparmio di Bra s.p.a.	22,628	22,306	322	1.44
6. Cassa di Risparmio di Saluzzo s.p.a.	23,174	20,025	3,149	15.73
Total banks	**1,355,011**	**1,276,939**	**78,072**	**6.11**
Other companies and consolidation adjustments	27,853	19,579	8,274	42.26
Total	**1,382,864**	**1,296,518**	**86,346**	**6.66**

The net result from operations was therefore Euro 698.4 million (Euro 742.3 million at 31 December 2017).

Net impairment losses for credit risk

Net impairment losses for credit risk amounted to Euro 226.7 million. More specifically, the net adjustment of financial assets measured at amortised cost totalled Euro 225.8 million, while a write-back on debt securities measured at fair value (HTC&S) amounted to Euro 2.1 million.

At 31 December 2017, the net impairment losses calculated in accordance with IAS 39 totalled Euro 640.6 million, of which Euro 536.0 million related to loans to customers and Euro 104.6 million to financial assets available for sale.

The improvement in net impairment losses on loans to customers is to be attributed to various interventions carried out at Group level to reorganise the credit and loans structures (granting and recovery), review lending processes and procedures designed to improve the quality of outstanding receivables and reduce inflows to the non-performing portfolio. In this sense, adoption of the main recommendations of the EBA's NPL Guidance has had positive effects on the entire loan portfolio. This reduction was also due to the decline in the stock of non-performing loans as a result of the sales carried out in 2018.

With specific reference to the performing loan portfolio and the related collective writedown (Stage 1 and 2), it should be noted that the write-back of net value that characterized 2018, amounting to approximately Euro 49.6 million, is mainly due to an improvement in the risk profile of the portfolio (which shows a higher incidence of exposures to the better risk classes) and to the change in the IFRS 9 risk parameters, linked to periodic updates of the macro-economic scenario of reference.

The net impairment losses for credit risk on loans to customers are analysed below:

(in thousands of Euro)

Net impairment losses for credit risk on loans to customers	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	147,280	395,549	(248,269)	-62.77
2. BPER Bank Luxembourg s.a.	2,745	1,971	774	39.27
3. Banca di Sassari s.p.a.	3,483	1,083	2,400	221.61
4. Banco di Sardegna s.p.a.	23,347	83,844	(60,497)	-72.15
5. Cassa di Risparmio di Bra s.p.a.	7,616	11,559	(3,943)	-34.11
6. Cassa di Risparmio di Saluzzo s.p.a.	(51)	2,230	(2,281)	-102.29
Total banks	**184,420**	**496,236**	**(311,816)**	**-62.84**
Other companies and consolidation adjustments	37,895	39,739	(1,844)	-4.64
Total	**222,315**	**535,975**	**(313,660)**	**-58.52**

The overall cost of credit at 31 December 2018, calculated solely on loans to customers, is 47 bps (112 bps at 31 December 2017).

Net provisions for risks and charges

Net provisions for risks and charges come to Euro 25.2 million; as envisaged in the 5th update of Bank of Italy Circular 262/2005 adopting IFRS 9, this caption includes net writebacks on commitments and guarantees granted totalling Euro 16.2 million (net impairment adjustments of Euro 15.3 million had been recorded last year).

Contributions to the SRF, DGS and IDPF-VS Funds

The total amount of contributions paid during the year was Euro 52.3 million (Euro 37.7 million at 31 December 2017). This amount comprises the ordinary contribution for 2018 paid to the SRF (European Single Resolution Fund), Euro 20.3 million, the additional contributions for 2016 requested from Italian banks by the SRF (Euro 8.6 million) and the amount paid to the DGS (Deposit Guarantee Fund), Euro 23.4 million.

Gains (Losses) on equity investments, disposal of investments and impairment losses on goodwill

This caption shows a negative result of Euro 48.7 million (Euro 9.9 million at 31 December 2017), mainly influenced by the results of the impairment tests carried out, as shown below:

- writedown of the goodwill allocated to Cassa di Risparmio di Saluzzo (Euro 7.9 million) and to the goodwill recorded in the financial statements of the Parent Company BPER Banca (Euro 54.4 million);
- overall positive result mainly resulting from the measurement of equity investments using the equity method, Euro 16.9 million;
- writedowns of equity investments in associates, Euro 3.5 million.

Profit (Loss) for the year

The profit from current operations before tax amounts to Euro 345.5 million (Euro 199.1 million at 31 December 2017).

Income taxes are positive for Euro 100.3 million, mainly due to the effect of deferred tax assets recognised in 2018 as a result of a revised forecast of their recovery, also thanks to the availability of updated data and to the regulatory changes introduced by the 2019 Finance Act.

Taxes for the year were calculated by applying the regulations in force at 31 December 2018, also taking into account the provisions introduced by the Decree of the Minister of Economy and Finance of 10 January 2018, which contains coordination provisions for determining the IRES and IRAP direct taxes within the scope of application of the international accounting standard IFRS 9, as well as the other changes introduced by the 2019 Finance Act, such as:

- repeal of the ACE benefit from 2019: previous surpluses are maintained. The rate for 2018 tax period was updated to 1.5%;
- deductibility over 10 years of the adjustments made for the impairment on FTA;
- postponement to 2026 of the deductibility of the impairment adjustments on loans envisaged for 2018;
- redefinition of the deductibility of convertible goodwill.

Deferred tax assets, relating to temporary changes and tax losses, are recorded following the positive outcome of the probability test required by IAS 12 relating to temporary changes and tax losses. The time horizon used for the test is 5 years (2019-2023).

Net profit for the year after taxes is Euro 445.8 million (Euro 176.9 million at 31 December 2017). The net profit attributable to minority interests is Euro 43.8 million (Euro 0.4 million at 31 December 2017).

The net profit pertaining to the Parent Company amounts to Euro 402.0 million (Euro 176.4 million at 31 December 2017).

(in thousands of Euro)

Profit (Loss) for the year	31.12.2018	31.12.2017	Change	% Change
1. BPER Banca S.p.A.	306,715	208,844	97,871	46.86
2. BPER Bank Luxembourg s.a.	2,750	2,916	(166)	-5.69
3. Banca di Sassari s.p.a.	9,873	4,930	4,943	100.26
4. Banco di Sardegna s.p.a.	74,910	8,884	66,026	743.20
5. Cassa di Risparmio di Bra s.p.a.	6,707	430	6,277	--
6. Cassa di Risparmio di Saluzzo s.p.a.	717	960	(243)	-25.31
Total banks	**401,672**	**226,964**	**174,708**	**76.98**
Other companies and consolidation adjustments	281	(50,526)	50,807	-100.56
Total	**401,953**	**176,438**	**225,515**	**127.82**

6.5 Employees

Employees	31.12.2018	31.12.2017	Change
1. BPER Banca S.p.A.	8,292	8,323	(31)
2. BPER Bank Luxembourg s.a.	20	18	2
3. Banca di Sassari s.p.a.	146	134	12
4. Banco di Sardegna s.p.a.	2,425	2,451	(26)
5. Cassa di Risparmio di Bra s.p.a.	164	168	(4)
6. Cassa di Risparmio di Saluzzo s.p.a.	183	185	(2)
Total banks	**11,230**	**11,279**	**(49)**
Subsidiaries consolidated line-by-line	385	374	11
Total of balance sheet	**11,615**	**11,653**	**(38)**

The employment numbers stated relate to the position at 31 December 2018.
The Group companies' employees at 31 December 2018 include 1,491 persons seconded within the Group (1,463 at 31 December 2017), of which 1,088 are with BPER Services s.c.p.a. (1,061 at 31 December 2017) and 162 are with BPER Credit Management s.c.p.a (163 at 31 December 2017).

6.6 Geographical organisation

Branches	31.12.2018	31.12.2017	Change
1. BPER Banca S.p.A.	827	827	-
2. Banco di Sardegna s.p.a.	336	336	-
3. Cassa di Risparmio di Bra s.p.a.	28	28	-
4. Cassa di Risparmio di Saluzzo s.p.a.	27	27	-
Total Italian bank	**1,218**	**1,218**	**-**
5. BPER Bank Luxembourg s.a.	1	1	-
Total	**1,219**	**1,219**	**-**

7. Principal risks and uncertainties

7.1 Identification of risks, the uncertainties that characterise them and the approach to manage them

BPER Banca Group establishes its risk governance, assumption, control and monitoring policies on the basis of guidelines approved by the Parent Company's Board of Directors and that are applicable to all organisational units of the Parent Company and other Group companies; these regulate the management and control process, which is designed to cope with the risks to which they are exposed, as well as the roles of the bodies and functions involved.
To ensure the achievement of strategic and operational objectives, BPER Banca Group considers its Internal Control System (governed by "Group Guidelines - Internal Control System", in line with Bank of Italy Circular 285 of 17 December 2013 – Supervisory instructions for banks) to be a fundamental element of the risk governance system and as a means of ensuring that the business is run in line with its corporate strategies and policies, as well as in compliance with concepts of sound and prudent management.
This system is organised to improve profitability, protect its financial strength, ensure compliance with internal and external regulations and codes of conduct, promote transparency towards the market by managing the risks taken on by the Group and, more in general, to ensure that the business is run in accordance with the Group's strategies and declared risk appetite. BPER Group's internal control system involves corporate bodies, control functions and line structures and is designed to take account of the business specifics of each Group Company and to comply with the principles established by the Supervisory Authorities, being:

- proportionality in the application of rules according to size and operations;
- gradual and progressive transfer to more advanced methodologies and processes for measuring risk and the capital that is available as a result;
- unity in the definition of the approaches used by the various functions foreseen in the Group's organisational system;
- economy: containment of costs for intermediaries.

The BPER Banca Group uses the Risk Appetite Framework (RAF), the instrument to monitor the risk profile, that the Group deemed acceptable for implementation of the business strategies adopted by the Group (for further details, see Part E - Information on risks and related hedging policy of the Notes).
To ensure the implementation and in compliance with prudential supervisory regulations (Bank of Italy Circular 285 of 7 December 2013 and subsequent updates), the BPER Banca Group performs an accurate identification of the risks to which it is or could be exposed by taking account of its operations and markets. This involves periodic updating of the "Map of Group Risks", which illustrates the relative position of the Bank with respect to Pillar 1 and 2 risks[38], with a current and forward-looking perspective, in order to foresee any risks capable of impacting on the operations of the Group or of the respective legal entities, recognising that this document has value as a management and risk governance tool.

The scope of "significant risks", monitored and integrated into the economic capital, is as follows:

- Pillar 1 risks (credit, counterparty, market, operational);

[38] Bank of Italy Circular no. 285/13, Title III - Chapter 1 - Attachment D.

- Pillar 2 risks (concentration, interest rate, liquidity, residual, strategy/business, reputational, equity, non-compliance, unintentional error and fraud in financial reports, sovereign, anti-money laundering and terrorist financing).

Identification of these risks also considered their inherent uncertainties, understood as possible events whose potential impact is not quantifiable at present. The outlook for operations, formulated on the basis of what is included in the recently approved 2019-2021 Business Plan of the BPER Banca Group, considers a scenario in which growth expectations are confirmed as favourable, while there are also some uncertainties, among which we would highlight in particular:

- the evolution of the macroeconomic framework (in turn influenced mainly by the spread between Italian and German government bonds, the trend in market rates, the trend of the global economy);
- the evolution of the political framework (depending on the European and national political elections of 2019, on the type of agreement that the United Kingdom and the European Union could reach (Brexit), on the progressive elimination of extraordinary stimulus measures by some of the main central banks, on the high level of global indebtedness);
- the evolution of the regulatory context, characterised by continuous updating at both European and national level.

In line with the RAF defined by the Parent Company, for each risk identified as significant, the Board of Directors of BPER Banca sets, with a special "governance policy", the risk objectives, the related risk exposure and operational limits and the "process of risk assumption and management.

In line with the relevant regulations, the Corporate Bodies have a central role in the process of risk governance, providing for certain responsibilities with regard to the design, implementation, evaluation and external communication, as part of the development of the Group's system of internal controls.
The Parent Company's Board of Directors therefore performs the strategic supervision function at Group level, intervening in all phases envisaged by the model and, by issuing strategic directives, involving the Boards of Directors of the individual Group Banks and Companies for the activities that are their responsibility, i.e.:

- it gives the CEO adequate powers and resources to implement the strategic guidelines, the RAF and risk governance policies defined by the Board of Directors of the Parent Company in the design of the internal control system and is responsible for taking all the necessary steps to ensure that the organisation and its internal control system comply with the principles and requirements laid down in regulatory provisions, monitoring compliance on an ongoing basis;
- it receives, either directly or through the CEO, the information flows required to gain a full awareness of the various risk factors and the ability to govern them, as well as to plan and implement interventions to ensure the compliance and adequacy of the Internal Control System.

The various bodies of the Parent Company with delegated powers (i.e. the Executive Committee, Chief Executive Officer and Executive Board, in other words those with appropriate powers to carry on the functions of day-to-day management) perform the management function in all stages of the model. Added to these are the delegated bodies of the individual Companies that ensure implementation of management's strategies and policies at their own level.
The Boards of Statutory Auditors of the Parent Company and of Group companies, each to the extent of its own responsibilities, carry out the assessment of the internal control system foreseen by law and the articles of association and have the responsibility of ensuring the completeness, suitability and

functionality of the internal control system and of the RAF. The results of these assessments are brought to the attention of the respective Boards of Directors.
Risk governance is also assisted by the articulated and consolidated system of Group Committees, which meet on a regular basis (also expanded to include the General Management of Group Banks), monitoring of the overall risk profile of the Group and contributing, together with the Parent Company's Board of Directors, to the definition of the risk management policies.
The following tasks are generally assigned to the Committees:

- to communicate and share information on changes in the Group’s risk profile;
- to implement the function of guidance and coordination entrusted to the Parent Company;
- to support the competent Corporate Bodies in the area of risk management;
- to identify and propose strategic guidelines and policies for the management of Group risk.

In particular, the Risks Committee, a body with consultative powers, assists the Chief Executive Officer in the determination and implementation of the risk appetite framework, of risk governance policies and of the capital adequacy process for the Group and the companies belonging to it, as well as in the preparation of management reporting on risks and development and monitoring of the system of operating limits.

To this effect, the Committee is responsible for examining the following issues:

- risk capacity, risk appetite, risk tolerance, risk profile and risk limits under both normal and stressed conditions;
- consistency of and constant link between and among the business model, the strategic plan, the RAF, ICAAP and ILAAP processes, the budget, business administration and the internal control system;
- the risk management process indicates the series of rules, procedures, methodologies and models, resources (human, technological and organisational) and control activities to identify, measure or assess, monitor, prevent or mitigate and to communicate, by means of a specific reporting process, all risks assumed or assumable by the Group.

The Risks Committee is also responsible for the examination of methodologies, tools, reporting and internal regulations attributable to the Risk Management, Compliance, Anti-Money Laundering, Validation functions and to the Manager responsible for preparing the company's financial reports (hereinafter Manager responsible).

Decentralised at the individual Group companies there are people who act as "Contacts" for all of the second level control functions, in addition to the officer responsible for the area, for the following purposes:

- overseeing operations in line with the Parent Company's duties of guidance and coordination, taking into account specific local aspects and the type of business carried on by individual Group companies;
- ensuring effective operational links between the Parent Company and each Group company;
- all communication flows to corporate bodies.

With respect to reporting, the Group has prepared an organic set of periodic reports to ensure the provision of adequate information to the Corporate Bodies of the Parent Company and the Group Banks about their risk exposure. The analyses contained in these reports are discussed in the various committees and are the basis of the assessment of capital adequacy, subsequently brought to the attention of Parent Company's Board of Directors.

For more information and details on the overall control system implemented at the Banking Group and on the tasks assigned to each identified control body or function, please refer to the information provided in the Explanatory Notes, Part E - Information on risks and related hedging policy (particularly the "Introduction" to the qualitative and quantitative information).

Credit risk

With regard to credit risk, the measurements made by the internal rating system are used for management reporting purposes. In particular:

- on a quarterly basis we elaborate the Credit Risk Book, which is the basic information support for the Risks Committee and contains detailed reports at a consolidated and individual company level;
- a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit and concentration risk;
- a network reporting tool is prepared, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

With reference to the Internal Rating System, the significant activities of 2018 include:

- the LGD (Loss Given Default) model update;
- recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties;
- activities to adapt internal models to the new definition of default;
- recalibration of the risk models to IFRS 9;
- performance of activities linked to TRIM (Targeted Review of Internal Models).

Advanced methodologies (AIRB) based on internal ratings have long been used as part of the process of defining capital adequacy (ICAAP).

Following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the June 2016 Regulatory Reports, the BPER Banca Group is using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- "Exposures to retail businesses";
- "Exposures to companies".

Relating to the other Group companies and asset classes for which Permanent Partial Use (PPU) is not required or which are not included in the roll-out plan, the BPER Banca Group will continue to use the Standardised Approach and the external ratings supplied by the ECAIs (external agencies for the assessment of creditworthiness) recognised by the Supervisory Authority. In particular, the Group used the Cerved Rating for "Exposures to companies", the Scope Ratings AG Rating for "Exposures to central administrations or central banks", the Fitch Rating for "Financial Instruments" lodged in guarantee, "Exposures to UCITS" and “Exposures to securitisation”, the Standard & Poor’s Rating for "Exposures to securitisation”.

Financial risk

An analytical system is used to measure, monitor and report on market, counterparty, liquidity and interest-rate risks. Guidance on management policies for market risk (VaR - Value at Risk), interest rate risk (ALM) and liquidity risk (operational and structural) is provided by the ALCO and Finance Committee and the Liquidity Committee. Operational reports are prepared on the risk profile, with frequencies varying from daily to monthly dependent on the characteristics of each risk that is monitored. Every quarter, an overall report on financial risks is presented to the Risks Committee and the Board of Directors.

Operational risk

As regards the governance of operational risk, starting from the supervisory reports at 31 December 2013, the BPER Banca Group adopted the Traditional Standardised Approach (TSA) to calculate the capital requirement for operational risk.
The model of operational risk governance and management adopted by the BPER Banca Group, designed to identify, assess, monitor, mitigate and report operational risks to the appropriate hierarchical levels, is formalised in specific internal rules. It provides for the centralised management at the Parent Company by the Credit and Operational Risk Department, which has a Contact of the Risk Management Department in place at all Group banks and companies.
The BPER Banca Group has specific criteria for allocating the relevant indicator to the lines of business foreseen in the regulations. The operational risk management and measurement system adopted by the BPER Banca Group is ensured by:

- the Loss Data Collection process: a system for collecting and recording loss events resulting from operational risks;
- the "Prospective measurement of operational risk" process: identification and measurement of the exposure to operational risk;
- system of reporting and communication to the Board of Directors and Senior Management, together with procedures to undertake appropriate mitigation actions based on the information flows sent.

The combined analysis of loss data collection and the prospective measurement of operational risk makes it possible to identify areas of vulnerability in which operating losses are more concentrated, in order to understand the underlying causes and highlight the opportunity for corrective actions, including insurance cover (external transfer of risk).
The prospective measurement of operational risk, based on subjective estimates of the exposure to operational risk collected from the individual business units within the Group (*Risk Self Assessment*), has been supplemented since 2016 by a component that uses quantitative models to provide a summary measure of the exposure to operational risk (Scenario Analysis).

Since 2015, the BPER Banca Group has implemented an analytical framework for IT risk, with the aim of providing a representation of the current situation and the adjustment interventions necessary to avoid exceeding the threshold set for the Group's risk appetite.
Specific analysis is conducted on the security of internet payments.

Reputational risk

Commencing from 2017, the BPER Banca Group has implemented a framework for the management of reputational risk in order to monitor, manage and periodically present in an organised manner the position of the Group in relation to this risk, together with the corrective actions needed to mitigate any vulnerabilities identified.

The principal elements comprising the framework for the management of reputational risk are described and formalised in the "Group policy on the governance of reputational risk". This document centralises the management of this activity within the Operations and Credit Risk Department of the Parent Company, and specifies the responsibilities of the organisational units within the Parent Company and the Group companies concerned, both under normal operating conditions and should any "critical reputational events" occur.

The system of reputational risk management adopted by the BPER Banca Group has the following components:

- identification and assessment of risk based on Reputational Data Collection and Reputational Self Assessment;
- monitoring of the Group's exposure to reputational risk using a series of specific Key Risk Indicators;
- management of critical reputational events (*escalation*): management of particularly critical reputational events, by means of a functional escalation process and the determination of short and long term responses and mitigation;
- reporting: preparation of suitable reports, based on the various processes/sub-processes comprising the framework, in order to present in summary form the outcome of the risk management activities to all bodies and functions concerned.

No objectives and operational or exposure limits have been defined for this risk, as no internal capital is allocated to cover it.

Business Continuity

The Bank of Italy introduced specific requirements on business continuity for banks and banking groups in its Supervisory Provisions for Banks (Bank of Italy Circular No. 285 of 17 December 2013, Title IV, Chapter 5 - 17th update of 27 September 2016).

The BPER Banca Group has set up a business continuity management framework that is part of the Group's overall risk governance policy. The main elements of the framework are described and formalised in the "Group Regulation of the Business Continuity Management Process within the Group" and in the Business Continuity Plan. The latter in particular:

- identifies the critical processes, i.e. those processes that require high levels of Operational Continuity due to the relevance of the damages deriving from their unavailability and expected recovery times;
- identifies the critical resources supporting these processes, which are therefore indispensable for their continuity;
- describes the recovery solutions for these processes, broken down by hypothetical crisis scenario, including a link to the Disaster Recovery Plans for handling the situation if the information system goes down;
- describes the internal procedures for identifying emergencies and crises and for activating the related management structures;

- describes the internal emergency and crisis management procedures, including communication procedures for all of the stakeholders involved (internal and external to BPER);
- describes the procedures for restoring ordinary operations once emergencies and crises are over;
- identifies the BPER structures and corporate bodies, involved in the process of management of ordinary business continuity and in the event of emergencies/crises, governing their roles and responsibilities;
- expresses any specificities of implementation of the Group Regulation of the Business Continuity Management Process in the Group, declaring the reasons for it (e.g. technical-implementation constraints relating to specific restoration solutions).

The Parent Company's Board of Directors' meeting in November 2018 was presented with the update of the Parent Company's Business Continuity Plan for approval. This made it possible to:

- update the plans of the Banking Group Banks and Companies that included critical processes;
- update the Disaster Recovery Plans of operating companies.

During 2018, the innovative elements that characterised the Group's operations regarded:

- publication of the Group Organisational Procedure for the “Routine management of operational business continuity”, which completed the detailed governance of the sub-processes underlying the update of impact analyses and the preparation of Continuity Plans;
- finalisation of the ORBIT system (software version 4) which, from the current year, guarantees the effective management and use of the information needed to ensure continuity at banks and group companies, as well as prepare the technical attachments to the Business Continuity Plan;
- adoption of a mass notification solution that will be useful in emergency situations;
- delivery of additional training sessions designed to decentralise business continuity skills, thus empowering the managers of critical processes;
- finalisation of the layout of forms and the adoption of quali/quantitative parameters usable by individual process managers to update them, as envisaged in the current regulations.
- monitoring of Business Continuity Contacts at Suppliers that were considered critical during the Impact Analysis phase;
- completion of the disaster recovery site in Predda Niedda, Sassari (where critical processes can be continued if the main facilities are down), on top of the back-up sites already active on the mainland.
- a new motorhome to be used as a "mobile branch" during emergencies was kitted out. It replaced the previous vehicles equipped as branches that were used after the floods and earthquakes that hit Emilia and Abruzzo. The mobile branch is fully equipped and fully operational.

In 2018 the Group commissioned an external review (Panta Ray s.r.l.) with a "Quality Review" evaluation of the Business Continuity Plan. This assessment, which was performed in accordance with the methodological principles promoted by the BCI Good Practice Guidelines and in compliance with the principles promoted by the main Standards (ISO 22301: 2012), ended with a very positive outcome.

As regards the Group annual test plan, 7 business continuity tests were carried out with positive results (2 exercises related to the unavailability of human resources, 2 exercises related to the unavailability of sites, 3 carried out in walk-through mode for scenarios involving the unavailability of infrastructures and the unavailability of the primary facility) and 3 disaster recovery tests (scenario when information systems are not available). It should be pointed out the participation of Group entities in 4 tests performed by critical suppliers.

7.2 Disclosure of exposures to sovereign debt held by listed companies

Details are provided below of bonds issued by central and local governments and by government entities, as well as loans granted to them as required by CONSOB Communication DEM/11070007 of 5 August 2011 and by the letter sent to listed Banking Issuers dated 31 October 2018.

Debt securities

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	OCI Reserves	%
Governments (*):			**5,873,619**	**6,324,508**	**6,167,579**	**(28,493)**	**95.56%**
Italy	BBB		**4,769,559**	**5,234,639**	**5,080,847**	**(35,066)**	**79.09%**
		FVTPLT	12,442	12,778	12,778	#	
		FVO	170,000	203,256	203,256	#	
		FVTPLM	50,000	51,569	51,569	#	
		FVOCI	1,213,617	1,256,841	1,256,841	(35,066)	
		AC	3,323,500	3,710,195	3,556,403	#	
European Stability Fund	AA		**280,000**	**294,706**	**292,461**	**6,238**	**4.45%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	170,000	178,806	178,806	6,238	
		AC	110,000	115,900	113,655	#	
U.S.A.	AAA		**240,000**	**208,851**	**210,659**	**(3,017)**	**3.16%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	120,000	103,828	103,828	(3,017)	
		AC	120,000	105,023	106,831	#	
Spain	A-		**290,000**	**295,309**	**293,125**	**-**	**4.46%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	-	-	-	-	
		AC	290,000	295,309	293,125	#	
Belgium	AA-		**120,000**	**120,367**	**120,765**	**-**	**1.82%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	-	-	-	-	
		AC	120,000	120,367	120,765	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	OCI Reserves	%
France	AA		**100,000**	**98,570**	**98,570**	**3,325**	**1.49%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	100,000	98,570	98,570	3,325	
		AC	-	-	-	#	
Others			**74,060**	**72,066**	**71,152**	**27**	**1.09%**
		FVTPLT	2,060	2,024	2,024	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	19,000	17,616	17,616	27	
		AC	53,000	52,426	51,512	#	
Other public entities :			**293,256**	**294,070**	**293,846**	**409**	**4.44%**
Italy	-		**32,256**	**33,493**	**33,999**	**-**	**0.51%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	709	702	702	-	
		AC	31,547	32,791	33,297	#	
Canada	-		**48,000**	**48,405**	**48,405**	**(29)**	**0.73%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	48,000	48,405	48,405	(29)	
		AC	-	-	-	#	
Japan	-		**31,000**	**26,543**	**26,543**	**(511)**	**0.40%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	31,000	26,543	26,543	(511)	
		AC	-	-	-	#	
France	-		**80,000**	**79,784**	**79,784**	**949**	**1.21%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	80,000	79,784	79,784	949	
		AC	-	-	-	#	
Germany	-		**102,000**	**105,845**	**105,115**	**-**	**1.60%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	-	-	-	-	
		AC	102,000	105,845	105,115	#	
Total as at 31.12.2018			**6,166,875**	**6,618,578**	**6,461,425**	**(28,084)**	**100.00%**

(*) The individual percentages shown in the above table may not agree with the total because of roundings.
The ratings indicated are those of Fitch Rating at 31 December 2018.

Loans

Issuer	Rating	Cat	Nominal value	Book value	Fair value	OCI Reserves	%
Governments:			**2,041,313**	**2,041,313**	**2,041,313**	**-**	**87.87%**
Italy	BBB		**2,041,313**	**2,041,313**	**2,041,313**	**-**	**87.87%**
		FVTPLT				#	
		FVO				#	
		FVTPLM				-	
		FVOCI				#	
		AC	2,041,313	2,041,313	2,041,313	#	
Other public entities:			**281,697**	**281,697**	**298,062**	**-**	**12.13%**
Italy	-		**279,318**	**279,318**	**295,683**	**-**	**12.02%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	-	
		FVOCI	-	-	-	#	
		AC	279,318	279,318	295,683	#	
Algeria	-		**2,379**	**2,379**	**2,379**	**-**	**0.11%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	-	
		FVOCI	-	-	-	#	
		AC	2,379	2,379	2,379	#	
Total loans as at 31.12.2018			**2,323,010**	**2,323,010**	**2,339,375**	**-**	**100.00%**

The ratings indicated are those of Scope Ratings at 31 December 2018.

Based on their "Book Value", repayment of these exposures is distributed as follows:

	on demand	until 1 year	1 to 5 years	over 5 years	Total
Debt securities	-	177,635	1,802,011	4,638,932	**6,618,578**
Loans	242,596	985	102,741	1,976,688	**2,323,010**
Total	**242,596**	**178,620**	**1,904,752**	**6,615,620**	**8,941,588**

Control over the risks inherent in the portfolio is maintained by the directors who monitor the effects on profitability, liquidity and the Group's capital base, also through sensitivity analyses. No critical elements have been identified on the basis of these analyses.

7.3 Brexit: uncertainty, risks and opportunities

At present, with the rejection by the British parliament of the Brexit deal, the uncertainty about how and when the United Kingdom is leaving the EU is growing.
The scenario ranges from "no Brexit" to "no deal", with the possibility of early elections or an extension of negotiations as envisaged by art. 50 of the Treaties.
Rejection of the agreement increases uncertainty and this makes operators' strategies more complex. The United Kingdom is the European country most exposed to the uncertainties linked to Brexit: since 2016, GDP has seen a sharp slowdown in consumption and investment (risk of a potential downsizing of potential growth).
Italian and European companies will first have to face the problems related to the choice of the United Kingdom as a logistics base or as a territory on which they have concentrated their activities and/or are part of value chains distributed on a European basis. This is also true for multinational companies that rely on the London market for financial services; they have begun to move their headquarters to Europe. All of this will not happen at zero cost. Firstly, there is the possibility that there may be increases in the cost of credit for companies.
Secondly, Italian exporting companies will have to face the possibility of a "no deal" (in which they could end up using WTO tariff rules), or even in the case of an "orderly Brexit", the challenges are important given that products Made in Italy sold to the British market represent 5% of Italian exports (in any case lower than that of the main European partners). The sectors most exposed are beverages, wine, agrifood, wood/furniture and vehicles for a total of just over Euro 23 billion. The increased costs (such as customs duties, value added taxes and excise duties on imports) and the possible lengthening of customs clearance times (crucial for fresh products) will represent the main challenges for the entire commercial sector.
Brexit could set in motion the reallocation of foreign direct investments to other EU countries. The Confindustria Study Centre estimates that for Italy it could lead to an increase in this element by approximately Euro 26 billion.
The modest growth of the Italian economy expected in 2019 by the main national and foreign institutions may not entail any real advantages for our country and for local businesses as a result of Brexit. Only those that are more structured in foreign markets will probably be able to gain some significant benefit.

8. Other information

8.1 Treasury shares

No quotas or shares in Group companies are held through trust companies or other third parties; furthermore, such parties were not used during the period to buy or sell shares or quotas in Group companies.

The carrying amount of the Group's interest in the treasury shares held by consolidated companies, classified as a deduction from shareholders' equity caption 180, is Euro 7,258 thousand, of which Euro 7,253 thousand relates to BPER Banca shares held by the Parent Company.

Shares of BPER Banca S.p.A.	Number of shares	Total par value
Totale al 31.12.2018	455,458	7,253,180
Totale al 31.12.2017	455,458	7,253,180

There are also 55,926 shares relating to Banca di Sassari s.p.a., held by it, for a total of Euro 5 thousand.

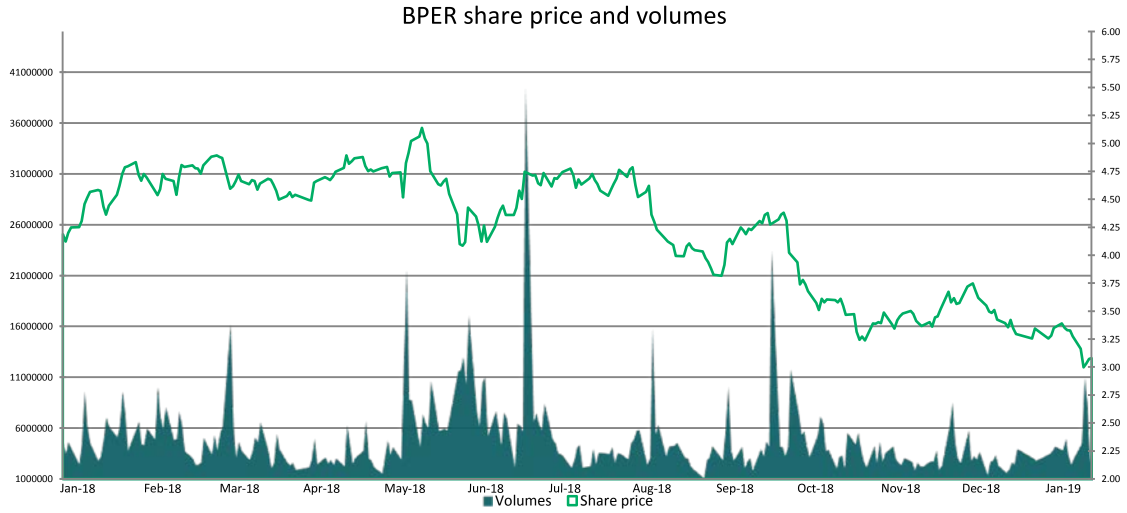
8.2 Share price performance

In 2018 there was a general decline in share prices, mainly due to the emergence of concerns about a slowdown in the global economy, which became more evident in the second half of the year. In the United States the S&P500 index fell by 7%, in Europe the declines were more marked, with the Euro Stoxx 50 index down by 14.8%.

The Italian FTSE MIB index was among those that suffered the most substantial losses, falling by 16.1%. Political uncertainty in Italy, the widening of the BTP-Bund spread and fears over a possible economic slowdown negatively affected the performance of the banking sector, despite significant improvements in fundamentals and effective action at system level to reduce risk. The banking sector index has fallen by 30.3% since the beginning of the year.

Against this difficult background, the BPER share price has recorded a lower decline than the average of other Italian banks. BPER Banca's official share price went from Euro 4.2333 at 31 December 2017 to Euro 3.3437 at 31 December 2018.

The trading volumes of BPER Banca shares have stabilised at a daily average of about 5 million shares since the beginning of the year, reflecting the stock's good liquidity and visibility for investors.

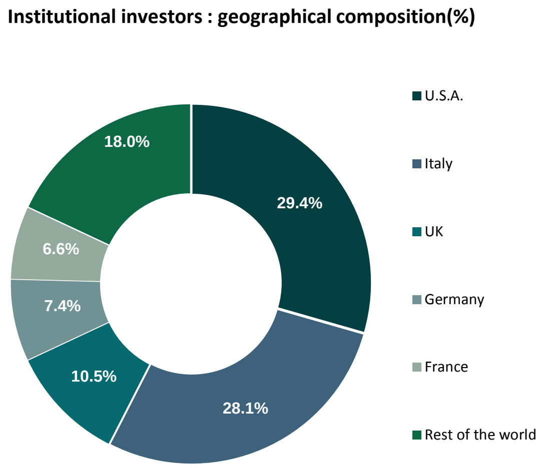


8.3 Breakdown of ownership structure

BPER Banca has been a joint-stock company since 26 November 2016, when the Extraordinary Shareholders' Meeting approved the proposal to transform Banca popolare dell'Emilia Romagna from a cooperative to a joint-stock company, under the name of BPER Banca S.p.A.

The share capital (fully subscribed and paid in) amounts to Euro 1,443,925,305 and consists of 481,308,435 registered ordinary shares (including 455,458 treasury shares), with no nominal value.

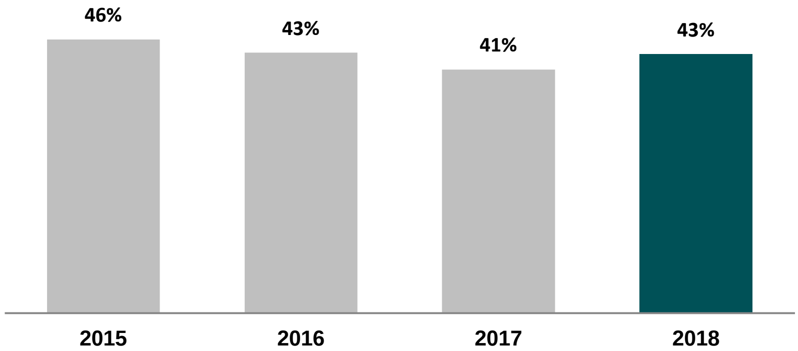
The total number of shares held by "institutional" shareholders[39] comes to 43% of the float[40]. As regards the geographical breakdown of institutional investors, Italy represents 28.1%, the USA 29.4%, while the UK and Germany are respectively at 10.5% and 7.4%, as shown in the chart below.



[39] *Institutional Shareholders/Investors: meaning the entities known as "Undertakings for collective investment of transferable securities" (UCITS), mutual funds (securities, real estate and speculative) and SICAVs, pension funds, insurance companies and banks. All other subjects, including banking foundations, are not considered in this category.*

[40] *Float: with reference to 22 May 2018, meaning the total number of shares issued (481,308,435), net of treasury shares held in portfolio (455,458).*

Shares of BPER Banca held by institutional investors



Unipol increases its investment in BPER Banca

Following authorisation from the competent Authorities, the UNIPOL Group increased its interest in the share capital of BPER Banca to 15.06% at the end of June 2018. Commenting publicly on this initiative, the shareholder confirmed its desire to support the activities of the Bank over the medium-long term. This strategic objective was well received by the management of the Parent Company.

8.4 Ratings as at 31 December 2018

Fitch Ratings

At 31 December 2018, the rating issued by Fitch in April 2018 has been confirmed, as detailed below.

International Rating Agency	Issue date	Short Term	Long Term	Outlook	Viability Rating	Support rating	Support rating floor
Fitch Ratings	27.04.2018	B	BB	Positive	bb	5	No floor

Short Term (Issuer Default Rating): Debt repayment capacity in the short term (less than 13 months) (F1: best rating – D: default).
Long Term (Issuer Default Rating): Ability to meet financial commitments in a timely manner regardless of the maturity of the individual bonds. This rating is an indicator of the issuer's probability of default. (AAA: best rating – D: default).
Outlook: indicates the possible future evolution of the rating, which can be "positive", "stable" or "negative".
Viability Rating: Evaluation of the bank's intrinsic solidity, seen on the assumption that it cannot rely on extraordinary forms of external support (aaa: best rating – f: default).
Support rating: Judgement on the probability of any extraordinary external intervention (by the Government or by reference shareholders) if the bank finds it difficult to honour its senior bonds. [1: high probability of external support – 5: inability to rely on any support (as in the case of European banks under the BRRD resolution scheme).
Support rating floor: This rating is an accessory piece of information, closely related to the Support Rating, as it identifies, the minimum level for each level of Support Rating that the Issuer Default Rating could reach in the case of negative events (No Floor for European Banks under the BRRD resolution scheme).

Moody's

At 31 December 2018, the rating issued by Moody's in October 2017 has been confirmed, as detailed below.

International Rating Agency	Issue date	Short Term Deposit	Long Term Deposit	Outlook (Long-term Deposit)	Long Term Issuer	Outlook (Long-term Issuer)	Senior Unsecured Medium-Term Note Program	Baseline Credit Assessment ("BCA")
Moody's	24.10.2017	P-3	Baa3	Negative	Ba3	Negative	Ba3	ba3

Short Term Deposit: Ability to repay deposits in local currency in the short term (original maturity equal to or less than 13 months) (Prime-1: highest quality – Not Prime: not classifiable among the Prime categories)
Long Term Deposit: Ability to repay deposits in local currency in the long term (original maturity equal to or greater than 1 year) (Aaa: best rating – C: default)
Outlook: indicates the possible future evolution of the rating that can be "positive", "stable", "negative" or "developing".
Long Term Issuer: Opinion on the issuer's ability to honour senior debt and bonds (Aaa: best rating – C: default)
Baseline Credit Assessment (BCA): The BCA is not a rating but an opinion on the intrinsic financial strength of the bank in the absence of external support (aaa: best rating – c: default)
Senior Unsecured Medium Term Note Program: it represents the long-term rating assigned to the debt

Updates received from rating companies

On 13 February 2019, Moody's raised the outlook (both Long Term Deposit and Long Term Issuer) for BPER Banca to "positive" (from negative). The long-term deposit and issuer ratings of Baa3 and Ba3 respectively have been confirmed.
On 21 February 2019, Fitch Ratings confirmed its "long-term" and "short-term" ratings at "BB" and "B" respectively with a "positive" outlook.

The 2019 rating update is due to the announcement made by the BPER Banca Group on 8 February regarding the acquisition of 100% of Unipol Banca. At the same time, the Parent Company announced the sale of a bad loan portfolio for approximately Euro 1 billion and the purchase of the minority stake in Banco di Sardegna from Fondazione di Sardegna.

8.5 Investigations and audits

Note that the disclosure provided below is for information purposes only with regards to the checks carried out as part of the ordinary supervisory activity to which the BPER Banca Group is subject, as it operates in a highly regulated sector. As indicated in the notes to this interim consolidated report, the directors are of the opinion that the observations that emerged in the various inspection areas do not entail significant impacts in terms of income, assets and cash flows of the BPER Banca Group. In any case, the Group always prepares suitable action plans to implement the Supervisory Authority's recommendations as quickly as possible.
The most significant updates in 2018 are detailed below.

CONSOB

At the date of these financial statements, no inspections or audits are in progress. The Brokers Division held a meeting to discuss topics related to the new MiFID II regulations in March 2018, followed by a written communication in which the activities carried out by the BPER Banca Group were explained in greater detail following the entry into force of the new rules last September 2018.

European Central bank – ECB

The following information relates to the ECB's inspections on the BPER Banca Group currently in progress (i.e. already carried out, but with action plans completed in 2018).

1) An inspection at BPER Banca between 15 December 2016 and 28 March 2017 to assess the accuracy of the calculation of its financial position. On 16 August 2017, the ECB sent its follow-up letter on the results of the inspection, to which the Bank answered on 11 September 2017 by preparing a specific action plan for the following areas of intervention:

- improvements to internal controls over compliance with regulatory requirements (particularly of capital transactions and the identification of cross-holdings);
- implementation of internal regulations for the management of own issue subordinated shares or bonds acquired as collateral for lines of credit granted by the BPER Banca Group (providing for their deduction from own funds in the event of guarantees acquired at the reporting date).

Progress on the Action Plan have been reported to the ECB quarterly up to 30 September 2018.

2) From 20 September 2017 to 13 December 2017, BPER Banca was involved in an inspection to assess the systems of management and control of market and liquidity risks. The ECB follow-up letter on the results of the inspection was received on 21 June 2018 and the Bank answered it on 19 July 2018 by preparing a specific action plan with respect to the following areas of intervention:

- further strengthening of the Risk Appetite Framework (RAF), including greater coverage of the risks deriving from the management of financial portfolios;
- integration of the current management and measurement frameworks for the following types of risk: i. liquidity risk and related LCR reporting; ii. market risk and related methods for calculating VaR; iii. risks deriving from the exposures in the banking book, including the coverage of all trend indicators; iv. profitability and the related model of Fund Transfer Pricing - FTP.

This work is scheduled for completion by 30 June 2019. Progress on the Action Plan is reported to the ECB on a quarterly basis.

3) The BPER Banca Group was audited between 12 March 2018 and 8 June 2018 in order to assess its operational risks. The ECB follow-up letter on the results of the inspection was received on 6 February 2019 and the Bank answered it by preparing a specific action plan with respect to the following areas of intervention:

- further strengthening of Loss Data Collection processes - LDC and reporting;
- better mapping of business lines;
- strengthening of the limits and risk monitoring system;
- complete implementation of the system for asset management and configuration;
- completion of the system for problem and change management.

4) In September 2018 an inspection was also initiated at BPER Banca spa concerning the assessment of internal models (Targeted Review of Internal Models – TRIM), which is being completed at the balance sheet date.

5) November 2018 saw the start of the inspection called the Credit Quality Review (CQR) which the ECB is carrying it out at all supervised banks. The inspection involves analysing a sample of Corporate loans of

various Group Banks and Companies, as well as checking that the internal credit processes and procedures comply with the Supervisory Regulations. These activities are progressing regularly and it is expected that the inspection will finish by the end of Spring 2019.

Furthermore, as part of the continuous supervision procedures, the ECB has carried out remote interventions on the issues mentioned below.

a) Activities in relation to Non-performing Loans (NPL)

From the end of January 2016 to March 2017, the BPER Banca Group was involved in an assessment of the strategy, governance, processes and methodology adopted by the Group concerning non-performing loans (NPLs).
The ECB's letter on the results of the NPL qualitative assessment was received on 30 March 2017. The Parent Company BPER Banca S.p.A. answered it on 28 April 2017, providing details of the corrective actions laid out in an action plan, the main lines of which are: i. integration of the NPL strategy within the Risk Appetite Framework (RAF), the internal capital adequacy assessment process (ICAAP) and the recovery plan; ii. reinforcement of Board supervision on non-performing loans via a specific monitoring system supported by key performance indicators; iii. finalisation of the process of identifying forborne exposures; iv. finalisation of the revision and integration of the policies for measuring the non-performing portfolio to consider the different processes for assessing situations of "going concern" and "gone concern"; v. update of the procedures for appraising the value of properties backing non-performing loans, applying the criteria indicated in the guidelines for non-performing loans).
All the work was completed by 31 March 2018.

b) Audit on the topic of implementing IFRS 9

From 2 December 2016 to 30 November 2017, BPER Banca was audited on the implementation of IFRS 9, in order to assess preparations by the Bank and the Group and the impact of the new rules on the accounting treatment of financial instruments on processes, infrastructure and capital for regulatory purposes (stage 1 and stage 2).
The results of this analysis were received on 4 September 2017 and 18 April 2018, together with the ECB's observations, which mainly relate to the adjustment: i. of classification and measurement policies; ii. of business processes and related control system.
The corrective actions addressing the recommendations that emerged from both phases have been documented in action plans sent to the ECB and the detailed steps were identified by 30 June 2018.

c) Audit of profitability factors

From 9 March 2017 to 30 September 2017 the Bank was audited on the topic of profitability factors. The ECB's letter on the results of this audit was received on 24 April 2018, to which the Bank provided feedback with a specific action plan on 22 May 2018, which includes interventions in the following areas: i. capital allocation process; ii. cost management; iii. pricing policies.
The related work was completed by 31 December 2018.
Progress on the Action Plan has been reported to the ECB on a quarterly basis.

d) Other supervisory activities

In addition, during 2018:

- the 2018 Recovery Plan of the BPER Banca Group was updated, incorporating the improvements suggested by the Joint Supervisory Team after its assessment of the 2017 Recovery Plan. The

document was approved by the Parent Company's Board of Directors at the meeting on 20 December 2018 and subsequently sent to the ECB by the deadline;
- activities related to the 2018 ECB Regulatory Stress Tests were carried out.

e) Inspections at subsidiaries

Since January 2018, Banco di Sardegna has been subject to audit by the ECB on the aspects of internal governance and credit risk management as part of the BPER Banca Group.
On 10 October 2018, the ECB received a letter regarding the results of the analysis, which the bank, in agreement with the Parent Company, answered with a dedicated Action Plan on 12 November 2018, which provides for fine-tuning of certain specific aspects of the loan granting process.
The related work is scheduled for completion by 31 March 2019.

Financial administration - admission to cooperative compliance regime

BPER Banca was admitted to the cooperative compliance regime by a Tax Authority Decision dated 25 July 2018, following a process that commenced in December 2017 on presentation of the application and a subsequent investigation to check the adequacy of the Bank's Tax Control Framework. As envisaged in the relevant regulation, BPER Banca has been added to the list of companies admitted to the regime, which is published on the institutional website of the Tax Authorities. The objective of the cooperative compliance regime, introduced in Italy in 2015, is to establish a relationship of trust between the taxpayer and the Administration, thereby raising the level of certainty with regard to significant fiscal matters: this is achieved via constant discussions intended to address possible tax risks in advance. The principal advantages deriving from the new regime are summarised below:
- Sole contact person within the Administration;
- Shortened clearance procedures, with the Tax Authorities committed to responding to questions from companies within forty-five days;
- In the case of risks notified on a complete and timely basis, application of penalties at 50% of the standard rate and, in all cases, if the Tax Authorities do not agree with the position taken by the company, not exceeding the minimum allowed, with the suspension of collection until the assessment has been finalised;
- waiver of the need to lodge guarantees for any reimbursements requested.

8.6 Information on intercompany and related-party transactions

Relations between the various companies included within the scope of consolidation and with associates and related parties were all of a routine nature and were conducted properly.
For details, as required by art. 2497 *bis* of the Italian Civil Code and by the CONSOB Communication DEM 6064293 dated 28 July 2006, reference should be made to Part H of the consolidated explanatory notes.
In accordance with CONSOB's Regulation 17221 of 12 March 2010 and subsequent amendments, issued on the subject of related-party transactions, as well as to the related CONSOB's Regulation DEM 10078683 of 24 September 2010, the BPER Banca Group has adopted specific internal rules to ensure transparency and substantial and procedural correctness of transactions with related parties.
In this context, the Parent Company BPER Banca adopted the "Group policy for the governance of non-compliance risk concerning conflicts of interest with related parties and risk activities with associated persons", which was also implemented by the other Group banks and companies. This Policy also complies with the Bank of Italy's requirements in terms of "Risk activities and conflict of interest versus

related parties and associated persons" as contained in the 9th update on 12 December 2011 of Circular 263 dated 27 December 2006.
The document is published on BPER Banca's website (www.bper.it, in the "Related Parties" section) and on the websites of the other Group banks.
Note that at the end of the year under review, the only Group Bank that is listed and therefore required to observe CONSOB Regulation 17221/10, in addition to the Parent Company, is Banco di Sardegna s.p.a. Without prejudice to the disclosure requirements of IAS 24 (explained in Part H of the Notes, in relation to the scope of application of the international accounting standard), the following is a summary of transactions with related parties, for which information is provided under Regulation 17221/10.

a) more significant individual transactions concluded during the reference period

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
1	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	13 financial/treasury transactions concluded in 2018	(*)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
2	BPER Banca S.p.A.	Emilia Romagna Factor S.p.A.	Directly controlled subsidiary	Credit line	900,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
3	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Credit line	715,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
4	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Credit line	654,500	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
5	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Credit line	497,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

With regard to the bilateral finance/treasury operations concluded between the Parent Company and Banco di Sardegna s.p.a., it should be noted that these allow the subsidiary to source liquidity from the market more effectively.
(*) It should be noted that the 13 transactions mentioned above fall into the range between Euro 275,559 thousand and Euro 1,000,000 thousand.

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
6	BPER Banca S.p.A.	Banca di Sassari S.p.A.	Directly controlled subsidiary	Credit line	630,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
7	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	Credit line	400,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
8	BPER Banca S.p.A.	Cassa di Risparmio di Bra S.p.A.	Directly controlled subsidiary	Credit line	300,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
9	BPER Banca S.p.A.	Alba Leasing S.p.A.	Direct associated company	Credit line	570,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
10	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Securities lending	1,700,000	Information document of 3 August 2018
11	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Credit line	2,500,000	Information document of 30 November 2018
12	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Credit line	950,000	Information document of 30 November 2018
13	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Credit line	300,000	Information document of 30 November 2018
14	Banco di Sardegna S.p.A.	Banca di Sassari S.p.A.	Company belonging to the BPER Banca Group	Credit line	300,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

For the sake of completeness, note the extraordinary transactions approved by the Board of Directors of BPER Banca at the beginning of 2019, of which information was provided under significant events and strategic transactions, namely:

- acquisition of a controlling interest in Unipol Banca s.p.a. from the Unipol Group;
- acquisition of a minority investment in Banco di Sardegna s.p.a. from Fondazione di Sardegna.

On 14 February 2019, the related disclosure documents were published pursuant to art. 5 of CONSOB Regulation 17221/2010; as they were carried out in 2019, they would fall within the scope of more significant related-party transactions.

b) other individual transactions with related parties as defined under article 2427, second paragraph, of the Italian Civil Code, entered into in the reporting period, that have materially impacted the financial position and results of the company

As required by CONSOB Regulation 17221/10 with regard to other transactions with related parties, it is confirmed that no transactions have had a significant effect on the balance sheet or results of the company.
It should be noted that:

- the deed completing the merger by incorporation of Carife Servizi Evolutivi Integrati s.r.l. into Nadia s.p.a. was signed on 13 June 2018, both companies are controlled by the Parent BPER Banca;
- the deed completing the merger by incorporation of Galilei s.r.l. into Nadia s.p.a. was signed on 4 December 2018, both companies are controlled by the Parent BPER Banca;
- the deed completing the merger by incorporation of Polo Campania s.r.l. into Nadia s.p.a. was signed on 10 December 2018, both companies are controlled by the Parent BPER Banca.

These three transactions can be considered less significant.

c) changes or developments in related-party transactions disclosed in the last Annual report that have a material effect on the financial position or results of the companies during the period

During the period, there have been no changes or developments in the related-party transactions described in the last annual report that would have an effect on the financial position or results of the Company.

8.7 Information on atypical, unusual or non-recurring transactions

During 2018 there were no atypical or unusual transactions, as defined by CONSOB Communication DEM 6064293 dated 28 July 2006.
In relation to events and/or transactions that can be defined as typically "non-recurring", there are no further aspects worth mentioning in addition to what has already been commented on concerning:

- transition to IFRS 9 and related tax impact;
- assignment of bad loan portfolios (4Mori Sardegna and Aqui).

Where considered significant, the information on the impacts that the non-recurring events or transactions have had on the economic and financial situation of the Group is provided in the specific sections of the Notes.

8.8 Remuneration policies

The remuneration policies of the entire BPER Banca Group were established during 2018 in accordance with the regulatory requirements.
In particular, in an increasingly sophisticated regulatory environment, the Group has adjusted its policies to the new rules on staff remuneration.
In confirming and consolidating the pillars of its policy, the Group proceeded to the evolution of the remuneration systems to ensure consistency with the Company's strategies and priorities, alignment with the rules and compliance with shareholders' expectations, also with reference to 2019, the next financial year.
In light of the foregoing and in accordance with the provisions of CONSOB on remuneration policies, we prepared a "Remuneration Report pursuant to art. 123-*ter* of Legislative Decree 58 of 24 February 1998, comprising the remuneration policies for 2019 of the BPER Banca Group and the annual disclosure regarding implementation of the remuneration policies for 2018".
This document, which consists of two complementary sections and is accompanied by the certification pursuant to paragraph 2 of article 154-*bis* of the CFA of the Manager responsible for preparing the company's financial reports, summarises the following information:

I. 2019 Remuneration Policies of the BPER Group: this section defines the model adopted by the Group in relation to policies that will be implemented with reference to 2019.
II. 2018 Annual Remuneration Report: this section contains the main results relating to:
   a) Part 1: the items that make up the remuneration, including the conditions applied in the event of the resignation or termination of employment.
   b) Part 2: with particular regard to members of the boards of directors and statutory auditors, general managers and any other managers with strategic responsibilities, it provides a detailed list of the compensation paid in 2018 for any purpose and in any form by the Company, its subsidiaries and affiliates.

Together with this document, the "Proposed remuneration plan pursuant to art. 114-*bis* of Legislative Decree 58 dated 24 February 1998, implementing the remuneration policies for 2019 of the BPER Banca Group" will also be presented to the Shareholders' Meeting, along with a document to provide information on the proposal to adopt the Phantom Stock Plan pursuant to article 84-bis of the Issuers' Regulations and in accordance with the instructions contained in schedule 7 of Appendix 3A.
The Plan provides for a cash bonus that is determined on the basis of the quoted market price of BPER's shares, and is defined as a Phantom Stock Plan, as it is not based on physical delivery of the underlying securities, but on the payment in cash of sums of money corresponding to the value of the underlying shares on specified dates that are decided ex-ante.

Alongside the Phantom Stock Plan and for the three-year period 2019-2021, the BPER Banca Group also envisaged a share-based Long-Term Incentive Plan (LTI Plan). The Group considers the introduction of an LTI Plan strategic; this plan is aimed at a small group of top managers with the objective of aligning their interests with those of the shareholders. The objectives to be achieved were defined in accordance with the relevant provisions and with the 2019-2021 Business Plan presented to the market at the end of

February 2019. The period of measurement of the results (performance period) is multi-year, as it is aligned with the Plan. Please refer to Part I of the notes for further details.

8.9 Report on the Arms Industry

The BPER Banca Group prepared the 2018 Report on the Arms Industry, in compliance with the "Group guidelines governing the relations with defence contractors and manufacturers of armaments".
This annual report, which has been approved by the governing bodies of the Parent Company BPER Banca, reports on the following types of activities in 2018:

- the identification of counterparties affected by the Guidelines;
- calculation of the aggregate of transactions by individual Group bank with an indication of the number and total amounts;
- other relevant aspects such as decisions regarding embargoes of specific countries, any exceptions to the guidelines, staff training, relations with civil society, businesses and entities for identification purposes.

The report will be published on the website, together with the separate financial statements of BPER Banca and the consolidated financial statements of the Group, in the section dedicated to documentation for the Shareholders' Meeting, as well as in the "Sustainability" section.

8.10 Transition to IFRS 15

IFRS 15, published on 22 September 2016, introduces a model for the recognition of revenues deriving from contracts with customers. Please see the Explanatory notes for details of the requirements of this standard.
Implementation of the new standard has been coordinated by a working group reporting to the Administration and Reporting Area, which has carried out specific analyses at Group level, involving the subsidiaries where necessary. Following analyses to identify the contracts with customers and potential changes in revenue recognition, application of the new standard has not had any significant effects.

8.11 Preliminary information regarding the future application of IFRS 16

The regulatory provisions

The new accounting standard IFRS 16, issued by the IASB in January 2016 and endorsed by the European Commission through Regulation 1986/2017, starting from 1 January 2019, will replace IAS 17 "Leasing", IFRIC 4 "Determining whether an arrangement contains a lease", SIC 15 "Operating leases - Incentives" and SIC 27 "Evaluating the Substance of Transactions Involving the Legal Form of a Lease", regulating the requirements for the accounting of leasing contracts.

In addition to providing new rules to identify whether a contract contains a lease, the new standard has changed the methods of accounting for lease transactions in the lessee's and user's financial statements, introducing a single model of accounting for lease contracts by the lessee, regardless of whether they are classified as operating or financial leases.

Specifically, the new accounting method for the lessee includes the recognition on the assets side of the balance sheet of a right to use the asset covered by the contract and the recognition on the liabilities side of the balance sheet of a lease payable, quantified as the discounted sum of instalments still to be paid to the lessor. The new model also changes the method of recording items in the income statement, which include amortisation of the right of use and interest expense on the lease payable.

There are no substantial changes, however, in the lease accounting model for the lessor, which continues to distinguish between operating leases and finance leases, in line with the previous standard (IAS 17).

Disclosure requirements have been changed for both lessee and lessor; the former will have to disclose, among other things:

- the subdivision between the different "classes" of leased assets, the balance at the end of the period and depreciation;
- the amount of interest relating to lease payables;
- the breakdown of lease payables by maturity.

Organisation of the project for implementation within BPER Banca Group

During the second half of 2018, the BPER Banca Group launched a specific project to analyse the qualitative-quantitative accounting impacts of applying the new regulatory requirements and to determine the repercussions thereof on the corporate, organisational, process and IT environments. In short, the project has been split into the following stages:

a. a first phase of scoping, assessment and definition of the various transition choices to be made;
b. a second phase involving the design of target operating models;
c. a third phase of implementation of the impacted processes and adaptation of internal regulations.

The project is managed at Group level and the various implementation steps are defined centrally for all subsidiaries in order to achieve uniform adoption of the standard.

Methodological approach to the application

The assessment made on the existing lease contracts at Group level identified three categories of assets on which to carry out the impact analysis:

1. Property
2. Cars
3. Other contracts (mainly represented by ATM machines and multifunction printers).

The scope of contracts identified as significant already discounts the application of the simplifications allowed by this standard; the following contracts were in fact excluded:

d. "Short-term", i.e. with a residual life of less than 12 months on first-time adoption (FTA);
e. "Low-value", i.e. with an estimated value of the asset of less than Euro 5,000.

With respect to the transition methods allowed by IFRS 16, the Group has chosen to adopt the practical expedient of not restating the FTA scope, instead applying the new standard to all of the lease contracts already identified according to the definition contained in IAS 17. In addition, the Group has adopted the modified retrospective approach for the impact assessments and the reference approach for the transition, noting the cumulative impact of FTA of the standard to existing contracts as an adjustment of the opening balances at 1 January 2019, without recalculating and restating comparative figures (31

December 2018). For the determination of the Right of Use during the transition, reference is made to the option that allows quantification of the asset at the same amount as the lease liability, calculated by discounting future contractual lease instalments to the FTA date at an appropriate discount rate.
As regards the other choices adopted by the Group, it should be noted that:

- with reference to the duration of the property leases, the Group considered as reasonably certain only the first renewal period, subject to contractual clauses and specific circumstances that involved considering different contractual durations;
- as regards "Cars" and "Other contracts", the Group has made use of the practical expedient by which the lessee is allowed to not separate the lease components from the non-lease components, treating them as a single lease component. As regards property leases, the Group has assessed the non-lease component as not significant;
- as regards the rate used to discount flows for the quantification of the lease liability, the Group used a marginal financing rate, identified in the TIT of funding at Group level (blended curve, which summarises the cost of secured and unsecured funding). This curve was also applied to the contracts of the Subsidiary Banks and Companies in consideration of the market where these entities operate and of the funding model adopted by the Group.

The impacts deriving from the transition to the new standard were estimated in higher assets and liabilities of approximately Euro 0.2 billion and a negative impact on the CET1 ratio of approximately 10 basis points. The estimated impacts on the 2019 income statement are not significant.

The Group will refine the estimates available to date in the coming months and full disclosure on transition to the new standard will be given in the first financial report of 2019.

With respect to the commitments involving operating leases, already represented in the financial statements in accordance with IAS 17, the liabilities that will be recorded at the FTA date in accordance with IFRS 16 will mainly exclude future payments relating to contracts involving low-value assets or those belonging to the short-term category, as well as other payments not falling within the scope of application of the new standard.

8.12 Establishment of the VAT Group

From 1 January 2019 the BPER VAT Group is operational. The VAT group is a new payer of VAT - regulated by the EU legislation recently introduced into the Italian legal system (Law No. 232 of 11 December 2016) - which, only for VAT purposes, replaces the individual participants, who remain distinct legal subjects from every other point of view, whether statutory, fiscal or accounting.
The VAT Group operates externally with a single VAT number, it fulfils the obligations and exercises the rights deriving from application of the VAT rules through the group representative, who is responsible for performance of the obligations, as well as for payment of the sums due for tax, interest and penalties, jointly with the participants. The role of representative of the VAT Group - by law attributed to the subject who, pursuant to art. 2359, first paragraph, point 1) of the Italian Civil Code, controls the participants in the VAT Group - is entrusted to BPER Banca.
As a result of the establishment of the VAT Group, sales of goods and services by one participant to another are not considered sales of goods or services for VAT purposes. Payments of such sales and services are therefore not increased by VAT, which is normally not deductible for banks, constituting to

all effects an element of cost of the goods or service. Setting up a VAT Group can therefore generate significant savings for participating banks on goods and services received from other participants.
The scope of the VAT Group involves the following Banks and Companies:

1) BPER Banca s.p.a. as representative of the VAT Group;
2) Banca di Sassari s.p.a;
3) Banca di Sardegna s.p.a.
4) Bper Credit Management s.cons.p.a.
5) BPER Services s.cons.p.a
6) BPER Trust Company s.p.a.
7) Cassa di Risparmio di Bra s.p.a.
8) Cassa di Risparmio di Saluzzo s.p.a.
9) Costruire Mulino s.r.l.
10) Emil Ro Factor s.p.a.
11) Estense Covered Bond s.r.l.
12) Estense CPT Covered Bond s.r.l.
13) Frara s.r.l.
14) Italiana Valorizzazioni Immobiliari s.r.l.
15) Mutina s.r.l.
16) Nadia s.p.a.
17) Numera s.p.a.
18) Optima s.p.a. SIM
19) Sardaleasing s.p.a.
20) Tholos s.p.a.
21) SIFA' - Società Italiana Flotte Aziendali s.p.a.

9. Outlook for operations

The world economic cycle is expected to slow down in 2019, even if the picture is not the same everywhere. Lower growth rates compared with last year are expected in both the United States and Europe, and inflation is expected to stay low. In this scenario, Central Banks will probably continue to take an accommodating line, helping to keep interest rates under control.
In 2018, Italy posted a more marked economic slowdown compared with other European countries, mainly because of the deceleration in international trade, weak domestic demand and the uncertain political situation that has weighed on investment decisions; for the current year, the growth of Italian gross domestic product is expected to slow down even more.

On the basis of this macroeconomic context, on 27 February 2019 the BPER Banca Group approved the three-year development plan ("BPER 2021 Strategic Plan" or the "Plan") based essentially on three pillars:

1. Growth and development of the business with a particular focus on sectors that generate a significant amount of commission, such as Bancassurance, Wealth Management and Business Global Advisory, and those with high margins, such as Consumer Credit.
2. Strong increase in operational efficiency and simplification of the distribution model, corporate structure and internal processes, by optimising the size of the workforce and reducing organisational complexity.
3. Acceleration of de-risking and further capital strengthening.

The Plan will be developed starting from the significant benefits derived from the extraordinary transactions announced in February 2019: the acquisition of Unipol Banca and the minority stakes in Banco di Sardegna, the sale of a portfolio of bad loans for around Euro 1 billion and the acquisition of a further stake in Arca Holding.
The Group wants to confirm itself as a point of reference for households and businesses by supporting growth of the economy in the areas that it serves with a growing focus on digital transformation, innovation of processes and products, new internationalisation strategies and a renewed commitment to Social Responsibility.
The 2019-2021 Business Plan has as its priority objective the creation of sustainable value in the medium-long term for all stakeholders, through an articulated series of interventions that will allow the Group to achieve the financial targets that it has already announced.

Modena, 5 March 2019

The Board of Directors
The Chairman
Pietro Ferrari

Consolidated financial statements

Consolidated balance sheet as at 31 December 2018

(in thousands)

	Assets	31.12.2018	31.12.2017
10.	Cash and cash equivalents	459,782	420,299
20.	Financial assets measured at fair value through profit or loss	1,128,625	1,326,601
	a) financial assets held for trading	247,219	414,294
	b) financial assets designated at fair value	218,662	223,192
	c) other financial assets mandatorily measured at fair value	662,744	689,115
30.	Financial assets measured at fair value through other comprehensive income	8,563,992	13,398,757
40.	Financial assets measured at amortised cost	56,054,342	51,561,586
	a) loans to banks	3,306,678	3,205,849
	b) loans to customers	52,747,664	48,355,737
50.	Hedging derivatives	35,564	54,061
70.	Equity investments	446,049	454,367
90.	Property, plant and equipment	1,063,273	1,063,483
100.	Intangible assets	445,689	506,627
	- goodwill	264,740	327,084
110.	Tax assets	1,885,616	1,848,127
	a) current	457,838	575,441
	b) deferred	1,427,778	1,272,686
120.	Non current assets and disposal groups classified as held for sale	2,800	-
130.	Other assets	549,035	704,899
	Total Assets	**70,634,767**	**71,338,807**

(in thousands)

	Liabilities and shareholders' equity	31.12.2018	31.12.2017
10.	Financial liabilities measured at amortised cost	63,122,667	63,230,643
	a) due to banks	13,126,248	12,984,226
	b) due to customers	44,594,863	42,694,078
	c) debt securities issued	5,401,556	7,552,339
20.	Financial liabilities held for trading	143,824	170,046
40.	Hedging derivatives	92,374	23,795
60.	Tax liabilities	62,644	106,218
	a) current	3,966	2,258
	b) deferred	58,678	103,960
80.	Other liabilities	1,663,946	1,416,660
90.	Employee termination indemnities	182,793	187,536
100.	Provisions for risks and charges	469,951	487,178
	a) commitments and guarantees granted	63,059	46,793
	b) pensions and similar obligations	131,126	137,148
	c) other provisions for risks and charges	275,766	303,237
120.	Valuation reserves	949	75,089
150.	Reserves	1,619,469	2,445,454
160.	Share premium reserve	930,073	930,073
170.	Share capital	1,443,925	1,443,925
180.	Treasury shares (-)	(7,258)	(7,258)
190.	Minority interest (+/-)	507,457	653,010
200.	Profit (Loss) for the year pertaining to the Parent Company (+/-)	401,953	176,438
	Total liabilities and shareholders' equity	**70,634,767**	**71,338,807**

The figure at 31 December 2017 (determined in accordance with IAS 39) has been reclassified to the new account captions envisaged in the 5th update to Bank of Italy Circular 262, i.e. in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or total liabilities.

Consolidated income statement as at 31 December 2018

(in thousands)

	Captions	31.12.2018	31.12.2017
10.	Interest and similar income	1,375,925	1,416,396
	of which: interest income calculated using the effective interest method	1,358,857	-
20.	Interest and similar expense	(253,488)	(291,917)
30.	**Net interest income**	**1,122,437**	**1,124,479**
40.	Commission income	812,147	776,606
50.	Commission expense	(35,882)	(35,978)
60.	**Net commission income**	**776,265**	**740,628**
70.	Dividends and similar income	34,339	12,416
80.	Net income from trading activities	1,812	38,015
90.	Net income from hedging activities	1,621	(493)
100.	Gains (Losses) on disposal or repurchase of:	91,925	64,374
	a) financial assets measured at amortised cost	(77,645)	(12,431)
	b) financial assets measured at fair value through other comprehensive income	168,662	76,340
	c) financial liabilities	908	465
110.	Net income on financial assets and liabilities measured at fair value through profit or loss	8,664	1,238
	a) financial assets and liabilities designated at fair value	(4,378)	1,238
	b) other financial assets mandatorily measured at fair value	13,042	-
120.	**Net interest and other banking income**	**2,037,063**	**1,980,657**
130.	Net impairment losses for credit risk relating to:	(223,706)	(640,603)
	a) financial assets measured at amortised cost	(225,772)	(535,975)
	b) financial assets measured at fair value through other comprehensive income	2,066	(104,628)
140.	Gains (Losses) from contractual modifications without derecognition	(2,956)	-
150.	**Net income from financial activities**	**1,810,401**	**1,340,054**
180.	**Net income from financial and insurance activities**	**1,810,401**	**1,340,054**
190.	Administrative expenses:	(1,442,264)	(1,372,985)
	a) staff costs	(821,494)	(783,478)
	b) other administrative expenses	(620,770)	(589,507)
200.	Net provisions for risks and charges	(7,794)	(45,891)
	a) commitments and guarantees granted	16,197	(15,313)
	b) other net provisions	(23,991)	(30,578)
210.	Net adjustments to property, plant and equipment	(70,405)	(46,124)
220.	Net adjustments to intangible assets	(48,534)	(41,305)
230.	Other operating expense/income	152,823	184,365
240.	**Operating costs**	**(1,416,174)**	**(1,321,940)**
250.	Gains (Losses) of equity investments	13,349	18,483
270.	Impairment losses on goodwill	(62,344)	(28,357)
275.	Gain on a bargain purchase	-	190,892
280.	Gains (Losses) on disposal investments	294	(12)
290.	**Profit (Loss) from current operations before tax**	**345,526**	**199,120**
300.	Income taxes on current operations for the year	100,264	(22,238)
310.	**Profit (Loss) from current operations after tax**	**445,790**	**176,882**
330.	**Profit (Loss) for the year**	**445,790**	176,882
340.	Profit (Loss) for the year pertaining to minority interests	(43,837)	(444)
350.	**Profit (Loss) for the year pertaining to the Parent Company**	401,953	176,438

	Earning per share (Euro) 31.12.2018	Earning per share (Euro) 31.12.2017
Basic EPS	0.836	0.367
Diluted EPS	0.836	0.367

The figure at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262, without changing the net profit for the year.

Consolidated statement of other comprehensive income

(in thousands)

	Captions	31.12.2018	31.12.2017
10.	**Profit (Loss) for the year**	**445,790**	**176,882**
	Other comprehensive income, after tax, that will not be reclassified to profit or loss		
20.	Equity instruments measured at fair value through other comprehensive income	20,186	-
70.	Defined benefitplans	(210)	(1,723)
90.	Share of the valuation reserves of equity investments carried at equity	(3,741)	3,007
	Other comprehensive income, after tax, that may be reclassified to profit or loss		
120.	Cash-flow hedges	748	(1,467)
140.	Financial assets (no equity instruments) measured at fair value through other comprehensive income	(236,839)	19,457
170.	**Total other comprehensive income after tax**	**(219,856)**	**19,274**
180.	**Total comprehensive income (Captions 10+170)**	**225,934**	**196,156**
190.	Consolidated comprehensive income pertaining to minority interests	33,415	(5,017)
200.	**Consolidated comprehensive income pertaining to the Parent Company**	**192,519**	**201,173**

The figure at 31 December 2017 has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262, without changing the consolidated other comprehensive income for the year.

Consolidated statement of changes in shareholders' equity

(in thousands)

	Balance as at 31.12.17 (*)	Changes in opening balances (**)	Balance as at 1.1.18	Allocation of prior year results		Changes during the year									Shareholders' equity as at 31.12.2018	
				Reserves	Dividends and other allocations	Changes in reserves	Transactions on shareholders' equity							Other comprehensive income as at 31.12.2018		
							Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options	Changes in participatory interests		Group	Minority interests
Share capital:	**1,563,027**	**-**	**1,563,027**	**-**	**-**	**(13)**	**20,017**	**-**	**-**	**-**	**-**	**-**	**(96)**	**-**	**1,443,925**	**139,010**
a) ordinary shares	1,563,027	-	1,563,027	-	-	(13)	20,017	-	-	-	-	-	(96)	-	1,443,925	139,010
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**1,013,409**	**-**	**1,013,409**	**-**	**-**	**(7)**	**479**	**-**	**-**	**-**	**-**	**-**	**(2,579)**	**-**	**930,073**	**81,229**
Reserves:	**2,860,235**	**(1,213,067)**	**1,647,168**	**122,192**	**-**	**69,478**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,619,469**	**219,369**
a) from profits	2,259,633	(1,213,067)	1,046,566	122,192		65,855	-	-		-	-	-	-	-	1,059,329	175,284
b) other	600,602	-	600,602			3,623	-	-	-	-	-	-	-	-	560,140	44,085
Valuation reserves:	**110,437**	**129,206**	**239,643**	**-**	**-**	**5,175**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(219,856)**	**949**	**24,013**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**		
Treasury shares	**(7,259)**	**-**	**(7,259)**	**-**	**-**				**-**	**-**	**-**	**-**	**-**	**-**	**(7,258)**	**(1)**
Profit (Loss) for the year	**176,882**	**-**	**176,882**	**(122,192)**	**(54,690)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**445,790**	**401,953**	**43,837**
Group shareholders' equity	**5,063,721**	**(882,676)**	**4,181,045**	**-**	**(52,894)**	**62,817**	**-**	**-**	**-**	**-**	**-**	**-**	**5,624**	**192,519**	**4,389,111**	
Minority interests	**653,010**	**(201,185)**	**451,825**	**-**	**(1,796)**	**11,816**	**20,496**	**-**	**-**	**-**	**-**	**-**	**(8,299)**	**33,415**	**-**	**507,457**

	Balance as at 31.12.16	Changes in opening balances	Balance as at 1.1.17	Allocation of prior year results		Changes during the year									Shareholders' equity as at 31.12.2017	
				Reserves	Dividends and other allocations	Changes in reserves	Transactions on shareholders' equity							Other comprehensive income as at 31.12.2017		
							Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options	Changes in participatory interests		Group	Minority
Share capital:	**1,563,547**	**-**	**1,563,547**	**-**	**-**	**(104)**	**-**	**-**	**-**	**-**	**-**	**-**	**(416)**	**-**	**1,443,925**	**119,102**
a) ordinary shares	1,563,547	-	1,563,547	-	-	(104)	-	-	-	-	-	-	(416)	-	1,443,925	119,102
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**1,013,810**	**-**	**1,013,810**	**-**	**-**	**(4)**		**-**	**-**	**-**	**-**	**-**	**(397)**	**-**	**930,073**	**83,336**
Reserves:	**2,838,856**	**-**	**2,838,856**	**(8,500)**	**-**	**8,787**	**-**	**-**	**(14,377)**	**-**	**-**	**-**	**-**	**-**	**2,409,985**	**414,781**
a) from profits	2,238,357	-	2,238,357	(8,500)		8,685	-	-	(14,377)	-	-	-	-	-	1,851,569	372,596
b) other	600,499	-	600,499			102	-	-	-	-	-	-	-	-	558,416	42,185
Valuation reserves:	**130,945**	**-**	**130,945**	**-**	**-**	**(4,313)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**19,274**	**110,558**	**35,348**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**		
Treasury shares	**(7,259)**	**-**	**(7,259)**	**-**	**-**				**-**	**-**	**-**	**-**	**-**	**-**	**(7,258)**	**(1)**
Profit (Loss) for the year	**15,814**	**-**	**15,814**	**8,500**	**(24,314)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**176,882**	**176,438**	**444**
Group shareholders' equity	**4,881,347**	**-**	**4,881,347**	**-**	**(14,473)**	**6,088**	**-**	**- -**	**14,377**	**-**	**-**	**-**	**3,963**	**201,173**	**5,063,721**	**-**
Minority interests	**674,366**	**-**	**674,366**	**-**	**(9,841)**	**(1,722)**	**-**	**-**	**-**	**-**	**-**	**-**	**(4,776)**	**(5,017)**	**-**	**653,010**

(*) with the entry into force of IFRS 9, the figure as at 31 December 2017 has been reclassified in order to understand the effects of the new measurement rules for financial instruments.

(**) the change in opening balances relating to reserves from profits and valuation reserves is due to the first time adoption of IFRS9 international standard entred into force on 1 January 2018 as detailed in Part A of Explanatory Notes and in the attachment "Transition to IFRS9 by BPER Banca Group".

Consolidated statement of cash flows

Indirect method

(in thousands)

A. OPERATING ACTIVITIES	31.12.2018	31.12.2017
1. Operations	**910,638**	**924,172**
- profit (loss) for the year (+/-)	401,953	176,438
- gains/losses from financial assets held for trading and financial assets/liabilities measured at fair value through profit and loss (-/+)	14,356	(31,885)
- gains (losses) from hedging activities (-/+)	(1,621)	493
- impairment losses/write-backs for credit risk (+/-)	401,173	847,314
- impairment/write-backs to property, plant and equipment and intangible assets (+/-)	118,939	87,429
- net provisions for risks and charges and other expense/income (+/-)	89,745	65,200
- unsettled taxes (+/-)	(100,264)	22,238
- other adjustments (+/-)	(13,643)	(243,055)
2. Cash generated/absorbed by financial assets	**(939,472)**	**(4,589,545)**
- financial assets held for trading	150,217	45,572
- financial assets designated at fair value	152	2,276
- other financial assets mandatorily measured at fair value	(410)	-
- financial assets measured at fair value through other comprehensive income	4,779,889	(1,686,752)
- financial assets measured at amortised cost	(5,981,652)	(2,977,771)
- other assets	112,332	27,130
3. Cash generated/absorbed by financial liabilities	**182,845**	**3,809,091**
- financial liabilities measured at amortised cost	(108,491)	4,193,437
- financial liabilities held for trading	(26,222)	(58,419)
- financial liabilities designated at fair value	-	(200,304)
- other liabilities	317,558	(125,623)
Net cash generated/absorbed by operating activities	**154,011**	**143,718**

B. INVESTMENT ACTIVITIES	31.12.2018	31.12.2017
1. Cash generated by	**3,218**	**10,334**
- disposal of equity investments	-	7,728
- disposal of property, plant and equipment	3,218	2,606
2. Cash absorbed by:	**(83,202)**	**(60,463)**
- purchase of equity investments	-	(301)
- purchase of property, plant and equipment	(33,983)	(36,756)
- purchase of intangible assets	(49,219)	(55,479)
- purchase of companies under control and business lines	-	32,073
Net cash generated/absorbed by investment activities	**(79,984)**	**(50,129)**

C. FUNDING ACTIVITIES	31.12.2018	31.12.2017
- distribution of dividends and other scopes	(54,690)	(38,691)
- sale/purchase of control of third parties	20,004	-
Net cash generated/absorbed by funding activities	**(34,686)**	**(38,691)**
Net cash generated/absorbed in the year	**39,341**	**54,898**

Reconciliation

Captions	31.12.2018	31.12.2017
Cash and cash equivalents at the beginning of the year	420,299	364,879
Net cash generated/absorbed in the year	39,341	54,898
Cash and cash equivalents: effect of change in exchange rate	142	522
Cash and cash equivalents at the end of the year	**459,782**	**420,299**

The caption "sale/purchase of control of third parties" relates to payments received from third parties relating to capital increase of Sardaleasing s.p.a. and Emilia Romagna Factor s.p.a.
The figure at 31 December 2017 has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262, without changing the cash generated/absorbed for the year.

Key:
(+) generated
(-) absorbed

Consolidated explanatory notes

Key to abbreviations in tables:

FV: Fair value
FV: Fair value excluding variations due to changes in the credit worthiness of the issuer since the issue date*
NV: Nominal or notional value
BV: Book value
L1: Fair value hierarchy – Level 1
L2: Fair value hierarchy – Level 2
L3: Fair value hierarchy – Level 3
X: not applicable

Part A – Accounting policies

A.1 – General information

Section 1 - Declaration of compliance with International Financial Reporting Standards

The Consolidated financial statements for the year ended 31 December 2018 have been prepared in accordance with the International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB), endorsed by the European Commission, as provided by EU Regulation 1606 dated 19 July 2002, and currently in force, including the related interpretations of the International Financial Reporting Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC).

Reference was also made, where necessary, to the "Framework for the preparation and presentation of financial statements" and to the documents prepared by the Italian Accounting Body (OIC) and the Italian Banking Association (ABI).
In the absence of a standard or interpretation specifically applicable to a particular transaction, the Parent Company makes use of the professional opinion of its own staff, in particular the Administration and Reporting Department, to develop a rule for accounting recognition that makes it possible to provide reliable financial information and to ensure that the financial statements give a true and fair view of the financial position, result of operations and cash flows of the Group, reflecting the economic substance of the transaction and its key aspects.
In formulating these accounting rules, reference has been made as far as possible to International Accounting Standards and interpretations dealing with similar or comparable matters.
As part of its guidance and coordination activity, the Parent Company requires the other Banks and Companies of the Group to apply the Group's own accounting recognition rules, in the right circumstances.

As required by IAS 8, the following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 2018.

EC Approval Regulation	Title	In force from years beginning
1905/2016	Commission Regulation (EU) 2016/1905 of 22 September 2016, published in the Official Journal L 295 of 29 October 2016, endorsed IFRS 15 Revenue from contracts with customers, the objective of which is to improve financial reporting about revenue and, thus, the comparability of reported revenue.	1 January 2018
2067/2016	Commission Regulation (EU) 2016/2067 of 22 November 2016, published in the Official Journal L 323 of 29 November 2016, endorsed IFRS 9 Financial instruments, the objective of which is to improve financial reporting about financial instruments by addressing relevant issues that arose during the financial crisis. In particular, IFRS 9 responds to the G20's call to move to a more forward-looking model for the recognition of expected losses on financial assets.	1 January 2018
1987/2017	Commission Regulation (EU) 2017/1987 of 31 October 2017, published in the Official Journal L 291 of 9 November 2017, adopts Clarifications of IFRS 15 "Revenues from contracts with customers". The amendments aim to clarify certain requirements and provide a further transitional facilitation for companies applying the standard.	1 January 2018
1988/2017	Commission Regulation (EU) 2017/1988 of 3 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IFRS 4 Joint application of IFRS 9 Financial instruments and IFRS 4 Insurance contracts. The amendments to IFRS 4 aim to remedy the temporary accounting consequences of the mismatch between the date of entry into force of IFRS 9 and the effective date of the new accounting standard on insurance contracts that replaces IFRS 4 (IFRS 17). The financial conglomerates referred to in the definition in article 2 (14) of Directive 2002/87/EC can decide that none of its entities operating in the insurance sector pursuant to article 2 (8) (b) of the same Directive will apply IFRS 9 to the consolidated financial statements for the years commencing before 1 January 2021, if all of the following conditions are met: a) after 29 November 2017, between the insurance sector and the other sectors of the financial conglomerate, no financial instruments other than those measured at fair value are transferred for which the changes in fair value are recognised in profit or loss for the year by both of the sectors involved in the transfers; b) the financial conglomerate indicates in the consolidated financial statements the group insurance companies that apply IAS 39; c) the additional information required by IFRS 7 is provided separately for the insurance sector that applies IAS 39 and for the rest of the group that applies IFRS 9.	1 January 2018

EC Approval Regulation	Title	In force from years beginning
182/2018	Commission Regulation (EU) 2018/182 of 7 February 2018, published in the Official Journal L 34 of 8 February 2018, adopts the Annual Improvements to IFRS Standards 2014–2016 Cycle that introduces amendments to IAS 28 Investments in Associates and Joint Ventures, to IFRS 1 First-time Adoption of International Financial Reporting Standards and to IFRS 12 Disclosure of Interests in Other Entities. The purpose of the annual improvements is to deal with necessary topics relating to inconsistencies in IFRSs or clarifications in terminology that are not particularly urgent, but that have been discussed by the IASB during the project cycle.	1 January 2018 for IAS 28 and IFRS 1 1 January 2017 for IFRS 12
289/2018	Commission Regulation (EU) 2018/289 of 26 February 2018, published in the Official Journal L 55 of 27 February 2018, adopts Amendments to IFRS 2 Share-based payment arrangements aimed at clarifying how entities should apply the standard in certain specific cases.	1 January 2018
400/2018	Commission Regulation (EU) 2018/400 of 14 March 2018, published in the Official Journal L 72 of 15 March 2018, adopts Amendments to IAS 40 Investment Property – Transfers of investment property. The amendments clarify when an entity is authorised to transfer a property that not was previously classified as investment property or vice versa.	1 January 2018
498/2018	Commission Regulation (EU) 2018/498 of 22 March 2018, published in the Official Journal of 26 March 2018, adopts amendments concerning IFRS 9. The date of entry into force and the transitional provisions of the prepayment elements with negative compensation have been changed.	1 January 2019 and 1 January 2018 for IFRS 9 adopters
519/2018	Commission Regulation (EU) 2018/519 of 28 March 2018, published in the Official Gazette of 3 April 2018, amending Annex no.1126 / 2008 by introducing IFRIC 22 "Transactions in foreign currency and advances". The interpretation clarifies the accounting for transactions that include the reception or payment of advances in foreign currency.	1 January 2018

IFRS 9

With effect from 1 January 2018, IFRS 9 replaced IAS 39, governing the classification and measurement of financial instruments up to 31 December 2017. IFRS 9 is divided into three parts:

- Classification and measurement of financial assets;
- Impairment;
- Hedge accounting.

As part of the classification and measurement of financial assets (loans and receivables and debt securities), IFRS 9 has introduced a combined model based on: i) the business model associated with each portfolio of financial assets and ii) the contractual characteristics of the related cash flows (the so-called "SPPI test"). The combination of these criteria gives rise to new accounting categories for the classification of financial assets (“Financial assets measured at amortised cost”, “Financial assets measured at fair value through other comprehensive income”, “Financial assets measured at fair value through profit or loss”), replacing the previous five accounting categories ("Financial assets held for trading", "Financial assets available for sale", "Assets held to maturity", "Loans and receivables", "Financial assets measured at fair value").

The classification and measurement of financial assets (loans and receivables and debt securities) in the IFRS 9 accounting categories takes place according to the following guidelines:

- financial assets are classified in the accounting category "Financial assets measured at amortised cost" or "Financial assets measured at fair value through other comprehensive income" when the Business Model associated with them is respectively "Hold to Collect" or "Hold to Collect and Sell" and only if the contractual cash flows of the financial assets are solely of payments of principal and interest accrued on the principal amount to be returned (the so-called Solely Payment of Principal and Interest - SPPI);
- the financial assets held for trading purposes (Business Model: "Other") and those named in the previous point, but for which the contractual cash flows have failed the SPPI test, are classified in "Financial assets measured at fair value through profit or loss".

With regards to the classification and measurement of equity instruments, a distinction has to be made between those held for trading purposes, which are classified in “Financial assets measured at fair value through profit or loss”, and those held for investment purposes, for which it is possible to choose, irrevocably and at the initial recognition, the accounting category “Financial assets measured at fair value through other comprehensive income” rather than “Financial assets measured at fair value through profit or loss” (the so-called "irrevocable election"). In this case, the valuation reserve charged to equity can no longer be transferred to the income statement, even when the financial instrument is sold.

For financial liabilities, IFRS 9 does not introduce significant changes with respect to the requirements of IAS 39, so they continue to be classified at amortised cost or fair value. However, for financial liabilities measured at fair value, IFRS 9 requires that changes in fair value must be recognised in the income statement with the exception of change in fair value associated with the creditworthiness of the issuer (so-called “own credit risk”), which has to be recorded in a specific equity reserve.

The second part of IFRS 9 addresses stage allocation and the consequent methodology for the determination of impairment. Instruments classified as measured at amortised cost or at fair value through other comprehensive income, except for equity instruments under irrevocably election, must be adjusted using a model based on forward looking expected losses, rather than on the current incurred losses model. The aim is to pre-empt and monitor the status of credit exposures in a timely and continuous manner. Specifically, IFRS 9 requires calculation of the 12-month expected loss from the time of initial recognition of the financial instrument (Stage 1) until a significant increase in credit risk occurs; in the latter case (Stage 2), the calculation of the expected loss is based on the entire residual life of the instruments ("lifetime expected loss"). For default positions (Stage 3), the expected loss is calculated over the entire residual life of the impaired instruments ("lifetime expected loss"), which includes forward-looking factors and multi-scenario assessments; in addition, certain related aspects have changed, such as the calculation of interest income on the net credit exposure.

The purpose of the new hedge accounting model, which is addressed in the third part of IFRS 9 and which does not currently extend to macro hedge accounting, is to bring the management and accounting representation of assets closer to the equivalent assets used in the risk management area, increasing disclosure on these risk management actions. In addition, the standard provides an option to implement the new rules rather than to continue with IAS 39 (opt-in/opt-out option). Based on the work performed, the BPER Banca Group has elected to opt-out, which means that hedging transactions continue to be recognised in accordance with the "carved-out" version of IAS 39.

For further details on the Business Model, SPPI test and criteria for the classification of financial instruments in stages, please refer to Part A.2 of these notes, where the main captions in the financial statements are explained.

In application of the indications of IAS 8 - Accounting Policies, Changes in Accounting Estimates and Errors, and para. 7.2 et seq. of IFRS 9 - Transition, the BPER Banca Group has chosen to manage the transition (or "First Time Adoption - FTA") to IFRS 9 without restating the comparative balances, recognising the cumulative impact caused by the different methods of classification and measurement in reserves from profits in shareholders' equity, as a change to the opening balances at 1 January 2018.
These impacts derive mainly from:

- Classification and measurement of financial instruments: the allocation of assets and liabilities to the new portfolios has led to positive changes overall, equal to Euro 127 million;
- Impairment provisions of the cash financial assets portfolio: the higher net provision as a result of applying ECL on a stage basis allocation to loans to customers amounted to Euro 27.7 million, plus Euro 2.6 million on loans to banks and Euro 7.3 million on the own securities portfolio. the gross loans to customers subject to SICR (Stage 2) amount to Euro 7 billion, which is 16.9% of gross performing loans to customers;
- Impairment provisions of non-performing loans (Stage 3) up by Euro 1.1 billion; the increase derives from inclusion of forward looking factors in the evaluation process, in multi-scenario hypotheses, introducing in particular the disposal scenario among the recovery method of non-performing positions, in application of 2018-2020 NPE Strategy and 2018-2022 NPE Plan of the BPER Banca Group, as an alternative to the “workout scenario” (ordinary credit recovery activity managed internally by the Group).

The overall impact of first-time adoption involved changing the opening balances at 1 January 2018 for an overall imbalance of Euro 1,084 million (of which Euro 201 million pertaining to third parties).
Please refer to the attachment to these consolidated financial statements for more quantitative details on the BPER Banca Group's transition to IFRS 9.

Own Funds

On 12 December 2017, the European Parliament and the Council issued Regulation (EU) 2017/2395 "Transitional arrangements for mitigating the impact of the introduction of IFRS 9 on Own Funds" which updates Regulation 575/2013 CRR, including a new article 473 bis "Introduction of IFRS 9", which offers banks the possibility to mitigate the impact on Own Funds in a transitional period of 5 years (from March 2018 to December 2022) by sterilizing the effect in CET1 with the application of decreasing percentages over time. The BPER Banca Group has chosen to adopt the so-called "static approach" to be applied to the impact resulting from comparison between the IAS 39 adjustments at 31 December 2017 and the IFRS 9 adjustments at 1 January 2018. On 30 January 2018, the Group formally communicated to the Supervisory Authority its decision to use the transitional arrangement for the gradual inclusion in Regulatory Capital of the Provisions arising on application of IFRS 9.
From 2018, banks adopting the transitional arrangement must nevertheless disclose information to the market about their “Fully Loaded” available capital, RWA, capital ratio and leverage ratio (with respect to the transitional arrangement of IFRS 9), as specified in the guidelines issued on 12 January 2018.

IFRS 15

IFRS 15 has replaced the following standards pertaining to revenue recognition: IAS 11 Construction Contracts, IAS 18 Revenue, IFRIC 13 Customer Loyalty Programmes, IFRIC 15 Agreements for the Construction of Real Estate, IFRIC 18 Transfers of Assets from Customers and SIC-31 Revenue – Barter Transaction involving Advertising Services.
The principle has provided specific rules for the first-time application; in particular, there is the possibility of choosing between a "full retrospective" approach and a "modified retrospective" approach, the latter adopted by BPER Banca Group.
The standard establishes a new model of revenue recognition, which will apply to all contracts with customers, with the exception of those falling within the scope of other IAS/IFRS (such as leases, insurance contracts and financial instruments). The fundamental steps for accounting for revenues according to the new model are:

- identification of contracts with customers;
- identification of the performance obligations of the contract, whether they are satisfied overtime or at a point in time;
- determination of the price;
- allocation of the price to the performance obligations of the contract;
- the criteria for recording the revenue when the entity satisfies each performance obligation.

IFRS 15 provides for the recognition of revenues for an amount that reflects the consideration that the entity deems to be entitled to in exchange for the transfer of goods or services to the customer.

Based on the specific analyses carried out at Group level, involving the subsidiary companies where necessary, no significant impacts emerged from application of the new standard.

The following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 1 January 2019 or later date (if the financial statements do not coincide with the calendar year).

EC Approval Regulation	Title	In force from years beginning
1986/2017	Commission Regulation (EU) 2017/1986 of 31 October 2017, published in the Official Journal L 291 of 9 November 2017, adopts IFRS 16 Leases, which aims to improve the accounting treatment of leasing contracts.	1 January 2019
1595/2018	Commission Regulation (EU) 2018/1595 of 23 October 2018, published in the Official Journal L 265 of 24 October 2018, adopts IFRIC 23 - Uncertainty over Income Tax Treatments. This interpretation specifies how to reflect the uncertainty when accounting for income taxes.	1 January 2019
237/2019	Commission Regulation (EU) 2019/237 of 8 February 2019, published in the Official Journal of the Italian Republic L. 39 of 11 February 2019, which amends regulation (EC) 1126/2008 which adopts certain international accounting standards in accordance with regulation (EC) 1606/2002 of the European Parliament and of the Council with regard to IAS 28.	1 January 2019

The Group has decided do not take advantage of the possibility of early implementation of the Regulations in force from 1 January 2019. It is thought unlikely that these amendments or new endorsed standards will have a significant impact on the Group's financial and economic situation; for an analysis of the estimated impact of first-time adoption of IFRS 16, please refer to the Directors' report on group operations, in the section "Preliminary information regarding the future application of IFRS 16".

Section 2 - Basis of preparation

The Consolidated financial statements have been prepared in accordance with Circular 262/2005 and subsequent amendments (issued in implementation of art. 9 of Legislative Decree 38/2005), and with CONSOB resolution 11971 dated 14 May 1999 and subsequent amendments.
The financial statements also reflect the requirements of the Italian Civil Code, as amended following the reform of company law (Legislative Decrees 5 and 6 dated 17 January 2003, and subsequent amendments, including Decree 310 dated 28 December 2004).
The financial statements consist of the consolidated balance sheet, the consolidated income statement, the consolidated statement of other comprehensive income, the consolidated statement of changes in shareholders' equity, the consolidated statement of cash flows and these explanatory notes. Figures are expressed in thousands of Euro. They are accompanied by the directors' report on operations.

The general criteria underlying the preparation of the consolidated financial statements are presented below in accordance with IAS 1:

- *Going Concern:* assets, liabilities and off-balance sheet transactions are measured in the context of continuity over time.
- *Accrual Basis of Accounting:* costs and revenues are recognised in accordance with the matching principle, regardless of when they are settled.
- *Materiality and Aggregation:* each material class of similar items is presented separately in the financial statements. Items that are dissimilar in terms of their nature or use are only aggregated if they are individually immaterial.
- *Offsetting:* assets and liabilities, income and expenses are not offset unless required or permitted by a standard or an interpretation, or by the Bank of Italy's regulations for the preparation of financial statements.
- *Frequency of disclosures:* information must be prepared annually or more frequently; if an entity changes its accounting reference date, the reason must be indicated together with the fact that the information provided is not comparable.
- *Comparative Information:* comparative information is disclosed in respect of the previous period for all amounts reported in the financial statements, unless required otherwise by a standard or an interpretation. The balance sheet figure at 31 December 2017 (determined in accordance with IAS 39) has been reclassified to the new account captions envisaged in the 5th update to Bank of Italy Circular 262, i.e. in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or total liabilities. The income statement figure at 31 December 2017 (determined in accordance with IAS 39) has been classified into the new account captions envisaged in 5th update to Bank of Italy Circular 262, without any change in the net profit for the year. The information provided in the explanatory notes follows the same principle, with the exception of the tables which require the evidence of the dynamics that occurred during the year. In the absence of a specific caption dedicated to restatement of the opening balances, the initial figure shown is the one already modified due to

the application of IFRS 9 (as of 1 January 2018), in order to highlight the actual changes during the year.

- *Consistency of Presentation:* the presentation and classification of items is maintained over time to ensure that information is comparable, unless specified otherwise in new accounting standards or their interpretations, or unless a change is required to improve the meaningfulness and reliability of the amounts reported. The nature of changes in account presentation or classification is described, together with the related reasons; where possible, the new criterion is applied on a retroactive basis.

In preparing the financial reporting at the end of the year, the Group has taken account of the ESMA document of 26 October 2018 - "*European common enforcement priorities for 2018 financial statements*", aimed at promoting a homogeneous application of IAS/IFRS, in order to ensure the transparency and proper functioning of financial markets, identifying certain issues deemed particularly significant for the financial statements at 31 December 2018 of European listed companies, also in consideration of current market conditions. The Bank of Italy's clarifications on the preparation of the banks' financial statements, included in the technical note dated 30 October 2018, were also considered the most recent update being the one.

The description of the accounting policies adopted in relation to the principal financial statements aggregates is presented in sufficient detail to identify the principal assumptions and assessments made for the preparation of the financial statements.

The notes and attachments to the 2018 financial statements provide additional information useful for a complete, true and fair view of the company's situation, even if such information is not expressly required by the regulations.

Uncertainties in the use of estimates[41]

The preparation of financial statements requires recourse to estimates and assumptions that may affect the amounts recorded in the balance sheet and the income statement. as well as the information about contingent assets and liabilities disclosed in the financial statements. The development of such estimates involves the use of available information and the adoption of subjective assessments, partly based on historical experience, in order to make reasonable assumptions for the recognition of operating events. By their nature, the estimates and assumptions used may change from period to period and, accordingly, it may be that the actual amounts recorded in the financial statements in subsequent periods are significantly different as a consequence of changes in the subjective assessments made.
The principal situations in which management is required to make subjective assessments include:

- quantification of the losses arising from the impairment of loans and, in general, other financial assets;
- determination of the fair value of financial instruments for disclosure purposes; in particular, the use of measurement models to determine the fair value of financial instruments that are not listed in active markets;
- quantification of the provisions for employee benefits and the provisions for risks and charges;

[41] *As required by document No. 2 issued with joint signature by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009*

- estimates and assumptions about the recoverability of deferred tax assets;
- measurement of goodwill/intangible assets.

Going Concern[42]

In preparing the consolidated financial statements for the year ended 31 December 2018, the Directors considered the going-concern assumption to be appropriate because they did not find any uncertainties related to events or circumstances that, individually or collectively, could give rise to doubts about the business continuity.

Inspections and audits

The Directors are of the opinion that the observations that emerged in the various inspection areas do not entail significant impacts in terms of income, assets and cash flows of the BPER Banca Group. In any case, the Group always prepares suitable action plans to implement the Supervisory Authority's recommendations as quickly as possible.

Section 3 - Scope of consolidation and methodology

The international accounting standards referred to when preparing the consolidated financial statements, when the circumstances arise, are IFRS 3 "Business Combinations" (issued with EC Regulation 495/2009), IFRS 10 "Consolidated Financial Statements", IFRS 11 "Joint agreements", IFRS 12 "Disclosure of Interests in Other Entities", IAS 27 "Separate Financial Statements", IAS 28 "Investments in associates and joint ventures" (all issued with EC Regulation 1254/2012 and in force since 1 January 2014 and subsequent updates).

Consolidation principles

The BPER Banca Group's Consolidated financial statements include the balance sheet and income statement of the Parent Company and of its direct and indirect subsidiaries; they include subsidiaries operating in sectors dissimilar from that of the Parent Company and vehicle companies (SPEs/SPVs)[43], when they fulfil the requirements for effective control, whether or not there is an equity interest.
The concept of control (IFRS 10 § 6) is based on the simultaneous presence of three elements:

- the power to direct the relevant activities, i.e. the activities of the investee that significantly affect its returns;
- exposure to variable returns arising from the activity of the investee;
- the exercise of power to influence the returns.

Subsidiaries are companies in which the Parent Company, directly or indirectly, owns more than half of the voting rights. However, the concept of control is considered to exist when at the same time the investor has power over the investee. There has to be a correlation between the powers and returns,

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[42] *As required by document No. 2 issued with joint signature by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009*
[43] The consolidation of SPVs has the same effects as consolidation on a line-by-line basis.

which occurs when the investor holds valid rights that give it the ability to direct the relevant activities of the investee or have a significant effect on its returns.
Structured entities are also consolidated, when effective control requirements are met, regardless of whether there is an equity interest.

Jointly controlled companies are those in which the voting rights and control of economic activities are shared equally by the Parent Company, directly and indirectly, and by another external entity. An equity investment is also considered as subject to joint control when, in the absence of an equal share of voting rights, control over the company's economic activities and strategies are shared with other parties under contractual agreements. The BPER Banca Group does not include any jointly controlled entities at 31 December 2018.

Associates are companies subject to significant influence, in which the Parent Company, directly or indirectly, holds at least a fifth of the voting rights (including "potential" rights to vote) and which has the power to take part in deciding the financial and operating policies. Associated companies are also those in which – despite a lower share of voting rights – the Parent Company has the power to take part in deciding the financial and operating policies under a particular legal relationship, such as, for example, participation in shareholder agreements.

Consolidation methodology

As a rule, subsidiaries are consolidated on a line-by-line basis, while jointly controlled entities and non-controlling interests in which the Group exercises significant influence are accounted for using the equity method.
The methods adopted for consolidation on a line-by-line basis are as follows:

- assets, liabilities and equity and income statement items are combined on a line-by-line basis;
- debit and credit balances, off-balance sheet transactions and income and costs arising from transactions between consolidated companies are eliminated;
- the shareholders' equity and profit pertaining to minority interests in the consolidated companies are classified separately in the balance sheet (as a liability) and the income statement;
- on first-time consolidation, the carrying value of the equity investments in companies consolidated on a line-by-line or proportional basis is eliminated against the shareholders' equity in these companies (or the portion of shareholders' equity that the equity investments concerned represent). The acquisition of interests in companies is recorded using the "purchase method" defined in IFRS 3, with the recognition of the assets, liabilities and contingent liabilities of purchased companies at their fair value at the time of acquisition, i.e. at the time that effective control over them is obtained. Accordingly, the results of a subsidiary purchased during the year are consolidated from the date of acquisition. Similarly, the results of a subsidiary that is sold are consolidated until the date that control is lost;
- any excess of the carrying value of the equity investments referred to above with respect to the interest held in their shareholders' equity, as adjusted to reflect the fair value of assets and liabilities, is classified as goodwill among *"Intangible assets"*, while any shortfall is credited to the income statement;
- any changes in the interest held in equity investments are booked as transactions on capital. Any difference between the value of equity investments to be adjusted and the fair value of the

consideration paid (or received) has to be booked directly as a change in shareholders' equity and suitably allocated to minority interests;
- the fairness of the value recorded for goodwill is tested at least once a year (or whenever there is evidence of impairment), as required by IAS 36. To meet regulatory requirements, the cash-generating unit to which goodwill is allocated has to be identified. Write-downs reflect the difference between the book value of goodwill and its recoverable value, if lower, as represented by the fair value of the cash generating unit, less costs to sell, or, if higher, its value in use.

Under the equity method:
- the book value of significant equity investments held by the parent bank or by other group companies is compared with the related interest in the shareholders' equity of these associated companies carried at equity. Any excess book value - identified on initial consolidation - is included in the carrying value of the investment. Changes in shareholders' equity subsequent to first-time consolidation are classified in caption 250 of the consolidated income statement as "Gains (Losses) of equity investments", to the extent that they relate to their profit or losses, while other changes are recognised as a direct adjustment of shareholders' equity;
- if there is evidence that a significant investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment. If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement.

Current regulations require the scope of consolidation to be managed on two levels:
- the accounting scope of consolidation governed by IFRS 10[44] "Consolidated financial statements", IAS 27 "Separate financial statements", IAS 28 "Investments in Associates and Joint Ventures" and, if required by the circumstances, IFRS 11 "Joint Agreements" (all adopted by Regulation (EU) 1254/2012 and effective from 1 January 2014 and subsequent amendments) and IFRS 3 "Business Combinations" (adopted by Regulation (EU) 495/2009 and subsequent amendments).
- the prudential scope of consolidation governed by Regulation (EU) 575/2013, in which art. 19 indicates the entities to be excluded from the prudential consolidation.

The above regulations contribute to determining the scope of consolidation at each level, as well as the methodologies to be used for each consolidation.
International accounting standards require subsidiaries to be consolidated on a line-by-line basis, while jointly controlled entities and non-controlling interests in which the Group exercises significant influence are accounted for using the equity method.
Art. 19 of [45]the CRR excludes from the scope of line-by-line consolidation all financial entities and operating companies, including members of the Banking Group, whose total assets and off-balance sheet amounts are less than the lower of the following two amounts:
- Euro 10 million;
- 1% of the total assets and off-balance sheet amounts of the parent company or the entity that holds the equity investment.

The BPER Banca Group has decided to adopt the consolidation method envisaged for prudential regulatory purposes. This approach has also been applied when determining the financial disclosures to be made, bringing the two scopes of consolidation ("for accounting purposes" and "for regulatory purposes") into line.

[44] *IFRS 10 §B86 in relation to consolidation procedures.*
[45] *Regulation (EU) 575/2013*

This decision was needed to rationalise, simplify and streamline the production of consolidated information for supervisory and financial reporting purposes. Its effects on the latter are negligible. In terms of the areas affected, the marginal dynamics previously indicated in the income statement on a line-by-line basis are now summarised in the "Profit (loss) from equity investments" line item; in the assets and liabilities sides of the balance sheet, the “Equity investments” caption reports the amounts that have not been eliminated that were previously recognised on a line-by-line basis, while shareholders' equity remains unchanged.

The following companies are members of the Banking Group which at 31 December 2018 do not satisfy the requirements of art. 19 of the CRR:

- Mutina s.r.l.;
- Estense Covered Bond s.r.l.;
- BPER Trust Company s.p.a.;
- Estense CPT Covered Bond s.r.l.;

the other subsidiaries that are not members of the banking Group, since their activities do not contribute to its banking operations, are:

- Italiana Valorizzazioni Immobiliari s.r.l.;
- Adras s.p.a.;
- SIFA’ - Società Italiana Flotte Aziendali s.p.a.;
- Costruire Mulino s.r.l.;
- Banca Farnese s.p.a. in liquidation.

At 31 December 2018, these companies have been consolidated under the equity method. Frara s.r.l. has not been included in the list as it is not yet operational at 31 December 2018.

1. Investments in subsidiaries

1.1 Equity investments within the Group consolidated line-by-line

	Company name	Operational head office	Registered head office	Type of relationship (1)	Share capital in Euro	Nature of holding		% Available votes (2)
						Parent company	% holding	
1.	Banco di Sardegna s.p.a.	Sassari	Cagliari	1	155,247,762	BPER Banca	50.940	51.000
2.	Banca di Sassari s.p.a.	Sassari	Sassari	1	74,458,607	BPER Banca	78.507	
						B. Sard.	20.522	
3.	Cassa di Risparmio di Bra s.p.a.	Bra	Bra	1	57,330,000	BPER Banca	84.286	
4.	Cassa di Risparmio di Saluzzo s.p.a.	Saluzzo	Saluzzo	1	33,280,000	BPER Banca	100.000	
5.	BPER Bank Luxembourg SA	Luxembourg	Luxembourg	1	30,667,500	BPER Banca	100.000	
6.	Nadia s.p.a.	Modena	Modena	1	87,000,000	BPER Banca	100.000	
7.	BPER Services s.cons.p.a.	Modena	Modena	1	10,920,000	BPER Banca	92.838	
						B. Sard.	4.762	
						Optima	0.400	
						B. Sassari	0.400	
						Sardaleasing	0.400	
						CR Bra	0.400	
						BCM	0.400	
						CR Saluzzo	0.400	
8.	Sardaleasing s.p.a.	Milan	Sassari	1	184,173,750	BPER Banca	52.741	
						B. Sard.	46.933	
9.	Optima s.p.a. S.I.M.	Modena	Modena	1	13,000,000	BPER Banca	100.000	
10.	Tholos s.p.a.	Sassari	Sassari	1	52,015,811	B. Sard.	100.000	
11.	Numera s.p.a.	Sassari	Sassari	1	2,065,840	B. Sard.	100.000	
12.	Modena Terminal s.r.l.	Campogalliano	Campogalliano	1	8,000,000	BPER Banca	100.000	
13.	Emilia Romagna Factor s.p.a.	Bologna	Bologna	1	54,590,910	BPER Banca	95.954	
14.	BPER Credit Management s.cons.p.a.	Modena	Modena	1	1,000,000	BPER Banca	67.000	
						B. Sard.	20.000	
						B. Sassari	3.000	
						CR Bra	2.000	
						CR Saluzzo	1.000	
						EmilRo Factor	1.000	
						Sardaleasing	6.000	

The "% Available votes" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

Key:

(1) Type of relationship:
1 Majority of votes at the ordinary shareholders' meeting.
(2) Available votes at ordinary shareholders' meeting, distinguishing between actual and potential.

1.2 Equity investments within the Group consolidated with the application of the equity method

	Company name	Operational head office	Registered head office	Type of relationship (1)	Share capital in Euro	Nature of holding		% Available votes (2)
						Parent company	% holding	
A. Subsidiaries Companies that are not members of the Banking Group								
1.	Adras s.p.a.	Milan	Milan	1	1,954,535	BPER Banca	100.000	
2.	Italiana Valorizzazioni Immobiliari s.r.l.	Milan	Milan	1	2,000,000	BPER Banca	100.000	
3.	SIFA' - Società Italiana Flotte Aziendali s.p.a.	Milan/Reggio Emilia	Trento	1	122,449	BPER Banca	51.000	
4.	Banca Farnese s.p.a. in liquidazione	Ferrara	Ferrara	1	27,965,637	BPER Banca	65.127	
5.	Costruire Mulino s.r.l.	Milan	Milan	1	10,000	IVI	100.000	
B. Subsidiaries Companies that are members of the Banking Group but do not satisfy the requirements of art. 19 of the CRR								
6.	Mutina s.r.l.	Modena	Modena	1	10,000	BPER Banca	100.000	
7.	Estense Covered Bond s.r.l.	Conegliano	Conegliano	1	10,000	BPER Banca	60.000	
8.	BPER Trust Company s.p.a.	Modena	Modena	1	500,000	BPER Banca	100.000	
9.	Estense CPT Covered Bond s.r.l.	Conegliano	Conegliano	1	10,000	BPER Banca	60.000	

The "% Available votes" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.
Frara s.r.l. (formerly Sviluppo Formica s.r.l.) has not been included in the list as it is not yet operational at 31 December 2018.

Key:

(1) Type of relationship:
1 Majority of votes at the ordinary shareholders' meeting.
(2) Available votes at ordinary shareholders' meeting, distinguishing between actual and potential.

2. Significant assessments and assumptions made when determining the scope of consolidation

As regards the companies included in the scope of consolidation, no facts and circumstances, as foreseen in IFRS 10, took place during 2018 that might change our assessment of possession of control, joint control or significant influence.
For further details about changes in the scope of consolidation in 2018, please refer to the Directors' Report on Group Operations under "Scope of consolidation of the BPER Banca Group".

3. Investments in subsidiaries with significant minority interests

Minority interests are considered significant based on the materiality of total equity compared with the equivalent consolidated figure.

3.1 Equity investments of minority, available votes of minority and dividends distributed to minority

Name	% Equity investments of minority	% Available votes of minority (1)	Dividends distributed to minority
1. Banco di Sardegna s.p.a.	49.060	49.000	1,504
2. Cassa di Risparmio di Bra s.p.a.	15.714	15.714	-
3. Banca di Sassari s.p.a.	0.971	0.971	22
4. Emilia Romagna Factor s.p.a.	4,046	4,046	-
5. Sardaleasing s.p.a.	0,326	0,326	-

For consolidation purposes, we used the consolidation of the sub-holding company Banco di Sardegna and its subsidiaries. The dividends relate to profit for 2017 that was distributed in 2018.

Key:

(1) Available votes at ordinary shareholders' meeting.

3.2 Equity investments with significant minority interests: accounting information

Company name	Total assets	Cash and cash equivalents	Financial assets	Property, plant and equipment and intangible assets	Financial liabilities	Shareholders' equity	Net interest income	Net interest and other banking income
1. Banco di Sardegna s.p.a.	12,686,892	113,154	12,042,453	226,505	11,384,567	936,992	210,576	357,405
2. Cassa di Risparmio di Bra s.p.a.	1,303,901	7,346	1,241,182	13,784	1,203,806	61,232	21,338	32,954
3. Banca di Sassari s.p.a.	1,193,572	1	1,142,064	17,387	886,616	273,855	33,085	50,165
4. Emilia Romagna Factor s.p.a.	874,153	2	861,992	6,713	701,852	127,703	10,873	19,329
5. Sardaleasing s.p.a.	3,372,541	5	3,222,265	40,072	3,156,304	149,813	49,131	36,441

(cont.)

Company name	Operating costs	Profit (Loss) from current operations before tax	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Profit (Loss) for the year (1)	Other Compre-hensive income after taxes (2)	Compre-hensive income (3)= (1)+(2)
1. Banco di Sardegna s.p.a.	(276,730)	41,685	74,910	-	74,910	(19,700)	55,210
2. Cassa di Risparmio di Bra s.p.a.	(23,299)	1,758	6,707	-	6,707	(5,689)	1,018
3. Banca di Sassari s.p.a.	(31,871)	14,786	9,873	-	9,873	1,211	11,084
4. Emilia Romagna Factor s.p.a.	(8,322)	8,233	5,309	-	5,309	(44)	5,265
5. Sardaleasing s.p.a.	(14,559)	(13,490)	4,667	-	4,667	(34)	4,633

The amounts provided are before intercompany eliminations.
The economic and financial information refers to the situation at 31 December 2018.

4. Significant restrictions

At the banks and companies that make up the BPER Banca Group's scope of consolidation, there are no significant restrictions as foreseen by IFRS 12 § 13.

5. Other information

The line-by-line consolidation was carried out using the approved financial statements prepared at 31 December 2018 by the subsidiaries concerned. These financial statements have been prepared in accordance with IAS/IFRS by the individual banks and financial companies subject to Bank of Italy supervision. All the other Group companies and BPER Bank Luxembourg s.a. included within the scope of consolidation normally prepare their financial statements under Italian accounting standards. These companies therefore prepared separate accounting schedules and data under the international accounting standards used for consolidation purposes.
The value of Group subsidiaries carried at equity was measured with reference to their accounting information prepared and approved at 31 December 2018.
The other equity investments carried at equity were measured with reference to their financial statements at 31 December 2017, except for Cassa di Risparmio di Fossano s.p.a., Cassa di Risparmio di Savigliano s.p.a. and Alba Leasing s.p.a., for which the accounts prepared and approved at 30 September 2018 were used, and for Arca Holding s.p.a., Sarda Factoring s.p.a. and Emil-Ro Service s.r.l., for which the accounts prepared and approved at 31 December 2018 were used.

Section 4 – Subsequent events

These Consolidated Financial Statements have been approved on 5 March 2019 by BPER Banca's Board of Directors, which authorised their publication.
In relation to the events subsequent to the end of the 2018 financial year indicated in the Directors' Report on operations, referring to:

- Acquisition of control of Unipol Banca s.p.a.;
- Disposal of "Emilia";
- Acquisition of a minority interest in Banco di Sardegna;
- Increase in the interest in the capital of Arca Holding s.p.a.;
- Approval of the three-year development plan of the BPER Banca Group.

Section 5 – Other aspects

Domestic tax group election

Starting from 2007, BPER Banca has elected to establish a domestic tax group, which was introduced by Legislative Decree 344/2003 and subsequent amendments and is governed by arts. 117-129 of the "Consolidated Income Tax Law".
Under this optional arrangement, which is binding for three years, the subordinate members transfer their results to the parent, for fiscal purposes only, which then calculates the consolidated taxable income or tax loss.
The tax group elections made by Banca di Sassari s.p.a. and Sardaleasing s.p.a. expired on 31 December 2017 and the newly consolidated company SIFÀ Società Italiana Flotte Aziendali s.p.a. entered the tax group on 1 January 2018.
The renewal for the three-year period 2018-2020 was made regularly by the aforementioned companies on 31 October 2018, on presentation of the Income Tax Return of the consolidating company.

Consolidated companies	2016	2017	2018	2019	2020
Banca di Sassari s.p.a.			x	x	x
Banco di Sardegna s.p.a.	x	x	x		
Cassa di Risparmio di Bra s.p.a.		x	x	x	
Cassa di Risparmio di Saluzzo s.p.a		x	x	x	
Optima s.p.a. SIM	x	x	x		
Emilia Romagna Factor s.p.a.		x	x	x	
Sardaleasing s.p.a.			x	x	x
SIFA' - Società Italiana Flotte Aziendali s.p.a.			x	x	x
BPER Trust Company s.p.a.	x	x	x		

Information on public disbursements pursuant to art. 1, paragraph 125 of Law 124 of 4 August 2017 ("Annual market and competition law")

It need to be introduced that Law 124 of 4 August 2017 "Annual law for the market and competition" (hereafter Law 124/2017) introduced a series of measures designed to ensure transparency in the public disbursements system (art. 1, paragraphs from 125 to 129). In particular, this law provides, among other things, that the companies must provide in the notes to the financial statements at 31 December 2018 - and in consolidated explanatory notes - information relating to “grants, contributions, remunerated offices and economic advantages of any type” (hereinafter referred to as “public disbursements”) received by public administrations and other subjects indicated by art. 1, paragraph 125 of the said law. Failure to comply with this disclosure requirement entails having to reimburse the money to whoever disbursed it.
In order to avoid an accumulation of information on minor issues, the law says that there is no disclosure requirement for public disbursements of less than Euro 10,000.
Despite the clarifications provided by the State Council with opinion 1149 of 1 June 2018, the law in question raises a number of doubts about interpretation and application, particularly the latter, for which reference was also made to the points of view expressed by trade associations (Assonime). In particular, taking into account the criteria inspiring the law and the emerged guidelines, the following situations should not be covered by the disclosure requirements:

- fees for services provided by a company as part of the performance of professional services, the provision from supplies or some other assignment that forms part of the core business. In fact, these are types of income that do not pertain to the field of donations or public support policies;
- tax advantages accessible to all companies that meet certain conditions, based on predetermined general criteria, which are also included in specific declarations;
- provision to customers of subsidized loans, as it involves the disbursement of funds belonging to others (e.g. an interest subsidy paid by the public administration) and not the own resources of the bank which is acting as an intermediary.

In addition, it should be noted that starting from August 2017 the National State Aid Register is active in the Executive Board for incentives to companies of the Ministry of Economic Development, in which State aid and *de minimis* aid disbursed to any company by subjects that grant or manage such aid. For individual aid in favour of the BPER Banca Group companies, please refer to the "Transparency of the Register" section, which are available publicly.
That said, in compliance with the provisions of art. 1, paragraph 125, of law 124 of 4 August 2017, the amounts collected during 2018 by the Parent Company and by the subsidiaries by way of "grants, contributions, remunerated offices and economic advantages of any type" are listed below.

BPER Banca Group companies	Type of grants	Amounts received in 2018
BPER Banca s.p.a.	Regulation for inter-professional funds for continuing education for the granting of exempted State aid pursuant to EC regulation 651/2014 and in a de minimis regime pursuant to EC regulation 1407/2013	1,217,270
Banco di Sardegna s.p.a.	Regulation for inter-professional funds for continuing education for the granting of exempted State aid pursuant to EC regulation 651/2014 and in a de minimis arrangement pursuant to EC regulation 1407/2013	413,175
Cassa di Risparmio di Bra s.p.a.	Artigiancassa grants	1,765
Nadia s.p.a.	Contributions for the earthquake - 3rd tranche	119,525

Audit

The separate and consolidated financial statements have been audited by Deloitte & Touche s.p.a., which was appointed for the period 2017-2025 at the Shareholders' Meeting held on 26 November 2016, as required by Legislative Decree 39 of 27 January 2010.

A.2 – Main captions in the financial statements

Classification of Financial assets - Business Model and SPPI test (captions 20, 30 and 40)

IFRS 9 requires financial assets represented by loans and receivables and debt securities to be classified into three accounting categories, using the following criteria:

- the Business Model used to manage them;
- the contractual characteristics of the cash flows of financial assets (or SPPI tests).

The classification of financial assets depends on a combination of these two criteria, as indicated below:

- Financial assets measured at amortised cost (AC): assets that include the "Hold to collect" Business Model (HTC) and pass the SPPI test;
- Financial assets measured at fair value through other comprehensive income (FVTOCI): assets that include the "Hold to collect and sell" Business Model (HTCS) and pass the SPPI test;
- Financial assets measured at fair value through profit or loss (FVTPL): assets that include an "Other" Business Model or, on a residual basis, assets that cannot be classified in the previous categories due to the negative outcome of the SPPI test.

Business Model

The BPER Banca Group has identified its own Business Models taking into consideration the core business sectors in which it operates, the strategies adopted to date in order to realise cash flows of the assets in portfolio, as well as the strategic forecasts of business development.
This analysis was carried out primarily at Group level and, consequently, at the level of the individual Group Bank/Company, including the product companies.

The Group's core business is related to the generation and management of credit relationships for the Retail and Corporate sectors (including Large Corporate) and, therefore, follows a logic of holding them presumably until they expire in order to collect the contractual cash flows. According to IFRS 9, this operation is attributable to a "Hold to Collect" type of Business Model.

Another sector of activity for the BPER Group, supporting the pursuit of banking objectives, is the Finance sector which includes the balance sheet and income statement items of the Group deriving from treasury activities, management of own portfolios, access to financial markets and specialist operational support to the sales network.

For the purpose of identifying the Business Model in the Finance sector, the analysis linked the relevant activities carried on by the Group finance department to management of the Group's own portfolios. It is therefore possible to identify the following own portfolios:

- *Investment Banking Book,* consisting of the set of instruments managed collectively in order to reduce volatility on the interest margin. This type of portfolio mainly pursues a strategy of holding financial instruments to maturity, thereby sterilising market risk.
  The strategy of this portfolio therefore involves management of the principal risks such as credit risk, interest rate risk and sovereign risk.
  In application of IFRS 9, this portfolio has been included in the "Hold to Collect" Business Model.

- *Liquidity Banking Book,* consisting of a set of financial instruments whose strategy is aimed at holding them with the aim of managing liquidity and optimising the risk-return profile at Group level. This type of portfolio pursues investment strategies in order to:
    - o optimise the interest margin;
    - o increase the amount of assets that can be readily liquidated to mitigate the Group's exposure to liquidity risk;
    - o diversify credit risk.

  The strategy of this portfolio therefore involves management of the principal risks such as liquidity risk, credit risk, interest rate risk, market risk and sovereign risk.

  In application of IFRS 9, this portfolio has been included in the "Hold to Collect and Sell" Business Model.
- *Trading portfolio,* consisting of a set of financial instruments for trading purposes (government securities, ETFs, structured securities, UCITS units, ABS, etc.), guaranteeing the management of market risk. The profit purpose of this portfolio is mainly pursued through the change in the fair value of the instruments.

  The strategy of this portfolio therefore involves management of the principal risks such as market risk, credit risk, interest rate risk and sovereign risk.

  In application of IFRS 9, this portfolio has been included in the "Other" Business Model.
- *Customer Trading Portfolio*, consisting of financial assets repurchased from customers, or held to offer an investment service to them (residual portfolio).

  In application of IFRS 9, this portfolio has been included in the "Other" Business Model.
- *Capital Market*, consisting of financial instruments held for market making on securities (government, supranational, corporate, covered bond and government guaranteed debt securities), guaranteeing the management of market risk. The profit purpose of this portfolio is mainly pursued through the change in the fair value of the instruments. The strategy of this portfolio therefore involves management of the principal risks such as market risk, credit risk, interest rate risk.

  In application of IFRS 9, this portfolio has been included in the "Other" Business Model.

IFRS 9 envisages the possibility of change in Business Model, highlighting that the situations that lead to this change are “very infrequent”, to be attributed to significant events (internal or external) that affect the management strategy (and therefore derive from decisions of Senior Management of the Entity); in addition, they must be adequately supported by resolutions and linked to events or objective facts evidenced also towards third parties.
The change in Business Model must also take place before the consequent reclassification of the assets affected by that change, which is possible only on the first day of the next reporting period (understood by the BPER Banca Group as the next half-year covered by the condensed consolidated half-year financial statements prepared in application of IAS 34).

Regarding the combination of frequency and significance thresholds, the BPER Banca Group has defined quantitative limits (both in relative terms with respect to the portfolio size, and in absolute terms) to be applied to sales made on the “Hold to Collect” portfolio.
It also defines the concepts of "proximity to maturity", identifying the 12 months prior to the repayment date, and "increase in credit risk" in line with the staging criteria described below (classification in Stage 2 allows the sale of instruments).

SPPI Test

In order to analyse the characteristics of the contractual cash flows deriving from financial assets (loans and receivables and debt securities), the BPER Banca Group has defined an SPPI test based on 12 decision-making trees, so as to consider all the contractual characteristics relevant to the test.

The BPER Banca Group has also adopted some assumptions regarding both the loans portfolio and the debt securities portfolio. The main choices are shown below.

- in relation to the debt securities portfolio, the mutual fund units, both opened and closed, fail the SPPI test. In relation to the securities issued as part of securitisation transactions, for the purposes of credit risk assessment it has been assumed that the mezzanine and junior tranches generally bear a higher credit risk than the average risk of the underlying portfolio of instruments and, consequently, fail the test.
- in relation to the Benchmark Cash Flow Test required in situations of mismatch between "tenor" and periodicity of the "refixing" of interest rates, it was agreed that the change in the "time value of money element" should be considered significant for instruments indexed to parameters with a tenor higher than a year and, consequently, these fail the SPPI test.

The main balance sheet captions are shown below.

1. Financial assets measured at fair value through profit or loss

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while derivative contracts are recognised on the date of signature.

In particular, any changes in the fair value of the asset to be received between the settlement date and the earlier arrangement date are recognised at the time of settlement, in the same way in which the asset acquired is recorded.

Financial assets measured at fair value through profit or loss are initially recorded at fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, without considering any related costs or income attributable to them, which are recorded directly in the income statement.

Classification

a) financial assets held for trading

Financial assets held for trading comprise those whose business model is defined as "Other". This business model applies to financial assets whose cash flows will be generated from their sale.

This also includes equity instruments held for trading, for which it is not possible to exercise the irrevocable election option to present subsequent changes in fair value through other comprehensive income.

Additionally, the model includes investments in mutual funds that are held for trading.

b) financial assets designated at fair value

This category comprises the financial assets for which the fair value option has been exercised.

c) other financial assets mandatorily measured at fair value

This category includes financial assets whose business model is defined as "Hold to Collect" or "Hold to Collect & Sell", but which fail the SPPI test and therefore do not satisfy the requirements for classification therein.

It also includes equity instruments not held for trading for which no irrevocable election was made to recognise subsequent changes in fair value in the statement of other comprehensive income.
Additionally, the category includes investments in mutual funds that are not held for trading.

Measurement

Subsequent to initial recognition, these assets continue to be measured at fair value. If the fair value of derivatives classified as "financial assets held for trading" becomes negative, this caption is recognised as a financial liability.
The methods used to determine the fair value are reported in part A4 "Information on fair value" of these Notes.

Derecognition

Financial assets are derecognised when the contractual rights to the cash flows deriving from them expire, when substantially all the risks/benefits associated with them are assigned, or when substantial changes are made to them.
If the Group sells a financial asset classified among the "Financial assets measured at fair value through profit or loss", it is derecognised on the transfer date (settlement date).

Recognition of components affecting the income statement

The positive components of income, represented by the interest income deriving from financial assets classified as "Financial assets measured at fair value through profit or loss", are recognised on an accruals basis in the "interest" captions of the income statement.
Gains and losses deriving from changes in the fair value of "Financial assets measured at fair value through profit or loss – financial assets held for trading" are recognised in income statement caption "Net income from trading".
Gains and losses deriving from changes in the fair value of financial assets designated at fair value are recognised in income statement caption "Net income on financial assets and liabilities measured at fair value through profit or loss – financial assets and liabilities designated at fair value", while financial assets that must be measured at fair value are recognised in caption " Net income on financial assets and liabilities measured at fair value through profit or loss – other financial assets mandatorily measured at fair value".

2. Financial assets measured at fair value through other comprehensive income

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while loans are recognised on the pay-out date.
On initial recognition, these financial assets are recorded at their fair value, which usually corresponds to the consideration paid, inclusive of the transaction costs or income directly attributable to the instruments concerned.

Classification

This category comprises:

- financial assets whose defined Business Model is "Hold to Collect & Sell" and whose contractual terms pass the SPPI test;

- investments in equity instruments, not held for trading purpose, for which an irrevocable election was made on initial recognition to record subsequent changes in fair value through other comprehensive income.

Measurement

Subsequent to initial recognition, these financial assets continue to be measured at fair value. Changes in the fair value of financial assets, other than equity instruments for which the above irrevocable election has been made, are recognised in a specific equity reserve net of expected credit losses and the related tax effect.

Derecognition

Financial assets are derecognised when the contractual rights to the cash flows deriving from them expire, when substantially all the risks/benefits associated with them are assigned, or when substantial changes are made to them.
If the Group sells a financial asset classified among the "Financial assets measured at fair value through other comprehensive income", it is derecognised on the transfer date (settlement date).

Recognition of components affecting the income statement

The components of income deriving from "Financial assets measured at fair value through other comprehensive income", excluding investments in equity instruments for which the above irrevocable election option has been exercised, are recognised as described below:

- interest is calculated using the effective interest rate, i.e. the rate that exactly discounts cash flows through the instrument life (IRR rate). The IRR is determined taking into account any discounts or premiums on the acquisition, costs or commissions that are an integral part of the carrying amount;
- expected credit losses recognised during the period are recorded in caption "Net impairment losses for credit risks relating to: b) financial assets measured at fair value through other comprehensive income";
- on derecognition, the amount accumulated in the specific equity reserve is released to income statement caption "Gains/Losses on disposal or repurchase of: b) financial assets measured at fair value through other comprehensive income".

With regard to investments in equity instruments for which the above irrevocable election has been made, only the related dividends are recognised in the income statement, in caption "Dividends and similar income". Changes in fair value subsequent to initial recognition are recorded in a specific equity reserve; on derecognition, the amount accumulated in the above reserve is not released to the income statement, but is reclassified among the profit reserves.

3. Financial assets measured at amortised cost

Recognition

Financial assets represented by debt instruments are initially recognised on the settlement date, while loans are recognised on the pay-out date; this caption includes:

- loans to banks;

- loans to customers.

The initial value reflects the fair value of the financial instrument, generally representing the amount of the loan granted inclusive of the costs/income directly attributable to each instrument, or the subscription price in the case of debt instruments.

Factoring operations give rise to exposures to assignors representing loans disbursed for with-recourse assignments and exposures to assigned debtors representing the fair value of the receivables purchased versus without-recourse assignments. The first registration of a loan takes place on the sale date following the signing of the contract (in the case of without-recourse assignment) and coincides with the disbursement date for with-recourse assignments.

For the assignor and factor, this activity entails an assessment of the presence or not of the conditions required by IFRS 9 for derecognition (a company can cancel a financial asset from its financial statements only if, as the result of a sale, it has transferred the risks and benefits connected with the instrument sold, or if and only if: a) the financial asset is transferred and with it substantially all the contractual risks and rights to the cash flows deriving from the asset expire; b) the benefits connected to its ownership ceases to apply) and consequent recognition on the factor's side.

To assess effective transfer of risks and benefits, it is necessary to compare the assignor's exposure to the variability of the current value or of the cash flows generated by the financial asset transferred, before and after the sale. The assignor essentially maintains all the risks and benefits when its exposure to the 'variability' of the present value of the net future cash flows of the financial asset does not change significantly following its transfer. Instead, transfer occurs when the exposure to this 'variability' is no longer significant.

The most frequently forms of financial instrument transferring used may have profoundly different accounting effects:

- in the case of a without-recourse assignment (without any guarantee obligation), the assets transferred can be cancelled from the transferor's financial statements;
- in the case of a with-recourse transfer, it is to be assumed that in most cases the risk associated with the asset sold remains with the seller and therefore the sale does not meet the requirements for derecognition of the instrument in question; only the amounts paid to the assignor as an advance of the consideration will be recorded.

Verification of the derecognition criteria, in the context of the without-recourse assignments underlying the factoring activity, also takes into consideration the risk mitigation clauses adopted by the Group through specific contractual provisions agreed with the assignors. These are clauses that aim to define the limits on the individual debtors transferred, absolute and relative deductibles, so-called "bonus-malus" clauses and late payment.

Classification

This category comprises the financial assets whose defined Business Model is "Hold to Collect" and whose contractual terms pass the SPPI test.

The "Financial assets measured at amortised cost" caption includes loans to customers and loans to banks.

These captions comprise commercial loans, repurchase agreements, loans originated by finance leases (recognised using the "financial method" pursuant to IAS 17) and debt securities.

The Group has recorded under "Financial assets measured at amortised cost" the financial instruments purchased without recourse, subject to verification that there are no contractual clauses that do away with the actual substantial transfer of all the risks and benefits. With regard to the portfolio transferred with recourse, the amounts disbursed to the assignor by way of advance payment are recorded in the same category.

Measurement

After initial recognition, loans are valued at their amortised cost, corresponding to the initially recognised amount less principal repayments, net impairment loss and amortisation - calculated using the effective interest method – of the difference between the amount paid out and the amount repayable on maturity, which is generally attributable to the costs/income directly allocated to the individual loans.
The effective interest rate is the rate that discounts the flow of estimated payments over the expected duration of the loan back to its initial net book value, inclusive of directly-related costs and revenues. In financial terms, this method of recognition distributes the economic effect of these costs and revenues over the expected residual life of the loan.
The amortised cost method is not used in relation to short-term loans (up to 12 months), since the effect of discounting would be negligible. These loans are stated at historical cost.
Costs and revenues relating to loans without a fixed term or repayable on demand are recorded directly in the income statement.
At each reporting date, financial assets measured at amortised cost are adjusted for impairment by recognising any Expected Credit Losses - ECL.
The following items fall within this sphere, with specific assessment methods:

- Non-performing loans (in “Stage 3”) which have been assigned the status of bad, unlikely to pay or past due loans in compliance with the current rules of the Bank of Italy's supervisory regulations, in line with IAS/IFRS and European supervisory regulations. The amount of the adjustment of each balance is equal to the difference between its carrying value at the time of measurement (amortised cost) and the present value of expected future cash flows. The estimate of expected cash flows, also formulated in relation to possible recovery scenarios, comes from assessing analytically the position of bad loans for unlikely to pay loans with exposures above the thresholds set by internal procedures. For unlikely to pay loans below the thresholds established by internal regulations and for past due loans, the expected loss is determined using a collective method. For further details on the models adopted by the BPER Banca Group to estimate the Expected Credit Losses (ECL) on non-performing loans, please refer to the below paragraph 19 "Methods for determining the extent of impairment". Any impairment losses are recorded in the income statement.
  The original value of loans is reinstated in subsequent periods, to the extent that the reasons for the impairment loss made cease to apply, on condition that this assessment is objectively linked with events that took place subsequent such impairment loss. The reversal of the impairment loss may not exceed the amortised cost of the loan had the impairment not been recognised in the past.
- Performing loans feed "Stage 1" and "Stage 2"; the measurement is carried out periodically in a differentiated manner, according to ECL model adopted by the BPER Banca Group, at 12 months or lifetime respectively, the characteristics of which are summarised in paragraph 19 “Methods for determining the extent of impairment”.

Forborne exposures, which by their nature can be classified as either non-performing or performing, are subject to the same valuation methods described above. If these are performing loans, the classification is in Stage 2.
With regard to the procedures for identifying forborne loans, please refer to the indications provided in Part E - Credit risk in these Notes.

Derecognition

Financial assets are derecognised when the contractual rights to the cash flows deriving from them expire, when substantially all the risks/benefits associated with them are assigned, or when substantial changes are made to them.

If the Group sells a financial asset classified among the "Financial assets measured at fair value through profit or loss", it is derecognised on the transfer date (settlement date).

Recognition of components affecting the income statement

The interest on instruments measured at amortised cost (amounts due from banks and loans to customers) is calculated using the effective interest method, i.e. using the rate (IRR) that discounts the related cash flows exactly over the expected life of the instrument concerned. The IRR and, therefore, amortised cost are determined having regard for any acquisition discounts or premiums, costs or commissions that are an integral part of the discounted cost.

Interest on non-performing loans is calculated on the net exposure of the expected credit losses.

Write-downs or write-backs deriving from the model of adopted expected credit losses are recognised in the income statement under caption "Net impairment losses for credit risk".

4. Hedging operations

The BPER Banca Group made use of the possibility of managing hedge accounting according to IAS 39, as envisaged on first-time adoption of IFRS 9.

Recognition

Hedges are arranged to neutralise losses that may be incurred in relation to a given element or group of elements, as a consequence of a given risk, via profits that would be earned on another element or group of elements should that particular risk crystallise. There are two types of hedge:

- fair value hedges: arranged to hedge the exposure to changes in the fair value of a balance sheet caption;
- cash flow hedges: arranged to hedge the exposure to changes in future cash flows attributable to specific balance sheet captions.

Classification

Financial instruments are designated as hedges when the relationship between the hedged and the hedging instrument is adequately documented and formalised, if the hedge is effective both at the start and prospectively throughout its life.

Measurement

Hedging derivatives are measured at their fair value.

Specific tests are performed to verify the effectiveness of hedging transactions. The effectiveness of a hedge depends on the extent to which changes in the fair value of the hedged instrument, caused by changes in the risk factor addressed by the hedge, are offset by changes in the value of the hedging instrument. In order to be effective, the hedge must be made with a counterparty outside the Group.

The method of accounting for the gains and losses deriving from changes in fair value depends on the type of hedge:

- fair value hedge: the change in the fair value of the hedged element representing the hedged risk is recognised in the income statement, together with the change in the fair value of the derivative instrument; any difference, which represents the ineffective portion of the hedge, determines the consequent net economic effect.
- cash-flow hedge: to the extent that the hedge is effective, changes in the fair value of the derivative are recognised in shareholders' equity; they are only recognised in the income statement when changes in the cash flows from the hedged item need to be offset, or when the hedge becomes ineffective.

The BPER Banca Group established the hedge effectiveness when changes in the fair value of (or cash flows from) the hedging instrument, caused by the hedged risk factor, almost entirely offset those of the hedged instrument (the percentage limits fall in the range from 80% to 125%).
The evaluation of effectiveness is carried out on a quarterly basis, using:

- prospective tests that justify the application of hedge accounting, by demonstrating the expected effectiveness of the hedge;
- retrospective tests that show the effectiveness of the hedge during the period under review. In other words, they measure by how the actual results differ from the "perfect" hedge.

Derecognition

If transactions do not meet the effectiveness test, hedge accounting - as described above - is terminated and the derivative contract is reclassified as an instrument held for trading, with recognition of the related impacts in the income statement. Hedge accounting is also terminated in the following situations:

- the hedged item is sold and redeemed;
- the hedging transaction is revoked prior to the expiry date;
- the hedging instrument expires, is sold, terminated or exercised.

Recognition of components affecting the income statement

Income elements are allocated to the relevant income statement captions on the following basis:

- differentials earned on derivatives that hedge interest-rate risk (and the interest on the hedged positions) are allocated to the "Interest and similar income" or "Interest and similar expense" captions;
- capital gains and losses deriving from the measurement of hedging instruments and the positions covered by fair value hedges are allocated to the "Net income from hedging activities" caption;
- capital gains and losses deriving from measurement of the effective part of "cash flow hedges" are allocated to a special equity reserve "cash flow hedges", net of the related deferred tax effect. Gains and losses relating to the ineffective part of such hedges are recorded in the "Net income from hedging activities" caption of the income statement.

5. Equity investments

Recognition

Equity investments are recognised on the settlement date. Equity investments are recorded at cost on initial recognition, including any costs and revenues directly attributable to the transaction.

Classification

This caption includes:

- subsidiaries and associates carried under the equity method, adjusting the initial cost of recognition for changes in net equity, including gains and losses realised by the company; companies in which at least 20% of the voting rights are held and those where the size of the investment guarantees influence over governance are considered associates;
- jointly controlled companies, which are also accounted for under the equity method;
- other investments with a low value, which are carried at cost.

Measurement

In the consolidated financial statements the companies subject to joint control and the associated companies are valued according to the equity method.

If there is evidence that an investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment.

If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement under caption “Gains (Losses) of equity investments", as described in the below paragraph 19 “Method for determining the extent of impairment”.

If the reasons for making the impairment loss cease to apply as a result of an event subsequent to the impairment loss, the related write-back is credited to the income statement without exceeding the amount of the impairment loss previously recorded.

The Parent Company's share of any losses of the investee, exceeding the book value of the investment, is recorded in a specific reserve to the extent that the company is required to fulfil legal or implicit obligations of the investee, or, in any case, to cover its losses.

Derecognition

Equity investments are derecognised on expiry of the contractual rights over the related cash flows or when the investment is sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

Dividends are recorded in the "Dividends and similar income" caption when the right to collection is established; dividends received are recognised in the financial statements by deducting them from the carrying amount of the relevant investment.

Any Impairment loss/write-backs relating to the impairment of equity investments and gains or losses on the disposal of equity investments are recorded in the "Gains (Losses) of equity investments" caption.

6. Property, plant and equipment

Recognition

Property, plant and equipment are initially recorded at purchase price, including all directly attributable costs of purchasing and bringing the asset to working condition.
Expenditure on improvements that will generate future economic benefits is added to the value of the assets concerned, while routine maintenance costs are charged to the income statement.

Classification

Property, plant and equipment comprise land, property used for operating purposes, installations, furniture, furnishings and all types of equipment.
These are tangible assets that will be used for more than one accounting period and which are held for use in the production of business or the supply of goods and services, for rental to third parties or for administrative purposes.
This caption also includes assets held under finance lease contracts, even though the lessor remains the legal owner.
This caption also includes certain assets classified in accordance with IAS 2 "Inventories", comprising assets deriving from the enforcement of guarantees or from purchases at auction that the business intends to sell in the near future, without carrying out significant renovation work, as well as the property portfolios held by the property companies within the Group, including construction land, buildings under construction, completed buildings and property development initiatives held for sale.

Measurement

Property, plant and equipment, including investment property, are carried at cost less accumulated depreciation and any accumulated impairment losses.
Property, plant and equipment are systematically depreciated over their useful lives, identified building by building at the initial recognition, on a straight-line basis, except for:

- land acquired separately or included in the value of property, since it has an indefinite useful life. The value of land included in property is deemed to be separable from the value of buildings; the allocation of value between land and buildings is based on independent appraisals carried out solely in relating to free-standing buildings;
- works of art, since the useful life of a work of art cannot be estimated and its value normally appreciates over time;
- inventories classified in accordance with IAS 2.

If there is any evidence at a reporting date that the value of an asset may be impaired, its carrying value is compared with its recoverable value, being the higher of its fair value net of any selling costs or its value in use, as represented by the present value of the cash flows generated by the asset, as explained in the below paragraph 19 "Method for determining the extent of impairment". Any adjustments are recorded in the income statement.
If the reasons for recognising an impairment loss cease to apply, the impairment loss can be written back but without exceeding the carrying value that the asset would have had (net of depreciation) if no impairment losses had been recognised in prior years.
Assets recognised pursuant to IAS 2 are measured at the lower value between cost or net realisable, subject to comparison of the carrying amount of each asset with its recoverable value, should evidence suggest that its carrying amount may be impaired. Any adjustments are recognised in the income statement.

Derecognition

Property, plant and equipment are derecognised on disposal, or when the assets concerned are permanently taken out of use and no further economic benefits are expected from their disposal.

Recognition of components affecting the income statement

Both the depreciation determined on a straight-line basis and any net adjustments are recorded in caption "Net adjustments to property, plant and equipment" of the income statement.
Disposal gains and losses are however recorded in caption "Gains (Losses) on disposal of investments" of the income statement.

7. Intangible Assets

Recognition

Intangible assets other than goodwill are initially recognised at cost, as represented by the purchase price paid plus any directly-related costs incurred to obtain use of the assets concerned.
Goodwill may be recognised as an intangible asset when the positive difference between the acquisition cost of an equity interest (including related charges) and the fair value of the net assets acquired, including those identified as part of the Purchase Price Allocation (PPA), is representative of the investee's ability to generate income in the future (goodwill).
If the difference is negative (badwill) or the goodwill is not justified by the investee's ability to generate income in the future, the difference is recognised in the income statement.

Classification

Intangible assets are identifiable, non-monetary assets without physical form that are expected to generate economic benefits.
The qualifying characteristics of intangible assets are:

- identifiability;
- control over the resources concerned;
- expectation of economic benefits.

In the absence of any one of the above characteristics, the acquisition or internal production costs are expensed in the year incurred.
Goodwill is represented by the difference between the acquisition cost of an equity investment and the fair value, at the acquisition date, of the assets and other balance sheet items acquired.
Other intangible assets are recognised if they are identifiable and reflect legal or contractual rights.

Measurement

An intangible asset with an indefinite useful life, such as goodwill, is not amortised, but is tested periodically for impairment. An impairment test is performed annually, or whenever there is an indication of impairment, as explained in the below paragraph 19 "Method for determining the extent of impairment". Any impairment loss is recognised in the income statement and the reversal thereof is prohibited.
In contrast to the treatment of goodwill, the cost of intangible assets with a finite useful life is amortised on a straight-line basis or by use of the reducing balance method based on the flow of economic benefits expected from the asset. If there is any evidence of impairment, it is envisaged that an asset would be assessed for impairment by comparing its fair value to its carrying amount.

An estimate of recoverable value is made if there is any evidence of asset impairment at the reporting date. The impairment loss, expensed to income, is the difference between the carrying value of an asset and its recoverable amount, if the latter is lower, as explained in paragraph 19 "Method for determining the extent of impairment".

Derecognition

Intangible assets are derecognised on disposal and when no further economic benefits are expected.

Recognition of components affecting the income statement

Both the amortisation charge and any net adjustments to intangible assets other than goodwill are recorded in the "Net adjustments to intangible assets" caption of the income statement.
Disposal gains and losses are however recorded in the "Gains (Losses) on disposal of investments" caption.
Any impairment losses to the value of goodwill are recognised in the "Impairment losses on goodwill" caption.

8. Non-current assets and disposal groups classified as held for sale

Recognition and classification

Non-current assets and groups of assets/liabilities subject to a disposal process (tangible, intangible and financial assets) are classified in asset caption "Non-current assets and disposal groups classified as held for sale" and liability caption "Liabilities related to non-current assets classified as held for sale", when such sale is deemed to be highly likely.

Measurement

These assets and liabilities are measured at the lower of their carrying value, determined in accordance with IFRS, or their fair value, less costs to sell.

Recognition of components affecting the income statement

Income and charges (net of tax effect) relating to discontinued operations are classified in the "Gains (Losses) from non-current assets and disposal groups classified as held for sale after tax" caption of the income statement.

9. Current and deferred taxation

Taxes for the year were calculated by applying the regulations in force at 31 December 2018, also taking into account the amendements introduced by the Decree of the Minister of Economy and Finance of 10 January 2018, which contains coordination provisions for determining the IRES and IRAP direct taxes within the scope of application of the international accounting standard IFRS 9, as well as the other changes introduced by the 2019 Finance Act, such as:

- repeal of the ACE benefit from 2018: previous surpluses are maintained. The rate for 2018 tax period was updated to 1.5%;
- deductibility over 10 years of the adjustments made for the impairment on FTA;
- postponement to 2026 of the deductibility of the impairment adjustments to loans envisaged for 2018;

- redefinition of the deductibility of convertible goodwill.

Deferred tax assets and liabilities are recorded following the positive outcome of the Probability Test required by IAS 12 relating to temporary changes and tax losses.
The prospective for forecasts is 5-years horizon, i.e. 2019-2023.

Recognition and classification

Current taxation comprises the net balance of income tax payable for the year and the current tax receivable due from the tax authorities consisting of advances and other withholding tax credits or other tax credits recoverable by future offset.
Current tax assets also include tax credits for which a request for reimbursement has been made to the tax authorities.
Deferred taxes represent the income taxes recoverable in future periods as a result of deductible temporary differences and past tax losses (deferred tax assets), and the income taxes payable in future periods as a result of taxable temporary differences (deferred tax liabilities).

Measurement

Deferred tax assets, representing the future tax benefit deriving from deductible temporary differences and tax losses carried forward, are recognised to the extent that their recovery is highly likely. The estimate is made by performing the "probability test", as required by IAS 12. This test is based on an economic forecast developed over a prospective 5-years horizon, adjusting the before tax profit to consider future temporary and permanent changes in accordance with the tax legislation in force at the measurement date, so as to arrive at an estimate of the future tax profits able to reabsorb the deferred tax assets.

Recognition of components affecting the income statement

Changes in tax assets and liabilities are normally recorded in the "Income taxes on current operations" caption.
As an exception, those deriving from transactions recognised directly in equity are treated in the same way, and those deriving from business combinations are included in the calculation of goodwill.

10. Provisions for risks and charges

Recognition

The provisions for risks and charges cover liabilities whose timing and extent are uncertain, when all the following conditions are met:

- a current obligation exists at the balance sheet date, deriving from a past event. The origin of the obligation must either be legal (deriving from a contract, regulation or the provisions of law) or implicit (arising when the business causes third parties to expect that commitments will be met, even if these do not fall into the category of legal obligations);
- a financial outflow is likely;
- the extent of the obligation can be estimated reliably.

No provision is recognised for liabilities that are only potential and not probable, but information on them will be provided in the notes to the financial statements.

Classification

This caption includes the provisions relating to long-term benefits and post-employment benefits governed by IAS 19, discussed in the below paragraph "Employee benefits" below and "Provisions for risks and charges" governed by IAS 37.

Sub-caption "commitments and guarantees granted" comprises the credit risk provisions for funding commitments and financial guarantees given that are subject to the impairment rules of IFRS 9 (please refer to paragraph. 2.1, letter e); paragraph. 5.5; appendix A), as well as the provisions for other commitments and guarantees not subject to those impairment rules.

Measurement

Where the time element is significant, the provisions are discounted using current market rates. Provisions are charged to the income statement.

Recognition of components affecting the income statement

Impairment losses and write-backs of commitments and guarantees granted are recorded in caption "Net provisions for risks and charges – commitments and guarantees granted".

Provisions for risks and charges and the related write-backs, including the effects of the passage of time, are classified in caption "Net provisions for risks and charges – Other net provisions" of the income statement.

Provisions are made on the basis of the best estimate of the amount that the company would reasonably pay to settle the obligation or to transfer it to third parties at the balance sheet date. When the financial effect of time is significant and the payment dates of obligations can be reliably estimated, the provision is calculated by discounting the expected future cash flows taking into account the risks associated with the obligation; the increase in the provision due to the passage of time is recognised in the income statement.

11. Financial liabilities measured at amortised cost

Recognition

These liabilities are initially recognised at their fair value, usually corresponding to the amount collected or the issue price, plus any additional costs/proceeds directly attributable to the individual funding transaction or issue.

This caption includes:

- due to banks;
- due to customers;
- debt securities issued.

Classification

"Due to banks", "Due to customers" and "Debt securities issued" comprise the various forms of interbank and customer funding. These captions also include liabilities recognised by the lessee under finance leases, as well as funding through certificates of deposit and debt securities in issue, net of any repurchases.

Measurement

Following initial recognition, financial liabilities are measured at amortised cost using the effective interest method, except for current liabilities given the negligible effect of the time factor. Debt securities in issue are recorded net of the repurchased amount.

Derecognition

Financial liabilities are derecognised when they expire or are settled. As already highlighted, the cancellation occurs also in the presence of repurchase of previously issued securities.
The difference between the carrying amount of the liability and the amount paid to repurchase it is recorded in the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest and similar expense are recorded in the interest captions of the income statement on an accruals basis, using the effective interest method.
Costs/revenues relating to short-term payables are recorded directly in the income statement.
The difference between the carrying amount of a liability and the amount paid to acquire it is recorded in income statement caption "Gains (Losses) on disposal or repurchase of - financial liabilities".

12. Financial liabilities held for trading

Recognition

These financial instruments are recognised at their fair value on the subscription or issue date, without considering any transaction costs or income directly attributable to them.

Classification

This category of liabilities includes trading derivatives with a negative fair value, as well as derivatives with negative fair value that are embedded in complex contracts - in which the primary contract is a financial liability - but not closely correlated with them and therefore they are represented separately in the financial statements.

Measurement

All liabilities held for trading are measured at fair value.

Derecognition

Financial liabilities held for trading are derecognised on expiry of the contractual rights over the related cash flows, or when the financial liability is assigned with the transfer of substantially all the risks and benefits deriving from its ownership.

Recognition of components affecting the income statement

The criteria applied for the recognition of income components of financial assets held for trading are adopted with suitable modifications

13. Financial liabilities designated at fair value

Recognition

These liabilities are initially recognised at fair value, net of transaction costs or revenues.

Classification

A financial liability is designated at fair value if one of the following conditions applies:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of liabilities, or of assets and liabilities, managed together whose performance is measured at fair value, according to a documented risk-management strategy.

Measurement

Subsequent to initial recognition, these liabilities continue to be measured at fair value according to the methods described below.

The accounting treatment required by IFRS 9 for such liabilities requires that changes in fair value associated with the creditworthiness of the issuer must be recognised as a contra-entry to a specific shareholders' equity reserve. The standard also establishes that the amount recognised in the specific shareholders' equity reserve must not be "released" to the income statement, even if the liability is settled or expires.

Derecognition

"Financial liabilities designated at fair value" are derecognised when they expire or are settled.

The repurchase of debt securities issued in prior periods results in their derecognition.

The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest are recorded in the interest captions of the income statement on an accruals basis.

The results of the assessment (for components other than the creditworthiness of the issuer) are booked to the caption "Net income on financial assets and liabilities measured at fair value through profit or loss - financial assets and liabilities designated at fair value", as are the gains or losses arising on their settlement.

14. Currency transactions

Recognition

On initial recognition, foreign currency transactions are recorded in the reporting currency, by translating the foreign currency amounts using the exchange rates prevailing on the transaction dates.

Measurement

At each reporting date, the amounts originally denominated in a foreign currency are measured as follows:

- monetary items are translated using the closing rate for the period;

- non-monetary items carried at historical cost are translated using the exchange rate on the date of the transaction;
- non-monetary items carried at fair value are translated using the closing rate for the period.

Classification

These comprise all assets and liabilities not denominated in euro.

Derecognition

The criteria applying to the balance sheet captions concerned are used. The exchange rate applying on the settlement date is used.

Recognition of components affecting the income statement

Exchange differences deriving from the settlement of monetary items or from the translation of monetary items using rates other than the initial translation rate, or the closing rate at the end of prior periods, are recorded in the income statement for the period in which they arise.
When gains or losses relating to a non-monetary item are recorded in shareholders' equity, the related exchange differences are also recorded in shareholders' equity. Conversely, when gains or losses are recorded in the income statement, the related exchange differences are also recorded in the income statement.

15. Other information

Treasury shares

Any treasury shares held following repurchase are stated at purchase cost and shown in "Treasury shares" caption with a negative sign. Profits or losses deriving from their subsequent sale are recorded as changes in shareholders' equity in the "Share premium reserve" caption.

Leasehold improvement expenditures

These costs have been classified as "Other assets", since they cannot be recorded as part of "Property, plant and equipment", as required by Bank of Italy instructions.
The related amortisation is recorded in the "Other operating expense (income)" caption.

16. Income statement: Revenues

In accordance with IFRS 15, revenues deriving from contracts with customers are recorded at the amount of the consideration to which the BPER Banca Group is entitled, in exchange for the transfer of goods and services to the customer. Revenues may be recognised:

- at a specific point-in-time, when the entity fulfils the obligation to transfer the promised goods or services to the customer, or
- overtime, as the entity fulfils the obligation to transfer the promised goods or services to the customer.

In this context, goods are transferred when, or over the period in which, the customer obtains control over them.
The price of the transaction is the amount of consideration that the entity is entitled to receive in exchange for the transfer to the customer of the promised goods or services, excluding any amounts

collected on behalf of third parties (e.g. sales taxes). In order to determine the price of the transaction, the BPER Banca Group considers the contract terms and conditions and its normal business practices, including all the following elements to the extent applicable:

- variable consideration, if it is highly likely that the amount will not be adjusted in future;
- restrictions on the estimates of variable consideration;
- existence in the contract of a significant financial component;
- non-monetary consideration;
- consideration payable to the customer.

The BPER Banca Group has identified types of revenue linked to services provided to customers only as regards the content of "Commissions income" caption; the breakdown of revenue, information on execution of the performance obligation, the possible existence of variable fees and the related assessment methods, as well as the additional disclosure required by IFRS 15 are contained in Part C of the notes to the 2018 consolidated financial statements.

The BPER Banca Group has not identified significant situations in this regard:

- to fees relating to various performance obligations given to customers;
- costs incurred and suspended to obtain and fulfil contracts with customers.

Other types of revenue, such as interest and dividends, are recognised applying the following criteria:

- interest on instruments measured at amortised cost is calculated using the effective interest method;
- dividends are recognised when the shareholders' right to receive payment is determined.

17. Income statement: Costs

Costs are recognised in the income statement on an accruals basis; as already highlighted, no costs were identified for obtaining and fulfilling contracts with customers to be recognised in the income statement in a manner correlated with the related revenue.
Marginal costs and revenues directly attributable to the acquisition of an asset or issue of a financial liability measured at amortised cost are recognised in the income statement together with the interest on the financial asset or liability using the effective interest method.

18. Employee benefits

Classification
Employee benefits, excluding short-term amounts such as wages and salaries, comprise:

- post-employment benefits;
- other long-term benefits.

Post-employment benefits are, in turn, sub-divided into defined-contribution plans and defined benefit plans, depending on the nature of the benefits envisaged:

- under defined contribution plans, the employer makes fixed contributions and has no legal or constructive obligation to make further contributions if the fund does not hold sufficient assets to pay all employee benefits;

- defined benefit plans are all post-employment benefit plans other than defined contribution plans.

Pursuant to Law 296 dated 27 December 2006 (2007 Finance Law):

- the employee termination indemnities earned from 1 January 2007 is deemed to be a defined contributions plan for which no actuarial calculations are required;
- the employee termination indemnities already earned at the dates indicated above, on the other hand, continues to be treated as a defined benefits plan, although such benefits have already been fully earned. As a consequence, the actuarial value of the liability must be redetermined at every accounting date subsequent to 31 December 2006.

Other long-term benefits comprise employee benefits that are not due entirely within twelve months of the end of the year in which employees accumulated their right to them.

Recognition and measurement

The value of a defined-benefit obligation is represented by the present value of the future payments necessary to settle the obligations deriving from work performed by employees in the current and prior years.

This present value is determined using the "Projected Unit Credit Method".

The employee benefits included as other long-term benefits, such as long-service bonuses that are paid on reaching a pre-determined level of seniority, are recorded for an amount determined at the reporting date using the "Projected Unit Credit Method".

Employee termination indemnities are recorded as a separate liability, while the other post-employment benefits and long-term benefits are recorded among the provisions for risks and charges.

Recognition of components affecting the income statement

Service costs are recorded as staff costs, together with the related accrued interest.

Actuarial gains and losses (remeasurements) relating to post-employment, defined benefit plans are recorded in shareholders' equity in the year they are identified. These actuarial gains and losses are reported in the "Consolidated other comprehensive income", as required by IAS 1.

The actuarial gains and losses (remeasurements) relating to other long-term benefits are recognised in full as part of staff costs in the year in which they arise. On this last point, in 2012 the BPER Banca Group has standardised the orientation expressed by the National Institute of Actuaries in Circular 35 dated 21 December 2012, valid with effect from the measurements carried out at 31 December 2012. This document confirmed the guidelines already issued with the previous Circular dated 22 May 2012, in which it was expected that the component represented by interest cost had to be calculated using the rate of the curve corresponding to the duration of the liability, instead of the 1-year rate of the same curve used up to 31 December 2011.

19. Method for determining the extent of impairment[46]

A. Financial assets

Impairment models

The calculation of adjustments of financial assets according to the expected credit losses model envisaged by the new principle is the result of a complex process of estimates that includes numerous subjective variables regarding the criteria used to identify a significant increase in credit risk, for the purpose of allocating financial assets to the stages provided for in the Standard; it also involves defining models for measuring expected losses, with the use of assumptions and parameters, which take into account current and future (or "forward-looking") macroeconomic information including, for non-performing exposures, possible sales scenarios where the Bank's strategy envisages recovery of the loans through their assignment.

In accordance with the instructions contained in the standard, the impairment model adopted by the BPER Banca Group is based on the concept of "forward-looking" evaluation, i.e. on the concept of expected loss, whether calculated for the next 12 months (Stage 1) or for the residual life of the instrument (Stage 2 and Stage 3), based on the concept of a Significant Increase in Credit Risk (SICR) with respect to the date of origin of the instrument. According to the Expected Credit Loss model, the losses must be recorded not only on the basis of objective evidence of impairment losses already manifest as of the reporting date, but also on the basis of the expectation of future losses in value not yet manifest as of the reporting date, and must reflect:

- the probability of the occurrence of various scenarios;
- the discounting effect using the effective interest rate;
- historical experiences and current and future assessments.

To this end, the BPER Banca Group has adopted a model for calculating the expected lifetime loss of the financial instrument, applied to instruments classified in Stage 2, which takes into consideration the following multi-period parameters:

$$LtEL_t = \sum_{t=1}^{T} PDF_t \text{ x } LGD_t \text{ x } EaD_t \text{ x } D_t$$

where,

- PDFt is the Probability of Default Forward between 1 and t,
- LGDt is the Loss Given Default at a forward default event between 1 and t,
- EaDt is the Exposure at Default at time t,
- Dt is the discounting factor for the expected loss at time t, up to the current reporting date, determined using the effective interest rate,
- T is the contract maturity date.

The calculation parameters contained in the Lifetime Expected Loss formula, as they are multi-period, they evolve over time, or in the time frame coinciding with the expected life of the exposure that must be evaluated. In particular, the criteria adopted by the BPER Group envisage that:

- the EaD evolves in accordance with the amortisation plans, if they exist, and with the contractual repayment plans in general, possibly amended by "behavioural" hypotheses (e.g. loans with prepayment options);

[46] *As required by document No. 2 issued with joint signature by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009*

- the PD and LGD parameters evolve as a result of the changes in the credit quality observed over time and represented by the transition or migration matrices (e.g. migrations between rating classes or for situations such as Danger Rate).

The calculation of the expected 12-month loss (applied to instruments classified in Stage 1) can therefore be considered as the sum of expected multi-period losses for the first prospective year, or less if the deadline is within 12 months, of the Life Time Expected Loss:

$$EL = EaD \text{ x } LGD \text{ x } PD \text{ x } D$$

where,
- EaD is Exposure at Default,
- LGD is the Loss Given Default,
- PD is the 12-month Probability of Default,
- D is the discounting factor for the expected loss, discounted for 12 months from the first period subsequent to the reporting date.

Lastly, for loans already classified in Stage 3 of an amount lower than the threshold set in the Group's internal regulations for analytical assessment, a collective write-down is adopted by applying the following formula:

$$LtEL_t = EaD \text{ x } LGD$$

where,
- EaD is Exposure at Default,
- LGD is the loss resulting from a default event, which can differ according to the administrative status at the calculation date.

For the purposes of a homogeneous application of the impairment model described to the financial asset portfolios of the BPER Group, the same methods of calculating the value adjustments described above are applied, in addition to the on- and off-balance sheet scope of the loans, also to the portfolio of debt securities. With regard to the latter portfolio, it should be noted that, where the risk information deriving from internal models (PD and LGD) is missing, external information from qualified info providers was used.

The Expected Credit Loss (ECL) model adopted by the BPER Banca Group is based on the use of risk parameters estimated for regulatory purposes (the disclosure of which is given in Part E of the notes, to which reference should be made), appropriately amended to guarantee complete consistency with the requirements of IFRS 9. The main changes concerned the following aspects:
- introduction of "point-in-time" elements in the regulatory parameters estimated according to "through-the-cycle" logic;
- implementation of components based on forecast information (scenario analysis);
- extension of the time horizon (multi-year) of the credit risk parameters.

Estimate of the PD parameter

The introduction of a Lifetime Expected Loss model implies the need to estimate the probability of default not only in the twelve months following the reporting date, but also in subsequent years.
For this purpose, multi-year PD dynamics accumulated by rating class based on the product among the matrices of Point-In-Time (PIT) migrations conditioned to the expected economic cycle were defined for each model of the internal rating system.
More specifically, the cumulative PD curves are determined, for the first three years from the reporting date, by multiplying future PIT matrices derived from the conditioning of PIT matrices, according to the application of satellite models, to different weighted macro-economic scenarios with the relative probabilities of occurrence. From the fourth year onwards, long-term matrices Through-The-Cycle (TTC) are used, obtained as the average of historical PIT migration matrices.
Furthermore, specific PD curves are defined for the mortgage loan component.

Estimate of the LGD parameter

The need to implement a long-term approach, also through the inclusion of “forward looking” factors has involved the removal of the corrective components required for regulatory purposes (“down turn” and indirect costs) and the conditioning to the economic cycle of elements such as the value of the property guarantees and, via satellite models ("Merton method"), the loss rate of unsecured bad positions and migrations between default states.

EAD Estimate

The concept of exposure (EAD) considered in the various future payment moments foreseen in the amortisation plan is based on the residual debt, increased by any unpaid or overdue instalments.
With reference to off-balance sheet exposures (guarantees and margins), EAD is determined by applying a credit conversion factor (CCF) to the nominal value of the exposure.

As required by IFRS 9, the BPER Banca Group's impairment model is reflected in the risk parameters used to calculate the ECL (and the stage assignment explained below):

- current conditions in the economic cycle (Point-in-Time risk measures);
- forward-looking information about risks, considering the dynamics of the (external) macroeconomic factors that affect the lifetime expected loss;
- the probability that three possible scenarios might occur (Probability weighted).

Therefore, all the risk parameters (with the exception of Exposure at Default, for which no significant relationship with macro-economic variables has been found) are conditioned by macro economic scenarios.

With reference to the multiple prospective scenarios used to estimate the ECL, the BPER Banca Group has decided to use the same scenarios used by the Bank's main processes such as Planning and Budget, RAF and Lending Policies, limiting the forward-looking time horizon to a maximum of 3 years following the date of each assessment.

On the basis of the IFRS Foundation's explanation in the ITG entitled "Inclusion of cash flows expected from the sale on default of a loan" and in the "Guidelines for banks on non-performing loans (NPL)" published by the European Central Bank in March 2017 for the pro-active management of non-performing loans, it was felt that including forward-looking factors in scenario evaluations had implications in terms of "measurement", also for impaired assets (Stage 3). Consequently, the BPER

Banca Group made an assumption based on a "disposal scenario" in line with the Group's "2018-2022 NPE Plan" as a possible way to recover exposures and as an alternative to internal recovery ("workout scenario").

In application of the 2018-2022 NPE Plan and the 2018-2020 NPE Strategy of the BPER Banca Group, the measurement of loans in Stage 3 is therefore carried out by weighting the estimated realisable value of these positions according to two possible scenarios, i.e. “workout” and “disposal” and applying a probability of occurrence to them. To this end, the BPER Banca Group has adopted a model for calculating the multi-scenario net value of impaired financial assets, which considers the following parameters:

$$NBV_{NEW} = FMV \text{ x Disposal Scenario } \% + NBV \text{ x } (1\text{-Disposal Scenario } \%)$$

where,

- FMV is the best estimate of the "disposal" price,
- Disposal Scenario is the probability of sale associated with the loan,
- NBV is the net book value of the loan according to internal management logic.

The best estimate of the disposal price of individual positions was made considering the possible market price and, where not available, as the best estimate of the sale value based on adequately updated market parameters (e.g. discount rates, recovery times and costs), and the characteristics of the individual exposures.
The probability of sale associated with the loan was determined taking into consideration the expected date of the disposal (decreasing probability of sale as the estimated time of transfer increases), the type of disposal envisaged and the administrative status in which the positions are classified.

Criteria for the classification of financial instruments in Stages

The Stage Assignment Framework adopted by the BPER Banca Group establishes the requirements for classifying financial instruments with reference to the actual "deterioration" of credit risk, consistent with the requirements of IFRS 9, applying an approach that is consistent among the various portfolios and within the Banking Group. This classification in stages of increasing risk is determined using all the significant information contained in Group processes, as supported where applicable by updates and the credit monitoring processes.
Specifically, financial assets are classified into three stages of risk, each of which applies a different method to calculate the related impairment adjustments, while consistently applying the "Expected Loss" or "Expected Credit Losses" (ECL) concept:

- Stage 1: comprises all performing loans (originated or purchased) without any "significant increase in credit risk" (SICR) since initial recognition; the impairment adjustments reflect the expected losses that might arise on default within the next 12 months (“12-month ECL”);
- Stage 2: comprises all performing loans with a "SICR" since initial recognition; the impairment adjustments reflect the expected losses that might arise on default at any time in the life of the financial instrument (“lifetime ECL”);
- Stage 3: comprises all accounts in default at the reporting date, the impairment adjustments for which consider the lifetime ECL.

In particular, regarding the classification of loans in Stage 2, it is essential to identify correctly the SICR criteria used in the stage assignment process. For this purpose, the BPER Banca Group has structured a framework designed to identify the increase in credit risk before the credit lines granted show clear signs of impending default.

While the distinction between performing and non-performing is made at counterparty level, classification into stages of risk is carried out at account level. In order to distinguish loans within the performing portfolio that do not show SICR (Stage 1) from those that do (Stage 2), the BPER Banca Group has decided to use all the following available significant factors as criteria for the analysis of credit quality:

- Relative quantitative criteria, such as the definition of internal thresholds of change between the PD identified on originating the contractual relationship and the PD at the measurement date, that identify a significant increase in credit risk. In this context, in order to identify the changes in PD and the related thresholds, the framework adopted by the BPER Banca Group makes reference to the Lifetime PD curves, which contain forward-looking information, so that due consideration is given to macroeconomic factors and other elements, such as market type, sector of activity, type of financial instrument and the residual duration of the instrument concerned. The PD deltas defined and the related SICR thresholds have been reduced to a downgrade rating system based on comparison, differentiated by ageing clusters, between rating classes originating with respect to rating classes with a given valuation ("notching" between rating classes) ;
- Absolute qualitative criteria that, via the identification of a risk threshold, identify the transactions to be classified in Stage 2 based on the specific risk information available. This category includes the adverse events impacting credit risk that are identified by the Early Warning credit performance monitoring system ("watchlist"). In order to avoid overlapping, some qualitative counterparty information has not been included among the staging criteria, as it is already considered in the rating models;
- Backstop indicators, including:
  - the presence of exposures with a significant past due balance for more than 30 days;
  - the presence of a regulatory probation period of 24 months for forbearance measures;
  - the absence of a rating or the presence of a default status at the credit origination date.

To date, the BPER Group has not envisaged the possibility of a manual override of the classification resulting from application of the staging rules.

For a homogeneous application of the impairment model between portfolios of the BPER Banca Group, the classification criteria in stages for the portfolio of debt securities were taken, where possible, from the staging logic applied to the loan portfolio. Specifically, the BPER Banca Group has defined a staging model for debt securities based on the following criteria:

- management of an “inventory” of debit securities for staging purposes, applying the FIFO method to relieve sold tranches from the portfolio;
- model for identifying significant increases in credit risk, in order to classify debt securities in Stage 1 or Stage 2, based on the following criteria:
  - primary use of the internal rating model and, if unavailable, reference to an external rating agency;
  - the determination of the rating downgrade threshold based on a comparison of rating classes at origination with rating classes at the measurement date (notching between rating classes);

- classification in Stage 3 of all debt securities in default at the reporting date (or transition to the standard), applying the definition of default contained in the ISDA document entitled "Credit Derivatives Definition" of 2003.

The standard also envisages the possible use of a practical expedient, intended to reduce the implementation burden for transactions that, at the measurement date, have a *low credit risk* and can be classified in Stage 1 without first carrying out the SICR test. The standard considers an asset to have a low credit risk if the debtor is well able to meet the short-term cash flow requirements deriving from its contractual obligations and adverse changes in the long-term economic situation might reduce that ability, but not necessarily.
The BPER Banca Group has decided not to adopt this practical expedient.

Should the conditions giving rise to the SICR cease to apply at a subsequent measurement date, the financial instrument is once again measured with reference to the 12-month ECL, which might result in a write-back to the income statement. It should be noted, however, that in the event of reclassification of a loan from non-performing (Stage 3) to performing, the BPER Banca Group does not deem necessary a forced classification in Stage 2 with the application of a Lifetime ECL, since no probation period has been set for the return from Stage 3 to Stage 1. In this case, the stage assignment approach mentioned previously will be valid. In line with this approach and with the regulatory requirements, also in the event of a return from Stage 2 to Stage 1, probation periods are not envisaged as the combination of the various SICR rules implemented already permits an adequate level of prudence in the case of a return to Stage 1. The only exception to this relates to any contractual changes and/or renegotiations of financial instruments, for which the BPER Group envisages classification as "forborne", which acts as a Stage 2 trigger and therefore requires the application of Lifetime ECL to the credit line. Furthermore, as specified in the "Group Regulation for the management of problem loans", the official rating that is valid on the day that a loan is classified as forborne cannot be improved until twelve months go by.

B. Intangible assets with an undefined useful life

As regards testing goodwill for impairment, when preparing the separate and consolidated financial statements, the Group carries out specific impairment tests on an annual basis as required by the accounting standards, normally at 31 December of each year, unless there have been changes or there are completely new situations that are likely to have had a material impact on the carrying amounts of assets and on the assumptions used the previous time the assets were measured (particularly the assumptions used to calculate the discount rate (KE) and profit forecast (budget and business plans) of the Companies or CGUs whose goodwill is to be tested, i.e. subsidiaries and associates).
Paragraph 9 of IAS 36 requires an assessment to be made on each accounting reference date about whether or not an asset may be impaired; in addition, paragraphs from 12 to 14 of IAS 36 describe certain situations that might be evidence of impairment.
In the case of goodwill, the cash generating unit (CGU) to which it has been allocated is tested for impairment. Any reduction in the value of goodwill is based on the difference between the recovery value of the CGU (Value in use) and its carrying amount if the latter is higher, up to the amount of goodwill on the books. The recoverable amount is the higher of the cash-generating unit's fair value, net of any selling costs, or its related value in use. The difference between the book value and the value in use is recognised in the income statement as "Net adjustments to intangible assets".

C. Equity investments

The Bank's equity investments are also subjected to impairment testing. In particular, the impairment test is performed at least on an annual basis and involves the determination of recoverable value, being the greater of fair value less selling costs or value in use.

Value in use represents the present value of the cash flows expected to derive from the assets subject to impairment testing; this involves estimating the cash flows expected from the asset, possible changes in the timing and/or extent of such flows, the time value of money, and the price that remunerates the specific risks associated with the asset, together with such other factors as the size of the market for the asset, which might affect operators' assessments of the quality of the expected cash flows.

The estimate of value in use, being the present value of the cash flows expected to derive from the asset determined using a Discounted Cash Flow (DCF) method such as the DDM configured for banks, Excess Capital Method, identifies the value of a business in relation to its ability to generate cash flow and thus its financial solidity.

Value in use is therefore determined by discounting the cash flows identified in the business plan, the time horizon for which must be sufficiently long for "fair" forecasts to be made; in financial practice, the time period covered by the forecast flows is at least three years. Where business plans are not prepared directly by the investees, long-term inertia-based plans are developed based on the companies' results and financial position, as well as market projections.

Shareholders' equity and earnings performance are only referred to on a residual basis, for the measurement of minority equity investments.

D. Property, plant and equipment and intangible assets with a defined useful life

Property, plant and equipment and intangible assets with a defined useful life are subjected to impairment testing if there is evidence that their carrying amounts may no longer be recoverable. Recoverable value is determined with reference to the fair value of the property, plant and equipment or intangible asset, net of disposal costs, or to its value in use if this can be determined and exceeds fair value.

The fair value of property is usually determined by appraisal. Impairment is only recognised if fair value less costs to sell, or value in use, is lower than the related carrying amount for an extended period.

The valuation of the individual property is developed according to the Market Value criterion and includes the determination of the market value of the asset and the related land on which it develops. To determine the market value, in relation to the characteristics, intended uses and potential, one or more of the following approaches are adopted:

- comparative method;
- capitalization method;
- cash flow discounting method.

If valuations are negative, showing impairment losses with respect to the carrying amount, the assets are written down as a result.

In order to identify a single method of identifying the "extended period" that triggers impairment in the presence of a market value that is lower than the net carrying amount, reference thresholds have been identified (divided by type of property and use and refer to the negative change in market value compared with the net carrying amount), which indicate potentially critical situations; if exceeded, they lead to a supplementary investigation, which could result in the assets being written down.

Any write-down must be carried out up to the total market value and attributed primarily to the property element.

20. Business combinations: purchase price allocation

Fair value of purchased assets and liabilities

When accounting for a business combination, the Bank determines the fair value of the assets, liabilities and contingent purchased liabilities. Such amount is only identified separately if, at the acquisition date, the following criteria are met:

- in the case of assets other than intangible assets, it is likely that the purchaser will obtain any future economic benefits;
- in the case of liabilities other than contingent liabilities, it is likely that their settlement will require the use of resources capable of producing economic benefits;
- in the case of an intangible asset (IAS 38) or a contingent liability (IAS 37), the related fair value can be measured in a reliable manner.

Identification of intangible assets

Depending on the characteristics of the business acquired, an analysis is performed to identify any unrecorded assets that should be recognised separately, for example customer-related intangibles or client relationship, and marketing-related intangibles (brand name).

Customer-related intangible assets: these are recognised as intangible assets when they are separable and can be measured reliably, even though they may not always derive from contractual rights such as marketing-related intangibles.

This category includes:

- client lists: these comprise all the information held about clients (database containing: names, addresses, transaction history, demographic information etc.) that has a recognised market value, on condition that it can be rented or exchanged; such information cannot be treated as an intangible asset if it is considered so confidential that the combination agreement forbids its sale, rental or exchange in other forms;
- contracts with clients and the client relationships established as a consequence: contracts with clients satisfy the contractual/legal requirement for the recognition of an intangible asset, even if the combination contract forbids their sale or transfer separately from the business acquired; this category also includes long-established contacts with clients, even if there is no formal contract, and all other non-contractual relationships that can be separated and measured on their own;
- non-contractual relations with clients: this category includes all intangible assets that, being separable and transferable independently of the business acquired, may be valued individually and recognised as intangibles.

Marketing-related intangible assets: trademarks, commercial names, service brands, collective names and quality marks that derive from contractual rights or which are usually separable. Such assets reflect the collection of productive conditions that are economically correlated with the commercial name, the relationship with the market, and the reach of distribution.

An intangible asset must be measured initially at cost. If acquired as part of a business combination, its cost is its fair value at the time control is obtained.

Fair value, in this context, reflects market expectations about the likelihood that the owner will obtain the future economic benefits deriving from the asset. The entity must assess the probability of obtaining

future economic benefits using reasonable and justifiable assumptions that reflect Management's best estimate of the economic conditions that will apply over the useful life of the asset.
The accounting standards do not specify the methodology to be used to measure the fair value of such assets but, among the possible alternatives, preference is given to those making reference to observable market prices. Failing this, the accounting standards allow the use of valuation models that include assumptions which are generally used and recognised by the market.
The fair value of customer-related intangible assets is determined by discounting the profit flows generated by deposits over the expected residual period of the relationships outstanding at the time of acquisition.
In general, brands are valued using market methods as well as methods based on the flows deriving from their management or a royalty recognised by the market.

Determination of goodwill

Goodwill represents the unallocated amount of purchase cost, being the excess of the cost of the business combination over the net fair value of the identifiable assets, liabilities and contingent liabilities acquired (including those intangibles and contingent liabilities that satisfy the requirements for recognition in the financial statements).
This represents the consideration recognised by the purchaser in exchange for the future economic benefits deriving from assets that cannot be identified individually and recognised separately. In substance, this includes the value of the expected synergies, the corporate image of the company acquired, its know how, its professionalism, its procedures and other non-specific factors.
The goodwill acquired as a result of a business combination is not amortised. The Group verifies each year, or whenever there is evidence of possible impairment, that the recorded value of goodwill has not been impaired (impairment test).
If the residual amount allocated to the purchase value is negative, it is recognised as a benefit in the income statement under "Badwill" caption.

A.3 – Information on transfers of financial assets between portfolios

No financial assets were reclassified during the year.

A.4 – Information on fair value

Qualitative information

A.4.1 Fair value Levels 2 and 3: valuation techniques and inputs used

Techniques for the determination of fair value

Paragraph 9 of IFRS 13 defines fair value as *"the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date"*.
When determining whether the fair value at initial recognition equals the transaction price, it is necessary to take into account factors specific to the transaction and to the asset and liability. It follows that, if the transaction price (consideration) differs from fair value, the difference should be recognised in the income statement.
It is also established that fair value includes transport costs, but excludes transaction costs.
In addition to the measurement of stand-alone financial instruments at fair value, the Group may also measure groups of similar assets and liabilities at fair value, where it is permitted to do so.
Measurement at fair value assumes that the transaction to sell an asset or transfer a liability takes place in a principal market, defined as the market with the greatest volume and level of trading for the asset or liability to be measured. In the absence of a principal market, reference should be made to the most advantageous market, which is the market that maximises the amount that would be received to sell an asset or minimises the amount that would be paid to transfer a liability, after taking into account transaction costs.

Identification of active markets

The process for measurement of fair value starts with determining whether there is an active market with regularly available quoted prices.

In order to consider a market as active, the Group takes account of the following factors:

- number of participants;
- frequency of price quotation/update;
- the presence and size of a bid-ask spread;
- trading volume.

Whether a financial instrument qualifies as traded on an active market can only be determined through extensive research of all the existing markets in order to identify the principal or most advantageous market, taking into account "all information that is reasonably available" (IFRS 13 § 17). This needs to be done for each financial instrument for which the fair value has to be determined.
To determine whether, based on the information that is available, a market can be considered to be active, the Bank assesses the importance and relevance of factors that include the following:

- low level of recent trading activity;

- available prices are not current;
- available prices vary significantly over time or between market-makers;
- it can be demonstrated that indices that previously had a close correlation with the fair value of an asset or a liability no longer have this correlation based on recent indications of fair value of that asset or liability;
- presence of a significant increase in the embedded risk premiums, or default rates, of the transactions being considered or in quoted prices;
- presence of a wide bid-ask spread or of a significant increase therein;
- significant decline in the level of trading activity;
- lack of publicly available information.

If compliance with the necessary requirements is verified periodically, a financial instrument can be considered to be traded on one or more active markets. Within the possible markets, a search is undertaken to identify the principal market or, in the absence of a principal market, the most advantageous market.
Fair value is determined with reference to:

- the closing bid price for assets held or liabilities to be issued;
- the closing ask price for liabilities already issued or assets to be purchased.

Closing bid and ask prices are the bid and ask prices referred to by the entity that regulates the market on which an instrument is traded.
In the absence of reference bid and ask prices, the last price set by the entity which regulates the market could be taken, provided that this price has the following features: advertising, liquidity, prompt adaptation to changing conditions and availability as envisaged by the standards.
For assets and liabilities with offsetting positions in market risks, the average of the bid and ask price can be used, provided that this is commonly used by market participants and is consistent with the objective of measuring fair value in accordance with IFRS 13.

In the case of open-ended mutual funds, the BPER Banca Group considers the Net Asset Value (NAV) as the best expression of the fair value of the instrument. No adjustments are made to the NAV to take into account the interval between the date redemption is requested and the actual redemption date (considered insignificant).
In the case of listed closed-end funds, the fair value is derived from the market quotation.
In order to take into account certain specific problems of unlisted closed-end funds, such as the underlying's lack of liquidity, the absence of a liquid market and the specificity of the underlying, the most up-to-date NAV available (usually referring to the end of the previous half year) may be adjusted to take into account the components of credit risk, risk of non-disinvestment and market risk.

With regard to foreign shares, if these are listed on regulated stock exchanges, then they are considered to be traded in an active market. The price provided for this type of share, if the bid-ask spread is not available, is the last price. On the contrary, equity trading in OTC markets is not considered to take place in an active market.
Listed derivatives are measured using the last prices supplied by the clearing house.

Financial instruments listed on non-active markets are considered as "unlisted" instruments.

With regard to bonds not listed on regulated markets, in view of the role played by the Bank in the institutional market for financial instruments, the Bloomberg Professional system has been identified as an active market for front office operations, if the prices recorded therein have the appropriate features mentioned above.

Identification of the fair value of financial instruments not listed on active markets

If the market for a financial instrument does not meet the conditions required to qualify as an active market, the fair value of the instrument is determined through the use of valuation techniques.
Valuation techniques indicated by international accounting standards are:

- market approach: this uses prices and other relevant information generated by market transactions involving comparable assets;
- cost approach: this reflects the amount that would be required currently to replace the service capacity of an asset ("current replacement cost");
- income approach: this converts future cash flows or income and expenses to a single current amount.

For Bank purposes, the following valuation techniques are valid:

- market approach for identical or comparable assets and liabilities;
- use of matrix pricing;
- present value techniques;
- option pricing models;
- the multi-period excess earnings method.

These techniques may be used if:

- they maximise the use of market data, while minimising the use of Bank estimates and assumptions;
- they reasonably reflect how the market expects the price to be determined;
- the fair value measurement is determined on the basis of the value indicated by current market expectations and the risk and yield of the instrument being valued;
- they reflect the assumptions that market participants would use when pricing an asset or liability;
- they are consistent with commonly accepted methodologies;
- they are periodically subjected to verification and calibration to verify their capability to determine a fair value in line with actual trading prices for the instrument being valued.

In summary, the Group's preference is to adopt a market approach for the determination of fair value, even if an active market does not exist. Only in the event that it is not possible to apply the above valuation techniques, quantitative valuation methods may be used.

It is apparent that regulations governing valuation techniques do not authorise a neutral and objective use of quantitative methods. However, their use should be understood to be the development by the Group of an internal process that matches the fair value measurement with a price at which an instrument could be exchanged in a market transaction at current conditions.
As part of this process, it would thus appear necessary to give priority to the use of recent transaction prices (prices on non-active markets, prices provided by third-party participants), or the prices of similar instruments. In this context, quantitative methods can provide a benchmark to supplement, or correct, any differences between the instrument being valued and that observed in the market, or to reflect the impact of changes in the economic environment on market transactions.

Valuation techniques used to measure fair value are applied consistently. A change in a valuation technique or its application is appropriate if the change results in a measurement that is equally or more representative of fair value in the circumstances. That might be the case if any of the following events take place:

- new markets develop;
- new information becomes available;
- information previously used is no longer available;
- valuation techniques improve;
- market conditions change.

Fair value Levels 2 and 3: valuation techniques and inputs used

Valuation techniques

Specific techniques are applied in relation to particular types of financial instrument, in order to correctly identify their characteristics.

Equity instruments

For all unlisted shares, the valuation methodologies set out above apply. Failing this, they are measured at cost.
For unlisted shares, other than equity investments, the methods used the most for fair value measurement fall into the following categories:

- discounted cash flow;
- the use of multiples.

These methods require the availability of a significant amount of data to estimate future cash flows generated by a company or to identify the correct market multiples. They use uncertain estimates of various parameters (cash flows, dividends, beta, risk premium, cost of capital, asset values, etc.), the measurement of which is subjective and which do not always reflect market conditions. This leads to a valuation of a distribution of theoretical fair values. Where it is not possible to reliably determine the fair value with the above methods, securities and instruments are measured at cost.
As an alternative to the valuation techniques above, the value of the share may be based on book value, computed as the ratio between equity and the number of issued ordinary shares.

Plain vanilla debt securities

With regard to plain vanilla debt securities, the valuation technique applied is discounted cash flow analysis. There are three steps:

- mapping of cash flows: recognition of the cash flows expected from the instrument and their distribution of the duration of the contract;
- selection of the discounting curve, having regard for the risk factors affecting the cash flows;
- calculation of the present value of the instrument at the measurement date.

Having identified the cash flows, the appropriate discounting curve is calculated using the discount rate adjustment approach, which takes account of both rate risk and credit risk. This information is used to calculate the instrument's fair value, as the sum of the present values of its cash flows.

Structured debt securities

Given the non-determinant nature of the future cash flows from structured securities, their fair value is calculated by breaking them down into a portfolio of elementary instruments using the replica portfolio technique. The fair value of the structured product is obtained by summing the individual values obtained for elementary instruments comprising the product.

As from 2013, the Bank started issuing protection certificates. They combine two financial instruments:

- a zero coupon bond;
- an option which seeks to replicate the performance of an underlying asset and to protect, partially or completely, the amount invested.

The methods used for the calculation of fair value are similar to those described above for structured debt securities.

Derivatives

The fair value of derivatives is determined using quantitative models that differ depending on the type of instrument concerned. In particular, a distinction is made between:

- Over-The-Counter (OTC) options represented by either stand-alone options or options embedded in complex financial instruments. Pricing techniques include:
  - options with pay-off that can be calculated precisely, priced using models generally accepted by the market (e.g. Black & Scholes and variants);
  - options with pay-off that cannot be calculated precisely, usually priced using "Montecarlo" simulation techniques;
- Interest Rate Swaps (IRS): the fair value of IRS is determined using net discounted cash flow analysis. In the case of a structured IRS, the instrument is decomposed into a plain component and an optional component ("building blocks"), so that their separate values can be determined and summed;
- Forward Outright contracts: the fair value measurement of FX Forward Outrights is given by the amount to be traded forward times the strike price, adjusted for the current difference between the spot exchange rate and the forward exchange rate.
- Credit default swaps (CDS): for the fair value measurement of CDS, the Standard ISDA model (v1) developed by Markit Group Ltd. is used

Balance sheet items measured at amortised cost

For financial instruments measured at amortised cost, the fair value is determined for the sole purpose of providing appropriate information in the financial statements.

The fair value of loans with a contractual duration of less than twelve months is estimated to be their book value; the fair value of other loans is obtained by discounting the contract cash flows, net of the expected losses determined with reference to the credit rating of the borrower, using the corresponding rate curve for their maturities.

Credit Valuation Adjustment (CVA) and Debit Valuation Adjustment (DVA)

Current regulations state that the pricing of a derivative, in addition to being based on market factors, should also reflect the credit risk of the counterparty determined by a Credit Valuation Adjustment (CVA) and a Debit Valuation Adjustment (DVA).

To assess the credit risk of the counterparty, the BPER Banca Group adopts the following methodology.

The term Credit Valuation Adjustment (CVA) refers to an adjustment in order to properly reflect the credit risk of the derivative counterparty made on the valuation of an OTC derivative (with a positive current exposure) transaction entered into by the Bank with an external counterparty and may be considered to be the market value of a potential loss amount derived from changes in market prices, due to a worsening of the credit or default risk of the counterparty.

Conversely, the term Debit Valuation Adjustment (DVA) refers to an adjustment in order to properly reflect the Bank's own default risk made on the valuation of an OTC derivative (with a negative current exposure) entered into by the Bank with an external counterparty, i.e. the market value of a potential gain derived from changes in market prices, due to a worsening of the BPER Banca Group's credit or default risk.

For the quantification of a CVA and a DVA, under certain conditions, IFRS 13 refers to a calculation that must be made by netting set or by counterparty and, thus, based on net exposure and not at individual contract level. In addition, it is necessary to consider whether any collateral has been provided or if there are any netting agreements.
BPER Banca Group currently makes use of bilateral agreements for the netting of derivative contracts, in accordance with which the reciprocal mark to market receivable and payable positions are offset automatically on a daily basis, leading to a single net balance, without any novation: this results in margin settlement being made solely by the net creditor. The foregoing has led to a considerable reduction in exposure to credit risk and, consequently, the impact of CVAs and DVAs on fair value.

In particular, for the BPER Banca Group, there are two factors that mitigate the impact on fair value of credit risk:

- the signing of ISDA (International Swaps and Derivatives Association, the international industry standard on OTC derivatives) agreements with the main corporate and all the institutional counterparties to OTC derivatives. In respect of the institutional counterparties the related CSA (Credit Support Annex) was also executed in order to cover the provision of collateral and to further reduce current exposure and consequent risks;
- the entry into force of the new EMIR (European Market Infrastructure Regulation) platform, in respect of the exclusion from the scope of CVAs and DVAs of derivatives entered into on that platform/market. On the basis of assessments made, it is likely that most derivative transactions will go through the new system as they mainly consist of derivatives that are eligible for that purpose.

IFRS 13 does not indicate a specific methodology for the calculation of CVAs and DVAs, but it requires the use of valuation techniques that, on the one hand, must be appropriate for the data available and, on the other hand, maximise the use of observable market data.
With reference to the above, in order to align with best market practices, it was decided to use bilateral CVA methodology that considers the presence of two components to the calculation, with the aim of including the potential loss/gain arising from changes in the credit risk of the counterparty/Bank, but taking into account the joint probability of default by counterparties.

Market parameters
The following types of yield curve are used:

- "par swap" curves;
- bond curves derived from baskets of bonds;
- corporate curves by issuer, rating, and sector.

The following are derived from the "par swap" curves:

- zero coupon curves;

- forward rate curves;
- discount factor curves.

The zero coupon rate curves are obtained using the bootstrapping technique. These are used to extrapolate the discount factors used to determine the present value of the cash flows generated by the financial instruments to be priced. The forward rates are implicit in the zero coupon curve are determined with reference to the non-arbitrage theory.
The issuer curves are obtained by adding to the par swap rates the spreads that reflect the credit rating of the instrument's issuer. These are used to price unlisted bonds.
The credit rating curve of the BPER Banca Group is obtained by creating a basket of issues by banking issuers that have similar characteristics and ratings. This is used to price all issued bonds.
The prices thus obtained are applied daily to organised systems of trading for the bonds issued by the Group Banks (HI-MTF) that are reflected in the fair value valuation in the financial statements.

Volatility and other parameters
Volatilities and correlations are used principally to price unlisted derivatives. The volatilities are classified as follows:

- historical volatilities, estimated as the standard deviation of a time series of daily observations of the logarithm of the yields of the underlying concerned;
- contributed volatilities, obtained from information providers;
- implicit volatilities, obtained from the market prices of listed options.

With regard to the correlations, multi-variant derivatives are priced using historical correlations.

A.4.2 Measurement process and sensitivity

Assets and liabilities categorised within Level 3 of the fair value hierarchy mainly consist of:

- inter-related derivative transactions offsetting each other and linked with self-securitisation contracts classified as "Financial assets measured at fair value through profit or loss - financial assets held for trading" and "Financial liabilities held for trading";
- limited investments in equities measured at nominal value or using the equity method, classified as "Financial assets measured at fair value through other comprehensive income";
- non-controlling equity investments, often held to maintain contact with the territory, or to develop commercial relations (mainly measured using the equity method or at cost), classified as "Financial assets measured at fair value through other comprehensive income";
- investments in asset-backed securities classified as "Financial assets measured at amortised cost" or "Financial assets measured at fair value through profit or loss - other financial assets mandatorily measured at fair value".

For the latter, the related sensitivity is provided below:

Financial asset/liability	Non-observable parameter	Change in parameter	Sensitivity (in thousands)
Investments in Asset Backed Securities	Credit Spread	+25 b.p.	(1,652)

For the other positions which have just been illustrated, given the use of valuation techniques involving the use of estimates, the measurement thereof is incapable of being significantly impacted by changes in inputs.

A.4.3 Fair value hierarchy

The Group classifies its financial assets and liabilities by decreasing degree of fair value quality on the basis of the following principles:

- Fair value level 1. Measurement is based on the price of the financial instrument concerned, being a quoted price in an active market.
- Fair value level 2. Measurement is not based on quoted prices in active markets for the financial instrument concerned, but on meaningful prices obtained from non-active markets or reliable info-providers, or on prices determined using an appropriate valuation technique largely based on observable market parameters, including credit spreads, derived from quotations of instruments that are substantially similar in terms of risk factors considered. The objective of the use of valuation techniques is to reaffirm the aim of obtaining a closing price at the valuation date from the point of view of a market participant that holds the financial instrument.
- Fair value level 3. Measurement is based on various inputs that include subjective parameters, that is, parameters whose value cannot be derived from quoted prices observable in active markets. Since the parameters are not observable directly in the market, it follows that the value is required to make estimates and assumptions.

In some cases, the inputs used to measure the fair value of an asset or a liability might be categorised within different levels of the fair value hierarchy. In those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group has set out[47]:

- the analyses to be performed in the event of changes in valuation techniques used to measure fair value;
- the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred and which is constantly adhered to.

As a general principle, to be allocated to Level 1 of the fair value hierarchy, if there is a quoted price in an active market for an asset or a liability, that price should be used without adjustment when measuring fair value. In fact, the fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities and the lowest priority to unobservable inputs.
An allocation to Levels 2 and 3 depends on how the inputs used for the fair value measurement of an asset or liability are categorised within different levels of the fair value hierarchy: in those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Assessing the significance of a particular input to the entire measurement requires judgement, taking into account factors specific to the asset or liability.

[47] *Please refer to the set of regulations that the Group has adopted: Group Guidelines for the application of the Fair Value Option, Group Guidelines for fair value measurement of financial instruments, Group Regulation for determining the fair value of financial instruments and Manual of valuation techniques for financial instruments of the BPER Banca Group.*

The availability of relevant inputs and their relative subjectivity might affect the selection of appropriate valuation techniques.

A.4.4 Other information

IFRS 13 requires an entity to "disclose information that helps users of its financial statements to assess the following:

a) *for assets and liabilities that are measured at fair value on a recurring or non-recurring basis in the statement of financial position after initial recognition, the valuation techniques and inputs used to develop those measurements;*
b) *for recurring fair value measurements using significant unobservable inputs (Level 3), the effect of the measurements on profit or loss or other comprehensive income for the period."*

The Group has a procedure in place to:

- identify transfers between levels;
- analyse and document the reasons for such transfers;
- monitor and control the reliability of the fair value of financial instruments.

In particular, for assets and liabilities measured at fair value on a recurring and non-recurring basis, adequate disclosure is made of:

- the fair value measurement at the end of the reporting period, and for non-recurring fair value measurements, the reasons for the measurement;
- the level of the fair value hierarchy within which the fair value measurements are categorised in their entirety (Level 1, 2 or 3);
- for assets and liabilities categorised within Level 2 or 3, a description of the valuation techniques and inputs used and the reasons for any changes in valuation techniques used.

The Group provides, for assets and liabilities held at the end of the reporting period that are measured at fair value on a recurring basis, the amounts of any transfers between Level 1 and Level 2 of the fair value hierarchy, the reasons for those transfers and the policy for determining when transfers between levels are deemed to have occurred, while, for those categorised on a recurring basis within Level 3 of the fair value hierarchy, a reconciliation is provided from the opening balances to the closing balances.
Information is also provided on the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred.

For assets or liabilities categorised within Level 3 of the fair value hierarchy, the following disclosures are provided:

- quantitative information about the significant unobservable inputs used in the fair value measurement;
- for recurring fair value measurements, the amount of the total gains or losses for the period included in profit or loss that is attributable to the change in unrealised gains or losses relating to those assets and liabilities held at the end of the reporting period, and the line item(s) in profit or loss in which those unrealised gains or losses are recognised;
- a description of the valuation processes used for recurring and non-recurring fair value measurements;
- a narrative description of the sensitivity of the fair value measurement to changes in unobservable inputs if a change in those inputs to a different amount might result in a significantly higher or lower fair value measurement.

For financial assets and liabilities measured at amortised cost (not thus measured at fair value, but with fair value disclosure obligations) the following information is provided:

- the fair value hierarchy level;
- a description of the valuation techniques adopted for Levels 2 and 3, as well as the inputs used;
- if there has been any change in the valuation technique, a description of the change and the reason for it.

For own financial liabilities measured at fair value with credit enhancement (e.g. inseparable guarantees), information is provided on the existence of credit enhancement and the impact thereof on the determination of the fair value of the liability.

The application of the fair value option to loans and receivables and financial liabilities requires disclosure of the change in fair value attributable solely to changes in the credit risk associated with the instrument.
As mentioned, the risk factors are included in the discount curve using the discount rate adjustment approach.
This approach involves making separate and independent estimates of the various risk components (rate risk and credit risk), so that the partial fair value can be determined considering the changes in just one risk factor.

The following factors are considered in relation to credit risk:

- the risk-free market rate observed at the valuation date;
- the credit spread observed at the initial recording date or the previous valuation date;
- the credit spread observed at the valuation date.

The market fair value at the measurement date is compared with the fair value calculated using the credit risk observed at the initial recording date (or, alternatively, at the previous valuation date). This makes it possible to determine the changes in fair value due solely to changes in credit risk on a cumulative or periodic basis.

Quantitative information

A.4.5 Fair value hierarchy

A. 4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value levels

Assets/Liabilities measured at fair value	31.12.2018			31.12.2017		
	L1	L2	L3	L1	L2	L3
1. Financial assets measured at fair value through profit or loss	390,323	343,324	394,978	470,128	385,638	470,835
a) Financial assets held for trading	128,005	108,066	11,148	248,354	145,609	20,331
b) Financial assets designated at fair value	82,536	136,126	-	84,532	138,660	-
c) Other financial assets mandatorily measured at fair value	179,782	99,132	383,830	137,242	101,369	450,504
2. Financial assets measured at amortised cost	7,627,572	649,802	286,618	11,958,351	1,169,505	270,901
3. Hedging derivatives	-	35,564	-	-	54,061	-
4. Property, plant and equipment	-	-	-	-	-	-
5. Intangible assets	-	-	-	-	-	-
Total	**8,017,895**	**1,028,690**	**681,596**	**12,428,479**	**1,609,204**	**1,048,778**
1. Financial liabilities held for trading	44	134,934	8,846	1,396	151,695	16,955
2. Financial liabilities designated at fair value	-	-	-	-	-	-
3. Hedging derivatives	-	92,374	-	-	23,795	-
Total	**44**	**227,308**	**8,846**	**1,396**	**175,490**	**16,955**

Transfers of assets from Level 1 to Level 2 of the fair value hierarchy during the period amounted to € 80,041 thousand and those from Level 2 to Level 1 amounted to € 381,789 thousand.
The former are due to a loss of significance of the prices quoted in the principal market, while, for the latter, the dealer market showed an improvement in the negotiability of the instruments in terms of volumes and in the width and depth of the prices quoted.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

A.4.5.2 Annual changes in assets measured at fair value on a recurring basis (level 3)

	Financial assets measured at fair value through profit or loss				Financial assets measured at fair value through other comprehensive income	Hedging derivatives	Property, plant and equipment	Intangible assets
	Total	of which: a) financial assets held for trading	of which: b) financial assets designated at fair value	of which: c) other financial assets mandatorily measured at fair value				
1. Opening balance	**427,333**	**20,331**	**-**	**407,002**	**272,087**	**-**	**-**	**-**
2. Increases	**131,996**	**9**	**-**	**131,987**	**44,481**	**-**	**-**	**-**
2.1. Purchases	93,257	1	-	93,256	483	-	-	-
2.2. Gains recognised to:	36,898	8	-	36,890	43,890	-	-	-
2.2.1. Income statement	36,898	8	-	36,890	254	-	-	-
- of which capital gains	35,464	8	-	35,456	-	-	-	-
2.2.2. Shareholders'equity	-	X	X	X	43,636	-	-	-
2.3. Transfers from other levels	-	-	-	-	-	-	-	-
2.4. Other increases	1,841	-	-	1,841	108	-	-	-
3. Decreases	**164,351**	**9,192**	**-**	**155,159**	**29,950**	**-**	**-**	**-**
3.1. Sales	113,055	-	-	113,055	7,656	-	-	-
3.2. Refunds	30,817	8,174	-	22,643	-	-	-	-
3.3. Losses recognised to:	18,475	1,018	-	17,457	19,117	-	-	-
3.3.1. Income statement	18,475	1,018	-	17,457	-	-	-	-
- of which capital losses	10,963	1,018	-	9,945	-	-	-	-
3.3.2. Shareholders'equity	-	X	X	X	19,117	-	-	-
3.4. Transfers from other levels	-	-	-	-	2,794	-	-	-
3.5. Other decreases	2,004	-	-	2,004	383	-	-	-
4. Closing balance	**394,978**	**11,148**	**-**	**383,830**	**286,618**	**-**	**-**	**-**

A.4.5.3 Annual changes in liabilities measured at fair value on a recurring basis (level 3)

	Financial liabilities held for trading	Financial liabilities designated at fair value	Hedging derivatives
1. Opening balance	**16,955**	**-**	**-**
2. Increases	**372**	**-**	**-**
2.1 Issues	-	-	-
2.2. Losses recognised to:	372	-	-
2.2.1. Income statement	372	-	-
- of which capital losses	372	-	-
2.2.2. Shareholders' equity	X	-	-
2.3. Trasferts from other levels	-	-	-
2.4. Other increases	-	-	-
3. Decreases	**8,481**	**-**	**-**
3.1. Refunds	8,175	-	-
3.2. Repurchases	-	-	-
3.3. Profits recognised to:	306	-	-
3.3.1. Income statement	306	-	-
- of which capital gains	306	-	-
3.3.2. Shareholders' equity	X	-	-
3.4. Trasferts from other levels	-	-	-
3.5. Other decreases	-	-	-
4. Closing balance	**8,846**	**-**	**-**

A.4.5.4 Assets and liabilities not measured at fair value or measured at fair value on a non-recurring basis: breakdown by fair value levels

Assets/Liabilities not measured at fair value or measured at fair value on a non-recurring basis	31.12.2018				31.12.2017			
	BV	L1	L2	L3	BV	L1	L2	L3
1. Financial assets measured at amortised cost	56,054,342	6,397,723	93,708	51,207,578	51,561,586	890,336	44,408	51,462,138
2. Property, plant and equipment held for investment	275,871	-	-	297,392	281,857	-	-	307,042
3. Non-current assets and disposal groups classified as held for sale	2,800	-	-	2,800	-	-	-	-
Total	**56,333,013**	**6,397,723**	**93,708**	**51,507,770**	**51,843,443**	**890,336**	**44,408**	**51,769,180**
1. Financial liabilities measured at amortised cost	63,122,667	2,509,988	1,523,181	59,079,422	63,230,643	3,106,380	2,592,624	57,769,092
2. Liabilities related to non-current assets classified as held for sale	-	-	-	-	-	-	-	-
Total	**63,122,667**	**2,509,988**	**1,523,181**	**59,079,422**	**63,230,643**	**3,106,380**	**2,592,624**	**57,769,092**

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

A.5 – Information on "day one profit/loss"

In the case of Level 3 transactions, the fair value according to the model may differ from the transaction price: in the case of a positive difference (day one profit), this is amortised over the residual life of the instrument; in case of a negative difference (day one loss), it is charged to the income statement for prudence sake.

There were no differences at 31 December 2018 between the value of transactions and their corresponding fair values.

Part B – Information on the consolidated balance sheet

Assets

Section 1 – Cash and cash equivalents Caption 10

1.1 Cash and cash equivalents: breakdown

	Total 31.12.2018	Total 31.12.2017
a) Cash	459,782	420,299
b) On demand deposits with Central banks	-	-
Total	**459,782**	**420,299**

Section 2 – Financial assets measured at fair value through profit or loss
Caption 20

2.1 Financial assets held for trading: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
A. Cash assets						
1. Debt securities	60,999	26,156	3	116,810	35,737	1
1.1 Structured securities	21,004	4,843	-	21,377	4,813	-
1.2 Other debt securities	39,995	21,313	3	95,433	30,924	1
2. Equity instruments	66,979	2,391	32	97,839	1,692	25
3. UCITS units	-	-	-	33,657	-	-
4. Loans	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-
Total (A)	**127,978**	**28,547**	**35**	**248,306**	**37,429**	**26**
B. Derivative instruments						
1. Financial derivatives	27	79,519	11,113	48	108,180	20,305
1.1 trading	27	79,519	11,113	48	108,180	20,305
1.2 connected with the fair value option	-	-	-	-	-	-
1.3 others	-	-	-	-	-	-
2. Credit derivatives	-	-	-	-	-	-
2.1 trading	-	-	-	-	-	-
2.2 connected with the fair value option	-	-	-	-	-	-
2.3 others	-	-	-	-	-	-
Total (B)	**27**	**79,519**	**11,113**	**48**	**108,180**	**20,305**
Total (A+B)	**128,005**	**108,066**	**11,148**	**248,354**	**145,609**	**20,331**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

2.2 Financial assets held for trading: breakdown by borrowers/issuers/counterparties

Description/Amounts	Total 31.12.2018	Total 31.12.2017
A. Cash assets		
1. Debt securities	87,158	152,548
a) Central Banks	-	-
b) Public Administrations	14,802	68,465
c) Banks	35,003	32,263
d) Other financial companies	27,931	34,871
of which: insurance companies	941	-
e) Non financial companies	9,422	16,949
2. Equity instruments	69,402	99,556
a) Banks	16,117	21,317
b) Other financial companies	6,247	7,250
of which: Insurance companies	3,578	3,931
c) Non financial companies	47,038	70,989
d) Other issuers	-	-
3. UCITS units	-	33,657
4. Loans	-	-
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	-	-
of which: insurance companies	-	-
e) Non financial companies	-	-
f) Households	-	-
Total (A)	**156,560**	**285,761**
B. Derivative instruments		
a) Central counterparties	-	-
b) Others	90,659	128,533
Total (B)	**90,659**	**128,533**
Total (A+B)	**247,219**	**414,294**

2.3 Financial assets designed at fair value: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
1.Debt securities	**82,536**	**136,126**	**-**	**84,532**	**138,660**	**-**
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	82,536	136,126	-	84,532	138,660	-
2. Loans	**-**	**-**	**-**	**-**	**-**	**-**
2.1 Structured	-	-	-	-	-	-
2.2 Others	-	-	-	-	-	-
Total	**82,536**	**136,126**	**-**	**84,532**	**138,660**	**-**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value"

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

2.4 Financial assets designated at fair value: breakdown by borrowers/issuers

Description/Amounts	Total 31.12.2018	Total 31.12.2017
1. Debt securities	**218,662**	**223,192**
a) Central Banks	-	-
b) Public Administrations	203,256	207,625
c) Banks	6,961	7,210
d) Other financial companies	6,125	8,357
of which: Insurance companies	3,883	3,994
e) Non financial companies	2,320	-
2. Loans	**-**	**-**
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	-	-
of which: Insurance companies	-	-
e) Non financial companies	-	-
f) Households	-	-
Total	**218,662**	**223,192**

2.5 Other financial assets mandatorily measured at fair value: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
1. Debt securities	**9,774**	**99,132**	**126,185**	**-**	**101,004**	**205,963**
1.1 Structured securities	3,437	-	-	-	-	-
1.2 Other debt securities	6,337	99,132	126,185	-	101,004	205,963
2. Equity instruments	**2,133**	**-**	**64,739**	**3,587**	**365**	**64,773**
3. UCITS units	**167,875**	**-**	**192,906**	**133,655**	**-**	**179,768**
4. Loans	**-**	**-**	**-**	**-**	**-**	**-**
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-
Total	**179,782**	**99,132**	**383,830**	**137,242**	**101,369**	**450,504**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value"

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

2.6 Other financial assets mandatorily measured at fair value: breakdown by borrowers/issuer

	Total 31.12.2018	Total 31.12.2017
1. Equity instruments	**66,872**	**68,725**
of which: banks	6,576	32,457
of which: other financial companies	53,404	6,205
of which: non-financial companies	6,892	20,063
2. Debts securities	**235,091**	**306,967**
a) Central Banks	-	-
b) Public Administrations	51,569	53,009
c) Banks	39,926	30,305
d) Other financial companies	141,736	221,698
of which: insurance companies	-	-
e) Non financial companies	1,860	1,955
3. UCITS Units	**360,781**	**313,423**
4. Loans	**-**	**-**
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	-	-
of which: insurance companies	-	-
e) Non financial companies	-	-
f) Households	-	-
Total	**662,744**	**689,115**

2.6 bis UCITS units breakdown

Description	31.12.2018	31.12.2017
1. Equities	8,356	4,728
2. Property - closed end	117,534	129,817
3. Equities - open end	23,913	21,890
4. Balanced - open end	4,555	4,724
5. Bonds - open end	9,465	2,283
6. Equities closed end	20,408	17,282
7. Speculative securities	-	3
8. Bonds - short term	-	-
9. Bonds - long term	8,092	8,704
10. Other	168,458	123,992
Total	**360,781**	**313,423**

Section 3 – Financial assets measured at fair value through other comprehensive income
Caption 30

3.1 Financial assets measured at fair value through other comprehensive income: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
1. Debts securities	**7,627,562**	**647,153**	**8,994**	**11,958,342**	**1,169,100**	**15,308**
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	7,627,562	647,153	8,994	11,958,342	1,169,100	15,308
2. Equity instruments	**10**	**2,649**	**274,200**	**9**	**405**	**252,271**
3. Loans	**-**	**-**	**3,424**	**-**	**-**	**3,322**
Total	**7,627,572**	**649,802**	**286,618**	**11,958,351**	**1,169,505**	**270,901**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value"

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

3.2 Financial assets measured at fair value through other comprehensive income: breakdown by borrowers/issuers

Description/Amounts	Total 31.12.2018	Total 31.12.2017
1. Debt securities	**8,283,709**	**13,142,750**
a) Central Banks	-	-
b) Public Administrations	1,811,095	5,317,160
c) Banks	4,829,221	5,685,213
d) Other financial companies	1,133,274	1,474,174
of which: insurance companies	55,552	7,767
e) Non financial companies	510,119	666,203
2. Equity instruments	**276,859**	**252,685**
a) Banks	85,480	97,822
b) Other issuers:	191,379	154,863
- other financial companies	162,416	126,918
of which: insurance companies	104,330	63,777
- non financial companies	28,913	27,900
- others	50	45
3. Loans	**3,424**	**3,322**
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	3,424	3,322
of which: insurance companies	3,424	3,322
e) Non financial companies	-	-
f) Households	-	-
Total	**8,563,992**	**13,398,757**

3.3 Financial assets measured at fair value through other comprehensive income: gross carrying amount and total impairment provisions

	Gross value				Total impairment provisions			Total partial write-off
	First stage	of which: low credit risk	Second stage	Third stage	First stage	Second stage	Third stage	
Debt securities	7,816,700	106,637	471,884	18	4,420	473	-	-
Loans	3,424	-	-	-	-	-	-	-
Total 31.12.2018	**7,820,124**	**106,637**	**471,884**	**18**	**4,420**	**473**	**-**	**-**
Total 31.12.2017	**13,146,072**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
of which: purchased or originated credit-impaired financial assets	X	X	-	-	X	-	-	-

At 31 December 2018 none of the debt securities classified in Stage 3 has been written off.
In the comparative data at 31 December 2017, all performing exposures are classified in Stage 1.

Section 4 - Financial assets measured at amortised cost Caption 40

4.1 Financial assets measured at amortised cost: breakdown by product of loans to banks

Type of transaction/Amounts	Total 31.12.2018						Total 31.12.2017					
	Book value			Fair value			Book value			Fair value		
	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3
A.Loans to Central Banks	**917,619**	**-**	**-**	**-**	**-**	**917,619**	**2,040,374**	**-**	**-**	**-**	**-**	**2,040,374**
1. Time deposits	8,434	-	-	X	X	X	-	-	-	X	X	X
2. Reserve requirement	901,739	-	-	X	X	X	2,035,870	-	-	X	X	X
3. Repurchase agreements	-	-	-	X	X	X	-	-	-	X	X	X
4. Others	7,446	-	-	X	X	X	4,504	-	-	X	X	X
B.Loans to banks	**2,389,059**	**-**	**-**	**1,737,173**	**13,361**	**622,890**	**1,165,475**	**-**	**-**	**193,349**	**-**	**972,141**
1. Loans	622,890	-	-	-	-	622,890	972,141	-	-	-	-	972,141
1.1 Current accounts and demand deposits	100,545	-	-	X	X	X	97,588	-	-	X	X	X
1.2. Time deposits	68,893	-	-	X	X	X	161,673	-	-	X	X	X
1.3 Other loans:	453,452	-	-	X	X	X	712,880	-	-	X	X	X
- Repurchase agreements	-	-	-	X	X	X	300,025	-	-	X	X	X
- Finance leases	-	-	-	X	X	X	-	-	-	X	X	X
- Others	453,452	-	-	X	X	X	412,855	-	-	X	X	X
2. Debts securities	1,766,169	-	-	1,737,173	13,361	-	193,334	-	-	193,349	-	-
2.1 Structured securities	-	-	-	-	-	-	-	-	-	-	-	-
2.2 Other debt securities	1,766,169	-	-	1,737,173	13,361	-	193,334	-	-	193,349	-	-
Total	**3,306,678**	**-**	**-**	**1,737,173**	**13,361**	**1,540,509**	**3,205,849**	**-**	**-**	**193,349**	**-**	**3,012,515**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

4.2 Financial assets measured at amortised cost: breakdown by product of loans to customers

Type of transaction/Amounts	Total 31.12.2018						Total 31.12.2017					
	Book value			Fair value			Book value			Fair value		
	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3
1. Loans	**43,846,387**	**3,204,555**	**894,885**	**-**	**-**	**48,871,339**	**42,207,366**	**5,401,764**	**-**	**-**	**-**	**48,431,994**
1.1.Current accounts	4,224,234	466,372	130,275	X	X	X	4,327,749	823,471	-	X	X	X
1.2. Repurchase agreements	202,778	-	-	X	X	X	-	-	-	X	X	X
1.3. Mortgages	26,510,823	1,862,934	650,072	X	X	X	25,448,156	3,335,569	-	X	X	X
1.4. Credit cards, personal loans and assignments of one-fifth of salary	1,974,595	23,786	11,166	X	X	X	1,806,361	35,376	-	X	X	X
1.5. Financial leasing	2,415,742	393,177	4,092	X	X	X	2,308,510	531,907	-	X	X	X
1.6. Factoring	845,984	11,676	8,139	X	X	X	772,338	10,081	-	X	X	X
1.7. Other loans	7,672,231	446,610	91,141	X	X	X	7,544,252	665,360	-	X	X	X
2. Debt securities	**5,696,722**	**-**	**-**	**4,660,550**	**80,347**	**795,730**	**746,607**	**-**	**-**	**696,987**	**44,408**	**17,629**
2.1. Structured securities	-	-	-	-	-	-	-	-	-	-	-	-
2.2. Other debt securities	5,696,722	-	-	4,660,550	80,347	795,730	746,607	-	-	696,987	44,408	17,629
Total	**49,543,109**	**3,204,555**	**894,885**	**4,660,550**	**80,347**	**49,667,069**	**42,953,973**	**5,401,764**	**-**	**696,987**	**44,408**	**48,449,623**

The sub-caption "Other loans" of performing loans includes: € 3,757 million of bullet loans (+1.51%), € 2,225 million of advances on invoices subject to collection (+0.95%), € 784 million of import/export advances (+3.84%), € 49 million of credit assignment (-12.50%) and € 857 million of other miscellaneous entries (+3.50%).
An explanation of the fair value hierarchy used for classification has been given in Part A.4 of notes in Chapter "Techniques for the determination of fair value"
The information referred to the purchased or originated impaired financial assets at 31 December 2017 is not available as, given the choice adopted by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of the Bank of Italy Circular 262/2005 is not applicable at that date
Detailed information on loans disbursed with third-party funds is reported in the specific Attachment to these financial statements "Information on loans to third-party funds".

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

4.3 Finance leases

Time bands	Present value 31.12.2018	Present value 31.12.2017
Up to 3 months	504,651	106,098
Between 3 months and 1 year	175,404	77,655
Between 1 year and 5 years	953,092	179,149
Beyond 5 years	1,175,772	2,477,515
Total	**2,808,919**	**2,840,417**

4.4 Financial assets measured at amortised cost: breakdown by borrowers/issuers of loans to customers

Type of transaction/Amounts	Total 31.12.2018			Total 31.12.2017		
	First and second stage	Third stage	of which: purchased or originated impaired financial assets	First and second stage	Third stage	of which: purchased or originated impaired financial assets
1. Debt securities	**5,696,722**	**-**	**-**	**746,607**	**-**	**-**
a) Public Administrations	4,537,856	-	-	660,911	-	-
b) Other financial companies	1,101,089	-	-	57,867	-	-
of which: insurance companies	4,985	-	-	-	-	-
c) Non financial companies	57,777	-	-	27,829	-	-
2. Loans:	**43,846,387**	**3,204,555**	**894,885**	**42,207,366**	**5,401,764**	**-**
a) Public Administrations	2,319,490	3,520	-	2,302,602	13,291	-
b) Other financial companies	3,247,082	110,249	43,594	2,940,785	96,149	-
of which: insurance companies	25,411	-	-	17,887	-	-
c) Non financial companies	22,184,837	2,518,506	625,863	24,655,910	4,674,298	-
d) Households	16,094,978	572,280	225,428	12,308,069	618,026	-
Total	**49,543,109**	**3,204,555**	**894,885**	**42,953,973**	**5,401,764**	**-**

The information referred to the purchased or originated impaired financial assets at 31 December 2017 is not available as, given the choice adopted by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of the Bank of Italy Circular 262/2005 is not applicable at that date.

4.5 Financial assets measured at amortised cost: gross carrying amount and total impairment provisions

		Gross book value				Total impairment provisions			Total partial write-off
		First stage	of which: low credit risk	Second stage	Third stage	First stage	Second stage	Third stage	
Debt securities		7,421,959	-	44,899	-	3,943	24	-	-
Loans		39,253,101	-	6,301,151	7,045,555	97,818	69,538	3,841,000	727,371
Total	**31.12.2018**	**46,675,060**	**-**	**6,346,050**	**7,045,555**	**101,761**	**69,562**	**3,841,000**	**727,371**
Total	**31.12.2017**	**46,385,381**	**-**	**-**	**10,530,726**	**225,559**	**-**	**5,128,962**	**858,628**
of which: purchased or originated credit-impaired financial assets		X	X	256,470	952,886	X	4,017	318,592	-

In the comparative data at 31 December 2017, all performing exposures are classified in Stage 1.
For the approach used in the representation of the gross value and total impairment provisions of impaired financial assets, reference should be made to Part A of these Explanatory Notes. Note that default interest is only recorded at the time of actual collection.

Section 5 – Hedging derivatives
Caption 50

5.1 Hedging derivatives: breakdown by type of hedge and level

	FV 31.12.2018			NV	FV 31.12.2017			NV
	L1	L2	L3	31.12.2018	L1	L2	L3	31.12.2017
A. Financial derivatives								
1. Fair Value	-	35,564	-	2,133,217	-	54,061	-	3,958,667
2. Cash flows	-	-	-	-	-	-	-	-
3. Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives								
1. Fair Value	-	-	-	-	-	-	-	-
2. Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**35,564**	**-**	**2,133,217**	**-**	**54,061**	**-**	**3,958,667**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
NV = notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

5.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge

Transactions/Type of hedge	Fair Value							Cash-flow hedges		Foreign investments
	Specific						General	Specific	General	
	debt securities and interest rates	equity instrumnets and stock indices	currencies and gold	credit	goods	others				
1. Financial assets measured at fair value through other comprehensive income	9,786	-	-	-	X	X	X	-	X	X
2. Financial assets measured at amortised cost	-	X	-	-	X	X	X	-	X	X
3. Portfolio	X	X	X	X	X	X	-	X	-	X
4. Other operations	-	-	-	-	-	-	X	-	X	-
Total assets	9,786	-	-	-	-	-	-	-	-	-
1. Financial Liabilities	25,778	X	-	-	-	-	X	-	X	X
2. Portfolio	X	X	X	X	X	X	-	X	-	X
Total liabilities	25,778	-	-	-	-	-	-	-	-	-
1. Expected transactions	X	X	X	X	X	X	X	-	X	X
2. Portfolio of financial assets and liabilities	X	X	X	X	X	X	-	X	-	-

Section 6 – Change in value of macro-hedged financial assets
Caption 60

There are no amounts to be disclosed in this section.

Section 7 – Equity investments
Caption 70

7.1 Equity investments: information on shareholdings

Company name	Registered head office	Operational head office	Type of relationship	Currency	Share capital	Nature of holding		% Available votes
						Parent company	% holding	
A. Companies subject to joint control								
B. Companies subject to significant influence								
1 Alba Leasing s.p.a.	Milan	Milan	8	eur	357,953,058	BPER Banca	33.498	
2 Arca Holding s.p.a.	Milan	Milan	8	eur	50,000,000	BPER Banca	32.752	
3 Atriké s.p.a.	Modena	Modena	8	eur	120,000	BPER Banca	45.000	
4 Cassa di Risparmio di Fossano s.p.a.	Fossano	Fossano	8	eur	31,200,000	BPER Banca	23.077	
5 Cassa di Risparmio di Savigliano s.p.a.	Savigliano	Savigliano	8	eur	33,085,179	BPER Banca	31.006	
6 CAT Progetto Impresa Modena s.c.r.l.	Modena	Modena	8	eur	90,000	BPER Banca	20.000	
7 CO.BA.PO Consorzio Banche Popolari dell'Emilia Romagna	Bologna	Bologna	8	eur	29,271	BPER Banca	23.587	
8 CONFORM Consulenza Formazione e Management s.cons.a r.l.	Avellino	Avellino	8	eur	200,000	BPER Banca	46.430	
			8			B. Sard.	2.980	
9 Emil-Ro Service s.r.l.	Bologna	Bologna	8	eur	93,600	BPER Banca	16.667	
			8			Emil-Ro Factor	8.333	
10 Immobiliare Oasi nel Parco s.r.l.	Milan	Milan	8	eur	1,000,000	BPER Banca	36.800	
11 Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	Lanciano	Lanciano	8	eur	250,000	BPER Banca	25.000	
12 Resiban s.p.a.	Modena	Modena	8	eur	165,000	BPER Banca	20.000	
13 Sarda Factoring s.p.a.	Cagliari	Cagliari	8	eur	9,027,079	B. Sard.	13.401	
			8			BPER Banca	8.083	
14 Sofipo s.a. in liquidazione	Lugano	Lugano	8	chf	2,000,000	B.P.E.R. Europe	30.000	
15 Unione Fiduciaria s.p.a.	Milan	Milan	8	eur	5,940,000	BPER Banca	24.000	

The figure for share capital is provided as extra information as required by CONSOB Communication DEM/6064293 dated 28 July 2006.
The "% Available votes" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

Key
Type of relationship
8 = associated company

7.2 Significant equity investments: book value, fair value and dividends received

Company name	Book value	Fair value	Dividends received
A. Companies subject to joint control			
B. Companies subject to significant influence			
1. Alba Leasing s.p.a.	134,410	-	-
2. Arca Holding s.p.a.	198,728	-	4,094
3. Cassa di Risparmio di Fossano s.p.a.	43,112	-	692
4. Cassa di Risparmio di Savigliano s.p.a.	25,401	-	406
5. Immobiliare Oasi nel Parco s.r.l.	6,933	-	-
6. Sarda Factoring s.p.a.	1,941	-	-
7. Unione Fiduciaria s.p.a.	7,474	-	363
Total	**417,999**	**-**	**5,555**

See Part A of the Explanatory Notes for an explanation of how these figures were calculated.

Equity investments are considered significant based on the materiality of total assets compared with the equivalent consolidated figure. Other investments, which are not considered significant, are reported in Table 7.4; the controlling interests measured using the equity method are reported in table 7.10.

7.3 Significant equity investments: accounting information

Company name	Cash and cash equivalents	Financial assets	Non-financial assets	Financial liabilities	Non-financial liabilities	Total revenues	Net interest income
A. Companies subject to joint control							
B. Companies subject to significant influence							
1. Alba Leasing s.p.a.	#	4,986,462	157,161	4,531,452	210,927	96,885	#
2. Arca Holding s.p.a.	#	222,705	182,129	69,897	28,972	331,011	#
3. Cassa di Risparmio di Fossano s.p.a.	#	1,920,872	82,453	1,840,053	42,289	46,105	#
4. Cassa di Risparmio di Savigliano s.p.a.	#	1,318,999	49,803	1,287,564	26,503	32,402	#
5. Immobiliare Oasi nel Parco s.r.l.	#	393	22,031	4,649	1,095	1,664	#
6. Sarda Factoring s.p.a.	#	50,693	1,607	42,638	629	2,751	#
7. Unione Fiduciaria s.p.a.	#	56,524	23,512	44,354	10,725	39,406	#

(cont.)

Comany name	Net adjustments to property, plant and equipment and intangible assets	Profit (Loss) from current operations before tax	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Profit (Loss) for the year (1)	Other Compre-hensive income after taxes (2)	Compre-hensive income (3)= (1)+(2)
A. Companies subject to joint							
B. Companies subject to significant							
1. Alba Leasing s.p.a.	#	13,759	9,398	453	9,851	-	9,851
2. Arca Holding s.p.a.	#	55,088	37,727	-	37,727	7	37,734
3. Cassa di Risparmio di Fossano s.p.a.	#	11,072	6,533	-	6,533	-	6,533
4. Cassa di Risparmio di Savigliano s.p.a.	#	2,666	1,678	-	1,678	(4,200)	(2,522)
5. Immobiliare Oasi nel Parco s.r.l.	#	(4,496)	(4,496)	-	(4,496)		(4,496)
6. Sarda Factoring s.p.a.	#	81	149	-	149	-	149
7. Unione Fiduciaria s.p.a.	#	4,232	2,726	-	2,726	-	2,726

Reconciliation of accounting information with the book value of significant equity investments pursuant to paragraph B14 b) IFRS 12

Company name	Shareholders' equity	Attributable share	Goodwill (positive/negative differences in shareholders' equity previously)	Other changes	Book value
A. Companies subject to joint control					
B. Companies subject to significant influence					
1. Alba Leasing s.p.a.	401,250	134,410	-	-	134,410
2. Arca Holding s.p.a.	305,962	100,208	98,520	-	198,728
3. Cassa di Risparmio di Fossano s.p.a.	129,942	29,987	13,125	-	43,112
4. Cassa di Risparmio di Savigliano s.p.a.	75,540	23,422	1,979	-	25,401
5. Immobiliare Oasi nel Parco s.r.l.	18,840	6,933	-	-	6,933
6. Sarda Factoring s.p.a.	9,033	1,941	-	-	1,941
7. Unione Fiduciaria s.p.a.	36,680	8,803	(1,329)	-	7,474

For the values and parameters, please refer to Part A.1 of these Explanatory Notes.
The goodwill relating to and included in the value of significant equity investments (formerly positive/negative differences in shareholders' equity) amounts to € 112,295 thousand.

Alba Leasing s.p.a. was founded in 2010 on the initiative of some of the major Italian cooperative banks and is the fifth largest leasing company in Italy with more than 23,000 active customers all over the country. It is a company that specialises in finance leases, which are distributed by the BPER Banca Group through its branch network.
Arca SGR s.p.a. has transferred its asset management, portfolio management and investment advisory business to Arca Fondi SGR s.p.a. Subsequent to the transfer, it assumed the role of a holding company and it is responsible for Arca Fondi SGR s.p.a.'s general market positioning and business development.

Cassa di Risparmio di Fossano s.p.a. is a Piedmontese credit institution that offers a wide range of banking services.

Cassa di Risparmio di Savigliano s.p.a., active in Piedmont, aims to increase the spread of credit among small entrepreneurs, artisans and farmers.

Sarda Factoring s.p.a. provides financing services and hedging of business risk to companies in Sardinia.

Unione Fiduciaria s.p.a. was founded by a group of cooperative banks and offers trust services, consultancy, organisational and IT services for financial intermediaries.

Immobiliare Oasi nel Parco s.r.l. purchases, develops and sells land and buildings.

Impairment test on goodwill embedded in equity investments into companies subject to significant influence

In line with IAS/IFRS, an impairment test was carried out on the equity investments to verify whether there was any objective evidence that the carrying amount of these assets was not fully recoverable, including any goodwill.

With respect to the method for the determination of impairment of investments in associates, the applicable accounting standards require that this be applied by comparing the recoverable amount with the carrying amount of the investment. If the recoverable value, represented by the greater of the fair value net of selling costs and the value in use, is lower than the carrying amount, an impairment test is carried out.

The test is carried out at least once a year and any time there is an indication that the carrying amount may have suffered a reduction in value.

Casse Cuneesi

The recoverable amount was determined on a value in use basis, estimated by discounting future cash flows. The Dividend Discount Model was utilised, in the Excess Capital Method version, using a cost of capital of 10.73% and a long-term growth rate of 1.5%.

More specifically, for the estimate of the cost of capital, reference was made to the following parameters:

- Risk-free rate of 2.61%, i.e. the average yield on 10-year BTPs calculated on one year;
- market risk premium of 5.50%;
- Beta of 1.48 equal to that of the BPER Group over a three-year period.

For more details about the methodology and other parameters, reference should be made to section 10 – Intangible assets, as the model applied is the same.

The value in use was estimated by discounting future cash flows relating to an explicit forecast period of five years, from 2019 to 2023. The forecasts for 2018 were prepared with reference to the last interim accounts available, and those for the period 2019-2023 with a view to identifying a normalised level of income that is sustainable over the long term; in the latter case, the calculations were developed in a context of inertial growth, referring to the historical evolution of the Banks and to Banking System forecasts for the coming years, the latter supplied by third-party info providers.

Distributable financial flows have been calculated assuming a target CET 1 ratio in line with the supervisory provisions and able to maintain a satisfactory level of capitalisation that is consistent with the expected growth in business of each Cassa.

The assessments show a sustainability of the goodwill embedded in each investment held in Cassa di Risparmio di Savigliano s.p.a. and in Cassa di Risparmio di Fossano s.p.a..

The directors acquired an independent expert's opinion on the process and the results of the impairment test.

Arca Holding s.p.a.

The recoverable amount was based on a recoverable value estimated using the method of the recent market multiples applied to the assets being managed. The valuation provides evidence that the amounts on the books are sustainable.

7.4 Non-significant equity investments: accounting information

Company name	Book value of equity investments	Total assets	Total liabilities	Total revenues	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Profit (Loss) for the year (1)	Other Compre-hensive income after taxes (2)	Comprehensive income (3)= (1)+(2)
Investments in companies under joint control									
Companies subject to significant influence	542	5,390	4,982	2,334	58	-	58	-	58

7.5 Equity investments: annual changes

	Total 31.12.2018	Total 31.12.2017
A. Opening balance	**454,367**	**413,923**
B. Increases	**22,709**	**63,455**
B.1 Purchases	-	30,759
of which: business combinations	-	30,458
B.2 Write-backs	-	-
B.3 Revaluations	-	-
B.4 Other changes	22,709	32,696
C. Decreases	**31,027**	**23,011**
C.1 Sales	-	7,728
C.2 Impairment losses	3,488	4,521
C.3 Depreciations	-	-
C.4 Other changes	27,539	10,762
D. Closing balance	**446,049**	**454,367**
E. Total revaluations	**-**	**-**
F. Total adjustments	**172,042**	**166,925**

"Impairment losses" refer to the impairment test performed on the following companies subject to significant influence: Immobiliare Oasi nel Parco s.r.l. (€ 1,654 thousand), Resiban s.p.a. (€ 147 thousand) and Sarda Factoring s.p.a. (€ 56 thousand); and on the following subsidiaries valued with the application of the equity method: Italiana Valorizzazioni Immobiliari s.r.l. (€ 1,631 thousand).
"Other changes" mainly include the Group's portions of the positive or negative results of affiliates and the consolidation entries under the equity method.

7.6. Significant assessments and assumptions to establish the existence of joint control or significant influence

Please refer to the explanations in Section 3 of Part A of these Explanatory Notes.

7.7 Commitments referred to equity investments in companies subject to joint control

The BPER Banca Group does not include companies subject to joint control at 31 December 2018.

7.8 Commitments related to equity investments in companies subject to significant influence

At 31 December 2018 there are no commitments related to companies subject to significant influence.

7.9 Significant restrictions

Among banks and companies included in BPER Banca Group's scope of consolidation, there are no significant restrictions as foreseen by IFRS 12 § 13.

7.10 Other information

Companies subject to control valued with the application of the equity method

Company name	Book value of equity investments	Total assets	Total liabilities	Total revenues	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Profit (Loss) for the year (1)	Other Comprehensive income after taxes (2)	Comprehensive income (3)= (1)+(2)
Companies subject to control measured with the application of the equity method	27,508	199,645	172,395	41,899	(1,254)	-	(1,254)	-	(1,254)

For the application of the equity method, reference is made to the last available financial statements.
Relating to group companies valued with the application of the equity method, subsidiaries companies, the valuation has been carried out with reference to their financial statement prepared and approved at 31 December 2018.
Relating to the other companies valued with the application of the equity method, the valuation has been carried out with reference to their financial statements at 31 December 2017, except for Cassa di Risparmio di Fossano s.p.a., Cassa di Risparmio di Savigliano s.p.a. and Alba Leasing s.p.a. for which the financial statement prepared and approved at 30 September 2018 were used, and for Arca Holding s.p.a., Sarda Factoring s.p.a. and Emil-Ro Service s.r.l. for which the financial statements prepared and approved at 31 December 2018 were used.

Section 8 – Technical reserves carried by reinsurers Caption 80

There are no amounts to be disclosed in this section.

Section 9 – Property, plant and equipment Caption 90

9.1 Property, plant and equipment used in operations: breakdown of assets measured at cost

Description/Amounts	Total 31.12.2018	Total 31.12.2017
1. Assets owened	**755,503**	**764,903**
a) terreni	183,339	186,616
b) buildings	456,365	488,683
c) furniture	32,226	32,342
d) electronic system	22,710	25,152
e) other	60,863	32,110
2. Assets purchase under finance leases	**13,783**	**16,723**
a) lands	-	-
b) buildings	3,190	3,305
c) furniture	-	-
d) electronic system	10,593	13,418
e) other	-	-
Total	**769,286**	**781,626**
of which: arising from the recovery of guarantees received	-	-

9.2 Property, plant and equipment held for investment: breakdown of assets measured at cost

Description/Amounts	Total 31.12.2018				Total 31.12.2017			
	Book value	Fair value			Book value	Fair value		
		L1	L2	L3		L1	L2	L3
1. Assets owened	**275,871**	**-**	**-**	**297,392**	**281,857**	**-**	**-**	**307,042**
a) lands	92,238	-	-	74,712	95,884	-	-	81,204
b) buildings	183,633	-	-	222,680	185,973	-	-	225,838
2. Assets purchase under finance leases	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) lands	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	**275,871**	**-**	**-**	**297,392**	**281,857**	**-**	**-**	**307,042**
of which: arising from the recovery of guarantees received	-	-	-	-	-	-	-	-

The BPER Banca Group has opted to measure at cost both property, plant and equipment used in operations and property, plant and equipment held for investment.
An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

9.3 Property, plant and equipment used in operations: breakdown of revalued assets

These Consolidated Financial Statements do not include revalued assets.

9.4 Property, plant and equipment held for investments: breakdown of assets measured at fair value

These Consolidated financial statements do not include any assets measured at fair value as mentioned previously.

The 5th update of Bank of Italy Circular 262/2005 recognises that property, plant and equipment may be classified as inventories pursuant to IAS 2. IFRS 15, which came into effect from 1 January 2018, amends IAS 2: land and other property held for resale were previously classified in the "Other assets" caption.

9.5 Inventories of property, plant and equipment governed by IAS 2: breakdown

Description/Amounts	Total 31.12.2018	Total 31.12.2017
1. Inventories of property, plant and equipment arising from the recovery of guarantees received	**-**	**-**
a) lands	-	-
b) buildings	-	-
c) furnitures	-	-
d) electronic systems	-	-
e) others	-	-
2. Other inventories of property, plant and equipment	**18,116**	**-**
Total	**18,116**	**-**
of which: measured at fair value less costs to sell	-	-

This caption mainly refers to properties held by the Group's real estate company.
The figures at 31 December 2017 has not been reclassified as the amount is not significant (€ 18.6 million).

9.6 Property, plant and equipment used in operations: annual changes

	Lands	Buildings	Furniture	Electronic systems	Other	Total
A. Gross opening balance	**188,252**	**749,018**	**211,742**	**201,650**	**254,143**	**1,604,805**
A.1 Total net value adjustments	1,636	257,030	179,400	163,080	222,033	823,179
A.2 Net opening balance	**186,616**	**491,988**	**32,342**	**38,570**	**32,110**	**781,626**
B. Increases:	**615**	**10,420**	**3,699**	**5,989**	**42,337**	**63,060**
B.1 Purchases	-	81	3,074	5,837	12,533	21,525
B.2 Capitalised expenditure on improvements	315	7,576	-	-	4,567	12,458
B.3 Write-backs	-	-	-	-	-	-
B.4 Positive changes in fair value allocated to	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit or loss	-	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	-	-	-
B.6 Transfer from property, plant and equipment held for investment	300	1,205	-	-	-	1,505
B.7 Other changes	-	1,558	625	152	25,237	27,572
C. Decreases:	**3,892**	**42,853**	**3,815**	**11,256**	**13,584**	**75,400**
C.1 Sales	4	34	59	48	146	291
C.2 Amorizations	-	14,992	3,756	11,208	6,683	36,639
C.3 Impairment losses allocated to	-	16,193	-	-	1,576	17,769
a) shareholders' equity	-	-	-	-	-	-
b) profit or loss	-	16,193	-	-	1,576	17,769
C.4 Negative chages in fair value allocated to	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit or loss	-	-	-	-	-	-
C.5 Negative exchange differences	-	-	-	-	-	-
C.6 Transfers to:	3,888	10,780	-	-	-	14,668
a) transfer to property, plant and equipment held for investment	3,888	10,780	-	-	-	14,668
b) non-current assets and groups of assets held for sale	-	-	-	-	-	-
C.7 Other changes	-	854	-	-	5,179	6,033
D. Net closing balance	**183,339**	**459,555**	**32,226**	**33,303**	**60,863**	**769,286**
D.1 Total net value adjustments	1,636	302,077	182,040	152,167	222,855	860,775
D.2 Gross closing balance	**184,975**	**761,632**	**214,266**	**185,470**	**283,718**	**1,630,061**

The determination of the fair value of property, held for whatever purpose, which is also useful to highlight any need for impairment, is usually done based on generally accepted valuation methods and principles. At 31 December 2018, the valuation of the Group's entire property portfolio was subjected to update by an independent expert. Based on the valuation submitted to us on completion of the above review, it was deemed appropriate to write down the carrying amount of the various properties with the recognition of an impairment adjustment of € 17,769 thousand.

9.7 Property, plant and equipment held for investments: annual changes

	Total	
	Lands	Buildings
A. Opening balance	**96,123**	**254,282**
A.1 Total net reduction value	239	68,309
A.2 Net opening balance	**95,884**	**185,973**
B. Increases	**5,107**	**15,615**
B.1 Purchases	-	-
B.2 Capitalised expenditure on improvements	-	3,096
B.3 Positive changes in fair value	-	-
B.4 Write-backs	-	733
B.5 Positive exchange differences	-	-
B.6 Transfer from property, plant and equipment held for investment	3,888	10,780
B.7 Other adjustments	1,219	1,006
C. Decreases	**8,753**	**17,955**
C.1 Sales	340	2,587
C.2 Amortizations	-	4,101
C.3 Negative changes in fair value	-	-
C.4 Impairment losses	7,231	4,769
C.5 Negative exchange difference	-	-
C.6 Transfer to:	743	3,562
a) transfer to property, plant and equipment held for investment	300	1,205
b) non-current assets and group of assets held for sale;	443	2,357
C.7 Other adjustments	439	2,936
D. Net closing balance	**92,238**	**183,633**
D.1 Total net write-down	239	75,795
D.2 Closing gross balance	**92,477**	**259,428**
E. Measured at fair value	74,712	222,680

As a result of the updated valuation at fair value of the property portfolio, as mentioned previously, it was deemed necessary to write down the carrying amount of some properties, recording an impairment of € 12,000 thousand.

9.8 Inventories of property, plant and equipment governed by IAS 2: annual changes

	Inventories of property, plant and equipment arising from the recovery of guarantees received					Other inventories of property, plant and equipment	Total
	Lands	Buildings	Furniture	Electronic systems	Other		
A. Opening balance	-	-	-	-	-	-	-
B. Increases	-	-	-	-	-	**19,107**	**19,107**
B.1 Purchases	-	-	-	-	-	546	546
B.2 Write-backs	-	-	-	-	-	-	-
B.3 Positive exchange differences	-	-	-	-	-	-	-
B.4 Other changes	-	-	-	-	-	18,561	18,561
C. Decreases	-	-	-	-	-	**991**	**991**
C.1 Sales	-	-	-	-	-	362	362
C.2 Impairment losses	-	-	-	-	-	629	629
C.3 Negative exchange differences	-	-	-	-	-	-	-
C.4 Other changes	-	-	-	-	-	-	-
D. Closing balance	-	-	-	-	-	**18,116**	**18,116**

The reclassification of buildings falling into the scope of IAS 2 within inventories of property, plant and equipment was carried out in accordance with the instructions contained in the 5th update of Bank of Italy Circular 262/2005.

Useful life of the main fixed asset categories

Category	Useful life
Land	not depreciated
Property	based on the useful lives identified from specific appraisals
Office furniture and machines	100 months
Furnishings	80 months
Lifting equipment	160 months
Motor vehicles	48 months
Alarm systems	40 months
IT hardware	60 months

Depreciation is calculated with reference to the estimated useful lives of the assets concerned, commencing from when they enter into service.

9.9 Commitments to purchase property, plant and equipment

There are no cases of commitments to purchase property, plant and equipment into the Consolidated financial statements.

Section 10 – Intangible assets
Caption 100

10.1 Intangible assets: breakdown by asset type

Description/Amounts	Total 31.12.2018		Total 31.12.2017	
	Defined duration	Undefined duration	Defined duration	Undefined duration
A.1 Goodwill	**X**	**264,740**	**X**	**327,084**
A.1.1 pertaining to group	X	264,740	X	327,084
A.1.2 pertaining to minority interests	X	-	X	-
A.2 Other intangible assets	**180,949**	**-**	**179,543**	**-**
A.2.1 Assets measured at cost	180,949	-	179,543	-
a) intangible assets generated internally	-	-	-	-
b) other assets	180,949	-	179,543	-
A.2.2 Assets measured at fair value	-	-	-	-
a) intangible assets generated internally	-	-	-	-
b) other assets	-	-	-	-
Total	**180,949**	**264,740**	**179,543**	**327,084**

"Other intangible assets" mainly comprise applications software measured at cost and amortised on a straight-line basis over a period, not exceeding five years, that depends on the degree of obsolescence involved.
The remaining "Other intangible assets" comprise € 10,667 thousand representing the value of the client relationship identified on allocation of the purchase price of the former UNICREDIT branches acquired at the end of 2008, € 4,083 thousand representing the value of the core deposits identified on allocation of the price paid for control of Cassa di Risparmio di Bra in 2013, and € 7,928 thousand relating to the core deposits following finalisation of the PPA (Purchase Price Allocation) relating to Cassa di Risparmio di Saluzzo; their useful life is estimated to be 18 years. The verification of the residual recoverability of these intangible assets did not lead to evidence of impairment compared with the net values as at 31 December 2018.

10.2 Intangible assets: annual changes

	Goodwill	Other intangible assets: internally generated		Other intangible assets: others		Total
		DEF	UNDEF	DEF	UNDEF	
A. Opening balance	**471,930**	**51**	**-**	**424,712**	**-**	**896,693**
A.1 Total net value adjustments	144,846	51	-	245,169	-	390,066
A.2 Net opening balance	**327,084**	**-**	**-**	**179,543**	**-**	**506,627**
B. Increases	**-**	**-**	**-**	**49,940**	**-**	**49,940**
B.1 Purchases	-	-	-	49,219	-	49,219
B.2 Increases in internal intagible assets	X	-	-	-	-	-
B.3 Write-backs	X	-	-	-	-	-
B.4 Positive changes in fair value	-	-	-	-	-	-
- shareholders' equity	X	-	-	-	-	-
- profit or loss	X	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	-	-	-
B.6 Other changes	-	-	-	721	-	721
C. Decreases	**62,344**	**-**	**-**	**48,534**	**-**	**110,878**
C.1 Sales	-	-	-	-	-	-
C.2 Impairment losses	62,344	-	-	48,534	-	110,878
- Amortisations	X	-	-	48,258	-	48,258
- Depreciations	62,344	-	-	276	-	62,620
+ shareholders' equity	X	-	-	-	-	-
+ profit or loss	62,344	-	-	276	-	62,620
C.3 Positive changes in fair value	-	-	-	-	-	-
- shareholders' equity	X	-	-	-	-	-
- profit or loss	X	-	-	-	-	-
C.4 Transfer to non-current assets held for sale	-	-	-	-	-	-
C.5 Negative exchange differrences	-	-	-	-	-	-
C.6 Other changes	-	-	-	-	-	-
D. Net closing balance	**264,740**	**-**	**-**	**180,949**	**-**	**445,689**
D.1 Total net value adjustments	207,190	51	-	299,603	-	506,844
E. Gross closing balance	**471,930**	**51**	**-**	**480,552**	**-**	**952,533**

All intangible assets are measured at cost.
As better described in the following paragraph, the impairment test activity, prepared in compliance with the provisions of the international standard IAS 36, determined the need to make an impairment loss on goodwill of € 62,344 thousand.

Key:
DEF: defined useful life
UNDEF: undefined useful life

10.3 Other information

10.3.1 Goodwill

The goodwill reported in the Consolidated financial statements is summarised in the following table:

Goodwill	Total 31.12.2018	Total 31.12.2017
1. Group companies	**264,740**	**327,084**
1.1 Banks	**32,180**	**40,080**
- Banco di Sardegna s.p.a.	27,606	27,606
- Cassa di Risparmio di Bra s.p.a.	4,574	4,574
- Cassa di Risparmio di Saluzzo s.p.a.	-	7,900
1.2 Parent Company BPER Banca	**225,792**	**280,236**
1.3 Other companies	**6,768**	**6,768**
- Emilia Romagna Factor s.p.a.	6,768	6,768
Total	**264,740**	**327,084**

The BPER Banca CGU includes goodwill arising from bank acquisitions and subsequent mergers by acquisition in past years, as well as goodwill relating to purchases of bank branches from the Unicredit Group.
The impairment test, carried out in accordance with IAS 36, made it necessary to write down the goodwill of Cassa di Risparmio di Saluzzo for € 7,900 thousand and partially the goodwill recorded by the Parent Company BPER Banca (€ 54,444 thousand).

Impairment tests of CGUs and goodwill

With respect to business combinations, accounting standard IFRS 3 requires the recognition of any intangible assets and goodwill arising from the transaction; goodwill is measured as the difference between the value of the consideration paid and the acquisition-date fair value of the assets acquired and the liabilities assumed.
In accordance with IAS 36, intangible assets with an indefinite useful life, including goodwill, are not amortised, but must be tested for impairment annually (or in any case whenever there is evidence of impairment) to verify the actual recoverability of the recorded value.
Impairment testing requires the preliminary identification of the cash generating unit (CGU) to which the goodwill should be allocated. A CGU is the smallest group of assets that generates cash inflows in an autonomous manner. When the recoverable amount of an individual asset cannot be measured, the recoverable amount of the cash generating unit to which the asset belongs should be estimated. Since goodwill is not an asset that generates cash inflows autonomously, the CGUs benefiting from the goodwill arising from a business combination should be identified for the purposes of impairment testing and the goodwill should be allocated to these CGUs.
Impairment testing has to be performed by comparing the carrying amount of the CGU with its recoverable value, where "recoverable value" means the higher of its fair value less selling costs and its value in use. Any adjustments are recorded in the income statement.

Determination of Cash Generating Unit

Based on the provisions of IAS 36, there is a need to correlate the level at which goodwill is tested with the internal reporting level of company performance, with respect to which management controls its dynamics. In this regard, the definition of this level is closely dependent on the organisational models and the attribution of management responsibilities for the definition of operating activities and subsequent monitoring.
Due to the characteristics of the individual entities, the management and organisational model of the BPER Banca Group which governs the segment reporting system (based on individual legal entities), each Bank is identified as a separate CGU. The goodwill recorded in the consolidated balance sheet at 31 December 2018, which pertains to individual subsidiary banks, was tested on the basis of the comparison between the book value and the recoverable value of each entity to which the goodwill has been allocated, i.e.:

- BPER Banca s.p.a.;
- CR Bra s.p.a.;
- Banco di Sardegna s.p.a.;
- CR Saluzzo s.p.a.

Carrying amount of the CGUs

The carrying amount of the CGUs is determined in a manner consistent with the criterion used to estimate the recoverable amount thereof.
Given that it refers to banks, it is not possible to identify the cash flows generated by a CGU without considering the flows deriving from financial assets/liabilities, which represent its core business. In other words, the recoverable amount of the CGU is influenced by these flows, which means that the book value has to be determined in line with the estimated value of the recoverable amount and therefore also has to include the financial assets/liabilities (so-called "equity side" approach).
The table below sets out the carrying amount of the CGU, together with the portion of goodwill allocated to it, as well as the value of other intangible assets identified as a result of the Business Combination and the relating Purchase Price Allocation process (in this case, intangible assets relating to Core Deposits have been identified).

(in millions of Euro)

CGU	Book value	of which: goodwill	of which: "Core Deposits" (attributable to Group)
BPER Banca	4,353.6	*280.2*	-
CR Bra	57.3	*4.6*	*2.3*
Banco di Sardegna	493.7	*27.6*	-
CR Saluzzo	57.9	*7.9*	*5.3*

Criteria for estimation of value in use of CGUs

For the purpose of impairment testing, reference was made to the value in use, estimated using the "Discounted Cash Flow - DCF" valuation method. This method estimates the value in use of an asset by discounting expected cash flows, determined by management on the basis of financial projections for the asset being valued.

Cash flow beyond the last year of the planning period is projected into perpetuity by using an appropriate long-term growth rate "g" to estimate the terminal value.

In the case of banks and financial institutions in general, free cash flow means distributable cash flow taking account of capital restrictions imposed by the Regulatory Authorities or considered reasonable for the coverage of risk that is typical for the asset in question. Accordingly, future cash flows are identifiable as flows that could potentially be distributed after meeting the minimum constraints for allocation of capital, that is, the DCF in the Excess Capital Method version.

Future cash flows are discounted using a discount rate that reflects the present value of the time value of money and the specific risks associated with an asset. Specifically, discount rates used incorporate current market rates with reference to the risk free rate and risk premium associated with the equity component observed over a sufficiently long time period that reflects different market conditions and economic cycles and the use of an appropriate beta coefficient for each CGU that takes account of relevant operating environment risks.

The financial method, identifiable with the Excess Capital Method in the specific case of financial institutions, is expressed by the following formula:

$$W = \sum_{i=0}^{n} CF_i(1 + k_e)^{-i} + TV(1 + k_e)^{-n}$$

Key:
W = value in use;
CF_i = potential cash flow available for distribution over time i;
i = reference year of cash flow;
n = period of time covered by the financial projections;
k_e = discount rate;
TV = terminal value; this corresponds to the present value of a perpetuity calculated based on long-term sustainable cash flow with a constant growth rate of "g".

Estimation of future cash flows

The value in use of each CGU was estimated by discounting future cash flows relating to an explicit forecast period of five years, from 2019 to 2023. The forecasts were drawn up, starting from the financial statements of each Legal Entity at the end of 2018, using the following assessment stages:

- for 2019, budget figures were used;
- for the period 2020-2021, the information contained in the three-year planning document of the BPER Banca Group;
- for the period 2022-2023, financial projections were developed in a context of inertial growth in order to identify sustainable long-term normalised income, taking into account the expected growth given by the macroeconomic situation and the trend recorded by each CGU in the previous period.

The table below sets out the main underlying assumptions for the financial projections used to estimate value in use and, in particular, the compound annual growth rate (CAGR) for deposits and profitability ratios in the last year of the forecast (2023).

CGU	CAGR 2018-2023			Profitability ratios at 2023		
	Loans	Direct deposits	Indirect deposits	Net interest and other banking income/VH	Net impairment losses on loans	Operating costs/VH
BPER Banca	1.60%	3.30%	2.70%	1.49%	0.48%	0.88%
CR Bra	1.10%	-0.60%	3.10%	1.80%	0.45%	0.94%
Banco di Sardegna	1.80%	-0.30%	3.00%	1.79%	0.48%	0.99%
CR Saluzzo	1.40%	0.00%	2.90%	1.73%	0.45%	1.10%

Key:
VH = Volumes handled (Loans+Total Deposits)

The prospective financial information used in the period are characterised by a gradual increase in values in the medium/long term, on the basis of a general recovery in the economy and an improvement in market rates; however, it should be noted that the forecasts are sensitive to changes in the macroeconomic scenario which is significantly impacted by the situation of uncertainty on the timing and strength of the Italian economy's recovery. For this reason, sensitivity analyses of the value in use of the CGU to changes in certain significant parameters used for valuation purposes have been carried out.
The terminal value, being the value for the period beyond that covered by the explicit projections, has been estimated by considering a normalised cash flow generated by income in the last year of the projections, net of physiological capital absorption, and by applying a nominal long-term growth rate ("g") of 1.5%; this "g" rate is substantially in line with expected long-term inflation, thus assuming average real growth of zero.
Distributable cash flows have been calculated assuming a target CET 1 ratio whose trend is in line with the Supervisory Provisions, capable of maintaining a satisfactory level of capitalisation consistent with the expected evolution of the business in the explicit forecast period and assuming an increase in the capital requirement in the last year of explicit forecasting[48], with an impact on the normalised flow underlying the Terminal Value.

The value in use is estimated by discounting cash flows at a rate that considers the current market rates relating to both the element of time value and country risk, as well as specific risks related to the asset in question.
The discount rate was estimated using the Capital Asset Pricing Model, using the following formula:

$$k_e = R_f + \beta \times (R_m - R_f)$$

Key:
R_f = Risk free rate;
$(R_m - R_f)$ = Market Risk Premium;
β = Beta.

[48] *The increase of 0.75% mainly summarizes the estimated impact of the regulatory changes soon to be applied in the "New Definition Of Default" and "Calendar provisioning".*

The CAPM expresses a linear relationship in terms of market balance between the return on an investment and its systematic risk. In detail, the return on an investment is calculated as the sum of the risk-free rate (expression of the time value of money) and the risk premium, which corresponds to the product of beta times the equity risk premium.

The discount rate was estimated as 10.73%, considering the following parameters:

- The risk free rate represents the time value of money corresponding to the return on a risk-free investment usually represented by government bonds. The general structure of the CAPM refers to a risk-free rate, but makes no reference to the period of time to be considered. The approach that prevailed for the valuation process was to select a rate of return on long-term government bonds (generally 10-year bonds). An average value of the 10-year BTP yield rates of 2.61%, calculated over a one-year observation period, has been used here. The extension of the period considered for the calculation of the average value with respect to the previous year's impairment test is to be found in the high volatility that characterised the return on Italian government securities during 2018, accentuated in the second half of the year with sudden reversals of the trend, which identify this phase as circumstantial. In this regard, it should be noted that the trend during the last few months of 2018 was declining and would show a gradual realignment to the figures seen prior to May 2018.
- The market risk premium is the difference between the return on a diversified portfolio of risky investments available on the market and the yield on a risk-free bond. It should be borne in mind that the risk premium is generally associated with the long-term. Since this represents, in fact, the additional return over the risk free rate that an investor requires to invest in a portfolio of risky assets, it should not be linked to short-term market fluctuations. Specifically, we used a market risk premium based on the national context of 5.50%, as used in valuations by various operators.
- Beta, specific investment risk. A beta expresses the correlation between the return on a single risky investment and the return on a market portfolio. A coefficient equal to one indicates that the investment being considered follows the exact trend of the market portfolio, while a beta greater than one identifies an "aggressive" investment, the yield of which may vary to a greater extent than that on the market return. A beta lower than one corresponds to a "defensive" investment; in this case variations in the investment yield are less sensitive. The beta used here is estimated at 1.48, equal to the beta of the BPER Banca Group calculated over a three-year observation period.

Results of impairment tests

An impairment tests requires a comparison between the recoverable amount of the CGU to which goodwill has been allocated and its carrying amount.

More specifically, the carrying amount was calculated as the sum of the portion of shareholders’ equity estimated at 31 December 2018 in proportion to the investment held and the value of goodwill recorded in the consolidated financial statements attributable to the individual CGU, including any specific intangible asset where required (for example Core Deposits)

In accordance with applicable accounting standards, goodwill must be adjusted when the carrying amount of the CGU to which it has been allocated exceeds the recoverable amount, which in this case is assumed to be equal to the value in use.

Based on the above assumptions, the values in use of each CGUs were estimated and compared with their respective carrying amounts. At the reference date of these consolidated financial statements, CR Saluzzo presents a critical issue in the sustainability of goodwill, recording a potential write-down of Euro 0.5 million; on the other hand, the goodwill allocated to the other CGUs is confirmed. The differential

margin for CR Bra also makes it possible to confirm the value of specific intangible assets with a finite life, represented by the Core Deposits identified on application of the acquisition method.
The Parent Company acquired an opinion from an independent external expert on the impairment test carried out.

Sensitivity analysis
It should be noted that the principal parameters used in the measurement model, such as cash flows and discount rate, can be influenced, even significantly, by developments in the general economic environment, especially in the current difficult market conditions and uncertainty as to future economic prospects. The effect that these changes could have on cash flow projections and on the main financial assumptions applied could therefore render future results substantially different from those presented in these financial statements.
For this reason, it was considered useful to perform sensitivity analysis to assess the impact on the estimates of value in use and therefore on the results of the impairment test, of changes in the key parameters on which the valuation model was based. In particular, we verified the impact on value in use of a change of:

- +25 bps and +50 bps on cost of capital (equal to 10.73%);
- +25 bps and +50 bps maximum of the target CET 1 ratio in the last year of the forecast (2023);
- -25 bps and -50 bps in the long-term base growth rate "g" (equal to 1.5%).

The following table shows the change in percentage terms of the value in use of the CGU compared with that obtained using the "base" parameters.

CGU	Change in Value in Use of CGU					
	k_e rate		CET 1 ratio target		“g” rate	
	+25 b.p.	+50 b.p.	+25 bps	+50 bps	-25 b.p.	-50 b.p.
BPER Banca	-1.70%	-3.20%	-0.90%	-1.90%	-0.50%	-0.90%
CR Bra	-2.40%	-4.70%	-0.80%	-1.60%	-1.10%	-2.20%
Banco di Sardegna	-1.70%	-3.30%	-0.60%	-1.20%	-0.80%	-1.60%
CR Saluzzo	-2.70%	-5.20%	-1.00%	-2.00%	-1.10%	-2.20%

Based on the simulations developed by varying certain key parameters, there was a decrease in values in use of between -0.5% and -5.2% assuming a deterioration in the macroeconomic conditions. The analysis confirms that the sustainability of the CR Saluzzo CGU's goodwill becomes critical when there is a deterioration in the reference parameters.

Again from a Stress Test point of view, alternative changes were considered in the discount rate and in the normalised cash flow for the last period of the projections (used to estimate the terminal value) until the changes resulted in the CGU's value in use equalling its carrying amount, or, in other words, the threshold value of the main inputs, beyond which impairment testing of the CGU would result in a loss.

CGU	Maximum k_e rate	Maximum decrease in the normalised flow
BPER Banca	11.77%	-14.40%
CR Bra	18.35%	-63.00%
Banco di Sardegna	17.23%	-55.40%
CR Saluzzo	10.65%	1.30%

The results of this analysis show a satisfactory difference between the figures used for the impairment test and the limit for the CR Bra and Banco di Sardegna CGUs, showing that the available margins of value in use hold up well with respect to an adverse trend in current market scenarios. In the case of the BPER Banca CGU, the margin is lower, to the point of revealing some critical issues with regard to the sustainability of goodwill in the event of a more or less marked deterioration in economic conditions.

GROUP SUBSIDIARIES

The impairment test concerns the legal entity "Emilia Romagna Factor s.p.a.".
For the purpose of impairment testing, reference was made to the value in use, estimated using the "Excess Capital Method" sufficiently discussed above.

Estimation of prospective cash flows

The value in use was estimated by discounting forecast cash flows for an explicit forecast period of three years, 2019-2021, extrapolating for a further 2 years (2022-2023) using inertial growth rates. The forecasts were drawn up starting from the financial statements of the companies at the end of 2018, the 2019 budget, the forecast data for the period 2020-2021 and financial projections in a context of inertial growth for the period 2022-2023.
The terminal value, being the value for the period beyond that covered by the explicit projections, has been estimated by considering a normalised cash flow generated by income in the last year of the projections, net of physiological capital absorption, and by applying a nominal long-term growth rate ("g") of 1.5%; this "g" rate is substantially in line with expected long-term inflation, thus assuming average real growth of zero.
Distributable financial flows have been calculated assuming a target CET 1 ratio in line with the supervisory provisions and able to maintain a satisfactory level of capitalisation that is consistent with the expected growth in business.

Discount rate

Value in use is estimated by discounting cash flows at a rate that considers the current market rates relating to both the element of time value and country risk, as well as specific risks related to the asset in question. The discount rate was estimated as 10.73%; For more details about estimated process and on the inputs used, reference should be made to paragraph "Discount rate" above.

Results of impairment tests

Comparison of the recoverable value determined as above with the book value of the CGU (determined as the book value of the company's shareholders' equity) tended to confirm the value recorded as goodwill for Emilia Romagna Factor S.p.A.

SECOND LEVEL IMPAIRMENT TEST

When the market capitalisation is persistently lower than the carrying amount of equity, it is useful to perform a second level impairment test, even if there are no costs unallocated to the individual CGUs and corporate assets; this is also done to support the reasonableness of the results achieved with the impairment test carried out on the individual CGUs to which goodwill has been allocated.

The second level impairment test makes it possible to compare the estimated value in use at a consolidated level with the Group's book value resulting as at 31 December 2018.

In line with the first level impairment test, the valuation method used is the Excess Capital Method, assessing the Group as a single CGU. This approach is preferable when there are consolidated economic projections and in the presence of a Group with various lines of business that are reasonably similar in nature.

The estimates of potentially distributable cash flows were based on consolidated financial projections, calculated on the basis of the assumptions already discussed above with reference to each CGU, that are consistent with those contained in the 2019-2021 Business Plan; the excess/deficit with respect to the Basel 2 capital requirements was then added/subtracted and applied to the specific case on the basis of the indications received from the Supervisory Authority. The assessment used a target CET 1 ratio whose trend is in line with the Supervisory Provisions, capable of maintaining a satisfactory level of capitalisation consistent with the expected evolution of the business and assuming an increase in the capital requirement in the last year of explicit forecasting[49], with an impact on the normalised flow underlying the Terminal Value.

The estimated cash flows were discounted at a rate of 10.73%, which corresponds to that used in the impairment test of the individual CGUs, so reference should be made to them for further details on the inputs used.

On the basis of the illustrated assumptions and the described evaluation process, a particularly critical condition emerges in the second level impairment test, which shows a write-down of goodwill at consolidated level of Euro 62.3 million.

This write-down was allocated to the CGUs that featured a higher risk of impairment, identified here with those that show a low differential between value in use and carrying amount, suggesting that the goodwill allocated to them may be at a higher risk of write-down in the event of even a marginal deterioration in the valuation parameters. As emerged previously following the sensitivity analyses and identification of the limit parameters, the impairment test involved the entire goodwill allocated to the CR Saluzzo CGU (Euro 7.9 million) and part of the goodwill allocated to the BPER Banca CGU (Euro 54.4 million). In the case of the BPER Banca CGU, another aspect of a qualitative nature is also included, given that this legal entity is the Parent Company, as well as the largest entity in the Group; as a result, it is the one most exposed to any critical issues at a Group level.

As for the impairment tests of the individual CGUs, and even though a write-down of goodwill already emerges using the basic parameters, a sensitivity analysis was also performed in this case to assess the impact on the estimates of value in use, and therefore on the results of the test, of changes in the key parameters on which the valuation model is based. In particular, we verified the impact on value in use of a change of:

- +25 bps and +50 bps on cost of capital (equal to 10.73%);
- +25 bps and +50 bps maximum of the target CET 1 ratio in the last year of the forecast (2023);
- -25 bps and -50 bps in the long-term base growth rate "g" (equating to 1.5%).

[49] *The increase of 0.75% mainly summarizes the estimated impact of the regulatory changes soon to be applied in the "New Definition of Default" and "Calendar provisioning".*

The following table shows the change in percentage terms of value in use compared with that obtained using the "base" parameters.

CGU	Change in Value in Use of CGU					
	k_e rate		CET 1 ratio target		"g" rate	
	+25 b.p.	+50 b.p.	+25 b.p.	+50 b.p.	-25 b.p.	-50 b.p.
Gruppo BPER Banca	-2.40%	-4.60%	-1.30%	-2.70%	-0.50%	-1.00%

Based on the simulations performed by varying certain key parameters, there was a decrease in value in use of between -0.5% and -4.6%.

Section 11 – Tax assets and liabilities
Asset caption 110 and liability caption 60

11.1 Deferred tax assets: breakdown

	IRES	IRAP	Total
Impairment losses on loans to customers	723,317	63,863	787,180
Impairment losses on equity investments and securities	46,120	15,150	61,270
Goodwill	130,702	26,472	157,174
Personnel provisions	51,343	3,320	54,663
Endorsement credits, revocatory action during bankruptcy proceedings and outstanding lawsuits	72,061	4,666	76,727
Impairment losses on loans to customers FTA IFRS 9	157,729	32,111	189,840
Tax losses	39,317	-	39,317
ACE reportable	19,312	-	19,312
Other deferred tax assets	38,827	3,468	42,295
Total	**1,278,728**	**149,050**	**1,427,778**

The total includes tax assets under Law 214/2011 for an amount of € 928.5 million.
The remaining deferred tax assets were recorded on the basis of the positive outcome of the probability test carried out in accordance with IAS 12 (€ 440.5 million referring to temporary differences and € 58.6 million referring to tax losses and ACE surpluses). The time horizon used for the forecasts is 5 years.
At 31 December 2018, no deferred tax assets have been recognised on tax losses totalling € 363.4 million.

11.2 Deferred tax liabilities: breakdown

	IRES	IRAP	Total
Gains from equity instruments and securities	16,500	7,929	24,429
Equity investments	1,316	578	1,894
Staff costs	1,646	-	1,646
Gains from the sale of property, plant and equipment	29	-	29
Depreciation of property, plant and equipment and intangible assets	10,779	1,535	12,314
Other deferred taxes	16,198	2,168	18,366
Total	**46,468**	**12,210**	**58,678**

"Deferred tax assets" and "Deferred tax liabilities" are determined on the basis of IRES and IRAP tax rates which are expected to be in force at the time of their recovery.

11.3 Changes in deffered tax assets (through profit or loss)

	31.12.2018	31.12.2017
1. Initial amount	**1,223,221**	**1,238,390**
2. Increases	**284,987**	**245,584**
2.1 Defferred tax assets recognized in the year	284,930	101,087
a) related to previous years	35,894	-
b) due to changes in accounting criteria	202,390	-
c) value recoveries	-	-
d) others	46,646	101,087
2.2 New taxes or tax rate increases	-	-
2.3 Other increases	57	144,497
- of which: business combinations	-	143,940
3. Decreases	**149,699**	**260,753**
3.1 Defferred tax assets derecognized in the year	78,158	123,558
a) reversals	71,118	122,319
b) write-offs	-	-
c) due to changes in accounting criteria	-	-
d) others	7,040	1,239
3.2 Decreases in tax rates	-	-
3.3 Other decreases:	71,541	137,195
a) changes into tax credits	71,092	135,422
b) others	449	1,773
4. Final amount	**1,358,509**	**1,223,221**

The amount recorded under caption 2.1 a) "related to previous years" includes deferred tax assets recorded during the year for prior year losses.
The amount recorded under caption 2.1 b) "due to changes in accounting criteria" refers to deferred tax assets on impacts of the transition to IFRS 9, also bearing in mind the change in the reference tax regulation, implemented with the 2019 Finance Act.

11.4 Changes in deferred tax assets pursuant to Law 214/2011

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**1,021,455**	**1,071,084**
2. Increases	**240**	**162,755**
3. Decreases	**93,235**	**212,384**
3.1 Reversals	-	76,585
3.2 Changes into tax credits	71,092	135,422
a) from losses for the year	3,534	94,715
b) from fiscal losses	67,558	40,707
3.3 Other decreases	22,143	377
4. Final amount	**928,460**	**1,021,455**

The transformation mentioned in point 3.2. was made in light of the provisions of Decree Law 225/2010, converted with amendments into Law 10/2011. In particular, article 2, paragraphs 55-56, provides that in the event of a loss for the year, deferred tax assets recorded in the financial statements relating to adjustments to loans as well as those relating to goodwill and other intangible assets (overall Deferred Tax Asset - DTA) are transformed into a tax credit. The transformation runs from the date of approval of the financial statements and takes place for an amount equal to the loss for the year multiplied by the ratio between the DTA and net equity before the loss for the year. With effect from the tax period of transformation, negative components corresponding to the DTA transformed into tax credits are not deductible. Law 214/2011 also introduced the chance to transform into tax credits any DTAs recognised in the financial statements for the part of IRES tax losses arising from the deduction of adjustments to loans and goodwill during the year.

Subsequently, Law 214/2013 (Stability Law 2014) extended the conversion of IRAP DTAs relating to the impairment of loans and the value of goodwill and other intangible assets, also in the case of "negative net value of production". These rules therefore ensure the recovery of the DTAs in the case of a loss in the statutory accounts, even if a tax loss is recorded, explaining the reasons that justify full recognition in assets of € 928.5 million of deferred tax assets.

The details of DTAs for IRES and IRAP purposes are shown below:

	Total 31.12.2018			Total 31.12.2017		
	IRES	IRAP	Total	IRES	IRAP	Total
Impairment provisions for loans to customers	723,317	63,863	787,180	726,547	64,113	790,660
Goodwill	117,485	23,796	141,281	136,553	27,658	164,211
Tax losses	-	-	-	66,410	174	66,584
Total	**840,802**	**87,659**	**928,461**	**929,510**	**91,945**	**1,021,455**

11.5 Changes in deffered tax liabilities (through profit or loss)

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**26,033**	**26,132**
2. Increases	**8,229**	**5,693**
2.1 Defferred tax liabilities recognized in the year	8,229	2,318
a) related to previous years	-	-
b) due to changes in accounting criteria	3,506	-
c) others	4,723	2,318
2.2 New taxes or tax rates increases	-	-
2.3 Other increases	-	3,375
- of which: business combinations	-	3,313
3. Decreases	**19,056**	**5,792**
3.1 Defferred tax liabilities derecognized in the year	19,046	5,724
a) reversals	18,772	5,368
b) due to changes in accounting criteria	-	-
c) others	274	356
3.2 Decreases in tax rates	-	4
3.3 Other decreases	10	64
4. Final amount	**15,206**	**26,033**

The amount recorded under caption 2.1 b) "Due to changes in accounting criteria" refers to deferred tax assets on FTA of IFRS 9.

11.6 Changes in deffered tax assets (through shareholders' equity)

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**49,465**	**58,242**
2. Increases	**42,818**	**4,002**
2.1 Defferred tax assets recognized in the year	42,446	3,139
b) related to previous years	109	-
b) due to changes in accounting criteria	5	-
c) others	42,332	3,139
2.2 New taxes or tax rate increases	-	-
2.3 Other increases	372	863
- of which: business combinations	-	860
3. Decreases	**23,014**	**12,779**
3.1 Defferred tax assets derecognized in the year	22,887	12,772
a) reversals	15,342	12,764
b) write-offs	-	-
c) due to changes in accounting criteria	7,536	-
d) others	9	8
3.2 Decreases in taxl rates	-	-
3.3 Other decreases	127	7
4. Final amount	**69,269**	**49,465**

The amount recorded under caption 3.1 c) "Due to changes in accounting criteria" refers to deferred tax assets on FTA of IFRS 9.

11.7 Changes in deffered tax liabilities (through shareholders' equity)

	31.12.2018	31.12.2017
1. Initial amount	**77,927**	**73,145**
2. Increases	**104,733**	**27,375**
2.1 Defferred tax liabilities recognized in the year	104,357	26,901
a) related to previous years	-	-
b) due to changes in accounting criteria	48,290	-
c) others	56,067	26,901
2.2 New taxes or tax rates increases	-	-
2.3 Other increases	376	474
- of which: business combinations	-	212
3. Decreases	**139,188**	**22,593**
3.1 Defferred tax liabilities derecognized in the year	138,330	22,593
a) reversals	138,120	22,557
b) due to changes in accounting criteria	24	-
c) others	186	36
3.2 Decreases in tax rates	-	-
3.3 Other decreases	858	-
4. Final amount	**43,472**	**77,927**

The amount recorded under caption 2.1 b) "Due to changes in accounting criteria" refers to deferred tax assets on FTA of IFRS 9.

11.8 Other information

There are no information to be disclosed other than those already provided in this section.

Section 12 – Non-current assets and disposal groups classified as held for sale and related liabilities
Asset caption 120 and liability caption 70

12.1 Non-current assets and disposal groups classified as held for sale: breakdown.by assets

	31.12.2018	31.12.2017
A. Assets held for sale		
A.1 Financial assets	-	-
A.2 Equity investments	-	-
A.3 Property, plant and equipment	2,800	-
of which: arising from the recovery of guarantees received	-	-
A.4 Intangible assets	-	-
A.5 Other non-current assets	-	-
Total A	**2,800**	**-**
of which measured at cost	2,800	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-
B. Discontinued operations		
B.1 Financial assets measured at fair value through profit or loss	-	-
- Financial assets held for trading	-	-
- Financial assets designated at fair value	-	-
- Other financial assets mandatorily measured at fair value	-	-
B.2 Financial assets measured at fair value through other comprehensive income	-	-
B.3 Financial assets measured at amortized cost	-	-
B.4 Equity investments	-	-
B.5 Property, plant and equipment	-	-
of which: arising from the recovery of guarantees received	-	-
B.6 Intangible assets	-	-
B.7 Other assets	-	-
Total B	**-**	**-**
of which measured at cost	-	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-

(cont.)

	31.12.2018	31.12.2017
C. Liabilities related to assets classified as held for sale		
C.1 Deposits	-	-
C.2 Securities	-	-
C.3 Other liabilities	-	-
Total C	**-**	**-**
of which measured at cost	-	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-
D. Liabilities related to discontinued operations		
D.1 Financial liabilities measured at amortized cost	-	-
D.2 Financial liabilities held for trading	-	-
D.3 Financial liabilities designated at fair value	-	-
D.4 Provisions	-	-
D.5 Other liabilities	-	-
Total D	**-**	**-**
of which measured at cost	-	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-

Section 13 – Other assets
Caption 130

13.1 Other assets: breakdown

	31.12.2018	31.12.2017
Taxes withheld on interest, withholdings and tax credits on dividends, advance taxation	131,793	117,448
Amounts recoverable from the tax authorities for higher taxes paid for previous years and related accrued interest	5,624	4,745
Sundry amounts to be charged to customers	72,948	124,242
Bank charges to be debited to customers or banks	40,664	59,330
Cheques being processed	144	8,022
Cheques drawn on other banks	124,714	96,185
Items relating to securities transactions	13,518	12,512
Leasehold improvement expenditure	6,408	7,198
Gold, silver and precious metals	891	234
Accrued income and prepaid expenses	22,787	40,172
Other items for sundry purposes	129,544	234,811
Total	**549,035**	**704,899**

The figures at 31 December 2017 include € 18.6 million in property held for sale that has not been reclassified as inventories because the amount is not significant.
From the analysis carried out in the Group for the purposes of IFRS 15, no contract assets have been identified.

Liabilities

Section 1 – Financial liabilities measured at amortised cost
Caption 10

1.1 Financial liabilities measured at amortised cost: breakdown by product of due to banks

Type of transactions/Captions	Total 31.12.2018				Total 31.12.2017			
	B V	Fair Value			B V	Fair Value		
		L1	L2	L3		L1	L2	L3
1. Due to Central Banks	**9,185,399**	X	X	X	**9,222,974**	X	X	X
2. Due to banks	**3,940,849**	X	X	X	**3,761,252**	X	X	X
2.1 Other current accounts and demand deposits	219,775	X	X	X	213,245	X	X	X
2.2 Time deposits	1,298	X	X	X	2,461	X	X	X
2.3 Loans	3,718,326	X	X	X	3,527,864	X	X	X
2.3.1 Repurchase agreements	3,190,695	X	X	X	3,063,189	X	X	X
2.3.2 Others	527,631	X	X	X	464,675	X	X	X
2.4 Payables for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
2.5 Other payables	1,450	X	X	X	17,682	X	X	X
Total	**13,126,248**	**-**	**-**	**13,126,248**	**12,984,226**	**-**	**-**	**12,984,226**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

1.2 Financial liabilities measured at amortised cost: breakdown by product of due to customers

Type of transactions /Values	Total 31.12.2018				Total 31.12.2017			
	BV	Fair Value			BV	Fair Value		
		L1	L2	L3		L1	L2	L3
1. Current accounts and demand deposits	37,413,210	X	X	X	35,285,793	X	X	X
2. Time deposits	1,901,381	X	X	X	2,455,533	X	X	X
3. Loans	4,554,675	X	X	X	4,125,867	X	X	X
3.1 repurchase agreements	2,539,391	X	X	X	2,148,650	X	X	X
3.2 other	2,015,284	X	X	X	1,977,217	X	X	X
4. Payables for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
5. Other payables	725,597	X	X	X	826,885	X	X	X
Total	**44,594,863**	**-**	**-**	**44,594,863**	**42,694,078**	**-**	**-**	**42,694,078**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value"
The fair value is assumed to be equal to the carrying amount since they are sight or short-term transactions.

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

1.3 Financial liabilities measured at amortised cost: breakdown by product of debt securities issued

Type of transaction/Amounts	Total 31.12.2018				Total 31.12.2017			
	BV	Fair Value			BV	Fair Value		
		L1	L2	L3		L1	L2	L3
A. Securities								
1. bonds	3,990,573	2,509,988	1,470,148	-	5,391,780	3,106,380	2,522,199	-
1.1 structured	-	-	-	-	-	-	-	-
1,2 others	3,990,573	2,509,988	1,470,148	-	5,391,780	3,106,380	2,522,199	-
2. other securities	1,410,983	-	53,033	1,358,311	2,160,559	-	70,425	2,090,788
2.1 structured	52,672	-	53,033	-	69,771	-	70,425	-
2.2 others	1,358,311	-	-	1,358,311	2,090,788	-	-	2,090,788
Total	**5,401,556**	**2,509,988**	**1,523,181**	**1,358,311**	**7,552,339**	**3,106,380**	**2,592,624**	**2,090,788**

"Bonds" include subordinated bonds issued totalling € 775,973 thousand, none of which are convertible into shares.
In the "Level 3" column of point 2.2, the fair value is assumed to be the same as the book value as these are short-term transactions.
An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

1.4 Breakdown of subordinated securities

	Book value 31.12.2018	Nominal value 31.12.2018	Book value 31.12.2017	Nominal value 31.12.2017
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	-	-	23,586	23,590
Lower Tier II B.P.E.R. subordinated non-convertible bond 5.81%, 2013-2020	5,026	4,778	7,539	7,167
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	225,279	224,855	225,286	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	12,023	12,000	12,024	12,000
EMTN B.P.E.R. subordinated non-convertible bond 5.125%, 2017-2027 callable	513,097	500,000	512,950	500,000
Cassa di Risparmio di Bra s.p.a. fixed-rate Lower Tier II subordinated bond 2011-2021 amortising nom. 7,000,000	4,249	4,200	5,668	5,600
Cassa di Risparmio di Bra s.p.a. subordinated bond 2012-2020 amortising 5.25%	2,040	2,000	3,061	3,000
Lower Tier II CARISPAQ subordinated non-convertible bond floating rate, 2010-2020	4,268	4,250	4,268	4,250
Cassa di Risparmio di Saluzzo s.p.a. subordinated Lower Tier II bond 5.25% with periodic amortisation, 2011-2018	-	-	4,024	4,000
Cassa di Risparmio di Saluzzo s.p.a. subordinated Tier II bond 2.50%, 2014-2019	9,991	9,979	10,004	10,000
Total non-convertible bonds	**775,973**	**762,062**	**808,410**	**794,462**
Total expired non convertible bonds (*)	**-**	**-**	**39,368**	**37,586**
Total bonds	**775,973**	**762,062**	**847,778**	**832,048**

(*) Tranches of bonds with 31 December 2017 maturity for which accounting settlement was received by the custodian bank on 2 January 2018.
There are not convertible subordinated bonds outstanding at 31 December 2018.

1.5 Breakdown of structured debts

There are no amounts to be disclosed in this section.

1.6 Finance lease payables

Time bands	Present value 31.12.2018	Present value 31.12.2017
Up to 3 months	679	635
Between 3 months and 1 year	2,043	1,910
Between 1 year and 5 years	9,161	11,340
Beyond 5 years	-	-
Total	**11,883**	**13,885**

Section 2 – Financial liabilities held for trading Caption 20

2.1 Financial liabilities held for trading: breakdown by product

Type of transactions/Amounts	Total 31.12.2018					Total 31.12.2017				
	NV	Fair Value			Fair Value *	NV	Fair Value			Fair Value *
		L1	L2	L3			L1	L2	L3	
A. Cash liabilities										
1. Due to banks	-	-	-	-	-	50	71	-	-	71
2. Due to customers	500	-	546	-	546	507	478	6	-	484
3. Debt securities	-	-	-	-	X	-	-	-	-	X
3.1 Bonds	-	-	-	-	X	-	-	-	-	X
3.1.1 Other securities	-	-	-	-	X	-	-	-	-	X
3.1.2 Other bonds	-	-	-	-	X	-	-	-	-	X
3.2 Other securities	-	-	-	-	X	-	-	-	-	X
3.2.1 Structured	-	-	-	-	X	-	-	-	-	X
3.2.2 Others	-	-	-	-	X	-	-	-	-	X
Total A	**500**	**-**	**546**	**-**	**546**	**557**	**549**	**6**	**-**	**555**
B. Derivative instruments										
1. Financial derivatives	X	44	134,387	8,846	X	X	847	151,689	16,955	X
1.1 Trading	X	44	98,986	8,356	X	X	847	146,149	16,955	X
1.2 Connected with the fair value option	X	-	34,188	-	X	X	-	1,918	-	X
1.3 Others	X	-	1,213	490	X	X	-	3,622	-	X
2. Credit derivatives	X	-	1	-	X	X	-	-	-	X
2.1 Trading	X	-	1	-	X	X	-	-	-	X
2.2 Connected with the fair value option	X	-	-	-	X	X	-	-	-	X
2.3 Others	X	-	-	-	X	X	-	-	-	X
Total B	**X**	**44**	**134,388**	**8,846**	**X**	**X**	**847**	**151,689**	**16,955**	**X**
Total (A+B)	**X**	**44**	**134,934**	**8,846**	**X**	**X**	**1,396**	**151,695**	**16,955**	**X**

The caption "cash liabilities" concerns the balance of "technical shorts" generated by capital market transactions.
An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3
Fair value: Fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*

2.2 Breakdown of "Financial liabilities held for trading": subordinated liabilities

There are no amounts to be disclosed in this section.

2.3 Breakdown of “Financial liabilities held for trading”: structured debts

There are no amounts to be disclosed in this section.

Section 3- Financial liabilities designated at fair value through profit or loss
Caption 30

There are no amounts to be disclosed in this section.

Section 4 – Hedging derivatives
Caption 40

4.1 Hedging derivatives: breakdown by type of hedge and hierarchy levels

	NV	Fair value			NV	Fair value		
	31.12.2018	L1	L2	L3	31.12.2017	L1	L2	L3
A) Financial derivatives	**4,598,490**	**-**	**92,374**	**-**	**2,290,560**	**-**	**23,795**	**-**
1) Fair value	4,548,490	-	87,865	-	2,200,560	-	16,368	-
2) Cash flows	50,000	-	4,509	-	90,000	-	7,427	-
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**4,598,490**	**-**	**92,374**	**-**	**2,290,560**	**-**	**23,795**	**-**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value”.

Key:
NV = notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

4.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge

Operations/Type of hedge	Fair Value							Cash flow		Foreign investments
	Specific						General	Specific	General	
	debt securities and interest rates	equity instruments and stock indices	currencies and gold	credit	goods	others				
1. Financial assets measured at fair value through other comprehensive income	41,784	-	-	-	X	X	X	4,509	X	X
2. Financial assets measured at amortised cost	46,081	X	-	-	X	X	X	-	X	X
3. Portfolio	X	X	X	X	X	X	-	X	-	X
4. Other operations	-	-	-	-	-	-	X	-	X	-
Total assets	**87,865**	**-**	**-**	**-**	**-**	**-**	**-**	**4,509**	**-**	**-**
1. Financial liabilities	-	X	-	-	-	-	X	-	X	X
2. Portfolio	X	X	X	X	X	X	-	X	-	X
Total liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	X	X	X	X	X	X	X	-	X	X
2. Portfolio of financial assets and liabilities port	X	X	X	X	X	X	-	X	-	-

Section 5 – Change in value of macro-hedged financial liabilities
Caption 50

There are no amounts to be disclosed in this section.

Section 6 – Tax liabilities
Caption 60

Please refer to the information provided in section 11 of Assets.

Section 7 – Liabilities associated with non-current assets held for sale
Caption 70

There are no amounts to be disclosed in this section.

Section 8 – Other liabilities
Caption 80

8.1 Other liabilities: breakdown

	31.12.2018	31.12.2017
Amounts due to banks	15,165	37,434
Amounts due to customers	569,810	701,249
Net adjustments on collection of receivables for third parties	433,822	39,244
Staff emoluments and related social contributions	57,108	35,055
Amounts due to third parties for coupons, securities and dividends to be collected	13,011	37,351
Amounts due to the tax authorities on behalf of customers and personnel	130,750	109,496
Bank transfers for clearance	18,535	15,948
Advances for the purchase of securities	-	40
Due to suppliers	177,549	163,054
Third-part payments as surety for loans	116	439
Repayment to be made to INPS	200	619
Items in transit	23,486	8,331
Accrued expenses and deferred income	15,545	24,833
Other liabilities to third parties	208,849	243,567
Total	**1,663,946**	**1,416,660**

From the analysis carried out by the Group for the purposes of IFRS 15, a single type of contract liability has been identified, amounting to € 10.6 million classified under the caption "Accrued expenses and deferred income", which refers to the portion of consideration paid in advance by customers for warranty services provided by Group banks for a period of time ("over time performance obligation"), relating to the portion not yet accrued at the end of the period.

Section 9 – Employee termination indemnities Caption 90

9.1 Employee termination indemnities: annual changes

	31.12.2018	31.12.2017
A. Opening balance	**187,536**	**205,364**
B. Increases	**2,052**	**18,688**
B.1 Provisions for the year	1,469	1,226
B.2 Other changes	583	17,462
- of which: business combinations	-	14,271
C. Decreases	**6,795**	**36,516**
C.1 Benefits paid	6,738	36,447
C.2 Other changes	57	69
D. Closing balance	**182,793**	**187,536**
Total	**182,793**	**187,536**

9.2 Other information

The following tables detail the changes in employee termination indemnities, as well as the principal demographic and financial assumptions made in order to quantify the provision using the Projected Unit Credit Method (pursuant to IAS 19R, § 65-67); lastly, table 9.2.3 presents the comparative information required by law.

9.2.1 Changes in employee termination indemnities during the year

Description/Amounts	31.12.2018	31.12.2017
A. Opening balance	**187,536**	**205,364**
B. Increases	**2,052**	**18,688**
1. Pension cost relating to current work	68	2
2. Financial charges	1,401	1,224
3. Contribution to the plan by employees	-	-
4. Actuarial losses	583	3,120
5. Exchange differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	-	14,342
C. Decreases	**6,795**	**36,516**
1. Benefits paid	6,738	36,447
2. Pension cost of prior work	-	-
3. Actuarial gains	-	-
4. Exchange differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	57	69
D. Closing balance	**182,793**	**187,536**

9.2.2 Description of the main actuarial assumptions

Main actuarial assumptions/%	31.12.2018	31.12.2017
Discount rates	0.81%	0.52%
Expected increase in remuneration	n/a	n/a
Turn Over	1.83%	1.84%
Inflation rate	1.50%	1.50%
Interest rate adopted for the calculation of interest cost	0.53%	0.40%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Turnover: time series analysis for the period 2014-2016 of the phenomena giving rise to the terminations and adjustments to take account of any "anomalies" that occurred in the past. The assumptions made about turnover took account of grade, seniority, age and gender.
- Inflation rate: a rate of 1.5% was used
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Demographic assumptions

With reference to the technical demographic bases, the analyses performed on the time series of staff of companies included in the scope of consolidation focused on monitoring the trend in the following reasons for elimination between 2014 and 2016:

- rate of employee mortality: except for the Section B pension fund, for which use was made of table RG48 (with age shifting), the ISTAT life table of resident population was used, broken down by age and gender, updated as of 2016;
- rate of employee disability: the tables used for the INPS model to generate "Initial prospects for 2010" were used;
- frequency and amount of advances on termination indemnities: in order to take into account the effects that these advances have on the timing of severance payments and, consequently on the discounting of the Company's liability, a probability table for the release of part of the accrued volumes was created. The frequency of advance payments and the average percentage of termination indemnities requested as an advance were taken from corporate data;
- probability of retirement, resignation, dismissal: this was taken from corporate data; in particular, a table showing the propensity of departure from the Company was created, based on age and gender.

9.2.3 Comparative information: history of plan

Description/Amounts	31.12.2018	31.12.2017
1. Present value of provisions (+)	182,793	187,536
2. Fair value of assets servicing the plan (-)	-	-
3. Plan (surplus) deficit (±)	182,793	187,536
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	583	3,120
5. Adjustments to plan assets based on historical experience		-

9.2.4 Sensitivity analysis on employee termination indemnities

As required by IAS 19 Revised, we carried out a sensitivity analysis on employee termination indemnities with respect to the more significant actuarial assumptions to show how the liability would change in relation to possible fluctuations in each of these assumptions. The following table shows how the provision would change in the event of a 50 basis point increase or decrease in the discount and inflation rates compared with the parameters actually used.

Provision for termination indemnities	31.12.2018		+50 b.p.		-50 b.p.	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
discount rates	182,793	-	178,874	-	186,428	-
inflation rate	182,793	-	186,954		179,261	-

Section 10 – Provisions for risks and charges Caption 100

10.1 Provisions for risk and charges: breakdown

Descriptions/Components	31.12.2018	31.12.2017
1. Impairment provisions for credit risk related to commitments and financial guaratees granted	54,124	46,793
2. Impairment provisions related to other commitments and guaratees granted	8,935	-
3. Provisions for pension benefits	131,126	137,148
4. Other provisions for risk and charges	275,766	303,237
4.1 legal and fiscal disputes	175,825	151,758
4.2 personnel charges	68,392	102,480
4.3 others	31,549	48,999
Total	**469,951**	**487,178**

10.2 Provisions for risks and charges: annual changes

	Impairment provisions related to other commitments and guaratees granted	Provisions for pension benefits	Other provisions for risk and charges	Total
A. Opening balance	**4,486**	**137,148**	**303,237**	**444,871**
B. Increases	**11,625**	**1,240**	**106,141**	**119,006**
B.1 Provisions for the year	5,648	3	94,779	100,430
B.2 Time value changes	-	1,237	198	1,435
B.3 Changes due to discount rate modifications	-	-	206	206
B.4 Other changes	5,977	-	10,958	16,935
C. Decreases	**7,176**	**7,262**	**133,612**	**148,050**
C.1 Uses for the year	7,135	6,691	72,626	86,452
C.2 Changes due to discount rate modifications	-	447	-	447
C.3 Other changes	41	124	60,986	61,151
D. Closing balance	**8,935**	**131,126**	**275,766**	**415,827**

"Changes due to discount rate modifications" also include actuarial gains and losses, considering not just interest rate movements, but also other demographic and financial factors, where applicable.
The opening balance relating to the "Impairment provisions related to other commitments and guarantees granted" takes into account the first application of the international accounting standard IFRS 9 for € 4,486 thousand.

10.3 Impairment provisions for credit risk related to commitments and financial guarantees granted

	Impairment provisions for credit risk related to commitments and financial guarantees granted			
	First stage	Second stage	Third stage	Total
Commitments to distribute funds	8,600	4,152	-	12,752
Financial guarantees granted	629	4,837	35,906	41,372
Total	**9,229**	**8,989**	**35,906**	**54,124**

10.4 Provisions for other commitments and other guarantees granted

This section does not show significance requirements.

10.5 Provisions for pension with defined-benefits

10.5.1 Features of provisions and related risks

The pension plans cover BPER Banca S.p.A., as referred to in the individual financial statements, Cassa di Risparmio di Bra s.p.a. and Cassa di Risparmio di Saluzzo s.p.a., as detailed below.

Cassa di Risparmio di Bra s.p.a.

This bank's staff pension fund is an in-house defined-benefit plan, it is not a separate legal entity and its assets are invested in the business without any distinction between its assets and those of the Bank.

Its purpose is to provide a supplementary pension to the state pension paid by INPS, but solely to employees that had already retired as of 1 October 1998, given that the actuarial liability payable to "active" members at that date had been paid out.

At the measurement date, the related headcount consisted of 7 persons, of whom 3 are direct beneficiaries and 4 are indirect.

Cassa di Risparmio di Saluzzo s.p.a.

This fund is not a separate legal entity, its purpose is to provide a supplementary pension to the state pension paid by INPS, for employees that had already retired as of 31 August 1998, and its assets are held together with those of the Bank.

At the measurement date, the related headcount consisted of 17 persons, of whom 6 are direct beneficiaries and 11 are indirect.

10.5.2 Changes in the year of net liabilities (assets) with defined-benefits and redemption rights

Description/Amounts	31.12.2018	31.12.2017
Opening balance	**137,148**	**136,409**
A. Increases	1,240	8,556
1. Pension cost relating to current work	-	-
2. Financial charges	1,240	1,325
3. Contribution to the plan by employees	-	-
4. Actuarial losses	-	-
5. Exchange differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	-	7,231
B. Decreases	7,262	7,817
1. Benefits paid	6,691	5,881
2. Pension cost of prior work	-	-
3. Actuarial gains	571	1,936
4. Exchange differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	-
Closing balance	**131,126**	**137,148**

10.5.3. Information on fair value of plan assets

As already reported, the staff pension funds are in-house defined-benefit plans and their assets are held together with those of the Bank.

10.5.4 Description of the main actuarial assumptions

The demographic assumptions made for the measurement were based on RG48 tables to arrive at the probability of death of retired staff by gender.
The financial assumptions adopted were:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used;
- Inflation rate: a fixed rate of 1.5% was used
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

10.5.5 Information on the amount, timing and uncertainty of financial cash-flows

Fund Section A	31.12.2018		+50 b.p. inflation rate		-50 b.p. inflation rate	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
Bper Banca S.p.A.	129,981		122,927		137,629	
Cassa di Risparmio di Bra s.p.a.	415	-	397	-	434	
Cassa di Risparmio di Saluzzo s.p.a.	781	-	758	-	805	-

Future cash-flows

Fund Section A	1st year	2nd year	3rd year	4th year	over 4th year
Bper Banca S.p.A.	7,909	7,738	7,563	7,383	127,143
Cassa di Risparmio di Bra s.p.a.	29	29	28	28	359
Cassa di Risparmio di Saluzzo s.p.a.	100	92	84	76	488

10.5.6 Multi-employer plans

At 31 December 2018 there were no multi-employer plans in place.

10.5.7 Defined-benefit plans that share risks between entities under common control

At 31 December 2018 there were no plans of this type.

10.6 Provisions for risks and charges - other provisions

10.6.1 Legal disputes

	31.12.2018	31.12.2017
A. Opening balance	**151,758**	**148,444**
B. Increases	67,324	55,791
Provisions for the year	61,129	38,618
Other increases	6,195	17,173
C. Decreases	43,257	52,477
Other decreases	27,546	29,105
Uses for the year	15,711	23,372
D. Closing balance	**175,825**	**151,758**

Provisions for legal and tax disputes amounted to Euro 170.4 million and Euro 5.4 million respectively.
As regards the provisions set aside for legal disputes, these are mainly to do with relationships with customers arising in the context of banking services (the main types of dispute include compound interest rates, usury, application of the conditions, bankruptcy clawbacks and tax disputes).
The main risks concerning outstanding disputes for which no provision has been made are as follows.

- BPER Banca (former Cassa di Risparmio dell'Aquila) - Investigation into what the media have labelled the "Truffa dei Parioli"

As regards what the media have labelled the "Truffa dei Parioli", in the civil case brought by the alleged victims, the Bank is defended by a special team of lawyers formed and coordinated by Prof. Francesco Astone of Rome. At present, there are 47 judgements in first instance pending before the Court of Rome, while for other 29 judgements the sentence has already been issued. With the first ruling, in chronological order, BPER Banca was sentenced to pay limited damages of Euro 16 thousand. Against this decision, the reasons for which appear to be groundless, an appeal was filed by the Bank to have it reversed. The subsequent twenty-eight rulings made from 2015 to 2018 have all rejected the applications with, in some cases, the plaintiffs being required to pay the litigation expenses incurred by the Bank. The respective plaintiffs have appealed against seventeen rulings, which were in favour of the

Bank, to the civil Court of Appeal of Rome. In this regard, it should be noted that the Rome Court of Appeal (Third Civil Section) has already sentenced in favour of the Bank on the first of the appeals, completely rejecting the claims of other party and confirming the orientation taken by the Judge of first instance who maintained that BPER Banca was not liable for the claims made by investors who felt they had been defrauded. Given the above, it is currently believed that there is only a remote possibility that the Bank will suffer adverse consequences as a result of this matter; so it was decided not to make any provision.

- Banco di Sardegna - Warrant issued by the Public Prosecutor

On 3 March 2017 Banco di Sardegna was sent a notice under art. 415-bis of the Italian Code of Criminal Procedure, with the conclusions of the investigations that originated from the results of the Inspection carried out by the Bank of Italy at the bank in the first half of 2012. This notice concerns criminal proceedings brought by the Public Prosecutor at the Court of Cagliari against Banco di Sardegna S.p.A., under Legislative Decree 231/2001, and its officers during the period 2010/2012 and refers to an alleged offence under art. 2638 of the Italian Civil Code. On 25 May 2018 the magistrate in charge of the investigation requested that the case be filed and the related decree was registered on 26 July.

The risks deriving from tax disputes are covered by allocations to provisions for risks and charges of Euro 5.4 million, entirely attributable to the parent company, also in the capacity of incorporating previous subsidiaries.
The most significant disputes and the main updates occurred in 2018 on them are reported below.

- BPER Banca (formerly Emro Finance Ireland Ltd) tax years 2005-2009

By the time of preparing this report, the Bologna regional tax commission has ruled partially in favour of the appeal filed by the Tax Authorities to overturn the first-level ruling, which was entirely favourable to the taxpayer.
On 13 June 2018 the Bank appealed to the Court of Cassation, in the absolute conviction that it has operated properly.
In the meantime, the Commission accepted the request to suspend the enforceability of the second instance sentence presented by the Bank.
Also in light of the fiscal opinion issued by professionals and advisors with proven experience who do not consider the risk of losing as probable, at the date of preparation of this report no amount was set aside in the provisions for risks and charges, but rather an estimate of the legal fees.

- BPER Banca: subsidised loans relating to the "sisma Abruzzo" for the 2010-2011-2012 tax years

No new elements have arisen at the time of preparing this report. Please refer to the consolidated financial statements at 31 December 2017.
At 31 December 2018, the related provision amounts to Euro 1,419 thousand.

o Banco di Sardegna - IRPEG ILOR-IRAP tax assessments for 1997–1998

The Court of Cassation has rejected (with sentences deposited on 30 May and on 15 June 2018) the appeals filed by the Tax Authorities against the rulings of the regional commission, which had confirmed the cancellation of two separate notices of assessment issued for the 1997 and 1998 tax years.
The principal matters raised by the Tax Authorities related to the "Sardegna no. 1" securitisation. In particular, they disputed the definitive nature of the loan disposals and, accordingly, the tax significance of the resulting loss. Additional matters related to the commissions that Banco di Sardegna paid to Casse Comunali di Credito Agrario for its services, which the Tax Authorities did not believe were proper deductible business expenses. Based on the matters raised, the Tax Authorities demanded the payment of about Euro 76 million for taxes, penalties and interest.
These decisions of the Court of Cassation, confirming the favourable rulings handed down by the various tax commissions, have marked the end of a long, insidious and complicated set of proceedings that derived from a 2001 tax inspection carried out by the Sardinian Regional Department of the Tax Authorities.

10.6.2 Personnel charges

Description/Amounts	Other personnel provisions	
	31.12.2018	31.12.2017
Opening balance	**102,480**	**118,834**
Change in opening balances	-	-
A. Increases	**22,396**	**92,068**
1. Pension cost relating to current work	16,825	19,340
2. Financial cherges	1,049	1,911
3. Contribution to the plan by employees	-	-
4. Actuarial losses	751	1,514
5. Exchange differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	3,771	69,303
B. Decreases	**56,484**	**108,422**
1. Benefits paid	52,479	88,722
2. Pension cost of prior work	-	-
3. Actuarial gains	330	-
4. Exchange differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	3,675	19,700
Closing balance	**68,392**	**102,480**

10.6.3 Other provisions

Captions	31.12.2018		31.12.2017	
	Other provisions	Provision for charitable donations	Other provisions	Provision for charitable donations
A. Opening balance	**48,436**	**563**	**18,546**	**558**
B. Provisions	16,872	-	53,631	107
C. Uses	(34,318)	(4)	(23,741)	(102)
D. Closing balance	**30,990**	**559**	**48,436**	**563**

Section 11 – Technical reserves Caption 110

There are no amounts to be disclosed in this section.

Section 12 – Redeemable shares Caption 130

There are no amounts in this section.

Section 13 – Shareholders' equity Captions 120, 130, 140, 150, 160, 170 and 180

13.1 "Share capital" and "Treasury shares": breakdown

"Share capital" caption is related solely to the Parent Company. It consists solely of ordinary shares with no par value, fully subscribed and paid.

There are 455,458 treasury shares in the Parent Company's portfolio amounting to Euro 7,253 thousand. There are also 55,926 shares relating to Banca di Sassari s.p.a., held by it, for a total of about Euro 5 thousand.

13.2 Share capital – Parent Company's number of shares: annual changes

Descriptions/Types	Ordinaries	Others
A. Initial number of shares	**481,308,435**	**-**
- fully paid-in	481,308,435	-
- not fully paid-in	-	-
A.1 Treasury shares (-)	(455,458)	-
A.2 Shares outstanding: opening balance	**480,852,977**	**-**
B. Increases	**-**	**-**
B.1 New issues	-	-
- against payment:	-	-
- business combination transaction	-	-
- conversion of bonds	-	-
- esxercise of warrants	-	-
- others	-	-
- for free:	-	-
- to employees	-	-
- to directors	-	-
- others	-	-
B.2 Sales of treasury shares	-	-
B.3 Other changes	-	-
C. Decreases	**-**	**-**
C.1 Cancellation	-	-
C.2 Purchase of treasury shares	-	-
C.3 Business disposal transactions	-	-
C.4 Other changes	-	-
D. Shares outstanding: closing balance	**480,852,977**	**-**
D.1 Treasury shares (+)	455,458	-
D.2 Finala number of shares	481,308,435	-
- fully paid-in	481,308,435	-
- not fully paid-in	-	-

13.3 Share capital: other information

The Parent Company BPER Banca's share capital is represented solely by ordinary shares; such shares are not subject to rights, privileges or restrictions.

13.4 Reserves from profits: other information

Reserves from profits are generally established when the profit resulting from the financial statements is allocated through a specific reserve.
The Italian Civil Code obliges companies to set aside at least 5% of profit in a special reserve until it reaches one-fifth of share capital. If, for whatever reason, the amount of the legal reserve falls below this limit of one-fifth of share capital, it has to be reinstated by setting aside at least one-twentieth of the profit until the shortfall is covered.
This caption also includes the consolidation reserves generated following the elimination of the book value of equity investments against the corresponding portion of equity of each of them.

This caption also includes the effects generated by the transition to international accounting standards and the one generated on 1 January 2018 because on first-time adoption of IFRS 9.
The reserves can be used for different operations, depending on their constraints and nature; for the disclosures envisaged in art. 2427 paragraph 7 bis of the Italian Civil Code, please refer to the information provided in the Parent Company's separate financial statements.

13.5 Equity instruments: breakdown and change in year

There are no amounts to be disclosed in this section.

13.6 Other information

There are no amounts to be disclosed other than those already provided in this section.

Section 14 – Minority interests Caption 190

14.1 Breakdown of caption 190 "Minority interests"

Company name	31.12.2018	31.12.2017
Equity investments in consolidated companies with significant minority interests	**506,837**	**652,366**
1. Banco di Sardegna (*)	424,932	564,312
2. Banca di Sassari s.p.a.	32,192	30,663
3. Cassa di Risparmio di Bra s.p.a.	10,565	22,004
4. Sardaleasing s.p.a.	33,981	30,349
5. Emilia Romagna Factor s.p.a.	5,167	5,038
Other equity investments	**620**	**644**
Total	**507,457**	**653,010**

(*) consolidation of the sub-holding company Banco di Sardegna and its subsidiaries.

To determine the relevance of minority interests, see Part A of these Explanatory Notes.
Minority interests not considered significant have been recognised under "Other equity investments".

14.2 Equity instruments: breakdown and change in year

There are no amounts to be disclosed in this section.

Other information

1. Commitments and financial guarantees granted

	Nominal value on commitments and financial guarantees granted			Total 31.12.2018	Total 31.12.2017
	First stage	Second stage	Third stage		
Commitments to distribute funds	**12,035,396**	**5,239,943**	**298,651**	**17,573,990**	**-**
a) Central Banks	-	-	-	-	
b) Public Administrations	583,275	279,576	21,363	884,214	
c) Banks	465,344	-	-	465,344	
d) Other financial companies	779,697	358,179	1,512	1,139,388	
e) Non-financial companies	9,210,190	3,944,265	272,105	13,426,560	
f) Households	996,890	657,923	3,671	1,658,484	
Financial guarantees granted	**547,589**	**73,970**	**41,364**	**662,923**	**-**
a) Central Banks	-	-	-	-	
b) Public Administrations	259	-	8	267	
c) Banks	23,776	-	-	23,776	
d) Other financial companies	307,761	122	39	307,922	
e) Non-financial companies	190,561	69,079	39,361	299,001	
f) Households	25,232	4,769	1,956	31,957	

The table does not show figures at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 (which provided for the inclusion of revocable margins) is not applicable at that date

2. Other commitments and other guarantees granted

	Nominal value	
	31.12.2018	31.12.2017
Other guarantees granted	**2,840,684**	**-**
of which: non performing exposures	84,671	
a) Central Banks	-	
b) Public Administrations	5,400	
c) Banks	686,276	
d) Other financial companies	31,192	
e) Non-financial companies	2,011,810	
f) Households	106,006	
Other commitments	**-**	**-**
of which: non performing exposures	-	
a) Central Banks	-	
b) Public Administrations	-	
c) Banks	-	
d) Other financial companies	-	
e) Non-financial companies	-	
f) Households	-	

The table does not include figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date.

3. Assets pledged as collateral of own liabilities and commitments

Portfolios	Amounts 31.12.2018	Amounts 31.12.2017
1. Financial assets measured at fair value through profit or loss	322,473	-
2. Financial assets measured to fair value through other comprehensive income	7,542,418	-
3. Financial assets measured at amortized cost	19,013,149	-
4. Property, plant and equipment	-	-
of which: inventories of property, plant and equipmet	-	-

The comparative figure at 31 December 2017, published in the consolidated financial statements at 31 December 2017, prepared in accordance with the 4th update of Bank of Italy Circular 262/2005, was valued at € 24,633,160 thousand.
The following details are provided:
- € 243,640 thousand of Financial assets held for trading;
- € 7,210 thousand of Financial assets measured at fair value through profit or loss ;
- € 10,023,708 thousand of Financial assets available for sale;
- € 2,162,741 thousand of Financial assets held to maturity;
- € 268,828 thousand of Loans to banks;
- € 11,927,033 thousand of Loans to customers.

Type of assets pledged as collateral of own liabilities and commitments

	31.12.2018	31.12.2017
1. Assets sold as part of Covered Bonds operations	3,170,177	3,454,303
2. Securities and deposits pledged as collateral for derivative transactions	355,774	276,178
3. Securities pledged as collateral for securitisations	10,057	35,801
4. Securities pledged as collateral for treasury transactions	6,559,494	6,792,879
5. Loans pledged as collateral for treasury transactions	10,111,241	8,109,159
6. Securities guaranteeing the issue of bankers' drafts	12,566	12,782
7. Securities and deposits pledged as collateral for repurchase agreements	5,806,469	5,167,516
8. Loans pledged as collateral for the related funding	326,442	356,222
9. Securities pledged as collateral for the subsidised loans funding	525,820	428,320

The amounts indicated in point 5 "Loans pledged as collateral for treasury transactions " include, in addition to A.BA.CO operations:
- € 4,264,143 thousand relating to mortgage loans sold as part of covered bond issues,
- € 1,023,057 thousand relating to leases sold as part of the Multi Lease self-securitisation transaction (Sardaleasing).
Operationally, the instruments provided as a guarantee are represented by the Senior Notes originated by the transactions.
No securities pertaining to reverse repurchase agreements have been provided as collateral for guaranteed funding transactions (repurchase agreements).

4. Information on operating leases

Below is the information required by IAS 17, paragraph 35, letter b), concerning the minimum future payments due for operating lease transactions.

Total minimum future lease payments

Time bands	31.12.2018
Up to 1 year	53,088
From 1 year to 5 years	177,313
Over 5 years	30,821
Total	**261,222**

For the BPER Banca Group, the most significant type of operating lease is represented by the lease contracts for properties intended for business use (bank branches). For the other types of operating leases, the commitments relating to the payments of future rents are not significant.

5. Breakdown of investments for unit-linked and index-linked policies

There are no amounts to be disclosed in this section.

6. Management and dealing on behalf of third parties

Type of service	Total 31.12.2018
1. Trading on behalf of customers	**-**
a) purchases	-
1. settled	-
2. not-settled	-
b) sales	-
1. settled	-
2. not-settled	-
2. Portfolio management	**2,941,795**
a) individuals	2,941,795
b) collectives	-
3. Custody and administration of securities	**57,507,237**
a) third party securities held in deposit: related to depositary bank activities (excluding portfolio management)	-
1. Bonds issued by companies included in consolidation process	-
2. other securities	-
b) third party securities held in deposit (excluding portfolio management): others	36,349,825
1. Bonds issued by companies included in consolidation process	2,614,158
2. other securities	33,735,667
c) third party securities deposited with third parties	35,019,637
d) own portfolio securities deposited with third parties	21,157,412
4. Other transactions	**12,987,379**

7. Financial assets subject to offsetting in balance sheet or subject to netting framework arrangements or similar agreements

Types		Gross amount of financial assets (a)	Amount of financial liabilities offset in the balance sheet (b)	Net amount of financial assets shown in balance sheet (c=a-b)	Related amounts not subject to offsetting in balance sheet		Net amounts (f=c-d-e)	Net amounts (f=c-d-e)
					Financial instruments (d)	Cash deposits pledged as collateral (e)	31.12.2018	31.12.2017
1. Derivatives		84,721	-	84,721	76,427	3,764	4,530	24,866
2. Repurchase agreements		202,778	-	202,778	202,778	-	-	-
3. Securities lending		-	-	-	-	-	-	-
4. Others		-	-	-	-	-	-	-
Total	**31.12.2018**	**287,499**	**-**	**287,499**	**279,205**	**3,764**	**4,530**	**X**
Total	**31.12.2017**	**433,284**	**-**	**433,284**	**404,418**	**4,000**	**X**	**24,866**

The amounts shown in the table relate to standard master agreements such as ISDA (International Swaps and Derivatives Association) and CSA (Credit Support Annex) agreements for derivatives and GMRA (Global Master Repurchase Agreement) for repurchase agreement transactions.
Under the agreements executed using the ISDA standard, offsetting of OTC derivative contracts is permitted in the event of default of either party to the agreement and, for almost all institutional counterparties, the terms of the CSA provide for cash collateral that is revised regularly based on the contracts' underlying value.
Repurchase agreement transactions entered into with institutional counterparties are governed by the GMRA standard, which, in addition to the delivery of the securities pertaining to the transactions, provide for cash collateral that is revised regularly based on the value of the securities.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of IAS 32 § 42.
The gross amounts (a) shown in the table relating to Derivatives are recorded under item 20 a) "Financial assets measured at fair value through profit or loss - Financial assets held for trading" for € 49,805 thousand and under item 50 "Hedging derivatives" for € 34,916 thousand; the related financial instruments (d) consist of derivatives recorded under caption 20 "Financial liabilities held for trading" and under caption 40 "Hedging derivatives", whereas cash deposits received (e) are recorded under caption 10 a) "Due to banks" and in the caption 10 b) "Due to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 40 "Financial assets measured at amortised cost - Loans to customers" at an amount of € 202,778 thousand.
The related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits received (e) are recorded under caption 10 a) "Due to banks" and 10 b) "Due to customers".

8. Financial liabilities subject to offsetting in balance sheet or subject to netting framework arrangements or similar agreements

Types		Gross amount of financial liabilities (a)	Amount of financial assets offset in the balance sheet (b)	Net amount of financial liabilities shown in balance sheet (c=a-b)	Related amounts not subject to offsetting in balance sheet		Net amount (f=c-d-e)	Net amount (f=c-d-e)
					Financial instruments (d)	Cash deposits pledged as collateral (e)		
1. Derivatives		226,512	-	226,512	76,427	148,382	1,703	563
2. Repurchase agreements		5,730,085	-	5,730,085	5,730,084	-	1	1,267
3. Securities lending		-	-	-	-	-	-	-
4. Other operations		-	-	-	-	-	-	-
Total	**31.12.2018**	**5,956,597**	**-**	**5,956,597**	**5,806,511**	**148,382**	**1,704**	**X**
Total	**31.12.2017**	**5,397,955**	**-**	**5,397,955**	**5,286,325**	**109,800**	**X**	**1,830**

None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of paragraph 42 of IAS 32.
The gross amounts (a) shown in the table relate to € 140,795 thousand of derivatives recorded under caption 20 "Financial liabilities held for trading" and € 85,717 thousand recorded under caption 50 "Hedging derivatives"; the related financial instruments (d) consist of derivatives recorded under caption 20 "Financial assets measured at fair value through profit or loss - Financial assets held for trading" and under caption 50 "Hedging derivatives", whereas cash deposits made (e) are recorded under caption 40 a) "Loans to banks" and under caption 40 b) "Loans to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 10 a) "Due to banks" at an amount of € 3,190,695 thousand and under caption 10 b) "Due to customers" at an amount of € 2,539,391 thousand.
related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits made (e) are recorded under caption 40 a) "Loans to banks" and 40 b) "Loans to customers".

9. Securities lending transactions

Type of lender/Use	As collateral of own financing operations	Sold	Subject to repurchase agreements	Other	31.12.2018
a) Banks	-	-	-	-	-
b) Public Entities	-	-	71,938	-	71,938
c) Non-financial companies	-	-	-	-	-
d) Financial companies	-	-	-	-	-
e) Insurance companies	-	-	-	-	-
f) Other	-	-	1,641	-	1,641
Total	**-**	**-**	**73,579**	**-**	**73,579**

10. Disclosure on joint control activities

There are no amounts to be disclosed in this section.

Part C – Information on the consolidated income statement

Section 1 – Interest Captions 10 and 20

1.1 Interest and similar income: breakdown

Captions/Technical forms	Debt securities	Loans	Other transactions	Total 31.12.2018	Total 31.12.2017
1.Financial assets measured at fair value through profit or loss:	**12,116**	**-**	**-**	**12,116**	
1.1 Financial assets held for trading	2,804	-	-	2,804	
1.2 Financial assets designated at fair value	5,200	-	-	5,200	
1.3 Other financial assets mandatorily measured at fair value	4,112	-	-	4,112	
2. Financial assets measured at fair value through other comprehensive income	**118,316**	**102**	**X**	**118,418**	
3. Financial assets measured at amortised cost:	**68,293**	**1,162,827**	**X**	**1,231,120**	
3.1 Loans to banks	12,628	2,165	X	14,793	
3.2 Loans to customers	55,665	1,160,662	X	1,216,327	
4. Hedging derivatives	**X**	**X**	**(36,933)**	**(36,933)**	
5. Other assets	**X**	**X**	**764**	**764**	
6. Financial liabilities	**X**	**X**	**X**	**50,440**	
Total	**198,725**	**1,162,929**	**(36,169)**	**1,375,925**	**1,416,396**
of which: income interests on impaired financial assets	4	89,472	-	89,476	-

Caption "6. Financial liabilities" includes the benefit, equal to € 37.6 million, deriving from application of the negative rate of 0.40% applied on the funding obtained from the ECB under the TLTRO II programme.

The interest income at 31 December 2017, reported only in total, derives from the data published in the Consolidated Financial Statements at 31 December 2017, prepared in conformity with the 4th update of Bank of Italy Circular 262/2005. The following details are provided:
- € 9,651 thousand on Financial assets held for trading;
- € 700 thousand on Financial assets measured at fair value through profit or loss;
- € 141,058 thousand on Assets available for sale;
- € 57,171 thousand on Financial assets held to maturity;
- € 2,678 thousand on Loans to banks
- € 1,158,259 thousand on Loans to customers
- € 46,879 thousand on Other assets (including € 33 million of interest on TLTRO2 transactions).

1.2 Interest and similar income: other information

1.2.1 Interest income on foreign currency financial assets

Captions	31.12.2018	31.12.2017
Interest income on foreign currency financial assets	7,329	45,632

1.2.2 Interest income on finance lease transactions

Captions	31.12.2018	31.12.2017
Interest income on finance lease transactions	65,926	74,907

1.3 Interest and similar expense: breakdown

Captions/Technical forms	Debts securities	Loans	Other transactions	Total 31.12.2018	Total 31.12.2017
1. Financial liabilities measured at amortised cost	132,525	121,367	X	253,892	271,784
1.1 Due to central banks	-	X	X	-	56
1.2 Due to banks	41,594	X	X	41,594	28,283
1.3 Due to customers	90,931	X	X	90,931	97,032
1.4 Debt securities issued	X	121,367	X	121,367	146,413
2. Financial liabilities held for trading	1,262	-	3,683	4,945	3,681
3. Financial liabilities designated at fair value	-	-	-	-	3,083
4. Other liabilities and provisions	X	X	590	590	604
5. Hedging derivatives	X	X	(16,616)	(16,616)	5,346
6. Financial assets	X	X	X	10,677	7,419
Total	**133,787**	**121,367**	**(12,343)**	**253,488**	**291,917**

1.4 Interest and similar expense: other information

1.4.1 Interest expense on foreign currency liabilities

Captions	31.12.2018	31.12.2017
Interest expense on foreign currency liabilities	41,059	28,506

1.4.2 Interest expense on finance lease transactions

Captions	31.12.2018	31.12.2017
Interest expense on finance lease transactions	64	11

1.5 Differentials on hedging transactions

Captions	Total 31.12.2018	Total 31.12.2017
A. Positive differentials on hedging transactions	48,418	56,554
B. Negative differentials on hedging transactions	(68,735)	(61,900)
C. Balance (A-B)	**(20,317)**	**(5,346)**

Section 2 – Commissions Captions 40 and 50

2.1 Commission income: breakdown

Type of service/Amounts	Total 31.12.2018	Total 31.12.2017
a) guarantees granted	27,345	28,663
b) credit derivatives	-	-
c) management, brokerage and consulting:	307,640	274,809
1. trading on financial instruments	564	1,055
2. trading on foreign currencies	6,030	5,413
3. portfolio management	30,280	26,362
3.1 individuals	30,280	25,370
3.2 collectives	-	992
4. custody and administration of securities	5,020	4,833
5. depositary bank	-	-
6. placement of securities	157,559	149,051
7. order taking and trasmission	12,909	11,662
8. advisory services	6,151	4,757
8.1 on investments	-	-
8.2 on financial structure	6,151	4,757
9. distribution of third-party services	89,127	71,676
9.1 portfolio management	2,035	1,713
9.1.1 individuals	15	17
9.1.2 collectives	2,020	1,696
9.2 insurance products	60,641	41,234
9.3 other products	26,451	28,729
d) collection and payments services	129,479	124,849
e) services related to securitisations	710	571
f) services for factoring transactions	10,350	9,327
g) tax collection services	-	-
h) management of multilateral trading system	-	-
i) maintenance and management of current accounts	155,831	153,116
j) other services	180,792	185,271
1. commissions income on other loans to customers	122,538	131,647
2. commissions income on pos and pagobancomat services	26,139	25,980
3. other commisions income	32,115	27,644
Total	**812,147**	**776,606**

With respect to the qualitative information on the types of revenue from relations with customers falling within the scope regulated by IFRS 15, please refer to the contents of Part L of these Explanatory Notes.

2.2 Commission expense: breakdown

Type of services/Amounts	Total 31.12.2018	Total 31.12.2017
a) guarantees received	1,196	1,298
b) credit derivatives	-	-
c) management and brokerage services	2,205	2,279
1. trading on financial instruments	627	561
2. trading on foreign currencies	-	-
3. portfolio management:	7	252
3.1 own portfolio	7	4
3.2 third party portfolio	-	248
4. custody and administration of securities	1,512	1,463
5. placement of financial instruments	59	3
6. out-of-branche offer of securities, financial instruments, products and services	-	-
d) collection and payment services	5,007	5,112
e) other services	27,474	27,289
Total	**35,882**	**35,978**

Section 3 – Dividends and similar income Caption 70

3.1 Dividends and similar income: breakdown

Captions/Income	Total 31.12.2018		Total 31.12.2017	
	Dividends	Similar income	Dividends	Similar income
A. Financial assets held for trading	2,371	133	2,631	265
B. Other financial assets mandatorily measured at fair value	16,540	4,562	30	267
C. Financial assets measured at fair value through other comprehensive income	10,733	-	8,820	403
D. Equity investments	-	-	-	-
Total	**29,644**	**4,695**	**11,481**	**935**

Section 4 – Net income from trading activities Caption 80

4.1 Net income from trading activities: breakdown

Transactions /Income items	Capital gains (A)	Profits on trading (B)	Capital losses (C)	Losses on trading (D)	Net result [(A+B) - (C+D)]
1. Financial assets held for trading	**1,775**	**15,661**	**(22,070)**	**(6,629)**	**(11,263)**
1.1 Debt securities	914	11,674	(2,780)	(3,450)	6,358
1.2 Equity instruments	861	3,021	(19,290)	(2,078)	(17,486)
1.3 UCITS units	-	966	-	(1,101)	(135)
1.4 Loans	-	-	-	-	-
1.5 Others	-	-	-	-	-
2. Financial liabilities held for trading	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Debts	-	-	-	-	-
2.3 Others	-	-	-	-	-
3. Financial assets and liabilities: exchange differences	**X**	**X**	**X**	**X**	**5,688**
4. Derivative instruments	**38,989**	**135,910**	**(41,240)**	**(125,653)**	**7,387**
4.1 Financial derivatives:	38,642	135,860	(41,240)	(125,521)	7,122
- on debt securities and interest rates	37,146	131,755	(39,999)	(118,903)	9,999
- on equities and stock indexes	1,496	1,845	(1,241)	(1,466)	634
- on currency and gold	X	X	X	X	(619)
- others	-	2,260	-	(5,152)	(2,892)
4.2 Credit derivatives	347	50	-	(132)	265
of which: natural hedges connected with the fair value	X	X	X	X	-
Total	**40,764**	**151,571**	**(63,310)**	**(132,282)**	**1,812**

Section 5 – Net income from hedging activities Caption 90

5.1 Net income from hedging activities: breakdown

Income items/Amounts	Total 31.12.2018	Total 31.12.2017
A. Income from:		
A.1 Fair value hedging derivatives	21,616	25,856
A.2 Hedged financial assets (fair value)	75,978	3,422
A.3 Hedged financial liabilities (fair value)	8,193	18,292
A.4 Cash-flow hedging derivatives	-	2
A.5 Foreign currency assets and liabilities	-	-
Total income from hedging activity (A)	105,787	47,572
B. Charges from:		
B.1 Fair value hedges	85,731	22,327
B.2 Hedged financial assets (fair value)	12,145	25,700
B.3 Hedged financial liabilities (fair value)	6,286	38
B.4 Cash-flow hedging derivatives	4	-
B.5 Foreign currency assets and liabilities	-	-
Total charges from hedging activity (B)	104,166	48,065
C. Net income from hedging activities (A-B)	1,621	(493)
of which: result of hedging on net positions	-	-

Section 6 – Gains (Losses) on disposal or repurchase Caption 100

6.1 Gains (Losses) on disposal or repurchase: breakdown

Captions/Income items	Total 31.12.2018			Total 31.12.2017		
	Gains	Losses	Net result	Gains	Losses	Net result
Financial assets						
1. Financial assets measured at amortised cost	12,662	(90,307)	(77,645)	-	-	-
1.1 Loans to banks	-	-	-	-	-	-
1.2 Loans to customers	12,662	(90,307)	(77,645)	-	-	-
2. Financial assets measured at fair value through other comprehensive income	177,517	(8,855)	168,662	88,569	(24,660)	63,909
2.1 Debt securities	177,517	(8,855)	168,662	-	-	-
2.2 Loans	-	-	-	88,569	(24,660)	63,909
Total assets (A)	**190,179**	**(99,162)**	**91,017**	**88,569**	**(24,660)**	**63,909**
Financial liabilities measured at amortised cost						
1. Due to banks	-	-	-	-	-	-
2. Due to customers	-	-	-	-	-	-
3. Debt securities issued	1,262	(354)	908	1,171	(706)	465
Total liabilities (B)	**1,262**	**(354)**	**908**	**1,171**	**(706)**	**465**

The net result relating to "Financial assets measured at amortised cost" includes the net losses realized on the NPL sales referred to in the "Cream 2" (€ 5.5 million), "4Mori Sardegna" (€ 5.6 million) and "Aqui" transactions (€ 56.7 million from the sale of Mezzanine and Junior notes, to which must be added € 9.9 million from the sale of loans and receivables to the SPV), for which information was given in the "Directors' Report on Group operations".
The gains realised on the FVOCI portfolio mainly relate to the disposal of debt securities classified in the HTC&S portfolio.
The net result at 31 December 2017, reported only in total, refers to the data published in the consolidated financial statements at 31 December 2017, prepared in conformity with the 4th update of Bank of Italy Circular 262/2005.
The net result from financial activities (€ 63,909 thousand) is analysed below:
- net profit of € 1,191 thousand on amounts loans to banks;
- net loss of € 13,622 thousand on loans to customers;
- net profit of € 76,024 thousand on Financial assets available for sale (of which € 61,825 thousand on debt securities, € 7,221 thousand on equity instruments and € 6,978 thousand on units in UCITS);
- € 316 thousand on Financial assets held to maturity, while the net result from Financial liabilities (€ 465 thousand) related to the Debt securities issued.

Section 7 – Net income on financial assets and liabilities measured at fair value through profit or loss Caption 110

7.1 Net change in value of other financial assets and liabilities measured at fair value through profit or loss: breakdown on financial assets and liabilities designated at fair value

Transactions / Income items	Capital gains (A)	Gains on disposal (B)	Capital losses (C)	Losses on disposal (D)	Net result [(A+B) - (C+D)]
1. Financial assets	**54**	**-**	**(4,492)**	**-**	**(4,438)**
1.1 Debt securities	54	-	(4,492)	-	(4,438)
1.2 Loans	-	-	-	-	-
2. Financial liabilities	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Due to banks	-	-	-	-	-
2.3 Due to customers	-	-	-	-	-
3. Foreign currency financial assets and liabilities: exchange differences	X	X	X	X	**60**
Total	**54**	**-**	**(4,492)**	**-**	**(4,378)**

7.2 Net change in value of other financial assets and liabilities measured at fair value through profit or loss: breakdown of other financial assets mandatorily measured at fair value

Transactions/Income items	Capital gains (A)	Gains on disposal (B)	Capital losses (C)	Losses on disposal (D)	Net Result [(A+B) - (C+D)]
1. Financial assets	**36,388**	**6,418**	**(30,193)**	**(114)**	**12,499**
1.1 Debt securities	11,259	1,530	(4,185)	(20)	8,584
1.2 Equity securities	17,795	1,567	(1,908)	-	17,454
1.3 UCITS units	7,334	3,321	(24,098)	(94)	(13,537)
1.4 Loans	-	-	(2)	-	(2)
2. Foreign currency financial assets: exchange differences	X	X	X	X	**543**
Total	**36,388**	**6,418**	**(30,193)**	**(114)**	**13,042**

Section 8 – Net impairment losses for credit risk Caption 130

8.1 Net impairment losses for credit risk relating to financial assets measured at amortised cost: breakdown

Transactions/Income items	Impairment losses (1)			Write - backs (2)		Total	Total
	First and second stage	Third stage		First and second stage	Third stage		
		Write-off	Others			31.12.2018	31.12.2017
A. Loans to banks	(694)	-	-	270	-	(424)	-
- Loans	(139)	-	-	270	-	131	-
- Debt securities	(555)	-	-	-	-	(555)	-
of which: purchased or originated credit-impaired financial assets	-	-	-	-	-	-	-
B. Loans to customers	(5,476)	(61,673)	(732,621)	49,363	525,059	(225,348)	(535,975)
- Loans	(2,443)	(61,673)	(732,621)	49,363	525,059	(222,315)	(531,503)
- Debt securities	(3,033)	-	-	-	-	(3,033)	(4,472)
of which: purchased or originated credit-impaired financial assets	-	-	-	-	-	-	-
Total	**(6,170)**	**(61,673)**	**(732,621)**	**49,633**	**525,059**	**(225,772)**	**(535,975)**

8.2 Net impairment losses for credit risk relating to financial assets measured at fair value through other comprehensive income: breakdown

Transactions/Income items	Impairment losses (1)			Write - backs (2)		Total	Total
	First and second stage	Third stage		First and second stage	Third stage	31.12.2018	31.12.2017
		Write-off	Others				
A. Debt securities	(36)	-	-	2,102	-	2,066	(104,628)
B. Loans	-	-	-	-	-	-	-
- to customers	-	-	-	-	-	-	-
- to banks	-	-	-	-	-	-	-
of which: purchased or originated credit-impaired financial assets	-	-	-	-	-	-	-
Total	**(36)**	**-**	**-**	**2,102**	**-**	**2,066**	**(104,628)**

The adjustments at 31 December 2017, reported only in total, refer to the data published in the consolidated financial statements at 31 December 2017, prepared in conformity with the 4th update of Bank of Italy Circular 262/2005, and relate to:
- € 4,392 thousand for net impairment losses to debt securities;
- € 38,828 thousand for net impairment losses to equity instruments;
- € 61,408 thousand for net impairment losses to units in UCITS.

Section 9 - Gains (Losses) from contractual modifications without derecognition
Caption 140

9.1 Gains (losses) from contractual modifications: compositions

The item in question includes the economic impact of contractual modifications that do not qualify for derecognition of the assets and which, as a result, entail a change in the related amortised cost based on discounting the new contractual flows to the original IRR.
The scope of the exposures under consideration is represented by a portion of the forborne exposures (performing and non-performing), or situations in which the contractual modification is linked to the borrower's financial difficulty and does not fall within the concept of "substantial modification" qualified by the BPER Group Bank.
The impact calculated on this perimeter is added to the impairment losses envisaged by the Group in application of its own policies for the assessment of performing and non-performing loans and adds, for the two types of exposures, to Euro 1,033 thousand and Euro 1,923 thousand respectively.

Section 10 – Net insurance premiums
Caption 160

There are no amounts to be disclosed in this section.

Section 11 – Other net insurance income (expense)
Caption 170

There are no amounts to be disclosed in this section.

Section 12 – Administrative expenses Caption 190

12.1 Staff costs: breakdown

Type of costs/Amounts	Total 31.12.2018	Total 31.12.2017
1) Employees	**795,314**	**757,910**
a) wages and salaries	581,397	551,803
b) social security charges	151,425	144,902
c) termination indemnities	32,619	32,037
d) pension expenses	-	-
e) provision for employee termination indemnities	1,469	1,226
f) provision for pension and similar commitments:	534	639
- defined contribution plan	-	-
- defined benefit plans	534	639
g) payments to external supplementary pension funds:	16,585	16,111
- defined contribution plan	16,585	16,111
- defined benefit plans	-	-
h) costs from share based payments	32	(94)
i) other personnel benefits	11,253	11,286
2) Other not-retired employees	**16,939**	**15,976**
3) Directors and Statutory Auditors	**8,469**	**8,489**
4) Retired employees	**772**	**1,103**
Total	**821,494**	**783,478**

12.2 Average number of employees by category

	31.12.2018	31.12.2017
Employees:	**11,090**	**10,979**
a) Managers	220	224
b) Middle managers	3,634	3,520
c) Other employees	7,236	7,235
Other employees	**308**	**295**

12.2.1 Number of employees by category: banking group

	31.12.2018	31.12.2017
Employees:	**11,615**	**11,653**
a) Managers	222	224
b) Total 3rd and 4th level middle managers	1,552	1,489
c) Total 1st and 2nd level middle managers	2,194	2,199
d) Other employees	7,647	7,741
Other employees	**261**	**235**

The number of employees does not include staff on leave.

12.3 Provisions for defined-benefit pension plans: costs and revenues

Type of costs/Amounts	31.12.2018	31.12.2017
Provisions for defined-benefit pension plans	534	639

For more information on Defined-benefit pension plans, please refer to Part B of these Explanatory Notes, section 10 "Provisions for risks and charges".

12.4 Other benefits for employees

Type of costs/Amounts	31.12.2018	31.12.2017
Other benefits for employees	11,253	11,286

12.5 Other administrative expenses: breakdown

Captions	31.12.2018	31.12.2017
Indirect taxes and duties	**143,564**	**142,755**
Stamp duty	118,559	118,553
Other indirect taxes with right of recourse	8,943	9,152
Municipal property tax	9,741	9,030
Others	6,321	6,020
Other costs	**477,206**	**446,752**
Maintenance and repairs	49,994	47,894
Rental expense	63,032	62,059
Post office, telephone and telegraph	16,189	15,698
Data transmission fees and use of databases	33,798	31,037
Advertising	15,064	16,090
Consulting and other professional services	95,306	74,164
Lease of IT hardware and software	25,783	28,558
Insurance	6,390	11,086
Cleaning of office premises	9,150	9,164
Printing and stationery	7,049	7,146
Energy and fuel	14,460	14,776
Transport	12,668	13,830
Staff training and expense refunds	13,436	12,452
Information and surveys	10,557	12,998
Security	9,881	9,362
Use of external data gathering and processing services	11,034	11,950
Membership fees	7,701	6,603
Condominium expenses	3,484	3,315
Contribution to SRF, DGS, IDPF-VS	52,325	37,721
Sundry other	19,905	20,849
Total	**620,770**	**589,507**

The caption SRF, DGS, IDPF-VS contributions includes the ordinary 2018 contribution to the SRF (European Single Resolution Fund) of € 20,347 thousand, the additional contribution requested of Italian banks by the SRF for 2016 of € 8,593 thousand and the ordinary 2018 contribution to the DGS (Deposit Guarantee Fund) of € 23,385 thousand.

Section 13 – Net provisions for risks and charges Caption 200

13.1 Net provisions for credit risk on commitments to distribute funds and financial guarantees granted: breakdown

Type of risks and charges	Impairment losses			Write-backs			31.12.2018	31.12.2017
	First stage	Second stage	Third stage	First stage	Second stage	Third stage		
Commitments to distribute funds	(56)	(1,816)	-	2,006	553	-	687	
Financial guarantees granted	(6)	(418)	(13,333)	470	210	26,994	13,917	
Total	**(62)**	**(2,234)**	**(13,333)**	**2,476**	**763**	**26,994**	**14,604**	**(15,313)**

The figure at 31 December 2017, shown only as a total, refers to the figures published in the consolidated financial statements at 31 December 2017, prepared in accordance with the 4th update of Bank of Italy Circular 262/2005, and refers to net impairment losses to guarantees granted.

13.2 Net provisions on other commitments and other guarantees granted: breakdown

Type of risks and charges	Impairment losses	Write-backs	31.12.2018	31.12.2017
Other guarantees granted	(5,604)	7,197	1,593	-
Other commitments	-	-	-	-
Total	**(5,604)**	**7,197**	**1,593**	**-**

The table does not include figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date.

13.3 Net provisions for other risks and charges: breakdown

Type of risks and charges	31.12.2018	31.12.2017
A. Provisions	**(61,993)**	**(54,073)**
1. for legal disputes	(51,401)	(37,190)
2. other	(10,592)	(16,883)
B. Write-backs	**38,002**	**23,495**
1. for legal disputes	12,778	18,990
2. other	25,224	4,505
Total	**(23,991)**	**(30,578)**

Section 14 – Net adjustments to property, plant and equipment
Caption 210

14.1 Net adjustments to property, plant and equipment: breakdown

Asset/Income items	Depreciation (a)	Impairment losses (b)	Write-backs (c)	Net result (a + b - c)
A. Property, plant and equipment				
A.1 Owned	(40,624)	(30,398)	733	(70,289)
- used in operations	(36,523)	(17,769)	-	(54,292)
- held for investment	(4,101)	(12,000)	733	(15,368)
- inventories	X	(629)	-	(629)
A.2 Purchase under finance leases	(116)	-	-	(116)
- used in operations	(116)	-	-	(116)
- held for investment	-	-	-	-
Total	**(40,740)**	**(30,398)**	**733**	**(70,405)**

The amount entered under the caption "Impairment losses" refers to the impairment test performed on some property units.

Section 15 – Net adjustments to intangible assets
Caption 220

15.1 Net adjustments to intangible assets: breakdown

Asset/Income items	Depreciation (a)	Impairment losses (b)	Write-backs (c)	Net risult (a + b - c)
A. Intangible assets				
A.1 Owned	(48,258)	(276)	-	(48,534)
- Generated internally by the company	-	-	-	-
- Other	(48,258)	(276)	-	(48,534)
A.2 Purchased under finance leases	-	-	-	-
Total	**(48,258)**	**(276)**	**-**	**(48,534)**

Section 16 – Other operating expense (income) Caption 230

16.1 Other operating expense: breakdown

Description/Amounts	31.12.2018	31.12.2017
Amortisation of leasehold improvement expenditure	2,655	3,182
Out-of-period expense	676	1,738
Other	79,565	30,761
Total	**82,896**	**35,681**

16.2 Other operating income: breakdown

Description/Amounts	31.12.2018	31.12.2017
Rental income	7,675	7,491
Recovery of taxes	126,014	126,175
Other income	102,030	86,380
Total	**235,719**	**220,046**

Section 17 –Gains (Losses) of equity investments Caption 250

17.1 Gains (Losses) of equity investments: breakdown

Income items/Amounts	Total 31.12.2018	Total 31.12.2017
1) Companies subject to joint control		
A. Gains	-	-
1. Revaluations	-	-
2. Gains on disposals	-	-
3. Write-backs	-	-
4. Other income	-	-
B. Losses	-	-
1. Write-downs	-	-
2. Impairment losses	-	-
3. Loss from disposals	-	-
4. Other charges	-	-
Net result	**-**	**-**
2) Companies subject to significant influence		
A. Gains	17,866	25,270
1. Revaluations	17,866	25,227
2. Gains on disposals	-	43
3. Write-backs	-	-
4. Other income	-	-
B. Losses	(4,517)	(6,787)
1. Write-downs	(1,029)	(1,985)
2. Impairment losses	(3,488)	(4,521)
3. Loss from disposals	-	(281)
4. Other charges	-	-
Net result	**13,349**	**18,483**
Total	**13,349**	**18,483**

The amount shown under "Impairment losses" refers to what emerged from the impairment test on equity investments; specifically, write-downs were made for Immobiliare Oasi nel parco s.r.l. (€ 1,654 thousand). Italiana Valorizzazioni Immobiliari s.r.l. (€ 1,631 thousand), Resiban s.r.l. (€ 147 thousand), Sarda Factoring (€ 56 thousand).
The "Revaluations" and "Write-downs" reflect the results of the companies measured using the equity method.

Section 18 – Valuation differences on property, plant and equipment and intangible assets Caption 260

There are no amounts to be disclosed in this section.

Section 19 – Impairment losses on goodwill Caption 270

19.1 Impairment losses on goodwill: breakdown

The amount of Euro 62,344 thousand is attributable for Euro 54,444 thousand to the impairment suffered by the goodwill recorded in the Financial Statements of BPER Banca. The other Euro 7,900 thousand refer to the impairment recorded in the consolidated financial statements of BPER Banca on the goodwill recorded for Cassa di Risparmio di Saluzzo s.p.a. For more details please refer to the information provided in section 10 of Part B - Assets of the Explanatory Notes.

Section 20 – Gains (Losses) on disposal investments Caption 280

20.1 Gains (Losses) on disposal investments

Income items/Amounts	Total 31.12.2018	Total 31.12.2017
A. Assets	369	42
- Gains on disposal	426	58
- Losses on disposal	(57)	(16)
B. Other assets	(75)	(54)
- Gains on disposal	63	44
- Losses on disposal	(138)	(98)
Net profit	**294**	**(12)**

Section 21 – Income taxes for the year on current operations
Caption 300

21.1 Income taxes for the year on current operations: breakdown

Income components/Sectors	Total 31.12.2018	Total 31.12.2017
1. Current tax (-)	(14,857)	(6,275)
2. Change in current tax of prior years (+/-)	(185)	3,629
3. Reduction in current tax for the year (+)	580	2
3. bis Reduction in current tax for the year for tax credit pursuant to L. 214/2011 (+)	71,092	135,492
4. Change in deferred tax assets (+/-)	30,508	(158,652)
5.Change in deferred tax liabilities (+/-)	13,126	3,566
6. Tax for the year (-) (-1+/-2+3+3bis+/-4+/-5)	**100,264**	**(22,238)**

21.2 Reconciliation between the theoretical tax charge to total income tax expense for the year

IRES		31.12.2018
Profit (Loss) from current operations before tax		**345,526**
Negative components of the gross result definitively considered not relevant (+)		**59,094**
Non-deductible taxes (other than on income)	9,340	
Administrative expenses of limited deductibility	5,165	
Other non-deductible costs	3,224	
Net provisions for sundry disputes	5,307	
Write-down of property, plant and equipment	3,447	
Impairment of equity investments	18,246	
Other	14,365	
Positive components of the gross result definitively considered not relevant (-)		**(61,687)**
Non-relevant portion of gains on disposal/measurement of securities	(35,366)	
Non-relevant portion of dividends	(25,003)	
Other	(1,318)	
Definitive increases not linked to elements of the gross result (+)		**16,695**
Reversal of prepaid taxes with expected recovery beyond the time horizon of the probability test	16,410	
Other	285	
Definitive increases not linked to elements of the gross result (-)		**(710,580)**
FTA IFRS 9	(415,622)	
Prior year tax losses	(271,274)	
A.C.E. (aid for economic growth) deduction	(22,125)	
Other	(1,559)	
Basis of calculation of IRES shown in the income statement		**(350,952)**
IRES tax rate		*27.50%*
Effective IRES		**(96,512)**
Tax Rate IRES		*-27.93%*

IRAP		31.12.2018
Profit (Loss) from current operations before tax		**345,526**
Negative components of the gross result definitively considered not relevant (+)		**170,519**
Non-deductible interest expense	1,074	
Non-deductible portion of depreciation/amortisation on assets used in business	22,603	
Other non-deductible administrative costs	78,743	
Staff costs net of permitted deductions	17,131	
Net provisions for risks and charges	7,899	
IMU	8,841	
Losses of equity investments	18,419	
Other	15,809	
Positive components of the gross result definitively considered not relevant (-)		**(62,717)**
Non-relevant portion of dividends	(14,505)	
Gains of equity investments	(17,610)	
Other net impairment losses (caption 130 of the income statement)	(2,198)	
Other operating income	(27,379)	
Other	(1,025)	
Definitive increases not linked to elements of the gross result (+)		**33,577**
Negative value of production	17,167	
Reversal of prepaid taxes with expected recovery beyond the time horizon of the probability test	16,410	
Definitive decreases not linked to elements of the gross result (-)		**(678,334)**
FTA IFRS 9 tax rate	(500,454)	
Recovery of non-relevant charges of prior periods	(177,044)	
Other	(836)	
Basis of calculation of IRAP shown in the income statement		**(191,429)**
Weighted average nominal rate of IRAP		*5.57%*
Effective IRAP		**(10,663)**
Tax rate IRAP		-3.09%

Out-of-period IRES and IRAP	31.12.2018
Total impact	**6,910**
Changes in current taxes not for the year	(318)
Other	7,228
Effective out-of-period IRES and IRAP and other taxes	*2.00%*

Total tax on gross result	31.12.2018
IRES + IRAP	**(100,264)**
Overall effective tax rate	*-29.02%*

Section 22 – Gains (Losses) from non-current assets and disposal groups classified as held for sale after tax
Caption 320

There are no amounts to be disclosed in this section.

Section 23 – Profit (Loss) pertaining to minority interests
Caption 340

23.1 Breakdown of caption 340 "Profit (Loss) pertaining to minority interest"

Company name	31.12.2018	31.12.2017
Consolidated equity investments with significant minority interests	**43,843**	**454**
1. Banco di Sardegna (*)	39,786	4,104
2. Banca di Sassari s.p.a.	1,511	545
3. Cassa di Risparmio di Bra s.p.a.	1,241	73
4. Sardaleasing s.p.a.	1,090	(4,591)
5. Emilia Romagna Factor s.p.a.	215	323
Other equity investments	**(6)**	**(10)**
Total	**43,837**	**444**

(*) consolidation of the sub-holding company Banco di Sardegna and its subsidiaries.

To determine the relevance of minority interests, see Part A of these Explanatory Notes.
Minority interests not considered significant have been recognised under "Other investments".

Section 24 – Other information

The information contained in the above sections is deemed to be detailed and completed, thus providing a full picture of the consolidated results.

Section 25 – Earnings per share

IAS 33 requires disclosure of basic and diluted earnings per share (EPS), specifying how each is calculated.
Basic earnings per share reflect the relationship between:

- the earnings attributable to ordinary shareholders,
- and the weighted average number of shares outstanding during the period.

Diluted earnings per share reflect the relationship between:

- the earnings used to calculate Basic EPS, as adjusted by the economic effects of converting all outstanding convertible bonds into shares at period end;
- the number of shares in circulation used to calculate basic EPS, as adjusted by the weighted average of the potential ordinary shares with a diluting effect deriving from the conversion of bonds outstanding at period end.

	31.12.2018			31.12.2017		
	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)
Basic EPS	401,953	480,852,977	0.836	176,438	480,852,977	0.367
Diluted EPS	401,953	480,852,977	0.836	176,438	480,852,977	0.367

The following tables reconcile the weighted average number of ordinary shares outstanding used to calculate basic earnings per share with the number of ordinary shares used to calculate diluted earnings per share; they also reconcile profit for the year with the net income used to determine basic and diluted earnings per share.

25.1 Average number of ordinary shares (fully diluted)

	31.12.2018	31.12.2017
Weighted average number of outstanding ordinary shares for Base EPS calculation	480,852,977	480,852,977
Weighted dilutive effect the potential conversion of convertible bonds	-	-
Weighted average number of outstanding ordinary shares for diluted EPS calculation	480,852,977	480,852,977

25.2 Other informations

	31.12.2018	31.12.2017
Profit (Loss) for the year	401,953	176,438
Allocations not attributable to the shareholders	-	-
Net profit for Basic EPS calculation	401,953	176,438
Change in income and charges deriving form conversion	-	-
Net profit for diluted EPS calculation	401,953	176,438

Part D – Consolidated other comprehensive income

Consolidated detailed statement of other comprehensive income

Consolidated detailed statement of other comprehensive income

	Captions	31.12.2018	31.12.2017
10.	**Profit (Loss) for the year**	**445,790**	**176,882**
	Other comprehensive income that will not be reclassified to profit or loss	16,235	
20.	Equity instruments measured at fair value through other comprehensive income	23,864	-
	a) changes in fair value	23,867	-
	b) transfer to other components of shareholders' equity	(3)	-
30.	Financial liabilities designated at fair value through profit or loss (changes in own creditworthiness):	-	-
	a) changes in fair value	-	-
	b) transfer to other components of shareholders' equity	-	-
40.	Hedge of equity instruments measured at fair value through other comprehensive income:	-	-
	a) change in fair value (hedged instrument)	-	-
	b) change in fair value (hedging instrument)	-	-
50.	Property, plant and equipment	-	-
60.	Intangible assets	-	-
70.	Defined benefitplans	(277)	(1,864)
80.	Non-current assets and disposal group classified as held for sale	-	-
90.	Share of valuation reserves connected with equity investments carried at equity	(3,741)	3,007
100.	Income taxes relating to other comprehensive income that will not be reclassified to profit or loss	(3,611)	141

(cont.)

	Captions	31.12.2018	31.12.2017
	Other comprehensive income that may be reclassified to profit or loss	(236,091)	(236,267)
110.	Hedge of foreign investments:	-	-
	a) changes in fair value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
120.	Foreign exchange differences:		-
	a) change in value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
130.	Cash flow hedges:	176	(1,391)
	a) changes in fair value	176	(1,391)
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
140.	Hedging instruments (not designated elements):	-	-
	a) change in value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
150.	Financial assets (no equity instruments) measured at fair value through other comprehensive income:	(351,934)	29,657
	a) changes in fair value	(174,589)	84,507
	b) transfer to the income statement	(177,345)	(54,850)
	- impairment for credit risk	(2,066)	5,250
	- gains / losses from realization	(175,279)	(60,100)
	c) other changes	-	-
160.	Non-current assets and disposal group classified as held for sale	-	-
	a) changes in fair value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
170.	Share of valuation reserves connected with equity investments carried at equity	-	-
	a) changes in fair value	-	-
	b) reclassification to profit or loss	-	-
	- impairment adjustments	-	-
	- gains / losses from realization	-	-
	c) other changes	-	-
180.	Income taxes relating to other comprehensive income that may be reclassified to profit or loss	115,667	(10,276)
190.	Total other comprehensive income	(220,032)	19,274
200.	Comprehensive income (Items 10+190)	225,758	196,156
210.	Consolidated comprehensive income pertaining to minority interests	33,415	(5,017)
220.	Consolidated comprehensive income pertaining to the Parent Company	192,519	201,173

Part E - Information on risks and related hedging policies

Introduction

The following is a summary of how the Group's risk governance is organised, with its related processes and key functions that are also involved in the overall control system, highlighting the ways in which the spread of a "risk culture" is guaranteed in the BPER Banca Group. The role of the corporate bodies in the supervision of the corporate culture are explained, as are the objectives of the risk culture included in the corporate policies.

The Board of Directors of the Parent Company[50] has established internal control guidelines for the entire BPER Banca Group by issuing and implementing "Guidelines for the Group internal control system"[51], in line with the Regulations for the prudential supervision of banks (Bank of Italy Circular 285 of 17 December 2013 – "Supervisory Instructions for Banks" and subsequent updates).

Risk management (RAF)

The Risk Appetite Framework - RAF, forms part of the Group's internal control system and acts as a frame of reference, in terms of methodologies, processes, policies, controls and systems, designed to establish, communicate and monitor the Group's risk appetite, this being understood as the set of values that reflect the Group's risk objectives (or "risk appetite"), tolerance thresholds (or "risk tolerance"), as well as the related operational limits. in both ordinary and stress conditions, which the Group intends to respect in pursuing its strategic guidelines, defining consistency levels and the maximum risk that it is able to take on ("risk capacity").
The BPER Banca Group identifies the Risk Appetite Framework (RAF) as a tool of overseeing the risk profile that the Group intends to take in the implementation of its business strategies, considering it as an essential element to ensure that the risk governance policy and process by which risks are handled comply with the principles of sound and prudent business management.
The RAF takes on the importance of a management tool that not only permits concrete application of the regulations, but also makes it possible to activate synergistic governance of the planning, control and risk management activities. It is also a key element to:

- strengthen the ability to govern business risks, facilitating the development and dissemination of an integrated risk culture;
- ensure alignment between strategic guidelines and the levels of risk assumed, through the formalisation of consistent objectives and limits;
- develop a quick and effective system of monitoring and reporting the risk profile taken on.

The key principles of the RAF are formalised and approved by BPER Banca, which periodically reviews them, ensuring that they are in line with the strategic guidelines, business model and regulatory requirements in force at the time.
Lastly, the Group periodically monitors the overall RAF metrics, in order to control on a timely basis any overruns of the tolerance thresholds and/or risk limits assigned and, if appropriate, handle the necessary communications to the Corporate Bodies and subsequent remedies.
The Group's risk appetite is expressed:

- in specific areas of analysis defined in accordance with the Supervisory Provisions (capital adequacy, liquidity and measures that reflect risk capital or economic capital) and the expectations and interests of other Group stakeholders;

[50] *Throughout the chapter, any reference to the Board of Directors or the Chief Executive Officer or any other Corporate Bodies are to be understood as referring to the Parent Company BPER Banca, unless otherwise specified.*
[51] *Last update approved by Board of Directors of the Parent Company on 29 November 2016*

- through summary indicators (RAF metrics) that represent regulatory constraints and the risk profile defined in accordance with the capital adequacy verification process and risk management processes. The RAF metrics are defined at Group level and can be adapted to individual risks of strategic importance for the Bank and other relevant analysis axes identified in the strategic planning process.

More specifically, the RAF management process is split into the following stages:

- set up of the RAF structure: definition of the elements that express the Group's level of risk appetite for measurable and non-measurable risks;
- calibration of measurements for RAF metrics: definition of the calibration rules for RAF metrics and quantification of the levels of risk appetite, risk capacity and risk tolerance, consistent with management's decision in terms of strategic planning and economic/financial forecasting;
- formalisation and approval of the decisions taken within the ambit of the RAF in the Risk Appetite Statement (RAS), which is subject to periodic update;
- declension of the RAF metrics by type of risk or other relevant analysis axes to transfer the levels of risk appetite and risk tolerance to the corporate structures involved in taking on the risk so as to direct operations in a consistent manner;
- monitoring and managing threshold overruns by verifying the trend in the risk profile compared with the risk tolerance, operational limits and risk capacity and consequent activation of measures to reduce any overruns;
- periodic communication and reporting on the evolution of the risk profile compared with the risk appetite, risk tolerance and risk capacity thresholds and on implementation of diversified action plans according to the purpose of the communication and the recipients in terms of the corporate bodies/functions of the Company and the Group.

The process defines the roles and responsibilities of the corporate bodies and functions involved, adopting coordination mechanisms that ensure the effective inclusion of risk appetite within operational activities. In particular, the Group reconciles the RAF, business model, strategic plan, ICAAP and budget in a consistent manner via a complex system of coordination mechanisms.

In line with the structure of the RAF process, at the board meeting on 25 January 2018, the Parent Company's Board of Directors defined the Risk Appetite Statement of the BPER Group. This formalises the risk appetite at an overall Group level through quantitative indicators that are consistent with the processes of assessing capital adequacy and the adequacy of the Group's liquidity, and with the processes of managing measurable risks and qualitative indications for risks that are difficult to measure.
At the board meeting on 20 December 2018, the Parent Company's Board of Directors also approved a first update of the RAF thresholds which were an integral part of the BPER Group's 2018 Recovery Plan.
The RAF is periodically updated and reviewed according to the evolution of the risk and business strategy and of the regulatory and competitive context in which the Group operates.

Development of the internal control system

The Parent Company manages the Group's internal control system through a cyclical process that involves the following phases:

- design;
- implementation;
- assessment;
- communicating outside the Group.

The steps involved in the development process and the related responsibilities of the Corporate Bodies are explained below[52].

Design of the internal control system

The Board of Directors of the Parent Company defines and approves:

- the internal control system of the Parent Company and the Group, ensuring that it is consistent with the strategic guidelines and risk appetite established in the RAF and that it is able to reflect the various types of risk as they evolve and interact;
- the risk objectives, the threshold of tolerance (where identified) and the process of risk governance, to ensure that risks are properly governed and effective control maintained over all strategic decisions of the Group as a whole, along with balanced management of the individual components;
- the remedies needed to restore a normal situation after any overrun of the tolerance thresholds;
- the criteria for identifying significant transactions to be submitted to the risk control function;
- system standards for carrying out all activities.

More specifically, the Board of Directors, with the assistance of the Control and Risks Committee and on proposal of BPER Banca's CEO, establishes and approves for the Group as a whole and for its components:

- the business model, being aware of the risks to which this model exposes the Company and understanding the ways in which risks are identified and assessed; in this context it approves the adoption of internal risk measurement for the determination of capital requirements;
- the corporate control functions, specifying their duties and responsibilities within the Group, the procedures for coordination and collaboration and the information flows between these functions and between them and the Corporate Bodies;
- further internal information flow mechanisms to ensure that the corporate bodies and control functions are fully aware of the various risk factors and have the ability to govern them;
- formalised coordination and liaison procedures between Companies and the Parent Company for all areas of operation;
- the ICAAP process, identifying the roles and responsibilities assigned to functions and business structures, ensuring consistency with the RAF and rapid adjustment in relation to significant changes in strategic lines, organisational structure and operational context of reference;
- the Recovery Plan of BPER Banca Group;
- the process for managing anomalies identified by corporate control functions and by control functions, the activation criteria therefore and those to be adopted for the identification of the priority to be assigned to the analysis, consolidation and implementation of corrective action

[52] *Corporate Bodies include all bodies with strategic supervision, management and control functions. The definition of Corporate Body also includes the sub-committees of the Board of Directors ("Board Committees").*

and the means of doing so, as well as the acceptance – in compliance with the RAF – of the residual risk identified by the control functions;
- policies and processes for the measurement of assets, financial instruments in particular, verifying that they always remain appropriate; it also establishes the Bank's maximum exposure to financial instruments or products that are uncertain or difficult to measure;
- the process for the development and validation of internal risk measurement;
- the process for approving new products and services, the launch of new activities, entering new markets (known collectively as Product Approval);
- Group policy for outsourcing business functions.

Finally, the Board of Directors ensures that:
- implementation of the RAF is consistent with the approved levels of risk appetite and risk tolerance (where identified);
- the strategic plan, the RAF, the ICAAP, budgets and internal control system are consistent, bearing in mind any developments in the internal and external conditions in which the Group operates;
- the amount and the allocation of capital and liquidity held are consistent with the risk appetite, risk governance policies and risk management process.

The Board of Directors appoints and dismisses the heads of the corporate control functions and the Manager Responsible for preparing the company's financial reports, after consultation with the Control and Risk Committee, the Nominations Committee, the Board of Statutory Auditors and the Chief Executive Officer[53].
The Board of Directors of Group companies:
- defines any additions that have to be made to the internal control system of their respective entities, in accordance with the coordination and liaison procedures established by the Parent Company;
- acknowledges and approves the risk appetite of its own company, which has to be consistent with the level of risk of the Group.

Implementation of the internal control system

The Board of Directors delegates adequate powers and resources to the Chief Executive Officer to enable him to implement strategies, RAF and risk governance policies defined by the Parent Company's Board of Directors when designing the internal control system; he is responsible for taking all the necessary steps to ensure that the organisation and its internal control system comply with the principles and requirements laid down in regulatory provisions, monitoring compliance on an ongoing basis.
For this purpose, the CEO, for the Group as a whole and for its components:
- ensures that the responsibilities and duties of the various corporate structures and functions involved in risk assumption and management processes are clearly assigned and potential conflicts of interest are avoided;
- ensures that the activities carried out by the functions and structures involved in the internal control system are carried out by qualified personnel with an adequate degree of independence of judgement and with adequate experience and knowledge for the tasks to be performed;
- carries out any initiatives and interventions needed to ensure the overall reliability of the internal control system on an ongoing basis;

[53] *The Chief Executive Officer only intervenes for the appointment of the heads of Internal Audit, Compliance and Risk Control*

- takes corrective action or makes adjustments as necessary in the event of weaknesses or anomalies being found, or following the introduction of significant new products, activities, services or processes;
- defines and oversees implementation of the risk management process. In this context, the CEO establishes operating limits for the assumption of various types of risk, in line with the risk appetite, explicitly taking account of the results of stress tests and developments in the economic situation;
- examines the more significant transactions subject to an unfavourable opinion by the risk control function and, if appropriate, authorises them; informs the Board of Directors and the Board of Statutory Auditors about these transactions;
- implements the ICAAP and ILAAP processes, ensuring they are developed in accordance with the strategic guidelines and the risk profile identified in the RAF; designs and implements the Group's training programmes to raise awareness among employees about the responsibility for risks so as not to limit the process of risk management to specialists or to the control functions;
- defines internal information flow mechanisms to ensure that the Corporate Bodies and control functions are fully aware of the various risk factors and have the ability to govern them and the assessment of compliance with RAF;
- as part of the RAF, where a tolerance threshold is defined, authorises overruns of the risk appetite within the limit represented by the tolerance threshold and gives prompt notice to the Board of Directors, identifying the management actions needed to bring the risk back down to below the set objective;
- ensures that risks deriving from new operations are fully assessed and are consistent with the risk appetite, and that the Bank is able to manage them;
- ensures that the risk management process is consistent with the risk appetite and risk governance policies, taking into account the evolution of the internal and external conditions in which the Bank operates;
- apply instructions to ensure that internal risk measurement systems are developed according to the approved strategies and are integrated into decision-making processes and operational management.

More specifically, for the Group, the CEO issues instructions to define and render operational:
- mechanisms for the integration of information systems and processes of data management, in order to ensure the reliability of consolidated figures;
- regular information flows to permit effective implementation of the various forms of control over all members of the Group;
- procedures to ensure, at a centralised level, an effective standard process of Group risk management, involving a single register, or several registers they can be easily linked, for the various companies in the Group;
- systems for monitoring financial flows, credit reports and other relations between members of the Group;
- controls over the achievement of objectives in terms of information security and business continuity as defined for the entire Group and for the individual members of the Group.

The Board of Directors of each Group bank and company gives a mandate to the appropriate internal functions to implement the decisions made by the Parent Company during the planning phase.

Assessment of the internal control system

As part of its strategic supervisory function, the Board of Directors:

- receives from the corporate control functions and other control functions the information flows foreseen for a full awareness of the various risk factors and the ability to govern them;
- periodically assesses the adequacy and effectiveness of the RAF and the compatibility between actual risk and the risk objectives;
- periodically assesses, with the assistance of the Control and Risk Committee, the adequacy and compliance of the Group's internal control system[54], identifying possible improvements and defining the steps needed to correct any weaknesses.

In addition, with regard to internal risk measurement systems for the determination of capital requirements, the Board of Directors:

- periodically verifies the choices of model made to ensure that they remain valid over time, approving significant changes to the system and carrying out overall supervision to ensure that it functions properly;
- monitors, with the assistance of the relevant functions, effective use of internal systems for management purposes and their compliance with regulatory requirements;
- reviews at least once a year the results of the validation process and passes a formal resolution, with the approval of the Board of Statutory Auditors, by which it certifies compliance with the requirements for the use of internal measurement systems.

The Board of Directors of each Group company, including the Parent Company, periodically assesses the internal control system[55].

The function responsible for providing support in assessing the effectiveness of the overall internal control system, company-wide, is the Internal Audit Department.

The Boards of Statutory Auditors of the Parent Company and of Group companies, each to the extent of their own responsibilities, carry out the assessment of the internal control system foreseen by law and the articles of association and have the responsibility of ensuring the completeness, suitability and functionality of the internal control system and of the RAF. The results of these assessments are brought to the attention of the respective Boards of Directors.

The Board of Directors receives, either directly or through the CEO, the information flows required to gain a full awareness of the various risk factors and the ability to govern them, as well as to plan and implement interventions to ensure the compliance and adequacy of the Internal Control System.

Communicating outside on the internal control system

The Board of Directors of each Group company, especially that of the Parent Company as regards the Group internal control system, ensures that information on the internal control and risk management system is given in all cases foreseen by law, guaranteeing the correctness and completeness of the information provided. In this context, it is important to make the Public Disclosures required by the "Third Pillar". For this, the Board of Directors of the Parent Company assigns control responsibilities and

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[54] *Supervisory instructions for banks – Circular 285 of the Bank of Italy, Part I, Title IV, Chapter 3, Section II, paragraph 2 "assures that: [...] b) the internal control system and corporate structure are consistently in line with the principles mentioned in Section I and the control functions satisfy the requirements and comply with the provisions of Section III. In the event of weaknesses or anomalies, it promotes timely adoption of appropriate corrective measures and assesses their effectiveness".*

[55] *a) Civil Code – art. 2381 – "The Board of Directors ... omissis ... evaluates the adequacy of the organisational, administrative and accounting structure of the company on the basis of the information received".*
c) Code of Conduct for Listed Companies – Standard 8.P.3. "The Board of Directors assesses the effectiveness of the system of internal control with respect to the characteristics of the business".

duties to the Corporate Bodies and the various functions involved in the different stages in the handling of such information.

Levels of control envisaged by the Supervisory Authority

As part of the Group internal control system, the following control functions are identified at the levels provided by the Supervisory instructions for banks, taking into account of the fact that the second and third level control functions always apply to the entire Group:

- Third-level controls: designed to identify violations of procedures and regulations and to assess periodically the completeness, suitability, functionality (in terms of efficiency and effectiveness) and reliability of the internal control system and information systems (ICT audit), with a set timing in relation to the nature and intensity of the risks involved. They are conducted on an ongoing basis, periodically or at random, by various structures that are independent of production, including spot checks. This activity is entrusted to the Internal Audit Department;
- Second-level controls ("risk and compliance controls"): the second level control functions have been developed and identified with the following objectives:
  - to check on an ongoing basis that company procedures are consistent with the goal of prevention of money laundering and financing of terrorism and to prevent and combat money laundering and financing of terrorism through the reporting of suspicious transactions and the execution of continuing control activities (Anti-Money Laundering control. This activity is entrusted to the Anti-Money Laundering Unit;
  - to identify non-compliance risks, examining the standards applicable to the Group on an ongoing basis and assessing their impact on Group companies. To establish, depending on the risks that have been identified and assessed, the minimum control objectives expected by proposing organisational and procedural interventions to ensure adequate protection from any risks of non-compliance and monitoring their implementation. This activity is entrusted to the Compliance Unit;
  - to collaborate in the definition and implementation of the RAF and the related risk governance policies, through an adequate risk management process, verifying the adequacy thereof. To define methodologies, processes and tools to be used for risk management. To ensure consistency of the measurement and risk control systems with processes and methodologies to assess business operations. To ensure the correct representation of the risk profile and assessment of loan positions, to perform assessments of loan monitoring and recovery processes, to supervise the process for the allocation/monitoring of the official rating and to perform second-level controls over the lending process. These activities are entrusted to various functions of the Risk Management Unit;
  - qualitative and quantitative validation of internal risk measurement systems adopted by the Parent Company, as used to estimate internal capital and capital requirements, ensuring compliance with the instructions issued by the Supervisory Authority for this process, as well as consistency with the operational needs of the company and the evolution of the market. This activity is entrusted to the Model Validation Office, which forms part of the Risk Department's Credit Control and Internal Validation Department. The organisational positioning of this Office guarantees independence from the structures responsible for the development and use of internal risk models subjected to ratification;

- First-level controls ("line controls"): designed to ensure that operations are carried out properly. They are performed by some production structures (e.g. hierarchical, systematic and random controls), also through units dedicated exclusively to control duties that report to the heads of the operating structures or carried out as part of the back office activities; as far as possible, they are incorporated into IT procedures.

Control roles and duties attributed to BPER Banca Group functions

Internal Audit Department

The primary objective of the Internal Audit Department is to provide independent and objective assurance and consulting services aimed at improving the effectiveness and efficiency of the organisation. Internal Audit assists the organisation in pursuing its objectives through a systematic professional approach, which generates added value as it is aimed at assessing and improving the risk management, control and governance processes.
The mission is, therefore, to enhance and protect the value of the organisation by providing objective and risk-based assurance, advice and expertise.
This mission is pursued:

- through a risk-based and process-oriented audit plan;
- by promoting a culture of risk and control in the company;
- by providing assurance and advice on risk management, control and governance processes;
- by evaluating existing controls and making suggestions for their continuous improvement.

The Internal Audit Department, through the Organisational Units that comprise it, has the following main responsibilities, which are differentiated according to:

- outsourcing of Control Functions to the Parent Company;
- exercise of control within the Parent Company's management and coordination activity;
- liaison with Control Functions in Group companies and not centralised at the Internal Audit Department.

Specifically:

- It elaborates and proposes to the competent Body guidelines for annual and long term planning and planning of audit activities, based on the methodological models approved by the Board of Directors. The identification of the activities to be audited is in line with the operations of the members of the Group and their propensity to risk and is compatible with the resources available. In this context, the Audit Universe is updated its components allocated to the Organisational Units according to their competence. Checks that are not preannounced or not expressly indicated in the Audit Plan are also carried out;
- it defines and applies methodologies, tools, regulations and internal audit models, also taking into account international professional standards;
- With a view to third-level controls, it also verifies with on-site checks the regular performance of operations and the evolution of risks and assesses the completeness, adequacy, functionality and reliability of the organisational structure and other components of the internal control system, bringing possible improvements to the attention of the corporate bodies, with particular reference to the RAF, the risk management process, as well as the tools for measuring and controlling them. It makes recommendations to the Corporate Bodies on the basis of its audit results;

- Periodically, at consolidated level, it carries out on-site checks on Group members, taking into account the importance of the various types of risk taken on by the various entities; this in order to verify whether their conduct complies with the Parent Company's guidelines, as well as the effectiveness of the internal control system as defined by the Parent Company for the individual legal entities;
- It checks the Risk Control, Compliance and Anti-Money Laundering Functions;
- It checks the regularity of the various company activities, including outsourced activities, and the evolution of risks both at the Central Functions and at the distribution network. The frequency of inspections is consistent with the activity performed and the propensity to risk; however, random and unannounced inspections are also performed;
- it monitors compliance with the rules of the activity at all company levels;
- it verifies the adequacy and correct functioning of the processes and methods for measuring company assets;
- it verifies compliance, in the various operating sectors, with the limits set by the delegation mechanisms and the full and correct use of the information available in the various activities;
- It carries out Fraud Audits (Detention and Investigation) through the recording, assessment and, where appropriate, reporting of anomalous behaviours detected during the audit, also in order to allow the competent functions to start the "internal disciplinary procedure" or, in any case, to take appropriate action to protect the Company;
- it performs periodic tests on the functioning of operating and internal control procedures;
- it also carries out assessments on specific irregularities;
- It makes recommendations to the Corporate Bodies based on the results of the audits checks carried out in accordance with the procedures laid down by the Parent Company;
- It promptly informs the Corporate Bodies about any significant violation or weakness it has found;
- it can provide consultancy services, not having auditing and/or validation/approval nature of the choices made by management, within the limits of the sustainability of the plan. The main assignments accepted must be reported in the Audit Plan;
- it illustrates and summarises with appropriate information to the Corporate Bodies of the Parent Company and of Group companies the results of the audit work performed;
- it prepares the reports required by the Supervisory Authorities and assigned to the Internal Audit Function;
- based on the Audit Plan approved by the Board of Directors at the time the Plan was adopted, it makes an assessment, at least once a year, of the completeness, adequacy, functionality (in terms of efficiency and effectiveness) and reliability of the overall Internal Control System for the Banking Group as a whole;
- it pursues objectives of efficiency and effectiveness in its activity by identifying opportunities for improvement. In this sense, the Chief Audit Executive activates/maintains a Quality Assurance and improvement programme. In this sense, in December 2018, the Parent Company's Board of Directors approved the launch of an external Quality Assessment Review (QAR), which will be carried out by a leading company in this sector;
- It is responsible for third-level controls and operates in the interest of the Parent Company and of its Group within its sphere of competence as outlined in the external regulations and by the Group Guidelines - Internal Control System without any limitations on its scope of intervention;
- It helps the Corporate Bodies and Organisational Units of Group banks and companies pursue their objectives in the field of internal control, contributing to the development of a corporate and group culture.

In general terms, the Group's internal control system provides for the delegation of second and third level Control Functions of the Italian Group companies to the Parent Company, as provided by the "Group Guidelines - Internal Control System".
As regards Group companies based abroad, this centralised model is partially waived in consideration of the complexity and delicacy of operations run in a different regulatory environment. In this case, it is possible to activate organisational models that enhance the specific nature of the context in which these companies operate, for each control function required by local regulations, as requested by the Supervisory Authority or by the Parent Company.
Specifically, the Internal Audit Department:

- for companies that have an Internal Audit function that has been outsourced to the Parent Company, it performs the control activities foreseen for BPER Banca, according to the audit plan approved by the Board of Directors, while retaining the right to perform internal audit work in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role. For the performance of the outsourced activities, the Internal Audit Department has the support of the contacts of the Internal Audit function identified at Group companies;
- for companies that do not have an Internal Audit function, the analyses and assessments performed by the Parent Company's control function are carried out to fulfil the responsibilities allocated to the Parent Company as part of its Group guidance and coordination role and not to fulfil the responsibility of individual Group companies;
- for companies that have an Internal Audit function that has not (yet) been outsourced to BPER Banca, internal audit work is performed in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role.

At the date of this document, the Italian Banks have all delegated the Internal Audit function to the Parent Company.
The organisational structure of the Department is made up as follows: 1 office in staff functions for the Head of Department; 4 offices and 1 unit that report directly to the CAE (Chief Audit Executive). As regards the Head of this Unit, 4 offices report to him.

Risk Management Department

The Risk Management Department now reports directly to the Parent Company's Chief Executive Officer and is broken down into the following Organisational Units:

- Rating Office and Risk Governance Office, as staff functions for the Chief Risk Officer;
- Financial Risk Department;
- Credit and Operational Risk Department;
- Credit Control and Internal Validation Department.

The Risk Management Department, as the Group's risk control function, aims to collaborate in the definition and implementation of the Risk Appetite Framework and the related risk governance policies, through an adequate risk management process.
An integral part of its mission is to ensure adequate reporting to the Corporate Bodies of the Parent Company and Group companies.
The Risk Management Department extends its area of responsibility to all of the Group companies included in the current risk map, given that the "Group Guidelines - Internal Control System" provide for centralised management of the risk control function by the Parent Company.

The Group companies that have this function outsource it to the Parent Company, with the exception of the company based in Luxembourg[56].
The mission of the Risk Management Department is carried out as part of the Parent Company's guidance and coordination activity as an outsourcer for Group banks and companies.
The Risk Management Department operates at Group companies through a Contact (who functionally reports to it) identified at the various Group companies.

The responsibilities of the Risk Management Department are entrusted to the Chief Risk Officer (CRO), who relies on the support of the organisational units, whether staff or line functions, which hierarchically report to them in the exercise of the following responsibilities:

- within the context of the Risk Appetite Framework, proposing the quantitative and qualitative parameters necessary for its definition, both in the normal course of business and in situations of stress, ensuring their adequacy over time in relation to changes in the internal and external context;
- proposal of risk governance policies for measurable and non-measurable risks not allocated to other control functions (limited to the sections relating to risk management and exposure/operational limits) and oversight of their implementation, ensuring that the various stages of the risk management process are consistent with the Risk Appetite Framework;
- development of risk management methodologies, processes and tools via the identification, measurement/assessment, monitoring and reporting of risks, ensuring their adequacy over time through the development and application of indicators designed to highlight anomalous situations and inefficiencies. In particular:
  - definition of common metrics of operational risk assessment (including IT risks) that are consistent with the RAF, in coordination with the Compliance Function, the ICT function and the Business Continuity function;
  - definition of methods to evaluate and control reputational risk, in coordination with the Compliance function and the corporate functions that are most exposed to this type of risk;
  - provision of assistance to the Corporate Bodies in the assessment of strategic risk by monitoring significant variables.
- monitoring the actual risk profile assumed in relation to the risk objectives defined in the RAF, collaborating in the definition of operating limits for the assumption of various types of risk and constantly verifying their adequacy and compliance, reporting any overruns to Corporate Bodies;
- provision of support to the Chief Executive Officer in the implementation of the ICAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned to it;
- provision of support to the Chief Executive Officer in the implementation of the ILAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned to it;
- coordination of the process for the preparation and update of the BPER Banca Group recovery plan to be submitted to the Supervisory Authority and performance of the phases assigned to it;
- coordination of activities associated with the internal stress testing programme with the help of the various organisational structures involved, in the various execution areas (operational and regulatory stress test);

[56] *Circular CSSF 14/597 – Update of circular CSSF 12/552 on the central administration, internal governance and risk management "117. Outsourcing the compliance function and risk control function is not authorised."*

- checking the adequacy and effectiveness of the measures taken to correct weaknesses in the risk management process;
- development, validation[57] and upkeep of the internal systems of risk measurement, ensuring compliance with the instructions issued by the Supervisory Authority, as well as consistency with the operational needs of the company and the evolution of the market;
- provision of preventive advice on the consistency of more significant transactions with the RAF, acquiring if necessary, depending on the nature of the transaction, the opinion of other functions involved in the risk management process;
- analysis of risks deriving from new products/services and from entry into new business segments;
- involvement in the definition and update of criteria for the classification of outsourcing and the assessment of risk assigned to it;
- involvement in the definition and management of remuneration and incentive policies;
- control of the rating and override processes;
- performance of second-level controls in relation to the credit chain and verification that: individual credit exposures are monitored correctly (especially non-performing exposures); risk classifications are correct; the adequacy of provisions; and the effectiveness of the recovery process;
- involvement in the definition of policies for and the valuation of properties lodged as collateral, monitoring the implementation thereof, to the extent of his/her sphere of competence, by checking updates to appraisals performed on properties lodged as collateral, the autonomy of those who prepare the valuations and the consistency of the types of appraisals used for the valuation of the collateral;
- it is involved in defining, updating and monitoring the Non-Performing Loans strategy (providing estimates of the impact on the risk parameters used in the internal rating system and on the Group's capital profile in terms of RWA and Shortfall), as well as in policies and processes for their management before being submitted to the Corporate Bodies of the Parent Company and Group companies;
- it handles execution of the activities included in the second-level control framework on non-performing loans;
- it coordinates the preliminary activities for the preparation and updating of the Resolution Plan, prepared by the Resolution Authority, directly carrying out the steps that are within its sphere of competence.

In addition, the Risk Management Department:
- takes part in the definition of the Group's strategy, assessing the relative impact on risk;
- takes part in deciding on strategic changes to the Group's internal control system.

[57] *Through the Model Validation Office*

Anti-Money Laundering Unit

The task of the Anti-Money Laundering Unit is:

- to prevent and combat money laundering and financing of terrorism through the reporting of suspicious transactions and the execution of continuing control activities (Anti-Money Laundering control);
- to check that the IT and organisational procedures adopted by Group companies are consistent with laws and regulations, as well as self-regulation in the field of money laundering and financing of terrorism (Anti-Money Laundering function).

The organisational model adopted by the Group provides for centralised management at the Parent Company of the anti-money laundering function and supervision of the Italian Group banks and non-banking companies subject to money laundering regulations.

As regards the Parent Company's guidance and coordination activities, performed for all Group companies subject to anti-money laundering regulations - for the Luxembourg subsidiary, only with regard to matters of identification and knowledge of customers and monitoring of reports on suspicious transaction - the Anti-Money Laundering Unit has the following responsibilities:

- it identifies and evaluates the Group's exposure to the risk of money laundering and financing of terrorism;
- it identifies any risk of non-compliance with anti-money laundering legislation to which the Group is exposed, continuously examining the rules applicable to the Group and assessing their impact on Group companies;
- it carries out an annual assessment of the main risks of non-compliance with anti-money laundering and counter-terrorism laws at Group level, and reports to the Corporate Bodies of the Parent Company, indicating any critical situations and making proposals for the planning of related management measures to counter any weaknesses that may have emerged and to address any new non-compliance risks that have been identified ("Report of the Group on the risk of non-compliance with anti-money laundering and anti-terrorism laws"). For the Luxembourg subsidiary, it reports any critical issues arising from the opinions expressed and data provided by the relevant Corporate Functions;
- it proposes the Group's management of the risk of non-compliance with anti-money laundering and anti-terrorism regulations;
- it defines the methods, processes and tools that must be followed in performing the activities of the Anti-Money Laundering function and uses the reports defined in coordination with other control functions (corporate or otherwise);
- for companies that have not outsourced the function to the Parent Company (the Luxembourg subsidiary BPER Bank Luxembourg SA), it establishes the minimum control objectives and checks their application, depending on the risks that have been identified and assessed;
- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes aimed at preventing and combating money laundering, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out;
- it supports the Group Delegate in examining and evaluating, from a Group perspective, the reports filed and the transactions reported to the Bank of Italy's Financial Information Office by the consolidated banks and companies that have outsourced AML control to the Parent Company. This type of support is also provided with reference to reports filed and transactions

reported to the competent local authorities by the Group's Luxembourg subsidiary; to this end, the Anti-Money Laundering Unit receives adequate information flows from these companies;
- it supports the General Manager of the Parent Company or the person appointed by him in assessing whether Group companies (in Italy and abroad) should open correspondent accounts with the corresponding authorities of "non-equivalent" non-EU countries;
- it checks authorisations to open ongoing relationships, or occasional transactions, with "politically exposed persons" in Group companies (both Italian and foreign).

Among other activities, the Unit also:
- helps the Company Delegate in the assessment and investigation of reports of suspicious transactions pursuant to art. 35 of Legislative Decree 231/07 coming from the network and central offices, sending them to the Financial Intelligence Unit if found to have some basis, otherwise dropping them;
- helps the Company Delegate in identifying suspicious transactions that were not picked up by the structures in charge of day-to-day dealings with customers or not extracted by the automatic detection procedures;
- performs centralised checks on the Branches and Central Offices to detect potentially abnormal situations that merit specific investigation into proper fulfilment of due diligence and risk profiling of customers, detection and reporting of potentially suspicious transactions and limiting the use of cash and bearer securities;
- performs specific checks to confirm proper compliance with the obligation to keep data and information in accordance with art. 31 et seq. of Legislative Decree 231/07, and to detect any potentially suspicious transactions that could involve money laundering;
- forwards to the Ministry of Economy and Finance the communications on infringements of the rules regarding the use of cash and bearer securities as per art. 49 of Legislative Decree 231/07;
- manages relations with the Financial Information Office, the Investigative Authorities and the Judicial Authorities whenever there is need for in-depth investigation or discussion about the anti-money laundering and anti-terrorism legislation;
- helping to run the staff training activities with the other competent Corporate Functions, in order to promote and strengthen a culture of respect for the rules and fairness in behaviour.

Compliance Unit

The Compliance Unit's task is to ensure the adequacy of internal procedures to prevent the violation of external rules (e.g. laws and regulations) and self-regulation (e.g. codes of conduct) applicable to the Group's companies.
With reference to the internal procedures adopted under art. 88 of the Intermediaries Regulations adopted by CONSOB with resolution 20307 of 15 February 2018, the Compliance Unit also carries out regular checks on the effective application ("functioning") of the procedures and the measures taken to resolve any weaknesses.
It assists the Corporate Bodies and Organisational Units of Group companies in pursuing the objectives of compliance by promoting the spread of a corporate culture based on compliance and fairness in behaviour as an essential element for a company to function properly.
It assesses the risk of non-compliance arising from innovative projects that the Group intends to undertake, including the launch of new products or services, and operating in new markets or with new types of customers.

The Compliance Unit, as part of the management of compliance risk, works - directly or through Special Units - on regulations that concern the entire banking activity, with the exception of those for which there are dedicated corporate functions and other control functions.
In line with its mission, it extends the scope of its guidance, control and coordination activities to all Group companies. Centralised management of the compliance function at the Parent Company for all Italian Group companies that have that function.
For Group bank based abroad, the Compliance Unit only provides guidance and coordination.
As part of the guidance and coordination activity exercised by the Parent Company on behalf of the Group companies, the Compliance Unit has the following responsibilities:

- it identifies non-compliance risks, at Group level, examining the standards applicable to the Group on an ongoing basis and assessing their impact on Group companies;
- it establishes, depending on the risks that have been identified and assessed, the minimum control objectives foreseen for the Companies concerned, and verifies that the planning of Compliance activities of the individual companies that did not outsource this function to the Parent Company applies them;
- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, promptly highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes and to the processes of the companies that do not have this function, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out.

Line controls

Line controls (so-called "first-level controls") are designed to ensure that operations are carried out properly; these controls also include those that contribute to the creation of an internal accounting control system, understood as a set of controls that form part of the individual administrative and accounting procedures in order to have reasonable assurance that the recording and processing of data and the production of information have been performed correctly. They are performed by the same operating structures (e.g. hierarchical controls) or incorporated into procedures, or carried out as part of back-office activities.

Other control functions

In addition to the levels of control laid down by Supervisory Regulations, the regulations governing self-regulation necessitate the allocation of control duties to specific functions other than corporate control functions - or to board committees, the activities of which are consistent with the internal control system.
Specifically, control functions identified within the Group are:

- the Manager Responsible for preparing the Company's financial reports;
- Supervisory Bodies pursuant to Legislative Decree 231/01.

Manager Responsible for preparing the company's financial reports

Based on the provisions of Law 262/2005, which introduced art. 154-bis in Section V bis of Legislative Decree 58/98, BPER Group has established the role of Manager Responsible for preparing the company's financial reports, a person who is responsible for ensuring the reliability of the Parent Company's financial reporting, as well as for the BPER Group in terms of the consolidated financial statements.
Art. 39 of the Articles of Association establishes that the Board of Directors, having heard the required opinion of the Board of Statutory Auditors, shall appoint a person in charge of preparing the corporate accounting documents, allocating him suitable powers and resources for the performance of the assigned tasks pursuant to legal requirements. Having received the opinion required from the Board of Statutory Auditors, the Board of Directors is also entitled to revoke the appointment of the Manager Responsible for preparing the Company's financial reports.
The BPER Banca Group’s Manager Responsible for preparing the Company’s financial reports, who is Marco Bonfatti, manager of the Administration and Reporting Department, is identified within the Group as a control function and, as laid down in the Guidelines for the Group internal control system, he is responsible for the design, implementation and maintenance of the "Financial reporting control model" to be applied to the Parent Company and, with reference to the procedures for the preparation of consolidated financial statements, to the Banks and Companies included in the scope of consolidation.

The financial reporting control model is a set of requirements to be met for proper management and control of the risks of unintentional errors and fraud in financial reports. It is up to the Manager Responsible to ensure that it is adopted.

In the BPER Banca Group the responsibility for the proper management and control of the risk of unintentional errors and fraud in financial reports, also taking into account the regulatory framework that assigns specific responsibilities to the Manager Responsible, is assigned, not only to the Corporate Bodies, but above all to the Manager Responsible.

The financial reporting control model is represented by a "body of law" made up as follows:

- Group policy for managing the risk of unintentional errors and fraud in financial reports (high level legislative source);
- Regulation of the Function of Manager Responsible for preparing the Company's financial reports (high level legislative source);
- Methodological note addressing macro process management of unintentional errors and fraud in financial disclosures (high level atypical source);
- Internal methodological document not included in the regulatory sources addressing macro process management of unintentional errors and fraud in financial disclosures (atypical operating source).

Finally, with reference to the financial reporting control model, it should be noted that the high-level sources were updated during the second half of 2018 and approved by the Parent Company's Board of Directors on 10 January 2019, substantially for the purpose of revising the model as regards adequacy and effective application of the administrative and accounting procedures, as well as an overall assessment of the risk of unintentional errors and fraud in financial reporting, particularly by reducing the grading levels from six to four.

In order to carry out his mission, the Manager Responsible for preparing the company's financial reports makes use of a structure within the Parent Company (Financial Reporting Monitoring and Control

Office), which reports hierarchically to the Manager Responsible for preparing the company's financial reports and to a Contact Person appointed by each subsidiary bank and company, whether or not they form part of the Group, who reports functionally to the Manager Responsible for preparing the company's financial reports.

The staff of the Financial Reporting Monitoring and Control Office, in performing the duties assigned to it, is vested with the powers deriving from the Manager Responsible for Preparing the Company's Financial Reports, regardless of the position held in the corporate hierarchy.

In the process for managing the risk of unintentional errors and fraud in financial reports of BPER Banca Group, the Manager Responsible for preparing the company's financial reports of the Parent Company is also supported by the Manager Responsible for the Sub-Holding Company Banco di Sardegna (this role exists as this is a listed company); the latter reports to the General Manager and is under the Parent Company's Manager Responsible for preparing the company's financial reports as regards methods, instruments, reporting and work processes used in carrying out his duties.

For more details regarding the main characteristics of the current risk management and internal control systems in relation to the financial reporting process, please refer to the 2018 Report on corporate governance and the ownership structure, prepared in accordance with art. 123-bis of TUF.

Supervisory Body pursuant to Legislative Decree 231/01

The Parent Company, in compliance with arts. 6 and 7 of Legislative Decree 231/01, adopted a Model of Organisation and Management in order to prevent the commission and/or the attempted commission of the types of offence provided for in this Decree. In accordance with this law, the Parent Company has therefore set up its own Supervisory Body (known as the Supervisory Board) with the task of supervising the functioning and observance of the Model of Organisation and Management.

The Board is composed of three members:

- an employee of the Parent Company, with appropriate specialist skills, especially of a legal/organisational nature, including experience of controls, who does not have operational duties in the Bank;
- two external consultants with the necessary professional skills.

The Supervisory Board carries out its supervision and ensures compliance with the Model of Organisation and Management, by:

- detecting any changes in the "risk map";
- checking compliance with procedures in the area of activities considered to be sensitive to commission of the offences mentioned in Legislative Decree 231/01;
- activating and/or performing internal investigations in coordination with the control functions;
- planning training activities for the staff about legal developments, or about any legislative changes that could affect the nature of the offences mentioned in Legislative Decree 231/01;
- requesting the identification of appropriate procedures to protect new types of activities that could be classified as sensitive;
- requesting updates to existing procedures, if the business could be materially affected by changes in the risks included in the scope;
- reporting proven infringements of the instructions;
- coordinating activities by the Parent Company of the Supervisory Boards of subsidiaries, fostering an exchange of information, knowledge or methodologies;

- adoption by Group Banks and by BPER Services s.cons.p.a. and BPER Credit Management s.cons.p.a. of the main regulatory documents that constitute the Organisational and Management Model, subject to limited and necessary adjustments.

The Supervisory Board is also the recipient of specific information flows, given that the employees, Statutory Auditors and the Directors are required to inform the Supervisory Board, on the basis specified in the Model of Organisation and Management, about:

- provisions or news from the Judicial Police, or any other authority, indicating that they are carrying out an investigation for the offences mentioned in Legislative Decree 231/01, also against unknown persons, involving the Parent Company, its employees or members of the Corporate Bodies (Board of Directors, Supervisory Board and Board of Statutory Auditors);
- requests for legal assistance by directors, statutory auditors and/or employees in the event of the initiation of proceedings for offences under Legislative Decree 231/01;
- routine reports requested by the Supervisory Board, prepared by the heads of specialised functions (Manager Responsible for preparing the company's financial reports, Internal Audit, Anti-Money Laundering, Compliance, Risk Management, Human Resources, Financial Reporting Monitoring Office);
- information relating to the start of disciplinary proceedings and their progress and any penalties imposed, in the event of circumstances considered relevant under Legislative Decree 231/01;
- information about activities identified by the Model as “sensitive” in terms of their frequency and operational significance;
- organisational/procedural changes that have an impact on the Model of Organisation and Management;
- reporting the onset of other types of risk;
- the system of delegation of powers and/or functions adopted by the Parent Company, and any modifications of a structural nature made to it.

Finally, the Supervisory Board is also informed by reports received in accordance with pre-established procedures from the persons required to comply with the Model and the Code of Ethics (Shareholders, Statutory Auditors, Directors, Employees, Head of the Internal Reporting System, members of the Supervisory Board, persons who are not employees, but who work and are under the control and direction of BPER Banca, persons who, even if external to the Bank, work for or with the Parent Company, and any other person or entity who has dealings with the Parent Company for purposes of the report), about events that could give rise to liability under Legislative Decree 231/01.
The Supervisory Board reports immediately in case of necessity to the Board of Directors and reports every six months to it and the Board of Statutory Auditors on its activities and on the situation of the Parent Company with respect to the obligations referred to in Legislative Decree 231/01.
Within this context, the Parent Company has issued specific guidelines and distributed various regulatory documents, as well as instructions for coordinating the adoption of the Model of Organisation and Management as per Legislative Decree 231/01 by the individual Group banks by BPER Services s.cons.p.a. and BPER Credit Management s.cons.p.a., in compliance with the provisions of Legislative Decree 231/01 and in accordance with its specific responsibilities.
It should also be noted that, in compliance with the prudential regulations intended to strengthen the ability of banks to absorb shocks deriving from economic and financial tensions, the Group monitors capital adequacy, the exposure to risks and the general characteristics of the related management and control systems, in order to facilitate market discipline.

The document "Public Disclosures – Pillar 3" has been prepared pursuant to the requirements of Circular 285 of 17 December 2013 and subsequent updates issued by the Bank of Italy, Regulation (EU) 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR) and the EBA Guidelines dated 23 December 2014 that came into force on 1 January 2015.

This document at 31 December 2018 is published together with the financial statements on the websites of the Parent Company – www.bper.it

Section 1 – Risks of consolidated for accounting purpose

Quantitative information

A. Credit quality

A.1 Non-performing and performing credit exposures: amounts, adjustments, changes and economic distribution

A.1.1 Breakdown of financial assets by portfolio classification and credit quality (book values)

Portfolios/quality	Bad loans	Unlikely to pay loans	Non-performing past due exposures	Performing past due exposures	Other performing exposures	Total
1. Financial assets measured at amortised cost	1,448,257	1,695,789	60,509	701,038	52,148,749	56,054,342
2. Financial assets measured at fair value through other comprehensive income	18	-	-	-	8,287,115	8,287,133
3. Financial assets designated at fair value	-	-	-	-	218,662	218,662
4. Other financial assets mandatorily at fair value	-	963	-	-	234,128	235,091
5. Financial assets classified as held for sale	-	-	-	-	-	-
Total 31.12.2018	**1,448,275**	**1,696,752**	**60,509**	**701,038**	**60,888,654**	**64,795,228**
Total 31.12.2017	**2,893,206**	**2,416,347**	**93,214**	**780,371**	**58,859,128**	**65,042,266**

We provide below details on forborne exposure classified in the portfolio “Financial assets measured at amortised cost”.

Portfolios/Quality	Bad loans	Unlikely to pay loans	Non-performing past due exposures	Performing past due exposures	Performing exposures
1. Financial assets measured at amortised cost					
- Loans to customers	269,742	941,248	475	41,441	636,503

A.1.2 Breakdown of financial assets by portfolio classification and credit quality (gross and net values)

Portfolios/quality	Non-performing				Performing			Total (net exposure)
	Gross exposure	Overall impairment provisions	Net exposure	Overall partial write-off	Gross exposure	Overall impairment provisions	Net exposure	
1. Financial assets measured at amortised cost	7,045,555	3,841,000	3,204,555	727,371	53,021,110	171,323	52,849,787	56,054,342
2. Financial assets measured at fair value through other comprehensive income	18	-	18	-	8,292,008	4,893	8,287,115	8,287,133
3. Financial assets designated at fair value	-	-	-	-	X	X	218,662	218,662
4. Other financial assets mandatorily measured at fair value	963	-	963	-	X	X	234,128	235,091
5. Financial assets classified as held for sale	-	-	-	-	-	-	-	-
Total 31.12.2018	**7,046,536**	**3,841,000**	**3,205,536**	**727,371**	**61,313,118**	**176,216**	**61,589,692**	**64,795,228**
Total 31.12.2017	**10,531,740**	**5,128,973**	**5,402,767**	**858,628**	**59,837,417**	**225,559**	**59,639,499**	**65,042,266**

Portfolios/quality	Low credit quality assets		Other activities
	Cumulated capital losses	Net exposure	Net exposure
1. Financial assets held for trading	341	439	177,378
2. Hedging derivatives	-	-	35,564
Total 31.12.2018	**341**	**439**	**212,942**
Total 31.12.2017	**196**	**543**	**530,149**

Details of counterparties	Total write-offs	
	31.12.2018	31.12.2017
Financial companies	13,960	11,413
- of which: financial and non resident companies	-	-
Non financial companies	667,348	790,983
- of which: non financial and non resident companies	136	201
Households	46,063	56,232
- of which: non resident households	-	-
Total	**727,371**	**858,628**
- of which: non resident	**136**	**201**

Previous write-offs do not include those carried out during the year on bad loans as part of credit extinction events, also reported in the tables A.1.8 and A.1.9, as detailed below.

Details of counterparties	Total write-offs	
	31.12.2018	31.12.2017
Financial companies	9,655	14,583
- of which: financial and non resident companies	-	-
Non financial companies	162,661	205,711
- of which: non financial and non resident companies	128	140
Households	32,669	104,117
- of which: non resident households	-	5,620
Total	**204,985**	**324,411**
- of which: non resident	**128**	**5,760**

The amounts shown above are gross of default interest.

B. Information on structured entities (other than securitisation vehicles)

From 1 January 2014, application of IFRS 12 "Disclosure of Interests in Other Entities", approved by EU Regulation 1254/2012, became mandatory. The purpose of this standard is to require the disclosure of information that enables users of financial statements to assess:

- the nature and risks arising from the investment of the entity that prepares financial statements in subsidiaries, joint arrangements and unconsolidated structured entities;
- the effects of these investments on its balance sheet/financial position, results and cash flows.

As a rule, a company's investment in another entity takes the form of a holding of equities or debt securities. There are also entities set up in such a way that the voting rights or similar rights are not the dominant factor to determine who controls the entity; there may a situation in which the voting rights only make reference to administrative tasks, while the relevant activities are governed by various contractual agreements. In this hypothesis, according to IFRS 12, we are in the presence of structured entities.

Structured entities often have all or some of the following features or characteristics:

- they have a limited activity;
- they have a limited and well-defined objective;
- they have insufficient net equity to enable the structured entity to finance its activities without subordinated financial support;
- they receive funding, in the form of contractually bound multiple instruments from investors that create concentrations of credit risk or other risk (tranches).

These types of entities can be recognised in:

- special purpose vehicles (for securitisations);
- companies formed to obtain financing secured by assets (for issuing covered bonds);
- certain types of investment funds.

B.1 Consolidated structured entities

At 31 December 2018, the companies that have been consolidated do not include structured entities, as defined in IFRS 12, but only companies controlled by holding voting rights that ensure governance of the relevant activities.

B.2 Structured entities not consolidated for accounting purpose

B.2.1 Consolidated structured entities for regulatory purpose

At 31 December 2018, the BPER Banca Group does not have any structured entities that are not consolidated from an accounting point of view, but consolidated for regulatory purpose.

B.2.2 Other structured entities

Qualitative information

At 31 December 2018, the BPER Banca Group holds investments in mutual funds of more than 20% which have not been consolidated because:

- there is no quantitative and qualitative correlation between the loan granted and the investment policies of the fund;
- the fund constitutes independent equity distinct from that of each participant;
- the percentage interest is transitory, structurally destined to fall over time.

Along with these types of transactions, the portfolio includes entities that, on the basis of the interest held, would fall within the scope of application of IFRS 10 or IAS 28, but the percentage held in the nominal share capital is limited to situations that do not make it possible to exercise a significant influence.
These are investments of marginal value, for which it is not considered necessary to provide additional information to help give a complete and accurate representation of the economic and financial situation of the Group.
For completeness of information, it should be noted that at 31 December 2018 unconsolidated SPVs are those provided in this Part E of the Explanatory Notes, Section C "Securitisation Transactions" in Table C.4 "Prudential consolidation – Non -consolidated securitisation vehicles".
As of the same date, the BPER Banca Group has not issued any covered bonds through unconsolidated structured entities.

Quantitative information

Captions/ Type of structured entity	Accounting portfolios of Assets	Total assets (A)	Accounting portfolios of Liabilities	Total liabilities (B)	Net book value (C=A - B)	Maximum exposure to risk of loss (D)	Difference between exposure to risk of loss and book value (E=D-C)
1. Special purpose vehicle		-	-	-	-	-	-
2. UCITS							
	FVTPLM	26,582	-	-	26,582	26,582	-
3. Other companies							
	AC	60	-	-	60	60	-
		-	Debts to customers	33	(33)	(33)	-

Section 2 – Risk of prudential consolidation

1.1 Credit risk

Qualitative information

The Group's organisation centralises the credit risk control function at the Parent Company.

1. General aspects

While maintaining an underlying trend that is still positive, the international economy has shown signs of deceleration in recent months, with performances gradually differing from country to country. Among the factors causing this slowdown, one is the uncertainty generated by the never-ending Brexit process, a possible flare-up of financial tensions in emerging countries and the effects of the ongoing tariff war between the United States and China.
Growth in the euro area also weakened and industrial production decreased significantly in Germany, France and Italy.
As regards Italy, it is above all the performance of the manufacturing sector that confirms this period of difficulty in maintaining production levels due to a reduction in domestic demand and a weakening in capital investment and household spending. Exports, on the other hand, have increased, especially towards non-EU markets with the exception of non-durable consumer goods and intermediate goods.
In this situation of great uncertainty, characterised by downside risks to growth, possible new increases in sovereign yields and a slowdown in the propensity of companies to invest, the BPER Banca Group continued to pursue the credit policy guidelines defined at the beginning of the year, in synergy with all the other budget planning processes, monitoring their constant evolution in qualitative and quantitative terms (volumes, risk, return and related dynamics).These indications, which are prudential and consistent with operating activities, have made it possible to optimise the asset allocation of the loan portfolio, in compliance with current legislation.
Specific instructions have also been provided on lending activity developed directly or through the Group's product companies, having regard for the intrinsic characteristics of the products distributed (leasing, factoring, personal loans and lending-against-salary) and their lower risk profile compared with similar banking transactions.
Finally, to confirm its proximity to the territory, the BPER Banca Group continued to participate in ABI initiatives in favour of SMEs ("2015 lending agreement – Firms returning to growth" extended to 31.12.2018) and Individuals ("Mortgage solidarity fund", "Suspension of household loan repayments", "Guarantee fund for the first home" ended on 31.07.2018), while also guaranteeing support for areas hit by natural disasters via the suspension of loan repayments, as envisaged by law.

2. Credit risk management policies

The lending policy of the Group pursues the aim of carefully selecting counterparties through an analysis of their creditworthiness, including the use of well-established tools such as the rating system, having regard for the achievement of commercial and support objectives.
In view of the Group's strategic objectives and operations, the general risk management strategy is to accept a moderate level of risk involving:

- the assessment of the current and prospective creditworthiness of counterparties;
- the diversification of the portfolio, limiting the concentration of exposures towards individual counterparties and sectors of economic activity.

2.1 Organisational aspects

The Group's credit risk management model has the following objectives:

- apply the instructions issued by the Supervisory Authorities, while taking account of the Group's specific operating characteristics;
- ensure that credit risk is managed appropriately by each bank and at a consolidated level.

These objectives are achieved via the segregation of responsibilities and duties between the bodies that manage credit risk and those with a control function.
The following elements underpin work to manage and control the exposure to credit risk:

- independence of the function responsible for the measurement of credit risk with respect to the various business functions;
- clear definition of delegated powers and the resulting structure of limits imposed by the Board of Directors of the Parent Company;
- coordination by the Parent Company of credit risk management processes, while leaving individual companies with operational autonomy for the management of credit risk;
- consistent application of measurement models throughout the Group, in line with international best practice;
- transparent methodology and measurement criteria to facilitate understanding of the risk measures adopted;
- performance of periodic stress tests which use endogenous and exogenous shock scenarios to provide deterministic and/or probability-based indicators of risk.

2.2 Systems for managing, measuring and monitoring

The management of risk involves applying a system of methodologies and approaches for the ongoing measurement and/or assessment of risk. This system helps to guide operational decisions and quantify the level of capital required by the Group in order to cover the risks that have been accepted. Each Bank analyses the various components of credit risk and identifies the exposure associated with the loan portfolio using suitable measurement methodologies. In particular, the Bank uses many tools to measure and monitor credit risk in relation to both performing and non-performing loans.
As part of its policies for managing loans to customers, the Group has adopted rules and processes for monitoring relationships, which have involved, among other things, a complex activity of classifying them into homogeneous risk categories. In particular, on the basis of "rating" and "early warning" systems, the

Group has analysed performing loans to customers valued at amortised cost and identified those most at risk.
The characteristics of the rating models developed by the Parent Company for the calculation of PD (Probability of default: i.e. the probability that the borrower will not be able to meet their commitments) depend on the risk segment to which the counterparty belongs, the amount of the exposure and the stage in the lending process at which they are applied (initial payout or monitoring). The classifications are represented by 13 classes of merit differentiated by risk segment. All of the Parent Company's systems share a number of common characteristics:

- the rating is determined with reference to the specific counterparty;
- the rating systems are established with reference to the loan portfolio of the BPER Banca group (the rating is unique for each counterparty, even if shared by several banks in the Group);
- the models process internal performance information derived from reports issued by the central risk database, as well as financial information in the case of businesses;
- the models for Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates add a qualitative element to the purely statistical side. The rating allocation process for these segments also allows the account manager to activate an override process i.e. to request an exception to the quantitative rating based on true and documented information not processed by the model. The requested exception is evaluated by a central function that operates at Group level;
- to support risk analysis in the Large Corporate, Holding and Financial Companies segment, another component was added to the model to take into account whether counterparties belong to a group;
- the Probability of Default is calibrated with reference to regulatory anomalies, which include past due amounts;
- the time series used in order to develop and calibrate the models cover a broad time horizon, consistent with the requirements of current regulations;
- the ratings are analysed and reviewed at least once each year; the Bank has also defined a process for the monitoring of each rating, causing the rating to lapse if it no longer represents the true risk profile of the counterparty and there are signs of deterioration in the quality of the related lending;
- use is made of a rating calculation model for counterparties acting as guarantors for individuals, aimed at the quantification and measurement of credit risk attributable to private counterparties that provide personal guarantees to BPER Banca Group's customers.

Determination of the final rating depends on the type of counterparty. In particular, the rating allocation process involves a level of investigation that is proportional to the complexity/scale of the counterparty under review: a more complex and sophisticated structure is foreseen for medium-large businesses (Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates), which are fewer but with larger average exposures, while there is a simpler structure for Retail customers (Retail SMEs, Individuals and Small Businesses), which are more numerous, but with lower exposures.

The estimation of LGD (Loss Given Default: representing the extent of the loss expected to occur on default of the borrower, dependent on type of exposure to the counterparty) is based on information on the borrower (segment, geographical area, internal administrative status), the product (technical form, size of exposure), and the presence, type and coverage of guarantees. LGD estimation includes the impact of the recession phase in the economic cycle (downturn LGD).

In terms of the management and development of the internal rating system, the principal activities during the 2018 included:

- update of the LGD (Loss Given Default) model;
- recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties;
- the activities envisaged in the roll-out plan for the various internal methodologies;
- activities to adapt internal models to the New Definition of Default;
- recalibration of the risk models to IFRS 9;
- performance of activities linked to TRIM (Targeted Review of Internal Models)

In addition to indicating the principles of governance, assumption and management of credit risk, the Group Credit Risk Governance Policy defines the BPER Group's credit risk appetite. For this purpose, the policy provides for a new system of credit risk exposure limits, establishing supervisory thresholds that have to be monitored periodically. The document also explains the principles for calculating analytical and collective loan loss provisions and for the classification of loans by status.

In order to manage credit risk, the Group has developed a system of credit limits designed to regulate the lending process, together with a system for authorisations that takes account of the riskiness of the customer and/or the transaction, consistent with the risk evaluation systems adopted. This system ensures compliance with the principle that the level of authorisation be consistent with the riskiness of the transaction, envisaging that the limits on decision making are established with reference to one or more aspects of the specific counterparty and transaction risk (in particular counterparty rating, expected loss, amount of the facility).

The internal rating system's risk measures are used for management reporting purposes; in particular:

- a Credit Risk Book is prepared on a quarterly basis and is an essential tool for the Risk Committee. This is the basic information support for the Risk Committee and contains detailed reports on credit risk at consolidated and individual level (distribution of the portfolio by type and rating classes, dynamics of risk parameters and expected loss, transition matrices, dynamics of general and analytical provisions and decay rates), with differentiated analyses for risk and management segments and geographical area;
- a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit risk.

A network reporting tool is also available, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.
Lastly, following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the June 2016 Regulatory Reports, the BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- "Exposures to retail businesses";
- "Exposure to companies".

The other Group companies and asset classes for which Permanent Partial Use (PPU) is not required or which are not included in the roll-out plan, the BPER Banca Group will continue to use the Standardised Approach and the external ratings supplied by the ECAIs (external agencies for the assessment of creditworthiness) recognised by the Supervisory Authority. In particular, the Group used the Cerved

Rating for "Exposures to companies," the Scope Ratings AG Rating for "Exposures to central administrations or central banks", the Fitch Rating for "Financial Instruments" lodged in guarantee, "Exposures to UCITS" and "Exposures to securitisation".

In order to optimise the process of monitoring customers, the Parent Company made some refinements to an early warning model, which is capable of analysing performing loans by level of risk, with a view to suggesting timely action to be taken by the responsible functions.
The model was developed using methodology that responds to two key needs in the process of managing performing counterparties:

- the need to identify as a first step those counterparties that, for the sake of prudence, should be monitored actively in order to avoid a deterioration in their position, or to implement actions that will improve the counterparty's risk profile or contain possible future losses;
- the need to define processes for observing these positions, determining the priorities and the rules for monitoring them, in order to optimise the organisational effort of the account managers and the results of such action.

2.3 Methods for measuring expected losses

The ECL model for calculating expected credit losses is based on the risk parameters estimated for regulatory purposes, whose main characteristics were described in the previous paragraphs, appropriately modified to ensure that they fully comply with IFRS 9. Information on impairment models and related risk parameters is presented in Part A of the Explanatory Notes, to which reference should be made.

2.4 Credit risk mitigation techniques

Mitigation techniques are an important tool for reducing or transferring part of the credit risk associated with the portfolio of exposure. Consistent with the low propensity to accept risk that characterises operations, the Group seeks to mitigate credit risk, in particular, by obtaining and managing secured and unsecured guarantees. For this purpose, the Group has prepared suitable IT procedures and systems for managing mortgages and financial guarantees in compliance with prudent supervisory requirements, as well as appropriate internal regulations for managing the life-cycles of the other tangible security obtained.

The secured guarantees obtained by the Group generally comprise mortgages on residential and non-residential property, as part of retail lending and, to a lesser extent, loans to Corporate customers, as well as pledges on securities, receivables and cash. An internal procedure developed over a number of years gathers information in an organised fashion on the property assets of borrowers and on the properties given in guarantee. As a guarantee of both performing and non-performing positions, properties are periodically revalued and updated with new appraisals or indexed revaluations based on the statistical databases of a primary operator in the sector. A dedicated procedure is used to check every month whether a new appraisal or index-based revaluation is needed, in compliance with the Guidelines for banks on non-performing loans (NPL) and the CRR (EU Reg. 575/2013). An internal function covering the entire banking group has been established to supervise this process and monitor constantly the value obtained to cover exposures, as required by the new regulations. The Group also has a new appraisal

management system that automatically directs requests to providers according to the rules consistent with the relevant legislation. The same application monitors the state of the appraisals in progress and acts as a historical archive that preserves the previous assessments in digital format with all the accompanying documents.
Likewise, the collateral represented by financial instruments is managed within a procedure that updates the fair value on the basis of market trends.

The principal types of unsecured guarantees consist of "specific guarantees" and "restricted omnibus guarantees", mainly given by entrepreneurs in favour of their companies and by parent companies in favour of their subsidiaries in the form of binding letters of patronage. Guarantees granted by various guarantee consortiums in favour of their members firms are becoming more significant, as well as guarantees granted by third party institutions, such as SACE; MCC (Guarantee Fund for SMEs); EIF (European Investment Fund); Guarantee Fund for the First Home, B.E.I (Life for Energy) also subject to periodic monitoring.

3. Non-performing exposures

3.1. Strategies and management policies

The BPER Banca Group has identified among the “strategic development” levers the management of the Non-Performing Exposures (NPE) portfolio, already approving the following guidelines at the beginning of 2018:

- the 2018-2022 NPE Plan, subject to analysis and sharing by the NPE Committee on 23 March 2018;
- the 2018-2020 NPE Strategy, subject to approval by the Board of Directors on 27 March 2018 and subsequent submission to the ECB on 30 March 2018.

More specifically, the 2018-2020 NPE Strategy has identified the objective of significantly reducing the portfolio of non-performing loans, also based on the recommendations made by the European Supervisory Authority. These would be implemented by strengthening internal recovery measures, as better explained below, but also through the use of mass sales on the NPE market. Once the strategy was defined, the 2018-2022 NPE Plan was developed, envisaging a total amount of gross NPE sales by the Group of Euro 4.5 billion.
The revision of the models for valuing non-performing loans required by IFRS 9 and, above all, the execution of important “package” sales and securitisations in 2018, led to a significant decrease in the net NPE ratio, which already came to 6.81% at the end of 2018.
Therefore, at the same Group perimeter, we confirm the objective for reducing the stock of NPEs over a three-year period by more than 40% of the levels recorded at the end of 2017, reaching a gross and net ratio put respectively at around 11.5% and 5.5% in 2020, with the forecast to fall below the thresholds of 10% and 5% in 2021.
For more details on the sales transactions and the overall NPE strategy, please refer to the chapter on Strategic Transactions in the Directors' Report on Operations.

In relation to the general management aspects of the NPE portfolio, it should be noted that the classification of financial assets within the risk categories envisaged by supervisory regulations is based on the identified risk profile.

The classification of each anomalous position is decided both automatically and by means of an analysis described in an internal regulation that governs in detail the transfer of a counterparty to a certain administrative position when a certain deterioration of its credit quality has occurred.
The classifications of the positions within problem items, when not automatic, takes place on the basis of subjective performance assessments based on monitoring of the credit chain. The tools that we have available make it possible to identify on a timely basis any signs of deterioration in risk relationships, allowing punctual analysis of the credit worthiness and classification of the position to the correct category of risk.

The following are some of the interventions developed at Banking Group level, which contributed to better processing of anomalous and non-performing loans, particularly in 2018.

- Organisation and governance:
    a) the structure of the Anomalous Loan department (and of BPER Credit Management - BCM) have been redesigned and reorganised, following the guidelines of the NPL Guidance. The recommended route is that of specialisation by segment, which is considered the best way to recover more and faster. The whole process has therefore been divided into specialised structures: Restructuring with a central team and in various areas of Italy focused on the Corporate segment (it mainly deals with debt restructuring such as voluntary plans, bankruptcy law plans, forbearance agreements),real estate with a team in Milan specialising in the construction/real estate sector, development with a central team and distributed in various areas, Minor positions with a central team and one in Sardinia specialized in the recovery of modest exposure positions. This anomalous credit organizational model was replicated on all the banks of the group, except for the Minor Positions, which operates centrally for all the legal entities.

       This structural activity, combined with process and procedure changes, had as its objective both the care of default stock and the reduction of entry flows to non-performing loans.
    b) On BCM, where management and recovery specialisation segmented by portfolio assets (both corporate and retail, rather than centralised or outsourced recovery) completely changed the Group's approach to bad loans.
    c) Another organisational measure concerns the marked subdivision of the credit chains dedicated to the granting of loans from the commercial ones, dedicated to their sale. The reorganisation was aimed at minimising transfers to default, thanks to greater independence in credit approvals, without the involvement of the budget or incentive systems to increase volumes.

- Processes and procedures acting on the Anomalous Loan: anomalous loan management and monitoring processes have been adapted, with the introduction of procedures that have been further developed and improved over the last three years, such as:
    a) a new Early Warning model, with the development over time of 5 dedicated fault detection engines per customer segment (e.g.: corporate, private, small business, construction and real estate, financial and PA). The optimisation of anomaly detection, particularly with the inclusion of anticipatory pre-anomalies of the classification in IFRS 9 Stage 2 and the inclusion of triggers dictated by the NPL Guidance.
    b) Electronic Dossier Management, optimised over time with the inclusion of new management measures and new information available to the manager to better understand the potential evolution of the position, with targeted links to other procedures;

   c) development of credit recovery on minor positions of an external collection system, with phone collection and home collection cycles, as well as a central office that ultimately oversaw internal recovery before any transfer to bad loans;
   d) a much more precise and targeted monitoring system on the performance of individual structures and not only on the quality of the overall portfolio;
   e) more extensive use of the forbearance tool, use of sustainability tools and monitoring of the effectiveness of the agreed measures;
   f) greater use of write-offs, especially for Minor Positions (an instrument that in any case is used in an extremely prudent way).

- Processes and procedures concerning the Granting of loans, so as to strengthen the decision-making system and prevent potential deterioration already at the time of granting:
   a) development of more punctual credit policies, characterised by indications of asset allocation based on risk/return/capital absorption indicators. These indications, valid for each individual counterparty, have been included in the Electronic Credit Dossier procedure, therefore visible to the proposer and to the decision maker. In this way the quality of the performing portfolio has improved over the years, shifting its concentration towards the best rating classes;
   b) strengthening of the preliminary investigation of top management dossiers, with the introduction of a much more complete set of information, similar to structured finance transactions, strengthening the functions delegated this task;
   c) a much more precise monitoring system also for Granting, the timing of approvals, as well as the quality of the approved portfolio.

- Incentive systems: credit quality objectives have been allocated to the network and to the central office/top management teams aimed at the activities of the individual functions so that there would be a mixture of complementary skills involved in the results.

- Lending training cycles segmented by function: aimed at the management functions involved in recovery, restructuring and real estate; general instead to illustrate the mechanisms of the NPL Guidance also to the network and not only to the central structures, obviously with strategic management instructions to follow.

The consistency of the classification of a position in the right risk category, with respect to internal rules and Bank of Italy regulations, is also ensured by second-level checks that, by applying a suitable method, verify not only that classifications are correct, but also the adequacy of provisions, the presence of first-level controls and the effectiveness of recovery processes, so as to ensure strong supervision throughout the entire credit chain. The improvement in the risk profile of counterparties leads to a transfer to better internal classifications and may result in a return to "performing" status.
With regard to the cycle for the management of non-performing exposures, macro strategies are envisaged within the Group, which will assume specific methods depending on the type of debtor, how critical the anomalies are and an assessment of the entire perimeter of the debtor's exposures and of any related parties.
The resolution approving the management strategy envisages a system of increasing delegated powers, consistent with the powers of classification and the estimate of value adjustments, also with the intervention of specialist units competent in the various phases of the relationship, and with different degrees of centralisation of decision-making skills in relationship management.
The main strategies that can be followed are:

- management of arrears/overdrafts, also through outsourcing;
- reshaping of the credit line and/or guarantee framework;
- granting of forbearance measures;
- waiver of loan (with or without debt forgiveness);
- transfer of loan to third parties;
- repossession of the asset.

3.2 Write-off

In general, and in line with the relevant legislation, the elimination of the loan from the financial statements must be carried out when:

- there is no reasonable prospect of recovery as a result of facts of any nature that make it impossible for the customer to fully meet their obligations ("write-off"), or
- the certainty of a loss materialises (for example, because of definitive legal events).

The assessment and proposal of write-offs, foreseen exclusively for the positions classified as "unlikely-to-pay" and "bad" loans according to certain events, must be adequately motivated and documented. In line with the recommendations of the supervisory authority, in cases of non-recoverability of the loan, it is best to write off a loan as soon as its non-recoverability has been ascertained.
In line with the reference guidelines:

- cancellation of a financial asset in its entirety or in part constitutes an accounting elimination (or "derecognition") and the cancelled amount cannot be subject to write-backs. Cancellations should not be reinstated and where cash flows or other assets are recovered as a last resort, their amount should be recognised as income in the income statement;
- cancellation can take place before legal action against the debtor for the recovery of the loan has been definitively concluded;
- cancellation, in itself, does not necessarily imply renunciation by the Bank of the legal right to recover the loan. The Bank's decision to waive this right is known as "debt forgiveness". Detailed evidence of cancellations of NPLs at portfolio level is kept, as well as information on financial assets that are subject to execution measures, even if derecognised from the financial statements.

3.3 Purchased or originated impaired financial assets

If a credit exposure classified in caption 30 "Financial assets measured at fair value through other comprehensive income" or in caption 40 "Financial assets measured at amortised cost" at the time of initial recognition becomes impaired, it is identified as "Purchased or Originated Credit Impaired - POCI".
By convention, POCI financial assets are classified in Stage 3 on initial recognition.
Should these assets become performing, following an improvement in the creditworthiness of the counterparty, they are reclassified to Stage 2.
They can never be classified in Stage 1, as the expected credit loss must always be calculated over the residual duration.

The BPER Banca Group identifies as " Purchased or originated impaired financial assets":

- exposures already impaired at the time of purchase, also as part of business combinations;

- exposures originated as part of restructuring transactions of impaired exposures that led to the disbursement of new finance, or introduced substantial changes to the original contractual conditions.

4. Financial assets involved in commercial renegotiations and forborne exposures

The BPER Banca Group adopts the definition of "Forbearance Measure" of the Implementing Regulation EU 227/2015.
Measures of forbearance, or "tolerance", consist of concessions to a debtor who is or is about to find themselves in difficulty in meeting their financial commitments (i.e. in financial difficulty). The exposures subject to forbearance measures are identified as forborne.
"Forbearance" means facilitating measures in favour of the customer which can be summarised in the following categories:

- “Changes”, made to the terms and conditions of a loan agreement due to the debtor's inability to perform financially in the commitments assumed previously;
- Total or partial "refinancing" of the debt, in the event of a new financing that is not marginal with respect to the cash flows committed.

An intrinsic characteristic of forbearance is the state of financial difficulty of the debtor: it is based on an overall assessment of the debtor for which the rating is one of the elements to be considered.
The Group adopts standardised solutions and decision-making diagrams in order to apply efficient and effective debt rescheduling solutions, based on customer characteristics and type of exposure, which constitute one of the Group's strategies for reducing non-performing exposures.
The forbearance measures are divided, depending on the time horizon over which they extend, into:

- short-term forbearance measures, or temporary changes in the reimbursement conditions, aimed at facing short-term financial difficulties, which do not address the resolution of arrears in existing amounts and have a duration of less than 24 months;
- long-term forbearance measures, or changes in the reimbursement conditions aimed at definitively resolving the debtor's financial difficulty, even resolving any situations of overdue or past-due amounts, and lasting more than 24 months (also in combination with short-term measures).

Forbearance does not constitute an administrative status, but in the cases envisaged by current legislation, it may lead to a change in the counterparty's classification (providing for a transfer to non-performing).
Once the debtor's financial difficulty has been established, the conditions for classification as an unlikely-to-pay position must also be verified when the measure is granted.
Not all contractual changes in favour of the customer ("concessions") give rise to forborne exposures, but only if there are also elements of financial difficulty. In their absence, the concessions are configured as transactions for merely commercial purposes.

Quantitative information

A. Credit quality

A.1 Exposures to non-performing loans and performing loans: amounts, adjustments, trends and distribution

A.1.1 Prudential consolidation - Breakdown of financial assets by past-due buckets (book values)

Portofolios/risk stages		First stage			Second stage			Third stage		
		From 1 day to 30 days	Over 30 days to 90 days	Over 90 days	From 1 day to 30 days	Over 30 days to 90 days	Over 90 days	From 1 day to 30 days	Over 30 days to 90 days	Over 90 days
1. Financial assets measured at amortised cost		181,728	77,132	868	179,597	161,365	100,348	57,287	72,280	2,391,807
2. Financial assets measured at fair value through other comprehensive income		-	-	-	-	-	-	-	-	18
Total	**31.12.2018**	**181,728**	**77,132**	**868**	**179,597**	**161,365**	**100,348**	**57,287**	**72,280**	**2,391,825**
Total	**31.12.2017**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**

The table does not show figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date.

A.1.2 Prudential consolidation - Financial assets, commitments to distribute funds and financial guarantees granted: changes in total impairment provisions

Reasons/risk stages	Total impairment provisions							
	First stage activities				Second stage activities			
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	of which: individual impairment losses	of which: collective impairment losses	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	of which: individual impairment losses	of which: collective impairment losses
Opening balance	**100,117**	**6,065**	**-**	**106,182**	**120,364**	**847**	**-**	**121,211**
Increases in purchased or originated financial assets	-	-	-	-	-	-	-	-
Derecognitions other than write-offs	(54)	(73)	-	(127)	(63)	-	-	(63)
Net impairment losses for credit risk (+/-)	1,700	(1,564)	-	136	(50,342)	(374)	-	(50,716)
Contractual modifications without derecognitions	-	-	-	-	-	-	-	-
Changes in the estimation methodology	-	-	-	-	-	-	-	-
Write-off	(1)	-	-	(1)	(1)	-	-	(1)
Other changes	(1)	(8)	-	(9)	(396)	-	-	(396)
Closing balance	**101,761**	**4,420**	**-**	**106,181**	**69,562**	**473**	**-**	**70,035**
Recoveries from financial assets subject to write-off	-	-	-	-	-	-	-	-
Write-offs recorded directly through profit or loss	-	-	-	-	-	-	-	-

A.1.2 Prudential consolidation - Financial assets, commitments to distribute funds and financial guarantees granted: changes in total impairment provisions

(cont.)

Reasons/risk stages	Total impairment provisions					Total impairment provisions on commitments to distribute funds and financial guarantees granted			Total
	Third stage activities				Of which: purchased or originated impaired financial assets				
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	of which: individual impairment losses	of which: collective impairment losses		First stage	Second stage	Third stage	
Opening balance	6,276,641	8	6,276,649	-	-	4,865	8,121	57,138	**6,574,166**
Increases in purchased or originated financial assets	-	-	-	-	-	-	-	-	**-**
Derecognitions other than write-offs	(1,962,516)	-	(1,962,516)	-	-	(19)	(10)	-	**(1,962,735)**
Net impairment losses for credit risk (+/-)	32,495	(8)	32,487	-	-	4,383	878	(21,232)	**(34,064)**
Contractual modifications without derecognitions	-	-	-	-	-	-	-	-	**-**
Changes in the estimation methodology	-	-	-	-	-	-	-	-	**-**
Write-off	(189,799)	-	(189,799)	-	-	-	-	-	**(189,801)**
Other changes	(315,821)	-	(315,821)	-	-	-	-	-	**(316,226)**
Closing balance	**3,841,000**	**-**	**3,841,000**	**-**	**-**	**9,229**	**8,989**	**35,906**	**4,071,340**
Recoveries from financial assets subject to write-off	7,049	-	7,049	-	-	866	278	242	**8,435**
Write-offs recorded directly through profit or loss	(61,710)	-	(61,710)	-	-	-	-	-	**(61,710)**

The caption "Other changes" includes the cancellation of default interest of € 303,582 thousand.

A.1.3 Prudential Consolidation - Financial assets, commitments to distribute funds and financial guarantees granted: transfers between different credit risk stages (gross and nominal values)

Portofolios/risk stages		Gross values/Nominal values					
		Transfers between first stage and second stage		Transfers between second stage and thirth stage		Transfer between first stage and thirth stage	
		From first stage to second stage	From second stage to first stage	From second stage to third stage	From thirth stage to second stage	From first stage to thirth stage	From thirth stage to first stage
1. Financial assets measured at amortised cost		1,812,757	2,476,143	417,456	129,576	276,367	29,722
2. Financial assets measured at fair value through other comprehensive income		64,876	354,260	-	-	-	-
3. Commitments to distribute funds and financial guarantees granted		767,180	1,587,839	100,678	16,198	44,347	3,445
Total	**31.12.2018**	**2,644,813**	**4,418,242**	**518,134**	**145,774**	**320,714**	**33,167**
Total	**31.12.2017**	**-**	**-**	**-**	**-**	**-**	**-**

The table does not show figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date.

A.1.4 Prudential consolidation - Cash and off-balance sheet exposures to banks: gross and net values

Type of exposures/amounts	Gross exposure		Total impairment provisions	Net Exposure	Total partial write-off
	Non-performing	Performing			
A. Cash exposures					
a) Bad loans	-	X	-	-	-
- of wich: forborne exposures	-	X	-	-	-
b) Unlikely to pay loans	-	X	-	-	-
- of wich: forborne exposures	-	X	-	-	-
c) Non-performing past due exposures	-	X	-	-	-
- of wich: forborne exposures	-	X	-	-	-
d) Performing past due exposures	X	23	-	23	-
- of wich: forborne exposures	X	-	-	-	-
e) Other performing exposures	X	8,223,873	6,107	8,217,766	-
- of wich: forborne exposures	X	-	-	-	-
Total (A)	**-**	**8,223,896**	**6,107**	**8,217,789**	**-**
B. Off-balance sheet credit exposures					
a) Non-performing	-	X	-	-	-
b) Performing	X	639,073	176	638,897	-
Total (B)	**-**	**639,073**	**176**	**638,897**	**-**
Total (A+B)	**-**	**8,862,969**	**6,283**	**8,856,686**	**-**

A.1.5 Prudential consolidation - Cash and off-balance sheet exposures to customers: gross and net values

Type of exposures/amounts	Gross exposure		Total impairment provisions	Net exposure	Total partial write-off
	Non-performing	Performing			
A. Cash exposures					
a) Bad loans	4,338,178	X	2,889,903	1,448,275	727,371
- of which: forborne exposures	637,797	X	368,055	269,742	80
b) Unlikely to pay loans	2,639,337	X	942,585	1,696,752	-
- of which: forborne exposures	1,424,569	X	483,285	941,284	-
c) Non-performing past due exposures	69,021	X	8,512	60,509	-
- of which: forborne exposures	543	X	68	475	-
d) Performing past due exposures	X	710,376	9,361	701,015	-
- of which: forborne exposures	X	42,334	893	41,441	-
e) Other performing exposures	X	52,918,794	160,748	52,758,046	-
- of which: forborne exposures	X	648,204	11,701	636,503	-
Total (A)	**7,046,536**	**53,629,170**	**4,011,109**	**56,664,597**	**727,371**
B. Off-balance sheet credits exposures					
a) Non performing	424,847	X	36,793	388,054	-
b) Performing	X	19,543,851	15,315	19,528,536	-
Total (B)	**424,847**	**19,543,851**	**52,108**	**19,916,590**	**-**
Total (A+B)	**7,471,383**	**73,173,021**	**4,063,217**	**76,581,187**	**727,371**

Details of impairment losses on an individual and collective basis on performing and non-performing loans are provided below.

	Non-performing assets				Performing assets		
	Gross exposure	Individual impairment provisions - analytical	Individual impairment provisions - automated	Net exposure	Gross exposure	Collective impairment provisions	Net exposure
Cash credit exposures to customers (loans and debt securities)	**7,045,556**	**3,645,377**	**195,623**	**3,204,556**	**49,711,400**	**168,293**	**49,543,107**
Governments and other public entities	6,701	2,936	245	3,520	6,751,639	10,194	6,741,445
- of which: foreign	3,786	1,407	-	2,379	679,000	30	678,970
Financial companies	255,421	142,512	2,660	110,249	4,474,462	10,392	4,464,070
- of which: foreign	46,000	38,161	240	7,599	481,237	400	480,837
Non-financial companies	5,558,443	2,929,725	110,184	2,518,534	22,343,698	101,111	22,242,587
- of which: foreign	37,602	19,607	-	17,995	191,349	593	190,756
Privates and households	1,224,991	570,204	82,534	572,253	16,141,601	46,596	16,095,005
- of which: foreign	4,417	1,845	310	2,262	52,720	124	52,596

The figures in the table above refer to caption 40 b) at 31 December 2018.

A.1.6 Prudential consolidation - Cash credit exposures to banks: changes in gross non-performing exposures

Reasons/Categories	Bad loans	Unlikely to pay loans	Non-performing past due exposures
A. Opening balance (gross amount)	**-**	**58**	**-**
- Sold but not derecognised	-	-	-
B. Increases	**-**	**-**	**-**
B.1 entry from performing exposures	-	-	-
B.2 entry from purchased or originated impaired financial assets	-	-	-
B.3 transfers from other non-performing exposures	-	-	-
B.4 contractual modifications without derecognitions	-	-	-
B.5 other increases	-	-	-
C. Decreases	**-**	**58**	**-**
C.1 transfers to performing exposures	-	-	-
C.2 write-offs	-	-	-
C.3 recoveries	-	58	-
C.4 sales proceeds	-	-	-
C.5 losses on disposals	-	-	-
C.6 transfers to other non-performing exposures	-	-	-
C.7 contractual modifications without derecongitions	-	-	-
C.8 other decreases	-	-	-
D. Closing balance (gross amount)	**-**	**-**	**-**
- Sold but not derecognised	-	-	-

A.1.6bis Prudential consolidation - Cash credit exposures to banks: changes in gross forborne exposures broken down by credit quality

There are no amounts to be disclosed in this section.

A. 1.7 Prudential consolidation – cash credit exposures to customers: change in gross non-performing exposures

Reasons/Categories	Bad loans	Unlikely to pay loans	Non-perfomring past due exposures
A. Opening balance (gross amount)	**7,109,151**	**3,318,267**	**104,264**
- Sold but not derecognised	-	-	-
B. Increases	**1,009,950**	**1,196,146**	**87,130**
B.1 entry from performing exposures	73,828	677,163	69,906
B.2 entry from purchased or originated impaired financial assets	-	-	-
B.3 transfers from other non-performing exposures	779,935	50,659	1,245
B.4 contractual modifications without derecognitions	-	-	-
B.5 other increases	156,187	468,324	15,979
C. Decreases	**3,780,923**	**1,875,076**	**122,373**
C.1 transfers to performing exposures	2,684	303,402	27,075
C.2 write-offs	204,985	49,629	225
C.3 recoveries	241,571	678,848	21,989
C.4 sales proceeds	954,052	14,557	1,094
C.5 losses on disposals	89,525	408	-
C.6 transfers to other non-performing exposures	-	761,794	70,045
C.7 contractual modifications without derecognitions	-	-	-
C.8 other decreases	2,288,106	66,438	1,945
D. Closing balance (gross amounts)	**4,338,178**	**2,639,337**	**69,021**
- Sold but not derecognised	-	-	-

The caption "other decreases" includes € 303,582 thousand relating to the cancellation of default interest and € 2,025,169 thousand relating to the gross amount of the exposures sold exceeding the sum of the realisable value and the loss on disposal (of which Aqui € 1,235,852 thousand, 4 Mori € 641,566 thousand, Cream II € 24,291 thousand).

A.1.7bis Prudential consolidation - Cash credit exposure to customers: change in gross forborne exposures broken down by credit quality

Reasons/Quality	Forborne exposures: non-performing	Forborne exposures: performing
A. Opening balance (gross amount)	**2,593,742**	**845,166**
- Sold but not derecognised	-	-
B. Increases	**809,376**	**465,118**
B.1 Transfers from non-forborne performing exposures	205,558	245,963
B.2. Transfers from forborne performing exposures	143,742	X
B.3. Transfers from non-performing forborne exposures	X	96,450
B.4 other increases	460,076	122,705
C. Decreases	**1,340,209**	**619,746**
C.1 Transfers to non-forborne performing exposures	-	270,050
C.2 Transfers to forborne performing exposures	96,450	-
C.3 transfers to non-performing forborne exposures	X	143,742
C.4 write-offs	41,138	-
C.5 recoveries	613,578	201,736
C.6 sales proceeds	180,170	-
C.7 losses on disposals	4,509	-
C.8 other decreases	404,364	4,218
D. Closing balance (gross amount)	**2,062,909**	**690,538**
- Sold but not derecognised	-	-

The caption "other decreases" includes the cancellation of default interest.

A. 1.8 Prudential consolidation – Non-performing cash credit exposures to banks: change in total impairment provisions

Reasons/Categories	Bad loans		Unlikely to pay loans		Non-performing past due exposures	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Opening balance (total impairment	-	-	11	-	-	-
- Sold but not derecognised	-	-	-	-	-	-
B. Increases	-	-	-	-	-	-
B. 1 impairment losses on purchased or originated assets	-	X	-	X	-	X
B. 2 other value adjustments	-	-	-	-	-	-
B.3 losses on disposal	-	-	-	-	-	-
B.4 transfer from other non-performing exposure	-	-	-	-	-	-
B. 5 contractual modifications without derecognitions	-	X	-	X	-	X
B.6 other increases	-	-	-	-	-	-
C. Reductions	-	-	11	-	-	-
C.1 write-backs from assessments	-	-	-	-	-	-
C.2 write-backs from recoveries	-	-	11	-	-	-
C.3 gains on disposal	-	-	-	-	-	-
C.4 write-offs	-	-	-	-	-	-
C.5 transfers to other non-performing exposures	-	-	-	-	-	-
C. 6 contractual modifications without derecognitions	-	X	-	X	-	X
C.7 other decreases	-	-	-	-	-	-
D. Closing balance (total impairment	-	-	-	-	-	-
- Sold but not derecognised	-	-	-	-	-	-

A.1.9 Prudential consolidation - Non-performing cash credit exposures to customers: change in total impairment provisions

Reasons/Categories	Bad loans		Unlikely to pay loans		Non-performing past due exposures	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Opening balance (total impairment	**4,789,677**	**532,448**	**1,472,286**	**705,088**	**14,686**	**499**
- Sold but not derecognised	-	-	-	-	-	-
B. Increases	**1,123,199**	**382,981**	**321,741**	**216,498**	**9,700**	**50**
B.1 impairment losses on purchased or originated assets	-	X	-	X	-	X
B. 2 other value adjustments	478,915	89,084	312,833	203,113	6,067	46
B.3 losses on disposal	89,525	4,101	408	408	-	-
B.4 transfer from other non-performing exposures	533,752	286,271	5,967	731	400	4
B. 5 contractual modifications without derecognitions	-	X	-	X	-	X
B.6 other increases	21,007	3,525	2,533	12,246	3,233	-
C. Decreases	**3,022,973**	**547,374**	**851,442**	**438,301**	**15,874**	**481**
C.1 write-backs from assessment	320,391	34,817	158,657	59,677	4,102	15
C.2 write-backs from recoveries	63,653	28,281	64,526	58,868	3,141	23
C.3 gains on disposal	5,691	-	2,364	-	-	-
C.4 write-offs	204,985	27,661	49,629	13,477	225	-
C.5 transfers to other non-performing exposures	-	345	531,878	286,257	8,241	404
C. 6 contractual modifications without derecongitions	-	X	-	X	-	X
C.7 other decreases	2,428,253	456,270	44,388	20,022	165	39
D. Closing balance (total impairment	**2,889,903**	**368,055**	**942,585**	**483,285**	**8,512**	**68**
- Sold but not derecognised	-	-	-	-	-	-

The caption "Other decreases" includes the cancellation of default interest of € 303,582 thousand

A.2 Classification of exposures based on external and internal ratings

A.2.1 Prudential consolidation - Breakdown of financial assets, commitments to distribute funds and financial guarantees granted by external rating classes (gross amounts)

Exposures	External rating classes						Unrated	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
A. Financial assets measured at amortised cost	1,353,523	1,840,418	4,616,150	1,260,668	142,038	162,141	50,691,727	60,066,665
- First stage	1,308,608	1,428,113	4,498,685	888,018	49,824	14,594	38,487,219	46,675,061
- Second stage	44,915	411,664	117,404	334,911	63,902	6,625	5,366,628	6,346,049
- Third stage	-	641	61	37,739	28,312	140,922	6,837,880	7,045,555
B. Financial assets measured at fair value through other comprehensive income	2,971,770	1,236,160	2,313,950	24,111	12,881	-	1,733,154	8,292,026
- First stage	2,815,614	1,083,501	2,204,511	12,078	-	-	1,704,419	7,820,123
- Second stage	156,156	152,659	109,439	12,033	12,881	-	28,717	471,885
- Third stage	-	-	-	-	-	-	18	18
Total (A + B)	**4,325,293**	**3,076,578**	**6,930,100**	**1,284,779**	**154,919**	**162,141**	**52,424,881**	**68,358,691**
of which: purchased or originated impaired financial assets	-	-	-	-	-	-	-	-
C. Commitments to distribute funds and financial guarantees granted	181,107	1,369,690	322,384	528,999	21,076	44,682	18,139,833	20,607,771
- First stage	63,617	822,760	241,568	294,950	16,131	99	12,951,956	14,391,081
- Second stage	117,490	546,930	80,816	230,900	1,594	11	4,806,791	5,784,532
- Third stage	-	-	-	3,149	3,351	44,572	381,086	432,158
Total (C)	**181,107**	**1,369,690**	**322,384**	**528,999**	**21,076**	**44,682**	**18,139,833**	**20,607,771**
Total (A + B + C)	**4,506,400**	**4,446,268**	**7,252,484**	**1,813,778**	**175,995**	**206,823**	**70,564,714**	**88,966,462**

The following rating agencies are used: Cerved Group for exposure to companies, Scope Ratings for exposures to central administrations, Fitch Rating and Standard & Poor's for exposures deriving from securitisations.
The rating classes of Scope Ratings, Cerved Group, Fitch Ratings and Standard & Poor's used by the BPER Banca Group have been interpreted with reference to the classes of creditworthiness of the debtors/guarantors according to prudential regulations. The rating agencies used are shown below and there is a reconciliation between the external ratings and the agencies' ratings.

Long-term rating for exposures to companies:

Class of credit merit	Risk weighting coefficients	ECAI Cerved Group
1	20%	A1.1, A1.2, A1.3
2	50%	A2.1, A2.2, A3.1
3	100%	B1.1, B1.2
4	100%	B2.1, B2.2
5	150%	C1.1
6	150%	C1.2, C2.1

Long-term rating for exposures to securitisations:

Class of credit merit	Risk weighting coefficients	ECAI Fitch Ratings
1	20%	da AAA a AA-
2	50%	da A+ a A-
3	100%	da BBB+ a BBB-
4	350%	da BB+ a BB-
5	1250%	inferiori a BB-

Class of credit merit	Risk weighting coefficients	ECAI Scope Ratings
1	20%	da AAA a AA-
2	50%	da A+ a A-
3	100%	da BBB+ a BBB-
4	350%	da BB+ a BB-
5	1250%	inferiori a BB-

Long-term rating for exposures to Public Administrations:

Class of credit merit	Risk weighting coefficients	ECAI Scope Ratings
1	0%	da AAA a AA-
2	20%	da A+ a A-
3	50%	da BBB+ a BBB-
4	100%	da BB+ a BB-
5	100%	da B+ a B-
6	150%	da CCC a D

A.2.2 Prudential consolidation - Breakdown of financial assets, commitments to distribute funds and financial guarantees granted by internal rating classes (gross amounts)

Exposures	Internal rating classes						
	1	2	3	4	5	6	7
A. Financial assets measured at amortised cost	4,915,762	4,694,610	10,334,897	7,592,151	10,285,320	3,442,767	3,570,656
- First stage	4,573,468	4,328,043	9,286,201	6,578,614	9,079,602	2,948,718	3,048,051
- Second stage	342,294	366,567	1,048,696	1,013,537	1,205,718	494,047	522,605
- Third stage	-	-	-	-	-	2	-
B. Financial assets measured at fair value through other comprehensive income	861,089	173,788	682,794	644,532	501,928	630,180	1,550,095
- First stage	838,976	151,101	590,401	606,954	488,620	593,696	1,492,393
- Second stage	22,113	22,687	92,393	37,578	13,290	36,484	57,702
- Third stage	-	-	-	-	18	-	-
Total (A + B)	5,776,851	4,868,398	11,017,691	8,236,683	10,787,248	4,072,947	5,120,751
of which: purchased or originated impaired financial assets	-	-	-	-	-	-	-
C. Commitments to distribute funds and financial guarantees granted	3,479,647	4,081,262	4,030,953	2,930,642	3,282,549	845,876	916,751
- First stage	2,532,661	2,940,122	2,925,732	1,979,213	2,526,525	620,425	717,138
- Second stage	946,986	1,141,140	1,105,221	951,429	756,024	225,451	199,613
- Third stage	-	-	-	-	-	-	-
Total (C)	3,479,647	4,081,262	4,030,953	2,930,642	3,282,549	845,876	916,751
Total (A + B + C)	9,256,498	8,949,660	15,048,644	11,167,325	14,069,797	4,918,823	6,037,502

(cont.)

Exposures	Internal rating classes						Total
	8	9	10	11	12	13	
A. Financial assets measured at amortised cost	1,407,459	4,525,914	545,963	192,214	923,719	193,180	52,624,612
- First stage	1,025,859	4,227,385	302,503	59,818	840,030	26,728	46,325,020
- Second stage	381,600	298,529	243,405	132,396	83,689	166,452	6,299,535
- Third stage	-	-	55	-	-	-	57
B. Financial assets measured at fair value through other comprehensive income	916,595	1,633,792	193,169	-	194,615	4,151	7,986,728
- First stage	840,638	1,605,196	193,169	-	167,595	4,151	7,572,890
- Second stage	75,957	28,596	-	-	27,020	-	413,820
- Third stage	-	-	-	-	-	-	18
Total (A + B)	2,324,054	6,159,706	739,132	192,214	1,118,334	197,331	60,611,340
of which: purchased or originated impaired financial assets	-	-	-	-	-	-	-
C. Commitments to distribute funds and financial guarantees granted	293,270	99,039	58,931	13,699	12,964	24,247	20,069,830
- First stage	150,669	40,010	24,010	7,570	1,397	817	14,466,289
- Second stage	142,601	58,918	34,921	6,129	11,567	23,430	5,603,430
- Third stage	-	111	-	-	-	-	111
Total (C)	293,270	99,039	58,931	13,699	12,964	24,247	20,069,830
Total (A + B + C)	2,617,324	6,258,745	798,063	205,913	1,131,298	221,578	80,681,170

	With internal rating	Unrated	Total
Cash exposures	60,611,340	7,747,351	68,358,691
Off-balance sheet exposures	20,069,830	537,941	20,607,771
Total	**80,681,170**	**8,285,292**	**88,966,462**

On 24 June 2016, the ECB authorised the Group to use the IRB Advanced Method (PD, LGD, EAD parameters) for the quantification of the capital requirement for customers' credit risk from 30 June 2016.

The internal rating classes are shown as they are used in the management of credit risk. The Group's rating system for the valuation of counterparties is divided into a Large Corporate model, a Corporate model and an Individuals model. Creditworthiness classifications are represented by 13 rating classes regarding performing counterparties, differentiated by risk segment, and by a class relating to default. In turn, the 13 rating classes have been grouped into 5 operational classes, which indicate aggregate risk levels:

Operational classes (of risk)	Rating classes
High	10 - 11 - 12 - 13
Significant	8 -9
Average	5 - 6 - 7
Low	3 - 4
Very low	1 - 2

Cash exposures include all the financial assets of the "Financial assets measured at fair value through other comprehensive income" portfolio, with the exception of equities and the "Financial assets measured at amortised cost" portfolio; "off-balance sheet" exposures include all financial transactions other than cash transactions (guarantees granted, commitments, derivatives) that involve the assumption of a credit risk, whatever the purpose of such transactions is (trading, hedging, etc.)

A.3 Breakdown of guaranteed credit exposures by type of guarantee

A.3.1 Prudential consolidation - Guaranteed cash and off-balance sheet credit exposures to banks

	Gross exposure	Net exposure	Collaterals (1)				Personal guarantees (2)	
							Credit derivatives	
								Other derivatives
			Property - mortgages	Property - finance leases	Securities	Other collaterals	CLN	Central counterparties
1. Guaranteed cash credit exposures:	**33,360**	**33,329**	**-**	**-**	**-**	**-**	**-**	**-**
1.1 totally guaranteed	33,360	33,329	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
1.2 partially guaranteed	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**24,690**	**24,651**	**-**	**-**	**-**	**-**	**-**	**-**
2.1 totally guaranteed	16,720	16,694	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
2.2 partially guaranteed	7,970	7,957	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-

A.3.1 Prudential consolidation - Guaranteed cash and off-balance sheet credit exposures to banks

(cont.)

	Personal guarantees (2)							Total (1)+(2)
	Credit derivatives			Endorsement loans				
	Other derivatives							
	Banks	Other financial companies	Other entities	Public Administrations	Banks	Other financial companies	Other entities	
1. Guaranteed cash credit exposures:	**-**	**-**	**-**	**31,835**	**1,494**	**-**	**-**	**33,329**
1.1 totally guaranteed	-	-	-	31,835	1,494	-	-	33,329
- of which non-performing	-	-	-	-	-	-	-	-
1.2 partially guaranteed	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**14,594**	**1,519**	**-**	**6,151**	**22,264**
2.1 totally guaranteed	-	-	-	14,594	1,519	-	581	16,694
- of which non-performing	-	-	-	-	-	-	-	-
2.2 partially guaranteed	-	-	-	-	-	-	5,570	5,570
- of which non-performing	-	-	-	-	-	-	-	-

A.3.2 Prudential consolidation - Guaranteed cash and off-balance sheet credit exposures to customers

	Gross exposure	Net exposures	Collaterals (1)				Personal guarantees (2)	
							Credit derivatives	
								Other derivatives
			Property - mortgages	Property - finance leases	Securities	Other collaterals	CLN	Central counterparties
1. Guaranteed cash credit exposures:	**33,865,386**	**31,249,989**	**18,618,834**	**2,146,113**	**1,003,798**	**1,584,486**	**-**	**-**
1.1 totally secured	30,664,182	28,542,608	18,318,418	2,146,113	724,794	1,505,054	-	-
- of which: impaired	4,483,086	2,489,326	1,710,808	111,958	9,713	272,367	-	-
1.2 partially secured	3,201,204	2,707,381	300,416	-	279,004	79,432	-	-
- of which: impaired	818,803	338,401	174,108	-	5,256	7,215	-	-
2. Guaranteed off-balance sheet credit exposures:	**1,368,089**	**1,344,980**	**3,400**	**-**	**82,318**	**76,388**	**-**	**-**
2.1 totally secured	1,042,321	1,020,264	2,847	-	46,824	54,039	-	-
- of which: impaired	7,991	6,794	394	-	12	216	-	-
2.2. partially guaranteed	325,768	324,716	553	-	35,494	22,349	-	-
- of which: impaired	6,191	5,228	394	-	270	311	-	-

A.3.2 Prudential consolidation - Guaranteed cash and off-balance sheet credit exposures to customers

(cont.)

	Personal guarantees (2)							Total (1)+(2)
	Credit derivatives			Endorsement loans				
	Other derivatives							
	Banks	Other financial companies	Other entities	Public Administrations	Banks	Other financial companies	Other entities	
1. Guaranteed cash credit exposures:	**-**	**-**	**-**	**590,577**	**118,678**	**328,359**	**5,616,809**	**30,007,654**
1.1 totally secured	-	-	-	319,431	110,211	263,523	5,071,173	28,458,717
- of which: impaired	-	-	-	10,637	26,486	29,006	318,566	2,489,541
1.2 partially secured	-	-	-	271,146	8,467	64,836	545,636	1,548,937
- of which: impaired	-	-	-	3,831	-	15,823	52,535	258,768
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**2,629**	**6,486**	**17,358**	**1,105,919**	**1,294,498**
2.1 totally secured	-	-	-	1,439	5,018	16,445	900,710	1,027,322
- of which: impaired	-	-	-	-	-	802	2,132	3,556
2.2. partially guaranteed	-	-	-	1,190	1,468	913	205,209	267,176
- of which: impaired	-	-	-	-	-	-	832	1,807

A.4 Prudential Consolidation - Financial and non-financial assets obtained through the enforcement of guarantees received

There are no amounts to be disclosed in this section.

B. Distribution and concentration of credit exposures

B.1 Prudential consolidation - Breakdown by sector of cash and off-balance sheet credit exposures to customers

Exposures/Counterparties		Public Administrations		Financial companies		Financial companies (of which: insurance companies)	
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A.Cash credit exposures							
A.1 Bad loans		22	79	18,588	83,356	-	-
- of wich: forborne exposures		-	-	1,076	5,265	-	-
A.2 Unlikely to pay loans		3,335	2,894	90,399	61,510	-	-
- of wich: forborne exposures		-	-	75,753	45,709	-	-
A.3 Non-performing past due exposures		163	207	1,262	305	-	-
- of wich: forborne exposures		-	-	-	-	-	-
A.4 Performing exposures		8,938,068	10,904	5,657,237	11,092	90,312	48
- of wich: forborne exposures		-	-	469	6	-	-
Total (A)		**8,941,588**	**14,084**	**5,767,486**	**156,263**	**90,312**	**48**
B. Off-balance sheet credit exposures							
B.1 Non-performing exposures		21,389	6	1,727	94	-	-
B.2 Performing exposures		867,202	1,337	1,481,485	317	46,146	4
Total (B)		**888,591**	**1,343**	**1,483,212**	**411**	**46,146**	**4**
Total (A+B)	**31.12.2018**	**9,830,179**	**15,427**	**7,250,698**	**156,674**	**136,458**	**52**
Total (A+B)	**31.12.2017**	**8,699,445**	**16,110**	**5,135,196**	**167,598**	**94,851**	**9**

B.1 Prudential consolidation - Breakdown by sector of cash and off-balance sheet credit exposures to customers

(cont.)

Exposures/Counterparties		Non-financial companies		Households	
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A.Cash credit exposures					
A.1 Bad loans		1,160,989	2,255,848	268,676	550,620
- of wich: forborne exposures		213,866	274,138	54,800	88,652
A.2 Unlikely to pay loans		1,324,832	780,409	278,186	97,772
- of wich: forborne exposures		734,913	392,482	130,618	45,094
A.3 Non-performing past due exposures		33,665	3,654	25,419	4,346
- of wich: forborne exposures		11	6	464	62
A.4 Performing exposures		22,765,355	101,517	16,098,401	46,596
- of wich: forborne exposures		470,378	9,994	207,097	2,594
Total (A)		**25,284,841**	**3,141,428**	**16,670,682**	**699,334**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures		358,559	35,133	6,379	1,560
B.2 Performing exposures		15,394,611	4,271	1,782,097	9,390
Total (B)		**15,753,170**	**39,404**	**1,788,476**	**10,950**
Total (A+B)	**31.12.2018**	**41,038,011**	**3,180,832**	**18,459,158**	**710,284**
Total (A+B)	**31.12.2017**	**32,953,801**	**4,674,604**	**13,083,324**	**576,925**

B.2 Prudential consolidation - Breakdown by geographical area of cash and off-balance sheet credit exposures to customers

Exposures/Geographical areas	Italy		Other european countries		United States
	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure
A. Cash credit exposures					
A.1 Bad loans	1,439,542	2,843,811	8,687	45,657	45
A.2 Unlikely to pay loans	1,678,662	927,425	14,458	12,881	1,103
A.3 Non-performing past due exposures	57,098	8,192	3,379	308	3
A.4 Performing exposures	49,940,422	167,950	2,551,131	1,524	801,931
Total (A)	**53,115,724**	**3,947,378**	**2,577,655**	**60,370**	**803,082**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures	387,854	36,740	80	53	-
B.2 Performing exposures	19,226,998	15,192	296,451	121	1,419
Total (B)	**19,614,852**	**51,932**	**296,531**	**174**	**1,419**
Total (A+B) 31.12.2018	**72,730,576**	**3,999,310**	**2,874,186**	**60,544**	**804,501**
Total (A+B) 31.12.2017	**56,283,143**	**5,367,247**	**2,235,428**	**64,912**	**1,133,751**

B.2 Prudential consolidation - Breakdown by geographical area of cash and off-balance sheet credit exposures to customers

(cont.)

Exposures/Geographical areas	United States	Asia		Rest of the world	
	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures					
A.1 Bad loans	411	-	9	1	15
A.2 Unlikely to pay loans	816	-	1	2,529	1,462
A.3 Non-performing past due exposures	3	27	7	2	2
A.4 Performing exposures	295	141,120	333	24,457	7
Total (A)	**1,525**	**141,147**	**350**	**26,989**	**1,486**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures	-	-	-	120	-
B.2 Performing exposures	1	456	1	71	-
Total (B)	**1**	**456**	**1**	**191**	**-**
Total (A+B) 31.12.2018	**1,526**	**141,603**	**351**	**27,180**	**1,486**
Total (A+B) 31.12.2017	**2,277**	**153,557**	**666**	**65,887**	**135**

B. 2 Prudential Consolidated – Breakdown by geographical area of cash and off-balance sheet credit exposures to customers

Exposures/Geographical areas		North West Italy		North East Italy		Centre Italy		South Italy and Islands	
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures									
A.1 Bad loans		160,844	367,224	424,389	1,003,705	120,241	310,148	734,068	1,162,734
A.2 Unlikely to pay loans		183,759	82,313	619,960	403,207	283,438	189,004	591,505	252,901
A.3 Non-performing past due exposures		11,430	1,215	8,545	1,199	9,709	984	27,414	4,794
A.4 Performing exposures		7,085,635	22,118	18,038,828	38,443	11,941,011	20,927	12,874,948	86,462
Total (A)		**7,441,668**	**472,870**	**19,091,722**	**1,446,554**	**12,354,399**	**521,063**	**14,227,935**	**1,506,891**
B. Off-balance sheet credit exposures									
B. 1 Non-performing exposures		21,515	1,318	247,328	24,128	55,790	5,802	63,221	5,492
B. 2 Performing exposures		3,467,982	1,310	9,090,854	10,029	2,534,166	685	4,133,996	3,168
Total (B)		3,489,497	2,628	9,338,182	34,157	2,589,956	6,487	4,197,217	8,660
Total (A+B)	**31.12.2018**	**10,931,165**	**475,498**	**28,429,904**	**1,480,711**	**14,944,355**	**527,550**	**18,425,152**	**1,515,551**
Total (A+B)	**31.12.2017**	**8,048,149**	**636,651**	**20,140,716**	**1,784,133**	**12,743,704**	**712,274**	**15,350,574**	**2,234,189**

B.3 Prudential consolidation – Breakdown by geographical area of cash and off-balance sheet credit exposures to banks

Exposures/Geographical areas		Italy		Other european countries		United States
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure
A. Cash credit exposures						
A.1 Bad loans		-	-	-	-	-
A.2 Unlikely to pay loans		-	-	-	-	-
A.3 Non-performing past due exposures		-	-	-	-	-
A.4 Performing exposures		2,203,744	2,927	4,866,704	2,994	210,082
Total (A)		**2,203,744**	**2,927**	**4,866,704**	**2,994**	**210,082**
B. Off-balance sheet credit exposures						
B.1 Non-performing exposures		-	-	-	-	-
B.2 Performing exposures		69,948	13	253,874	61	54,580
Total (B)		**69,948**	**13**	**253,874**	**61**	**54,580**
Total (A+B)	**31.12.2018**	**2,273,692**	**2,940**	**5,120,578**	**3,055**	**264,662**
Total (A+B)	**31.12.2017**	**3,514,899**	**11**	**4,090,241**	**-**	**449,275**

B.3 Prudential consolidation – Breakdown by geographical area of cash and off-balance sheet credit exposures to banks

(cont.)

Exposures/Geographical areas	United States	Asia		Rest of the world	
	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures					
A.1 Bad loans	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-
A.3 Non-performing past due exposures	-	-	-	-	-
A.4 Performing exposures	53	113,553	75	823,706	58
Total (A)	**53**	**113,553**	**75**	**823,706**	**58**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures	-	-	-	-	-
B.2 Performing exposures	29	203,553	63	56,624	10
Total (B)	**29**	**203,553**	**63**	**56,624**	**10**
Total (A+B) 31.12.2018	**82**	**317,106**	**138**	**880,330**	**68**
Total (A+B) 31.12.2017	**-**	**147,372**	**-**	**1,046,028**	**-**

B.3 Prudential consolidation – Breakdown by geographical area of cash and off-balance sheet credit exposures to banks

Exposures/Geographical areas	North West Italy		North East Italy		Centre Italy		South Italy and Islands	
	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures								
A.1 Bad loans	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-	-	-	-
A.3 Non-performing past due exposures	-	-	-	-	-	-	-	-
A.4 Performing exposures	993,237	2,056	126,696	95	1,083,807	776	4	-
Total (A)	**993,237**	**2,056**	**126,696**	**95**	**1,083,807**	**776**	**4**	**-**
B. Off-balance sheet credit exposures								
B.1 Deteriored exposures	-	-	-	-	-	-	-	-
B.2 Non-deteriored exposures	23,625	5	41,861	8	1,000	-	3,462	-
Total (B)	23,625	5	41,861	8	1,000	-	3,462	-
Total (A+B) 31.12.2018	**1,016,862**	**2,061**	**168,557**	**103**	**1,084,807**	**776**	**3,466**	**-**
Total (A+B) 31.12.2017	**976,589**	**-**	**201,128**	**-**	**2,336,110**	**11**	**1,072**	**-**

B.4 Large exposures

	31.12.2018	31.12.2017
a) Book value	16,563,885	15,698,094
b) Weighted value	2,919,124	3,390,273
c) Number	10	9

This measurement was made on the basis of the updates to Circular 285 which regulate "large exposures".
The rules define as a "large exposure" the amount of cash assets at risk and off-balance sheet transactions of a single customer or group of related customers that come to 10% or more of admissible capital.
Note that repurchase agreements are included in the amount of risk activities. These transactions contribute to the value of the counterparty exposure for the amount of "securities to be received", while they contribute to the exposure after CRM and exemptions under art. 400 CRR only for the difference between the amount of "securities to be received" and the cash deposit received.
At the end of the year, there are 10 "large exposures" for an overall amount of € 16,564 million, corresponding to € 2,919 million after CRM and exemptions under art. 400 CRR. Of these, repurchase agreements account for € 5,089 million and € 209 million respectively.
For an amount in excess of 70% of the total, the positions shown include the Treasury Ministry, the Ministry of Economy and Finance and the Cassa di Compensazione e Garanzia for a total exposure of € 11,917 million, € 1,201 million after CRM and exemptions.
The balance is made up of two leading European banking groups, one of the world's largest banking groups (€ 5,695 million - € 2,637 million post CRM and exemptions) and an associated company.

To facilitate an understanding of the degree of concentration of loans, the nominal value of major exposures has been provided.

Risk concentration:

Reference date: 31.12.2018	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	13,663,450	2,062,751
First 10 exposures	16,563,885	2,919,124
First 20 exposures	20,435,975	5,801,555

Reference date: 31.12.2017	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	13,000,364	2,048,090
First 10 exposures	16,220,850	3,646,050
First 20 exposures	19,998,382	5,701,709

C. Securitisation transactions

Qualitative information

The primary objectives of the securitisation transactions arranged by the Group in relation to non-performing loans are:

- to improve the asset structure of the banks concerned;
- to facilitate loan recovery strategies and make them more efficient (by centralising work with one group of lawyers);
- to exercise rigorous, direct control over higher risk loans, without modifying the overall risk profile.

Transactions involving performing contracts are, on the other hand, arranged in order to optimise sources of funding.

The following BPER Banca Group transactions, other than self-securitisation transactions described in the subsequent Section 3, are outstanding at 31 December 2018:

- Sardegna no. 1
- Mutina
- Diesis
- Italian Credit Recycle
- Restart
- Pillarstone
- Sestante
- AQUI SPV
- 4 Mori Sardegna

Sardegna no. 1

The special purpose vehicle has issued three types of bonds, equalling the amount of the assets sold:

Disposal date:	31 December 1997
Seller:	Banco di Sardegna s.p.a.
Special purpose vehicle:	"Sardegna No. 1 Limited", with registered offices in Jersey.
Servicer:	Banco di Sardegna s.p.a.
Issue date of securities	31 December 1997
Type of transaction	Standard
Organisation	The responsible central offices provide a detailed quarterly report on the collections made during the period to Senior Management and the Group secretariat. In addition, the financial statements of the SPV are prepared each quarter by the external accountants and reviewed by management.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects, managed by ABN Amro Bank, are summarised below:

Assets sold	Mortgage loans, Government securities
Quality of assets securitised	Non-performing
Amount of securitised assets	Mortgage loans of Euro 79,4 million and government securities of Euro 309,9 million, together totalling Euro 389,3 million.
Disposal price of securitised assets	The mortgage loans had a carrying amount of Euro 90.2 million; the difference (Euro 10.8 million) with respect to the disposal price (Euro 79.4 million) was charged to the income statement in the year of disposal.
Guarantees and credit lines granted by the bank	Non-performing loans are guaranteed by voluntary or judgement mortgages and represent a group of similar assets, as required by Art. 58 of the Consolidated Banking Law.
Guarantees and credit lines granted by third parties	-
Related financial transactions	-
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	Italy. Coincides with the originator bank that sold the loans, since the operations of the bank are regional.

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2018
-	Senior	Dec-02	233,600	-
XS0083054394	Mezzanine	Dec-03	136,200	-
XS0083054550	Junior	Dec-20	19,500	-
Total			**389,300**	**-**

The Senior securities (tranche A – matured and repaid in full), denominated in US Dollars, were subscribed for by Abn Amro for placement in the international markets.
The mezzanine securities (tranche B – matured and repaid in full) were subordinate to tranche A and guaranteed by Banco di Sardegna s.p.a.
For the Junior securities, the initial maturity date of the transaction was 30 December 2004, and after having been extended three times to 2008, 2012 and then to 2016, it was again postponed to 30 December 2020, as approved at a meeting of the holders of the Junior Securities held on 28 December 2016.

For aspects relating to the assessment of the class C subordinated bond (which at 31 December 2018 has a theoretical value of about Euro 35.7 million, including interest accrued to that date), it should be noted that the security was fully written down. This is because the cash flows of the underlying assets ("non-performing" mortgage loans) will not be sufficient to repay these securities on maturity, as they will be used to pay the loan granted by the Bank to reimburse the Mezzanine securities.

Mutina (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	27 June 2002
Seller:	"Multi-originator" transaction arranged by the following Group banks: - Banca del Monte di Foggia s.p.a. (2); - Banca Popolare di Aprilia s.p.a. (4); - Banca Popolare dell'Irpinia s.p.a. (1); - Banca Popolare di Lanciano e Sulmona s.p.a.(4); - Banca Popolare del Materano s.p.a. (3); - Banca Popolare di Salerno s.p.a. (1); - Cassa di Risparmio della Provincia dell'Aquila s.p.a. (4); - Banca Popolare di Crotone s.p.a.(3); - Banca di Sassari s.p.a. (5) (1) merged with Banca della Campania s.p.a. on 23/06/03 (2) merged with Banca della Campania s.p.a. on 28/12/06 (3) merged with Banca popolare del Mezzogiorno on 03/11/08. (4) now part of BPER as a result of the merger on 27/05/13. (1)(2)(3) Banca della Campania and Banca Popolare del Mezzogiorno are now part of BPER as a result of the merger on 24/11/2014. (5) On 23 May 2016 Banco di Sardegna acquired a business unit of Banca di Sassari, that includes this type.
Special purpose vehicle:	Mutina s.r.l., with registered offices in Modena. Held 100% by BPER Banca (as a result of the merger of Em.Ro. popolare s.p.a. and Meliorbanca s.p.a. in 2012).
Servicer:	Nettuno Gestione Crediti s.p.a. as Master Servicer; the originator banks are used as sub-servicers. Until 31 December 2015, the Parent Company BPER was the back-up servicer. The new "Master Servicing Agreement" was signed on 15 December 2015, providing for the appointment of BPER (former back-up servicer) as a new Master Servicer in place of Nettuno Gestione Crediti s.p.a., with effect from 1 January 2016.

Issue date of securities	20 March 2003
Type of transaction	Standard
Organisation	Commencing from the closing date, the Master Servicer prepares quarterly and six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. This information is also provided regularly to General Management and the administrative bodies of the Parent Company, BPER. The Master Servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for regulatory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The carrying amount of the loans portfolio was Euro 840,160,206.
Disposal price of securitised assets	The disposal price was Euro 412,514,712.
Guarantees and credit lines granted by the bank	Liquidity line equal to 20% of the amount of the Senior securities issued.
Guarantees and credit lines granted by third parties	None.
Related financial transactions	Limited recourse loan in the form of government securities representing 120% of the amount of the Senior securities issued.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following 10 bonds in two categories, Senior and Junior.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018	*Rating Fitch*	*Rating S&P*
IT0003444327	Senior	Aug-09	228,000	-	AA-	A+
IT0003444350	Junior	Feb-19	12,069	1,872	n.r.	n.r.
IT0003444376	Junior	Feb-19	12,143	7,206	n.r.	n.r.
IT0003444392	Junior	Feb-19	24,001	13,388	n.r.	n.r.
IT0003444459	Junior	Feb-19	61,830	37,722	n.r.	n.r.
IT0003444509	Junior	Feb-19	9,987	198	n.r.	n.r.
IT0003444517	Junior	Feb-19	10,487	10,487	n.r.	n.r.
IT0003444525	Junior	Feb-19	3,432	1,011	n.r.	n.r.
IT0003444558	Junior	Feb-19	31,094	23,302	n.r.	n.r.
IT0003444566	Junior	Feb-19	19,466	7,802	n.r.	n.r.
Total			**412,509**	**102,988**		

The Senior securities bore interest at Euribor plus a spread of 22 basis points. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors and listed on the Luxembourg stock exchange.
The Junior securities, all subscribed for on a proportional basis by the originator banks, bear interest at 0.10%, with a "without memory" clause, and their redemption is subordinate to full satisfaction of the rights of bearers of the Senior securities.
The remaining outstanding Senior securities matured on 10 August 2009 and were repaid in full on that date. Payment was made using available cash totalling Euro 5,922 thousand, plus Euro 29,350 thousand deriving from the redemption on 1 August of the CCTs previously used to guarantee the securities.
This utilisation, essentially representing an advance of liquidity, has given rise to a liability for Mutina s.r.l. towards the guarantors drawn against. These liability, fully written down by both banks, have the same maturity as the class C securities, to which they are subordinated in the repayment:

- Euro 24,384 thousand in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014;

- Euro 4,966 thousand to Banco di Sardegna, formerly Banca di Sassari following the sale of the business unit in 2016.

With regard to the Junior Notes held in portfolio by the two Group banks, on 12 September 2012 the Amendment Agreement was signed which provides for the extension of their maturity from August 2013 to February 2019.

At 31 December 2018, the remaining Junior Notes are equal to a nominal value of Euro 102,998 thousand, corresponding to a net value of Euro 15,000 thousand:

- Euro 79,686 thousand in the portfolio of the Parent Company BPER Banca, following the absorption carried out in 2013 and 2014, for a carrying value of Euro 10,825 thousand;
- Euro 23,302 thousand held by Banco di Sardegna s.p.a., originating from Banca di Sassari's sale of the business unit in 2016 at a book value of Euro 4,175 thousand.

It is specified that in January 2019 the SPV Mutina, after having sold 1,406 positions to MB Credit Solution (a Mediobanca Group company) equal to a GBV of Euro 203,307 thousand in December 2018, provided for the sale of the remaining 68 loans in portfolio at 31 December 2018, for a total nominal value of Euro 3,403 thousand to the Originator Banks:

- Euro 1,245 thousand in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014;
- Euro 2,158 thousand in the portfolio of Banco di Sardegna s.p.a., formerly Banca di Sassari following the sale of the business unit in 2016.

Following this sale and having eliminated the loan portfolio, bringing forward the payment date originally scheduled for 11 February to 25 January 2019, after making the various planned payments, the Vehicle was able to repay a portion of the Junior Notes mentioned previously, for an amount of Euro 14,200 thousand, thereby reducing the residual amount to Euro 88,788 thousand (Euro 68,625 thousand for BPER Banca and Euro 20,163 thousand for Banco di Sardegna). Knowing about the amounts of sale and redemption of Junior Notes at the closing date of the financial statements at 31 December 2018, BPER Banca and Banco di Sardegna proceeded to record valuation gains of Euro 7,337 thousand and Euro 2,830 thousand, respectively.

The residual Junior Notes in the two banks' portfolios were therefore cancelled as they reached their final expiry, as envisaged by the contracts signed on 22 January 2019 by the Vehicle and by all the parties involved in the securitisation (Termination Agreement).

The debts of the Vehicle with respect to the same two banks were also cancelled, as they are subordinated to full repayment of the unsecured Junior Notes, without producing effects on the income statement of the banks concerned, having already been totally written down.

As a result, on 25 January 2019, the Mutina securitisation has been definitively closed, while the company is still in existence for now only for the last corporate formalities and to deal with the ultimate costs, particularly invoices for legal costs not yet received, with a cash sum maintained for this purpose.

Diesis (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	13 July 2016
Seller:	"Multi-originator" transaction arranged by the following Group banks: - BPER Banca s.p.a. ; - Banco di Sardegna s.p.a. ;
Special purpose vehicle:	Diesis SPV s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent; Cerved Credit Management s.p.a. acted as Special Servicer.
Issue date of securities	22 December 2016
Type of transaction	Standard
Organisation	The Master Servicer prepares six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. The master servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for regulatory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 259 million.
Disposal price of securitised assets	The disposal price was Euro 55 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT0005224925	Senior	July-26	31,000	20,306
IT0005224933	Junior	July-28	20,600	20,600
Total			**51,600**	**40,906**

The Senior securities bear interest at the 6-month Euribor interest rate plus a spread of 3%. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. The Senior securities were all subscribed for by the originator banks.
Junior Securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 1.1 million). The securities bear interest at the 6-month Euribor interest rate and the payment thereof is subordinate to the full satisfaction of the rights of the bearers of the senior securities.

Italian Credit Recycle (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	20 June 2017
Seller:	Nuova Cassa di Risparmio di Ferrara s.p.a. ;
Special purpose vehicle:	Italian Credit Recycle s.r.l., based in Rome
Servicer:	Credito Fondiario s.p.a., acting as Servicer, Corporate Servicer, Calculation and Paying Agent.
Issue date of securities	28 June 2017
Type of transaction	Standard
Organisation	Credito Fondiario s.p.a. prepares a quarterly report that communicates to investors.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 252 million.
Disposal price of securitised assets	The disposal price was Euro 41 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.

The special purpose vehicle has issued the following bonds:

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT0005274565	Senior	Dec-37	22,400	6,458
IT0005274573	Junior	Dec-37	18,600	18,600
Total			**41,000**	**25,058**

The securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 2.2 million).

Restart (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	20 June 2017
Seller:	Nuova Cassa di Risparmio di Ferrara s.p.a. ;
Special purpose vehicle:	Restart SPV s.r.l., based in Rome
Servicer:	Credito Fondiario s.p.a., acting as Servicer, Corporate Servicer, Calculation and Paying Agent.
Issue date of securities	20 June 2017
Type of transaction	Standard
Organisation	Credito Fondiario s.p.a. prepares a quarterly report that communicates to investors.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 343 million.
Disposal price of securitised assets	The disposal price was Euro 22 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.

The special purpose vehicle has issued the following bonds:

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT0005274532	Senior	Dec-37	18,200	11,338
IT0005274540	Junior	Dec-37	14,800	11,846
Total			**33,000**	**23,184**

The securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 1.8 million).

4 Mori Sardegna S.r.l. (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	7 June 2018
Seller:	Banco di Sardegna s.p.a. ;
Special purpose vehicle:	4 Mori Sardegna S.r.l., based in Conegliano (Treviso)
Servicer:	Prelios Credit Servicing s.p.a., as Servicer.
Issue date of securities	21 June 2017
Type of transaction	Traditional with Guarantee from the Ministry of Economy and Finance (GACS or Bad Loan Securitisation Guarantee)
Organisation	Prelios Credit Servicing s.p.a. prepares a half-year report that communicates to investors.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 1,045 million.
Disposal price of securitised assets	The disposal price was Euro 253 million.
Guarantees and credit lines granted by the bank	Subordinated loan of Euro 12,000 million.
Guarantees and credit lines granted by third parties	Cap Agreement to hedge interest rates on the notes issued.

The special purpose vehicle has issued the following bonds:

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT0005337446	Senior	Jan-37	232,000	232,000
IT0005337479	Mezzanine	Jan-37	13,000	13,000
IT0005337487	Junior	Jan-37	8,000	8,000
Total			**253,000**	**253,000**

The Senior notes were fully subscribed by Banco di Sardegna S.p.a. The Mezzanine and Junior notes were placed with institutional investors and, for a residual portion of 5%, they were subscribed by Banco di Sardegna S.p.a.

AQUI SPV S.R.L. (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	2 October 2018
Seller:	BPER Banca S.p.A ; Cassa di Risparmio di Bra s.p.a.; Cassa di Risparmio di Saluzzo s.p.a.
Special purpose vehicle:	AQUI SPV S.r.l., based in Conegliano (TV)
Servicer:	Prelios Credit Servicing s.p.a., as Servicer.
Issue date of securities	7 November 2018
Type of transaction	Traditional with Guarantee from the Ministry of Economy and Finance (GACS or Bad Loan Securitisation Guarantee)
Organisation	Prelios Credit Servicing s.p.a. prepares a half-year report that communicates to investors..
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 2,082 million.
Disposal price of securitised assets	The disposal price was Euro 618 million.
Guarantees and credit lines granted by the bank	Subordinated loan of Euro 27,235 million.
Guarantees and credit lines granted by third parties	Cap Agreement to hedge interest rates on the notes issued.

The special purpose vehicle has issued the following bonds:

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT000535330	Senior	Oct-38	544,700	544,700
IT0005351348	Mezzanine	Oct-38	62,900	62,900
IT0005351355	Junior	Oct-38	10,852	10,852
Total			**618,452**	**618,452**

The Senior notes were fully subscribed by Bper Banca S.p.A. The Mezzanine and Junior notes were placed with an institutional investor and, for a residual portion of 5%, were subscribed by BPER Banca S.p.A.

During 2017, BPER Banca securitised a loan of 21 million US dollars granted to Premuda Spa, through the vehicle Pillarstone Italy SPV Srl (established under Law 130/99).

The transaction, carried out jointly with other important Italian banks, was carried out in order to allow a restructuring of the receivables from Premuda Spa, with the aim of facilitating and increasing the recoveries of the securitised exposures.
The sale was finalized with the issue by the vehicle of Super Senior class securities (subscribed by third parties), of Senior and Junior class securities (fully subscribed by the bank).
The transaction also involves the transfer of all the loans purchased by the vehicle (Pillarstone Italy SPV Srl) to a company (Pillarstone Italy Holding Spa) which, through separate assets established pursuant to art. 2447-bis letter a) of the Italian Civil Code, provides for the restructuring of the loan due from the Premuda group.
BPER Banca does not hold any interest in the companies indicated above.
None of the securities issued by the SPV have a rating.
This loan has been derecognised for financial reporting and prudential regulatory purposes, as the requirements of IAS 39 were satisfied.
To match the derecognition of the loan, the Parent Company has recognised the securities subscribed as an asset.
The carrying value of the securities of US dollar 9,259 thousand is equal to the amount of the restructured loan signed between Pillarstone Italy Holding Spa and the Premuda group.

The “own” transactions also include those originated by the Banks absorbed in previous years by BPER Banca S.p.A.
In particular, they include securities issued by Sestante Finance SPV S.r.l. deriving from transactions originating from the former Meliorbanca S.p.A., which was absorbed by BPER Banca in 2012.

Quantitative information

C.1 Prudential consolidation - Breakdown of exposures deriving from the main "own" securitisations by type of securitised asset and type of exposure

Type of securitised assets/Exposure	Cash exposures					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
A. Fully derecognized	**795,270**	**1,549**	**9,518**	**-**	**16,337**	**-**
- performing residential mortgages	2,146	-	993	-	77	-
- non-performing residential mortgages	141,485	278	342	-	9,203	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	376,438	735	687	-	3,703	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	621	-	640	-	-	-
- other performing loans	-	-	-	-	-	-
- other non-performing loans	274,580	536	6,856	-	3,354	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Partially derecognized	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognized	**-**	**-**	**-**	**-**	**-**	**-**

(cont.)

Type of securitised assets/Exposure	Guarantees granted					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
A. Fully derecognized		**-**	**-**	**-**	**-**	**-**
- performing residential mortgages	3,352	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- other performing loans	-	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Partially derecognized	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognized	**-**	**-**	**-**	**-**	**-**	**-**

The table shows the cash exposures assumed by the Group in connection with its own securitisations Mutina, Sestante, Diesis, Restart, Italian Credit Recycle, Pillarstone, Aqui, 4 Mori and Sardegna no.1.
"Net impairment losses" show the annual flow of impairment losses and write-backs as required by the Bank of Italy's Circular 262/2005.
The parts of the table relating to "Credit lines" have not been shown as there is nothing to report.

C.2 Prudential consolidation - Breakdown of exposures deriving from the main “third-party” securitisations by type of securitised asset and type of exposure

Type of underlying asset/Exposures	Cash exposures					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
- performing residential mortgages	9,993	7	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	5,707	4	6,231	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	19,894	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	54,995	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	1,999	1	-	-	-	-
- non performing securities	-	-	-	-	-	-

(cont.)

Type of underlying asset/Exposures	Credit lines					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
- performing residential mortgages	-	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	2,100	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non performing securities	-	-	-	-	-	-

The parts of the table relating to “Guarantees granted” have not been shown as there is nothing to report.

C.3 Prudential consolidation - Interests in securitisation vehicles

Securitisation name/ Securitisation vehicle name	Head office	Consolidation	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Mutina s.r.l.	Modena	PN (art. 19 CRR)	513	-	16,236	-	-	15,228

The Mutina SPV is wholly-owned by the Parent Company but it has not been consolidated line-by-line as reported in Part A.1 of these notes.

C.4 Prudential consolidation - Non-consolidated securitisation vehicles

Securitisation name/ Securitisation vehicle name	Head office	% Interest	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Sardegna Re Finance Srl	Milan	10%	1,811	-	78	1,471	-	468

C.5 Prudential consolidation - Servicer activities - "own" securitisation: collection of securitised loans and reimbursement of securities issued by securitisation vehicle

Servicer	Securitisation vehicle	Securitised assets (closing balance)		Collections of loans during the year		Percentage of redeemed securities (closing balance)					
						Senior		Mezzanine		Junior	
		Non-performing	Performing	Non-performing	Performing	Non-performing assets	Performing assets	Non-performing assets	Performing assets	Non-performing assets	Performing assets
BPER Banca	Mutina s.r.l.	513	-	1,302		100.00%	-	-	-	44.18%	-
Banco di Sardegna s.p.a.	Sardegna N.1	9,352	-	1,084		-	100.00%	56.00%	44.00%	-	-

C.6 Prudential consolidation – Consolidated securitisation vehicles

There are no amounts to be disclosed in this section.

D. Disposal transactions

A. Financial assets sold but not fully derecognised

Qualitative information

The Group did not make any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

Quantitative information

D.1 Prudential consolidation - Financial assets sold fully recognised and related financial liabilities: book value

	Financial assets sold fully recognised				Related financial liabilities		
	Book value	of which: subject to securitization transactions	of which: subject to sale contracts with repurchase agreement	of which: non-performing	Book value	of which: subject to securitization transactions	of which: subject to sale contracts with repurchase agreement
A. Financial assets held for trading	**1,249,729**	**-**	**1,249,729**	**X**	**1,250,352**	**-**	**1,250,352**
1. Debt securities	1,249,729	-	1,249,729	X	1,250,352	-	1,250,352
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	X	-	-	-
4. Derivatives	-	-	-	X	-	-	-
B. Other financial assets mandatorily measured at fair value	**30,153**	**-**	**30,153**	**-**	**29,303**	**-**	**29,303**
1. Debt securities	30,153	-	30,153	-	29,303	-	29,303
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
C. Financial assets designated at fair value	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Debt securities	-	-	-	-	-	-	-
2. Loans	-	-	-	-	-	-	-
D. Financial assets measured at fair value through other comprehensive income	**2,805,183**	**-**	**2,805,183**	**-**	**2,736,405**	**-**	**2,736,405**
1. Debt securities	2,805,183	-	2,805,183	-	2,736,405	-	2,736,405
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
E. Financial assets measured at amortised cost	**1,721,404**	**-**	**1,721,404**	**-**	**1,640,709**	**-**	**1,640,709**
1. Debt securities	1,721,404	-	1,721,404	-	1,640,709	-	1,640,709
2. Loans	-	-	-	-	-	-	-
Total 31.12.2018	**5,806,469**	**-**	**5,806,469**	**-**	**5,656,769**	**-**	**5,656,769**
Total 31.12.2017	**5,617,516**	**-**	**5,617,516**	**-**	**5,136,968**	**-**	**5,136,968**

D.2 Prudential consolidation - Financial assets sold partially recognised and related financial liabilities: book value

There are no amounts to be disclosed in this section.

D.3 Prudential Consolidation – Sale transactions with liabilities having recourse exclusively on the assets sold and not fully derecognised: fair value

There are no amounts to be disclosed in this section.

B. Financial assets sold and fully derecognised with recognition of continuing involvement

The Group did not make any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

D.4 Prudential Consolidation - Covered bond transactions

Introduction

GBB issues are foreseen by BPER Banca Group's strategic plan as a means of diversification of funding sources, of reduction of related costs and of lengthening of maturities of liabilities. In particular, guaranteed bank bond issues are extremely appealing at a time when market yields are very low, also considering the relevant volatility of the reference market.

On 8 February 2011, the Board of Directors launched the structuring of a first programme for the issue of guaranteed bank bonds ("GBB1"), based on a collateralised portfolio of residential mortgage loans pursuant to art. 7-*bis* of Law 130 of 30 April 1999 ("Law 130/99"), the Ministry of Economy and Finance's Decree no. 310 of 14 December 2006 (the "MEF Decree") and the regulatory provisions of the Bank of Italy of 24 March 2010 (the "Rules" and, together with Law 130 and the MEF Decree and each subsequent amendment, the "Regulations").

On 3 March 2015 the Board of Directors launched the structuring of a second programme for the issue of guaranteed bank bonds ("GBB2"), based on a collateralised portfolio of residential and commercial mortgage loans, as already mentioned in the Directors' report on Group operations.

The basic structure of a guaranteed bank bonds issue

"Guaranteed Bank Bonds", also known as "Covered Bonds", may be issued under a scheme which envisages:

- the sale by a bank, which may differ from the bond issuer, to a special purpose vehicle of high credit quality assets and which constitute segregated assets pursuant to the applicable provisions of Law 130/99;
- the selling bank or another bank granting a subordinated loan to the assignee company to provide the assignee with the funding required to purchase the assets;
- the issue of a guarantee by the assignee company in favour of the bondholders, up to the amount of the segregated assets.

High credit quality assets are intended to mean loans that meet the selection criteria defined by the Regulations and related contracts (the "Eligible Assets").

Key elements of the BPER Banca Group's Programmes for the issue of Covered Bonds

The BPER Banca's Covered Bond Programmes (the "Programmes") have been structured as follows:

- the sale without recourse to Estense Covered Bond s.r.l. (the "SPV" or "Estense Covered Bond") for GBB1, and to Estense CPT Covered Bond s.r.l. (the "SPV" or "Estense CPT Covered Bond") for GBB2, initially just by BPER Banca and then, during the Programmes, also by other Group Banks, of assets with a high credit quality, which constitute segregated assets pursuant to Law 130/99;
- the provision to the assignee SPVs, by BPER Banca and other Group Banks that will eventually join the programmes as selling banks, of subordinated loans to provide the assignees with the funding required to purchase the assets sold;
- the issue by the SPVs, up to the amount of the segregated assets, of guarantees in favour of the holders of the Guaranteed Bank Bonds issued by BPER Banca.

Although they are presented as Group programmes, the initial and subsequent transactions only involved BPER Banca as the selling bank, the understanding being that BPER Banca will always take on the role of issuing bank. Only at a later stage, after an expert assessment of the risks and opportunities, is it expected that other Group Banks will join the Programmes as selling banks to sell additional Eligible Assets.

The portfolios of Eligible Assets involved in the initial sales are composed of loans originating from residential mortgage loans for GBB1 and of residential and commercial mortgage loans for GBB2, which meet the requirements of the Regulations. These portfolios were identified based on general and specific criteria indicated in the sale agreements. Additional portfolios of Eligible Assets may include mortgage loans that meet the requirements of the Rules and any subsequent additional eligible assets referred to in Article 2, paragraph 3, points 2 and 3 of the MEF Decree.

The sale prices of the portfolios is determined, as laid down in the Provisions, with reference to their book values in the latest financial statements approved by BPER Banca with a view to specific sale dates or by having the sale price certified by the Independent Auditors. The sale prices so determined are subject to adjustment to take account of movements on the loans between the financial year end and the date of sale. More specifically, the sale prices shall be adjusted to take account of the collection of the capital element of the loans in the intervening period and the payment of contractually agreed interest in the same period.

The sale of the portfolios - without recourse and under the combined provisions of articles 1 and 4 of Law 130/99 and art. 58 of the CFA - is communicated to the mortgage holders by publishing a notice of sale by the seller with the above selection criteria in the Official Journal and by filing the same notice of sale with the Registrar of Companies. Further formalities are also carried out for privacy legislation purposes (Legislative Decree 196/2003).

The mortgage holders maintain a direct operational relationship with BPER Banca - or, in the case of sale of Eligible Assets by other selling banks that will join the Programmes, with the other Group Banks that the mortgage holders originally obtained the loans from - since the two SPVs have given BPER Banca responsibility for managing and administering the loans sold and the related collection and payment services (servicing activities), with BPER Banca having the power to grant a sub-proxy to the pertinent selling banks to perform servicing activities for the portfolios sold.

This, in accordance with the Regulations, in order to minimise the commercial impact with the mortgage holders and, at the same time, to optimise the operational management of each portfolio which, in fact, remains in the hands of the assignors.
At predetermined dates and based on specific operational and market situations, BPER Banca, in the role of Calculation Agent, will perform assessment tests to compare the portfolios sold with the bonds issued, aimed at verifying the adequacy of the guarantees issued with reference to specific legal parameters and the parameters set by the Programmes' documentation based on indications provided by rating agencies, on which the credit rating assigned to the Guaranteed Bank Bonds depends.
In the case of non-compliance with one or more of the required parameters, it will be necessary to add to the portfolios sold by selling further Eligible Assets. The portfolios can be added to by using the SPVs' liquid funds or by further drawdowns of the subordinated loans granted by BPER Banca (or by the other selling banks) to the two SPVs.
Other initiatives are required in the case of violation of contractual conditions, up to the extreme consequences of enforcement of the guarantees provided by the SPVs in the case of an Event of Default by the Issuer (for example, default in repayment of principal or non-payment of interest on the Covered Bonds).
Moreover, on predetermined dates, the functions responsible for supervising the Bank's risk management verify the quality and integrity of the assets provided as collateral for Covered Bonds issued.
The structure of the Programmes, as outlined, permits the creation of segregated assets (consisting of the Eligible Assets assigned from time to time to the SPVs), to serve as a preferred guarantee for the Covered Bond holders, for the counterparties to derivative contracts entered into under the Programmes to hedge the risks inherent in the portfolio of transferred Eligible Assets and for the payment of other transaction costs.
Normally, the charges for payment and redemption of the Covered Bonds remain with the Issuer and, only when there is an Event of Default by the Issuer will automatic protection mechanisms be activated to protect the investors.
To further support the financial structure, provision has been made for swaps with one or more external counterparties selected on the market and with an appropriate credit standing in line with the eligibility criteria required by rating agencies. The purpose of these contracts is to transform the interest flow produced by the loan portfolios sold so as to make them consistent with that incurred on the bonds issued.
In particular, among the various options available, it is normally envisaged that two separate swap derivative contracts will be entered into:

- asset swap: under this contract, the SPV will pay the swap counterparty the flow received as interest on a notional amount represented by a portion of segregated assets and determined by taking into account the outstanding amount of the liability represented by the Guaranteed Bank Bonds issued and will collect from it a flow corresponding to Euribor for the period plus or minus a Spread applied to the same notional amount for the reference period;
- liability swap: under this derivative the SPV will receive from the swap counterparty a fixed rate equal to the coupon of the related series of Guaranteed Bank Bonds and will pay to the same flow corresponding to Euribor plus or minus (as appropriate) a Spread applied to an amount equal to the nominal value of the corresponding series of Guaranteed Bank Bonds.

These contracts can be linked to back-to-back swap agreements between the swap counterparties and BPER Banca, a situation that currently exists in the case of the third, fourth and fifth issue of the GBB1 Programme.

In this respect, it should be noted that the first issue of the GBB1 Programme was redeemed on 22 January 2014, whereas the second issue, redemption of which should have taken place in April 2015, was redeemed early on 12 January 2015. Lastly, the third issue was also physiologically repaid on 22 October 2018.
For the fourth, fifth and eighth issue, which bear a fixed interest rate, it was necessary to execute liability swap agreements. Lastly, the sixth and seventh issues bear a floating interest rate and, thus, have no associated liability swap.
The financial mechanism allows, on the one hand, BPER Banca, as selling bank, to maintain a financial position as desired and consistent with its Asset & Liability Management strategies and, on the other hand, the SPV, as guarantor, in the Event of the occurrence of an Event of Default of the Issuer, to cover the costs of the Guaranteed Bank Bonds by trading them for the expected return on portfolio of loans sold.

The GBB1 Programme

The GBB1 Programme provides for the issue of Covered Bonds up to a maximum of Euro 7 billion, to be carried out in a number of issues over time, by 31 December 2023 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).
The first series of Guaranteed Bank Bonds with par value of Euro 750 million was issued on 1 December 2011 and was redeemed on 22 January 2014, after the sale on 2 November 2011 by BPER Banca to Estense Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the Regulations for a nominal value of Euro 1.1 billion, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential mortgage loans provided in accordance with mortgage lending legislation;
- concluded by 31 December 2010;
- final instalment due after 31 December 2012;
- ratio of outstanding debt to the value of secured property, estimated at the payment date, lower than 80%.

Based on these general assumptions, a second issue of Guaranteed Bank Bonds was completed on 25 June 2012 for a total of Euro 300 million, with a maturity of three years at a floating rate. This was after another Euro 546 million of residential mortgage loans, again originated exclusively by BPER Banca, were transferred to the vehicle company Estense Covered Bond s.r.l. on 4 May 2012, essentially attributable to the "production" of 2011. The new issue has been carefully sized to take into account the possible implications of the earthquake in May 2012 on the value of the collateral.
Based on these same general assumptions, on 10 July 2013, a further Euro 680 million of residential mortgage loans was sold, with these originating solely from BPER Banca or from other Group banks merged into the Parent Company. On 12 January 2015 the second series of GBB was all repaid early.
On 15 October 2013, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market. This issue was then reopened on 24 February 2014 for a further Euro 250 million.
On 23 July 2014, another Euro 501 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 22 January 2015, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 7 years, all of which was placed on the market.

On 28 April 2015, another Euro 1,074 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 29 July 2015, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market.
On 28 January 2016, another Euro 1,086 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 31 May 2016, a sixth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 July 2016, another Euro 310 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 25 January 2017, another Euro 404 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 3 February 2017, a seventh issue of Guaranteed Bank Bonds was completed for an amount of Euro 540 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 23 October 2017, another Euro 816 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 27 April 2018, another Euro 652 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 19 July 2018, a eighth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market.The subordinated loan granted by BPER Banca to Estense Covered Bond s.r.l., under the form of a credit facility to finance the purchase of the assigned portfolios currently amounts to Euro 6 billion. Notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purpose of adding to segregated assets) and with a remuneration that guarantees a return to the transferor of the yield on the segregated mortgage loans, albeit residual with respect to payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in October 2014 drawdowns of the subordinated loan had been reduced to Euro 250 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2015 and again in January, April, July 2016, October 2017, April, July and October 2018, and again in January 2019, an additional Euro 250 million, Euro 120 million, Euro 250 million, Euro 250 million, Euro 400 million, Euro 100 million, Euro 250 million, Euro 500 million and finally Euro 280 million respectively were repaid, again based on the principal amounts of cash generated by the loan portfolio sold.
The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated from the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts

with BNP Paribas Securitisation Services, either in Italy or the UK, since this is a third party with appropriate rating.

Counterparties involved in the GBB1 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Principal Paying Agent and Calculation Agent: BPER Banca.

Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: NatWest Market Plc (formerly The Royal Bank of Scotland plc).

Joint Lead Manager of the Third series of bonds issued: NatWest, Citibank, Mediobanca, Société Générale, UBS.

Joint Lead Manager of re-opening of the Third series of bonds issued: Citibank, Raiffeisen Bank International.

Joint Lead Manager of the Fourth series of bonds issued: NatWest, BNP Paribas, Natixis, Nomura International plc., UNICREDIT Bank AG.

Joint Lead Manager of the Fifth series of bonds issued: NatWest, Banca IMI, Credit Suisse International, Raiffeisen Bank International, Société Générale.

Lead Manager of the Sixth series of bonds issued: NatWest.

Lead Manager of the Seventh series of bonds issued: NatWest.

Joint Lead Manager of the Eighth series of bonds issued: NatWest, Commerzbank, Nomura, UBS, Unicredit. Guarantor: Estense Covered Bond s.r.l.

Representative of the Bondholders (RoB): Securitisation Services s.p.a.

Italian Paying Agent, Cash Manager and Account Bank: BNP Paribas Securities Services (both Italian and London branches).

Corporate Servicer: Securitisation Services s.p.a.

Guarantor Calculation Agent: Securitisation Services s.p.a.

Liability Swap counterparty: for the fourth issue, NatWest; for the fifth issue, Credit Suisse International; for the eighth issue, BNP-Paribas.

Legal advisor to BPER Banca: Studio Legale RCC.

Asset Monitor and Pool Auditor: PriceWaterhouseCoopers s.p.a.

Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.

Rating agencies: Moody's Investor Services.

In 2012, the role of Back Up Servicer (BUS) was added to the structure of this transaction and is being performed by Italfondiario s.p.a.; the aim was to make the transaction more robust, also based on the indications received to that effect from the counterparty to the asset swap and from the rating agency.

The GBB2 Programme

The GBB2 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to take place in a number of issues over time, by 31 December 2025 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).

The first series of Guaranteed Bank Bonds with par value of Euro 625 million was issued on 16 December 2015, after the sale on 17 September 2015 by BPER Banca to Estense CPT Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the regulations for a nominal value of Euro 870 million, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential and commercial mortgage loans;
- granted by 31 December 2014;
- final instalment due after 31 December 2015;
- ratio of outstanding debt to the value of secured property, revalued close to the date of sale, up to a maximum of 80% for residential mortgage loans and up to a maximum of 60% for commercial mortgage loans.

The first bond issue of Euro 625 million was fully subscribed by BPER Banca in order to increase the collateral for refinancing operations with the European Central Bank.

On 23 June 2016, another Euro 478 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 1 August 2016, a second issue of Guaranteed Bank Bonds was completed for an amount of Euro 200 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.

On 21 November 2016, another Euro 411 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 24 February 2017, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 240 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.

On 27 September 2017 a partial early repayment was made for Euro 150 million on the first series of securities issued.

On 25 January 2018, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 420 million, at a floating interest rate, with a tenor of 3 years and which was self-subscribed.

On 22 May 2018, another Euro 594 million of commercial mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 24 September 2018, another Euro 731 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 17 October 2018, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 1,050 million, at a floating interest rate, with a tenor of 3 years and which was self-subscribed.

The subordinated loan granted by BPER Banca to Estense CPT Covered Bond s.r.l., under the form of a credit facility, to finance the purchase of the assigned portfolios, amounted to Euro 3 billion, notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purposes of adding to segregated assets) and with a yield that guarantees a return to the transferor of the yield on the segregated mortgage loans within segregated assets, albeit residual with respect to the payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.

Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in July 2017 drawdowns of the subordinated loan had been reduced to Euro 70 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2017, April and July 2018, and again in January 2019, an additional Euro 200 million, Euro 100 million and Euro 150 million were repaid, and finally Euro 110 million were paid, again based on the principal amounts of cash generated by the loan portfolio sold.

The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated by the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with Citibank N.A., either in Italy or the UK, since this is a third party with an appropriate rating.

The specific financial feature of the GBB2 Programme is a different structural technique which, in the event of the Parent Company's default and under other circumstances foreseen in the GBB2 Programme, makes it possible to transform the repayment plan of the Covered Bonds according to the loan portfolio amortisation schedule given in guarantee. This eliminates the financial risk associated with a forced and peremptory liquidation of this portfolio, thereby transforming the outstanding Covered Bonds into securities similar to pass-through securities issued as part of securitisation transactions. In this way, the risk profile of a default on the Covered Bonds is clearly attenuated, making it possible to obtain a higher rating.

Counterparties involved in the GBB2 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Primary Paying Agent and Calculation Agent: BPER Banca.

Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: Finanziaria Internazionale Securitisation Group s.p.a.
Initial Dealer of the first series of bonds issued: Banca Finanziaria Internazionale s.p.a..
Dealer of the Second series of bonds issued: NatWest.
Dealer of the Third series of bonds issued: NatWest.
Dealer of the Fourth series of bonds issued: NatWest.
Dealer of the Fifth series of bonds issued: NatWest.
Guarantor: Estense CPT Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Subsequent Paying Agent, Cash Manager and Account Bank: Citibank N.A. (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Legal advisor to BPER Banca: Jones Day Studio Legale.
Asset Monitor and Pool Auditor: PricewaterhouseCoopers s.p.a.

Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.
Rating agencies: Moody's Investor Services.

The requirements for Issuers

According to the Rules, Guaranteed Bank Bonds may be issued by banks belonging to banking groups that have:

- Own Funds not lower than Euro 250 million;
- Total capital ratio at consolidated level not lower than 9%.

These requirements must be satisfied, on a consolidated basis, even by selling banks, where the latter, as provided for by the Programmes' structure, differ from the bank issuing the Guaranteed Bank Bonds. In the case of banks belonging to the same group, reference should be made to consolidated figures.
With reference to the figures at 31 December 2018, the Own Funds of the BPER Banca Group amount to Euro 5,279 million and the Total capital ratio is equal to 17.25%.

Limits on the sale of Eligible Assets

The Provisions set limits to the possibility for banks to sell Eligible Assets, which are based on the level of their Tier 1 (T1) and Common Equity Tier 1 (CET1) ratio.
Sale restrictions refer to total transactions of this kind made by a banking group. Banking groups are classified into three categories, with corresponding specific limits as shown below:

- "a" band: for banking groups with T1 Ratio equal to or higher than 9% and CET1 Ratio equal to or higher than 8%, for which there are no sale limits;
- "b" band: for banking groups with T1 Ratio equal to or higher than 8% and CET1 Ratio equal to or higher than 7%, for which there is a sale limit of 60% of appropriate assets;
- "c" band; for banking groups with T1 Ratio equal to or higher than 7% and CET1 Ratio equal to or higher than 6%, for which there is a sale limit of 25% of appropriate assets.

At 31 December 2018, the Tier 1 Ratio was 14.37% and the Common Equity Tier 1 Ratio 14.27%.

Organisational structure and procedures

The structuring process for the GBB Issue Programmes meant organising a team to coordinate the activities of all the departments involved. In this regard, a specific structure was set up, the Structured Finance Management Office, which acts as coordinator of the interfunctional team, taking care to involve all the structures involved in the management process of the Covered Bonds. To supervise the structuring process and management of the Programmes, including when it is fully operational, a specific Group Regulation has been prepared followed by a Group Organisational Procedure.

Accounting, capital and tax impact

With the issue of the GBB, BPER Banca, as initial selling bank and any subsequent selling banks will retain substantially all the risks and benefits of the transferred assets as:

- they are required to reinstate, in line with several alternatives, the collateral should the value of assets sold deteriorate and their value fall below the thresholds set by contract;
- the repayment of the subordinated loan granted to the special purpose vehicle is linked to the performance of the secured assets.

The primary objective of creating a special purpose vehicle and the sale of eligible assets thereto is, in fact, to legally segregate, by means of a without recourse sale contract, the selling bank's assets within a separate legal entity. These assets, segregated in this manner, are subject to a restriction as to their use

pursuant to Law 130/99 for the protection, among others, of the holders. Thus, the holders of Covered Bonds benefit, on the one hand, from the general guarantee represented by the issuer's capital and on the other, from the guarantee issued by the SPV in respect of the segregated portfolio for which they have priority creditor rights. This structure of "dual protection" facilitates the creation of conditions for a potential reduction in funding costs.
The overall risk profile of BPER Banca as initial selling bank and that of any further selling banks is not altered in any way.
The same regulatory provisions stipulate that the selling banks retain the same capital requirement that they are already required to comply with, in respect of the assets sold, prior to the sale. The transactions, therefore, do not qualify for derecognition: the selling banks must continue to recognise the transferred assets in their entirety in the balance sheet and the considerations received from the sale must be accounted for as opposite entries to the financial liabilities due to the SPVs.
In turn, these liabilities must be shown net of the subordinated loans granted to the vehicles, due to the principle of substance over form: it is as if the purchase of loans by the SPVs had never taken place.
The subordinated loans are not taken into consideration for the purposes of counterparty risk; these loans must not, in fact, be considered, as the credit risk is already reflected in the valuation of the mortgage loans being sold.
As regards the impact at consolidation level, it should be noted that both the SPVs are BPER Banca Group's entities, as the Parent Company has a 60% holding; they are therefore subject to consolidation, although limited to their own results and financial position.
Finally, regarding the tax implications, consistent with the dictates of art. 7 *bis*, Law 130/99, all taxes and dues are payable as though the sales of the loans had never taken place.
Again, to ensure that the operation was neutral for tax purposes, it was established, as foreseen in art. 7 *bis*, paragraph 7 of Law 130/99, that the sale price would be equal *"to the latest carrying amount of the loans"*, or as certified by the Independent Auditors of the selling Bank.

More specifically, the book value is adjusted for "endogenous variables", that is, cash collected from the loans in the intervening period and contractual interest accruing in the same period. This is also consistent with the regulatory provisions laid down by the Rules as described previously.
As for the other components that could affect the configuration of the carrying amount, i.e. amortised cost and collective impairments (given that they are performing loans), it has been considered in line with the principles of relevance, pertinence and materiality to assume that their value is equal to the one shown in the latest approved and audited financial statements, or the sale price specifically certified by the auditors of the selling Bank.

The risks associated with the transaction

The GBB1 and GBB2 Programmes involve some financial and other risks, subject to analysis and monitoring by the Group’s Risk Management and Compliance functions and, specifically with regard to the risks of fraud and unintentional errors in financial reporting, by the Manager Responsible for preparing the company's financial reports. In summary the main risk profiles can be summarised as follows:

- Interest rate risk. In the structure of a Covered Bond, the interest rate risk originates from the different characteristics of interest rates on Guaranteed Bank Bonds and on the portfolio of secured assets. These risks are mitigated by hedging derivatives put in place from time to time with market counterparties.
- Credit risk. In the structure of a covered bond, credit risk is attributable to the quality of loans sold by each Selling Bank in the cover pool. Given this risk, the rating agencies, in order to

attribute to the Covered Bonds the maximum rating possible, require a level of over-collateralisation which is also linked to the quality of the cover pool.

- Counterparty risk. The counterparty risk is the possibility that the creditworthiness of counterparties involved in the transaction, in other words, the swap counterparties and the non Group bank, with which the SPV has its accounts, may worsen to the point of creating a liquidity problem, with the result that the cover pool funds that flow into the accounts of the SPV or payments made in connection with the swaps are retained by the same counterparties. This risk is mitigated by the involvement of high rated counterparties and the existence of clauses, in the relevant ISDA and CSA contracts as well as in the "Cash Management and Agency Agreement", according to which, in the case of downgrading of the counterparties, they will be immediately replaced.
- Liquidity risk. An issue of "bullet" Covered Bonds with a cover pool relating to mortgage loans with a given repayment plan entails the need for dynamic management of the cover pool itself. The funds received from the collection of capital instalments on the mortgage loans relating to the cover pool may have to be, in fact, reinvested in new mortgage loans with similar characteristics. If the Group does not have eligible mortgages available to be sold to supplement the cover pool (or to replace non-performing mortgages), it would be forced to pay cash or eligible securities, impacting negatively on Counterbalancy Capacity (the limit set by the Rules for these assets is 15%).
- Compliance risk. The articulate and accurate external legislation regulating Guaranteed Bank Bonds, together with management and internal operating rules, require a precise and formal structuring of activities under the Programmes, both during the up front and on going phases. The analysis of compliance requirements has been performed by the Compliance function.
- Reputational risk. Reputational risk is the possibility that the failure by BPER Banca to fulfil certain obligations arising from its role in the Programmes adversely affects the credibility and image of the Group on the market, resulting in a significant economic and financial impact. In addition to the risks outlined above, already existing at the inaugural issue, there are aspects associated with the multioriginator characteristic of the Programmes, which will be formally integrated into the body of the contract and management processes, as and when other Group Banks join the Programmes as originators.
- Risk of financial inadequacy. The regulatory provisions, in the discipline of Guaranteed Bank Bonds, in relation to the complexity of the contractual profiles and the possible impact on the technical structure of these transactions, require, among other things, a careful assessment of the impact on the financial stability of the bank. The analysis of the projects by the Board of Directors, highlighted:
  - regarding the impact on results, the transactions would have led to, with reference to available market data, a lower cost of funding compared with equivalent senior transactions and this would have allowed start-up costs to be fully covered, already in the first year, as well as to cover ongoing costs for the period. Under current market conditions, this original estimate may be considered highly conservative;
  - regarding the impact on the financial position, having valued the portfolio of eligible residential or commercial mortgage loans, at Group level, there was an assumed plan for 7 and 10 year issues respectively, for the first and second Programme, so as to have appropriate margins for restoration of the cover pool, if necessary, without this having an impact on the Group's financial position or commercial practices.

These findings have allowed the Board to determine that the transactions do not negatively affect the financial stability of the bank and of the Group as a whole.

In order to proceed with the renewal and extension of the OBG1 Programme - completed in January 2019 - the Board of Directors reiterated its assessments in this regard.

Organisational and management aspects of special purpose vehicles

With regard to organisational and management aspects of special purpose vehicles (in order to assess their adequacy in relation to the role assigned them) and the contracts entered into as part of the Programmes, "Reports on the transferee company" have been prepared by external legal consultants, in order to ensure that the contracts entered into as part of the Programmes contain clauses that ensure the regular and efficient performance of functions by the assignees, as required by the Regulations.

Assessment of legal aspects of the Programmes for Issue of Guaranteed Bank Bonds

Studio Legale Linklaters and Studio Legale Allen & Overy, for the GBB1 and GBB2 Programme respectively, also issued reports to assess the legal aspects of the activities involved in the Programmes in accordance with the Rules. The reports contain a thorough assessment of legal structures and contractual arrangements used, with particular attention to the characteristics of the guarantees given by the assignee companies and the overall relationships between and among the participants in the Programmes.

Annual assessment of the Programmes for Issue of Guaranteed Bank Bonds by Asset Monitor

Note that, under the regulations, the asset monitor – in this case PricewaterhouseCoopers s.p.a. replaced Deloitte & Touche s.p.a. in July 2017 – performs annual reviews of the Programmes' status and issues a report to the Board of Directors, the Board of Statutory Auditors and the Bank's Internal Audit Function.
To date, reviews have been performed for 2011, 2012, 2013, 2014, 2015, 2016 and 2017 without any significant findings emerging.

E. Prudential consolidation – Models for the measurement of credit risk

The BPER Banca Group does not have internal portfolio credit risk models (VAR methodology).

1.2 – Market risk

1.2.1 Interest rate risk and price risk - Trading portfolio reported for regulatory purposes

The Group's organisation provides for centralisation of the market risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

Qualitative information

A. General aspects

As a primary activity, the Group trades on own account.
The portfolio comprises all of the financial instruments acquired for trading purposes or for hedging a risk factor inherent to the portfolio.
"For trading purposes" is understood as being the purchase of financial instruments with the following features:

- exposure to managed risk factors (interest rate risk and price risk, exchange rate risk, issuer risk, counterparty risk and liquidity risk);
- trading done prevalently on active markets;
- securities issued by operators of prime standing.

The trading portfolio is managed according to exposure to the interest rate risk deriving from the overall asset-liability structure and, as a rule, does not include complex or innovative derivatives.
The trading portfolio comprises all those financial instruments not purchased with the aim of achieving equilibrium of the asset-liability structure, but with a view to contributing to the results of the year, optimising the overall risk-yield profile.
The size of the trading portfolio is closely linked to the liquidity position.
Arbitrage and short-term speculative activity with regard to listed derivatives are marginal with respect to routine trading on own account. The objective of the investment strategy underlying trading in these financial instruments is to maximise the overall risk/yield profile via appropriate diversification.
The Parent Company makes medium-term speculative investments in stock markets, in commodity derivatives, in mutual funds and, to a marginal extent, in hedge funds. However, this activity is just a small part of the transactions carried out in bond markets.
The trading portfolio governance process is centralised in BPER Banca to respond to the needs of central oversight of market risk and greater efficiency of Group investment processes.
This process implies that the individual Group banks remain responsible for optimisation of the yield from liquidity through treasury transactions with BPER Banca or, alternatively, by investing in floating rate or fixed rate bonds issued by the Bank.
In this way, the governance of market risk has been centralised by the Parent Company on the basis of decisions taken by the ALCO and Finance Committee, which is chaired by the Chief Executive Officer.

B. Management and measurement of interest rate risk and price risk

The BPER Banca Group's system of daily checking is consistent with market standards. Value at Risk (VaR) techniques are used to measure market risk.
VaR represents the estimated maximum potential loss, determined based on probabilities, that may be suffered by the aggregate concerned over a given time horizon (depending on the degree of liquidity of the portfolio) at a pre-determined level of probability (consistent with the investor's degree of risk aversion).
The method adopted for calculating VaR belongs to the class of "historical simulation" models, according to which the overall risk is determined on the basis of the historical distribution of the returns on the risk factors to which the financial instruments held are sensitive. The methodologies used to monitor market risks also include a sensitivity analysis based on parallel shifts in the market rate curves.
Currently, the daily calculation of VaR makes reference to two distinct time horizons, in order to meet both regulatory and operational requirements. In fact, an analysis is proposed with a time horizon of one month and with a confidence interval of 99% consistent with the Group's Risk Appetite Framework. This is accompanied by a further analysis with the same confidence interval, but on a daily time horizon, in order to monitor day by day the market risk dynamics of the Bank's proprietary portfolio. This model is only used for internal management purposes and is not involved in the calculation of the capital adequacy requirements regarding market risk.
The interest rate and price risk control process is centralised at BPER Banca and is carried out by the Risk Management Unit. Periodic information is assured by the distribution of specific daily and monthly reports.
The monitoring and control of interest rate risk of the trading portfolio aims to mitigate the risk in question, by defining certain limits (sensitivity, stop loss and position), in respect of the various risks borne, for portfolios managed by the appropriate Group structure. Limits are checked on a daily basis by the Financial Risk Department.
The daily monitoring and control of the price risk associated with the trading portfolio for regulatory purposes is performed via Value-at-Risk (VaR) analyses, in accordance with the method indicated above.

Quantitative information

3. Interest rate risk - Trading portfolio reported for regulatory purposes: internal models and methodologies for the analysis of sensitivity

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	**Present value**	**VaR**	**Var/Present Value**	**VaR**	**Var/Present Value**
BOT	20	-	0.00%	-	0.03%
BTP	35	2	5.71%	1	1.60%
CCT	-	-	0.00%	-	0.00%
Other government securities	14,220	161	1.13%	51	0.36%
Bonds	72,608	1,325	1.83%	419	0.58%
Equities	20	-	0.00%	-	0.00%
Mutual funds and Sicavs	-	-	0.00%	-	0.00%
Derivatives/Transactions to be settled	(62,282)	18,072	-29.02%	5,276	-8.47%
Effect of diversification		(6,707)		(1,977)	
Total portfolio 2018	**24,621**	**12,853**	**52.20%**	**3,769**	**15.31%**
Total portfolio 2017	**363,079**	**8,133**	**2.24%**	**2,572**	**0.71%**

The value of the trading portfolio at 31 December 2018 given a parallel shift of +/- 100 basis points (sensitivity analysis) is set out below.

	+100 b.p.	-100 b.p.
31 dec 2018	(34,735)	37,140
31 dec 2017	55,801	(42,945)

3. Price risk - Trading portfolio reported for regulatory purposes: internal models and methodologies for the analysis of sensitivity

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities	69,440	5,874	8.46%	1,858	2.68%
Mutual funds and Sicavs					
Derivatives/Transactions to be settled	2,140	1,136	53.08%	382	17.85%
Effect of diversification		(2,141)		(671)	
Total portfolio 2018	**71,580**	**4,869**	**6.80%**	**1,569**	**2.19%**
Total portfolio 2017	**164,699**	**7,380**	**4.48%**	**2,334**	**1.42%**

1.2.2 Interest rate risk and price risk - Banking book

Qualitative information

A. General aspects, management and measurement of interest rate risk and price risk

Interest rate risk represents the potential impact of unexpected changes in market rates on current profits and the equity value of the Parent Company. This risk typically affects the positions included in the banking book.

The exposure to interest rate risk can be further analysed into:

- income risk;
- investment risk.

Income risk derives from the possibility that an unexpected change in interest rates may reduce net interest income, being the difference between interest received and interest paid. This risk is measured by maturity gap models and depends on:

- the mismatch in the maturity structures of lending and funding, in cases where the related assets and liabilities are remunerated at fixed rates until final maturity;
- the mismatch of the review periods for rate conditions, in the case of floating-rate assets and liabilities.

The timing mismatches mentioned above expose BPER Banca to:

- refinancing risk: the risk arising when the average maturity period (period until the next rate review) is shorter for funding than for lending. In this case, the Bank is exposed to possible increases in interest rates (the Bank is Liability Sensitive);
- reinvestment risk: the risk arising when the average maturity period (period until the next rate review) is shorter for lending than for funding. In this case, the Bank’s net interest income will decline if interest rates fall (the Bank is Asset Sensitive).

Investment risk derives from the possibility that adverse changes in the value of all assets, liabilities and off-balance sheet instruments held by the Bank, following changes in interest rates, may destabilise the

equilibrium of the balance sheet. This risk is measured by duration gap and sensitivity analysis techniques.
The following types of interest rate risk are identified:

- *Repricing Risk:* risk associated with differences in the maturities (fixed rate) and the repricing dates (floating rate) of the assets and liabilities held in the portfolio.
- *Yield Curve Risk:* risk associated with changes in the gradient and shape of the yield curve.
- *Refixing Risk:* risk associated with the timing of changes in market parameters, for floating rate positions. More specifically, this is the risk that rate of rise in interest rates is more marked in the refixing periods for funding than in those for lending.
- *Basis Risk:* risk arising from the imperfect correlation between the indexation parameters for lending and funding, or from unfavourable changes in the gradient of the curve.
- *Optionality Risk:* risk associated with "explicit" or "embedded" options embedded in the banking book's assets and liabilities (e.g. cap/floor/collar, loan prepayment options).

Every month, BPER Banca monitors at both consolidated and legal entity level the impact that unexpected changes in market interest rates might have on the positions in the banking book, considering both current profits (sensitivity of net interest income) and the economic value of shareholders' equity:

- standpoint of current profits: the purchase of considering the impact on current profits is to evaluate interest risk with reference to the sensitivity of net interest income to rate changes over a given period of time. Adverse changes in net interest income potentially affect the financial stability of a bank by weakening its capital adequacy. The change in net interest income depends on the various types of risk;
- standpoint of economic value: changes in interest rates may affect the economic value of the Parent Company's assets and liabilities. The economic value of a bank is represented by the present value of its expected cash flows, defined as the sum of the present value of the cash flows to be generated by its assets, liabilities and positions in derivatives. By contrast with the standpoint of current profits, that of economic value identifies the risk generated by the repricing or maturity gap over a long time horizon.

The objectives to be pursued in support of the proper management of interest rate risk are:

- reduce the adverse effects of the volatility of net interest income (standpoint of current profits). The stability of net interest income is principally influenced by the yield curve risk, repricing risk, basis risk and optionality risk;
- immunise the economic value, being the sum of the present values of all the expected cash flows, generated by both sides of the balance sheet. By contrast with the standpoint of current profits, the standpoint of economic value takes a medium/long-term view and is principally associated with the repricing risk;
- ensure compliance with the related organisational requirements envisaged by the domestic and international supervisory bodies.
-

The model for the governance of rate risk is based on the following principles:

- consistency with BPER Banca's current business model in terms of autonomy and the coordination of the commercial and lending policies of Group companies;
- allocation to BPER Banca of powers to manage and coordinate, in order to ensure consistency in the overall governance of rate risk and compliance with regulatory requirements;
- segregation between governance processes and the management of rate risk.

The model for the management of interest rate risk focuses on the following measures of risk:

- sensitivity of net interest income;
- sensitivity of economic value.

Analysis of the sensitivity of net interest income identifies the impact of changes in interest rates as a result of parallel and other shocks.
The Bank calculates the sensitivity of net interest income holding rates and volumes constant. According to this model amounts maturing are reinvested on the assumption of constant volumes, rates and maturities.
The following shocks are considered:

- parallel shock of + 100 bps;
- parallel shock of +/- 50 bps;
- parallel shock of - 25 bps.

The indicator is calculated at both Group and Legal Entity levels.

Analysis of the sensitivity of economic value identifies the impact on the value of shareholders' equity of parallel and other shocks to the yield curve. This change is calculated by discounting all the cash flows using two different yield curves: the current curve at the analysis date and that following the shock, and comparing the two values.

$$\Delta VA = VA_{(Curva1)} - VA_{(Curva2)}$$

In order to incorporate the phenomenon known as prepayment[58] of loans, in measuring the sensitivity of economic value, a model was adopted according to which the amount of capital prepaid on a loan is estimated through a percentage of early repayment on the capital outstanding during the reference period. The percentage of prepayment defined in this way is maintained constant for the whole duration of the loan.
For the calculation of sensitivity, demand balances outstanding with customers are simulated using an econometric model which identifies a portfolio that replicates them, by allocating demand funding (lending) to a portfolio of liabilities (assets) with an identified effective repricing profile.

In addition to the risk measures mentioned above, the capital absorbed in relation to interest rate risk is also calculated. Sensitivity analysis is applied in order to estimate the capital absorbed, consistent with the standardised approach envisaged by the Supervisory Authorities. Under this approach, the capital absorbed in relation to the banking book's interest rate risk is the change in the economic value (defined as the present value of expected cash flows) caused by a rate shock of 200 basis points.

With regard to price risk, the banking book essentially includes transactions in equities, mutual funds and SICAVs classified in the financial statements as measured at fair value through profit or loss and other comprehensive income.
The monitoring of the aforementioned portfolio takes place through the Value at Risk (VaR) methodology presented in detail in the section on qualitative information: "Interest rate risk and price risk - Trading portfolio reported for regulatory purposes”.

[58] *Prepayment can be defined as a total or partial early repayment of the residual loan by the borrower.*

The Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

Quantitative information

2. Interest rate risk - Banking book: internal models and other sensitivity analysis methods

Below are the year-end figures at 31 December 2018 and their trends (minimum, average, maximum) of the management reporting year relating to the banking book's interest margin, against a parallel shift of 100/-50 basis points.

	+100 b.p.	-50 b.p.
31 December 2018	**78,267**	**3,547**
maximum change	96,756	6,244
minimum change	78,267	3,038
average change	87,401	4,509
31 December 2017	**80,737**	**6,879**

Below are the year-end figures at 31 December 2018 and their trends (minimum, average, maximum) of the management reporting year relating to the change in the value of the banking book, against a parallel shift of +/- 100 basis points (sensitivity analysis).

	+100 b.p.	-100 b.p.
31 December 2018	**(51,042)**	**(215,698)**
maximum change	81,529	(215,698)
minimum change	(3,248)	(88,630)
average change	4,479	(131,636)
31 December 2017	**112,211**	**(197,885)**

In relation to the valuation of interest rate risk, it should be noted that the VaR[59] of the overall securities portfolio (banking and trading) amounted to Euro 409 million (Euro 173 million at 31 December 2017[60]) and is substantially attributable to Italy's sovereign risk, which accounts a little less than 90% of the indicator for Euro 357 million (Euro 108 million at 31 December 2017).

[59] *VaR measured over a time horizon of one month.*
[60] *The VaR estimation method at 31 December 2017 was a parametric one, while the historical simulation VaR was adopted during 2018.*

2. Price risk - Banking book: internal models and other methodologies for the analysis of sensitivity

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities Instruments	344,594	27,998	8.13%	8,854	2.57%
Mutual funds and SICAVs	366,259	17,809	4.86%	5,632	1.54%
Derivatives/Transactions to be settled					
Effect of diversification		(7,224)		(2,284)	
Total portfolio 2018	**710,853**	**38,583**	**5.43%**	**12,202**	**1.72%**
Total portfolio 2017	**473,896**	**21,264**	**4.49%**	**6,724**	**1.42%**

1.2.3 Exchange risk

Qualitative information

A. General aspects, management and measurement of exchange risk

The BPER Banca Group is exposed to exchange risk as a consequence of routine funding and lending activities and, to a marginal extent, in relation to speculative activities.
The Parent Company's Financial Risk Department determines the exposure to exchange rate risk each day and summarises it monthly in a specific VaR report.

B. Hedging of exchange risk

The BPER Banca Group uses plain vanilla instruments for the operational hedging of exchange risk.

Quantitative information

1. Distribution by currency of assets and liabilities and derivatives

Items	Currency					
	USD	GBP	CHF	JPY	CAD	OTHER CURRENCIES
A. Financial assets	**2,107,383**	**104,608**	**10,587**	**2,829**	**3,272**	**10,082**
A.1 Debt securities	1,929,273	87,717	-	-	-	-
A.2 Equity securities	32,205	1,340	1,526	-	296	191
A.3 Loans to banks	19,886	4,555	1,071	1,233	1,870	8,563
A.4 Loans to customers	126,019	10,996	7,990	1,596	1,106	1,328
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	**3,472**	**2,134**	**1,080**	**202**	**626**	**1,230**
C. Financial liabilities	**2,019,090**	**103,078**	**11,003**	**3,903**	**3,870**	**15,692**
C.1 Deposits from banks	1,767,426	82,676	5	9	6	3,270
C.2 Deposits from customers	251,664	20,402	10,998	3,894	3,864	12,422
C.3 Debt securities in issue	-	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	**4,630**	**398**	**76**	**-**	**61**	**9**
E. Financial derivatives	**480,995**	**46,997**	**13,701**	**59,749**	**7,456**	**42,680**
- Options	-	-	-	-	-	-
+ Long positions	13,972	1,022	-	6,951	-	758
+ Short positions	85,979	2,617	-	6,908	-	505
- Other derivative instruments	-	-	-	-	-	-
+ Long positions	189,637	28,235	6,849	18,665	3,950	23,995
+ Short positions	191,407	15,123	6,852	27,225	3,506	17,422
Total Assets	**2,314,464**	**135,999**	**18,516**	**28,647**	**7,848**	**36,065**
Total liabilities	**2,301,106**	**121,216**	**17,931**	**38,036**	**7,437**	**33,628**
Net balance (+/-)	**13,358**	**14,783**	**585**	**(9,389)**	**411**	**2,437**

2. Internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the risk faced by the BPER Banca Group at 31 December 2018.

	VaR Time horizon: 10 days Confidence interval: 99%	VaR Time horizon: 1 day Confidence interval: 99%
2018 figures	2,593	823
2017 figures	61,708	19,514

1.3 Derivatives and hedging policies

1.3.1 Trading derivative instruments

A. Financial derivatives

A.1 Trading financial derivatives: notional values at the end of the period

Underlying assets/Type of derivatives	Totale 31.12.2018				Totale 31.12.2017			
	Over the counter				Over the counter			
	Central Counterparts	without central counterparties		Organized markets	Central Counterparts	without central counterparties		Organized markets
		with clearing arrangements	without clearing arrangements			with clearing arrangements	without clearing arrangements	
1. Debt securities and interest rate	**-**	**8,049,930**	**575,725**	**-**	**-**	**10,345,932**	**2,408,950**	**-**
a) Options	-	557,462	29,214	-	-	1,085,992	526,302	-
b) Swap	-	7,311,005	-	-	-	8,900,892	734,939	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	546,511	-	-	-	815,378	-
e) Others	-	181,463	-	-	-	359,048	332,331	-
2. Equities and stock indexes	**-**	**130,660**	**54,936**	**-**	**-**	**129,951**	**118,125**	**-**
a) Options	-	130,660	54,936	-	-	129,951	116,340	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	1,785	-
e) Others	-	-	-	-	-	-	-	-
3. Currencies and gold	**-**	**584,507**	**49,968**	**-**	**-**	**381,938**	**472,317**	**-**
a) Options	-	132,831	-	-	-	64,685	240,263	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	451,676	49,968	-	-	317,253	232,054	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
4. Goods	**-**	**9,983**	**-**	**-**	**-**	**-**	**25,474**	**-**
5. Other	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total	**-**	**8,775,080**	**680,629**	**-**	**-**	**10,857,821**	**3,024,866**	**-**

A.2 Trading financial derivatives: positive and negative fair value - regulatory trading portfolio

Types of derivatives	Total 31.12.2018				Total 31.12.2017			
	Over the counter			Mercati organizzati	Over the counter			Mercati organizzati
	Central Counterparts	Without central counterparties			Central Counterparts	Without central counterparties		
		With clearing arrangements	Without clearing arrangements			With clearing arrangements	Without clearing arrangements	
1. Positive fair value								
a) Options	-	7,125	36	-	-	13,024	7,861	-
b) Interest rate swap	-	70,004	-	-	-	69,325	34,115	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	3,243	4,018	-	-	2,809	3,610	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	6,234	-	-	-	-	10,708	-
Total	**-**	**86,606**	**4,054**	**-**	**-**	**85,158**	**56,294**	**-**
2. Negative fair value								
a) Options	-	24,386	1,747	-	-	11,670	12,058	-
b) Interest rate swap	-	109,019	-	-	-	142,303	33	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	3,508	1,008	-	-	5,589	2,039	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	3,608	-	-	-	8,131	-	-
Total	**-**	**140,521**	**2,755**	**-**	**-**	**167,693**	**14,130**	**-**

A.3 OTC trading financial derivatives - notional values, positive and negative fair value by counterparty

Underlyings	Central Counterparts	Banks	Other financial companies	Other entities
Contracts not included in clearing agreement				
1) Debt securities and interest rate				
- notional value	X	579,614	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
2) Equities and stock indexes				
- notional value	X	1,320	39	53,577
- positive fair value	X	-	16	20
- negative fair value	X	44	-	1,703
3) Currencies and gold				
- notional value	X	38,927	-	11,041
- positive fair value	X	3,935	-	83
- negative fair value	X	-	-	1,008
4)Goods				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
5) Others				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
Contracts included in clearing arrangements				
1) Debt securities and interest rate				
- notional value	-	6,853,531	161,292	1,035,107
- positive fair value	-	38,239	2,461	37,307
- negative fair value	-	127,039	2,768	500
2) Equities and stock indexes				
- notional value	-	96,345	2,314	32,000
- positive fair value	-	4,215	12	-
- negative fair value	-	1,869	351	-
3) Currencies and gold				
- notional value	-	241,307	59,640	283,561
- positive fair value	-	2,475	303	1,594
- negative fair value	-	1,625	536	5,832
4)Goods				
- notional value	-	9,983	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
5) Others				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-

A.4 Residual life of OTC financial derivatives: notional values

Underlying / residual	Up to 1 year	Over 1 year up to 5 year	Over 5 year	Total
A.1 Financial derivative contracts on debt securities and interest rates	1,389,693	5,092,602	2,147,249	8,629,544
A.2 Financial derivative contracts on equity securities and stock indexes	37,392	116,139	32,064	185,595
A.3 Financial derivatives on currencies and gold	613,343	36,618	651	650,612
A.4 Financial derivatives on goods	9,983	-	-	9,983
A.5 Other financial derivatives	-	-	-	-
Total 31.12.2018	**2,050,411**	**5,245,359**	**2,179,964**	**9,475,734**
Total 31.12.2017	**4,671,951**	**5,832,406**	**3,378,330**	**13,882,687**

B. Credit derivatives

B.1 Trading credit derivatives: end of period notional amounts

Type of transaction	Trading derivatives	
	with a single counterparty	with more than one counterparty (basket)
1. Protection purchases		
a) Credit default products	-	20,000
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Totale 31.12.2018	**-**	**20,000**
Totale 31.12.2017	**-**	**-**
2. Security sales		
a) Credit default products	-	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Totale 31.12.2018	**-**	**-**
Totale 31.12.2017	**-**	**-**

B.2 Trading credit derivatives: positive and negative gross fair value - breakdown for products

Types of derivatives	Totale 31.12.2018	Totale 31.12.2017
1. Positive fair value		
a) Credit default products	-	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
2. Negative fair value		
a) Credit default products	1	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-

B.3 OTC trading credit derivatives: notional values, gross fair value (positive and negative) for counterparties

	Central counterparts	Bank	Other financial companies	Other subjects
Contracts not covered by clearing agreements				
1) Purchase protection				
– notional value	X	-	-	-
– positive fair value	X	-	-	-
– negative fair value	X	-	-	-
2) protection sale				
– notional value	X	-	-	-
– positive fair value	X	-	-	-
– negative fair value	X	-	-	-
Contracts covered by clearing agreements				
1) Purchase protection				
– notional value	-	20,000	-	-
– positive fair value	-	-	-	-
– negative fair value	-	1	-	-
2) protection sale				
– notional value	-	-	-	-
– positive fair value	-	-	-	-
– negative fair value	-	-	-	-

B.4 Residual life of OTC trading credit derivatives: notional values

Underlying / residual	Up to 1 year	Over 1 year up to 5 years	Over 5 years	Total
1 Sale protection	-	-	-	-
2 Buy protection	-	20,000	-	20,000
Totale 31.12.2018	**-**	**20,000**	**-**	**20,000**
Totale 31.12.2017	**-**	**-**	**-**	**-**

B.5 Credit derivatives connected with the fair value option: annual changes

There are no amounts to be disclosed in this section

1.3.2 Accounting hedges

Qualitative information

A. Fair value hedges

Hedged Risk - Rate Risk

As already mentioned previously and in other parts of the financial statements, the corporate strategies provide for specific interventions aimed at the best possible management of interest rate risk. Among the intervention levers, the Group has recourse to derivative contracts (classified from an accounting point of view both as “hedging” and “trading”), used to reduce the sensitivity of the proprietary securities portfolio, loans granted and own bond issues, compared with a rise in risk-free rates.

The derivatives used for this purpose are:

- Interest Rate Swaps - IRS, over-the-counter negotiations, specific for each instrument of the asset to be hedged, or referring to several instruments with the same maturity. In these instruments, the BPER Banca Group pays fixed and receives floating interest;
- Futures, listed, generic with underlying German, Italian and US bonds.

Compared with what is shown, micro-hedge accounting is qualified only for hedging the interest rate risk connected to bonds in the banking book, classified among Financial assets measured at fair value through other comprehensive income and Financial assets measured at amortised cost, loans disbursed and classified as financial assets at amortised cost, using IRS-type derivatives for this purpose. Similarly, they have been qualified as hedges of bonds issued by the Group at a fixed rate.

Hedged risk - Credit / Counterparty Risk

Given the unexpected increase in credit/counterparty risk, the BPER Banca Group uses derivative instruments to reduce the sensitivity of the investment portfolio.

The derivatives used for this purpose are:

- Credit Default Swaps - CDS, traded over-the-counter, generic and linked to sub-indexes;
- Futures, listed, generic with underlying German, Italian and US bonds.

Compared with what is shown, the credit risk is hedged only by management, as no Hedge Accounting has been qualified.

B. Cash flow hedges

Hedged risk - Credit and/or Rate risk

The objective pursued by the Group in this case is to stabilise the contribution of the proprietary securities portfolio to the Bank's net interest income, in the event of a decrease in the credit risk of specific issuers and/or risk-free rates.

The derivatives used for this purpose are:

- Interest Rate Swaps - IRS, traded over-the-counter, specific for each issue to be hedged or for multiple issues with the same maturity. In this case the BPER Banca Group pays floating and receives fixed interest.

With respect to this management approach, the BPER Banca Group has classified some hedging relationships (micro-hedge accounting) solely with a view to minimising the risk of undesired fluctuation in market rates, using IRS derivative contracts as hedging instruments.

C. Foreign investment hedging assets

Hedged risk - Exchange rate risk

As part of the Group's operations in foreign currency instruments, the management of foreign exchange risk also occurs through derivatives, used to neutralise the sensitivity of the securities portfolio held in foreign currency, or in the event of exchange rate devaluation.

The derivatives used for this purpose are:

- Cross Currency Swaps, traded over-the-counter, specific for each issue to be hedged or for multiple issues with the same maturity. The BPER Banca Group pays the cash flows in foreign currency that it receives from the hedged asset and receives Euro.
- Repos in foreign currency

Compared with what is shown, the exchange rate risk is only hedged for management purposes, as none of them qualify for hedge accounting.

D. Hedging instruments

The Hedge Accounting implemented by the BPER Banca Group is therefore realized through the use of OTC IRS plain vanilla derivative contracts or with cap & floor options.

E. Hedged items

As mentioned, the BPER Banca Group currently has hedges on bonds in the banking book, on loans (mortgages) granted and on its own bond issues. Only the interest rate risk component is hedged in these instruments.

As already mentioned in Part A of the notes, the effectiveness of the hedge is assessed in the initial phase and continuously during its life, performing prospective and retrospective tests on a quarterly basis, applying the so-called "Dollar Offset Method".
For further details on how these tests are carried out and on the evaluation of the results in terms of effectiveness and ineffectiveness of the hedging relationships, see the information provided in Part A.

Quantitative information

A. Hedging financial derivatives

A.1 Hedging financial derivatives: notional values at the end of the period

Underlying assets / Type of derivatives	Totale 31.12.2018				Totale 31.12.2017			
	Over the counter			Organized markets	Over the counter			Organized markets
	Central Counterparts	without central counterparties			Central Counterparts	without central counterparties		
		with clearing arrangements	without clearing arrangements			with clearing arrangements	without clearing arrangements	
1. Debt securities and interest rate	-	**6,731,706**	-	-	-	**6,264,227**	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swap	-	6,731,706	-	-	-	6,264,227	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
2. Equities and stock indexes	-	-	-	-	-	-	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
3. Currencies and gold	-	-	-	-	-	-	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
4. Goods	-	-	-	-	-	-	-	-
5. Other	-	-	-	-	-	-	-	-
Total	-	**6,731,706**	-	-	-	**6,264,227**	-	-

A.2 Hedging financial derivatives: positive and negative fair value - regulatory trading portfolio

Types of derivatives	Positive and negative fair value								Change in the value used to calculate the effectiveness of the hedge	
	Total 31.12.2018				Total 31.12.2017				Total	Total
	Over the counter			Organized markets	Over the counter			Organized markets	31.12.2018	31.12.2017
	Central Counterparts	Without central counterparties			Central Counterparts	Without central counterparties				
		With clearing arrangements	Without clearing arrangements			With clearing arrangements	Without clearing arrangements			
Positive fair value										
a) Options	-	-	-	-	-	-	-	-	-	-
b) Interest rate swap	-	35,564	-	-	-	54,062	-	-	-	-
c) Cross currency swap	-	-	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-	-	-
Total	**-**	**35,564**	**-**	**-**	**-**	**54,062**	**-**	**-**	**-**	**-**
Negative fair value										
a) Options	-	-	-	-	-	-	-	-	-	-
b) Interest rate swap	-	92,374	-	-	-	24,384	-	-	-	-
c) Cross currency swap	-	-	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-	-	-
Total	**-**	**92,374**	**-**	**-**	**-**	**24,384**	**-**	**-**	**-**	**-**

A.3 OTC hedging financial derivatives - notional values, positive and negative fair value by counterparty

Underlyings	Central Counterparts	Banks	Other financial companies	Other entities
Contracts not included in clearing agreement				
1) Debt securities and interest rate				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
2) Equities and stock indexes				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
3) Currencies and gold				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
4) Other values				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
5) Other				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
Contracts included in clearing arrangements				
1) Debt securities and interest rate				
- notional value	-	6,692,298	39,408	-
- positive fair value	-	35,227	337	-
- negative fair value	-	92,374	-	-
2) Equities and stock indexes				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
3) Currencies and gold				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
4) Other values				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
5) Other	-	-	-	-
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-

A.4 Residual life of OTC hedging credit derivatives: notional values

Underlying / residual	Up to 1 year	Over 1 year up to 5 year	Over 5 year	Total
A.1 Financial derivative contracts on debt securities and	167,617	2,941,798	3,622,292	6,731,707
A.2 Financial derivative contracts on equity securities and	-	-	-	-
A.3 Financial derivative contracts on currency and gold	16,138	-	-	16,138
A.3 Financial derivative on goods	-	-	-	-
A.5 Other financial derivatives	-	-	-	-
Total 31.12.2018	**183,755**	**2,941,798**	**3,622,292**	**6,747,845**
Total 31.12.2017	**1,361,586**	**2,166,728**	**2,735,913**	**6,264,227**

B. Hedging credit derivatives

There are no amounts to be disclosed in this section.

C. Non-hedging derivatives

There are no amounts to be disclosed in this section.

D. Hedged instruments

There are no amounts to be disclosed in this section as the BPER Banca Group has decided to use the opt-out, which means that hedging transactions will continue to be managed in accordance with IAS 39.

E. Effects of hedging transactions on shareholders' equity

There are no amounts to be disclosed in this section as the BPER Banca Group has decided to use the opt-out, which means that hedging transactions will continue to be managed in accordance with IAS 39.

1.3.3 Other information on derivatives (trading and hedging)

There are no amounts to be disclosed in this section.

1.4 Liquidity risks

Qualitative information

A. General aspects, management and measurement of liquidity risk

The BPER Banca Group has a specific policy for the management of liquidity risk (Group Policy for Liquidity and Funding Risk Governance), which includes the plan covering the objectives, processes and strategies for action (Contingency Funding Plan).

Group Policy for Liquidity and Funding Risk Governance

This document, which forms an integral part of the Risk Appetite Framework of the BPER Banca Group, defines the principles, objectives and methods of governance and monitoring of liquidity and funding risk at Group level.
More specifically, it contains:

- the definition of the governance model in terms of the parties involved in risk governance and their roles and responsibilities;
- definition of limits and mitigating actions aimed at risk containment;
- the formalisation of risk management methods, through the establishment of rules, procedures and metrics for the measurement and monitoring of liquidity and funding risk, describing the Stress Test model adopted to evaluate the risk exposure in stress scenarios.

Liquidity risk typically crystallises in the form of failure to meet payment obligations; it may take various forms, depending on the circumstances in which the risk arises. With reference to the definitions adopted at international level, a distinction is made between funding liquidity risk and market liquidity risk.
Funding liquidity risk is the risk that the Parent Company will not be able to make, in an efficient manner, expected and unexpected cash payments, both current and future, nor will it be able to meet collateral obligations, without an adverse effect on current operations or its financial position.
Market liquidity risk, on the other hand, is the risk that the Parent Company is not able to sell a financial asset without incurring a capital loss due to poor liquidity or disorder in the reference market.
These two forms of liquidity risk are often highly correlated, and may crystallise as a result of the same underlying factors. Market liquidity risk is usually considered to be a type of market risk (price risk); accordingly, the processes and rules for measuring, controlling and mitigating liquidity risk focus on the funding risk aspect.
In the context of funding risk, a distinction is made between:

- mismatch liquidity risk, being the liquidity risk implicit in the structure of the Parent Company's assets and liabilities due to the transformation of maturities typical of financial intermediaries, when the profile of cash outflows is not perfectly matched by the profile of cash inflows (with reference to contractual maturities and routine behaviour);
- contingency liquidity risk, being the risk that future events may require access to significantly more liquidity than previously planned by the Group; in other words, this is the risk of not being able to settle sudden and unexpected payment commitments in the short or very short term.

Liquidity risk can derive from different types of sources. In particular, two macro-categories are considered:

- Endogenous sources of liquidity risk: these include, among specific adverse events for the Group, a rating downgrade or other event that causes the market to lose confidence in the Group. Such a downgrade or a widespread market perception of a deterioration in the Group's solidity (which could arise from other risks, such as major losses on the trading book or loan portfolio) might also result in:
  - reduced access to the market for unsecured funds (e.g. commercial paper) by institutional investors;
  - a reduction in or cancellation of interbank lines of credit;
  - the withdrawal of deposits by retail customers;
  - an increased need for liquidity, for example a request to increase margins and guarantees due, or the need to finance assets that can no longer be sold or converted into securities through securitisations.
- Exogenous sources of liquidity risk include:
  - systemic events that cause a liquidity crisis in the market (political and financial crises, catastrophic events, etc.);
  - specificity of some financial products (derivative contracts, stock-borrowing contracts), where events, such as sudden market movements, bankruptcies or downgrades in the ratings, could trigger a request for further collateral from counterparties;
  - commitments relating to committed lines that in the event of a crisis could generate an increase in the demand for liquidity on the part of customers; endorsement credits or committed lines facilities stipulated with special purpose vehicles in connection with securitisations act in a similar way;
  - structural changes in the market that can lead to an increase in the liquidity risk perceived overall (increasing system demand for more volatile funding sources such as wholesale funds, rapid movement of accounts via internet banking).

Consistent with the Group Guidelines - Internal Control System, the management of liquidity risk can be broken down into the following components:

- definition of risk objectives,
- risk-taking,
- risk management,
- definition of risk exposure and operational limits.

The Group's governance model of short-term liquidity (operating liquidity) is based on centralised governance of liquidity and the related risk. In particular, the Parent Company:

- is responsible for the liquidity policy,
- governs short-term liquidity,
- determines and manages the funding plan,
- monitors liquidity risk,

for all Group banks and companies covered by the policy.

Funding/lending transactions involving liquidity are centralised at the Treasury and Institutional Liquidity Office to ensure that the Group's overall liquidity is managed efficiently:

- by optimising access to liquidity markets in terms of volumes and costs, exploiting the creditworthiness of the Group and minimising the cost of funding;

- by centralising "rating sensitive" funding transactions, as well as interventions on the money market;
- by implementing a principle of functional specialisation through centres of competence for secured funding transactions (issues of secured instruments, funding from particular categories of institutional investors, etc.).

The Group's governance model for long-term liquidity (or "structural liquidity") is based on the following principles:

- attribution to the Parent Company of the prerogatives for the management and coordination of the commercial and credit policies of Group Companies to ensure consistency in the overall governance of funding risk and to ensure compliance with the requisites envisaged by the regulations;
- communication of decisions and clear division of responsibilities between management, control and operational bodies;
- development of processes for the governance and control of funding risk that are consistent with the Group's reporting structure and by using the governance model formalised by this policy.

From the principles listed above derives a model based on integrated governance of the structural liquidity risk among all Group banks/companies included in the scope of consolidation. Specifically, this model is characterised by the following aspects:

- governance of the structural liquidity risk assigned to individual Group companies within the framework of a system of individual and consolidated limits defined by the Parent Company and formalised in this policy;
- control of structural liquidity risk centralised at the Parent Company.

The Policy and its updates approved by the Parent Company's Board of Directors once they have been reviewed or proposed by the Risk Committee. It is then adopted by the Board of each Group bank/company covered by the policy.

Pursuit of the above objectives takes account of the following aspects:

- segregation of responsibilities and roles between the internal functions responsible for managing liquidity and those responsible for managing liquidity risk;
- measurement of the exposure to liquidity risk, according to the Liquidity Risk Mismatch Model;
- definition of a Group Contingency Funding Plan that establishes the liquidity policy to be followed in a crisis scenario caused by endogenous and/or exogenous factors.

The Liquidity Policy Mismatch Model is based on the liquidity policy and on the metrics and tools aimed at managing liquidity risk, split into short-term liquidity and medium/long-term liquidity. In particular:

- the purpose of managing short-term (operational) liquidity risk is to manage the events affecting the Group's liquidity position over time horizons from 1 day to 1 year, with the paramount objective of maintaining the Group's ability to meet routine and special payment commitments, while minimising the related costs;
- the purpose of managing medium/long-term (structural) liquidity risk, deriving from events that affect the Group's liquidity position over a time horizon in excess of one year, is to maintain a suitable dynamic between medium/long-term assets and liabilities, while avoiding pressure on the current and future sources of short-term liquidity and, at the same time, optimising the cost of funding.

The metrics for monitoring short-term liquidity risk include:

- calculation of the liquidity mismatch having regard for the assets that can be promptly converted to cash, comprising the portfolio of eligible and marketable securities, as well as any reserves under the form of working capital;
- maintaining the lending-funding maturing in the various time bands within a cumulative limit expressed in absolute terms; daily checking for internal operational purposes and weekly checks using the methodologies defined by the Supervisory Authorities.

The metrics for the monitoring of structural liquidity risk include calculation of the liquidity mismatch which, operationally, involves:

- calculating the gap ratio between assets and liabilities in the time bands that exceed one year;
- the use of statistical/quantitative behavioural models for items without contractual maturities or which are subject to options;
- the performance of periodic stress tests which, based on the application of endogenous and exogenous shock scenarios, generate deterministic and/or probability-based indicators of risk.

The Group's liquidity position is monitored both under normal conditions and at times of stress: scenario analysis is carried out once a month by the Risk Management Department.

When carrying out stress analysis, scenarios are constructed with reference to events of a systemic nature (Market Stress Scenario) as well as those specific to BPER Banca (Name Crisis Stress Scenario) and with a combination of the two (Composite Scenario), taking account of the macroeconomic environment, commercial policies and potential changes in the behaviour of customers.

Contingency Funding Plan

The Contingency Funding Plan formalises the process of liquidity management under stress or crisis scenarios. The business functions responsible for monitoring and managing liquidity risk must be able to carry out their activities both under normal conditions and at times of stress and/or liquidity crises that are unlikely to occur, but which would have a significant impact.

In view of the governance model of the liquidity and funding risk previously illustrated, BPER Banca - as the lender of last resort for all Group subsidiaries - guarantees their short, medium and long-term solvency and is responsible for activating the Contingency Funding Plan, regardless of where in the Group the liquidity crisis arises.

The purpose of the Contingency Funding Plan is to safeguard the net assets of the Bank at the early stages of liquidity stress and to guarantee the Group’s continuity in the event of a serious and/or prolonged liquidity crisis, by:

- defining a process for the identification and monitoring of risk indicators that signal and measure the stages in a liquidity crisis;
- identifying ex ante a system of predetermined but flexible actions to be implemented in the early stages of a crisis;
- determining the roles and responsibilities of each business function;
- identifying the internal regulations that may be invoked to justify the actions of the BPER Banca Group’s management, which at a time of crisis must be authorised to modify on a timely and perhaps radical basis the structure of the assets and liabilities in the balance sheet.

A state of liquidity crisis is defined as a situation in which a Group finds it difficult or impossible to settle the cash payments falling due, except by activating procedures and/or using tools with an intensity or in a manner not envisaged as part of ordinary administration.

Liquidity crises fall into two broad categories:

- systemic or "market driven" liquidity crises generated by market, political or macroeconomic crises;
- specific liquidity crises or "name crises" limited to the Group or to one or more Group companies/banks.

Considering the types of liquidity crisis and their scale, three operational scenarios have been identified:

- ordinary course of business;
- state of stress;
- state of crisis.

Depending on the scenario, the actions required and the functions involved in its management can be identified.

The operational scenario faced by the Group is identified by monitoring the system of early warnings, which comprises a series of indicators that flag the scenario with reference to progressive levels of stress/crisis associated with one or more drivers. Depending on the level of stress/crisis identified, monitoring and/or communications procedures are activated in preparation for implementing procedures designed to manage the state of stress or state of crisis concerned.

The Contingency Funding Plan and its revisions must be approved by the Board of Directors of the Parent Company.

B. Liquidity indicators

The new harmonised rules for banks and investment companies contained in EU Regulation 575/2013 (CRR), as currently updated, also introduced new liquidity indicators:

- Liquidity Coverage Ratio (LCR): this is an indicator of coverage of short-term liquidity whose purpose is to force banks to accumulate sufficient high-quality assets that are readily convertible into cash, in order to deal with a scenario of high stress on the funding side over a period of thirty days. At 31 December 2018 it was 154.3% calculated as a ratio of 7,258 million of highly liquid assets and 4,704 million of net cash outflows.
- Net stable funding ratio (NSFR): a structural long-term indicator that is measured with a view to reporting any mismatches between liquid assets and liabilities. At 31 December 2018, the indicator stood at 106.8%. The liquidity requirements are over 100%, so above the minimum requirements of Basel 3.

Alongside these indicators, the legislation also sets the leverage ratio which is highlighted in the Directors' Report on Operations under the heading "Key figures".

Quantitative information

1.Time breakdown by contractual residual maturity of financial assets and liabilities
EURO

Items/Time	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months
Cash assets	**7,129,157**	**851,732**	**813,160**	**2,054,674**	**2,807,405**
A.1 Government securities	-	1	-	-	-
A.2 Other debt securities	7,046	14,148	6,337	18,413	114,781
A.3 UCITS units	338,313	-	-	-	-
A.4 Loans	6,783,798	837,583	806,823	2,036,261	2,692,624
- Banks	461,577	6,401	491	41,390	23,317
- Customers	6,322,221	831,182	806,332	1,994,871	2,669,307
Cash liabilities	**38,410,147**	**3,090,911**	**591,839**	**531,838**	**1,037,105**
B.1 Deposits and current accounts	37,659,303	146,724	95,049	100,221	529,367
- Banks	369,571	-	-	1,197	-
- Customers	37,289,732	146,724	95,049	99,024	529,367
B.2 Debt securities	38,585	65,746	40,522	68,883	297,662
B.3 Other liabilities	712,259	2,878,441	456,268	362,734	210,076
Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	-	10,440	13,372	56,328	81,946
- Short positions	-	122	22,391	31,651	35,748
C.2 Cash settled financial derivatives					
- Long positions	69,676	-	-	-	-
- Short positions	89,009	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	1,748,452	-	-	-
- Short positions	-	1,485,127	-	-	97,194
C.4 Irrevocable commitments to disburse funds					
- Long positions	14,530	-	3,950	-	8,361
- Short positions	16,904	-	3,950	426	8,361
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	1	-	-	-	-
- Short positions	-	-	-	-	-

1.Time breakdown by contractual residual maturity of financial assets and liabilities
EURO

(cont.)

Items/Time	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	Undefined maturity
Cash assets	**2,804,760**	**4,968,328**	**20,188,160**	**23,412,987**	**903,280**
A.1 Government securities	2,021	158,051	1,460,469	3,843,810	-
A.2 Other debt securities	174,139	170,265	3,248,631	4,585,772	983
A.3 UCITS units	-	-	-	-	-
A.4 Loans	2,628,600	4,640,012	15,479,060	14,983,405	902,297
- Banks	17,371	19,202	3,023	791	898,873
- Customers	2,611,229	4,620,810	15,476,037	14,982,614	3,424
Cash liabilities	**1,416,141**	**1,078,178**	**12,796,980**	**2,245,873**	**-**
B.1 Deposits and current accounts	735,120	258,046	17,448	3	-
- Banks	-	-	-	1	-
- Customers	735,120	258,046	17,448	2	-
B.2 Debt securities	456,242	641,700	2,988,111	753,820	-
B.3 Other liabilities	224,779	178,432	9,791,421	1,492,050	-
Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	64,022	64,195	10,189	267	-
- Short positions	49,420	53,317	7,150	260	-
C.2 Cash settled financial derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	-	-	-	-
- Short positions	166,130	-	-	-	-
C.4 Irrevocable commitments to disburse funds					
- Long positions	5,000	6,768	502,749	204,259	-
- Short positions	5,188	16,744	402,824	497,982	-
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-

1.Time breakdown by contractual residual maturity of financial assets and liabilities
OTHER CURRENCIES

Items/Time	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months
Cash assets	**74,931**	**5,674**	**38,640**	**31,293**	**99,406**
A.1 Government securities	-	-	-	-	-
A.2 Other debt securities	-	-	24,397	17,563	26,321
A.3 UCITS units	22,468	-	-	-	-
A.4 Loans	52,463	5,674	14,243	13,730	73,085
- Banks	30,258	2,223	236	1,205	678
- Customers	22,205	3,451	14,007	12,525	72,407
Cash liabilities	**282,804**	**13,235**	**339,049**	**495,967**	**1,012,938**
B.1 Deposits and current accounts	282,218	122	4,175	244	14,883
- Banks	4,505	-	-	-	-
- Customers	277,713	122	4,175	244	14,883
B.2 Debt securities	-	-	-	-	-
B.3 Other liabilities	586	13,113	334,874	495,723	998,055
Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	-	10,653	22,556	31,771	35,145
- Short positions	-	2,363	13,640	67,011	83,805
C.2 Cash settled financial derivatives					
- Long positions	121	-	-	-	-
- Short positions	3,650	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds					
- Long positions	-	685	376	721	-
- Short positions	96	727	237	721	-
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-

1.Time breakdown by contractual residual maturity of financial assets and liabilities
OTHER CURRENCIES

(cont.)

Items/Time	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	Undefined maturity
Cash assets	**34,141**	**124,518**	**1,501,910**	**533,870**	**-**
A.1 Government securities	-	-	124,601	105,796	-
A.2 Other debt securities	21,550	111,107	1,372,030	428,074	-
A.3 UCITS units	-	-	-	-	-
A.4 Loans	12,591	13,411	5,279	-	-
- Banks	353	2,829	-	-	-
- Customers	12,238	10,582	5,279	-	-
Cash liabilities	**4,086**	**1,634**	**-**	**-**	**-**
B.1 Deposits and current accounts	4,086	1,634	-	-	-
- Banks	98	-	-	-	-
- Customers	3,988	1,634	-	-	-
B.2 Debt securities	-	-	-	-	-
B.3 Other liabilities	-	-	-	-	-
Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	49,630	54,724	7,125	325	-
- Short positions	66,036	66,619	10,510	325	-
C.2 Cash settled financial derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds					
- Long positions	-	-	919	-	-
- Short positions	-	-	919	-	-
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-

As required by the regulations, liquidity risk includes the self-securitisations carried out by the BPER Banca Group and outstanding in 31, as shown below.

Estense Finance self-securitisation

During 2009, BPER Banca completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999, with a view to strengthening the funding available to tackle liquidity risks.
This operation involved the without-recourse sale of a block of 20,198 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,922,631,856, to Estense Finance s.r.l., a company formed pursuant to Law 130 that is 9.9% owned by the Bank.
The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by BPER Banca.
The operation physiologically ended in June 2018, after nine years of virtuous management.

Casa d'Este self-securitisation

Transaction arranged in November 2004 by Cassa di Risparmio di Ferrara with the sale to Casa d'Este Finance s.r.l. of residential and commercial mortgages originally amounting to Euro 281 million. The Senior notes of the transaction, after the payment date of December 2018, have been fully repaid, while the Mezzanine and Junior notes amount to Euro 35.2 million and Euro 1.4 million respectively.
In 2018, the Parent Company BPER Banca purchased the remaining Mezzanine and Junior Notes, bringing the operation back to self-securitisation.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2018	Rating Moody's
IT0003747786	Senior	15/09/2016	150,000	-	-
IT0003747794	Senior	15/09/2021	94,500	-	
IT0003747802	Mezzanine	15/09/2021	35,200	35,200	Ba1
IT0003747810	Junior	15/09/2021	1,360	1,360	-
Total			**281,060**	**36,560**	

Casa d'Este self-securitisation

Transaction arranged in December 2008 by Cassa di Risparmio di Ferrara, with loans originally amounting to Euro 382.55 million that were sold to the same SPV mentioned above. The Senior notes of the transaction, after the payment date of October 2018, have been fully repaid, while the Mezzanine and Junior notes amount to Euro 78.9 million and Euro 1.9 million respectively.
In 2018, the Parent Company BPER Banca purchased the remaining Mezzanine and Junior Notes, bringing the operation back to self-securitisation.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2018	Rating Moody's
IT0004440365	Senior	ott-2050	270,000	-	
IT0004440456	Senior	ott-2050	30,000	-	
IT0004440571	Mezzanine	ott-2050	80,650	78,878	Caa1
IT0004440589	Junior	ott-2050	1,900	1,900	-
Totale			**382,550**	**80,778**	

Sardegna Re-Finance self-securitisation

During 2017, Banco di Sardegna completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999 to strengthen the funding available - through BPER Banca - to control liquidity risk.

This operation involved the without-recourse sale of a block of 19,494 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,494,858,369, to Sardegna Re-Finance s.r.l., a company formed pursuant to Law 130.

The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by Banco di Sardegna.

The objective of this operation, which did not involve the market, was to create a reserve of liquidity via the issue of securities eligible for refinancing with the ECB - through BPER Banca - and for use as collateral for other funding transactions. It represents one aspect of the liquidity management activities arranged by the BPER Group.

The securities have been rated by Moody’s and DBRS.

As structured, the sale does not transfer to third parties, with respect to the originator bank, the real credit risk associated with the underlying loans. Accordingly, pursuant to the provisions of IAS 39 on the subject of derecognition, the securitised loans remain classified as an asset in Banco di Sardegna's balance sheet and are explained in the notes.

Since the possibility of subsequent sales of loan portfolios was envisaged - within 24 months from the December 2017 closing date - to be followed by an adjustment of the securities issued due to an increase in their respective pool factor values, there were two further sales of mortgages, selected with criteria similar to those used for the first sale, of Euro 443 and Euro 175 million, respectively, in June and December 2018. The portfolio has therefore reached its maximum capacity already after 12 months and the operation has been consolidated as follows: no further sales of loans will follow and their ordinary amortisation will continue, generating the normal progressive repayment of the notes issued.

Classes	A	J
Issue amount	1,668,800,000	531,200,000
Currency	0.88153164	0.88170849
Maturity	Euro	Euro
Listing	22.12.2060	22.12.2060
ISIN Code	Dublin Stock Exchange	Unlisted
Amortisation	IT0005317034	IT0005317042
Indexation	Pass Through	Pass Through
Spread	Euribor 3m	Non indicizzato
Spread	0.80%	Residual
Moody's issue rating	Aa2	Unrated
DBRS issue rating	AA (low)	Unrated
Current Moody's rating	Aa3	Unrated
Current DBRS rating	AA (low)	Unrated

Multi Lease AS self-securitisation

Towards the end of 2015 (with the issue of securities in February 2016) Sardaleasing s.p.a. arranged a self-securitisation named Multi Lease II in response to the need to transform the assets of the Group into negotiable securities eligible for repo transactions with the ECB. This securitisation was closed out early, in July 2018, with the repurchase of the residual portfolio for about Euro 614 million with economic effect on 30 June 2018.

Pursuing the original objective, the company - in collaboration with the Parent Company - has already completed preparations for a new operation, named Multi Lease III, with an underlying portfolio of performing lease contracts; in particular, criteria for selecting the performing contracts have been defined in collaboration with the Arranger (Zenith Services) and the Legal Advisor (Baker McKenzie), a preliminary analysis of the eligible portfolio has been carried out and the two Rating Agencies (Standard & Poor's and DBRS) have completed their due diligence work. The inclusion of leases arranged in 2016-2018 and contracts that were not yet eligible at the end of 2015 has resulted in the achievement of critical mass for the loans to be assigned to Multilease AS, the SPV, totalling Euro 1,200 million. The positive preliminary results of the analysis of the agencies allowed the inclusion of the so-called "pool energy" for the first time for an amount of about 50 million. The sale of the pool of performing lease contracts to Multilease AS was formalised on 3 August for a spot capital price of Euro 1,135 million, as well as a residual amount of Euro 4 million (corresponding to the Accrued Interest at 1 July 2018, which was the Portfolio Valuation Date). As in the previous Multi Lease II transaction, the so-called redemption/option price was not assigned to the SPV, in order to be compliant with the requirements of the ECB.

Furthermore, the retention structure of the transaction has been confirmed, that is, the securities have been subscribed for by the Originator (Sardaleasing) and subsequently loaned to the Parent Company and used as collateral for repo transactions with ECB.

The total amount of these notes after the repayment on the payment date (21 January 2019) – repayment of principal Euro 112,113,812.43 and interest Euro 771,742 - is Euro 1,023,057,187.57 made up as follows:

- Class A Senior Notes – 682,586,187.57
- Class B Junior Notes – 340,471,000.00

The residual balance of the portfolio at 31 December 2018 amounted to Euro 1,037,063,035.34 for a total of 5,185 contracts, including Euro 284,956.80 of unpaid principal instalments.
Based on the servicing contract, credit monitoring and loan recovery remain with the Servicer, which takes all steps possible to collect any loan instalments that have not been repaid or defaulted loans included in the securitised portfolio, using the same recovery policies applied to the non-securitised part of the loans.

Dedalo Finance self-securitisation

In 2011, before it was acquired by BPER Banca, Cassa di Risparmio di Bra s.p.a. completed a self-securitisation under Law 130/99, which allowed the sale of loans by transforming them into securities eligible for refinancing at the European Central Bank. The operation was a multioriginator and through joint use of the portfolios of Cassa di Risparmio di Bra s.p.a., Banca Alpi Marittime s.c. and Bcc di Pianfei e di Rocca de Baldi s.c.p.a., made it possible to combine the advantages in terms of lower costs without any penalisation compared with the situation of the individual bank's portfolio. The sale involved the portfolios of performing residential mortgage loans granted to households, which were sold to a company called Dedalo Finance S.r.l., that financed the purchase by issuing bonds.
Each of the loan portfolios sold was rated by two rating agencies to determine the overall quality and structure of the bond issue. Each bank continues to manage its credit position, in terms of both risk management and control, and the business relationship with the customer by virtue of a servicing agreement signed with the SPV.
The structure of the operation involved issuing two tranches of senior securities with two AAA ratings, used for refinancing with the BCE, and one tranche of junior securities. Both tranches of securities were subscribed by each bank in proportion to the loans sold.

The securities issued during the operation are as follows:

- Senior Securities (class A) issued for a total of Euro 166,800 thousand, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 77,000 thousand (at 31 December 2018 the securities show a nominal value of Euro 20,031 thousand).
- Junior Securities (class B) issued for a total of Euro 33,837 thousand, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 15,625 thousand (at 31 December 2018 the securities show a nominal value of Euro 15,625 thousand).

The securities have gained eligibility at the European Central Bank.

1.5 Operational risk

Qualitative information

A. General aspects, governance and measurement methods of operational risk

Operational risk is "the risk of losses due to inadequate or dysfunctional procedures, human resources or internal systems, or to exogenous events, including the legal risk[61]".
The BPER Banca Group adopts the Traditional Standardised Approach (TSA) to calculate the individual capital requirement for operational risk. The Own Funds requirement is calculated using the standardised approach by determining the three-year average of the sum of the annual Own Funds requirement for the lines of business in which the relevant indicator was classified[62].

Note that, on the basis of the principles of organisational separation and independence of functions exercising second and third level control activities, it is envisaged that there is:

- a first level control of operational risk;
- a function that performs second level controls of operational risk within the Risk Management Department, part of the Credit and Operational Risk Management Unit;
- a function for third level controls that is attributed to the Internal Audit Department, in accordance with the Group's internal control system.

Operational risk management is based on the following principles:

- identification: operational risks are identified, highlighted and reported to senior management;
- measurement and assessment: the risk is quantified by determining the impact on business processes, inclusive of the financial impact thereon;
- monitoring: monitoring of operational risk and of exposure to significant losses is ensured, generating information flows that favour active risk management;
- mitigation: appropriate measures have been taken to mitigate operational risk;
- reporting: a reporting system has been set up to report on operational risk management.

The collection and storage of data relating to loss events is done by means of the Group's Loss Data Collection process.
The process of Loss Data Collection is supported by special IT tools, which are under constant development, to ensure the integrity and quality of data.
The assessment of operational risk exposure, which is performed by means of risk self assessment and scenario analysis, is aimed at determining, with an annual time horizon and for significant operating segments:

- the extent of exposure to operational risk;
- an assessment of the adequacy of line processes and controls.

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[61] *See (EU) Regulation 575/2013 of the European Parliament and the Council of 26 June 2013 on prudential requirements for credit institutions and investment companies (CRR) – Part one, Title I, art. 4. Legal risk is the risk of losses resulting from violations of laws or regulations, from contractual or extra-contractual liability or from other disputes.*
[62] *See CRR – Part three, Title III, Chapter 3, art.317.*

In 2015, the Group implemented an analytical framework for IT risk, in compliance with Circular 285 of 17 December 2013, with the aim of providing an overview of the current risk situation and the remedy plan needed to avoid exceeding the threshold set for the Group's risk appetite.

In 2017, the Group implemented a reputational risk management framework in accordance with applicable regulations and best practice to continuously oversee and monitor the risk and to mitigate any abnormal situations. With this purpose in mind, objectives and risk exposure and operational limits were established, given that there is no requirement to quantify internal capital in relation to reputational risk.
The Parent Company prepares detailed reports for senior management and the heads of central organisational units concerning the operational losses that occurred during the period and mitigating actions planned for their resolution and a report to the operational structures to make them aware of the losses incurred and of the anomalies to be mitigated.
Specific reporting requirements have also been established by the IT and reputational risk management framework.

Membership by the BPER Banca Group of the DIPO consortium[63] allows the Bank to obtain feedback about the operational losses reported by the other Italian banks that are members. The Parent Company uses these feedback to analyse positioning in comparison to that indicated by the system and as support for specific assessments of processes in order to implement any corrective measures that may be needed.
Operational risk management includes the various steps involved in the process of Business Continuity Management. This process is designed to maintain an appropriate level of attention regarding operational continuity and to avoid the progressive obsolescence of organisational measures (rules, impact assessment, scenarios, emergency measures, operating plans etc.) taken to ensure the continuity of critical business processes.

Quantitative information

The following is the distribution of the number of events and operating losses recorded in 2018, divided into the following risk categories:

- internal fraud: losses due to fraud, embezzlement or circumvention of regulations, laws or company policies, excluding incidents of discrimination or failure to apply equal treatment, which involves at least one internal resource of the entity;
- external fraud: losses due to fraud, embezzlement or violation/circumvention laws, by a third party;
- employment and safety at work: losses arising from acts not in compliance with laws or agreements in respect of employment, health and safety at work, from the payment of compensation for personal injuries or incidents of discrimination or failure to apply equal treatment;
- customers, products and business practices: losses arising from unintentional or negligent non-performance relating to professional obligations to specific clients (including fiduciary and suitability requirements), or from the nature or characteristics of the product;

[63] Database Italiano Perdite Operative (Italian Database of Operational Losses) which the BPER Banca Group has participated in since 2003. The DIPO observatory is a service provided by the Italian Banking Association designed to support the development of Operational Risk Management and to create a methodology for gathering and exchanging information on operational losses suffered by members.

- damage to fixed assets: losses resulting from loss or damage to assets from natural disasters or other events;
- business interruption and system failures: losses arising from business interruption or system failures;
- performance, delivery and management of processes: losses due to weaknesses in the handling of transactions or management of processes, as well as losses due to relations with business partners and suppliers.

Figure 1 – Breakdown by Frequency

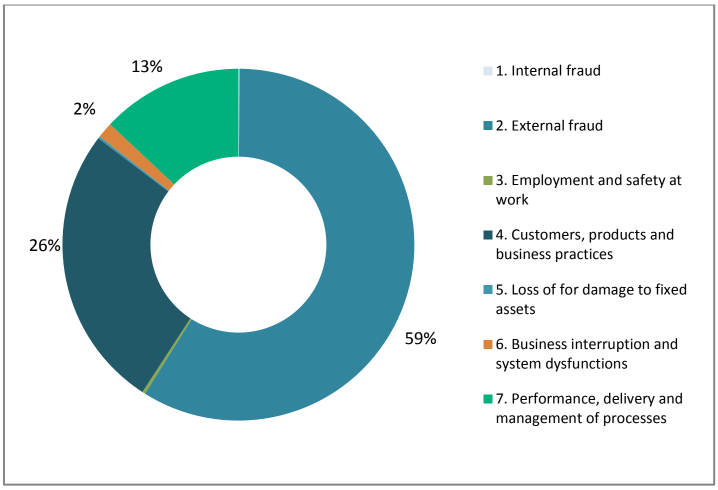
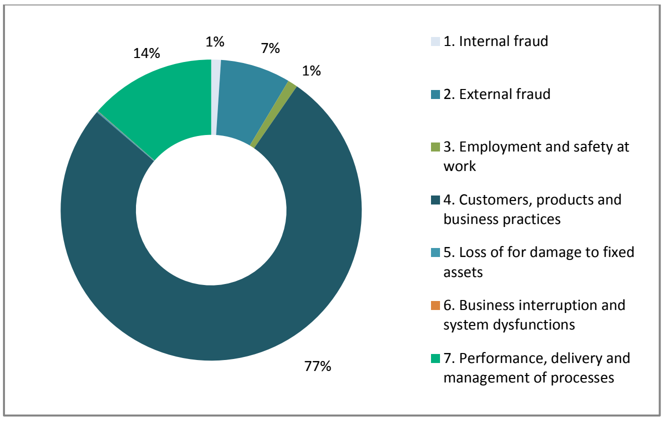


Figure 2 – Breakdown by Frequency



An analysis of the graphs shows that the most relevant type of event in terms of frequency is:

- "External fraud" with 59% of the total frequency;
- "Customers, products and business practices", with 26% of the total frequency.

In terms of economic impact the most significant events related to:

- "Customers, products and business practices", with 77% of the total gross loss;
- "Performance, delivery and management of processes", with 14% of the total gross loss.

Section 3 - Risks of insurance companies

The scope of consolidation does not include insurance companies.

Section 4 - Risks of other companies

This section has a zero value, as already explained in part A of these notes, the BPER Banca Group has decided to bring the accounting scope of consolidation into line with the one used for regulatory purposes.

Part F – Information on consolidated shareholders’ equity

Section 1 – Consolidated shareholders' equity

Qualitative information

Equity management and its continuous monitoring in terms of size and quality compared with the risks assumed is an activity that the BPER Banca Group carries on constantly to ensure an adequate level of capitalisation in compliance with the prudential rules. A suitable combination of different capitalisation instruments and continuous monitoring have enabled the Group to achieve one of the best capital profiles among Italian banking groups.

The Parent Company is subject to the capital adequacy requirements established by the Basel Committee, in accordance with the rules defined by EU Regulation 575/2013 (CRR). In regulatory terms, BPER Banca, Banco di Sardegna s.p.a. and Banca di Sassari s.p.a. were authorised from 30 June 2016 to use the AIRB approach for measuring credit risk for corporate and retail segments, while all other entities of the BPER Banca Group continue to use the "Standardized Approach" (SA). Preparatory activities are in progress to extend the use of this advanced methodology also to the other entities of the Group currently aligned to the IT system (for one of these the process has been ended, so it is now only waiting to receive final authorisation from the supervisory body).

Through active asset management, the Parent Company has succeeded in combining development projects and optimization of it use; the size of the Group's consolidated capital resources and those of the individual Group companies are verified periodically and brought to the attention of management and of the Board of Directors and Board of Statutory Auditors. The capital position is monitored as part of the RAF (Risk Appetite Framework) process, by the Risk Committees, in periodic reports relating to the financial statements and in the impact simulations relating to extraordinary transactions and regulatory changes. As Parent Company, BPER Banca performs the role of coordination and guidance of Group companies, coordinating the management of capital in each company and providing appropriate guidelines.

The capital management, planning and allocation activities are aimed at governing and improving the current and prospective financial solidity of the Group. There are also plans to improve the capital base, such as conservative pay-out policies, strategic finance operations (capital increases, convertible loans, subordinated bonds) and levers connected to the containment of risks, such as insurance coverage, management of loans in function of the counterparty risk, the technical form and the guarantees assumed. These activities are deemed necessary and precautionary to deal with any capital requirements that may arise with the execution of extraordinary transactions involving the Banking Group.

As already indicated in Part A of the Explanatory Notes, with reference to the transition to IFRS 9, the Board of Directors of the Parent Company BPER Banca has decided to adopt the option introduced by EU Regulation 2395/2017 of the European Parliament and Council on "Transitional agreements for mitigating the impact of the introduction of IFRS 9 on Own Funds". The five-year transition period envisaged in that regulation will end on 1 January 2023 (for 2018 a decreasing 95% correction factor has been applied), when the provisions recorded will be included in full in the calculation of own funds during the transition to 1 January 2018. BPER Banca has also decided that the entire banking group will adopt the "static" option, which limits deferral of the impact on capital solely to FTA of the regulation.

Quantitative information

B.1 Consolidated Shareholders' equity: breakdown by business type

Captions	Prudential consolidation	Insurance companies	Other companies	Consolidation adjustments and eliminations	Total
1. Share capital	2,292,604	-	-	(709,669)	1,582,935
2. Share premium reserve	1,332,316	-	-	(321,014)	1,011,302
3. Reserves	2,647,628	-	-	(808,790)	1,838,838
4. Equity instruments	-	-	-	-	-
5. (Treasury shares)	(7,258)	-	-	(1)	(7,259)
6. Valuation reserves:	20,462	-	-	4,500	24,962
- Equity instruments designated at fair value through other comprehensive income	38,534	-	-	(31)	38,503
- Hedging of equity instruments designated at fair value through other comprehensive income	-	-	-	-	-
- Financial assets (no equity instruments) measured at fair value through other comprehensive income	(40,618)	-	-	3,008	(37,610)
- Property, plant and equipment	-	-	-	-	-
- Intangible assets	-	-	-	-	-
- Foreign investments hedges	-	-	-	-	-
- Cash flow hedges	(1,070)	-	-	-	(1,070)
- Hedging instruments [non-designated elements]	-	-	-	-	-
- Exchange differences	-	-	-	-	-
- Non-current assets and disposal groups held for sale	-	-	-	-	-
- Financial liabilities designated at fair value through profit or loss (variation due to changes in the credit worthiness)	-	-	-	-	-
- Actuarial gains (losses) on defined benefit plans	(124,221)	-	-	-	(124,221)
- Share of the valuation reserves of equity investments carried at equity	-	-	-	1,523	1,523
- Special revaluation laws	147,837	-	-	-	147,837
7. Profit (Loss) for the year (+/-) of group and minority interests	421,581	-	-	24,209	445,790
Total	**6,707,333**	**-**	**-**	**(1,810,765)**	**4,896,568**

B.2 Valuation reserves of financial assets measured at fair value through other comprehensive income: breakdown

Assets/values	Prudential consolidation		Insurance companies		Other companies		Consalidation adjustments and eliminations		Total	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	37,313	77,931	-	-	-	-	3,998	990	41,311	78,921
2. Equity instruments	56,234	17,700	-	-	-	-	(46)	(15)	56,188	17,685
3. Loans	-	-	-	-	-	-	-	-	-	-
Total 31.12.2018	**93,547**	**95,631**	**-**	**-**	**-**	**-**	**3,952**	**975**	**97,499**	**96,606**
Total 31.12.2017	**126,278**	**34,587**	**-**	**-**	**-**	**-**	**931**	**(303)**	**127,209**	**34,284**

B.3 Valuation reserves of financial assets measured at fair value through other comprehensive income: annual changes

	Debt securities	Equity instruments	Loans
1. Opening balance	**199,230**	**18,316**	**-**
2. Positive changes	**136,162**	**44,650**	**-**
2.1 Fair value increases	3,455	43,568	-
2.2 Impairment losses for credit risk	893	X	-
2.3 Reclassification to profit or loss of negative reserves to be realized	7,019	X	-
2.4 Transfer to other components of shareholders' equity (equity instruments)	-	-	-
2.5 Other changes	124,795	1,082	-
3. Negative changes	**373,002**	**24,463**	**-**
3.1 Fair value decreases	178,044	19,701	-
3.2 Write-backs for credit risk	2,959	-	-
3.3 Reclassification to profit or loss of positive reserves to be realized	182,298	X	-
3.4 Transfer to other components of shareholders' equity (equity instruments)	-	3	-
3.5 Other changes	9,701	4,759	-
4. Closing balance	**(37,610)**	**38,503**	**-**

The opening balance of debt securities and equity instruments takes into account first-time adoption of IFRS 9 for a total of € 124,621 thousand.

B.4 Valuation reserves about actuarial gains (losses) on defined-benefit plans

	31.12.2018	31.12.2017
1. Opening balance	**(124,011)**	**(122,033)**
2. Positive changes	**4,578**	**8,528**
2.1 Actuarial gains	4,323	7,870
2.2 Other changes	255	658
3. Negative changes	**4,788**	**10,506**
3.2 Other changes	4,599	9,723
3.1 Actuarial losses	189	783
4. Closing balance	**(124,221)**	**(124,011)**

Section 2 – Own funds and capital adequacy ratios

Information about own funds and capital adequacy is provided in the "Public Disclosures at 31 December 2018 – Pillar 3" document prepared pursuant to the requirements of Circular 285 of 17 December 2013 and subsequent updates issued by the Bank of Italy, Regulation (EU) 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR) and the EBA Guidelines dated 23 December 2014 that came into force on 1 January 2015.
The document is published together with the Consolidated financial statements at 31 December 2018 on the websites of the Parent Company – http://istituzionale.bper.it

Part G – Business combination transactions concerning companies or business lines

Section 1 - Transactions carried out during the year

1. Business combinations

No business combinations pursuant to IFRS 3 were carried out during the period to 31 December 2018.

1.2 Operations between entities under common control

As already reported in the Directors' Report on Operations, to which reference is made, Nadia s.p.a. absorbed Carife Servizi Evolutivi Integrati s.r.l., Polo Campania s.r.l. and Galilei Immobiliare s.r.l.
This operations were part of work to rationalise the BPER Banca Group in order to improve competitiveness and, being internal business combinations between entities under common control, were not subject to IFRS 3; accordingly, the absorptions were recorded using book values.

Section 2 – Transactions subsequent to the year end

No business combinations have been carried out after 31 December 2018.

Part H – Related-party transactions

1. Information on the remuneration of Managers with strategic responsibilities

	Description	31.12.2018	31.12.2017
	Directors		
-	short-term benefits (as shown in the Parent Company's annual report)	2,854	2,886
-	other long-term benefits (as shown in the Parent Company's annual report)	248	102
-	directors' emoluments received from other banks and companies within the scope of consolidation on a line-by-line basis	82	279
	Statutory Auditors		
-	short-term benefits (as shown in the Parent Company's annual report)	522	522
-	Statutory Auditors' emoluments received from other banks and companies within the scope of consolidation on a line-by-line basis	-	8
	Other managers with strategic responsibilities (General Manager, Deputy General Managers, Manager responsible for preparing the company's financial reports and Manager of the executive subcommittees):		
1	- short-term benefits (as shown in the Parent Company's annual report) includes salaries, social security contributions, indemnities in lieu of untaken vacation, paid leave of absence and any fringe benefits, such as insurance, housing and car.	3,084	2,868
	- other short-term benefits - contributions for social contributions (as shown in the Parent Company's annual report)	943	790
	- Directors' emoluments received from other Banks and Companies withit the scope of consolidation on a line-by-line basis	331	321
2	post-employment benefits includes payments to supplementary pension funds and provisions for termination indemnities	292	277
3	other long-term benefits	442	85
4	indemnities for termination of employment	-	98
5	share-based payments	-	-

The information provided is consistent with that required by IAS 24.
The amounts shown for Directors (including the emoluments of the Chief Executive Officer) the Statutory Auditors and other Managers with strategic responsibilities represent their emoluments for the year, regardless of when paid. These amounts are classified in the income statement caption 190-a "Staff costs".
As regards the Directors, note that the amount shown (€ 2,854 thousand) consists of their emoluments for the period in accordance with art. 11 of the Articles of Association. More specifically:
- € 1,536 thousand (€ 1,511 thousand at 31 December 2017), comprising the fees payable to Directors (€ 932 thousand), the additional emoluments due to members of the Executive Committee (€ 155 thousand) and all other Board committees (€ 345 thousand), as well as the attendance fees payable for participating in meetings of the Board of Directors (€ 104 thousand);
- € 402 thousand (€ 495 thousand at 31 December 2017) of additional emoluments payable to Directors appointed to particular positions in compliance with the Articles of Association (specifically Chairman and Deputy Chairmen); in fact, this remuneration has to be set by the Board of Directors, after having sought the opinion of the Board of Statutory Auditors;
- € 850 thousand (unchanged compared with the same period of the previous year) of additional emoluments payable to the Chief Executive Officer, again in compliance with the Articles of Association, plus € 62 thousand of variable remuneration and € 4 thousand of further non-monetary benefits.
Other long-term benefits worth € 248 thousand for the Directors (specifically, the Chief Executive Officer), relating, as indicated in the Report on Remuneration, to deferred variable remuneration inclusive of € 155 thousand for a phantom stock-based remuneration plan.
The amounts shown for other Managers with strategic responsibility (the General Manager, 4 Deputy General Managers, the Manager responsible for preparing the company's financial reports and 3 other Group Senior Managers in the Parent Company BPER Banca) belong to the types of costs detailed above. They are disclosed in the Report on Remuneration (art. 123-ter of Legislative Decree 58/1998) in accordance with CONSOB requirements.
Other long-term benefits for the Managers with strategic responsibilities relate entirely to deferred variable remuneration inclusive of € 361 thousand for the valuation of the Phantom Stocks assigned.

2. Related-party disclosures

The following shows the transactions with related parties, identified in application of IAS 24.

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Subsidiary	262,757	18,651	-	3,186	2,655
Associates	655,060	6,988	42,637	4,795	2,106
Directors, Statutory Auditors and Managers	639	1,397	-	69	8
Other related parties	2,919	104,033	619	103,417	2,083
Total 31.12.2018	**921,375**	**131,069**	**43,256**	**111,467**	**6,852**
Subsidiary	194,977	4,338	-	2,002	2,235
Associates	752,819	7,670	43,038	6,286	2,192
Directors, Statutory Auditors and Managers	448	1,999	6	70	6
Other related parties	5,771	6,588	893	211	2,502
Total 31.12.2017	**954,015**	**20,595**	**43,937**	**8,569**	**6,935**

There are no critical outstanding balances or transactions with related parties. They all relate to routine banking and other services and arose normally during the year, as a consequence of needs and requirements in the common interests of the parties or, where applicable, of the Group. The conditions applied to individual balances and transactions with these companies are in line with those currently applied in the market.
"Other related parties" are presented by situations other than those set out in the table, such as entities controlled by associated companies of BPER Banca and entities subject to the control of directors, statutory auditors or managers, or by subjects that may have significant influence over them, as defined by IAS 24.
The total amount of cash and endorsement loans due from Directors, Statutory Auditors, Managers and other related parties comes to € 4.2 million (€ 7.1 million at 31 December 2017). The above amount represents 0.01% of total cash and endorsement loans.
With reference to the entry into force, in 2012, of the regulation on "Risk Activities and Conflicts of Interest with Related Parties" contained in the 9th update to Bank of Italy Circular 263/2006, the BPER Banca Group has adopted a series of regulations that include the Group policy governing non-compliance risk in relation to conflicts of interest with related parties and risk activities involving related parties, which describes the prudential limits placed on risk activities involving related parties; continuous monitoring of the limits; managing situations where the limits have been exceeded. An "internal threshold of attention" establishes an individual limit on the weighted consolidated exposure that is lower than the regulatory threshold. This threshold is set at such a level as to constitute an adequate precaution against accepting particularly significant exposures to related parties and persons associated with them.
The provisions for doubtful loans to associates total € 3.4 million; no losses were recognised during the year.

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Total reference amounts - 31.12.2018	70,634,767	65,738,199	21,077,597	2,423,791	1,814,530
Total reference amounts - 31.12.2017	71,338,807	65,622,076	3,744,506	2,413,048	1,736,561

The total reference amounts for revenues include interest income (caption 10), commission income (caption 40) and other operating income (detail of caption 230); costs include interest expense (caption 20), commission expense (caption 50), other operating expenses (detail of caption 230) and administrative expenses (caption 190).
The value of the "Guarantees and Commitments" calculated according to the provisions of the 4th update of Bank of Italy Circular 262/2005 does not take revocable margins into account.

Related party transactions stated as a percentage of reference amounts (financial position and economic results)

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Subsidiary	0.37%	0.03%	0.00%	0.13%	0.15%
Associates	0.93%	0.01%	0.20%	0.20%	0.12%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.00%	0.00%
Other related parties	0.00%	0.16%	0.00%	4.27%	0.11%
Total 31.12.2018	**1.30%**	**0.20%**	**0.20%**	**4.60%**	**0.38%**
Subsidiary	0.27%	0.01%	0.00%	0.08%	0.13%
Associates	1.06%	0.01%	1.15%	0.26%	0.13%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.00%	0.00%
Other related parties	0.01%	0.01%	0.02%	0.01%	0.14%
Total 31.12.2017	**1.34%**	**0.03%**	**1.17%**	**0.35%**	**0.40%**

Part I – Equity-based payments

Qualitative information

1. Description of equity-based payments

On 8 March 2018 the Board of Directors of the Parent Company BPER Banca approved:

- the Remuneration Report pursuant to art. 123-*ter* of Legislative Decree 58 dated 24 February 1998, relating to the remuneration policies for 2018 of the BPER Banca Group;
- the remuneration plan pursuant to art. 114-*bis* of Legislative Decree 58 dated 24 February 1998, implementing the remuneration policies for 2018 of the BPER Banca Group. The Plan covers those employees of the BPER Banca Group identified as "key personnel" in accordance with the 7th update of 18 November 2014 of Circular 285 "Supervisory Provisions for banks", Title IV, Chapter 2 "Remuneration and incentive policies and practices" and in Delegated EU Regulation 604 of 4 March 2014.

Both documents were approved by BPER's Shareholders' Meeting held on 14 April 2018 at single calling.

The remuneration of key personnel is composed of a fixed element and a variable element that is lower than the maximum of 60% of the fixed component, though there are certain exceptional situations[64] in which it is possible to raise this percentage to 100%, and it is governed by particularly stringent rules (Bank of Italy's Circular 285, 7th update of 18 November 2014, Section III, paragraphs 1.2, 2.1 points 3 and 4, 2.2.1 and 2.2.2). With particular regard to risk alignment before the event, this is based on actual and lasting results, it also takes qualitative objectives into account, it is parameterised to performance indicators, it is measured net of risks and takes into account the level of capital resources.
The sustainability of the overall maximum amount of variable remuneration allocated to key personnel (those most responsible for running the company), is assessed in relation to the economic and financial stability of the Group as a whole.
The payment of bonuses is in fact dependent on achieving basic economic and financial objectives (the so-called "entry gates") that have to be achieved at the same time.
The entry gates that have been identified are based on the following parameters:

- Common Equity Tier 1 (CET 1) – Pillar 1 consolidated ratio;
- Consolidated Return On Risk-Weighted Assets (RORWA);
- Consolidated Liquidity Coverage Ratio (LCR).

If all the above entry gates are achieved, the company's results are subjected to an assessment that results in the application of a multiplier/demultiplier mechanism which acts directly on the individual target bonuses.
In particular, for key personnel belonging to the Parent Company, with the exception of those belonging to the branch network, the target bonus is determined entirely on the basis of the Group's gross profit.
For key personnel belonging to Group companies and key personnel of the parent company belonging to the network, the target bonus is determined on the basis of both the Group's Gross Profit and the Gross Profit of the company to which they belong.
For those belonging to consortium companies, the same rules apply as for key personnel of the Parent Company.

[64] *Entry bonus or incentive packages designed to facilitate the acquisition of resources that the company deems necessary for the achievement of important objectives.*

After verifying that the entry gates have been exceeded and the target bonus has been calculated (and the size of the available bonus pool checked), the actual allocation of the bonus and the related amount of the variable remuneration, within the maximum limits[65], are defined via an assessment of individual performance that includes an analysis of various quantitative and qualitative indicators.

If the Bonus exceeds a specific amount established by the Board of Directors, the Plan envisages an allocation (which can also be deferred) of part of the total bonus through an assignment of "phantom stock"[66].

In particular, this Plan provides for: (apart from as provided by the stricter regulations foreseen for the CEO of the Parent Company):

- in the case of a bonus of more than Euro 100 thousand:
  - 60% is attributed at the date the bonus is granted ("upfront portion");
  - the remainder of 40% is attributed in equal portions on a deferred basis: for bonuses lower than Euro 120 thousand, it is attributed over the subsequent three years; for bonus amounting to between Euro 120 thousand and Euro 150 thousand, the deferral period is increased to 4 years; for bonuses higher than Euro 150 thousand, there is a 5 year deferral period.

  The allocation of 50% of the up-front and deferred portions takes place through phantom stock, the other 50% in cash;
- for bonuses amounting to between Euro 60 thousand and Euro 100 thousand:
  - 50% of the bonus is attributed at the grant date in cash;
  - the remainder of 50% is allocated through phantom stock, attributed in equal portions in the three years subsequent to the grant year;
- for bonuses amounting to between Euro 30 thousand[67] and Euro 60 thousand:
  - the first Euro 30 thousand is attributed at the grant date in cash;
  - the allocation of the portion of the bonus exceeding Euro 30 thousand[68] takes place through phantom stock entirely attributed in equal portions in the three years subsequent to the grant year;
- for bonuses of less than Euro 30 thousand and less than 30% of the fixed remuneration:
  - the amount in question is attributed at the grant date in cash;
- in the case of the Bank's Chief Executive Officer, assignment of 50% of the bonus in the form of phantom stock; 40% of the portion represented by phantom stock is allocated at the time the Bonus is granted (up-front subject to a 2-year retention period), whereas the other 60% is allocated in equal portions over the next three, four or five[69] years, providing adequate earnings and capital standards are maintained (subject to a 1 year retention period from the vesting date of each deferred portion).

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[65] *The theoretical maximum amount of the bonus payable is the sum of the maximum bonuses obtainable at an individual level.*

[66] *Phantom Stock: these are "virtual" financial instruments (free, personal and not transferable inter vivos) that assign to each recipient the right to demand on maturity an amount of money corresponding to the value of the BPER Banca stock, calculated as per paragraph 3.8 of the information document on the remuneration plan based on financial instruments - Phantom Stock 2018, at the payment date.*

[67] *Or 30% of the fixed remuneration, if lower.*

[68] *Or 30% of the fixed remuneration, if lower. In exceptional and unlikely circumstances where the bonus is more than 60% of the fixed remuneration, but less than Euro 60 thousand, 50% of the bonus is paid in cash up-front and 50% in phantom stock deferred over three years.*

[69] *The time period varies according to the amount of the bonus awarded.*

The deferred instalments are subject to malus rules that can reduce the instalment to zero in the event of failure to achieve the access thresholds ("entry gates") for the financial year preceding the year of payment of each deferred instalment.
The malus mechanism, which can block payment of the deferred portions of the bonus, also acts on activation of the clawback clauses.

Note that there are compensation plans still outstanding for the years 2014, 2015 and 2017.

In accordance with the instructions contained in Circular 285/2013 (and subsequent updates) and Regulation (EU) 575/2013, the Group provides information on Remuneration Policies also in the document "Public Disclosures – Pillar 3" which is available, as provided by law, on the website of the Parent Company - www.bper.it - Institutional Area.

2. Other information

With reference to the compensation plan for 2018, in the light of the economic and financial results achieved at Group level, 392,856 Phantom stocks for a total of Euro 1,222 thousand were allocated.
Please also note that the same results affect the 2015 Plan allowing the vesting of 32,543 Phantom Stocks, for a consideration of Euro 99 thousand and the 2017 Plan allowing the vesting of 9,629 Phantom Stocks for a consideration of Euro 30 thousand.

Part L – Segment reporting

According to IAS/IFRS, the disclosures in the financial statements must include descriptive information or more detailed analysis of the values shown in the financial statements (balance sheet, income statement, statement of other comprehensive income and statement of changes in shareholders' equity, cash flow statement).
In addition, the Conceptual Framework of Financial Information points out that financial statements can include additional information compared with what is specifically requested by the Standards, when, in the opinion of those who are preparing the financial statements, this is likely to give a clearer explanation of the company's business.
In this sense, paragraph 1 of the IFRS 8 establishes as the objective of the Standard to provide the information that allows readers of the financial statements to assess the nature and the effects on the financial statements of the various business activities of the company and the economic contexts in which it operates.
Based on these recommendations, the following representation is structured in a broader way with more detailed information than is used in the top management reporting system, which is mainly based on a vision by legal entity[70], although it is aligned with it and can be reconciled with it.
The criteria used to allocate the various captions being analysed are based on qualitative and quantitative parameters that are consistent with the customer segmentation adopted by the Bank only for defining its commercial policies; each segment identified has similar economic characteristics and is internally consistent in terms of:

- nature of products and services offered and distribution processes;
- type of customers;
- marketing approach;
- nature of regulatory environment.

The segments identified are covered in the disclosures made, even if their results are quantitatively lower than the thresholds envisaged, since this is deemed helpful to users of the financial statements.

Segments

Economic and financial information is presented for the following segments:

Retail

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts not regulated by the "BPER Private Banking" service;
- sole enterprises;
- Partnerships or limited companies with turnover of less than Euro 2.5 million and with agreed facilities with the Banking Group of less than Euro 1 million.

This segment also includes the results and financial position of Optima s.p.a. SIM, a Group company, that, by its nature, offers products and services to retail customers.

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[70] Information on the individual legal entities can be found in the schedules attached to these consolidated financial statements

Private

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts regulated by the "BPER Private Banking" service.

Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- public administration;
- non financial and non resident companies;
- non-financial partnerships and companies with turnover equal to or greater than Euro 2.5 million but less than Euro 250 million;
- non-financial partnerships and companies with turnover greater than Euro 250 million or belonging to a corporate group (as reported in the general register) with reported consolidated turnover equal to or greater than Euro 250 million;
- financial companies.

This segment also includes the results and financial position of Group companies that, by their nature, offer products and services to Corporate customers (Sardaleasing s.p.a. and Emil-Ro Factor s.p.a.).

Large Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- partnerships and companies, which on their own or as part of a group, ought to be considered in the Corporate macrosegment, but which are considered as Large Corporate to ensure maximum supervision (Assignment to this segment is performed solely in expert mode and not automatically).

Finance

This segment includes the results and financial position deriving from treasury activities, management of the Group’s investment portfolio, access to financial markets and specialist operational support for the commercial network.

Corporate centre

Included herein are income statement and balance sheet captions arising from activities related to the governance of the Group, to strategic decisions and results thereof (shareholders' equity, equity investments, etc.) or from activities not directly connected to other areas of the business.

Other activities

This segment also includes the results and financial position of those non-banking Group companies that are not allocated to the other segments.

A.1 Distribution by segment: income statement

Based on the requirements established in IFRS 8, the income statement by segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Other activities	Total
Net interest income	466,008	5,649	331,325	25,390	131,139	158,983	3,943	1,122,437
Net commission income	513,197	75,366	168,403	16,779	-	-	2,520	776,265
Net interest and other banking income	949,507	80,431	446,663	37,081	353,697	158,955	10,729	2,037,063
Net income from financial activities 31.12.2018	**861,271**	**80,396**	**338,808**	**9,748**	**353,290**	**158,955**	**7,933**	**1,810,401**
Net income from financial activities 31.12.2017	**681,393**	**64,997**	**203,239**	**17,004**	**232,087**	**118,678**	**7,343**	**1,324,741**
Operating costs	(679,265)	(30,388)	(191,154)	(22,065)	(9,193)	(327,110)	(156,999)	(1,416,174)
Profit (Loss) from current operations before tax 31.12.2018	**182,007**	**50,008**	**147,654**	**(12,317)**	**344,097**	**(216,860)**	**(149,063)**	**345,526**
Profit (Loss) from current operations before tax 31.12.2017	**38,371**	**38,211**	**(29,394)**	**(12,693)**	**225,974**	**63,521**	**(124,870)**	**199,120**

The above captions have been allocated to the various segments using the information held on the management information system, which can be reconciled with the accounting system.
The figures for the previous year are those published in the Consolidated Financial Statements as at 31 December 2017.

Detailed information about net commission income by segment is presented below, pursuant to paras. 114 and 115 of IFRS 15 "Revenues from contracts with customers".

Captions	Retail	Private	Corporate	Large Corporate	Other activities	Total
Guarantees grantes	5,060	(62)	18,111	4,180	56	27,345
Management, brokerage and consulting:	213,854	72,380	14,786	5,266	1,354	307,640
- placement of securities	114,802	39,384	3,321	52	-	157,559
- distribution of third-party services	67,183	14,298	5,968	1,678	-	89,127
Collection and payment services	92,223	1,336	34,125	1,255	539	129,478
Management of current accounts	133,060	1,199	20,972	600	-	155,831
Other commission income	89,821	1,619	92,659	6,943	811	191,853
- commission income on other loans to customers	50,969	563	65,902	5,104	-	122,538
Total Assets 31.12.2018	**534,018**	**76,472**	**180,653**	**18,244**	**2,760**	**812,147**

Commission income includes the following types of variable income:
- Commissions related to the placement of "profit share" Arca products, the amount of which in the financial statements is determined based on an estimate, the OP of which, however, is fully met by the end of the year;
- Placement fees for "credit protection" insurance products with a single initial premium, which incorporate the possibility of having to repay (most recently to customers) part of the placement commissions received by the distributor, for the portion of the premium not received up front of an insurance contract terminated in advance of the contractual expiry date. This type of product therefore requires an estimate of the amount of commission not subject to repayment risk (hence the variable nature of the revenue), against an OP that has been fully fulfilled at the balance sheet date (placement of the insurance product);

- Performance fees provided for in asset management mandates, calculated as a percentage of the difference between the actual operating result and the benchmark result for the period. These commissions are determined quarterly or annually and recognised once the result of the managed line has been ascertained, which required them to be estimated at the end of the period;
- Commissions for marketing/partnership services provided by Banca di Sassari to Mastercard and Visa contain variable components: the total commission is in fact estimated on a quarterly basis with respect to the volumes of transactions reached on that date;
- Additional commission amounts on insurance products, which represent the additional remuneration of the bank's performance with respect to certain quality levels. The variable amount is based on the total placed and is estimated at the end of the year based on the degree of achievement of the objectives required to obtain it.

A.2 Distribution by segment: balance sheet

Based on the requirements established in IFRS 8, the balance sheet by segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Other activities	Total
Financial assets measured at fair value	51,632	-	92,916	-	9,386,633	-	161,436	9,692,617
Loans to banks	-	-	5,545	-	3,257,536	-	43,597	3,306,678
- debt securities at amortised cost					1,766,169	-		1,766,169
- loans			5,545		1,491,367	-	43,597	1,540,509
Loans to customers	19,865,949	348,322	23,781,766	2,825,742	5,685,200	-	240,685	52,747,664
- debt securities at amortised cost					5,685,200		11,522	5,696,722
- loans	19,865,949	348,322	23,781,766	2,825,742	-		229,163	47,050,942
Other assets	488,895	19,790	279,351	21,898	50,465	3,544,365	483,044	4,887,808
Total Assets 31.12.2018	**20,406,476**	**368,112**	**24,159,578**	**2,847,640**	**18,379,834**	**3,544,365**	**928,762**	**70,634,767**
Total Assets 31.12.2017	**20,654,658**	**304,605**	**24,343,159**	**3,106,288**	**18,432,479**	**3,615,490**	**882,128**	**71,338,807**
Due to banks	-	-	352,936	-	12,772,097	-	1,215	13,126,248
Due to customers	29,148,190	1,580,879	9,472,929	1,047,380	2,448,314	-	897,171	44,594,863
Debt securities issued	2,665,020	133,581	2,602,164	791	-	-	-	5,401,556
Other liabilities and shareholders' equity	51,827	13	217,341	2,793	236,148	6,834,121	169,857	7,512,100
Total liabilities 31.12.2018	**31,865,037**	**1,714,473**	**12,645,370**	**1,050,964**	**15,456,559**	**6,834,121**	**1,068,243**	**70,634,767**
Total liabilities 31.12.2017	**34,927,668**	**1,940,956**	**9,388,637**	**1,246,243**	**15,305,526**	**7,571,134**	**958,643**	**71,338,807**

Balance sheet information has been allocated to the segments using the criteria adopted for the allocation of the income statement.

Financial information by geographical area

All activities of the BPER Banca Group are concentrated essentially in Italy.

Attachments

Fees for audit and non-audit services

Information pursuant to art. 149-duodecies of CONSOB Issuers' Regulation

This schedule, prepared pursuant to art. 149-duodecies of CONSOB Issuers' Regulation (Resolution 11971 of 14 May 1999 and subsequent amendments), reports the 2018 fees for audit and non-audit services provided by the Independent Auditors and member firms of the same network. These fees represent the costs incurred and recorded in the consolidated financial statements, net of expenses, unrecoverable VAT and the CONSOB contribution.

(in thousands)

Type of services	Party providing the service	Recipient		Fees
Audit services	Deloitte & Touche s.p.a	Parent Company BPER Banca		874
	Deloitte & Touche s.p.a	Subsidiaries in Italy		458
	Deloitte Audit S.à r.l.	Subsidiaries in Luxembourg		72
Certification services:	Deloitte & Touche s.p.a	Parent Company BPER Banca	(1a)	393
	Deloitte & Touche s.p.a	Subsidiaries	(1b)	80
Other services	Deloitte & Touche s.p.a	Parent Company BPER Banca	(2a)	90
	Deloitte & Touche s.p.a	Subsidiaries	(2b)	78
	Deloitte Audit S.à r.l.	Subsidiaries in Luxembourg	(2c)	25
Total				**2,070**

Certification services:
(1a) Certification services rendered to the Parent Company by Deloitte & Touche s.p.a.:
- activities performed in relation to the translation into English of the Consolidated half-year financial statements at 30 June 2018 and of the separate and consolidated financial statements for the year ended 31 December 2018 ;
- activities performed as part of the covered bond issue programmes and EMTN programme;
- certification for the derecognition of disposal of bad loans;
- certification of TLTRO2 reports;
- activities carried out for the issue of the compliance opinion on the Consolidated Non-Financial Statements (Consolidated Sustainability Report)
(1b) Certification services rendered to Group Companies by Deloitte & Touche s.p.a.:
- certification for the derecognition of disposal of bad loans;
- activities carried out for the purpose of translating the financial statements into English;
- verification of TLTRO2 reports;
Other services:
(2a) Other services rendered to the Parent Company by Deloitte & Touche s.p.a.:
- work related to granting a stamp of approval on the 2018 Income Tax Return;
- gap analysis activities for the inclusion of BPER Banca in the FT4G index;
- pool audit work for the Aqui securitisation;
- agreed upon procedures on the integration of Nuova Carife into BPER Banca.
(2b) Other services rendered to Group companies by Deloitte & Touche s.p.a.:
- work related to granting a stamp of approval on the 2018 Income Tax Return;
- pool audit work related to the 4 Mori and Multilease III securitisations.
(2c) Other Services rendered to the Luxembourg subsidiary by the company Deloitte Audit S.à.r.l.:
- agreed upon procedures on the transition to IFRS 9.

Public Disclosure - Country by country as at 31 December 2018

Information pursuant to Circular 285/2013 of the Bank of Italy

This information is disclosed following the introduction into Italian law, with the 4th update of the Bank of Italy's Circular 285 of 17 December 2013, of the rules laid down in article 89 of EU Directive 2013/36/EU (CRD IV) on Country by Country Reporting.

Name	Head office	Nature of the activity	Turnover (a)	Number of employees	Profit (Loss) before tax (b)	Income taxes (c)	Government grants received
BPER Banca s.p.a.	Italy	Banking	1,490,760	7,515	303,762	53,787	-
Banco di Sardegna s.p.a.	Italy	Banking	330,832	2,152	41,779	32,964	-
Banca di Sassari s.p.a.	Italy	Banking	72,507	117	14,786	(4,913)	-
Cassa di Risparmio di Bra s.p.a.	Italy	Banking	34,458	154	1,444	5,053	-
Cassa di Risparmio di Saluzzo s.p.a.	Italy	Banking	22,355	147	(8,488)	967	-
Sardaleasing s.p.a.	Italy	Leasing	53,391	67	(13,490)	18,157	-
Emilia Romagna Factor s.p.a.	Italy	Factoring	21,417	46	8,233	(2,924)	-
Optima s.p.a. S.I.M.	Italy	Asset management	613	22	5,237	(1,504)	-
Bper Services s.cons.p.a.	Italy	IT services consortium	(55)	135	137	(352)	-
Bper Credit Management s.cons.p.a.	Italy	Debt collection consortium	-	5	50	(50)	-
Numera s.p.a.	Italy	IT services	-	51	(1,960)	532	-
Nadia s.p.a.	Italy	Real estate	(5)	-	(10,762)	(132)	-
Tholos s.p.a.	Italy	Real estate	-	-	560	(106)	-
Modena Terminal s.r.l	Italy	Storage and safekeeping warehouse	-	28	527	(253)	-
Total Italy			**2,026,273**	**10,439**	**341,815**	**101,226**	**-**

Name	Head office	Nature of the activity	Turnover (a)	Number of employees	Profit (Loss) before tax (b)	Income taxes (c)	Government grants received
BPER Bank Luxemburg s.a.	Luxembourg	Banking	10,790	19	3,711	(962)	-
Total Luxembourg			**10,790**	**19**	**3,711**	**(962)**	**-**
Total			**2,037,063**	**10,458**	**345,526**	**100,264**	**-**

Key:
(a) net interest and other banking income, in thousands of euro, net of eliminations where necessary.
(b) profit (loss) from current operations added to profit (loss) before tax on non-current assets held for sale, in thousands of euro, net of eliminations where necessary.
(c) income taxes for the period on current operations and on assets held for sale, in thousands of euro, net of eliminations where necessary.

Information on loans to third-party funds

Jessica Sardinian Urban Development Fund

In 2011, the Autonomous Region of Sardinia (RAS) activated JESSICA (Joint European Support for Sustainable Investment in City Areas), an EU investment instrument. This instrument was devised in 2006 as a joint initiative between the European Commission and the EIB, in collaboration with the Council of Europe Development Bank (CEB), in order to promote sustainable investment, growth and employment in city areas.

RAS and the EIB signed a loan agreement for the creation of a JESSICA Sardinia Investment Fund (FPJS) that would manage the resources available under Axes III and V of the ERDF Regional Operational Programme 2007-2013. In order to transfer resources from the EIB to the managers, two urban development funds (UDF) endowed with Euro 33.1 million each were established: the Energy Fund and the Urban Renewal Fund. The managers of these two UDF were chosen by means of a competitive selection process, with Banco di Sardegna being selected for Lot 1 with the technical consultancy of Sinloc: Urban Renewal (Axis V).
In July 2012, the EIB and Banco di Sardegna signed an operational agreement at the Regional Planning Centre of the Sardinia Region for the granting of a loan amounting to Euro 33.1 million (subject to possible increases), to be accompanied by co-financing of about Euro 99 million from Banco di Sardegna and other lenders identified by the latter, and invested on a rotating basis. In order to implement the JESSICA Project, Banco di Sardegna decided to create a separate fund within the UDF by making a loan for a specific purpose, pursuant to art. 2447 *decies* of the Italian Civil Code.

The JESSICA instrument allows investment in eligible projects within an integrated Plan that are presented, implemented and managed by public entities or, alternatively, presented by public entities and implemented and managed by private parties.
The resources may be made available in the following ways:

- direct loans to authorities and public entities;
- loans to private companies, selected by a public call for tenders, for the design, construction and management of publicly-owned facilities created under a direct concession or on a project-financing basis;
- investment in the risk capital of selected private companies.

The amendment to the Operating Agreement of 19 July 2012 between the EIB and Banco di Sardegna, for the allocation of Euro 6.3 million of additional resources, was signed on 29 December 2015. This is a concrete demonstration of approval of the way that Banco di Sardegna has managed the Fund, confirming recognition of the excellent work celebrated at the public event held in July 2015 in the presence of representatives of the EIB and the Sardinia Region. The additional resources were paid in full to the UDF on 20 January 2016.

As of 31 December 2018, the Investment Committee of the UDF has approved the following loans and all of the resources available have been disbursed.

(in Euro)

	Investment	JESSICA loan	Investment in the capital of JESSICA	Contract date	Disbursements	
					Loan	Risk capital
					Disbursed as at 31.12.2018	Paid as at 31.12.2018
Purchase of 12 modern trolleybuses. Two loans	7,126,000	6,769,700	-	18/12/2013	5,955,603	-
Construction and management of a natural gas distribution network (*)	45,120,239	7,000,000	-	15/04/2014	7,000,000	-
Construction and management of a new cruise terminal at the "Molo Rinascita" in Cagliari. Two loans	715,000	534,173	-	18/12/2014 08/07/2016	466,381	-
Two projects involving the construction and management of a natural gas distribution network based on two separate catchment areas (*)	38,913,569	8,000,000	4,000,000	16/02/2015	8,000,000	4,000,000
Renovation and expansion of the Municipal Market of Oristano with adjacent parking	4,133,055	1,140,000	-	12/06/2015	874,000	-
Redevelopment of a building owned by the Municipality of Borutta destined to bar diner	265,000	251,750	-	22/06/2015	193,008	-
Construction of a residential and daytime comprehensive rehabilitation centre for the intellectually and relationally disabled in the Municipality of Selargius	2,150,000	1,432,695	-	31/08/2015	1,227,647	-

(in Euro)

	Investment	JESSICA loan	Investment in the capital of JESSICA	Contract date	Disbursements	
					Loan	Risk capital
					Disbursed as at 31.12.2018	Paid as at 31.12.2018
Redevelopment of Alghero Town Hall	600,000	570,000	-	30/10/2015	456,000	-
Construction of the municipal indoor swimming pool in Alghero	2,100,000	1,915,026	-	30/05/2016	1,595,855	-
Redevelopment of the multi-purpose sports area in the Latte Dolce district of Sassari	560,000	532,000	-	24/06/2016	478,800	-
Redevelopment of the multi-purpose sports area in the Monte Rosello district of Sassari	750,000	712,500	-	24/06/2016	641,250	-
Redevelopment of the multi-purpose sports area in the Carbonazzi district of Sassari	600,000	570,000	-	24/06/2016	513,000	-
Redevelopment of the "Roberta Serradimigni" sports hall in Sassari	4,300,000	4,085,000	-	24/06/2016	3,676,500	-
Total	**107,332,863**	**33,512,844**	**4,000,000**		**31,078,044**	**4,000,000**

(*) The capital expenditure indicated only takes into account of the technical costs associated with the project. This excludes the financial costs of the operation (costs associated with working capital, interest, commissions, DSRA, etc. which still have to be financed during construction)

The following table shows simplified accounts for the JESSICA Urban Development Fund at 31 December 2018.

Balance sheet

(in Euro)

Assets		31.12.2018	31.12.2017
40.	Financial assets measured at amortised cost	2,200,907	1,520,078
	a) loans to banks	2,200,907	1,520,078
	Total assets	**2,200,907**	**1,520,078**

(in Euro)

Liabilities and shareholders' equity		31.12.2018	31.12.2017
10.	Financial liabilities measured at amortised cost	2,173,780	1,189,972
	a) due to banks	2,173,780	1,189,972
80.	Other liabilities	104,229	107,734
180.	Profit (Loss) for the year	(77,102)	222,372
	Total liabilities and shareholders' equity	**2,200,907**	**1,520,078**

Income statement

(in Euro)

Captions		31.12.2018	31.12.2017
10.	Interest and similar income	491,160	822,528
30.	**Net interest income**	**491,160**	**822,528**
50.	Commission expense	(568,262)	(600,156)
60.	**Net commission income**	**(568,262)**	**(600,156)**
300.	**Profit (Loss) for the year**	**(77,102)**	**222,372**

Sustainable Growth Fund

Banco di Sardegna, in association with MedioCredito Centrale (MCC) and other national banks, was awarded as a contractor with the Ministry of Economic Development (MISE) to manage the interventions foreseen by the "Sustainable Growth Fund" (new name for the Technological Innovation Fund (FIT) following the reform of business incentives introduced by the 2012 Growth Decree).
When preparing for the tender, the Parent Company BPER Banca considered it appropriate to involve Banco di Sardegna as part of the entire BPER Banca Group.

The endowment of the Fund, which will include all national resources allocated for sustainable growth until 2020, will finance programmes and action that will have a significant impact on the competitiveness of the productive system at national level, with a particular focus on:

- promoting research, development and innovation of strategic importance in order to relaunch the competitiveness of the productive system, not least by consolidating the R&D centres and organisations of firms;

- strengthening the productive system, the reuse of productive plant and the relaunch of areas of national importance hit by complex crises, via the signature of programme agreements;
- promoting the international presence of businesses and attracting investment from abroad, partly in coordination with the actions to be implemented by ICE - Agency for the promotion abroad and internationalisation of Italian businesses.

Banco di Sardegna proceeds to evaluating and granting the assistance and soft loans made available by the Fund.

The activities of the Fund are based on calls for applications and directives from the Ministry of Economic Development. At 31 December 2018 eleven calls for applications have already been made and the total value of the projects for which instructions have been issued by the Temporary Business Grouping comes to around Euro 3.7 billion.

National Operational Programme (NOP) of Research and Innovation-MIUR-EIB Fund of Funds

As part of the "NOP Research and Innovation 2014-2020", the Ministry of Education, University and Research ("MIUR"), as the Managing Authority, stipulated a financing agreement in December 2016 with the European Investment Bank for the management of a Fund of Funds financed by resources from the NOP.

Following the signing of the financing agreement, in June 2017 the EIB announced a first tender for the selection of two financial intermediaries to manage a total of Euro 186 million transferred to the Fund; the tender was awarded in September 2017. Subsequently, following the decision of the Managing Authority to contribute to the Fund an additional allocation of Euro 62 million, in March 2018 the EIB issued a new tender procedure.

This second tender was won by Banco di Sardegna. Therefore, following the signing of an Operating Agreement with the EIB, the Bank will manage the evaluation of research and innovation projects carried out in the areas subject to intervention for the granting of resources in the form of loans and investments in equity, to which Euro 26.5 million may be associated co-financed by Banco di Sardegna or other interested lenders. For the purpose of management of the Financial Instrument, a separate asset was created through a loan for a specific purpose, pursuant to article 2447 decies of the Italian Civil Code, consolidating the experience of the Jessica Fund, which is also awaiting refinancing. The Operating Agreement between Banco di Sardegna and the EIB was finalised on 7 August 2018. The official launch of the Fund at Banco di Sardegna's head office in Cagliari took place on 26 September in the presence of the authorities.

As of 22 October 2018, the NOP Fund of Funds, whose activity is still in a start-up phase, has acquired a first tranche of resources from the EIB of Euro 15.5 million. Promotion and development activities of the Fund are in progress throughout Southern Italy with the collaboration of the Group structures involved.

The following is a simplified accounting report of the NOP Research and Innovation Fund of Funds at 31 December 2018:

Balance sheet

(in Euro)

	Assets	31.12.2018
40.	Financial assets measured at amortised cost	15,500,000
	a) loans to banks	15,500,000
	Total assets	**15,500,000**

(in Euro)

	Liabilities and shareholders' equity	31.12.2018
10.	Financial liabilities measured at amortised cost	15,500,000
	a) due to banks	15,500,000
80.	Other liabilities	15,075
180.	Profit (Loss) for the year	(15,075)
	Total liabilities and shareholders' equity	**15,500,000**

Income statement

(in Euro)

	Captions	31.12.2018
50.	Commission expense	(15,075)
60.	**Net commission income**	(15,075)
300.	**Profit (Loss) for the year**	(15,075)

Transition to IFRS 9 by the BPER Banca Group

Presentation in the balance sheet of the effects of the transition to IFRS 9

With regard to presenting the effects of adopting the standard for the first time, the Group has made the election envisaged in the standard[71], whereby – without prejudice to the retrospective application of the new measurement and presentation rules required by the standard – it is not necessary to restate the comparative data on a consistent basis when adopting the new standard for the first time.
As specified in the document accompanying the 5th update of Bank of Italy Circular 262, banks which decide do not restate the comparative amounts must include in the first financial statements prepared under the new Circular 262 a statement of reconciliation which describes the methodology used and provides a reconciliation of the data contained in their latest approved financial statements with that reported in the first financial statements prepared in accordance with the new instructions.

Statement of reconciliation at 31 December 2017 of the Accounting Schedules required by the 4th update of Circular 262 with those required by the 5th update of Circular 262 (reclassification of balances at 31 December 2017)

The following schedules reconcile the Accounting Schedules required by the 4th update of Bank of Italy Circular 262 with those required by the 5th update of Circular 262, which adopts the presentation criteria envisaged in IFRS 9. The accounting balances at 31 December 2017 presented in these schedules (determined in accordance with IAS 39) have been reclassified to the new accounting captions using the classification criteria introduced by IFRS 9, without applying the new measurement criteria and, therefore, without changing the amounts reported for total assets and total liabilities and shareholders' equity.

[71] *paragraph 7.2.15 of IFRS 9*

(in thousands)

Circular no. 262/2005 4° updates ASSETS	31.12.2017 IAS 39	Circular no. 262/2005 5° updates ASSETS													
		10. Cash and cash equivalents	20. Financial assets measured at fair value through profit or loss			30. Financial assets measured at fair value through other comprehensive income	40. Financial assets measured at amortised cost		50. Hedging derivatives	70. Equity investments	90. Property, plant and equipment	100. Intangible assets	110. Tax assets		130. Other assets
			a) Financial assets held for trading	b) Financial assets designated at fair value	c) Ohter financial assets mandatorily measured at fair value		a) Loans to banks	b) Loans to customers					a) current	b) deferred	
10. Cash and cash equivalents	420,299	**420,299**													
20. Financial assets held for trading	663,134		**414,294**	195,550	53,290										
30. Financial assets designated at fair value	83,299			**27,642**	55,657										
40. Financial assets available for sale	12,076,053				389,757	**10,984,004**	180,757	521,535							
50. Financial assets held to maturity	2,637,135				30,306	2,379,940	**12,577**	**214,312**							
60. Loan to banks	3,012,515						**3,012,515**								
70. Loans to customers	47,814,808				160,105	34,813		**47,619,890**							
80. Hedging derivatives	54,061								**54,061**						
100. Equity investments	454,367									**454,367**					
120. Property, plant and equipment	1,063,483										**1,063,483**				
130. Intangible assets	506,627											**506,627**			
140. Tax assets	1,848,127												575,441	1,272,686	
a) current	575,441												**575,441**		
b) deferred	1,272,686													**1,272,686**	
160. Other assets	704,899														**704,899**
Total assets	**71,338,807**	**420,299**	**414,294**	**223,192**	**689,115**	**13,398,757**	**3,205,849**	**48,355,737**	**54,061**	**454,367**	**1,063,483**	**506,627**	**575,441**	**1,272,686**	**704,899**

Application of the new classification and measurement rules to the financial assets of the BPER Banca Group has led to the following main reclassifications:
- reclassification of Euro 2,414.8 million of financial assets measured at amortised cost in the HTM and LRO categories pursuant to IAS 39 to financial assets measured at fair value through other comprehensive income due to the change in business model (and the need to pass the SPPI test);
- reclassification of Euro 702.3 million as a portion of debt securities classified as available-for-sale financial assets pursuant to IAS 39 to financial assets measured at amortised cost following the change in business model (and the need to pass the SPPI test), and of Euro 116.6 million to financial assets measured at fair value through profit or loss after failing to pass the SPPI test;
- reclassification of UCITS units (Euro 204.8 million) classified as financial instruments available for sale pursuant to IAS 39 to assets mandatorily measured at fair value through profit or loss pursuant to IFRS 9;
- equity instruments classified as assets available for sale pursuant to IAS 39, amounting to Euro 321 million, have been allocated for Euro 252.7 million to financial assets for which we irrevocably exercised the option for measurement at fair value through equity (without reversal to profit or loss) and for Euro 68.4 million to financial assets mandatorily measured at fair value through profit or loss.
There was also a reclassification of financial assets previously allocated to the HTM and LRO categories (amortised cost) pursuant to IAS 39 to the portfolio of financial assets measured at fair value through profit or loss after failing to pass the SPPI test, for a total of Euro 190.4 million.

(in thousands)

Circular no. 262/2005 4° updates LIABILITIES	31.12.2017 IAS 39	Circular. 262/2005 5° updates LIABILITIES																		
		10. Financial liabilities measured at amortised cost			20. Financial liabilities held for trading	40. Hedging derivatives	60. Tax liabilities		80. Other liabilities	90. Employee termination indemnities	100. Provisions for risks and charges			120. Valuation reserves	150. Reserves	160. Share premium reserve	170. Share capital	180. Treasury shares (-)	190. Minority interest (+/-)	200. Profit (Loss) for the year (+/-)
		a) Due to banks	b) Due to customers	c)Debt securities issued			a) current	b) deferred			a) Commitments and guarantees given	b) pensions and similar obligations	c) other provisions for risks and charges							
10. Due to banks	12,984,226	**12,984,226**																		
20. Due to customers	42,694,078		**42,694,078**																	
30. Debt securities issued	7,504,019			**7,504,019**																
40. Financial liabilities held for trading	169,459				**169,459**															
50. Financial liabilities designated at fair value through profit and loss	48,320			48,320																
60. Hedging derivatives	24,383			-	587	**23,796**														
80. Tax liabilities	106,218						**2,258**	**103,960**												
a) current	2,258						**2,258**													
b) deferred	103,960							**103,960**												
100. Other liabilities	1,463,452								**1,416,659**		46,793									
110. Employee termination indemnities	187,536									**187,536**										
120. Provisions for risks and charges	440,385											**137,148**	**303,237**							
a) pensions and similar obligations	137,148											**137,148**								
b) other provisions for risks and charges	303,237												**303,237**							
140. Valuation reserves	110,558													**75,089**	35,469					
170. Reserves	2,409,985														**2,409,985**					
180. Share premium reserve	930,073															**930,073**				
190. Share capital	1,443,925																**1,443,925**			
200. Treasury shares (-) -	7,258																**-**	**7,258**		
210. Minority interests (+/-)	653,010																		**653,010**	
220. Profit (Loss) for the year (+/-)	176,438																			**176,438**
Total liabilities and shareholders' equity	**71,338,807**	**12,984,226**	**42,694,078**	**7,552,339**	**170,046**	**23,796**	**2,258**	**103,960**	**1,416,659**	**187,536**	**46,793**	**137,148**	**303,237**	**75,089**	**2,445,454**	**930,073**	**1,443,925 -**	**7,258**	**653,010**	**176,438**

As regards the classification and measurement of financial liabilities in the new IFRS 9 target portfolios, no significant impacts were recorded deriving from the transition to IFRS 9. For completeness of information, we would highlight:
- the reclassification of the entire amount of financial liabilities measured at fair value pursuant to IAS 39 to financial liabilities measured at amortised cost (debt securities issued);
- the reclassification to financial liabilities held for derivative trading (Euro 587.5 thousand), previously classified as a hedging instrument pursuant to IAS 39, for which early termination of the hedging relationship was decided on transition, as it concerned a financial instrument recognised under assets in the balance sheet and included in financial assets mandatorily measured at fair value through profit or loss after failing to pass the SPPI test;
- the reclassification of credit risk provisions set up for commitments to distribute funds and financial guarantees granted which, pursuant to Bank of Italy Circular 262 4th update, were allocated to Other liabilities and which, according to the new instructions, are included in the Provisions for risks and charges.

Changes to the balance sheet opening balances at 1 January 2018 due to application of the new measurement rules required by IFRS 9.

The following tables show the balances at 31 December 2017 (reclassified) and the related change due to application of the new measurement and impairment rules, leading to the IFRS 9 opening balances at 1 January 2018.

Consolidated balance sheet on first-time adoption of IFRS 9

(in thousands)

Assets		31.12.2017	IFRS 9 impact	01.01.2018
10.	Cash and cash equivalents	420,299	-	420,299
20.	Financial assets measured at fair value through profit or loss	1,326,601	(33,519)	1,293,082
	a) financial assets held for trading	414,294	-	414,294
	b) financial assets designated at fair value	223,192	-	223,192
	c) other financial assets mandatorily measured at fair value	689,115	(33,519)	655,596
30.	Financial assets measured at fair value through other comprehensive income	13,398,757	151,937	13,550,694
40.	Financial assets measured at amortised cost	51,561,586	(1,133,870)	50,427,716
	a) loans to banks	3,205,849	(8,937)	3,196,912
	b) loans to customers	48,355,737	(1,124,933)	47,230,804
50.	Hedging derivatives	54,061	-	54,061
70.	Equity investments	454,367	-	454,367
90.	Property, plant and equipment	1,063,483	-	1,063,483
100.	Intangible assets	506,627	-	506,627
	of which:		-	
	- goodwill	327,084	-	327,084
110.	Tax assets	1,848,127	(2,516)	1,845,611
	a) current	575,441	-	575,441
	b) deferred	1,272,686	(2,516)	1,270,170
130.	Other assets	704,899	-	704,899
	Total assets	**71,338,807**	**(1,017,968)**	**70,320,839**

(in thousands)

Liabilities and shareholders' equity		31.12.2017	IFRS 9 impact	01.01.2018
10.	Financial liabilities measured at amortised cost	63,230,643	515	63,231,158
	a) due to banks	12,984,226	-	12,984,226
	b) due to customers	42,694,078	-	42,694,078
	c) debt securities issued	7,552,339	515	7,552,854
20.	Financial liabilities held for trading	170,046	-	170,046
40.	Hedging derivatives	23,795	-	23,795
60.	Tax liabilities	106,218	51,038	157,256
	a) current	2,258	378	2,636
	b) deferred	103,960	50,660	154,620
80.	Other liabilities	1,416,660	-	1,416,660
90.	Employee termination indemnities	187,536	-	187,536
100.	Provisions for risks and charges	487,178	14,340	501,518
	a) commitments and guarantees granted	46,793	14,340	61,133
	b) pension and similar obligations	137,148	-	137,148
	c) other provisions for risks and charges	303,237	-	303,237
120.	Valuation reserves	75,089	129,333	204,422
150.	Reserves	2,445,454	(1,012,009)	1,433,445
160.	Share premium reserve	930,073	-	930,073
170.	Share capital	1,443,925	-	1,443,925
180.	Treasury shares (-)	(7,258)	-	(7,258)
190.	Minority interests (+/-)	653,010	(201,185)	451,825
200.	Profit (Loss) for the year (+/-)	176,438	-	176,438
	Total liabilities and shareholders' equity	**71,338,807**	**(1,017,968)**	**70,320,839**

Classification and measurement

The different allocation of financial assets and liabilities to the new accounting categories envisaged by IFRS 9 and hence the different method of measuring them led overall to positive changes in the consolidated shareholders’ equity of the BPER Banca Group of Euro 127 million (before taxes). The positive impact was mainly brought about by:
- the adjustment to fair value, with consequent recognition in the valuation reserve of the changes in fair value arising from the origination, for financial assets that were valued at amortised cost in accordance with IAS 39 and reclassified to financial assets measured at fair value through other comprehensive income due to the attribution of a “Hold to Collect and Sell” model (and passing of the SPPI test) for Euro 151.9 million;
- the recalculation of the carrying amount (amortised cost), with consequent cancellation of the valuation reserve, of the portion of debt securities allocated to AFS financial assets pursuant to IAS 39 and reclassified to financial assets measured at amortised cost due to the assignment of a "Hold to Collect" business model (and passing the SPPI test) for Euro 9.5 million;
- the adjustment to fair value, with consequent recognition in the appropriate income reserve (FTA reserve) of changes in fair value arising from the origination, for financial assets allocated to the HTM and L&R categories pursuant to IAS 39 and reclassified to financial assets mandatorily measured at fair value after failing to pass the SPPI test for Euro -33.5 million.

Impairment

Application of the IFRS 9 impairment rules to financial assets (on- and off-balance sheet exposures) resulted in negative changes to consolidated shareholders' equity (income or FTA reserve) of the BPER Banca Group equal to Euro 1,164.7 million (before taxes). The negative impact was mainly determined by:
- increase in impairment provisions of financial assets measured at amortised cost (cash exposures) of Euro 27.7 million on loans to customers, in addition to Euro 2.6 million on loans to banks and, marginally, Euro 373.4 thousand on the securities portfolio, mainly attributable to the stage allocation to portfolios, with the consequent need to calculate the expected loss for the entire residual duration of the financial assets, in addition to inclusion in the calculation of expected losses of forward-looking parameters deriving from future macroeconomic scenarios.
- increase in impairment provisions of non-performing exposures to customers (Stage 3), for approximately Euro 1,112.7 million, deriving from the inclusion of forward-looking factors in the measurement process, in the multi-scenario hypothesis with reference, in particular, to the adoption of a "disposal scenario", identified on the basis of the objectives and forecasts hypothesised in the 2018-2020 NPE Strategy and by the 2018-2022 NPE Plan of the BPER Banca Group as an alternative to the "workout scenario" (ordinary recovery managed internally by the Group).
- increase in impairment provisions of guarantees granted and (irrevocable and revocable) commitments to distribute funds (off-balance sheet exposures) for Euro 14.3 million recorded under provisions for risks and charges. This increase derives both from the application of the new rules on impairment (including the forward-looking component) and from an extension of the scope of application of the write-down, which also includes revocable commitments.
- increase in impairment provisions of financial assets measured at fair value through other comprehensive income, recorded in valuation reserves and attributable to debt securities for Euro 7 million.

The overall impact of IFRS 9 on shareholders' equity, including the tax effect, is negative for Euro 1,084 million (of which Euro 201 million pertaining to minority interests): valuation reserves improved by Euro 129.3 million, while there was a negative income reserve (FTA reserve) of Euro 1,012 million.

Information on portfolio transfers on FTA

The following is the information required by IFRS 7 (paragraphs 42M and 42N) on the effects of the reclassification for financial instruments reclassified at amortised cost - from accounting categories measured on the basis of a different criterion than amortised cost - and for instruments reclassified to assets measured at fair value through other comprehensive income, previously measured at fair value through profit or loss. In greater detail, for the first report in which IFRS 9 is applied, indications have to be provided of the fair value at the end of 2018 of the financial instruments reclassified at amortised cost during the transition to the new standard, of the profits or losses that would be recognised in the income statement or in the valuation reserves if the instruments had been valued on the basis of the previous fair value criterion, and of the interest recognised on the reclassified financial instruments based on the effective interest rate.
As you can see from the reconciliation tables, the BPER Banca Group has reclassified debt securities, previously classified in the portfolio of "Available-for-sale financial assets" pursuant to IAS 39 (Euro 702.3 million), to the category of "Financial assets measured at amortised cost", in relation to the management of these securities based essentially on collection of the contractual cash flows. At 31 December 2018, the fair value of these instruments was Euro 674.5 million (net of disposals in 2018 of Euro 7.9 million). Continuing to measure these instruments at fair value would therefore have entailed recording a negative valuation reserve of Euro 39.1 million in 2018 (an increase of Euro 19.9 million compared with the reserve that existed at 31 December 2017). The interest recognised in 2018, based on the effective interest rate, is in line with the amount that would have been recognised in that period without the reclassification as they were also recorded previously according to the effective rate of return (ex-AFS).
The BPER Banca Group has also reclassified bonds issued, previously classified in the portfolio of “Financial liabilities measured at fair value” pursuant to IAS 39 (Euro 48.3 million) in the category of “Financial liabilities measured at amortised cost - Debt securities in issue”. At 31 December 2018 the fair value of reclassified securities amounted to Euro 33.3 million (net of repayments of Euro 14.4 million). The measurement of the instruments at fair value would therefore have entailed the recognition of income in the income statement for 2018 of Euro 610 thousand.

Certifications and other reports

Certification of the consolidated financial statements for 2018 pursuant to art. 81-ter of Consob Regulation no. 11971 dated 14 May 1999 and subsequent additions and amendments

➢ The undersigned

- Alessandro Vandelli, as Chief Executive Officer,
- Marco Bonfatti, as the Manager responsible for preparing the Company's financial report,

of BPER Banca S.p.A., having considered the requirements of paras. 3 and 4 of art. 154-bis of Decree no. 58 dated 24 February 1998, confirm:

- the adequacy in relation to the characteristics of the Bank and
- the proper application

during 2018, of the administrative and accounting procedures adopted for the preparation of the consolidated financial statements .

➢ This assessment of the adequacy of the administrative and accounting procedures adopted for the preparation of the consolidated financial statements at 31 December 2018 is based on a model developed by BPER Banca S.p.A., consistent with the Internal Control - Integrated Framework issued by the Committee of Sponsoring Organizations of the Tradeway Commission. These framework represent reference standards for systems of internal control that are generally accepted at an international level.

➢ It is also certified that

- the consolidated financial statements at 31 December 2018:
  a) have been prepared in accordance with the applicable international accounting standards recognised within the European Union pursuant to European Parliament and Council Regulation (EC) no. 1606/2002 dated 19 July 2002, Decree 38/2005 and the enabling regulations for art. 9 of this Decree;
  b) agree with the underlying accounting records and entries;
  c) present a true and fair view of the financial position and results of operations of the Bank and the companies included within the scope of consolidation.
- The report on operations includes a reliable analysis of performance and the results of operations, as well as of the position of the Bank and the companies included within the scope of consolidation, together with a description of the principal risks and uncertainties to which they are exposed.

Modena, 5 March 2019

Chief Executive Officer

Alessandro Vandelli

Manager responsible for preparing the company's financial report

Marco Bonfatti

Deloitte & Touche S.p.A.
Piazza Malpighi, 4/2
40123 Bologna
Italia

Tel: +39 051 65811
Fax: +39 051 230874
www.deloitte.it

INDEPENDENT AUDITOR'S REPORT
PURSUANT TO ARTICLE 14 OF LEGISLATIVE DECREE No. 39 OF JANUARY 27, 2010
AND ARTICLE 10 OF THE EU REGULATION 537/2014

To the Shareholders of
BPER Banca S.p.A.

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Opinion

We have audited the consolidated financial statements of BPER Banca S.p.A. and its subsidiaries (the Group), which comprise the consolidated balance sheet as at December 31, 2018, and the consolidated income statement, the consolidated statement of other comprehensive income, the consolidated statement of changes in shareholders' equity and the consolidated statement of cash flows for the year then ended, and the consolidated explanatory notes.

In our opinion, the accompanying consolidated financial statements give a true and fair view of the consolidated financial position of the Group as at December 31, 2018, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of BPER Banca S.p.A. (the "Bank") in accordance with the ethical requirements applicable under Italian law to the audit of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

First time adoption of IFRS 9	
Description of the key audit matter	The first time adoption, as of January 1, 2018, of the International Financial Reporting Standard IFRS 9 "Financial instruments" (the "Standard"), has led to the classification and measurement of the Group's financial assets and liabilities according to the new accounting categories envisaged by the Standard and the definition of a new methodology for determining the impairment losses of the financial assets on the basis of the expected losses model (expected credit losses). The Group has opted, according to the Standard, to keep on applying IAS 39 hedge accounting requirements for all its hedging relationships (carve-out). *Part A – Accounting Policies* of the consolidated explanatory notes describes the disclosure required by the applicable International Financial Reporting Standards, including the main methodological choices made. In particular, the first time adoption of the Standard determined, as at January 1, 2018, a negative impact on the Group's net equity of Euro 1,084 million before tax. Such an impact was determined as a result of the implementation of the new Standard that has affected the various aspects of the Group's internal control system. In this context, the determination of impairment provisioning of the financial assets according to the expected credit losses model introduced by the Standard represents the result of a complex estimation process that includes several subjective variables regarding the criteria used to identify the significant increase in credit risk, in order to allocate the financial assets at the different stages provided by the Standard, and the definition of the models used to measure the expected credit losses, using assumptions and parameters which have to take into account current and future macroeconomic information ("forward-looking"), including possible future sale scenarios, as far as non-performing exposures are concerned, if the Group's strategy for loans recovery envisages sale transactions. Given the significance of the above-mentioned effects, the pervasive operational complexities connected to the transition to the Standard and the inherent subjectivity of the estimation process adopted by the Group for the valuation of financial assets according to the new impairment methodology, we considered the first time adoption of the Standard a key audit matter for the consolidated financial statements of BPER Banca Group as at December 31, 2018.
Audit procedures performed	While performing our audit procedures we have preliminarily examined, also supported by IT processes and systems and credit risk model specialists of the Deloitte network, the Group's implementation project, with particular reference to the application choices adopted, in order to verify their appropriateness and compliance with the Standard, and to the related impacts. The main procedures carried out as part of our audit work were, among others, as follows:

- obtaining and analysing the minutes of the Bank's Governance and Control Bodies and any other documentation produced and made available, with particular reference to the areas of interpretation, also through information gathering and interviews with the relevant departments of the Bank and in-depth analysis with its advisors;

- performing an analysis of the technical-methodological documentation underlying the identification of the Group's business models with particular reference to the classification criteria for financial assets in such business models;

- identifying and understanding the design, also supported by the above-mentioned specialists of the Deloitte network, of certain key controls, including IT controls, which ensure the classification and evaluation of the Group's financial assets, and checking their correct implementation and operating effectiveness, where applicable;

- checking, for certain loans and debt securities, the correctness of the results of SPPI test carried out by the Group during the first time adoption of the Standard;

- gaining an understanding of the impairment models developed by the Group and analysis of the reasonableness of the main assumptions and parameters used for transfer logic or stage allocation and evaluation of expected credit losses models, also supported by the specialists of the Deloitte network, and checking the correctness of the related calculations;

- checking the consistency between the information used for estimating expected credit losses and that used in the other main decision-making, budget and evaluation processes of the Group, with particular reference to macroeconomic indicators and forward-looking information.

Finally, with regard to the impact of the first time adoption of the Standard, we have acquired the details of the relevant quantification and checked its clerical accuracy. We have also checked the completeness and the compliance of the disclosure provided in Part A – Accounting Policies of the consolidated explanatory notes in accordance with the requirements of the applicable International Financial Reporting Standards.

Classification of high-risk performing loans to customers measured at amortised cost	
Description of the key audit matter	As reported in paragraph "6.1 Balance sheet aggregates" of the Directors' report on Group operations and in the quantitative information of "Section 2 – Credit risk" of Part E – Information on risks and related hedging policies in the explanatory notes as at December 31, 2018, performing loans to customers measured at amortised cost of BPER Banca Group show a gross amount of Euro 44,011 million, reduced by portfolio adjustments of Euro 165 million, to come to a net amount of Euro 43,846 million, resulting in a coverage ratio of 0.37%. As reported in the qualitative information of "Section 2 – Credit risk" of Part E

	– Information on risks and related hedging policies in the explanatory notes as at December 31, 2018, as part of its policies for managing loans to customers, the Group adopted rules and processes for monitoring credit exposures, which have entailed, among other things, a structured action of classification into homogeneous risk categories. In particular on the basis of "rating" and "early warning" systems the Group identified, among performing loans to customers measured at amortised cost, those ones with a higher degree of risk. Given the complexity of the process of classifying loans to customers in homogeneous risk categories followed by the Group, we considered the classification of high-risk performing loans to customers measured at amortised cost a key audit matter of the consolidated financial statements of BPER Banca Group as at December 31, 2018.
Audit procedures performed	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the internal regulations and processes implemented by the Group for classifying loans to customers measured at amortised cost and monitoring their quality, in order to verify the compliance with the regulatory framework; • checking the implementation and operating effectiveness of the key controls identified in relation to those processes, also supported by IT processes and systems specialists of the Deloitte network; • checking, on a sample basis, the classification of high-risk performing loans to customers measured at amortised cost in accordance with the regulatory framework; • checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Classification and valuation of non-performing loans to customers measured at amortised cost

Description of the key audit matter	As reported in paragraph "6.1 Balance sheet aggregates" of the Directors' Report on Group Operations and in the quantitative information of "Section 2 – Credit risk" of Part E – Information on risks and related hedging policies of the explanatory notes as at December 31, 2018, non-performing loans to customers measured at amortised cost of BPER Banca Group show a gross amount of Euro 7,046 million, reduced by specific adjustments of Euro 3,841 million, resulting in a net amount of Euro 3,205 million. The Directors' Report on Group Operations also shows that the coverage ratio of non-performing loans to customers measured at amortised cost as at December 31, 2018 is equal to 54.52%. More specifically, the above-mentioned laons to customers, classified in accordance with IFRS 9 "Financial Instruments" as "Third Stage", include bad loans for a net value of Euro 1,448 million and a coverage ratio of 66.62%, unlikely to pay loans for a net value of Euro 1,696 million and a coverage ratio of 35.73%, and impaired past due loans for a net value of Euro 61 million and a coverage ratio of 12.33%.

Part A – Accounting policies of the explanatory notes describes:

- the rules for classifying non-performing loans to customers measured at amortised cost followed by the Group in compliance with the current instructions of the Supervisory Authorities and the applicable accounting standards;

- the methods for determining their recoverable amount which are based on the estimate of the present value of expected cash flows deriving from an analytical valuation of bad loans and unlikely to pay loans whose exposure is higher than the thresholds established by internal regulations, and from a flat-rate approach for the remaining non-performing loans to customers measured at amortised cost. Furthermore the quantification of the recoverable amount of non-performing loans which are included in the Group's strategy, which envisages the recovery of those loans through disposals, reflects also the estimate of their disposal value, duly weighting the probability of the "workout" and "disposal" scenarios.

Given the significance of the amount of non-performing loans to customers measured at amortised cost recorded in the financial statements, the complexity of the valuation processes adopted by the Group, which entailed a structured action of classification into homogeneous risk categories, as well as the relevance of the discretionary components linked to the estimate of the recoverable amount (such as the estimate of expected cash flows, the time of recovery, the collaterals' value and the possible recovery strategies), we considered the classification of non-performing loans to customers measured at amortised cost and their valuation a key audit matter of the consolidated financial statements of BPER Banca Group as at December 31, 2018.

Audit procedures performed

The main procedures carried out as part of our audit work were, among others, as follows:

- gaining an understanding of the internal regulations and processes implemented by the Group for classifying non-performing loans to customers measured at amortised cost and determining their recoverable amount, in order to verify the relevant compliance with the regulatory framework and applicable accounting standards;

- checking the implementation and operating effectiveness of the key controls identified in relation to those processes, also supported by IT processes and systems specialists of the Deloitte network;

- drawing qualitative and trend analysis of non-performing loans to customers by calculating appropriate qualitative and quantitative indicators in order to identify possible matters of interest;

- checking on a sample of credit files, selected also on the basis of the matters of interest emerging from the analysis referred to in the previous point, the relevant classification and determination of the recoverable amount of non-performing loans to customers measured at amortised cost in accordance with the regulatory framework and applicable accounting standards, also by obtaining and examining written confirmations by the lawyers appointed for their collection;

- checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Accounting derecognition of portfolios of bad loans following the transfer through GACS-backed securitisation	
Description of the key audit matter	As part of its derisking and asset quality improvement strategy, BPER Banca Group finalized two securitisation transactions, named “4Mori Sardegna” and “Aqui”. In particular, on June 22, 2018, the securitisation transaction referred to a bad loans portfolio of Banco di Sardegna S.p.A., named “4Mori Sardegna”, was finalized, through a backed securitisation programme guaranteed by the Ministry of Economy and Finance (so-called “GACS”). On June 7, 2018, with effective date January 1, 2018, the bad loans portfolio, of a Gross Book Value of Euro 900 million at the reference date, was transferred to the independent special purpose vehicle 4Mori Sardegna S.r.l., which, on June 22, 2018, issued Senior notes of Euro 232 million, Mezzanine notes of Euro 13 million and Junior notes of Euro 8 million, which were fully subscribed by Banco di Sardegna S.p.A.. On June 29, 2018, Banco di Sardegna S.p.A. finalized the sale of 95% of the nominal value of Mezzanine and Junior notes, initially subscribed, to an institutional investor, keeping a net economic interest equal to 5% of the nominal value of each class, in order to fulfil the obligation of retention required by the regulatory framework. Following the completion of the sale of those securities, the conditions required by IFRS 9 for the accounting derecognition of the transferred loans from the balance sheet of the Group were met. Furthermore, on November 7, 2018, the multi-originator securitisation transaction referred to a bad loans portfolio of BPER Banca S.p.A., Cassa di Risparmio di Bra S.p.A. and Cassa di Risparmio di Saluzzo S.p.A., named “Aqui”, was finalized, through a backed securitisation programme guaranteed by the Ministry of Economy and Finance (so-called “GACS”). In particular, on October 24, 2018, with effective date January 1, 2018, the bad loans portfolio, of a total Gross Book Value of Euro 1,902 million (out of which Euro 1,814 million of BPER Banca S.p.A.) at the reference date, was transferred to the independent special purpose vehicle Aqui SPV S.r.l., which, on November 7, 2018, issued Senior notes of Euro 544,7 million, Mezzanine notes of Euro 62,9 million and Junior notes of Euro 10,8 million, which were fully subscribed by BPER Banca S.p.A.. On December 14, 2018, BPER Banca S.p.A. finalized the sale of 95% of the nominal value of Mezzanine and Junior notes, initially subscribed, to an institutional investor, keeping a net economic interest equal to 5% of the nominal value of each class, in order to fulfil the obligation of retention required by the regulatory framework. Following the completion of the sale of those securities, the conditions required by IFRS 9 for the accounting derecognition of the transferred loans from the balance sheet of the Group were met. In paragraph “3.2 Strategic transactions” of the Directors’ Report on Group

	Operations and in "Section 6 – Gains (Losses) on disposal or repurchase" of Part C – Information on the Consolidated income statement of the Explanatory notes, disclosures are provided on the above-described aspects and the economic effects recorded in the fiscal year 2018 with reference to the above-mentioned transactions. Given the complexity of the transactions and the significance of the related accounting effects, we considered the accounting derecognition of portfolios of bad loans following the transfer through GACS-backed securitisation a key audit matter of the consolidated financial statements of BPER Banca Group as at December 31, 2018.
Audit procedures performed	The main procedures carried out as part of our audit work, also supported by specialists of the Deloitte network, were, among others, as follows: • understanding of the structure and of the finalization process of the transfer transactions, through securitisation, by obtaining and analysing signed agreements and further available documentation, as well as through interviews with the management of Banco di Sardegna S.p.A. and of BPER Banca S.p.A.; • testing the design and implementation of the key controls performed by the Group with reference to the accounting derecognition of the securitised loans; • analysis of the existence of the conditions required by the international accounting standard IFRS 9 for the accounting derecognition of the securitised loans; • checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Impairment test of goodwill	
Description of the key audit matter	As reported in the consolidated financial statements as at December 31, 2018, intangible assets include goodwill of Euro 264.7 million allocated to cash generating units ("CGUs") identified in the individual legal entities (BPER Banca S.p.A., Banco di Sardegna S.p.A., Cassa di Risparmio di Bra S.p.A., Cassa di Risparmio di Saluzzo S.p.A. and Emilia Romagna Factor S.p.A.). Under IAS 36 "Impairment of assets", goodwill is not amortised but subjected to an impairment test at least once a year, by comparing the carrying amount with the relevant recoverable amount of each CGU. When preparing the impairment test, the Bank determines the recoverable amount of the CGUs in terms of value in use estimated on the basis of the "Dividend Discount Model". The process of determining the value in use adopted by the Bank is based on assumptions involving, among other things, a forecast of expected cash flows of the CGUs to which goodwill has been allocated, as well as the discount rate to be applied to the expected cash flows and the long-term growth rate. The impairment test carried out by the Bank, supported by a fairness opinion of an independent external expert, revealed the need to adjust goodwill for a

	total of Euro 62.3 million. In Part A – Accounting Policies and in "Section 10 – Intangible Assets" of Part B – Information on the balance sheet of the consolidated explanatory notes, disclosures are provided on these aspects, as well as on the results of the sensitivity analysis performed. Given the subjectivity of the estimates involved in determining the cash flows of the CGUs to which the goodwill has been allocated and the key variables of the impairment model, we considered the impairment test of goodwill a key audit matter of the consolidated financial statements of BPER Banca Group as at December 31, 2018.
Audit procedures performed	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the valuation model and of the assumptions adopted by the Bank to carry out the impairment test, also supported by the specialists of the Deloitte network; • gaining an understanding of the process involved in carrying out the impairment test and verifying the implementation and operating effectiveness of the key controls identified in relation to that process; • performing an analysis of reasonableness of the main assumptions adopted to estimate cash flows, carried out also by obtaining information from the Bank; • performing an analysis of reasonableness of the key variables adopted in the valuation model, carried out also through in-depth analysis with the independent external expert and supported by the specialists of the Deloitte network; • obtaining and analysing the fairness opinion prepared by the independent external expert; • performing an analysis of actual figures compared with the original plans, in order to assess the nature of variances and the reliability of the process of determining the forecasts; • verifying the clerical accuracy of the model used to determine the value in use of the CGUs to which the goodwill has been allocated, also supported by the specialists of the Deloitte network; • reviewing the sensitivity analysis performed by the Bank; • checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Responsibilities of the Directors and the Board of Statutory Auditors for the Consolidated Financial Statements

The Directors are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15, and, within the terms established by law, for such internal control as the Directors determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they have identified the existence of the conditions for the liquidation of the Bank or the termination of the business or have no realistic alternatives to such choices.

The Board of Statutory Auditors is responsible for overseeing, within the terms established by law, the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing (ISA Italia), we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;

- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors;

- conclude on the appropriateness of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;

- evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation;

- obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance, identified at an appropriate level as required by ISA Italia, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence applicable in Italy, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report.

Other information communicated pursuant to art. 10 of the EU Regulation 537/2014

The Shareholders' Meeting of BPER Banca S.p.A. has appointed us on November 26, 2016 as auditors of the Bank for the years from December 31, 2017 to December 31, 2025.

We declare that we have not provided prohibited non-audit services referred to in art. 5 (1) of EU Regulation 537/2014 and that we have remained independent of the Bank in conducting the audit.

We confirm that the opinion on the consolidated financial statements expressed in this report is consistent with the additional report to the Board of Statutory Auditors, in its role of Audit Committee, referred to in art. 11 of the said Regulation.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Opinion pursuant to art. 14 paragraph 2 (e) of Legislative Decree 39/10 and art. 123-bis, paragraph 4, of Legislative Decree 58/98

The Directors of BPER Banca S.p.A. are responsible for the preparation of the Directors' Report on Group Operations and the report on corporate governance and the ownership structure of BPER Banca Group as at December 31, 2018, including their consistency with the related consolidated financial statements and their compliance with the law.

We have carried out the procedures set forth in the Auditing Standard (SA Italia) n. 720B in order to express an opinion on the consistency of the Directors' Report on Group Operations and some specific information contained in the report on corporate governance and the ownership structure set forth in art. 123-bis, n. 4 of Legislative Decree 58/98, with the consolidated financial statements of BPER Banca Group as at December 31, 2018 and on their compliance with the law, as well as to make a statement about any material misstatement.

In our opinion, the above-mentioned Directors' Report on Group Operations and some specific information contained in the report on corporate governance and the ownership structure are consistent with the consolidated financial statements of BPER Banca Group as at December 31, 2018 and are prepared in accordance with the law.

With reference to the statement referred to in art. 14, paragraph 2 (e), of Legislative Decree 39/10, made on the basis of the knowledge and understanding of the entity and of the related context acquired during the audit, we have nothing to report.

Statement pursuant to art. 4 of the Consob Regulation for the implementation of Legislative Decree 30 December 2016, no. 254

The Directors of BPER Banca S.p.A. are responsible for the preparation of the non-financial statement pursuant to Legislative Decree 30 December 2016, no. 254.

We verified the approval by the Directors of the non-financial statement.

Pursuant to art. 3, paragraph 10 of Legislative Decree 30 December 2016, no. 254, this statement is subject of a separate attestation issued by us.

DELOITTE & TOUCHE S.p.A.

Signed by
Marco Benini
Partner

Bologna, Italy
March 26, 2019

This report has been translated into the English language solely for the convenience of international readers.

2018 FINANCIAL STATEMENTS

Directors' report on operations

Content

1. The Bank in 2018

1.1. The macroeconomic context

A brief analysis of the economic context, the dynamics of financial markets, the state of the public finances and the evolution of the banking market in which BPER Banca operated during the course of 2018 is contained in the Directors' Report on Group Operations, to which reference should be made.

1.2 Competitive positioning

Market positioning: deposits and loans

BPER Banca's share of the market for direct deposits in October 2018 increased with respect to the previous twelve months (1.96% on 1.81% y/y). Growth extended to all economic sectors. Greater impetus has come from deposits made by companies, up from 3.05% to 3.30% y/y), and family businesses (up from 3.74% to 3.96% y/y).

In terms of lending, net of bad loans, there has been a slight increase in the domestic market share (from 2.06% in October 2017 to 2.07% in October 2018) mainly relating to family businesses whose share went from 2.94% to 3.07% y/y and to households whose share went from 1.69% to 1.75% y/y. The trend in the overall market shares held by the Bank in the areas in which it operates are shown in the following tables.

Market shares - Direct borrowing

Period	Total Customers	Households	Companies	Family businesses
31.10.2018	1.96%	1.59%	3.30%	3.96%
30.09.2018	1.97%	1.61%	3.20%	3.95%
31.08.2018	1.94%	1.61%	3.21%	3.94%
31.07.2018	1.93%	1.62%	3.20%	3.96%
30.06.2018	1.95%	1.64%	3.18%	3.93%
31.05.2018	1.94%	1.63%	3.14%	3.93%
30.04.2018	1.94%	1.64%	3.09%	3.92%
31.03.2018	1.98%	1.63%	3.12%	3.95%
28.02.2018	1.94%	1.63%	3.00%	3.95%
31.01.2018	1.94%	1.65%	3.06%	3.91%
31.12.2017	1.98%	1.66%	3.25%	3.91%
30.11.2017	1.94%	1.65%	3.08%	3.92%
31.10.2017	1.81%	1.52%	3.05%	3.74%

Market shares - Lending

Period	Total Customers	Households	Companies	Family businesses
31.10.2018	2.07%	1.75%	2.75%	3.07%
30.09.2018	2.09%	1.75%	2.71%	3.03%
31.08.2018	2.06%	1.75%	2.68%	3.05%
31.07.2018	2.04%	1.75%	2.65%	3.02%
30.06.2018	2.09%	1.75%	2.67%	3.02%
31.05.2018	2.07%	1.75%	2.66%	3.03%
30.04.2018	2.07%	1.76%	2.67%	3.06%
31.03.2018	2.09%	1.76%	2.71%	3.05%
28.02.2018	2.08%	1.76%	2.67%	3.06%
31.01.2018	2.13%	1.77%	2.79%	3.07%
31.12.2017	2.18%	1.79%	2.88%	3.08%
30.11.2017	2.14%	1.78%	2.81%	3.12%
31.10.2017	2.06%	1.69%	2.74%	2.94%

Source: Market shares - Planus Corp. analysis of Regulatory Reports

Branch network

The total number of branches has remained unchanged with respect to 2017; the Arzano and Sassuolo Ag. 3 branches have been closed and the Pisa and Viareggio ones have been opened. At 31 December 2018, there were in fact 827 full-service branches and small branches, the same number than in 2017.

The Bank has a widespread presence of branches in 15 of Italy's 20 regions (Emilia-Romagna (337), Abruzzo (97), Campania (94), Lazio (59), Calabria (42), Lombardy (40), Apulia (35), Veneto (40), Basilicata (34), Sicily (17), Molise (10), Marche (9), Tuscany (8), Trentino-Alto Adige (3) and Umbria (2)).

During the year, the Sassuolo and the Bologna main branches were restructured, whereas the Formigine branch was expanded.

1.3 Relations with customers

Commercial and service policies

Processes

The Customer Relationship Management (CRM) platform, which has been active since 2015, has guided the different ways in which the Network has contacted customers:

- with a top-down logic ("Air actions"), according to a centralised programming model that has allowed the diffusion of a homogeneous approach;
- through bottom-up programming ("Ground actions") identified at branch level;
- through Self actions ("Auto-programming"), chosen directly by the Portfolio Manager.

As part of the Business Area Activation project started in 2017, the main commercial processes were reviewed with the aim of redefining the tasks and responsibilities of the main functions involved in order to govern and optimize the interaction between the various departments of the Business Area (horizontal) and between the Centre and the Network (vertical), in line with the new organisational approaches: this has led to the definition of the so-called "commercial liturgy", which describes the

methods, timing, tools and objectives of the dialogue between the Centre and the Network aimed at monitoring performance.
Furthermore, the redefinition of the commercial planning process was particularly important, making it possible to establish a clear division of activities between the various areas that make up the commercial plan, as well as ensuring greater involvement on the part of segment managers in the development of the marketing plan, the training plan and the annual media plan.
In compliance with the European legislation on "Product Governance", BPER Banca has implemented a structured process to govern the development and approval of new products and services, for entering new markets and signing distribution agreements. The definition of BPER Banca's commercial offer is governed by the "Group Policy for the governance of non-compliance risk on Product Governance" and by the "Group Regulation for the development and approval of products and services on offer".
The objectives of the development process and approval of the commercial offer are:

- ensuring the improvement and timely evolution of products and services on offer in compliance with the needs of customers and in line with the company's strategy and objectives;
- ensuring the correct mapping, assessment and management of risks deriving from new operations, in line with BPER Banca's risk appetite;
- defining the customer groups to which the company intends to distribute new products and services in relation to their complexity and any existing regulatory constraints;
- assessing the structure of the products, with reference to the extent to which they are comprehensible to customers, their characteristics and risks, particularly for complex forms of remuneration and reimbursement;
- ensuring transparency and fairness in the marketing phase;
- ensuring full compliance in the development and approval of products and services on offer, by ensuring respect for the various stages envisaged and the involvement of various corporate functions.

Furthermore, BPER Banca has recently implemented an advanced sales front-end (called "BStore"), available to all branch managers, which guides the user in proposing the main products and services to customers, starting from the Group's computerized product catalogue. The procedure is currently active for private individuals with reference to services such as current accounts, securities deposits, debit and credit cards, personal loans and on-line services and will be extended to mortgage loans and business services during 2019.

Listening to customers

Customer satisfaction is one of the main levers of the service quality planning and control system and a strategic competitive factor in the market. This principle has spawned a need for the construction of a system to monitor quality perceived by customers across all customer segments and the various points of the bank-customer relationship.
Since 2016, a branch-level service quality monitoring system has been active within BPER Banca, called the IESS (Index of Experience and Service Satisfaction). The continuous listening activity involves 56,000 telephone interviews per year dedicated to individual customers (Family and Personal service models) and SEOs (Small Economic Operators) who often visit their branch. The evidence collected on all aspects of the experience at the branch is displayed on a dedicated portal with a weekly update, which allows each branch manager to spot very quickly any critical points in the service, on which action has to be taken. The main indicators are shown below.
In 2018, BPER Banca implemented a new and more structured manner of listening to Individual and SEO (Small Economic Operators) customers, with the objective of continuously monitoring the level of

satisfaction and emerging needs, obtaining precious indications to feed into a process of continuous improvement in the quality of service and relationship.
The new structure provides for implementation of a system of monitoring and governance of the Net Promoter Score (NPS), an indicator that measures the proportion of "promoters" (customers who would recommend the bank) compared with "detractors". This new listening activity envisages the use of surveys via e-mail as the main channel of contact and aims to gather feedback from as many customers as possible.
From the initial feedback received, based on around 22,000 interviews, it is clear that the level of customers' NPS is at a good level, one of the highest among traditional banks, for the Family and Personal segments, while it is slightly lower, although still positive, for SEO customers. The data also shows that having Internet Banking is linked to a higher level of satisfaction, and the satisfaction increases with the number of channels that the customer uses. The number of contacts made by the contact person also increases customer satisfaction, while customers without a contact person (or who do not perceive having one) are the least satisfied.

The contact channels

The BPER Banca Group Contact Centre only responds from Italy as this is meant to favour national employment and provide customers with a better service. However, it is able to provide assistance to customers in 6 languages in addition to Italian: English, French, Spanish, Romanian, Portuguese and Arabic.
In 2018 the Contact Centre obtained the renewal of the ISO 9001 and ISO 15838 certifications.
Development of the WhatsApp contact channel has recently been completed and, by integrating it with the Live Person platform, BPER is the first finance company in the world to provide a service of excellence in its relationship with remote customers through a certified Business profile.
2018 saw the start of the Remote Offer of Loans, which allows a large number of customers to request a personal loan autonomously on Smart Web, Mobile App or with the support of a Contact Centre specialist, receiving the final result digitally, 7/24, directly on the move.
Lastly, the Remote Offer of Funds and Sicavs (by Arca Sgr, Bper Sicav and Etica Sgr) has also been activated through the Contact Centre: a Family customer can subscribe to these products with the help of remote advice on investments by Contact Centre operators. The service allows you to make investments remotely on your own, signing digitally on Smart Web.

Commercial agreements

With reference to commercial partnerships, 2018 represented the consolidation and further enhancement of the Group's strategic agreements.
We refer to the Bancassurance Agreement with the Unipol Group for the distribution of "Arca Vita", "Arca Assicurazioni" and "Arca Vita International" life and non-life insurance policies. The agreements reached with the insurance partner pay particular attention to product innovation and will make it possible to expand and strengthen the range of insurance products offered to customers, as well as to maximize the effectiveness of the BPER Banca Group's bancassurance value proposition. Renewal of the Agreement also strengthens the strategic partnership with Gruppo Assicurativo UNIPOL, accelerating growth in a segment that will contribute significantly to raising commission income with a view to further developing the service component.

In addition, further consolidation of the partnership with Arca Sgr, the asset management company that manages funds and investment solutions for retail customers, continues with products that feature high quality and low costs.

Products and commercial activities

Individuals

BPER Bank pays constant attention to the needs of customers at every stage of the business. In addition to the ordinary activities of supervision and development of the traditional banking business, the Bank has carried out various initiatives aimed at innovating the products and services on offer, with a view to greater digitisation and flexibility of use considering customers' needs.
In particular, a new all-inclusive solution was released in 2018 to manage the need for individual customers to carry out transactions by means of a modular offer that integrates the current account service, payment cards, Internet banking and a securities deposit account. The solution can be largely modulated according to the different usage profiles of the various customer clusters; the usage profile can be modified over time depending on changes in the intensity with which it is used.
And now there is also the possibility of taking out a prepaid card with an IBAN in a completely self-service mode: Carta Conto is the new product belonging to the "current card" family, which can be subscribed exclusively via the web channel with associated multi-channelling to operate remotely in self-service mode. The main objective is to acquire new customers: the reference target is that of prospective customers, i.e. people who do not already have current accounts in their name or joint names with the Group banks that are aligned from an IT point of view.

Private Banking – BPER Private

BPER Banca's Private Banking Service continues to develop in both qualitative and quantitative terms, with a view to becoming the principal banking provider of global wealth advice for the Bank's more advanced customers.
During 2018, the new Individual Global Advisory service was developed further. Thanks to an integrated view of the entire family wealth, it makes it possible to provide sophisticated advice to help plan the future of the customer's family. The service uses an ad hoc IT platform to offer specialist advice on financial, property, inheritance, insurance and pension matters.
On the financial advisory side, a project was launched to revise the product range with the aim of adapting the services on offer to the changed economic and financial context. In the meantime, the Bank continued to select and maintain the best SICAV segments chosen from among the key international players in the field of asset management.

Corporates

With reference to the products and services offered to Corporates, during 2018, the existing product range was enhanced, above all with regard to the SME segment, mainly the following:

- "Fin PMI", guaranteed by the Guarantee Fund for small and medium-sized enterprises, is a loan that meets the various needs of corporates, such as the purchase of land and buildings and liquidity needs, but also, and above all, the purchase of licences and patents to help the company grow;

- "Innovfin" is a loan that is 50% guaranteed by the European Investment Fund and dedicated to small and medium-sized enterprises with strong innovation or significant investments in research and development; it covers 100% of the cost of the project at advantageous terms and conditions;
- "Finprogex" is a loan issued with a guarantee from SACE and dedicated to internationalisation and investment in a company's foreign markets. It is a loan that stimulates the growth of companies in foreign markets;
- "Fin Short Term", a short-term unsecured loan with a guarantee from SACE, is dedicated to companies that want to internationalise and open up to new markets.

The Group's product factories also continued to be upgraded during 2018, with particular reference to BPER Leasing, BPER Factor and Sifà (a company that offers long-term rentals).
An important development of advanced advisory services aimed mainly at Corporate customers is worth mentioning.
Business Global Advisory is dedicated to companies, identified on the basis of economic-financial parameters to provide global consultancy in support of their growth, with a range of value-added products and services (for example in the field of Internationalisation, Wealth Advisory, Corporate Finance and Investment Banking).

1.4 Human resources

Key data

During 2018, 91 new employees were hired, including 14 apprentices.
Agreements for contract staff (to meet temporary needs) were in place for 248 persons at the end of 2018 (with an average of 239 during the year).
In 2018, internships involved 9 undergraduates and graduates from three-year degree courses and longer specialist courses.
During 2018, 121 people terminated their employment with the Bank[1]. The number of employees in active service at the end of 2018 was 8,292 (excluding 23 who were on leave).
The number of secondments to other Group businesses decreased by 6 persons compared with the prior year, reaching a total of 978 persons, of which 814 are with the Group consortium BPER Services s.cons.p.a.; 159 people from other Group banks are on secondment with BPER Banca.

Industrial relations

As in previous years, in 2018, the appropriateness of the labour relations system was confirmed by the manner in which discussions were held and negotiations took place with the trade unions, based on constructive dialogue between the parties, despite increasing difficulties caused by different factors, including a difficult environment due to various elements of instability in the political, economic and social scene and issues regarding the banking sector.
In the complex scenario outlined above, also of note was the commencement of various projects, which had repercussions on the staff of both the Parent Company and the rest of the Group, and the subsequent discussions mainly with the Group's trade union representatives.
Of the main agreements reached, worth mentioning in terms of their importance are those relating to the rules governing the variable portion of employees' remuneration (starting with the company bonus to

[1] *Including those that ran from 1 January 2018, i.e. those for whom 31 December 2017 was their last working day.*

reflect important changes in Corporate Welfare and the extraordinary company bonus) and access to FBA (Fondo Banche Assicurazioni) contributions to finance most of the Bank's training activities.

Protected categories pursuant to Law 68/1999

With regard to the Bank's obligations under Law 68/1999, a certificate of nationwide compliance with the regulations was obtained during 2018. The Bank has 613 differently-able or other protected categories employees at 31 December 2018.

Welfare project

During 2018, multiple instruments were adopted to meet the needs of the employees of the BPER Banca Group. All employees, with full-time or part-time contracts, can access the Company Welfare Portal at any time. The portal has been improved in terms of graphics, in line with corporate communication policies, to make the tool easier to use. Within the corporate welfare portal, all the benefits available to current employees are grouped together by topic:

- health/dental policy;
- accident policy;
- long-term care in the event of non self-sufficiency;
- check-up;
- pre-decease agreement (in the event of death or permanent disability while still employed by the Bank);
- supplementary pension fund;
- favourable terms on the main banking services;
- meal vouchers and gift vouchers;
- national and local agreements;
- information on maternity and parental leave.

In addition, facilitations and benefits are provided for student and disabled workers, scholarships for employees' children, a company canteen in Modena, a company nursery in Modena, a library service and a recreational club for employees.

The Welfare Portal is expected to be expanded with the completion of two new sections during 2019:

- "Work Life-Balance", in which information on how to make use of part-time contracts are explained, time flexibility, permits under Law 104, work-life and smart working conciliation services.
- "Mobility", which is developing on issues such as discounts or rebates for public transport passes (train, bus, underground) and conventions for large parking lots.

The company is also considering the possibility of activating additional services to favour an adequate work-life balance for its employees.

The Welfare Plan offered to employees was also extended, with the intention of providing services and products that take into account individual family needs. Approximately 37% of the personnel adhered to it. The Welfare Plan is developing in the area of supplementary health care, assistance services for families, supplementary pensions, the education area and services related to leisure, culture and recreational activities.

To facilitate the use and increase the knowledge of the Company Welfare Plan services, the internal communication plan activated in 2018 will be further improved and expanded.

With regard to social initiatives, during the year BPER Banca took part in the following initiatives:

- "Bike to Work", a national initiative, which BPER Banca participates in, promoted by the non-profit association "Federazione Italiana Amici della Bicicletta – FIAB" and by "Rete Città Sane

OMS" to promote sustainable mobility and a healthy lifestyle. Numerous employees took part in this initiative by going to work by bike;
- in collaboration with the ANT Foundation, the Bank organised 4 days of medical examinations aimed at the prevention of cancer, melanoma and thyroid.

BPER Infant Centre

In 2018 the BPER Infant Centre continued its activities, consisting of a nursery, which has been opened in 2008, and of a kindergarten, which has been inaugurated in 2009. The two structures work together to maximise the well-being of their little guests.
The teaching and educational side of the project is decided in close collaboration with the families concerned.
The structure consists of spacious and bright rooms, with play areas and "soft" furnishings designed specifically for children's safety in the nursery, whereas the kindergarten has separate environments equipped for independence, exploration and research.
The Centre is surrounded by a large garden where the children can play, explore and be involved in outdoor physical activities.

1.5 Real estate sector

The real estate assets of BPER Banca S.p.a. are organised by the Real Estate Department, which is made up of the Real Estate Management Unit, the Property Administration Office and the Enhancement and Commercialisation Office.
In 2018, the Real Estate Management Unit was involved in planning maintenance and capital investment as envisaged in the budget allocated to the department.
The principal income statement captions involved:
- ordinary maintenance (expenses);
- work that adds value to properties (capital expenditure).

Ordinary maintenance work is principally dedicated to:
- implementing safety measures for properties whose defects or deterioration could cause injury to persons and/or possessions;
- to render currently non-income generating properties capable of being leased or sold.

Significant work to increase the value of property in Italy (capital expenditure) has included:
- renovations with the introduction of a new branch concept at the Sassuolo and Bologna main branches and the opening of the new branches in Pisa and Viareggio;
- replacement of air conditioning systems in various branches where the system had operating and obsolescence problems;
- renovation work on the building in Savignano sul Panaro with the construction of three apartments to be upgraded, renovation of the roof and a thermal insulation coating to limit energy consumption;
- creating classrooms for training in Crotone for the DT Mezzogiorno;
- reconstruction of the waterproofing layers of the roofs of buildings A and C in Avellino, Collina Liguorini; the Fire Prevention Certificate for the 2 buildings A and B was renewed;
- reconstruction work on the building where the L'Aquila main branch is located. The building was hit by an earthquake in 2009 and, following the receipt of government grants for reconstruction (obtained on 26 October 2015), reconstruction work started on the property on 30 March 2016

and was completed at the end of 2018. The Via Strinella branch and Area offices will be transferred in 2019, works that are not covered by government grants;

- reconstruction work on the building where the Cavezzo (Modena) branch is located. The building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained in January 2017), reconstruction work began on the property in December 2016 and is expected to be completed by the end of 2019. The deadline has been extended due to unforeseen circumstances encountered during demolition of the building;
- reconstruction work on the building where the Concordia (Modena) branch is located. The building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained on 20 October 2015), reconstruction work started on the property in October 2016 and was completed at the end of 2018.

During the year, the Enhancement and Commercialisation Department, the mission of which is the enhancement of the Bank's own real estate portfolio, entered into new lease agreements as lessor for an annual amount of Euro 110.0 thousand (of which Euro 63 thousand is intragroup and Euro 47 thousand is with third parties).
Furthermore, it completed 12 sales on behalf of the Parent Company for a total amount of Euro 1,979 thousand, giving rise to a gain equating to 5% of their book value.

1.6 Environment

Efforts continued in 2018 to raise staff awareness about the differentiated collection of waste products in Company premises. Effective educational activities (especially at the branches) took place in favour of the collection and proper disposal of waste matter in accordance with the regulations - in ever more rapid evolution - and with full respect for the environment.
Efforts and resources will continue to be applied to environmental issues with a view to making energy savings, making more and more plant and structural adjustments to improve the energy class of Company buildings.
For further information, please refer to the "Corporate Social Responsibility" section of the Consolidated Non-Financial Statements.

1.7 Strategic transactions

Please refer to the Directors' Report on Group Operations contained in the Consolidated Financial Statements.

2. Results of banking activities

2.1 Introduction[2]

The Bank closed 2018 with a profit of Euro 306.7 million (Euro 208.8 million at 31 December 2017).

More specifically, the income statement results compared with the figures at 31 December 2017 are summarised below:

- net interest income, which amounts to Euro 773.9 million, shows a drop of 3.69% compared with December 2017, while net commission income, which amounts to Euro 590.3 million increases by 5.74% compared with the previous year;
- net income from financial activities including dividends (Euro 159.6 million) is up on the prior year figure (Euro 114.9 million, +38.91%);
- net impairment losses for credit risk (Euro 150.2 million) decrease significantly because of the overall improvement in the quality of the loan Portfolio (both performing and non-performing loans due to the sales carried out). The cost of credit was 40 b.p. (106 b.p. at 31 December 2017);
- operating costs (Euro 997.1 million) increase on 31 December 2017 (+6.27%);
- impairment tests carried out on the assets led to the need for write-downs of Euro 54.4 million on goodwill and Euro 48.7 million on equity investments;
- profit from current operations before tax comes to Euro 252.9 million; income taxes are positive for Euro 53.8 million, mainly due to the effect of deferred tax assets recognised in 2018 as a result of a revised forecast of their recovery, also thanks to the availability of updated data and to the regulatory changes introduced by the 2019 Finance Act for approximately Euro 306.7 million (Euro 208.8 million at 31 December 2017).

In terms of the balance sheet, the results at 31 December 2018 can be summarised as follows:

- direct deposits of Euro 36,292.3 million (-1.61%);
- indirect deposits of Euro 31,978.3 million (+1.07%);
- net loans to customers of Euro 36,673.5 million (-1.52%), with an impact on non-performing loans of 5.53% (9.26% at 31 December 2017);
- shareholders' equity, including the net profit for the year, amounts to Euro 4,388 million (-10.21%) and is affected by the impact of the FTA of IFRS 9.

[2] *As far as the income statement is concerned, the figures for the year ended 31 December 2017 (determined in accordance with IAS 39) have been classified using the new accounting captions required by the 5th update to Bank of Italy Circular 262, without any change in the profit (loss) for the year. The balance sheet data reported at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or total liabilities.*

2.2 Performance ratios[3]

Financial ratios	31.12.2018	31.12.2017 (*)
Structural ratios		
Net loans to customers/total assets	62.04%	61.88%
Net loans to customers/direct deposits from customers	101.05%	100.96%
Financial assets/total assets	25.52%	23.65%
Fixed assets[4]/total assets	3.71%	3.57%
Goodwill/total assets	0.38%	0.47%
Direct deposits/total assets	89.21%	88.78%
Indirect deposits under management/indirect deposits	50.01%	52.07%
Financial assets/tangible equity[5]	3.64	3.10
Total tangible assets[6]/tangible equity	14.19	13.04
Net interbank position (in thousands of Euro)	(13,807,589)	(12,669,881)
Number of employees[7]	8,292	8,323
Number of national bank branches	827	827
Profitability ratios		
ROE	7.00%	4.47%
ROTE	7.46%	4.77%
ROA (net profit/total assets)	0.52%	0.35%
Cost to income ratio[8]	63.69%	61.33%
Net impairment losses on loans to customers/net loans to customers	0.40%	1.06%
Basic EPS[9]	0.638	0.434
Diluted EPS[10]	0.638	0.434
Risk ratios		
Net non-performing loans/net loans to customers	5.53%	9.26%
Net bad loans/net loans to customers	2.44%	4.98%
Net unlikely to pay loans/net loans to customers	3.03%	4.20%
Net past due loans/net loans to customers	0.06%	0.08%
Impairment provisions for non-performing loans/gross non-performing loans	58.65%	51.79%
Impairment provisions for bad loans/gross bad loans	70.87%	61.92%
Impairment provisions for unlikely to pay loans/gross unlikely to pay loans	38.52%	30.38%
Impairment provisions for past due loans/gross past due loans	15.65%	12.92%
Impairment provisions for performing loans/gross performing loans	0.36%	0.51%
Texas ratio[11]	69.82%	86.20%

(*) The comparative figures have been appropriately recalculated at 31 December 2017 to take account of the new classification criteria introduced by IFRS 9, with the exception of those relating to profitability ratios for which reference is made to the figures at 31 December 2017, as per the Financial Statements at 31 December 2017.

[3] The information provided is consistent with the ESMA document of 5 October 2015 "Guidelines - Alternative performance indicators", aimed at promoting the usefulness and transparency of Alternative Performance Indicators included in prospectuses or regulated sources of information. To construct the indices, reference was made to the balance sheet and income statement items of the reclassified statements prepared from a management point of view as mentioned in chapter 2.3 "Balance sheet aggregates" and 2.4 "Income statement aggregates" of this Report.
[4] Fixed assets include both Equity investments and Property, plant and equipment.
[5] Tangible equity = total shareholders' equity net of intangible assets.
[6] Total tangible assets = total assets net of intangible assets.
[7] The number of employees (point figure as 31 december 2018) does not include the expectations.
[8] The Cost to income ratio has been calculated on the basis of the layout of the reclassified income statement (operating costs/operating income); when calculated on the basis of the layouts provided by Circular no. 262 of the Bank of Italy the cost/income ratio is at 66.78% (63.56% at 31 December 2017 as per the Financial Statements as at 31 December 2017).
[9] EPS has been calculated net of treasury shares in portfolio.
[10] See previous note.
[11] The texas ratio is calculated as the relationship between total gross non-performing loans and net tangible equity, including minority interests, increased by impairment provisions for non-performing loans.

(cont.)

Financial ratios	31.12.2018	31.12.2017 (*)
Own Funds (Phased in) (in thousands of Euro)[12]		
Common Equity Tier 1 (CET1)	4,220,398	4,271,294
Own Funds	5,019,023	5,076,408
Risk-weighted assets (RWA)	23,391,661	24,862,977
Capital and liquidity ratios		
Common Equity Tier 1 Ratio (CET1 Ratio) - Phased in	18.04%	17.18%
Tier 1 Ratio (T1 Ratio) - Phased in	18.04%	17.18%
Total Capital Ratio (TC Ratio) - Phased in	21.46%	20.42%
Common Equity Tier 1 Ratio (CET1 Ratio) - Fully Phased	15.39%	17.24%
Leverage Ratio - Phased in[13]	7.3%	6.2%
Leverage Ratio - Fully Phased[14]	6.3%	6.3%

Non-financial ratios	31.12.2018	31.12.2017 (*)
Productivity ratios (in thousands of Euro)		
Direct deposits per employee	4,376.78	4,431.73
Loans to customers per employee	4,422.75	4,474.41
Assets managed per employee	1,928.83	1,979.60
Assets administered per employee	1,927.69	1,821.85
Core revenues[15] per employee	164.52	163.62
Net interest and other banking income per employee	183.77	177.42
Operating costs per employee	122.73	112.77

(*) The comparative figures have been calculated on values at 31 December 2017 as per Financial Statements as at 31 December 2017, with the exception of those relating to productivity ratios on patrimonial basis which have been appropriately recalculated at 31 December 2017 to take account of the new classification criteria introduced by IFRS 9.

[12] *Items have been calculated according to the provisions of Regulation (EU) 575/2013 (CRR), as amended by the Commission Delegated Regulation (EU) 2395/2017.*
[13] *The ratio has been calculated according to the provisions of Regulation (EU) 575/2013 (CRR), as amended by the Commission Delegated Regulation (EU) 62/2015.*
[14] *See previous note.*
[15] *Core revenues = net interest income + net commission income.*

2.3 Balance sheet aggregates

The most important balance sheet aggregates and captions at 31 December 2018 are presented below on a comparative basis with 31 December 2017, in thousands of Euro, indicating the changes between periods in absolute and percentage terms.

The data reported at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update to Bank of Italy Circular 262, in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or for total liabilities and shareholders' equity.

For additional clarity in presenting the results for the year, the formats envisaged in the 5th update to Bank of Italy Circular 262/2005 are presented below on a reclassified basis. In particular:

- debt securities measured at amortised cost (caption 40 *"Financial assets measured at amortised cost"*) have been reclassified to caption *"Financial assets"*;
- *"Other assets"* include captions 100 "*Tax assets*", 110 "*Non-current assets and disposal groups classified as held for sale*" and 120 "*Other assets*";
- *"Other liabilities"* include captions 60 *"Tax liabilities"*, 80 *"Other liabilities"*, 90 *"Employee termination indemnities"* and 100 *"Provisions for risks and charges"*.

Assets

(in thousands of Euro)

Assets	31.12.2018	31.12.2017	Change	Change %
Cash and cash equivalents	330,609	301,076	29,533	9.81
Financial assets	15,084,005	14,232,305	851,700	5.98
a) Financial assets held for trading	287,085	446,939	(159,854)	-35.77
b) Financial assets designated at fair value	202,989	207,123	(4,134)	-2.00
c) Other financial assets mandatorily measured at fair value through profit or loss	513,982	526,395	(12,413)	-2.36
d) Financial assets measured at fair value through other comprehensive income	7,530,477	12,185,346	(4,654,869)	-38.20
e) Debt securities measured at amortised cost	6,549,472	866,502	5,682,970	655.85
- banks	1,799,288	221,392	1,577,896	712.72
- customers	4,750,184	645,110	4,105,074	636.34
Loans	39,301,929	41,112,443	(1,810,514)	-4.40
a) Loans to banks	2,628,450	3,871,959	(1,243,509)	-32.12
b) Loans to customers	36,673,479	37,240,484	(567,005)	-1.52
Hedging derivatives	34,916	52,825	(17,909)	-33.90
Equity investments	1,747,684	1,686,979	60,705	3.60
Property, plant and equipment	448,124	460,055	(11,931)	-2.59
Intangible assets	239,139	295,036	(55,897)	-18.95
- of which: goodwill	225,792	280,236	(54,444)	-19.43
Other assets	1,922,021	2,039,467	(117,446)	-5.76
Total assets	**59,108,427**	**60,180,186**	**(1,071,759)**	**-1.78**

Loans to customers

Net loans to customers comprise solely the loan component allocated to balance sheet caption 40 b) "Financial assets measured at amortised cost – loans to customers, as envisaged in the 5th update of Bank of Italy Circular 262/2005. The prior year balances have therefore been restated with respect to the information published in the financial statements at 31 December 2017.

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Current accounts	4,630,142	5,135,986	(505,844)	-9.85
Mortgage loans	23,201,560	23,430,833	(229,273)	-0.98
Leases and factoring	24,546	21,217	3,329	15.69
Other transactions	8,817,231	8,652,448	164,783	1.90
Net loans to customers	**36,673,479**	**37,240,484**	**(567,005)**	**-1.52**

Loans to customers, net of impairment provisions, total Euro 36,673.5 million (Euro 37,240.5 million at 31 December 2017) down by Euro 567 million since 31 December 2017. This was principally due to the securitisation of bad loans for a gross amount of Euro 1.9 billion ("Aqui" operation).
In order to accelerate the process of improving asset quality and consistent with the 2018-2022 NPE Plan and 2018-2020 NPE strategy, the BPER Banca Group selected a portfolio of potentially saleable non-performing loans with a gross value of about Euro 6.4 billion, whose net carrying amount was then quantified with reference to the amount deemed realisable in a sale scenario, as envisaged in IFRS 9. This process resulted in the recognition of higher adjustments totalling Euro 715.6 million for BPER Banca, arising on transition to the new standard.

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Gross non-performing exposures	**4,905,782**	**7,149,278**	**(2,243,496)**	**-31.38**
Bad loans	3,071,119	4,870,977	(1,799,858)	-36.95
Unlikely to pay loans	1,807,840	2,245,013	(437,173)	-19.47
Past due loans	26,823	33,288	(6,465)	-19.42
Gross performing exposures	**34,771,504**	**33,965,483**	**806,021**	**2.37**
Total gross exposure	**39,677,286**	**41,114,761**	**(1,437,475)**	**-3.50**
Impairment provisions for non-performing	**2,877,229**	**3,702,472**	**(825,243)**	**-22.29**
Bad loans	2,176,600	3,016,058	(839,458)	-27.83
Unlikely to pay loans	696,432	682,112	14,320	2.10
Past due loans	4,197	4,302	(105)	-2.44
Impairment provisions for performing exposures	**126,578**	**171,805**	**(45,227)**	**-26.32**
Total impairment provisions	**3,003,807**	**3,874,277**	**(870,470)**	**-22.47**
Net non-performing exposures	**2,028,553**	**3,446,806**	**(1,418,253)**	**-41.15**
Bad loans	894,519	1,854,919	(960,400)	-51.78
Unlikely to pay loans	1,111,408	1,562,901	(451,493)	-28.89
Past due loans	22,626	28,986	(6,360)	-21.94
Net performing exposures	**34,644,926**	**33,793,678**	**851,248**	**2.52**
Total net exposure	**36,673,479**	**37,240,484**	**(567,005)**	**-1.52**

The 2018-2020 NPE Strategy of the BPER Banca Group and the application of IFRS 9 determined a significant increase in loans to customers coverage.
Against the significant reduction in gross exposure resulting from the sales and write-offs made during the year, the provisions for non-performing loans amount to Euro 2,877.2 million (Euro 3,702.5 million at 31 December 2017; -22.29%), for a coverage ratio of 58.65% (51.79% at 31 December 2017), while provisions relating to performing loans amounted to Euro 126.6 million (Euro 171.8 million at 31 December 2017; -26.32%), leading to a coverage ratio of 0.36% (0.51% at 31 December 2017).
Considering the direct write-offs of bad loans still outstanding, Euro 476.3 million (Euro 565.1 million at 31 December 2017), the coverage ratio of non-performing loans increases to 62.31% (55.32% at 31 December 2017).

The total coverage ratio is therefore 7.57%, versus 9.42% at 31 December 2017. Based on the same considerations regarding direct write-downs, the total effective coverage of loans is 8.67% (10.65% at 31 December 2017).

Net non-performing loans total Euro 2,028.6 million, being 5.53% of total net loans to customers (9.26% at 31 December 2017), while gross non-performing loans represent 12.36% of loans to customers (17.39% at 31 December 2017).
More specifically, net bad loans amount to Euro 894.5 million (-51.78%), net unlikely to pay loans total Euro 1,111.4 million (-28.89%) and net past due loans total Euro 22.6 million (-21.94%).
The coverage ratio, which benefited from the different measurement method introduced by IFRS 9 already described above, has increased significantly to 58.65% from 51.79% at the end of 2017, up by about 686 b.p.

Net bad loans amount to Euro 894.5 million (-51.78%), representing 2.44% of total net loans to customers (4.98% at 31 December 2017), whereas, on a gross basis, the ratio of bad loans to total loans to customers comes to 7.74% (11.85% at 31 December 2017).
The coverage of bad loans is 70.87%, up from 61.92% at 31 December 2017.

Net unlikely-to-pay loans total Euro 1,111.4 million (-28.89%), representing 3.03% of total net loans to customers (4.20% at 31 December 2017), while on a gross basis the ratio is 4.56% (5.46% at 31 December 2017).
The coverage of unlikely to pay loans has increased significantly since the end of 2017 to 38.52%, compared with 30.38% at 31 December 2017.

The net amount of past due loans of Euro 22.6 million (-21.94%) represents 0.06% of total net loans to customers (0.08% at 31 December 2017), whereas, on a gross basis, the ratio of past due loans to total loans to customers is 0.07% (0.08% at 31 December 2017). The coverage of past due loans is 15.65% (12.92% at 31 December 2017).

The impairment provisions for performing loans, Euro 126.6 million, represents 0.36% of the gross amount of performing loans (0.51% at the end of the previous year).

The table below shows the amount of loan disbursements to resident non-financial corporates at the year-end, broken down by the debtors' industry sector according to the Bank of Italy's ATECO classification. The sectors that received the most funding were manufacturing companies (16.03%), followed by the wholesale and retail trade in motor vehicles and motorcycles (8.98%), real estate (4.86%) and construction companies (4.72%).

(in thousands of Euro)

Distribution of loans to resident non-financial corporates	31.12.2018	%
A. Agriculture, forestry and fishing	541,321	1.48
B. Mining and quarrying	32,007	0.09
C. Manufacturing	5,878,544	16.03
D. Provision of electricity, gas, steam and air-conditioning	551,807	1.50
E. Provision of water, sewerage, waste management and rehabilitation	211,928	0.58
F. Construction	1,730,083	4.72
G. Wholesaling and retailing, car and motorcycle repairs	3,294,822	8.98
H. Transport and storage	958,062	2.61
I. Hotel and restaurants	725,560	1.98
J. Information and communication	520,027	1.42
L. Real estate	1,782,540	4.86
M. Professional, scientific and technical activities	582,747	1.59
N. Rentals, travel agencies, business support services	655,247	1.79
O. Public administration and defence, compulsory social security	1,093	-
P. Education	22,310	0.06
Q. Health and welfare	259,952	0.71
R. Arts, sport and entertainment	78,317	0.21
S. Other services	90,865	0.25
Total loans to resident non-financial corporates	**17,917,232**	**48.86**
Individuals and other not included above	11,654,719	31.78
Financial corporates	4,973,753	13.56
Governments and other public entities	2,102,695	5.73
Insurance companies	25,080	0.07
Total loans	**36,673,479**	**100.00**

Financial assets and equity investments

Among the financial assets, debt securities measured at amortised cost are presented by just the bond component allocated to balance sheet captions 40 a) and b) "*Financial assets measured at amortised cost – loans to banks and loans to customers*". The data reported at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update to Bank of Italy Circular 262, in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or for total liabilities and shareholders' equity.

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Financial assets measured at fair value through profit or loss	1,004,056	1,180,457	(176,401)	-14.94
- of which derivatives	*99,896*	*135,303*	*(35,407)*	*-26.17*
Financial assets measured at fair value through other comprehensive income	7,530,477	12,185,346	(4,654,869)	-38.20
Debt securities measured at amortised cost	6,549,472	866,502	5,682,970	655.85
a) banks	1,799,288	221,392	1,577,896	712.72
b) customers	4,750,184	645,110	4,105,074	636.34
Total financial assets	**15,084,005**	**14,232,305**	**851,700**	**5.98**

Financial assets total Euro 15,084 million (+5.98% on 31 December 2017) and they include Euro 14,363.6 million of debt securities (95.22% of the total), of which Euro 4,955.2 million relates to Public Sector and Euro 6,712.2 million to Banks.
Equities come to Euro 389.9 million (2.59% of the total), inclusive of Euro 263.8 million of stable equity investments classified in the FVOCI portfolio.
"Financial assets held for trading" include financial derivatives of Euro 99.9 million (-26.17%) made up of derivatives linked to debt securities classified in "Financial assets designated at fair value" and forward transactions in foreign currencies (traded with customers and/or used in managing the foreign exchange position), interest rate and foreign exchange derivatives intermediated with customers, derivatives related to securitisations and other operational hedging derivatives. At 31 December 2018 the Bank has not entered into any of the "long-term structured repo transactions" mentioned in the document issued jointly by the Bank of Italy, CONSOB and IVASS on 8 March 2013.

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Equity investments	1,747,684	1,686,979	60,705	3.60

"Equity investments", which comprise holdings in banks, subsidiaries and companies over which the Bank has significant influence, amount to Euro 1,747.7 million, up on 31 December 2017 (+3.60%).
The increases mainly refer to the capital strengthening operations with subsidiaries:

- Cassa di Risparmio di Bra s.p.a.: subscription of 57,750,000 shares for an amount of Euro 30 million;
- Sardaleasing s.p.a.: subscription of 3,861,148 shares for an amount of Euro 47.9 million;
- Emilia Romagna Factor s.p.a.: subscription of 1,802,534 shares for an amount of Euro 29.7 million.

The decreases refer to write-downs required by the impairment test carried out in compliance with IAS 36. The write-downs involved the equity investments held in:

- Cassa di Risparmio di Saluzzo s.p.a. (Euro 25.3 million);
- Sardaleasing s.p.a.: (Euro 20.1 million);
- Italiana Valorizzazioni Immobiliari s.r.l. (Euro 1.6 million);
- Immobiliare Oasi nel Parco s.r.l. (Euro 1.7 million).

Fixed assets

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Property, plant and equipment	448,124	460,055	(11,931)	-2.59
of which owned land and buildings	*391,500*	*405,816*	*(14,316)*	*-3.53*

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Intangible assets	239,139	295,036	(55,897)	-18.95
of which goodwill	*225,792*	*280,236*	*(54,444)*	*-19.43*

In intangible assets, the component referring to goodwill amounts to a total of Euro 225.8 million and includes both the goodwill deriving from bank acquisitions and subsequent absorption carried out in previous years, and the goodwill related to purchases of bank branches from the Unicredit Group.
Impairment testing, as required by IAS 36, has shown the need for a partial write-down of goodwill of Euro 54.4 million booked in the Bank's financial statements.

Interbank and liquidity position

(in thousands of Euro)

Net interbank position	31.12.2018	31.12.2017	Change	% Change
A. Loans to banks	**2,628,450**	**3,871,959**	**(1,243,509)**	**-32.12**
1. Current accounts and deposits	1,040,951	849,036	191,915	22.60
2. Reverse repurchase agreements	228,088	567,163	(339,075)	-59.78
3. Other	1,359,411	2,455,760	(1,096,349)	-44.64
B. Due to banks	**16,436,039**	**16,541,840**	**(105,801)**	**-0.64**
Total (A-B)	**(13,807,589)**	**(12,669,881)**	**(1,137,708)**	**8.98**

Due to banks, greater than amounts of loans to banks for Euro 13,807.6 million, includes centralised management of the liquidity of Group banks; funds are managed in a careful and dynamic manner, paying particular attention to the overall liquidity ratio, which is managed at Group level. In addition, important refinancing operations were carried out with the European Central Bank of Euro 9,136 million as part of TLTRO II, of which Euro 4,000 million matures in June 2020, Euro 1,000 million matures in December 2020 and Euro 4,136 million matures in March 2021.

Liabilities

(in thousands of Euro)

Liabilities and shareholders' equity	31.12.2018	31.12.2017	Change	Change %
Due to banks	16,436,039	16,541,840	(105,801)	-0.64
Direct deposits	36,292,280	36,885,323	(593,043)	-1.61
a) due to customers	31,509,116	30,386,711	1,122,405	3.69
b) debt securities issued	4,783,164	6,498,612	(1,715,448)	-26.40
Financial liabilities held for trading	150,807	174,021	(23,214)	-13.34
Hedging derivatives	85,717	20,589	65,128	316.32
Other liabilities	1,755,534	1,671,582	83,952	5.02
Shareholders' equity	4,388,050	4,886,831	(498,781)	-10.21
a) Valuation reserves	(82,514)	(21,007)	(61,507)	292.79
b) Reserves	1,797,104	2,332,249	(535,145)	-22.95
c) Share premium reserve	930,073	930,073	-	-
d) Share capital	1,443,925	1,443,925	-	-
e) Treasury shares	(7,253)	(7,253)	-	-
f) Profit (Loss) for the year (+/-)	306,715	208,844	97,871	46.86
Total liabilities and shareholders' equity	**59,108,427**	**60,180,186**	**(1,071,759)**	**-1.78**

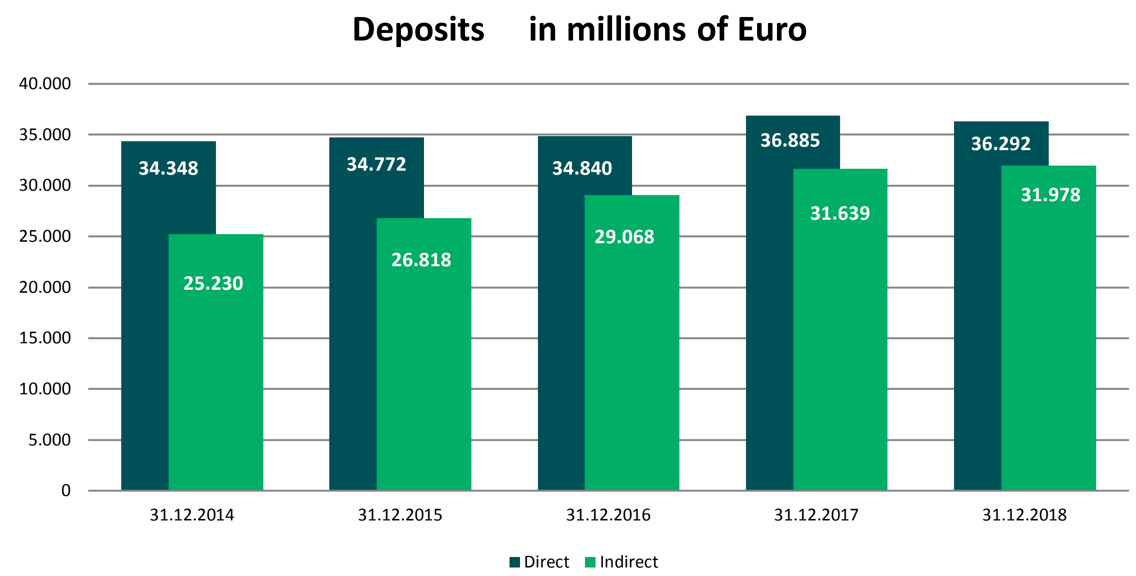
Deposits

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Current accounts and demand deposits	27,216,395	26,059,789	1,156,606	4.44
Time deposits	1,788,114	1,852,364	(64,250)	-3.47
Repurchase agreements	91,235	3,506	87,729	--
Other short-term loans	2,413,372	2,471,052	(57,680)	-2.33
Bonds	3,584,489	4,637,018	(1,052,529)	-22.70
- subscribed by institutional customers	2,531,595	3,037,251	(505,656)	-16.65
- subscribed by ordinary customers	1,052,894	1,599,767	(546,873)	-34.18
Certificates	52,672	69,771	(17,099)	-24.51
Certificates of deposit	1,146,003	1,791,823	(645,820)	-36.04
Direct deposits from customers	**36,292,280**	**36,885,323**	**(593,043)**	**-1.61**
Indirect deposits (off-balance sheet figure)	31,978,280	31,639,460	338,820	1.07
- of which managed	15,993,885	16,476,170	(482,285)	-2.93
- of which administered	15,984,395	15,163,290	821,105	5.42
Customer funds under management	**68,270,560**	**68,524,783**	**(254,223)**	**-0.37**
Bank borrowing	16,436,039	16,541,840	(105,801)	-0.64
Funds under administration or management	**84,706,599**	**85,066,623**	**(360,024)**	**-0.42**

Direct deposits from customers, Euro 36,292.3 million, is slightly down on the previous year (-1.61%). Of the various technical forms, the main reductions concerned: bonds of Euro 1,052.5 million (-22.70%, both in bonds placed with ordinary customers, which are down by Euro 546.9 million, and in bonds placed with institutional counterparties, down by Euro 505.7 million, and certificates of deposit of Euro 645.8 million (-36.04%).
On the other hand, there have been increases in current accounts of Euro 1,156.6 million (+4.44%) and repurchase agreements of Euro 87.7 million. The trends within this aggregate therefore show a greater propensity on the part of customers for more liquid forms of deposit.

In terms of average liquid stock in 2018, customer deposits amounted to Euro 36,389.3 million, showing an increase (+4.53%) compared with the stock last year (Euro 34.813,8 million).
Indirect customer deposits, marked to market, come to Euro 31,978.3 million, up on 31 December 2017 (+1.07%), despite the stock suffered from the negative market trend. During the year, funds under management fell by 2.93%, while the administered component recorded a rise of 5.42%.
Total funds administered or managed by the Bank, including deposits from banks at 31 December 2018 is in line with the previous year.
The graph shows the dynamics of direct and indirect deposits in the last five years:



Direct deposits include subordinated liabilities:

(in thousands of Euro)

Captions	31.12.2018	31.12.2017	Change	% Change
Non-convertible subordinated liabilities	759,693	825,021	(65,328)	-7.92
Total subordinated liabilities	**759,693**	**825,021**	**(65,328)**	**-7.92**

Subordinated bonds outstanding have a book value of Euro 759.7 million. The decrease of Euro 65.3 million reflects the repayment of loan tranches that fell due on 31 December 2017 and were settled by the custodian bank on 2 January 2018.
There are no convertible subordinated liabilities at 31 December 2018 (as at 31 December 2017).
Indirect deposits do not include the placement of insurance policies, which has increased by 7.51% since 31 December 2017; in detail, the life insurance segment grew by 7.43%, while the non-life segment increased by 11.73% compared with the previous year.

(in thousands of Euro)

Bancassurance	31.12.2018	31.12.2017	Change	% Change
Insurance policy portfolio	3,957,574	3,681,069	276,505	7.51
- of which life sector	*3,882,204*	*3,613,614*	*268,590*	*7.43*
- of which non-life sector	*75,370*	*67,455*	*7,915*	*11.73*

2.4 Income statement aggregates

The following are the key figures (in thousands of Euro) from the income statement for the year ended 31 December 2018, with comparative figures for the period ended 31 December 2017, together with an indication of the changes between periods in absolute and percentage terms.
The data reported at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262 (which in turn endorsed IFRS 9), without changing in profit (loss) for the year.
The amounts of 2017 only include the figures of the second half-year of Nuova Cassa di Risparmio di Ferrara s.p.a., which was acquired by BPER Banca on 30 June 2017 and merged by incorporation subsequently.

The results presented have been reclassified to the formats envisaged in the 5th update to Bank of Italy Circular 262/2005. The principal reclassifications related to the following captions:

- *"Net income from financial activities"* includes items 80, 90, 100 and 110 in the standard reporting format;
- indirect tax recoveries, allocated for accounting purposes to item 200 *"Other operating expense/income"*, have been reclassified as a reduction in the related costs under *"Other administrative expenses"* (Euro 95,118 thousand at 31 December 2018 and Euro 95,903 thousand at 31 December 2017);
- *"Net provisions for risks and charges"* include Euro 17,400 thousand relating to the valuation of the *Profit-Sharing* clause in the contract for the acquisition of Nuova Carife, allocated to item 200 "*Other operating expense/income*" in the accounting schedule;
- *"Net adjustments to property, plant and equipment and intangible assets"* include captions 180 and 190 in the standard reporting format;
- *"Gains (Losses) on equity investments, disposal investments and impairment losses on goodwill"* include captions 220, 240 and 250 in the reporting format;
- "Contributions to the DGS, SRF and IDPF-VS funds" has been shown separately from the specific accounting technical forms to give a better and clearer representation, as well as to leave the *"Other administrative expenses"* as a better reflection of the trend in the Group's operating costs. In particular, at 31 December 2018, this caption represents the component allocated for accounting purposes to administrative costs in relation to:
    - the 2018 contribution to the SRF (European Single Resolution Fund) for Euro 16,834 thousand;
    - additional contribution requested by the SRF (European Single Resolution Fund) for 2016 from Italian banks for Euro 7,422 thousand;
    - 2018 contribution to the DGS (Deposit Guarantee Scheme) for Euro 16,831 thousand.

(in thousands of Euro)

Captions		31.12.2018	31.12.2017	Change	Change %
10+20	Net interest income	773,860	803,472	(29,612)	-3.69
40+50	Net commission income	590,347	558,305	32,042	5.74
70	Dividends	45,184	39,393	5,791	14.70
80+90+100+110	Net income from financial activities	114,455	75,527	38,928	51.54
200	Other operating expense/income	41,610	53,027	(11,417)	-21.53
	Operating income	**1,565,456**	**1,529,724**	**35,732**	**2.34**
160 a)	Staff costs	(533,703)	(504,505)	(29,198)	5.79
160 b)	Other administrative expenses	(436,885)	(407,760)	(29,125)	7.14
180+190	Net adjustments to property, plant, equipment and intangible assets	(26,494)	(25,965)	(529)	2.04
	Operating costs	**(997,082)**	**(938,230)**	**(58,852)**	**6.27**
	Net operating income	**568,374**	**591,494**	**(23,120)**	**-3.91**
130 a)	Net impairment losses to financial assets at amortised cost	(149,905)	(395,549)	245,644	-62.10
130 b)	Net impairment losses to financial assets at fair value	1,893	(91,390)	93,283	-102.07
140	Gains (Losses) from contractual modifications without derecognition	(2,140)	-	(2,140)	n.s.
	Net impairment losses for credit risk	**(150,152)**	**(486,939)**	**336,787**	**-69.16**
170	Net provisions for risks and charges	(21,130)	(39,269)	18,139	-46.19
###	Contributions to SRF, DGS, IDPF - VS	(41,087)	(28,903)	(12,184)	42.15
220+240+250	Gains (Losses) on equity investments, disposal investments and impairment losses on goodwill	(103,075)	(6,828)	(96,247)	--
###	Gain on a bargain purchase	-	190,892	(190,892)	-100.00
260	**Profit (Loss) from current operations before tax**	**252,930**	**220,447**	**32,483**	**14.74**
270	Income taxes on current operations for the year	53,785	(11,603)	65,388	-563.54
300	**Profit (Loss) for the year**	**306,715**	**208,844**	**97,871**	**46.86**

Income statement by quarter for the year ended 31 December 2018

(in thousands of Euro)

Captions		1st quarter 2018	2nd quarter 2018	3rd quarter 2018	4th quarter 2018	1st quarter 2017	2nd quarter 2017	3rd quarter 2017	4th quarter 2017
10+20	Net interest income	204,540	193,738	190,215	185,367	207,913	201,237	195,299	199,023
40+50	Net commission income	151,818	146,722	142,440	149,367	133,856	137,493	132,326	154,630
70	Dividends	556	23,999	317	20,312	299	37,799	552	743
80+90+100+110	Net income from financial activities	155,204	22,373	15,037	(78,159)	18,022	14,651	22,712	20,142
200	Other operating expense/income	13,409	3,944	10,442	13,815	8,854	13,584	20,719	9,870
	Operating income	**525,527**	**390,776**	**358,451**	**290,702**	**368,944**	**404,764**	**371,608**	**384,408**
160 a)	Staff costs	(134,687)	(138,430)	(127,255)	(133,331)	(122,517)	(120,777)	(114,319)	(146,892)
160 b)	Other administrative expenses	(101,486)	(108,598)	(105,105)	(121,696)	(90,832)	(101,722)	(94,783)	(120,423)
180+190	Net adjustments to property, plant, equipment and intangible assets	(5,750)	(5,996)	(5,676)	(9,072)	(5,803)	(5,559)	(5,686)	(8,917)
	Operating costs	**(241,923)**	**(253,024)**	**(238,036)**	**(264,099)**	**(219,152)**	**(228,058)**	**(214,788)**	**(276,232)**
	Net operating income	**283,604**	**137,752**	**120,415**	**26,603**	**149,792**	**176,706**	**156,820**	**108,176**
130 a)	Net impairment losses to financial assets at amortised cost	(17,312)	(30,790)	(40,909)	(60,894)	(107,625)	(144,252)	(61,547)	(82,125)
130 b)	Net impairment losses to financial assets at fair value	1,727	230	213	(277)	(6,598)	(55,279)	(11,683)	(17,830)
140	Gains (Losses) from contractual modifications without derecognition	-	(579)	(1,280)	(281)	-	-	-	-
	Net impairment losses for credit risk	**(15,585)**	**(31,139)**	**(41,976)**	**(61,452)**	**(114,223)**	**(199,531)**	**(73,230)**	**(99,955)**
170	Net provisions for risks and charges	568	(13,854)	(15,023)	7,179	(593)	363	2,765	(41,804)
###	Contributions to SRF, DGS, IDPF - VS	(16,835)	(7,421)	(17,100)	269	(15,353)	2,333	(27,423)	11,540
220+240+250	Gains (Losses) on equity investments, disposal investments and impairment losses on goodwill	(1,670)	(6)	77	(101,476)	59	(4,933)	6	(1,960)
###	Gain on a bargain purchase	-	-	-	-	-	-	-	190,892
260	**Profit (Loss) from current operations before tax**	**250,082**	**85,332**	**46,393**	**(128,877)**	**19,682**	**(25,062)**	**58,938**	**166,889**
270	Income taxes on current operations for the year	(1,717)	(1,521)	(319)	57,342	(5,893)	16,267	(20,497)	(1,480)
300	**Profit (Loss) for the year**	**248,365**	**83,811**	**46,074**	**(71,535)**	**13,789**	**(8,795)**	**38,441**	**165,409**

Net interest income

Net interest income comes to Euro 773.9 million, a drop of 3.69% (Euro 803.5 million at 31 December 2017); the result includes the benefit accruing on participating in emissions of TLTRO II for Euro 37.1 million (Euro 33 million at 31 December 2017). In addition, following application of the 5th update of Bank of Italy Circular 262/2005, the amount reported at 31 December 2018 includes interest income of Euro 63.3 million relating to the time value of non-performing loans (at 31 December 2017 this interest was classified in captions 130 "*Net impairment losses to loans*"), as well as the write-down of part of the interest charged on non-performing loans to customers, amounting to Euro 6.6 million.

The margin from commercial activities (loans and deposits with ordinary customers) decreased mainly because of a negative dynamics in interest rates on loans. The reduction in the cost of deposits, achieved by replacing bond loans as a source of funding with current accounts and deposit accounts, was not sufficient to offset the impact of the contraction in margins that characterises the market for loans (both short-term and medium/long-term). In the comparative analysis, the contribution of interest on non-performing loans (the so-called "time value") in 2018 was therefore quite important as support for net interest income.

Interest income on the securities portfolio showed a decrease brought about by the 0.30% reduction in the average return from the securities portfolio in 2018 as a result of the sales made on the market in the first quarter of 2018; this reduction must therefore be read in conjunction with the increase in the result obtained from the sale of financial assets measured at fair value through comprehensive income.

In addition to recalling the dynamics of loans and interest-bearing deposits, already highlighted in paragraph 2.3 *"Balance sheet aggregates"* (which feature a growth in volumes), an indication of the trend in average lending/funding rates is given below for a better understanding of the trend in net interest income:

- the average interest rate for the period, based on the Bank's lending rates to customers, was 2.14% (both performing and non-performing loans), a decrease of around 0.03% compared with the average rate in the previous year;
- the average cost of direct funding from customers was 0.48%, which is down by about 7 basis points on 2017 (0.55%).
- total interest-bearing liabilities involved a cost of 0.34%, a decrease of 3 bps compared with 0.37% of the previous year;
- the spread between lending and deposit rates of the Bank's relationships with customers came to 1.66% (1.62% at 31 December 2017);
- the overall gap between the average annual rate of return on interest-bearing assets and the average annual cost of interest-bearing liabilities amounts to 1.37%, down on last year (when it was 1.46%).

Net commission income

Net commission income, Euro 590.3 million, increased on 31 December 2017 (Euro 558.3 million, +5.74%). This positive performance was achieved mainly thanks to the increase in net commission income from indirect deposits and "bancassurance" in strong growth compared to the previous year (+14.27%) and in net commission income on the commercial business, especially on credit card services, collection and payment (+3.38%).

The increase in commissions on indirect deposits, mainly received for the placement of assets under management, is mainly due to the stable component of commissions, following an increase in the average volumes placed with customers (management fees).

The contribution to the commission growth in the insurance sector, totalling Euro 14.6 million, is attributable to both "life" and "non-life" products.

Net income from financial activities

Net income from financial activities (including dividends of Euro 45.2 million) was Euro 159.6 million (Euro 114.9 million at 31 December 2017).

This net result was determined in particular by:

- net gains deriving from the sale of securities for Euro 183.9 million;
- losses from the disposal of bad loans for Euro 66 million (including Euro 54.8 million originating from the sale of the Aqui notes);
- extraordinary dividend distributed by Nexi s.p.a. of Euro 15.7 million, which offset the lower collection of dividends from equity investments;
- net losses on securities of Euro 15.3 million.

Operating income

Considering other operating expense/income of Euro 41.6 million (Euro 53 million at 31 December 2017), operating income totalled Euro 1,565.5 million (+2.34% higher than last year).

Operating costs

Operating costs totalled Euro 997.1 million, up by 6.27% on 31 December 2017. The main components of operating costs are as follows.

Staff costs, Euro 533.7 million, were higher than last year (+5.79%). This is mainly due to the increase in personnel as a result of the acquisition of Nuova Cassa di Risparmio di Ferrara, the updating of the contractual tables that took place in October 2017 and an increase in the estimated variable remuneration component (MBO) resulting from an extension of the scope of recipients of this incentive treatment.

Other administrative expenses, stated net of indirect taxes recovered (Euro 95.1 million) and the contributions paid to the Resolution Fund (Euro 41.1 million), amounted to Euro 436.9 million, up by 7.14% compared with the previous year.
This increase mainly refers to higher costs for services received from Group's consortia, in addition to costs for professional and consulting services linked to the sale and securitisation of non-performing loans ("Aqui" transaction), to the development of various cross functional projects and extraordinary transactions, as well as to the interventions for compliance with the ECB Guidelines on the management of NPLs.

Net adjustments to property, plant, equipment and intangible assets amounted to Euro 26.5 million (Euro 26 million in 2017). The result is influenced by the write-down of properties and land for a total of Euro 3.8 million (Euro 2.5 million at 31 December 2017) following an updating of property valuations.

The net operating income was therefore Euro 568.4 million (Euro 591.5 million at 31 December 2017).

Net impairment losses for credit risk

Net impairment losses for credit risk amounted to Euro 150.2 million. More specifically, the net impairment losses to financial assets measured at amortised cost totalled Euro 149.9 million, while a write-back on debt securities measured at fair value through comprehensive income amounted to Euro 1.9 million.

At 31 December 2017, the net impairment losses calculated in accordance with IAS 39 totalled Euro 501.8 million, of which Euro 395.5 million related to loans to customers and Euro 91.4 million to financial assets available for sale.

The improvement in net impairment losses on loans to customers is to be attributed to various interventions carried out at Group level to reorganise the credit and loans structures (granting and recovery), review lending processes and procedures designed to improve the quality of outstanding receivables and reduce inflows to the non-performing portfolio. In this sense, adoption of the main recommendations of the EBA's NPL Guidance has had positive effects on the entire loan portfolio. This reduction was also due to the decline in the stock of non-performing loans as a result of the disposals carried out in 2018.

With specific reference to the performing loan portfolio and the related impairment provisions (Stage 1 and 2), it should be noted that the write-back of net value that characterized 2018, amounting to approximately Euro 31.1 million, is mainly due to an improvement in the risk profile of the portfolio (which shows a higher incidence of exposures to the better risk classes) and to the change in the IFRS 9 risk parameters, linked to periodic updates of the macro-economic scenario of reference.
The overall cost of credit at 31 December 2018, calculated solely on loans to customers, is 41 bps (106 bps at 31 December 2017).

Net provisions for risks and charges

Net provisions for risks and charges come to Euro 21.1 million; as envisaged in the 5th update of Bank of Italy Circular 262/2005 adopting IFRS 9, this caption includes net write-backs on commitments and guarantees granted totalling Euro 11.9 million (net impairment losses of Euro 14.8 million had been recorded last year).

Contributions to the SRF, DGS and IDPF-VS Funds

The total amount of contributions paid during the year was Euro 41.1 million (Euro 28.9 million at 31 December 2017). This amount comprises the ordinary contribution for 2018 paid to the SRF (European Single Resolution Fund), Euro 16.8 million, the additional contributions for 2016 requested from Italian banks by the SRF (Euro 7.5 million) and the amount paid to the DGS (Deposit Guarantee Fund), Euro 16.8 million.

Gains (Losses) on equity investments, disposal investments and impairment losses on goodwill

This caption shows a negative result of Euro 103.1 million (Euro 6.8 million at 31 December 2017), mainly influenced by the results of the impairment tests carried out, as prescribed by IAS 36 and shown below:

- partial write-down of goodwill (Euro 54.4 million);
- write-down of some equity investments for Euro 48.7 million. The write-downs concerned the equity investments in Cassa di Risparmio di Saluzzo s.p.a. (Euro 25.3 million), Sardaleasing s.p.a. (Euro 20.1 million), Italiana Valorizzazioni Immobiliari s.r.l. (Euro 1.6 million) and Immobiliare Oasi nel Parco s.r.l. (Euro 1.7 million).

Profit(Loss) for the year

The profit from current operations before tax amounts to Euro 252.9 million (Euro 220.4 million at 31 December 2017).
Income taxes are positive for Euro 53.8 million, mainly due to the effect of deferred tax assets recognised in 2018 as a result of a revised forecast of their recovery, also thanks to the availability of updated data and to the regulatory changes introduced by the 2019 Finance Act.
Taxes for the year were calculated by applying the regulations in force at 31 December 2018, also taking into account the provisions introduced by the Decree of the Minister of Economy and Finance of 10 January 2018, which contains coordination provisions for determining the IRES and IRAP direct taxes within the scope of application of the international accounting standard IFRS 9, as well as the other changes introduced by the 2019 Finance Act, such as:

- repeal of the ACE benefit from 2019: previous surpluses are maintained. The rate for 2018 tax period was updated to 1.5%;
- deductibility over 10 years of the adjustments made for the impairment on FTA;
- postponement to 2026 of the deductibility of the impairment adjustments on loans envisaged for 2018;
- redefinition of the deductibility of convertible goodwill.

Deferred tax assets are recorded following the positive outcome of the probability test required by IAS 12 relating to temporary changes and tax losses. The time horizon used for the forecasts is 5 years (2019-2023).

The overall result, net of taxes, was a profit of Euro 306.7 million (Euro 208.8 million at 31 December 2017).

Services provided and work statistics

Considering the difficult economic situation that has persisted since the previous year, the Bank continued to make an extraordinary effort to manage customer relations in the most effective and appropriate manner possible.
The main work statistics for 2018 are shown below, together with comparative figures for the previous year:

- 1,288,825 current accounts (+0.58%); 193,705 new accounts were opened in 2018, while 193,157 were closed;
- a total of 220.3 million current account transactions were carried out (+14.31% compared with last year);
- 16.3 million bills and notes were presented for collection, totalling Euro 24.6 billion (-5.47% compared with last year);
- self-liquidating advances against Italian invoices amounted to Euro 31.2 billion (-2.95%);
- 6.3 million receipts and notes were paid at branches, totalling Euro 18 billion (respectively +6.51% and +10.23%);
- endorsement credits and financial and commercial guarantees amounted to Euro 2.8 billion;
- 25,138 mortgages were granted (-2.60%), for a total of Euro 5.5 billion (+4.10%);
- loans granted (personal, business and assignments of one-fifth of salary) numbered 45,601, for a total of Euro 1.2 billion (+2.60% and +1.91% respectively);
- over 15.5 million standing order instructions were carried out on behalf of customers, for a total of Euro 4 billion (+17.99% and +13.01% respectively);
- bank transfers made totalled Euro 138.8 billion (+5.62%), while those received from third parties amounted to Euro 122.6 billion (+29.79%);
- 1,000 Bancomat ATMs were operational at the end of 2018 (995 in 2017) and they were used to make 26.1 million withdrawals (+14.23%) for a total of Euro 4 billion (+13.87%);
- commercial foreign exchange transactions outside the SEPA totalled Euro 12.1 billion (+8.26%);
- there are now 58,966 POS units installed in shops or public service locations (5,014 more than in 2017, a growth of 9.29%) and they were used for 74.6 million transactions (+17.54%) for a total of Euro 4.80 billion (+12.56%);
- a total of 619,097 Internet banking contracts (+11.41%) have been signed for the provision of information and/or the placement of instructions;
- the number of BPER Cards issued to customers of the Bank now comes to 413,029 (+3.07%).

2.5. Shareholders' equity and capital ratios

2.5.1 Shareholders' equity

At the end of the previous year the Bank's equity, excluding the net profit for the year, amounted to Euro 4,678 million. Due to the first-time adoption of IFRS 9, the Bank's equity decreased by Euro 660.8 million. At 1 January 2018, equity amounted to Euro 4,017.2 million, excluding the net profit for the year. It increased by Euro 64.1 million during the year, due to the following main changes:

- Euro +156 million on the allocation of 2017 net profit;
- Euro +89.1 million, for the recognition of other changes;
- Euro -181.8 million for the net changes in the valuation reserve, after tax effect, created in connection with financial assets measured at fair value through other comprehensive income.

Therefore, shareholders' equity comes to Euro 4,081.3 million, up by 1.60% on 1 January 2018. Taking into account the net result for the year (Euro 306.7 million), shareholders' equity comes to Euro 4,388 million (+3.83% on the shareholders' equity at 1 January 2018).
At 31 December 2018, the share capital was Euro 1,443,925,305, consisting of 481,308,435 shares; of these, 455,458 are treasury shares, the same as in December 2017.

As regards the profits from unrealized 2017 capital gains (after tax) as per art. 6 of Legislative Decree 38/2005, which amounted to Euro 1,405.8 thousand, they have to be assigned to the "non-distributable reserve pursuant to art. 6, paragraph 1, letter a) of Legislative Decree 38/2005". This non-distributable reserve at 31 December 2018 comes to Euro 6,924.7 thousand.

2.5.2 Own funds and capital ratios

On 31 December 2018, BPER Banca adopted internal models for measuring the capital requirements relating to the credit risk (IRB Advanced approach), after the authorisation granted by the ECB on 24 June 2016.

At 31 December 2018 the Common Equity Tier 1 Ratio requirement to be complied with was equal to 6.388% Phased in and 7.013% Fully Phased, as it was also influenced by the additional requirement constituted by the specific countercyclical capital reserve of BPER Banca of 0.013% in the fourth quarter of 2018.
Compared with that limit, the amount of available equity at 31 December 2018 can be quantified at Euro 2,726 million (about 1,165 bps of CET1) under the Phased In transitional arrangements, while on a Fully Phased application it can be put at Euro 1,980 million, about 838 bps.

The following table shows BPER Banca capital ratios and the minimum capital adequacy requirements for regulatory purposes at 31 December 2018.

(in thousands of Euro)

	31.12.2018	31.12.2017	Change	% Change
Common Equity Tier 1 capital - CET1	**4,220,398**	**4,271,294**	**(50,896)**	**-1.19**
Additional Tier 1 capital - AT1	-	-	-	n.s.
Tier 1 capital - Tier 1	**4,220,398**	**4,271,294**	**(50,896)**	**-1.19**
Tier 2 capital - Tier 2 - T2	798,625	805,114	(6,489)	-0.81
Total Own Funds	**5,019,023**	**5,076,408**	**(57,385)**	**-1.13**
Total Risk-weighted assets (RWA)	**23,391,661**	**24,862,977**	**(1,471,316)**	**-5.92**
CET1 Ratio (CET1/RWA)	18.04%	17.18%	+ 86 b.p.	
Tier 1 Ratio (Tier 1/RWA)	18.04%	17.18%	+ 86 b.p.	
Total Capital Ratio (Total Own Funds/RWA)	21.46%	20.42%	+ 104 b.p.	
RWA/Total assets	39.57%	41.31%	- 174 b.p.	

3. Principal risks and uncertainties

3.1 Identification of risks, the uncertainties that characterise them and the approach to manage them

Please refer to the consolidated financial statements for information on risk management and related uncertainties, because, being an activity that is coordinated at Group level, the same considerations made in the relevant section of the Directors' report on Group operations are also valid for the Bank.

3.2 Disclosure of exposures to sovereign debt held by listed companies

Details are provided below of bonds issued by central and local governments and by government entities, as well as loans granted to them as required by CONSOB Communication DEM/11070007 of 5 August 2011.

Debt securities

(in thousands of Euro)

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	OCI Reserves	%
Governments:			**4,317,016**	**4,662,586**	**4,535,048**	**9,154**	**94.09%**
Italy	BBB		**3,212,955**	**3,572,717**	**3,448,316**	**2,581**	**72.10%**
		FVTPLT	12,438	12,773	12,773	#	
		FVO	160,000	191,466	191,466	#	
		FVTPLM	50,000	51,569	51,569	#	
		FVOCI	305,517	307,971	307,971	2,581	
		AC	2,685,000	3,008,938	2,884,537	#	
Spain	A-		**290,000**	**295,309**	**293,125**	**-**	**5.96%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	-	-	-	-	
		AC	290,000	295,309	293,125	#	
European Stability Fund	AA		**280,000**	**294,706**	**292,461**	**6,238**	**5.95%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	170,000	178,806	178,806	6,238	
		AC	110,000	115,900	113,655	#	
U.S.A.	AAA		**240,000**	**208,851**	**210,659**	**(3,017)**	**4.21%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	120,000	103,828	103,828	(3,017)	
		AC	120,000	105,023	106,831	#	

(cont.)

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	OCI Reserves	%
Belgium	AA-		**120,000**	**120,367**	**120,765**	**-**	**2.43%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	-	-	-	-	
		AC	120,000	120,367	120,765	#	
France	AA		**100,000**	**98,570**	**98,570**	**3,325**	**1.99%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	100,000	98,570	98,570	3,325	
		AC	-	-	-	#	
Others	_		**74,061**	**72,066**	**71,152**	**27**	**1.45%**
		FVTPLT	2,061	2,024	2,024	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	19,000	17,616	17,616	27	
		AC	53,000	52,426	51,512	#	
Other public entities :			**291,846**	**292,660**	**292,287**	**409**	**5.91%**
Italy	-		**30,846**	**32,083**	**32,440**	**-**	**0.65%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	709	702	702	-	
		AC	30,137	31,381	31,738	#	
Germany	-		**102,000**	**105,845**	**105,115**	**-**	**2.14%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	-	-	-	-	
		AC	102,000	105,845	105,115	#	
France	-		**80,000**	**79,784**	**79,784**	**949**	**1.61%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	80,000	79,784	79,784	949	
		AC	-	-	-	#	

(cont.)

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	OCI Reserves	%
Canada	-		**48,000**	**48,405**	**48,405**	**(29)**	**0.98%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	48,000	48,405	48,405	(29)	
		AC	-	-	-	#	
Japan	-		**31,000**	**26,543**	**26,543**	**(511)**	**0.54%**
		FVTPLT	-	-	-	#	
		FVO	-	-	-	#	
		FVTPLM	-	-	-	#	
		FVOCI	31,000	26,543	26,543	(511)	
		AC	-	-	-	#	
Total debt securities as at 31.12.2018			**4,608,862**	**4,955,246**	**4,827,335**	**9,563**	**100.00%**

The ratings indicated are those of Fitch Rating at 31 December 2018.

Loans

(in thousands of Euro)

Issuer	Rating	Cat	Nominal value	Book value	Fair value	OCI Reserves	%
Governments:			**1,984,335**	**1,984,335**	**1,984,335**	**-**	**94.37%**
Italy	BBB		**1,984,335**	**1,984,335**	**1,984,335**	**-**	**94.37%**
		FVTPLT				#	
		FVO				#	
		FVTPLM				-	
		FVOCI				#	
		AC	1,984,335	1,984,335	1,984,335	#	
Other public entities:			**118,361**	**118,361**	**120,533**	**-**	**5.63%**
Italy	-		**118,361**	**118,361**	**120,533**	**-**	**5.63%**
		FVTPLT				#	
		FVO				#	
		FVTPLM				-	
		FVOCI				#	
		AC	118,361	118,361	**120,533**	#	
Total loans as at 31.12.2018			**2,102,696**	**2,102,696**	**2,104,868**	**-**	**100.00%**

The ratings indicated are those of Scope Rating at 31 December 2018.

Based on their "Book value", repayment of these positions is distributed as follows:

(in thousands of Euro)

	on demand	until 1 year	1 to 5 years	over 5 years	Total
Debt securities	-	165,845	1,317,970	3,471,431	4,955,246
Loans	141,672	216	91,235	1,869,573	2,102,696
Total	**141,672**	**166,061**	**1,409,205**	**5,341,004**	**7,057,942**

Control over the risks inherent in the portfolio is maintained by the directors who monitor the effects on profitability, liquidity and the Bank's capital base, also through sensitivity analyses. No critical elements have been identified on the basis of these analyses.

4. Other information

4.1 Management of the Bank

Shareholders' Meeting of the Parent Company:

- *Corporate bodies: new appointments*

The Shareholders' Meeting held on 14 April 2018 appointed the Board of Directors and the Board of Statutory Auditors for the three-year period 2018-2020.

The following directors were appointed pursuant to art. 19 of the Articles of Association: Alessandro Vandelli, Riccardo Barbieri, Massimo Belcredi (independent), Mara Bernardini (independent), Luciano Filippo Camagni (independent), Giuseppe Capponcelli (independent), Pietro Ferrari, Elisabetta Gualandri (independent), Ornella Rita Lucia Moro (independent), Mario Noera (independent), Rossella Schiavini (independent), Valeria Venturelli (independent) – drawn from list no. 1 – and Roberta Marracino (independent), Alessandro Robin Foti (independent), Marisa Pappalardo (independent) – drawn from List no. 2 – the Junior Minority List.

The following Statutory Auditors were appointed pursuant to art. 33 of the Articles of Association: (i) as Serving Statutory Auditors: Antonio Mele, Diana Rizzo, Francesca Sandrolini, Vincenzo Tardini - drawn from List no. 2 – and Giacomo Ramenghi, Chairman - drawn from List no. 1; (ii) as Alternate Statutory Auditors: Cristina Calandra Buonaura - drawn from List no. 2 – and Paolo De Mitri - drawn from List no. 1. At the meeting held on 17 April 2018, the Board of Directors appointed Pietro Ferrari as Chairman, Giuseppe Capponcelli as Deputy Chairman and Alessandro Vandelli as Chief Executive Officer, confirming him in this role.

The same meeting established the following Board Committees:

- Executive Committee: Rossella Schiavini (Chairman), Alessandro Vandelli, Riccardo Barbieri, Luciano Filippo Camagni and Mario Noera;
- Control and Risk Committee: Elisabetta Gualandri (Chairman), Alessandro Robin Foti, Ornella Rita Lucia Moro and Valeria Venturelli;
- Nominations Committee: Massimo Belcredi (Chairman), Mara Bernardini and Roberta Marracino;
- Remuneration Committee: Mara Bernardini (Chairman), Elisabetta Gualandri and Roberta Marracino;
- Independent Directors Committee: Valeria Venturelli (Chairman), Elisabetta Gualandri and Marisa Pappalardo.

- *Resignation of the Chairman of the Board of Statutory Auditors*

On 8 May 2018 Giacomo Ramenghi notified the Company of his resignation as the Chairman of the Board of Statutory Auditors, solely and exclusive for personal reasons. Pursuant to art. 34, para. 1, of the Articles of Association, he was replaced by Paolo De Mitri, born in Milan on 14 October 1963, who was the Alternate Auditor elected from the list from which the outgoing Chairman was drawn.

- *Resignation of an Acting Auditor*

On 22 November 2018 Antonio Mele announced his resignation as Acting Statutory Auditor of the Company, because of his appointment as Chairman of the Board of Statutory Auditors at another bank, as well as other professional commitments.
Pursuant to art. 34, para. 2, of the Articles of Association, he was replaced by Cristina Calandra Buonaura, born in Reggio Emilia on 24 July 1971, who was the Alternate Auditor elected from the list from which the outgoing Statutory Auditor was taken.

4.2 Information on intercompany and related-party transactions

Relations between the various companies included within the scope of consolidation and with associates and related parties were all of a routine nature and were conducted properly.
For details, as required by art. 2497 *bis* of the Italian Civil Code and by the CONSOB Communication DEM 6064293 dated 28 July 2006, reference should be made to Part H of the Explanatory notes.

In accordance with CONSOB's Regulation 17221 of 12 March 2010 and subsequent amendments, issued on the subject of related-party transactions, the Bank has adopted specific internal rules to ensure transparency and substantial and procedural correctness of transactions with related parties.
In this context, BPER Banca adopted the "Group policy for the governance of non-compliance risk concerning conflicts of interest with related parties and risk activities with associated persons", which was also implemented by the other Group banks and companies. This Policy also complies with the Bank of Italy's requirements in terms of "Risk activities and conflict of interest versus related parties and associated persons" (Title V-Chapter 5) as contained in Circular 263 of 27 December 2006 - 9th update of 12 December 2011.
The document is published on BPER Banca's website (www.bper.it, in the "Related Parties" section) and on the websites of the other Group banks.

Without prejudice to the disclosure requirements of IAS 24 (explained in Part H of the Explanatory Notes, in relation to the scope of application of the international accounting standard), the following is a summary of transactions with related parties, for which information is provided under Regulation 17221/10.

a) More significant individual transactions concluded during the reference period:

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
1	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	13 finance/treasury transactions concluded in 2018	(*)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
2	BPER Banca S.p.A.	Emilia Romagna Factor S.p.A.	Directly controlled subsidiary	Credit line	900,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
3	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Credit line	715,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
4	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Credit line	654,500	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
5	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Credit line	497,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
6	BPER Banca S.p.A.	Banca di Sassari S.p.A.	Directly controlled subsidiary	Credit line	630,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
7	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	Credit line	400,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
8	BPER Banca S.p.A.	Cassa di Risparmio di Bra S.p.A.	Directly controlled subsidiary	Credit line	300,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
9	BPER Banca S.p.A.	Alba Leasing S.p.A.	Direct associated company	Credit line	570,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

With regard to the bilateral finance/treasury transactions concluded between the Parent Company and Banco di Sardegna s.p.a., it should be noted that these allow the subsidiary to source liquidity from the market more effectively.
(*) It should be noted that the 13 transactions mentioned above fall into the range between Euro 275,559 thousand and Euro 1,000,000 thousand.

For the sake of completeness, note the extraordinary transactions approved by the Board of Directors of BPER Banca at the beginning of 2019, of which information was provided under significant events and strategic transactions, namely:

- acquisition of a controlling interest in Unipol Banca s.p.a. from the Unipol Group;
- acquisition of a minority investment in Banco di Sardegna s.p.a. from Fondazione di Sardegna;

publication of the related information documents required pursuant to Article 5 of Consob Regulation 17221/2010 dated 14 February 2019 and, at the time of their execution in 2019, they would fall within the scope of more material related-party transactions.

b) other individual transactions with related parties as defined under article 2427, second paragraph, of the Italian Civil Code, entered into in the reporting period, that have materially impacted the financial position and results of the company

As required by CONSOB Regulation 17221/10 with regard to other transactions with related parties, it is confirmed that no transactions have had a significant effect on the balance sheet or results of the company.
It should be noted that:

- the deed completing the merger of Carife Servizi Evolutivi Integrati s.r.l. by Nadia s.p.a. was signed on 13 June 2018, both companies are controlled by the Parent BPER Banca. This is considered to be a less material transaction;
- the deed completing the merger of Galilei Immobiliaire s.r.l. by Nadia s.p.a. was signed on 4 December 2018, both companies are controlled by the Parent BPER Banca. This is considered to be a less material transaction;
- the deed completing the merger of Polo Campania s.r.l. by Nadia s.p.a. was signed on 10 December 2018, both companies are controlled by the Parent BPER Banca. This is considered to be a less material transaction.

c) changes or developments in related-party transactions disclosed in the last annual report that have had a material effect on the financial position or results of the companies during the period

During the period, there have been no changes or developments in the related-party transactions described in the last annual report that would have an effect on the financial position or results of the Company.

4.3 Information on atypical, unusual or non-recurring transactions

During 2018 there were no atypical or unusual transactions, as defined by CONSOB Communication DEM 6064293 dated 28 July 2006.
In relation to events and/or transactions that can be defined as typically "non-recurring", there are no further aspects worth mentioning in addition to what has already been commented on concerning:

- transition to IFRS 9 and related tax impact;
- disposal of bad loan portfolios (Aqui).

Where considered significant, the information on the impacts that the non-recurring events or transactions have had on the economic and financial situation of the Bank is provided in the specific sections of the Explanatory Notes.

4.4 Information on the ownership structure - (art. 123-bis of Legislative Decree 58/1998)

The information required by article 123-bis of TUF is detailed in a specific report issued by the Board of Directors ("Report on corporate governance and ownership structure"). This report, pursuant to the aforementioned art. 123-bis, paragraph 3, together with the separate financial statements, is made available to the public on the Bank's website www.istituzionale.bper.it in the Governance - Documents section, as well as on the website of Borsa Italiana s.p.a. (www.borsaitaliana.it) and of the authorised storage system managed by Computershare s.p.a. (www.1info.it).

4.5 Treasury shares in portfolio

Shares of BPER Banca S.p.A.	Number of shares	Total par value
Total as at 31.12.2018	455,458	7,253,180
Total as at 31.12.2017	455,458	7,253,180

4.6 Application of the MiFID

On 3 January 2018, Directive 2014/65/EU (so-called Mifid II Directive) entered into force at the same time as the related regulations and implementing directives. In 2017, the Bank took steps to comply with the new regulatory requirements, which resulted in various changes to the investor protection model adopted in the provision of investment services. These changes were implemented during 2018. Among them, we highlight the adoption of a new profiling questionnaire, the introduction of new controls in the assessment of adequacy, the creation of rules for product governance and greater transparency in indicating costs and charges to customers.

4.7 Transition to IFRS 9

On 24 July 2014 the International Accounting Standards Board (IASB) issued the final version of IFRS 9 "Financial instruments" that, with effect from 1 January 2018, replaced IAS 39 which governed the classification and measurement of financial instruments up to and including 31 December 2017. The development of the project to adapt to the new accounting standard adopted at Group level at the beginning of 2016 and which allowed its application starting from 1 January 2018 is presented below; see the explanatory notes for a discussion of the new regulatory requirements and the approach to application adopted by the BPER Banca Group. Reference should also be made to the specific attachment to the financial statements for details on the impact of the transition to IFRS 9.

The BPER Banca Group completed a project to adapt to the new standard, examining in depth the various areas affected by it and determining its qualitative and quantitative impact. It also identified and implemented the application and organisational interventions needed for adoption of the standard from 1 January 2018.
More specifically, the project was organised into three parts, in line with the standard ("Classification and Measurement", "Impairment", "Hedge Accounting"), identifying application and organisational interventions within the Group as a whole and for each entity belonging to it.
The main functions within the Group most involved in this implementation were Administration and Reporting, which headed up the project, Risk Management, for the determination and validation of appropriate new risk measures, Credit and Finance, for determination of the portfolios, the consequent business model and the consequent repercussions on operations, and Strategic Marketing, for the analysis of the commercial lending products offered to customers. The operating divisions were also involved in analysis of the process implications and for the related IT development work, with the aim of finding solutions consistent with the infrastructure and identifying and exploiting potential synergies. In addition, the IT implementation work mainly involved activities associated with the transition to the new standard and the implementation of additional software and organisational changes designed to ensure the "ongoing" application of the standard. In accordance with the current Group structure, the Systems

function was actively involved in the project, with a coordination role in adopting and validating the process changes deriving from the implementation decisions made. Alongside the operating divisions, the internal control functions (Risk Management - Model Validation, Internal Audit, Manager responsible for preparing the company's financial reports, Board of Statutory Auditors) and the auditing firm were informed about the progress of the project.

The BPER Banca Group's adaptation project

The following brief presentation covers the work carried out in the principal areas affected ("Classification and Measurement", "Impairment", "Hedge Accounting").

Classification and measurement of financial instruments

The BPER Banca Group classifies and measures financial assets (loans and debt securities) with reference to the following drivers:

1. definition of Business Model;
2. examination of the characteristics of their cash flows (so-called Solely Payment of Principal and Interests – SPPI).

With regard to the first driver, the BPER Banca Group has defined the reasons for holding financial assets over time in order to generate cash flows, together with guidelines for processing for transition purposes the financial assets already held at 31 December 2017.

With regard to the second driver for the classification of financial assets (SPPI test to verify the contractual characteristics of financial instruments), the BPER Banca Group has carried out activities to determine whether the contractual cash flows of the financial assets held at the transition date represent exclusively the payment of principal and interest accrued on the outstanding principal to be repaid. Analysis identified that only a marginal percentage of the debt securities classified in the previous accounting categories at 31 December 2017, HTM, AFS and LRO, failed the SPPI test and, accordingly, were classified and measured at fair value through profit and loss.
On the basis of national and international working parties in relation to units in UCITS, closed and open-ended funds are classified as Financial assets mandatorily measured at fair value through profit or loss.
Analysis of the loans portfolio distinguished the "standard" contracts, typical of retail accounts, from the "non-standard" ones, customised contracts essentially arranged with larger corporate customers.
In essence, analysis of the characteristics of the cash flows deriving from the financial assets held by the BPER Banca Group at 31 December 2017 did not identify any need for significant reclassifications.

With regard to the FTA accounting treatment of equity instruments classified as AFS at 31 December 2017, the BPER Banca Group mainly made the irrevocable election, which requires subsequent changes in fair value to be recognised through the statement of other comprehensive income; the remaining instruments will be measured at fair value through profit and loss. On the transition, all the equity instruments classified at 31 December 2017 in the previous HFT category were classified as measured at fair value through profit and loss, retaining the original held-for-trading objective.

The classification and measurement of financial liabilities did not change significantly on their allocation to the new IFRS 9 portfolios; similarly, the limited planning activities carried out did not result in any reclassifications or changes in measurement methods for trading and hedging derivatives.

Impairment

The IFRS 9 impairment model adopted by the BPER Banca Group for loans is based on the following aspects:

a) Objective and quantitative criteria for identifying any significant increases in credit risk when assigning credit lines in Stage 1 or Stage 2. In particular, with regard to the objective criteria, the BPER Banca Group has identified the following conditions for the classification of credit lines in Stage 2 and applied them to estimate the related impact:
   - lines that are past-due for at least 30 days at the reporting date;
   - lines belonging to a counterparty in a state of forborne;
   - lines for which there is no origination rating;
   - lines classified as "watchlist" in the Early Warning credit monitoring system.

   With regard to the quantitative criteria, the BPER Banca Group has classified in Stage 2 the loans that, at the reporting date, have experienced a "Significant Increase in Credit Risk" (SICR) since their initial recognition.
   As a consequence, all performing loans that did not satisfy the above objective and quantitative criteria at the reporting date have been classified in Stage 1.
b) The BPER Banca Group has not adopted the simplification allowed by IFRS 9 regarding the "low credit risk exemption".
c) Classification in Stage 3 of all "non-performing loans/impaired" loans at 31 December 2017 in accordance with the definition of non-performing loans specified in the current regulations, consistent with the 7th update of Bank of Italy Circular 272 dated 30 July 2008, being those with the characteristics indicated in para. B5.5.37 of IFRS 9, which correspond to the "Final draft Implementing Technical Standards" (ITS) for forbearance (FBE) and non-performing exposures (EBA/ITS/2013/03/rev1 24/7/2014). The credit quality administrative classifications established by the Bank of Italy are retained within Stage 3.
d) Different methods have been defined for measuring the impairment adjustments in each Stage, applying the concept of "Expected Credit Losses" (ECL). For this purpose, the BPER Banca Group has adopted a model for calculating the provisions required to cover the expected losses on financial instruments based on:
   1. the expected loss over the entire duration of the loan (Lifetime ECL), if the credit risk has increased significantly since initial recognition of the instrument and, otherwise,
   2. on the portion of the lifetime ECL deriving from possible default events within 12 months of the reporting date (or FTA of the standard), or a shorter time if the expected contractual duration is less.
e) The models for the measurement of expected losses include the current macroeconomic conditions (*Point-in-Time risk measures*) in the risk parameters used for the Stage assignment, as well as forward-looking information (*Forward-looking risk measures*) about the future dynamics of the macroeconomic factors that influence lifetime ECL. With reference to exposures classified in Stage 3, following in-depth analyses and evaluation of the IFRS Foundation's document entitled "Inclusion of cash flows expected from the sale on default of a loan" and the "Guidelines for banks on non-performing loans (NPL)" published by the European Central Bank in March 2017 for the pro-active management of non-performing loans, the BPER Banca Group determined that the inclusion of forward-looking factors in scenario evaluations also had "measurement" implications for impaired assets. Consequently, the BPER Banca Group assumed to take into account a "disposal scenario" in line with what is defined in the Group's "2018-2022

NPE Plan", as a possible way to recover exposures, as an alternative to internal recovery (workout scenario).

In order to apply the model consistently among the product portfolios held by the BPER Banca Group, the methods used to calculate the impairment adjustments for debt securities were borrowed, where possible, from the logic applied to loans (on and off-balance sheet) discussed above.
Specifically, the BPER Banca Group has defined an impairment model for debt securities based on the following criteria:

a) management of an "inventory" of debit securities for staging purposes, applying the FIFO method to relieve sold tranches from the portfolio;
b) model for identifying significant increases in credit risk, in order to classify debt securities in Stage 1 or Stage 2, based on the following criteria:
    - primary use of the internal rating model and, if unavailable, reference to Fitch, an external ratings agency;
    - determination of the rating downgrade threshold by comparing the rating classes on origination with the rating classes on the measurement date (notching between rating classes);
    - classification in Stage 3 of all debt securities in default at 31 December 2017, applying the definition of default contained in the 2003 ISDA document entitled "Credit Derivatives Definition".

No securities were classified in Stage 3 on FTA of the new standard.

Hedge accounting

As regards hedge accounting, the standard provides with an option to implement the new standard, IFRS 9, or to continue with the old standard, IAS 39 (opt-in/opt-out option). Based on the work performed, the BPER Banca Group has elected to opt-out and, thus, hedging transactions continue to be managed in accordance with IAS 39 (carve-out).

4.8 Transition to IFRS 15

In May 2014, the International Accounting Standards Board (IASB) issued the new accounting standard IFRS 15 "Revenues from Contracts with Customers". Subsequent changes led to the final version of the principle in April 2016. Starting from 1 January 2018, the new standard replaces the current requirements contained in the IFRS in terms of revenue recognition: IAS 11 "Construction Contracts", IAS 18 "Revenue", IFRIC 13 "Customer Loyalty Programmes", IFRIC 15 "Agreements for the Construction of Real Estate", IFRIC 18 "Transfers of Assets from Customers" and SIC-31 "Revenue – Barter Transaction involving Advertising Services".

The principle has provided specific rules for the first-time application; in particular, there is the possibility of choosing between a "full retrospective" approach and a "modified retrospective" approach, the latter adopted by BPER Banca Group.
Please refer to the Explanatory Notes to the financial statements for more details on the regulatory provisions.

4.9 Preliminary information regarding the future application of IFRS 16

The regulatory provisions

The new accounting standard IFRS 16, issued by the IASB in January 2016 and endorsed by the European Commission through Regulation 1986/2017, starting from 1 January 2019, will replace IAS 17 "Leasing", IFRIC 4 "Determining whether an arrangement contains a lease", SIC 15 "Operating leases - Incentives" and SIC 27 "Evaluating the Substance of Transactions Involving the Legal Form of a Lease", regulating the requirements for the accounting of leasing contracts.

In addition to providing new rules to identify whether a contract contains a lease, the new standard has changed the methods of accounting for lease transactions in the lessee's and user's financial statements, introducing a single model of accounting for lease contracts by the lessee, regardless of whether they are classified as operating or financial leases.

Specifically, the new accounting method for the lessee includes the recognition on the assets side of the balance sheet of a right to use the asset covered by the contract and the recognition on the liabilities side of the balance sheet of a lease payable, quantified as the discounted sum of instalments still to be paid to the lessor. The new model also changes the method of recording items in the income statement, which include amortisation of the right of use and interest expense on the lease payable.

There are no substantial changes, however, in the lease accounting model for the lessor, which continues to distinguish between operating leases and finance leases, in line with the previous standard (IAS 17).

Disclosure requirements have been changed for both lessee and lessor; the former will have to disclose, among other things:

- the subdivision between the different "classes" of leased assets, the balance at the end of the period and depreciation;
- the amount of interest relating to lease payables;
- the breakdown of lease payables by maturity.

Organisation of the project for implementation within BPER Banca Group

During the second half of 2018, the BPER Banca Group launched a specific project to analyse the qualitative-quantitative accounting impacts of applying the new regulatory requirements and to determine the repercussions thereof on the corporate, organisational, process and IT environments. In short, the project has been split into the following stages:

- a first phase of scoping, assessment and definition of the various transition choices to be made;
- a second phase involving the design of target operating models;
- a third phase of implementation of the impacted processes and adaptation of internal regulations.

The project is managed at Group level and the various implementation steps are defined centrally for the Parent Company and all subsidiaries in order to achieve uniform adoption of the standard.

Methodological approach to the application

The assessment made on the existing lease contracts at Group level identified three categories of assets on which to carry out the impact analysis:

1. Property
2. Cars, and
3. Other contracts (mainly represented by ATM machines and multifunction printers).

The scope of contracts identified as significant already discounts the application of the simplifications allowed by this standard; the following contracts were in fact excluded:

- "Short-term", i.e. with a residual life of less than 12 months on first-time adoption (FTA);
- "Low-value", i.e. with an estimated value of the asset of less than Euro 5,000.

With respect to the transition methods allowed by IFRS 16, the Group has chosen to adopt the practical expedient of not restating the FTA scope, instead applying the new standard to all of the lease contracts already identified according to the definition contained in IAS 17. In addition, the Group has adopted the modified retrospective approach for the impact assessments and the reference approach for the transition, noting the cumulative impact of FTA of the standard to existing contracts as an adjustment of the opening balances at 1 January 2019, without recalculating and restating comparative figures (31 December 2018). For the determination of the Right of Use during the transition, reference is made to the option that allows quantification of the asset at the same amount as the lease liability, calculated by discounting future contractual lease instalments to the FTA date at an appropriate discount rate.

As regards the other choices adopted by the Group, it should be noted that:

- with reference to the duration of the property leases, the Group considered as reasonably certain only the first renewal period, subject to contractual clauses and specific circumstances that involved considering different contractual durations;
- as regards "Cars" and "Other contracts", the Group has made use of the practical expedient by which the lessee is allowed to not separate the lease components from the non-lease components, treating them as a single lease component. As regards property leases, the Group has assessed the non-lease component as not significant;
- as regards the rate used to discount flows for the quantification of the lease liability, the Group used a marginal financing rate, identified in the TIT of funding at Group level (blended curve, which summarises the cost of secured and unsecured funding). This curve was also applied to the contracts of the Subsidiary Banks and Companies in consideration of the market where these entities operate and of the funding model adopted by the Group.

The impacts deriving from the transition to the new standard were estimated in higher Assets and Liabilities by approximately Euro 0.2 billion. The estimated impacts on the 2019 income statement are not significant.

The Parent Company will refine the estimates available to date in the coming months and full disclosure on transition to the new standard will be given in the first financial report of 2019.

With respect to the commitments involving operating leases, already represented in the financial statements in accordance with IAS 17, the liabilities that will be recorded at the FTA date in accordance with IFRS 16 will mainly exclude future payments relating to contracts involving low-value assets or those belonging to the short-term category, as well as other payments not falling within the scope of application of the new standard.

4.10 Establishment of the VAT Group

From 1 January 2019 the BPER VAT Group is operational. The VAT group is a new payer of VAT - regulated by the EU legislation recently introduced into the Italian legal system (Law No. 232 of 11 December 2016) - which, only for VAT purposes, replaces the individual participants, who remain distinct legal subjects from every other point of view, whether statutory, fiscal or accounting.

The VAT Group operates externally with a single VAT number, it fulfils the obligations and exercises the rights deriving from application of the VAT rules through the group representative, who is responsible for performance of the obligations, as well as for payment of the sums due for tax, interest and penalties, jointly with the participants. The role of representative of the VAT Group - by law attributed to the subject who, pursuant to art. 2359, first paragraph, point 1) of the Italian Civil Code, controls the participants in the VAT Group - is entrusted to BPER Banca

As a result of the establishment of the VAT Group, sales of goods and services by one participant to another are not considered sales of goods or services for VAT purposes. Payments of such sales and services are therefore not increased by VAT, which is normally not deductible for banks, constituting to all effects an element of cost of the goods or service. Setting up a VAT Group can therefore generate significant savings for participating banks on goods and services received from other participants.

The scope of the VAT Group involves the following Banks and Companies:

1) BPER Banca s.p.a. as representative of the VAT Group;
2) Banca di Sassari s.p.a.
3) Banca di Sardegna s.p.a.
4) Bper Credit Management s.cons.p.a.
5) BPER Services s.cons.p.a.
6) BPER Trust Company s.p.a.
7) Cassa di Risparmio di Bra s.p.a.
8) Cassa di Risparmio di Saluzzo s.p.a.
9) Costruire Mulino s.r.l.
10) Emilia Romagna Factor s.p.a.
11) Estense Covered Bond s.r.l.
12) Estense CPT Covered Bond s.r.l.
13) Frara s.r.l.
14) Italiana Valorizzazioni Immobiliari s.r.l.
15) Mutina s.r.l.
16) Nadia s.p.a.
17) Numera s.p.a.
18) Optima s.p.a. SIM
19) Sardaleasing s.p.a.
20) Tholos s.p.a.
21) SIFA' - Società Italiana Flotte Aziendali s.p.a.

5. Remuneration of the Board of Directors

We bring to your attention the topic of the determination of the amount of Directors' emoluments, as provided for by art. 11 of the Articles of Association.

The Shareholders' Meeting held on 14 April 2018 established that the amount of fees payable to Directors, in accordance with art. 11 of the Articles of Association, for the 2018 financial year was a total of Euro 1,600 thousand and that this amount was for the payment of emoluments of the members of the Board of Directors, additional emoluments payable to the Executive Committee and other internal Committees, as well as Directors' attendance fees for participation at meetings of the Board of Directors and of the above committees. Excluded, however, were additional emoluments payable to Directors appointed to particular positions in compliance with the Articles of Association (specifically Chairman, Vice Chairmen and Chief Executive Officer): in accordance with art. 11 of the Articles of Association, this remuneration had to be set, in fact, by the Board of Directors, after having sought the opinion of the Board of Statutory Auditors.

The total amount of fees, determined as indicated and charged to the income statement of the year on an accruals basis, in compliance with IAS 19 under "Staff costs - Directors and Statutory Auditors", was Euro 1,536.4 thousand (Euro 1,511.4 thousand at 31 December 2017), below the set limit of Euro 1,600 thousand. In detail, this amount includes the fees due to members of the Board of Directors of Euro 932.3 thousand (Euro 831.7 thousand at 31 December 2017), the fees due to members of the Executive Committee of Euro 155 thousand (Euro 180 thousand at 31 December 2017), the fees for participation in various Board Sub-Committees set up to meet the obligations of Corporate Governance of Euro 345.4 thousand (Euro 400.4 thousand at 31 December 2017) and attendance fees for Directors taking part in meetings of the Board of Directors and of the various Board Sub-Committees, if any, for a total of Euro 103.8 thousand (Euro 99.3 thousand at 31 December 2017).

In addition to these amounts, there were also emoluments payable to the Chairman and Deputy Chairmen of Euro 402 thousand (Euro 495 thousand in the year ended 31 December 2017) and to the Chief Executive Officer of Euro 850 thousand (unchanged compared with the year ended 31 December 2017).

The total amount is therefore Euro 2,788.5 thousand, compared with Euro 2,856.4 thousand for 2017.

Having disclosed the Directors' fees for 2018, we now submit a proposal for their remuneration for 2019, confirming the amount of Euro 1,700 thousand.

We hereby propose the following resolution for your consideration: "the total amount of fees payable to Directors for 2019, pursuant to art. 11 of the Articles of Association, is set at Euro 1,700,000 (Euro one million seven hundred thousand)".

6. Proposal for the allocation of net profit

Having completed our presentation of the results of operations and the various events that took place in the year just ended, we herewith submit to you the proposed allocation of profit, Euro 306,715,387.72, which adheres to the criteria of prudence and attention to the strengthening of capital, in line with guidance provided by the Supervisory Authorities and which is first of all a preliminary allocation, as provided for by art. 42 (paragraph 2) of the Articles of Association, of an amount of Euro 26,842,046.83, to the restricted reserve under Legislative Decree 38/2005 (art. 6, paragraph 1.a) for unrealised gains, net of tax.

Accordingly, there is a residual balance of Euro 279,873,340.89 to be allocated, comprising an allocation of Euro 13,993,667.04 to the legal reserve in line with the minimum requirements of law (5%).

Taking account of the capital adequacy of the Parent Company and the Group, in accordance with parameters established by prudential supervision regulations and decisions made by the European Central Bank concerning capital requirements (2018 SREP) and in line with the communications issued thereby concerning dividend distribution policy, we submit to you the proposed payment of a dividend of Euro 0.13 for each of the 481,308,435 shares representing the share capital, excluding those held in portfolio at the ex-dividend date (455,458 at 31 December: a number that is confirmed as of today's date). The total amount allocated for dividends therefore comes to Euro 62,570,096.55, i.e. 20.40% of the net profit for the year.

The capitalisable portion of net profit for the year therefore amounts to Euro 244,145,291.17.

Trusting that you will grant your consent, we therefore present in accordance with the Articles of Association the following proposed allocation of net profit:

Profit for the year	**Euro**	**306,715,387.72**
Preliminary allocation (Art. 42, paragraph 2, of the Articles of Association):		
- to non-distributable reserve, art. 6.1.A of Decree 38/05	Euro	26,842,046.83
Residual profit to be distributed	**Euro**	**279,873,340.89**
- to the legal reserve (5%)	Euro	13,993,667.04
- use of the extraordinary reserve	Euro	203,309,577.30
- to the Shareholders as a dividend of Euro 0.13 for the 481,308,435 shares making up the	Euro	62,570,096.55

According to Borsa Italiana S.p.A.'s calendar, payment of the proposed dividend will take place as from 22 May 2019. As regards its market price, BPER's stock will go ex-coupon on Monday, 20 May 2019, while the record date is scheduled for Tuesday, 21 May 2019.

It is important to remember that the dividend is subject to withholding tax or forms part of taxable income to a varying extent depending on the status of the recipients. It should be noted that, according to the Ministerial Decree of 2 April 2008, for tax purposes, the entire dividend is considered earnings produced up to the year in progress at 31 December 2007.

7. Outlook for operations

The world economic cycle is expected to slow down in 2019, even if the picture is not the same everywhere. Lower growth rates compared with last year are expected in both the United States and Europe, and inflation is expected to stay low. In this scenario, Central Banks will probably continue to take an accommodating line, helping to keep interest rates under control.
In 2018, Italy posted a more marked economic slowdown compared with other European countries, mainly because of the deceleration in international trade, weak domestic demand and the uncertain political situation that has weighed on investment decisions; for the current year, the growth of Italian gross domestic product is expected to slow down even more.

On the basis of this macroeconomic context, on 27 February 2019 the Parent Company approved the three-year development plan of the Group ("BPER 2021 Strategic Plan" or the "Plan") based essentially on three pillars:

1. Growth and development of the business with a particular focus on sectors that generate a significant amount of commission, such as Bancassurance, Wealth Management and Business Global Advisory, and those with high margins, such as Consumer Credit;
2. Strong increase in operational efficiency and simplification of the distribution model, corporate structure and internal processes, by optimising the size of the workforce and reducing organisational complexity;
3. Acceleration of de-risking and further capital strengthening.

The Plan will be developed starting from the significant benefits derived from the extraordinary transactions announced in February 2019: the acquisition of Unipol Banca and the minority stakes in Banco di Sardegna, the sale of a portfolio of bad loans for around Euro 1 billion and the acquisition of a further stake in Arca Holding.
The Group wants to confirm itself as a point of reference for households and businesses by supporting growth of the economy in the areas that it serves with a growing focus on digital transformation, innovation of processes and products, new internationalisation strategies and a renewed commitment to Social Responsibility.
The 2019-2021 Business Plan has as its priority objective the creation of sustainable value in the medium-long term for all stakeholder, through an articulated series of interventions that will allow the Bank to achieve the financial targets that it has already announced.

8. Acknowledgements

We celebrated the Bank's 150th anniversary during 2017, talking a lot about tradition, values and territory, but also about innovation and growth. Growth, above all, means change and from that point of view, 2018 was full of important news.

The shareholders' meeting of April 2018 fully ratified the Bank's new status as a joint-stock company, with most of the Directors being reappointed; a number of changes also took place in the shareholder structure, with the stable nucleus being further defined and strengthened.

The various steps performed to improve credit quality are worth emphasising, with some important transactions that were concluded by the deadlines previously announced. The work to fine-tune the new 2019-2021 Business Plan was also completed and some significant extraordinary transactions were finalised.

In the meantime, the overall economic scenario became much more uncertain in the second half of the year. While the banking system has done its job well, as demonstrated by the significant reduction in bad debts, markets have long given signs of restlessness.

This is why the results obtained are all the more important: they show the resilience that has always been a characteristic of BPER Banca and that has allowed us to survive the most difficult years of the crisis unscathed.

To summarise, we can say that we have given a further positive turn to the business, thanks to the choral commitment of the entire Bank. This means, among other things, having maintained a capital solidity at the top of the Italian banking system, which allows us to face calmly the measures needed to improve asset quality even more and to study growth opportunities that can create value for our shareholders.

The past year has once again been very demanding. In addressing these commitments, BPER Banca was able to count on the contribution of a wide range of players. Above all, the Shareholders and Customers, who more and more frequently show their tangible appreciation.

We also wish to thank those who, with differing roles and responsibilities, have worked for the Bank and all the businesses that make up the Group. We refer to the Chairman, the Directors, Statutory Auditors, Managers and all members of the general management of the Bank and Group companies; recognition is due to all of them for their great professionalism in their management activities and their extraordinary ability to listen and to be attentive to the territorial context in which we operate.

We also express our gratitude to the Chief Executive Officer, the General Manager and the Deputy General Managers: they have managed the Bank in an increasingly collaborative way that is entirely in line with the guidelines provided by the Board of Directors. For them, what has been fundamental is the dedication shown by all of our personnel, who have never failed in their efforts, with exceptional commitment to the Bank's values, guaranteeing the achievement of objectives set.

We express, in particular, deep gratitude and regard for all those persons who retired from service during the year.

A greeting also goes to the Governor of the Bank of Italy, to the managers of the Central Administration, as well as managers and staff of the relevant structures of the Supervisory Authority and in particular the representatives of the ECB with whom we have had a useful and constructive debate. Also a thought for CONSOB and the Borsa Italiana which runs the Italian Stock Exchange.

Lastly, we would like to thank our auditors and all of their staff who contributed to the development, in-house, of a higher level of attention to different accounting and legislative matters, also thanks to a positive and effective dialogue with full respect for the different roles and functions.

We can now look forward confidently to a 2019 when we hope Italy's economic recovery will regain momentum thanks to everyone's commitment.

9. Resolutions

Shareholders,
on completion of our discussion and trusting that you concur with us, we present for your approval the 2018 Financial Statements, accompanied by the Report on operations and the other attached documentation.
We also ask you to approve the proposed allocation of net profit, as previously set out, and seek your approval for the remuneration of the Board of Directors in the terms expressed previously.
We confirm that the financial statements of the Bank and the consolidated financial statements of the Group are accompanied by the certification (required by para. 5 of art. 154-bis of the Consolidated Finance Law) given by the Chief Executive Officer and the Manager responsible for preparing the company's financial reports.
The reports of the independent auditors on the financial statements of the Bank and the consolidated financial statements of the Group, included in the printed volume, are issued by Deloitte & Touche s.p.a. under the terms of their mandate for the period 2017-2025.

10. Reappointment of Directors and Officers

Following the resignation, on 8 May 2018, of the Chairman of the Board of Statutory Auditors elected at the Shareholders' Meeting of 14 April 2018 and taken from the list that obtained the second highest number of votes (hereinafter referred to as the "Minority List"), Giacomo Ramenghi, the Chairmanship of the Supervisory Body has been temporarily taken on by Paolo De Mitri pursuant to the Articles of Association, as Alternate Auditor taken from the same List.

We also inform you that following the resignation on 22 November 2018 of the Acting Statutory Auditor Antonio Mele, elected by the Shareholders' Meeting of 14 April 2018 and taken from the list that came first in terms of number of votes at the same Shareholders' Meeting (hereafter "Majority List"), the Alternate Statutory Auditor, Cristina Calandra Buonaura, drawn from the same list, has taken over the position temporarily.

As envisaged by Article 34 of the Articles of Association, the Shareholders' Meeting is therefore asked to integrate, for the remainder of the three-year period 2018-2020, the Board of Statutory Auditors by appointing the Chairman and another Acting Auditor, as well as one or more Alternate Auditors, if considered necessary.

Modena, 5 March 2019

The Board of Directors
The Chairman
Pietro Ferrari

Financial statements

Balance sheet as at 31 December 2018

(in Euro)

Assets		31.12.2018	31.12.2017
10.	Cash and cash equivalents	330,608,560	301,075,930
20.	Financial assets measured at fair value through profit or loss	1,004,056,293	1,180,456,220
	a) Financial assets held for trading	287,085,422	446,938,481
	b) Financial assets designated at fair value	202,988,484	207,123,296
	c) Other financial assets mandatorily measured at fair value	513,982,387	526,394,443
30.	Financial assets measured at fair value through other comprehensive income	7,530,476,534	12,185,345,950
40.	Financial assets measured at amortised cost	45,851,400,863	41,978,945,478
	a) Loans to banks	4,427,737,741	4,093,350,845
	b) Loans to customers	41,423,663,122	37,885,594,633
50.	Hedging derivatives	34,916,113	52,824,516
70.	Equity investments	1,747,684,180	1,686,978,731
80.	Property, plant and equipment	448,123,654	460,054,567
90.	Intangible assets of which:	239,139,464	295,036,275
	- Goodwill	225,791,895	280,235,895
100.	Tax assets	1,546,559,446	1,571,956,647
	a) current	446,934,997	555,527,557
	b)deferred	1,099,624,449	1,016,429,090
110.	Non-current assets and disposal groups classified as held for sale	2,799,862	-
120.	Other assets	372,661,715	467,510,822
	Total assets	**59,108,426,684**	**60,180,185,136**

(in Euro)

Liabilities and shareholders' equity		31.12.2018	31.12.2017
10.	Financial liabilities measured at amortised cost	52,728,319,366	53,427,163,574
	a) Due to banks	16,436,039,426	16,541,840,376
	b) Due to customers	31,509,115,821	30,386,711,085
	c) Debt securities issued	4,783,164,119	6,498,612,113
20.	Financial liabilities held for trading	150,806,834	174,021,556
40.	Hedging derivatives	85,716,749	20,588,071
60.	Tax liabilities	31,416,926	74,009,263
	b) deferred	31,416,926	74,009,263
80.	Other liabilities	1,230,381,473	1,082,612,961
90.	Employee termination indemnities	114,023,720	116,669,547
100.	Provisions for risks and charges	379,711,188	398,289,967
	a) commitments and guarantees granted	49,871,632	36,722,064
	b) pension and similar obligations	129,930,886	135,673,768
	c) other provisions for risks and charges	199,908,670	225,894,135
110.	Valuation reserves	(82,514,139)	(21,007,643)
140.	Reserves	1,797,104,431	2,332,249,204
150.	Share premium reserve	930,072,623	930,072,623
160.	Share capital	1,443,925,305	1,443,925,305
170.	Treasury shares (-)	(7,253,180)	(7,253,180)
180.	Profit (Loss) for the year (+/-)	306,715,388	208,843,888
	Total liabilities and shareholders' equity	**59,108,426,684**	**60,180,185,136**

The figure at 31 December 2017 (determined in accordance with IAS 39) has been reclassified to the new account captions envisaged in the 5th update to Bank of Italy Circular 262, i.e. in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or total liabilities.

Income statement as at 31 December 2018

(in Euro)

Captions		31.12.2018	31.12.2017
10.	Interest and similar income	1,012,068,479	1,067,225,383
	of which: interest income calculated using the effective interest method	995,610,470	-
20.	Interest and similar expense	(238,208,476)	(263,752,951)
30.	**Net interest income**	**773,860,003**	**803,472,432**
40.	Commission income	629,526,872	590,706,512
50.	Commission expense	(39,179,605)	(32,402,446)
60.	**Net commission income**	**590,347,267**	**558,304,066**
70.	Dividends and similar income	45,183,570	39,393,246
80.	Net income from trading activities	527,636	36,061,314
90.	Net income from hedging activities	1,467,195	(493,851)
100.	Gains (Losses) on disposal or repurchase of:	102,751,481	40,194,009
	a) financial assets measured at amortised cost	(57,679,122)	(8,606,134)
	b) financial assets measured at fair value through other comprehensive income	159,417,450	48,248,689
	c) financial liabilities	1,013,153	551,454
110.	Net income on financial assets and liabilities measured at fair value through profit or loss	9,709,189	(234,341)
	a) financial assets and liabilities designated at fair value	(4,378,041)	(234,341)
	b) other financial assets mandatorily measured at fair value	14,087,230	-
120.	**Net interest and other banking income**	**1,523,846,341**	**1,476,696,875**
130.	Net impairment losses for credit risk relating to:	(148,012,627)	(486,938,815)
	a) financial assets measured at amortised cost	(149,905,242)	(395,549,198)
	b) financial assets measured at fair value through other comprehensive income	1,892,615	(91,389,617)
140.	Gains (Losses) from contractual modifications without derecognition	(2,140,344)	-
150.	**Net income from financial activities**	**1,373,693,370**	**989,758,060**
160.	Administrative expenses:	(1,106,792,821)	(1,037,071,205)
	a) staff costs	(533,702,530)	(504,504,930)
	b) other administrative expenses	(573,090,291)	(532,566,275)
170.	Net provisions for risks and charges	(3,730,035)	(39,268,751)
	a) commitments and guarantees granted	11,909,360	(14,817,900)
	b) other net provisions	(15,639,395)	(24,450,851)
180.	Net adjustments to property, plant and equipment	(24,291,284)	(23,349,274)
190.	Net adjustments to intangible assets	(2,202,731)	(2,616,209)
200.	Other operating expense (income)	119,328,670	148,930,185
210.	**Operating costs**	**(1,017,688,201)**	**(953,375,254)**
220.	Gains (Losses) of equity investments	(48,680,803)	(6,878,185)
240.	Impairment losses on goodwill	(54,444,000)	-
245.	Gain on a bargain purchase	-	190,892,284
250.	Gains (Losses) on disposal investment	49,720	49,537
260.	**Profit (Loss) from current operations before tax**	**252,930,086**	**220,446,442**
270.	Income taxes on current operations	53,785,302	(11,602,554)
280	**Profit (Loss) from current operations after tax**	**306,715,388**	**208,843,888**
300.	**Profit (Loss) for the year (+/-)**	**306,715,388**	**208,843,888**

	Earning per share (Euro) 31.12.2018	Earning per share (Euro) 31.12.2017
Basic EPS	0.638	0.434
Diluted EPS	0.638	0.434

The figure at 31 December 2017 (determined in accordance with IAS 39) has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262, without changing the net profit for the year.

Statement of other comprehensive income

(in Euro)

Captions	31.12.2018	31.12.2017
10. Profit (Loss) for the year	**306,715,388**	**208,843,888**
Other comprehensive income, after tax, that will not be reclassified to profit or loss	**19,019,759**	**(658,300)**
20. Equity instruments measured at fair value through other comprehensive income	18,904,754	-
70. Defined benefit plans	115,005	(658,300)
Other comprehensive income, after tax, that may be reclassified to profit or loss	**(200,021,435)**	**26,833,595**
120. Cash-flow hedges	747,792	(1,466,892)
140. Financial assets (no equity instruments) measured at fair value through other comprehensive income	(200,769,227)	28,300,487
170. Total other comprehensive income after tax	**(181,001,676)**	**26,175,295**
180. Comprehensive income (Captions 10+170)	**125,713,712**	**235,019,183**

The figure at 31 December 2017 has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262, without changing the other comprehensive income for the year.

Statement of changes in shareholders' equity

(in thousands of Euro)

	Balance as at 31.12.17 (*)	Changes in opening balances (**)	Balance as at 1.1.18	Allocation of prior year results		Changes during the year								Shareholders' equity as at 31.12.18
				Reserves	Dividends and other allocations	Changes in reserves	Transactions on shareholders' equity						Other comprehensive income as at 31.12.18	
							Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options		
Share capital:	**1,443,925**	**-**	**1,443,925**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,443,925**
a) ordinary shares	1,443,925	-	1,443,925	-	-	-	-	-	-	-	-	-	-	1,443,925
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**930,073**	**-**	**930,073**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**930,073**
Reserves:	**2,332,249**	**(780,329)**	**1,551,920**	**155,950**	**-**	**89,234**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,797,104**
a) from profits	1,830,743	(780,329)	1,050,414	155,950	-	89,770	-	-	-				-	1,296,134
b) other	501,506	-	501,506			(536)	-							500,970
Valuation reserves	**(21,007)**	**119,495**	**98,488**	**-**		**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(181,002)**	**(82,514)**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Treasury shares	**(7,253)**	**-**	**(7,253)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(7,253)**
Profit (Loss) for the year	**208,844**	**-**	**208,844**	**(155,950)**	**(52,894)**								**306,715**	**306,715**
Shareholders' equity	**4,886,831**	**(660,834)**	**4,225,997**	**-**	**(52,894)**	**89,234**	**-**	**-**	**-**	**-**	**-**	**-**	**125,713**	**4,388,050**

	Balance as at 31.12.16	Changes in opening balances	Balance as at 1.1.17	Allocation of prior year results		Changes during the year								Shareholders' equity as at 31.12.17
				Reserves	Dividends and other allocations	Changes in reserves	Transactions on shareholders' equity						Other comprehensive income as at 31.12.17	
							Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options		
Share capital:	**1,443,925**	**-**	**1,443,925**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,443,925**
a) ordinary shares	1,443,925	-	1,443,925	-	-	-		-	-	-	-	-	-	1,443,925
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**930,073**	**-**	**930,073**	**-**	**-**	**-**		**-**	**-**	**-**	**-**	**-**	**-**	**930,073**
Reserves:	**2,307,997**	**-**	**2,307,997**	**4,225**	**-**	**(1,033)**	**-**	**-**	**(14,377)**	**-**	**-**	**-**	**-**	**2,296,812**
a) from profits	1,806,490	-	1,806,490	4,225	-	(1,032)	-	-	(14,377)	-	-	-	-	1,795,306
b) other	501,507	-	501,507	-	-	(1)	-	-	-	-	-	-	-	501,506
Valuation reserves	**(11,747)**	**-**	**(11,747)**	**-**	**-**	**1**	**-**	**-**	**-**	**-**	**-**	**-**	**26,176**	**14,430**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Treasury shares	**(7,253)**	**-**	**(7,253)**	**-**	**-**	**-**			**-**	**-**	**-**	**-**	**-**	**(7,253)**
Profit (Loss) for the year	**18,699**	**-**	**18,699**	**(4,225)**	**(14,474)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**208,844**	**208,844**
Shareholders' equity	**4,681,694**	**-**	**4,681,694**	**-**	**(14,474)**	**(1,032)**	**-**	**-**	**(14,377)**	**-**	**-**	**-**	**235,020**	**4,886,831**

(*) with the entry into force of IFRS 9, the figure as at 31 December 2017 has been reclassified in order to understand the effects of the new measurement rules for financial instruments.

(**) the change in opening balances relating to reserves from profits and valuation reserves is due to the first time adoption of IFRS9 international standard entred into force on 1 January 2018 as detailed in Part A of Explanatory Notes and in the attachment "Transition to IFRS9 by BPER Banca".

Statement of cash flows as at 31 December 2018

Indirect method

(in thousands)

A. Operating activities	31.12.2018	31.12.2017
1.Operations	**692,367**	**701,634**
- profit (loss) for the year (+/-)	306,715	208,844
- gains/losses from financial assets held for trading and financial assets/liabilities measured at fair value through profit and loss (-/+)	9,477	(24,980)
- gains (losses) from hedging activities (-/+)	(1,467)	494
- impairment losses/write-backs for credit risk (+/-)	294,939	615,401
- impairment/write-backs to property, plant and equipment and intangible assets (+/-)	26,494	25,965
- net provisions for risks and charges and other expense/income (+/-)	61,362	42,438
- unsettled taxes (+/-)	(53,785)	11,603
- other adjustments (+/-)	48,632	(178,131)
2. Cash generated/absorbed by financial assets	**37,559**	**(4,528,563)**
- financial assets held for trading	142,359	42,600
- financial assets designated at fair value	(245)	(20,200)
- other financial assets mandatorily measured at fair value	(15,393)	-
- financial assets measured at fair value through other comprehensive income	4,623,661	(2,171,525)
- financial assets measured at amortised cost	(4,834,538)	(2,453,126)
- other assets	121,715	73,688
3. Cash generated/absorbed by financial liabilities	**(534,713)**	**3,851,252**
- financial liabilities measured at amortised cost	(699,359)	4,171,216
- financial liabilities held for trading	(23,214)	(59,705)
- financial liabilities designated at fair value	-	(200,304)
- other liabilities	187,860	(59,955)
Net cash generated/absorbed by operating activities	**195,213**	**24,323**

B. Investment activities	31.12.2018	31.12.2017
1. Cash generated by	**13,249**	**36,040**
- disposal of equity investments	-	7,447
- dividends collected on equity investments	11,220	27,124
- disposal of property, plant and equipment	2,029	1,469
2. Cash absorbed by	**(125,941)**	**13,590**
- purchase of equity investments	(107,800)	(1,166)
- purchase of property, plant and equipment	(17,391)	(16,737)
- purchase of intangible assets	(750)	(580)
- purchase of business lines	-	32,073
Net cash generated/absorbed by investment activities	**(112,692)**	**49,630**

C. Funding activities	31.12.2018	31.12.2017
- distribution of dividends and other scopes	(52.894)	(28,851)
Net cash generated/absorbed by funding activities	**(52.894)**	**(28,851)**
Net cash generated/absorbed in the year	**29,627**	**45,102**

Key:
(+) generated
(-) absorbed

Reconciliation

Captions	31.12.2018	31.12.2017
Cash and cash equivalents at the beginning of the year	301,076	255,934
Net cash generated/absorbed in the year	29,627	45,102
Cash and cash equivalents: effect of change in exchange rate	(94)	40
Cash and cash equivalents at the end of the year	**330,609**	**301,076**

The figure at 31 December 2017 has been classified in the new account captions envisaged in the 5th update of Bank of Italy Circular 262, without changing the cash generated/absorbed for the year.

Explanatory notes

Key to abbreviations in tables:

FV: Fair value
FV: Fair value excluding variations due to changes in the credit worthiness of the issuer since the issue date*
NV: Nominal or notional value
BV: Book value
L1: Fair value hierarchy – Level 1
L2: Fair value hierarchy – Level 2
L3: Fair value hierarchy – Level 3
X: not applicable

Part A – Accounting policies

A.1 – General information

Section 1 - Declaration of compliance with International Financial Reporting Standards

The Financial statements for the year ended 31 December 2018 have been prepared in accordance with the International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB), endorsed by the European Commission, as provided by EU Regulation no. 1606 dated 19 July 2002, and currently in force, including the related interpretations of the International Financial Reporting Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC).

Reference was also made, where necessary, to the "Framework for the preparation and presentation of financial statements" and to the documents prepared by the Italian Accounting Body (OIC) and the Italian Banking Association (ABI).
In the absence of a standard or interpretation specifically applicable to a particular transaction, the Bank makes use of the professional opinion of its own staff, in particular the Administration and Reporting Department, to develop rules for accounting recognition that make it possible to provide reliable financial information and to ensure that the financial statements give a true and fair view of the financial position, result of operations and cash flows of the Bank, reflecting the economic substance of the transaction and its key aspects.
In formulating these accounting rules, reference has been made as far as possible to International Accounting Standards and interpretations dealing with similar or comparable matters.

As required by IAS 8, the following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 2018.

EC Approval Regulation	Title	In force from years beginning
1905/2016	Commission Regulation (EU) 2016/1905 of 22 September 2016, published in the Official Journal L 295 of 29 October 2016, endorsed IFRS 15 Revenue from contracts with customers, the objective of which is to improve financial reporting about revenue and, thus, the comparability of reported revenue.	1 January 2018
2067/2016	Commission Regulation (EU) 2016/2067 of 22 November 2016, published in the Official Journal L 323 of 29 November 2016, endorsed IFRS 9 Financial instruments, the objective of which is to improve financial reporting about financial instruments by addressing relevant issues that arose during the financial crisis. In particular, IFRS 9 responds to the G20's call to move to a more forward-looking model for the recognition of expected losses on financial assets.	1 January 2018
1987/2017	Commission Regulation (EU) 2017/1987 of 31 October 2017, published in the Official Journal L 291 of 9 November 2017, adopts Clarifications of IFRS 15 "Revenues from contracts with customers". The amendments aim to clarify certain requirements and provide a further transitional facilitation for companies applying the standard.	1 January 2018
1988/2017	Commission Regulation (EU) 2017/1988 of 3 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IFRS 4 Joint application of IFRS 9 Financial instruments and IFRS 4 Insurance contracts. The amendments to IFRS 4 aim to remedy the temporary accounting consequences of the mismatch between the date of entry into force of IFRS 9 and the effective date of the new accounting standard on insurance contracts that replaces IFRS 4 (IFRS 17). The financial conglomerates referred to in the definition in article 2 (14) of Directive 2002/87/EC can decide that none of its entities operating in the insurance sector pursuant to article 2 (8) (b) of the same Directive will apply IFRS 9 to the consolidated financial statements for the years commencing before 1 January 2021, if all of the following conditions are met: a) after 29 November 2017, between the insurance sector and the other sectors of the financial conglomerate, no financial instruments other than those measured at fair value are transferred for which the changes in fair value are recognised in profit or loss for the year by both of the sectors involved in the transfers; b) the financial conglomerate indicates in the consolidated financial statements the group insurance companies that apply IAS 39; c) the additional information required by IFRS 7 is provided separately for the insurance sector that applies IAS 39 and for the rest of the group that applies IFRS 9.	1 January 2018

EC Approval Regulation	Title	In force from years beginning
182/2018	Commission Regulation (EU) 2018/182 of 7 February 2018, published in the Official Journal L 34 of 8 February 2018, adopts the Annual Improvements to IFRS Standards 2014–2016 Cycle that introduces amendments to IAS 28 Investments in Associates and Joint Ventures, to IFRS 1 First-time Adoption of International Financial Reporting Standards and to IFRS 12 Disclosure of Interests in Other Entities. The purpose of the annual improvements is to deal with necessary topics relating to inconsistencies in IFRSs or clarifications in terminology that are not particularly urgent, but that have been discussed by the IASB during the project cycle.	1 January 2018 for IAS 28 and IFRS 1 1 January 2017 for IFRS 12
289/2018	Commission Regulation (EU) 2018/289 of 26 February 2018, published in the Official Journal L 55 of 27 February 2018, adopts Amendments to IFRS 2 Share-based payment arrangements aimed at clarifying how entities should apply the standard in certain specific cases.	1 January 2018
400/2018	Commission Regulation (EU) 2018/400 of 14 March 2018, published in the Official Journal L 72 of 15 March 2018, adopts Amendments to IAS 40 Investment Property – Transfers of investment property. The amendments clarify when an entity is authorised to transfer a property that not was previously classified as investment property or vice versa.	1 January 2018
498/2018	Commission Regulation (EU) 2018/498 of 22 March 2018, published in the Official Journal of 26 March 2018, adopts amendments concerning IFRS 9. The date of entry into force and the transitional provisions of the prepayment elements with negative compensation have been changed.	1 January 2019 and 1 January 2018 for IFRS 9 adopters
519/2018	Commission Regulation (EU) 2018/519 of 28 March 2018, published in the Official Gazette of 3 April 2018, amending Annex no.1126 / 2008 by introducing IFRIC 22 "Transactions in foreign currency and advances". The interpretation clarifies the accounting for transactions that include the reception or payment of advances in foreign currency.	1 January 2018

IFRS 9

With effect from 1 January 2018, IFRS 9 replaced IAS 39, governing the classification and measurement of financial instruments up to 31 December 2017. IFRS 9 is divided into three parts:

- Classification and measurement of financial assets;
- Impairment;
- Hedge accounting.

As part of the classification and measurement of financial assets (loans and receivables and debt securities), IFRS 9 has introduced a combined model based on: i) the business model associated with each portfolio of financial assets and ii) the contractual characteristics of the related cash flows (the so-called "SPPI test"). The combination of these criteria gives rise to new accounting categories for the classification of financial assets (“Financial assets measured at amortised cost”, “Financial assets measured at fair value through other comprehensive income”, “Financial assets measured at fair value through profit or loss”), replacing the previous five accounting categories ("Financial assets held for trading", "Financial assets available for sale", "Assets held to maturity", "Loans and receivables", "Financial assets measured at fair value") .

The classification and measurement of financial assets (loans and receivables and debt securities) in the IFRS 9 accounting categories takes place according to the following guidelines:

- financial assets are classified in the accounting category "Financial assets measured at amortised cost" or "Financial assets measured at fair value through other comprehensive income" when the Business Model associated with them is respectively "Hold to Collect" or "Hold to Collect and Sell" and only if the contractual cash flows of the financial assets are solely payments of principal and interest accrued on the principal amount to be returned (the so-called Solely Payment of Principal and Interest - SPPI);
- the financial assets held for trading purposes (Business Model: "Other") and those named in the previous point, but for which the contractual cash flows have failed the SPPI test, are classified in "Financial assets measured at fair value through profit or loss".

With regards to the classification and measurement of equity instruments, a distinction has to be made between those held for trading purposes, which are classified in "Financial assets measured at fair value through profit or loss", and those held for investment purposes, for which it is possible to choose, irrevocably and at the initial recognition, the accounting category "Financial assets measured at fair value through other comprehensive income" rather than "Financial assets measured at fair value through profit or loss" (the so-called "irrevocable election"). In this case, the valuation reserve charged to equity can no longer be transferred to the income statement, even when the financial instrument is sold.

For financial liabilities, IFRS 9 does not introduce significant changes with respect to the requirements of IAS 39, so they continue to be classified at amortised cost or fair value. However, for financial liabilities measured at fair value, IFRS 9 requires that changes in fair value must be recognised in the income statement with the exception of change in fair value associated with the creditworthiness of the issuer (so-called "own credit risk"), which has to be recorded in a specific equity reserve.

The second part of IFRS 9 addresses stage allocation and the consequent methodology for the determination of impairment. Instruments classified as measured at amortised cost or at fair value through other comprehensive income, except for equity instruments under irrevocable election, must be adjusted using a model based on forward looking expected losses, rather than on the current incurred losses model. The aim is to pre-empt and monitor the status of credit exposures in a timely and continuous manner. Specifically, IFRS 9 requires calculation of the 12-month expected loss from the time of initial recognition of the financial instrument (Stage 1) until a significant increase in credit risk occurs; in the latter case (Stage 2), the calculation of the expected loss is based on the entire residual life of the instruments ("lifetime expected loss"). For default positions (Stage 3), the expected loss is calculated over the entire residual life of the impaired instruments ("lifetime expected loss"), which includes forward-looking factors and multi-scenario assessments; in addition, certain related aspects have changed, such as the calculation of interest income on the net credit exposure.

The aim of the new hedge accounting model, which is addressed in the third part of IFRS 9 and which does not currently extend to macro hedge accounting, is to bring the management and accounting representation of assets closer to the equivalent assets used in the risk management area, increasing disclosure on these risk management actions. In addition, the standard provides an option to implement the new rules rather than to continue with IAS 39 (opt-in/opt-out option). Based on the work performed, the BPER Banca Group has elected to opt-out, which means that hedging transactions continue to be recognised in accordance with the "carved-out" version of IAS 39.

For further details on the Business Model, SPPI test and criteria for the classification of financial instruments in stages, please refer to Part A.2 of these notes, where the main captions in the financial statements are explained.

In application of the indications of IAS 8 - Accounting Policies, Changes in Accounting Estimates and Errors, and para. 7.2 et seq. of IFRS 9 -Transition, the Bank has chosen to manage the transition (or "First Time Adoption - FTA") to IFRS 9 without restating the comparative balances, recognising the cumulative impact caused by the different methods of classification and measurement in reserves from profits in shareholders' equity, as a change to the opening balances at 1 January 2018.

These impacts derive mainly from:

- Classification and measurement of financial instruments: the allocation of assets and liabilities to the new portfolios has led to positive changes overall, equal to Euro 126.9 million;
- Impairment provisions of the cash financial assets portfolio: the higher net provision as a result of applying ECL on a stage basis allocation to loans to customers amounted to Euro 8.7 million, plus Euro 2.4 million on loans to banks and Euro 6.6 million on the own securities portfolio. The gross loans to customers subject to SICR (Stage 2) amount to Euro 9.8 billion, which is 17.4% of gross performing loans to customers;
- Impairment provisions of non-performing loans (Stage 3) up by Euro 715.6 million; the increase derives from inclusion of forward looking factors in the evaluation process, in multi-scenario hypotheses, introducing in particular the disposal scenario among the recovery method of non-performing positions, in application of 2018-2020 NPE Strategy and 2018-2022 NPE Plan of the BPER Banca Group, as an alternative to the "workout scenario" (ordinary credit recovery activity managed internally by the Group).

The overall impact of first-time adoption involved changing the opening balances at 1 January 2018 for an overall imbalance of Euro 660.8 million.
Please refer to the attachment to these financial statements for more quantitative details on the BPER Banca's transition to IFRS 9.

Own Funds

On 12 December 2017, the European Parliament and the Council issued Regulation (EU) 2017/2395 "Transitional arrangements for mitigating the impact of the introduction of IFRS 9 on Own Funds" which updates Regulation 575/2013 CRR, including a new article 473 bis "Introduction of IFRS 9", which offers banks the possibility to mitigate the impact on Own Funds in a transitional period of 5 years (from March 2018 to December 2022) by sterilizing the effect in CET1 with the application of decreasing percentages over time. The BPER Banca Group has chosen to adopt the so-called "static approach" to be applied to the impact resulting from comparison between the IAS 39 impairment provisions at 31 December 2017 and the IFRS 9 impairment provisions at 1 January 2018. On 30 January 2018, the Group formally communicated to the Supervisory Authority its decision to use the transitional arrangement for the gradual inclusion in Regulatory Capital of the Provisions arising on application of IFRS 9.
From 2018, banks adopting the transitional arrangement must nevertheless disclose information to the market about their "Fully Loaded" available capital, RWA, capital ratio and leverage ratio (with respect to the transitional arrangement of IFRS 9), as specified in the guidelines issued on 12 January 2018.

IFRS 15

IFRS 15 has replaced the following standards pertaining to revenue recognition: IAS 11 Construction Contracts, IAS 18 Revenue, IFRIC 13 Customer Loyalty Programmes, IFRIC 15 Agreements for the Construction of Real Estate, IFRIC 18 Transfers of Assets from Customers and SIC-31 Revenue – Barter Transaction involving Advertising Services.
The principle has provided specific rules for the first-time application; in particular, there is the possibility of choosing between a "full retrospective" approach and a "modified retrospective" approach, the latter adopted by the Parent Company.
The standard establishes a new model of revenue recognition, which will apply to all contracts with customers, with the exception of those falling within the scope of other IAS/IFRS (such as leases, insurance contracts and financial instruments). The fundamental steps for accounting for revenues according to the new model are:

- identification of contracts with customers;
- identification of the performance obligations of the contract, whether they are satisfied overtime or at a point in time;
- determination of the price;
- allocation of the price to the performance obligations of the contract;
- the criteria for recording the revenue when the entity satisfies each performance obligation.

IFRS 15 provides for the recognition of revenues for an amount that reflects the consideration that the entity deems to be entitled to in exchange for the transfer of goods or services to the customer.

Based on the specific analyses carried out at Group level, no significant impacts emerged from application of the new standard.

The following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 1 January 2019 or later date (if the financial statements do not coincide with the calendar year).

EC Approval Regulation	Title	In force from years beginning
1986/2017	Commission Regulation (EU) 2017/1986 of 31 October 2017, published in the Official Journal L 291 of 9 November 2017, adopts IFRS 16 Leases, which aims to improve the accounting treatment of leasing contracts.	1 January 2019
1595/2018	Commission Regulation (EU) 2018/1595 of 23 October 2018, published in the Official Journal L 265 of 24 October 2018, adopts IFRIC 23 - Uncertainty over Income Tax Treatments. This interpretation specifies how to reflect the uncertainty when accounting for income taxes.	1 January 2019
237/2019	Commission Regulation (EU) 2019/237 of 8 February 2019, published in the Official Journal of the Italian Republic L. 39 of 11 February 2019, which amends regulation (EC) 1126/2008 which adopts certain international accounting standards in accordance with regulation (EC) 1606/2002 of the European Parliament and of the Council with regard to IAS 28.	1 January 2019

The Bank has decided do not take advantage of the early implementation of the Regulations in force from 1 January 2019. It is thought unlikely that these amendments or new endorsed standards will have a significant impact on the Group's financial and economic situation; for an analysis of the estimated impact of first-time adoption of IFRS 16, please refer to the Directors' report on operations, in paragraph 4.9 - Preliminary information regarding the future application of IFRS 16.

Section 2 - Basis of preparation

The Financial statements have been prepared in accordance with Circular 262/2005 and subsequent amendments (issued in implementation of art. 9 of Legislative Decree 38/2005), and with CONSOB resolution 11971 dated 14 May 1999 and subsequent amendments.
The financial statements also reflect the requirements of the Italian Civil Code, as amended following the reform of company law (Legislative Decrees 5 and 6 dated 17 January 2003, and subsequent amendments, including Decree 310 dated 28 December 2004).
The financial statements consist of the balance sheet, the income statement and the statement of other comprehensive income, presented in euro, together with the statement of changes in shareholders' equity, the statement of cash flow and these explanatory notes, presented in thousands of euro. Euro is the currency used for preparing the financial statements. They are accompanied by the directors' report on operations.

The general criteria underlying the preparation of the financial statements are presented below in accordance with IAS 1:

- *Going Concern:* assets, liabilities and off-balance sheet transactions are measured in the context of continuity over time.
- *Accrual Basis of Accounting:* costs and revenues are recognised in accordance with the matching principle, regardless of when they are settled.
- *Materiality and Aggregation:* each material class of similar items is presented separately in the financial statements. Items that are dissimilar in terms of their nature or use are only aggregated if they are individually immaterial.
- *Offsetting:* assets and liabilities, income and expenses are not offset unless required or permitted by a standard or an interpretation, or by the Bank of Italy's regulations for the preparation of financial statements.
- *Frequency of disclosures:* information must be prepared annually or more frequently; if an entity changes its accounting reference date, the reason must be indicated together with the fact that the information provided is not comparable.
- *Comparative Information:* comparative information is disclosed in respect of the previous period for all amounts reported in the financial statements, unless required otherwise by a standard or an interpretation. The balance sheet figure reported at 31 December 2017 (determined in accordance with IAS 39) has been reclassified to the new account captions envisaged in the 5th update to Bank of Italy Circular 262, i.e. in accordance with the new classification criteria introduced by IFRS 9, without changing the amounts reported for total assets or total liabilities. The income statement figure reported at 31 December 2017 (determined in accordance with IAS 39) has been classified into the new account captions envisaged the 5th update to Bank of Italy Circular 262, without changing in the net profit for the period. The information provided in the explanatory notes follows the same principle, with the

exception of the tables which require the evidence of the dynamics that occurred during the year. In the absence of a specific caption dedicated to restatement of the opening balances, the initial figure shown is the one already modified due to the application of IFRS 9 (as of 1 January 2018), in order to highlight the actual changes during the year.

- *Consistency of Presentation:* the presentation and classification of items is maintained over time to ensure that information is comparable, unless specified otherwise in new accounting standards or their interpretations, or unless a change is required to improve the meaningfulness and reliability of the amounts reported. The nature of changes in account presentation or classification is described, together with the related reasons; where possible, the new criterion is applied on a retroactive basis.

In preparing the financial reporting at the end of the year, the Group has taken account of the ESMA document of 26 October 2018 - “European common enforcement priorities for 2018 financial statements", aimed at promoting a homogeneous application of IAS/IFRS, in order to ensure the transparency and proper functioning of financial markets, identifying certain issues deemed particularly significant for the financial statements at 31 December 2018 of European listed companies, also in consideration of current market conditions. The Bank of Italy's clarifications on the preparation of the banks' financial statements, included in the technical note dated 30 October 2018, were also considered the most recent update being the one.

The description of the accounting policies adopted in relation to the principal financial statements aggregates is presented in sufficient detail to identify the principal assumptions and assessments made for the preparation of the financial statements.

The notes and attachments to the 2018 financial statements provide additional information useful for a complete, true and fair view of the company’s situation, even if such information is not expressly required by the regulations.

Uncertainties in the use of estimates[16]

The preparation of financial statements requires recourse to estimates and assumptions that may affect the amounts recorded in the balance sheet and the income statement. as well as the information about contingent assets and liabilities disclosed in the financial statements. The development of such estimates involves the use of available information and the adoption of subjective assessments, partly based on historical experience, in order to make reasonable assumptions for the recognition of operating events. By their nature, the estimates and assumptions used may change from period to period and, accordingly, it may be that the actual amounts recorded in the financial statements in subsequent periods are significantly different as a consequence of changes in the subjective assessments made.
The principal situations in which management is required to make subjective assessments include:

- quantification of the losses arising from the impairment of loans and, in general, other financial assets;
- determination of the fair value of financial instruments for disclosure purposes; in particular, the use of measurement models to determine the fair value of financial instruments that are not listed in active markets;

[16] *As required by document No. 2 issued with joint signature by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009*

- quantification of the provisions for employee benefits and the provisions for risks and charges;
- estimates and assumptions about the recoverability of deferred tax assets;
- measurement of goodwill/intangible assets.

Going Concern[17]

In preparing the financial statements for the year ended 31 December 2018, the Directors considered the going-concern assumption to be appropriate because they did not find any uncertainties related to events or circumstances that, individually or collectively, could give rise to doubts about the business continuity.

Inspections and audits

The Directors are of the opinion that the observations that emerged in the various inspection areas do not entail significant impacts in terms of income, assets and cash flows of BPER Banca. In any case, the Bank always prepares suitable action plans to implement the Supervisory Authority's recommendations as quickly as possible.

Section 3 – Subsequent events

These Financial Statements have been approved on 5 March 2019 by BPER Banca's Board of Directors, which authorised their publication.
In relation to the events subsequent to the end of the 2018 financial year indicated in the Group's Directors' Report on operations, referring to:

- Acquisition of control of Unipol Banca s.p.a.;
- Disposal of “Emilia”;
- Acquisition of a minority interest in Banco di Sardegna;
- Increase in the interest in the capital of Arca Holding s.p.a.;
- Approval of the three-year development plan of the BPER Banca Group.

[17] *As required by document No. 2 issued with joint signature by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009*

Section 4 – Other aspects

Domestic tax group election

Starting from 2007, BPER Banca has elected to establish a domestic tax group, which was introduced by Legislative Decree 344/2003 and subsequent amendments and is governed by arts. 117-129 of the “Consolidated Income Tax Law”.
Under this optional arrangement, which is binding for three years, the subordinate members transfer their results to the parent, for fiscal purposes only, which then calculates the consolidated taxable income or tax loss.
The effects of the tax consolidation are reported in the "Other assets - due from members of the tax group" caption, as the offset account for IRES provisions classified as "Current tax liabilities" by the consolidated companies, before withholdings and the advances paid.
The "Other liabilities - due to members of the tax group" caption represents the offset account for IRES provisions withheld from and paid by the above group companies, which are classified as "Current tax assets" following their transfer to the consolidating company.
The tax group elections made by Banca di Sassari s.p.a. and Sardaleasing s.p.a. expired on 31 December 2017 and the newly consolidated company SIFA’ - Società Italiana Flotte Aziendali s.p.a. entered the tax group on 1 January 2018.
The election for the three-year period 2018-2020 was made regularly by the companies on 31 October 2018, on presentation of the Income Tax Return of the consolidating company.

Consolidated companies	2016	2017	2018	2019	2020
Banca di Sassari s.p.a.			X	X	X
Banco di Sardegna s.p.a.	X	X	X		
Cassa di Risparmio di Bra s.p.a.		X	X	X	
Cassa di Risparmio di Saluzzo s.p.a		X	X	X	
Optima s.p.a. SIM	X	X	X		
Emilia Romagna Factor s.p.a.		X	X	X	
Sardaleasing s.p.a.			X	X	X
SIFA' - Società Italiana Flotte Aziendali s.p.a.			X	X	X
BPER Trust Company s.p.a.	X	X	X		

Information on public disbursements pursuant to art. 1, paragraph 125 of Law 124 of 4 August2017 ("Annual market and competition law")

It need to be introduced that Law 124 of 4 August 2017 "Annual market and competition law" (hereafter Law 124/2017) introduced a series of measures designed to ensure transparency in the public disbursements system (art. 1, paragraphs from 125 to 129). In particular, this law provides, among other things, that the companies must provide in the explanatory notes to the financial statements at 31 December 2018 - and in consolidated explanatory notes - information relating to “grants, contributions, remunerated offices and economic advantages of any type” (hereinafter referred to as “public disbursements”) received by public administrations and other subjects indicated by art. 1, paragraph 125 of the said law. Failure to comply with this disclosure requirement entails having to reimburse the money to whoever disbursed it.

In order to avoid an accumulation of information not relevant, the law says that there is no disclosure requirement for public disbursements of less than Euro 10,000.

Despite the clarifications provided by the State Council with opinion 1149 of 1 June 2018, the law in question raises a number of doubts about interpretation and application, particularly the latter, for which reference was also made to the points of view expressed by trade associations (Assonime). In particular, taking into account the criteria inspiring the law and the emerged guidelines, the following situations should not be covered by the disclosure requirements:

- fees for services provided by a company as part of the performance of professional services, the provision from supplies or some other assignment that forms part of the core business. In fact, these are types of income that do not pertain to the field of donations or public support policies;
- tax advantages accessible to all companies that meet certain conditions, based on predetermined general criteria, which are also included in specific declarations;
- provision to customers of subsidized loans, as it involves the disbursement of funds belonging to others (e.g. an interest subsidy paid by the public administration) and not the own resources of the bank which is acting as an intermediary.

In addition, it should be noted that starting from August 2017 the State Aid National Register is active in the Executive Board for incentives to companies of the Ministry of Economic Development, in which State aid and *de minimis* aid disbursed to any company by subjects that grant or manage such aid. For individual aid in favour of BPER Banca Group companies, please refer to the "Transparency of the Register" section, which are available publicly.

That said, in compliance with the provisions of art. 1, paragraph 125, of law 124 of 4 August 2017, the amounts collected during 2018 by the Bank by way of "grants, contributions, remunerated offices and economic advantages of any type" are listed below.

BPER Banca Group companies	Type of grants	Amounts received in 2018
BPER Banca s.p.a.	Regulation for inter-professional funds for continuing education for the granting of exempted State aid pursuant to EC regulation 651/2014 and in a de minimis arrangement pursuant to EC regulation 1407/2013	1,217,270

Audit

The financial statements have been audited by Deloitte & Touche s.p.a., which was appointed for the period 2017-2025 at the Shareholders' Meeting held on 26 November 2016, as required by Legislative Decree 39 of 27 January 2010.

A.2 – Main captions in the financial statements

Classification of Financial assets - Business Model and SPPI test (captions 20, 30 and 40)

IFRS 9 requires financial assets represented by loans and receivables and debt securities to be classified into three accounting categories, using the following criteria:

- the Business Model used to manage them;
- the contractual characteristics of the cash flows of financial assets (or SPPI tests).

The classification of financial assets depends on a combination of these two criteria, as indicated below:

- Financial assets measured at amortised cost (AC): assets that include the "Hold to collect" Business Model (HTC) and pass the SPPI test;
- Financial assets measured at fair value through other comprehensive income (FVTOCI): assets that include the "Hold to collect and sell" Business Model (HTCS) and pass the SPPI test;
- Financial assets measured at fair value through profit or loss (FVTPL): assets that include an "Other" Business Model or, on a residual basis, assets that cannot be classified in the previous categories due to the negative outcome of the SPPI test.

Business Model

The Parent Company has identified its own Business Models taking into due consideration the core business sectors in which it operates, the strategies adopted to date in order to realise cash flows of the assets in portfolio, as well as the strategic forecasts of business development.

The Bank's core business is related to the generation and management of credit relationships for the Retail and Corporate sectors (including Large Corporate) and, therefore, follows a logic of holding them presumably until they expire in order to collect the contractual cash flows. According to IFRS 9 this operation is attributable to a "Hold to Collect" type Business Model.

Another sector of activity for the Parent Company, supporting the pursuit of banking objectives, is the Finance sector which includes the balance sheet and income statement items of the Bank deriving from treasury activities, management of own portfolios, access to financial markets and specialist operational support to the sales network.

For the purpose of identifying the Business Model in the Finance sector, the analysis linked the relevant activities carried on by the finance department to management of the own portfolios. It is therefore possible to identify the following own portfolios:

- *Investment Banking Book,* consisting of the set of instruments managed collectively in order to reduce volatility on the interest margin. This type of portfolio mainly pursues a strategy of holding financial instruments to maturity, thereby sterilising market risk.
  The strategy of this portfolio therefore involves management of the principal risks such as credit risk, interest rate risk and sovereign risk.
  In application of IFRS 9, this portfolio has been included in the "Hold to Collect" Business Model.
- *Liquidity Banking Book,* consisting of a set of financial instruments whose strategy is based to hold them with the aim of managing liquidity and optimising the risk-return profile at Group level. This type of portfolio pursues investment strategies in order to:
  - o optimise the interest margin;

  - o increase the amount of assets that can be readily liquidated to mitigate the Group's exposure to liquidity risk;
  - o diversify credit risk.

  The strategy of this portfolio therefore involves management of the principal risks such as liquidity risk, credit risk, interest rate risk, market risk and sovereign risk. In application of IFRS 9, this portfolio has been included in the "Hold to Collect and Sell" Business Model.

- *Trading portfolio,* consisting of a set of financial instruments for trading purposes (government securities, ETFs, structured securities, UCITS units, ABS, etc.), guaranteeing the management of market risk. The profit purpose of this portfolio is mainly pursued through the change in the fair value of the instruments.

  The strategy of this portfolio therefore involves management of the principal risks such as market risk, credit risk, interest rate risk and sovereign risk.

  In application of IFRS 9, this portfolio has been included in the "Other" Business Model.
- *Customer Trading Portfolio*, consisting of financial assets repurchased from customers, or held to offer an investment service to them (residual portfolio).

  In application of IFRS 9, this portfolio has been included in the "Other" Business Model.
- *Capital Market*, consisting of financial instruments held for market making on securities (government, supranational, corporate, covered bond and government guaranteed debt securities), guaranteeing the management of market risk. The profit purpose of this portfolio is mainly pursued through the change in the fair value of the instruments. The strategy of this portfolio therefore involves management of the principal risks such as market risk, credit risk, interest rate risk.

  In application of IFRS 9, this portfolio has been included in the "Other" Business Model.

IFRS 9 envisages the possibility of change in Business Model, highlighting that the situations that lead to this change are “very infrequent”, to be attributed to significant events (internal or external) that affect the management strategy (and therefore derive from decisions of Senior Management of the Entity); in addition, they must be adequately supported by resolutions and linked to events or objective facts evidenced also towards third parties.
The change in Business Model must also take place before the consequent reclassification of the assets affected by that change, which is possible only on the first day of the next reporting period (understood by the BPER Banca Group as the next half-year covered by the Condensed consolidated half-year financial statements prepared in application of IAS 34).

Regarding the combination of frequency and significance thresholds, the Bank has defined quantitative limits (both in relative terms with respect to the portfolio size, and in absolute terms) to be applied to sales made on the “Hold to Collect” portfolio.
It also defines the concepts of "proximity to maturity", identifying the 12 months prior to the repayment date, and "increase in credit risk" in line with the staging criteria described below (classification in Stage 2 allows the sale of instruments).

SPPI Test

In order to analyse the characteristics of the contractual cash flows deriving from financial assets (loans and receivables and debt securities), BPER Banca has defined an SPPI test based on 12 decision-making trees, so as to consider all the contractual characteristics relevant to the test.

BPER Banca has also adopted some assumptions regarding both the loans portfolio and the debt securities portfolio. The main choices are shown below.

- in relation to the debt securities portfolio, the mutual fund units, both opened and closed, fail the SPPI test. In relation to the securities issued as part of securitisation transactions, for the purposes of credit risk assessment it has been assumed that the mezzanine and junior tranches generally bear a higher credit risk than the average risk of the underlying portfolio of instruments and, consequently, fail the test.
- in relation to the Benchmark Cash Flow Test required in situations of mismatch between "tenor" and periodicity of the "refixing" of interest rates, it was agreed that the change in the "time value of money element" should be considered significant for instruments indexed to parameters with a tenor higher than a year and, consequently, these fail the SPPI test.

The main balance sheet captions are shown below.

1. Financial assets measured at fair value through profit or loss

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while derivative contracts are recognised on the date of signature.
In particular, any changes in the fair value of the asset to be received between the settlement date and the earlier arrangement date are recognised at the time of settlement, in the same way in which the asset acquired is recorded.
Financial assets measured at fair value through profit or loss are initially recorded at fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, without considering any related costs or income attributable to them, which are recorded directly in the income statement.

Classification

a) financial assets held for trading

Financial assets held for trading comprise those whose business model is defined as "Other". This business model applies to financial assets whose cash flows will be generated from their sale. This also includes equity instruments held for trading, for which it is not possible to exercise the irrevocable election option to present subsequent changes in fair value through other comprehensive income. Additionally, the model includes investments in mutual funds that are held for trading.

b) financial assets designated at fair value

This category comprises the financial assets for which the fair value option has been exercised.

c) other financial assets mandatorily measured at fair value

This category includes financial assets whose business model is defined as "Hold to Collect" or "Hold to Collect & Sell", but which fail the SPPI test and therefore do not satisfy the requirements for classification therein.
It also includes equity instruments not held for trading for which no irrevocable election was made to recognise subsequent changes in fair value in the statement of other comprehensive income.
Additionally, the category includes investments in mutual funds that are not held for trading.

Measurement

Subsequent to initial recognition, these assets continue to be measured at fair value. If the fair value of derivatives classified as "financial assets held for trading" becomes negative, this caption is recognised as a financial liability.
The methods used to determine the fair value are reported in part A.4 "Information on fair value" of these Notes.

Derecognition

Financial assets are derecognised when the contractual rights to the cash flows deriving from them expire, when substantially all the risks/benefits associated with them are assigned, or when substantial changes are made to them.
If the Bank sells a financial asset classified among the *"Financial assets measured at fair value through profit or loss"*, it is derecognised on the transfer date (settlement date).

Recognition of components affecting the income statement

The positive components of income, represented by the interest income deriving from financial assets classified as "Financial assets measured at fair value through profit or loss", are recognised on an accruals basis in the "interest" captions of the income statement.
Gains and losses deriving from changes in the fair value of "Financial assets measured at fair value through profit or loss – financial assets held for trading" are recognised in income statement caption "Net income from trading".
Gains and losses deriving from changes in the fair value of financial assets designated at fair value are recognised in income statement caption "Net income on financial assets and liabilities measured at fair value through profit or loss – financial assets and liabilities designated at fair value", while financial assets that must be measured at fair value are recognised in caption " Net income on financial assets and liabilities measured at fair value through profit or loss – other financial assets mandatorily measured at fair value".

2. Financial assets measured at fair value through other comprehensive income

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while loans are recognised on the pay-out date.
On initial recognition, these financial assets are recorded at their fair value, which usually corresponds to the consideration paid, inclusive of the transaction costs or income directly attributable to the instruments concerned.

Classification

This category comprises:

- financial assets whose defined Business Model is "Hold to Collect & Sell" and whose contractual terms pass the SPPI test;
- investments in equity instruments, not held for trading purposes, for which an irrevocable election was made on initial recognition to record subsequent changes in fair value through other comprehensive income.

Measurement

Subsequent to initial recognition, these financial assets continue to be measured at fair value. Changes in the fair value of financial assets, other than equity instruments for which the above irrevocable election has been made, are recognised in a specific equity reserve net of expected credit losses and the related tax effect.

Derecognition

Financial assets are derecognised when the contractual rights to the cash flows deriving from them expire, when substantially all the risks/benefits associated with them are assigned, or when substantial changes are made to them.
If the Group sells a financial asset classified among the "Financial assets measured at fair value through other comprehensive income", it is derecognised on the transfer date (settlement date).

Recognition of components affecting the income statement

The components of income deriving from "Financial assets measured at fair value through other comprehensive income", excluding investments in equity instruments for which the above irrevocable election option has been exercised, are recognised as described below:

- interest is calculated using the effective interest rate, i.e. the rate that exactly discounts cash flows through the instrument life (IRR rate). The IRR is determined taking into account any discounts or premiums on the acquisition, costs or commissions that are an integral part of the carrying amount;
- expected credit losses recognised during the period are recorded in caption "Net impairment losses for credit risks on: b) financial assets measured at fair value through other comprehensive income";
- on derecognition, the amount accumulated in the specific equity reserve is released to income statement caption "Gains/losses on disposal or repurchase of: b) financial assets measured at fair value through other comprehensive income".

With regard to investments in equity instruments for which the above irrevocable election has been made, only the related dividends are recognised in the income statement, in caption "Dividends and similar income". Changes in fair value subsequent to initial recognition are recorded in a specific equity reserve; on derecognition, the amount accumulated in the above reserve is not released to the income statement, but is reclassified among the profit reserves.

3. Financial assets measured at amortised cost

Recognition

Financial assets represented by debt instruments are initially recognised on the settlement date, while loans are recognised on the pay-out date; this caption includes:

- loans to banks;
- loans to customers.

The initial value reflects the fair value of the financial instrument, generally representing the amount of the loan granted inclusive of the costs/income directly attributable to each instrument, or the subscription price in the case of debt instruments.

Factoring operations give rise to exposures to assignors representing loans disbursed for with-recourse assignments and exposures to assigned debtors representing the fair value of the receivables purchased versus without-recourse assignments. The first registration of a loan takes place on the sale date following the signing of the contract (in the case of without-recourse assignment) and coincides with the disbursement date for with-recourse assignments.
For the assignor and factor, this activity entails an assessment of the presence or not of the conditions required by IFRS 9 for derecognition (a company can cancel a financial asset from its financial statements only if, as the result of a sale, it has transferred the risks and benefits connected with the instrument sold, or if and only if: a) the financial asset is transferred and with it substantially all the contractual risks and rights to the cash flows deriving from the asset expire; b) the benefits connected to its ownership ceases to apply) and consequent recognition on the factor's side.
To assess effective transfer of risks and benefits, it is necessary to compare the assignor's exposure to the variability of the current value or of the cash flows generated by the financial asset transferred, before and after the sale. The assignor essentially maintains all the risks and benefits when its exposure to the 'variability' of the present value of the net future cash flows of the financial asset does not change significantly following its transfer. Instead, transfer occurs when the exposure to this 'variability' is no longer significant.
The most frequently forms of financial instrument transferring used may have profoundly different accounting effects:

- in the case of a without-recourse assignment (without any guarantee obligation), the assets transferred can be cancelled from the transferor's financial statements;
- in the case of a with-recourse transfer, it is to be assumed that in most cases the risk associated with the asset sold remains with the seller and therefore the sale does not meet the requirements for derecognition of the instrument in question; only the amounts paid to the assignor as an advance of the consideration will be recorded.

Verification of the derecognition criteria, in the context of the without-recourse assignments underlying the factoring activity, also takes into consideration the risk mitigation clauses adopted by the Group through specific contractual provisions agreed with the assignors. These are clauses that aim to define the limits on the individual debtors transferred, absolute and relative deductibles, so-called "bonus-malus" clauses and late payment.

Classification

This category comprises the financial assets whose defined Business Model is "Hold to Collect" and whose contractual terms pass the SPPI test.
The "Financial assets measured at amortised cost" caption includes loans to customers and loans to banks.
These captions comprise commercial loans, repurchase agreements, loans originated by finance leases (recognised using the "financial method" pursuant to IAS 17) and debt securities.
The Bank has recorded under "*Financial assets measured at amortised cost*" the financial instruments purchased without recourse, subject to verification that there are no contractual clauses that do away with the actual substantial transfer of all the risks and benefits. With regard to the portfolio transferred with recourse, the amounts disbursed to the assignor by way of advance payment are recorded in the same category.

Measurement

After initial recognition, loans are valued at their amortised cost, corresponding to the initially recognised amount less principal repayments, net impairment losses and amortisation - calculated using the effective interest method – of the difference between the amount paid out and the amount repayable on maturity, which is generally attributable to the costs/income directly allocated to the individual loans.

The effective interest rate is the rate that discounts the flow of estimated payments over the expected duration of the loan back to its initial net book value, inclusive of directly-related costs and revenues. In financial terms, this method of recognition distributes the economic effect of these costs and revenues over the expected residual life of the loan.

The amortised cost method is not used in relation to short-term loans (up to 12 months), since the effect of discounting would be negligible. These loans are stated at historical cost.

Costs and revenues relating to loans without a fixed term or repayable on demand are recorded directly in the income statement.

At each reporting date, financial assets measured at amortised cost are adjusted for impairment by recognising any Expected Credit Losses - ECL.

The following items fall within this sphere, with specific assessment methods:

- Non-performing loans (in “Stage 3”) which have been assigned the status of bad, unlikely to pay or past due loans in compliance with the current rules of the Bank of Italy's supervisory regulations, in line with IAS/IFRS and European supervisory regulations. The amount of the adjustment of each balance is equal to the difference between its carrying value at the time of measurement (amortised cost) and the present value of expected future cash flows. The estimate of expected cash flows, also formulated in relation to possible recovery scenarios, comes from assessing analytically the position of bad loans for unlikely to pay loans with exposures above the thresholds set by internal procedures. For unlikely to pay loans below the thresholds established by internal regulations and for past due loans, the expected loss is determined using a collective method. For further details on the models adopted by the BPER Banca Group to estimate the Expected Credit Losses (ECL) on non-performing loans, please refer to the paragraph 19 "Methods for determining the extent of impairment". Any impairment losses are recorded in the income statement.

  The original value of loans is reinstated in subsequent periods, to the extent that the reasons for the impairment loss made cease to apply, on condition that this assessment is objectively linked with events that took place subsequent such impairment losses. The reversal of the impairment loss may not exceed the amortised cost of the loan had the impairment not been recognised in the past.
- Performing loans feed "Stage 1" and "Stage 2"; the measurement is carried out periodically in a differentiated manner, according to ECL model adopted by the BPER Banca Group, at 12 months or lifetime respectively, the characteristics of which are summarised in paragraph 19 "Methods for determining the extent of impairment".

Forborne exposures, which by their nature can be classified as either non-performing or performing, are subject to the same valuation methods described above. If these are performing loans, the classification is in Stage 2.

With regard to the procedures for identifying Forborne loans, please refer to the indications provided in Part E - Credit risk in these Notes.

Derecognition

Financial assets are derecognised when the contractual rights to the cash flows deriving from them expire, when substantially all the risks/benefits associated with them are assigned, or when substantial changes are made to them.

If the Bank sells a financial asset classified among the "Financial assets measured at fair value through profit or loss", it is derecognised on the transfer date (settlement date).

Recognition of components affecting the income statement

The interest on instruments measured at amortised cost (amounts due from banks and loans to customers) is calculated using the effective interest method, i.e. using the rate (IRR) that discounts the related cash flows exactly over the expected life of the instrument concerned. The IRR and, therefore, amortised cost are determined having regard for any acquisition discounts or premiums, costs or commissions that are an integral part of the discounted cost.

Interest on non-performing loans is calculated on the net exposure of the expected credit losses.

Write-downs or write-backs deriving from the model of adopted expected credit losses are recognised in the income statement under caption “Net impairment losses for credit risk".

4. Hedging operations

The BPER Banca Group made use of the possibility of managing hedge accounting according to IAS 39, as envisaged on first-time adoption of IFRS 9.

Recognition

Hedges are arranged to neutralise losses that may be incurred in relation to a given element or group of elements, as a consequence of a given risk, via profits that would be earned on another element or group of elements should that particular risk crystallise. There are two types of hedge:

- fair value hedges: arranged to hedge the exposure to changes in the fair value of a balance sheet caption;
- cash flow hedges: arranged to hedge the exposure to changes in future cash flows attributable to specific balance sheet captions.

Classification

Financial instruments are designated as hedges when the relationship between the hedged and the hedging instrument is adequately documented and formalised, if the hedge is effective both at the start and prospectively throughout its life.

Measurement

Hedging derivatives are measured at their fair value.

Specific tests are performed to verify the effectiveness of hedging transactions. The effectiveness of a hedge depends on the extent to which changes in the fair value of the hedged instrument, caused by changes in the risk factor addressed by the hedge, are offset by changes in the value of the hedging instrument. In order to be effective, the hedge must be made with a counterparty outside the Group.

The method of accounting for the gains and losses deriving from changes in fair value depends on the type of hedge:

- fair value hedge: the change in the fair value of the hedged element representing the hedged risk is recognised in the income statement, together with the change in the fair value of the derivative instrument; any difference, which represents the ineffective portion of the hedge, determines the consequent net economic effect.
- cash-flow hedge: to the extent that the hedge is effective, changes in the fair value of the derivative are recognised in shareholders' equity; they are only recognised in the income statement when changes in the cash flows from the hedged item need to be offset, or when the hedge becomes ineffective.

The Parent Company established the hedge effectiveness when changes in the fair value of (or cash flows from) the hedging instrument, caused by the hedged risk factor, almost entirely offset those of the hedged instrument (the percentage limits fall in the range from 80% to 125%).
The evaluation of effectiveness is carried out on a quarterly basis, using:

- prospective tests that justify the application of hedge accounting, by demonstrating the expected effectiveness of the hedge;
- retrospective tests that show the effectiveness of the hedge during the period under review. In other words, they measure by how the actual results differ from the "perfect" hedge.

Derecognition

If transactions do not meet the effectiveness test, hedge accounting - as described above - is terminated and the derivative contract is reclassified as an instrument held for trading, with recognition of the related impacts in the income statement. Hedge accounting is also terminated in the following situations:

- the hedged item is sold and redeemed;
- the hedging transaction is revoked prior to the expiry date;
- the hedging instrument expires, is sold, terminated or exercised.

Recognition of components affecting the income statement

Income elements are allocated to the relevant income statement captions on the following basis:

- differentials earned on derivatives that hedge interest-rate risk (and the interest on the hedged positions) are allocated to the "Interest and similar income" or "Interest and similar expense" captions;
- capital gains and losses deriving from the measurement of hedging instruments and the positions covered by fair value hedges are allocated to the "Net income from hedging activities" caption;
- capital gains and losses deriving from measurement of the effective part of "cash flow hedges" are allocated to a special equity reserve "cash flow hedges", net of the related deferred tax effect. Gains and losses relating to the ineffective part of such hedges are recorded in the "Net income from hedging activities" caption of the income statement.

5. Equity investments

Recognition

Equity investments are recognised on the settlement date. Equity investments are recorded at cost on initial recognition, including any costs and revenues directly attributable to the transaction.

Classification

This caption includes interests in subsidiaries, associated companies and jointly controlled companies and other minor holdings.

Measurement

Under IAS 27 and 28 and IFRS 11, equity investments in subsidiaries, joint ventures and associated companies can be carried at cost in the Bank's financial statements, or at fair value pursuant to IAS 9. The Bank has measured them at cost.

If there is evidence that an investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment.
If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement under caption "Gains (Losses) of equity investments", as described in the below paragraph 19 "Method for determining the extent of impairment".
If the reasons for making the impairment loss cease to apply as a result of an event subsequent to the impairment loss, the related write-back is credited to the income statement without exceeding the amount of the impairment loss previously recorded.
The Parent Company's share of any losses of the investee, exceeding the book value of the investment, is recorded in a specific reserve to the extent that the company is required to fulfil legal or implicit obligations of the investee, or, in any case, to cover its losses.

Derecognition

Equity investments are derecognised on expiry of the contractual rights over the related cash flows or when the investment is sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

Dividends are recorded in the "Dividends and similar income" caption when the right to collection is established; dividends received are recognised in the financial statements by deducting them from the carrying amount of the relevant investment.
Any impairment losses/write-backs relating to the impairment of equity investments and gains or losses on the disposal of equity investments are recorded in the "Gains (Losses) of equity investments" caption.

6. Property, plant and equipment

Recognition

Property, plant and equipment are initially recorded at purchase price, including all directly attributable costs of purchasing and bringing the asset to working condition.
Expenditure on improvements that will generate future economic benefits is added to the value of the assets concerned, while routine maintenance costs are charged to the income statement.

Classification

Property, plant and equipment comprise land, property used for operating purposes, installations, furniture, furnishings and all types of equipment.

These are tangible assets that will be used for more than one accounting period and which are held for use in the production of business or the supply of goods and services, for rental to third parties or for administrative purposes.
This caption also includes assets held under finance lease contracts, even though the lessor remains the legal owner.
This caption also includes certain assets classified in accordance with IAS 2 "Inventories", comprising assets deriving from the enforcement of guarantees or from purchases at auction that the business intends to sell in the near future, without carrying out significant renovation work, as well as the property portfolios held by the property companies within the Group, including construction land, buildings under construction, completed buildings and property development initiatives held for sale.

Measurement
Property, plant and equipment, including investment property, are carried at cost less accumulated depreciation and any accumulated impairment losses.

Property, plant and equipment are systematically depreciated over their useful lives, identified building by building on initial recognition, on a straight-line basis, except for:

- lands acquired separately or included in the value of property, since it has an indefinite useful life. The value of land included in property is deemed to be separable from the value of buildings; the allocation of value between land and buildings is based on independent appraisals carried out solely in relating to free-standing buildings;
- works of art, since the useful life of a work of art cannot be estimated and its value normally appreciates over time;
- inventories classified in accordance with IAS 2.

If there is any evidence at a reporting date that the value of an asset may be impaired, its carrying value is compared with its recoverable value, being the higher of its fair value net of any selling costs or its value in use, as represented by the present value of the cash flows generated by the asset, as explained in paragraph 19 " Method for determining the extent of impairment ". Any adjustments are recorded in the income statement.
If the reasons for recognising an impairment loss cease to apply, the reversal of the impairment loss can be recognized but without exceeding the carrying value that the asset would have had (net of depreciation) if no impairment losses had been recognised in prior years.
Assets recognised pursuant to IAS 2 are measured at the lower value between cost and net realisable, subject to comparison of the carrying amount of each asset with its recoverable value, should evidence suggest that its carrying amount may be impaired. Any adjustments are recognised in the income statement.

Derecognition
Property, plant and equipment are derecognised on disposal, or when the assets concerned are permanently taken out of use and no further economic benefits are expected from their disposal.

Recognition of components affecting the income statement
Both the depreciation determined on a straight-line basis and any net adjustments are recorded in caption "Net adjustments to property, plant and equipment" of the income statement.

Disposal gains and losses are however recorded in caption "Gains (Losses) on disposal investment" of the income statement.

7. Intangible Assets

Recognition

Intangible assets other than goodwill are initially recognised at cost, as represented by the purchase price paid plus any directly-related costs incurred to obtain use of the assets concerned.

Goodwill may be recognised as an intangible asset when the positive difference between the acquisition cost of an equity interest (including related charges) and the fair value of the net assets acquired, including those identified as part of the Purchase Price Allocation (PPA), is representative of the investee's ability to generate income in the future (goodwill).

If the difference is negative (badwill) or the goodwill is not justified by the investee's ability to generate income in the future, the difference is recognised in the income statement.

Classification

Intangible assets are identifiable, non-monetary assets without physical form that are expected to generate economic benefits.

The qualifying characteristics of intangible assets are:

- identifiability;
- control over the resources concerned;
- expectation of economic benefits.

In the absence of any one of the above characteristics, the acquisition or internal production costs are expensed in the year incurred.

Goodwill is represented by the difference between the acquisition cost of an equity investment and the fair value, at the acquisition date, of the assets and other balance sheet items acquired.

Other intangible assets are recognised if they are identifiable and reflect legal or contractual rights.

Measurement

An intangible asset with an indefinite useful life, such as goodwill, is not amortised, but is tested periodically for impairment. An impairment test is performed annually, or whenever there is an indication of impairment. Any impairment loss is recognised in the income statement and the reversal thereof is prohibited, as reported in the below paragraph 19 "Method for determining the extent of impairment".

In contrast to the treatment of goodwill, the cost of intangible assets with a finite useful life is amortised on a straight-line basis or by use of the reducing balance method based on the flow of economic benefits expected from the asset. If there is any evidence of impairment, it is envisaged that an asset would be assessed for impairment by comparing its fair value to its carrying amount.

An estimate of recoverable value is made if there is any evidence of asset impairment at the reporting date. The impairment loss, expensed to income, is the difference between the carrying value of an asset and its recoverable amount, if the latter is lower, as explained in the below paragraph 19 "Method for determining the extent of impairment”.

Derecognition

Intangible assets are derecognised on disposal and when no further economic benefits are expected.

Recognition of components affecting the income statement

Both the amortisation charge and any net adjustments to intangible assets other than goodwill are recorded in the "Net adjustments to intangible assets" caption of the income statement.

Disposal gains and losses are however recorded in the "Gains (Losses) on disposal investments" caption.

Any impairment losses to the value of goodwill are recorded in the "Impairment losses on goodwill" caption.

8. Non-current assets and disposal groups classified as held for sale

Recognition and classification

Non-current assets and groups of assets/liabilities subject to a disposal process (tangible, intangible and financial assets) are classified in asset caption "Non-current assets and disposal groups classified as held for sale" and liability caption "Liabilities related to non-current assets classified as held for sale", when such sale is deemed to be highly likely.

Measurement

These assets and liabilities are measured at the lower of their carrying value, determined in accordance with IFRS, or their fair value, less costs to sell.

Recognition of components affecting the income statement

Income and charges (after tax) relating to discontinued operations are classified in the "Gains (Losses) from non-current assets and disposal groups classified as held for sale after tax" caption of the income statement.

9. Current and deferred taxation

Taxes for the year were calculated by applying the regulations in force at 31 December 2018, also taking into account the amendements introduced by the Decree of the Minister of Economy and Finance of 10 January 2018, which contains coordination provisions for determining the IRES and IRAP direct taxes within the scope of application of the international accounting standard IFRS 9, as well as the other changes introduced by the 2019 Finance Act, such as:

- repeal of the ACE benefit from 2018: previous surpluses are maintained. The rate for 2018 tax period was updated to 1.5%;
- deductibility over 10 years of the adjustments made for the impairment on FTA;
- postponement to 2026 of the deductibility of the impairment adjustments on loans envisaged for 2018;
- redefinition of the deductibility of convertible goodwill.

Deferred tax assets and liabilities are recorded following the positive outcome of the Probability Test required by IAS 12 relating to temporary changes and tax losses.

The prospective for forecasts is 5-years horizon, i.e. 2019-2023.

Recognition and classification

Current taxation comprises the net balance of income tax payable for the year and the current tax receivable due from the tax authorities consisting of advances and other withholding tax credits or other tax credits recoverable by future offset.

Current tax assets also include tax credits for which a request for reimbursement has been made to the tax authorities.

Deferred taxes represent the income taxes recoverable in future periods as a result of deductible temporary differences and past tax losses (deferred tax assets), and the income taxes payable in future periods as a result of taxable temporary differences (deferred tax liabilities).

Measurement

Deferred tax assets, representing the future tax benefit deriving from deductible temporary differences and tax losses carried forward, are recognised to the extent that their recovery is highly likely. The estimate is made by performing the "probability test", as required by IAS 12. This test is based on an economic forecast developed over a prospective 5-years horizon, adjusting the before-tax profit to consider future temporary and permanent changes in accordance with the tax legislation in force at the measurement date, so as to arrive at an estimate of the future tax profits able to reabsorb the deferred tax assets.

Recognition of components affecting the income statement

Changes in tax assets and liabilities are normally recorded in the "Income taxes on current operations" caption. As an exception, those deriving from transactions recognised directly in equity are treated in the same way, and those deriving from business combinations are included in the calculation of goodwill.

10. Provisions for risks and charges

Recognition

The provisions for risks and charges cover liabilities whose timing and extent are uncertain, when all the following conditions are met:

- a current obligation exists at the balance sheet date, deriving from a past event. The origin of the obligation must either be legal (deriving from a contract, regulation or the provisions of law) or implicit (arising when the business causes third parties to expect that commitments will be met, even if these do not fall into the category of legal obligations);
- a financial outflow is likely;
- the extent of the obligation can be estimated reliably.

No provision is recognised for liabilities that are only potential and not probable, but information on them will be provided in the notes to the financial statements.

Classification

This caption includes the provisions relating to long-term benefits and post-employment benefits governed by IAS 19, discussed in the below paragraph "Employee benefits” and “Provisions for risks and charges” governed by IAS 37.

Sub-caption "commitments and guarantees granted" comprises the credit risk provisions for funding commitments and financial guarantees given that are subject to the impairment rules of IFRS 9 (please refer to paragraph. 2.1, letter e); paragraph. 5.5; appendix A), as well as the provisions for other commitments and guarantees not subject to those impairment rules.

Measurement

Where the time element is significant, the provisions are discounted using current market rates. Provisions are charged to the income statement.

Recognition of components affecting the income statement

Impairment losses and write-backs of commitments and guarantees granted are recorded in caption "Net provisions for risks and charges – commitments and guarantees granted".

Provisions for risks and charges and the related write-backs, including the effects of the passage of time, are classified in caption "Net provisions for risks and charges – Other net provisions" of the income statement.

Provisions are made on the basis of the best estimate of the amount that the company would reasonably pay to settle the obligation or to transfer it to third parties at the balance sheet date. When the financial effect of time is significant and the payment dates of obligations can be reliably estimated, the provision is calculated by discounting the expected future cash flows taking into account the risks associated with the obligation; the increase in the provision due to the passage of time is recognised in the income statement.

11. Financial liabilities measured at amortised cost

Recognition

These liabilities are initially recognised at their fair value, usually corresponding to the amount collected or the issue price, plus any additional costs/proceeds directly attributable to the individual funding transaction or issue.

This caption includes:

- due to banks;
- due to customers;
- debt securities issued.

Classification

"Due to banks", "Due to customers" and "Debt securities issued" comprise the various forms of interbank and customer funding. These captions also include liabilities recognised by the lessee under finance leases, as well as funding through certificates of deposit and debt securities in issue, net of any repurchases.

Measurement

Following initial recognition, financial liabilities are measured at amortised cost using the effective interest method, except for current liabilities given the negligible effect of the time factor. Debt securities in issue are recorded net of the repurchased amount.

Derecognition

Financial liabilities are derecognised when they expire or are settled. As already highlighted, the cancellation occurs also in the presence of repurchase of previously issued securities.

The difference between the carrying amount of the liability and the amount paid to repurchase it is recorded in the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest and similar expense are recorded in the interest captions of the income statement on an accruals basis, using the effective interest method.
Costs/revenues relating to short-term payables are recorded directly in the income statement.
The difference between the carrying amount of a liability and the amount paid to acquire it is recorded in income statement caption "Gains (Losses) on disposal or repurchase of - financial liabilities".

12. Financial liabilities held for trading

Recognition

These financial instruments are recognised at their fair value on the subscription or issue date, without considering any transaction costs or income directly attributable to them.

Classification

This category of liabilities includes trading derivatives with a negative fair value, as well as derivatives with negative fair value that are embedded in complex contracts - in which the primary contract is a financial liability - but not closely correlated with them and therefore they are represented separately in the financial statements.

Measurement

All liabilities held for trading are measured at fair value.

Derecognition

Financial liabilities held for trading are derecognised on expiry of the contractual rights over the related cash flows, or when the financial liability is assigned with the transfer of substantially all the risks and benefits deriving from its ownership.

Recognition of components affecting the income statement

The criteria applied for the recognition of income components of financial assets held for trading are adopted with suitable modifications.

13. Financial liabilities designated at fair value through profit or loss

Recognition

These liabilities are initially recognised at fair value, net of transaction costs or revenues.

Classification

A financial liability is designated at fair value if one of the following conditions applies:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of liabilities, or of assets and liabilities, managed together whose performance is measured at fair value, according to a documented risk-management strategy.

Measurement

Subsequent to initial recognition, these liabilities continue to be measured at fair value according to the methods described below.

The accounting treatment required by IFRS 9 for such liabilities requires that changes in fair value associated with the creditworthiness of the issuer must be recognised as a contra-entry to a specific shareholders' equity reserve. The standard also establishes that the amount recognised in the specific shareholders' equity reserve must not be "released" to the income statement, even if the liability is settled or expires.

Derecognition

"Financial liabilities designated at fair value" through profit or loss are derecognised when they expire or are settled.

The repurchase of debt securities issued in prior periods results in their derecognition.

The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest are recorded in the interest captions of the income statement on an accruals basis.

The results of the assessment (for components other than the creditworthiness of the issuer) are booked to the caption "Net income from financial assets and liabilities measured at fair value through profit or loss - financial assets and liabilities designated at fair value", as are the gains or losses arising on their settlement.

14. Currency transactions

Recognition

On initial recognition, foreign currency transactions are recorded in the reporting currency, by translating the foreign currency amounts using the exchange rates prevailing on the transaction dates.

Measurement

At each reporting date, the amounts originally denominated in a foreign currency are measured as follows:

- monetary items are translated using the closing rate for the period;
- non-monetary items carried at historical cost are translated using the exchange rate on the date of the transaction;
- non-monetary items carried at fair value are translated using the closing rate for the period.

Classification

These comprise all assets and liabilities not denominated in euro.

Derecognition

The criteria applying to the balance sheet captions concerned are used. The exchange rate applying on the settlement date is used.

Recognition of components affecting the income statement

Exchange differences deriving from the settlement of monetary items or from the translation of monetary items using rates other than the initial translation rate, or the closing rate at the end of prior periods, are recorded in the income statement for the period in which they arise.

When gains or losses relating to a non-monetary item are recorded in shareholders' equity, the related exchange differences are also recorded in shareholders' equity. Conversely, when gains or losses are recorded in the income statement, the related exchange differences are also recorded in the income statement.

15. Other information

Treasury shares

Any treasury shares held following repurchase are stated at purchase cost and shown in "Treasury shares" caption with a negative sign. Profits or losses deriving from their subsequent sale are recorded as changes in shareholders' equity in the "Share premium reserve" caption.

Leasehold improvement expenditures

These costs have been classified as "Other assets", since they cannot be recorded as part of "Property, plant and equipment", as required by Bank of Italy instructions. The related amortisation is recorded in the "Other operating expense (income)" caption.

16. Income statement: Revenues

Revenue from contracts with customers is recognised, as required by IFRS 15, at an amount that reflects the consideration that the Parent Company deems it is entitled to in exchange for the transfer of goods or services to the customer. Revenues may be recognised:

- at a specific point-in-time, when the entity fulfils the obligation to transfer the promised goods or services to the customer, or
- overtime, as the entity fulfils the obligation to transfer the promised goods or services to the customer.

In this context, goods are transferred when, or over the period in which, the customer obtains control over them.

The price of the transaction is the amount of consideration that the entity is entitled to receive in exchange for the transfer to the customer of the promised goods or services, excluding any amounts collected on behalf of third parties (e.g. sales taxes). In order to determine the price of the transaction, the Bank considers the contract terms and conditions and its normal business practices, including all the following elements to the extent applicable:

- variable consideration, if it is highly likely that the amount will not be adjusted in future;
- restrictions on the estimates of variable consideration;
- existence in the contract of a significant financial component;
- non-monetary consideration;
- consideration payable to the customer.

The Bank has identified types of revenue linked to services provided to customers only as regards the content of "Commissions income" caption; the breakdown of revenue, information on execution of the

performance obligation, the possible existence of variable fees and the related assessment methods, as well as the additional disclosure required by IFRS 15 are contained in Part C of the Explanatory Notes to the 2018 consolidated financial statements.
BPER Banca has not identified significant situations in this regard:

- to fees relating to various performance obligations given to customers;
- costs incurred and suspended to obtain and fulfil contracts with customers.

Other types of revenue, such as interest and dividends, are recognised applying the following criteria:

- interest on instruments measured at amortised cost is calculated using the effective interest method;
- dividends are recognised when the shareholders' right to receive payment is determined.

17. Income statement: Costs

Costs are recognised in the income statement on an accruals basis; as already highlighted, no costs were identified for obtaining and fulfilling contracts with customers to be recognised in the income statement in a manner correlated with the related revenue.
Marginal costs and revenues directly attributable to the acquisition of an asset or issue of a financial liability measured at amortised cost are recognised in the income statement together with the interest on the financial asset or liability using the effective interest method.

18. Employee benefits

Classification
Employee benefits, excluding short-term amounts such as wages and salaries, comprise:

- post - employment benefits;
- other long-term benefits.

Post-employment benefits are, in turn, sub-divided into defined-contribution plans and defined benefit plans, depending on the nature of the benefits envisaged:

- under defined contribution plans, the employer makes fixed contributions and has no legal or constructive obligation to make further contributions if the fund does not hold sufficient assets to pay all employee benefits;
- defined benefit plans are all post-employment benefit plans other than defined contribution plans.

Pursuant to Law 296 dated 27 December 2006 (2007 Finance Law):

- the employee termination indemnities earned from 1 January 2007 by is deemed to be a defined contributions plan for which no actuarial calculations are required;
- the employee termination indemnities already earned at the dates indicated above, on the other hand, continues to be treated as a defined benefits plan, although such benefits have already been fully earned. As a consequence, the actuarial value of the liability must be redetermined at every accounting date subsequent to 31 December 2006.

Other long-term benefits comprise employee benefits that are not due entirely within twelve months of the end of the year in which employees accumulated their right to them.

Recognition and measurement

The value of a defined-benefit obligation is represented by the present value of the future payments necessary to settle the obligations deriving from work performed by employees in the current and prior years.

This present value is determined using the "Projected Unit Credit Method".

The employee benefits included as other long-term benefits, such as long-service bonuses that are paid on reaching a pre-determined level of seniority, are recorded for an amount determined at the reporting date using the "Projected Unit Credit Method".

Employee termination indemnities are recorded as a separate liability, while the other post-employment benefits and long-term benefits are recorded among the provisions for risks and charges.

Recognition of components affecting the income statement

Service costs are recorded as staff costs, together with the related accrued interest.

Actuarial gains and losses (remeasurements) relating to post-employment, defined benefit plans are recorded in shareholders' equity in the year they are identified. These actuarial gains and losses are reported in the "Consolidated other comprehensive income", as required by IAS 1.

The actuarial gains and losses (remeasurements) relating to other long-term benefits are recognised in full as part of staff costs in the year that they arise. On this last point, in 2012 BPER Banca has standardised the orientation expressed by the National Institute of Actuaries in Circular 35 dated 21 December 2012, valid with effect from the measurements carried out at 31 December 2012. This document confirmed the guidelines already issued with the previous Circular dated 22 May 2012, in which it was expected that the component represented by interest cost had to be calculated using the rate of the curve corresponding to the duration of the liability, instead of the 1-year rate of the same curve used up to 31 December 2011.

19. Method for determining the extent of impairment[18]

A. Financial assets

Impairment models

The calculation of adjustments of financial assets according to the expected credit losses model envisaged by the new principle is the result of a complex process of estimates that includes numerous subjective variables regarding the criteria used to identify a significant increase in credit risk, for the purpose of allocating financial assets to the stages provided for in the Standard; it also involves defining models for measuring expected losses, with the use of assumptions and parameters, which take into account current and future (or "forward-looking") macroeconomic information including, for non-performing exposures, possible sales scenarios where the Bank's strategy envisages recovery of the loans through their assignment.

In accordance with the instructions contained in the standard, the impairment model adopted by BPER Banca is based on the concept of "forward-looking" evaluation, i.e. on the concept of expected loss, whether calculated for the next 12 months (Stage 1) or for the residual life of the instrument (Stage 2 and Stage 3), based on the concept of a Significant Increase in Credit Risk (SICR) with respect to the date

[18] As required by document No. 2 issued with joint signature by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009

of origin of the instrument. According to the Expected Credit Loss model, the losses must be recorded not only on the basis of objective evidence of impairment losses already manifest as of the reporting date, but also on the basis of the expectation of future losses in value not yet manifest as of the reporting date, and must reflect:

- the probability of the occurrence of various scenarios;
- the discounting effect using the effective interest rate;
- historical experiences and current and future assessments.

To this end, the Parent Company has adopted a model for calculating the expected lifetime loss of the financial instrument, applied to instruments classified in Stage 2, which takes into consideration the following multi-period parameters:

$$LtEL_t = \sum_{t=1}^{T} PDF_t \text{ x } LGD_t \text{ x } EaD_t \text{ x } D_t$$

where:

- PDF_t is the Probability of Default Forward between 1 and t,
- LGD_t is the Loss Given Default at a forward default event between 1 and t,
- EaD_t is the Exposure at Default at time t,
- D_t is the discounting factor for the expected loss at time t, up to the current reporting date, determined using the effective interest rate,
- T is the contract maturity date.

The calculation parameters contained in the Lifetime Expected Loss formula, as they are multi-period, they evolve over time, or in the time frame coinciding with the expected life of the exposure that must be evaluated. In particular, the criteria adopted by the Bank envisage that:

- the EaD evolves in accordance with the amortisation plans, if they exist, and with the contractual repayment plans in general, possibly amended by "behavioural" hypotheses (e.g. loans with prepayment options);
- the PD and LGD parameters evolve as a result of the changes in the credit quality observed over time and represented by the transition or migration matrices (e.g. migrations between rating classes or for situations such as Danger Rate).

The calculation of the expected 12-month loss (applied to instruments classified in Stage 1) can therefore be considered as the sum of expected multi-period losses for the first prospective year, or less if the deadline is within 12 months, of the Life Time Expected Loss:

$$EL = EaD \text{ x } LGD \text{ x } PD \text{ x } D$$

where:

- EaD is Exposure at Default,
- LGD is the Loss Given Default,
- PD is the 12-month Probability of Default,
- D is the discounting factor for the expected loss, discounted for 12 months from the first period subsequent to the reporting date.

Finally, for loans already classified in Stage 3 of an amount lower than the threshold set in the Bank's internal regulations for analytical assessment, a collective write-down is adopted by applying the following formula:

$$LtEL_t = EaD \times LGD$$

where:

- EaD is Exposure at Default,
- LGD is the loss resulting from a default event, which can differ according to the administrative status at the calculation date.

For the purposes of a homogeneous application of the impairment model described to the financial asset portfolios of the Bank, the same methods of calculating the value adjustments described above are applied, in addition to the on- and off-balance sheet scope of the loans, also to the portfolio of debt securities. With regard to the latter portfolio, it should be noted that, where the risk information deriving from internal models (PD and LGD) is missing, external information from qualified info providers was used.

The Expected Credit Loss (ECL) model adopted by BPER Banca is based on the use of risk parameters estimated for regulatory purposes (the disclosure of which is given in Part E of the notes, to which reference should be made), appropriately amended to guarantee complete consistency with the requirements of IFRS 9. The main changes concerned the following aspects:

- introduction of "point-in-time" elements in the regulatory parameters estimated according to "through-the-cycle" logic;
- implementation of components based on forecast information (scenario analysis);
- extension of the time horizon (multi-year) of the credit risk parameters.

Estimate of the PD parameter

The introduction of a Lifetime Expected Loss model implies the need to estimate the probability of default not only in the twelve months following the reporting date, but also in subsequent years.
For this purpose, multi-year PD dynamics accumulated by rating class based on the product among the matrices of Point-In-Time (PIT) migrations conditioned to the expected economic cycle were defined for each model of the internal rating system.
More specifically, the cumulative PD curves are determined, for the first three years from the reporting date, by multiplying future PIT matrices derived from the conditioning of PIT matrices, according to the application of satellite models, to different weighted macro-economic scenarios with the relative probabilities of occurrence. From the fourth year onwards, long-term matrices Through-The-Cycle (TTC) are used, obtained as the average of historical PIT migration matrices.
Furthermore, specific PD curves are defined for the mortgage loan component.

Estimate of the LGD parameter

The need to implement a long-term approach, also through the inclusion of “forward looking” factors has involved the removal of the corrective components required for regulatory purposes (“down turn” and indirect costs) and the conditioning to the economic cycle of elements such as the value of the property guarantees and, via satellite models ("Merton method"), the loss rate of unsecured bad positions and migrations between default states.

EAD Estimate

The concept of exposure (EAD) considered in the various future payment moments foreseen in the amortisation plan is based on the residual debt, increased by any unpaid or overdue instalments.
With reference to off-balance sheet exposures (guarantees and margins), EAD is determined by applying a credit conversion factor (CCF) to the nominal value of the exposure.

As required by IFRS 9, the Parent Company's impairment model is reflected in the risk parameters used to calculate the ECL (and the stage assignment explained below):

- current conditions in the economic cycle (Point-in-Time risk measures);
- forward-looking information about risks, considering the dynamics of the (external) macroeconomic factors that affect the lifetime expected loss;
- the probability that three possible scenarios might occur (Probability weighted).

Therefore, all the risk parameters (with the exception of Exposure at Default, for which no significant relationship with macro-economic variables has been found) are conditioned by macro economic scenarios.

With reference to the multiple prospective scenarios used to estimate the ECL, BPER Banca has decided to use the same scenarios used by the Bank's main processes such as Planning and Budget, RAF and Lending Policies, limiting the forward-looking time horizon to a maximum of 3 years following the date of each assessment.

On the basis of the IFRS Foundation's explanation in the ITG entitled "Inclusion of cash flows expected from the sale on default of a loan" and in the "Guidelines for banks on non-performing loans (NPL)" published by the European Central Bank in March 2017 for the pro-active management of non-performing loans, it was felt that including forward-looking factors in scenario evaluations had implications in terms of "measurement", also for impaired assets (Stage 3). Consequently, the BPER Banca Group made an assumption based on a "disposal scenario" in line with the Group's "2018-2022 NPE Plan" as a possible way to recover exposures and as an alternative to internal recovery ("workout scenario").

In application of the 2018-2022 NPE Plan and the 2018-2020 NPE Strategy of the BPER Banca Group, the measurement of loans in Stage 3 is therefore carried out by weighting the estimated realisable value of these positions according to two possible scenarios, i.e. “workout” and “disposal” and applying a probability of occurrence to them. To this end, the Parent Company has adopted a model for calculating the multi-scenario net value of impaired financial assets, which considers the following parameters:

$$NBV_{NEW}=FMV \text{ x Disposal Scenario } \%+NBV \text{ x } (1\text{-Disposal Scenario } \%)$$

where:

- FMV is the best estimate of the "disposal" price,
- Disposal Scenario is the probability of sale associated with the loan,
- NBV is the net book value of the loan according to internal management logic.

The best estimate of the disposal price of individual positions was made considering the possible market price and, where not available, as the best estimate of the sale value based on adequately updated market parameters (e.g. discount rates, recovery times and costs), and the characteristics of the individual exposures.
The probability of sale associated with the loan was determined taking into consideration the expected date of the disposal (decreasing probability of sale as the estimated time of transfer increases), the type of disposal envisaged and the administrative status in which the positions are classified.

Criteria for the classification of financial instruments in Stages

The Stage Assignment Framework adopted by the BPER Banca Group establishes the requirements for classifying financial instruments with reference to the actual "deterioration" of credit risk, consistent with the requirements of IFRS 9, applying an approach that is consistent among the various portfolios and within the Banking Group. This classification in stages of increasing risk is determined using all the significant information contained in Group processes, as supported where applicable by updates and the credit monitoring processes.
Specifically, financial assets are classified into three stages of risk, each of which applies a different method to calculate the related impairment adjustments, while consistently applying the "Expected Loss" or "Expected Credit Losses" (ECL) concept:

- Stage 1: comprises all performing loans (originated or purchased) without any "significant increase in credit risk" (SICR) since initial recognition; the impairment adjustments reflect the expected losses that might arise on default within the next 12 months *(12-month ECL)*;
- Stage 2: comprises all performing loans with a "SICR" since initial recognition; the impairment adjustments reflect the expected losses that might arise on default at any time in the life of the financial instrument *(lifetime ECL)*;
- Stage 3: comprises all accounts in default at the reporting date, the impairment adjustments for which consider the lifetime ECL.

In particular, regarding the classification of loans in Stage 2, it is essential to identify correctly the SICR criteria used in the stage assignment process. For this purpose, the Parent Company has structured a framework designed to identify the increase in credit risk before the credit lines granted show clear signs of impending default.

While the distinction between performing and non-performing is made at counterparty level, classification into stages of risk is carried out at account level. In order to distinguish loans within the performing portfolio that do not show SICR (Stage 1) from those that do (Stage 2), the Parent Company has decided to use all the following available significant factors as criteria for the analysis of credit quality:

- Relative quantitative criteria, such as the definition of internal thresholds of change between the PD identified on originating the contractual relationship and the PD at the measurement date, that identify a significant increase in credit risk. In this context, in order to identify the changes in PD and the related thresholds, the framework adopted by the Parent Company makes reference to the Lifetime PD curves, which contain forward-looking information, so that due consideration is given to macroeconomic factors and other elements, such as market type, sector of activity, type of financial instrument and the residual duration of the instrument concerned. The PD deltas defined and the related SICR thresholds have been reduced to a downgrade rating system based on comparison, differentiated by ageing clusters, between rating classes originating with respect to rating classes with a given valuation ("notching" between rating classes) ;

- Absolute qualitative criteria that, via the identification of a risk threshold, identify the transactions to be classified in Stage 2 based on the specific risk information available. This category includes the adverse events impacting credit risk that are identified by the Early Warning credit performance monitoring system ("watchlist"). In order to avoid overlapping, some qualitative counterparty information has not been included among the staging criteria, as it is already considered in the rating models;
- Backstop indicators, including:
  - the presence of exposures with a significant past due balance for more than 30 days;
  - the presence of a regulatory probation period of 24 months for forbearance measures;
  - the absence of a rating or the presence of a default status at the credit origination date.

To date, BPER Banca has not envisaged the possibility of a manual override of the classification resulting from application of the staging rules.

For a homogeneous application of the impairment model between portfolios of BPER Banca, the classification criteria in stages for the portfolio of debt securities were taken, where possible, from the staging logic applied to the loan portfolio. Specifically, the Parent Company has defined a staging model for debt securities based on the following criteria:

- management of an “inventory” of debit securities for staging purposes, applying the FIFO method to relieve sold tranches from the portfolio;
- model for identifying significant increases in credit risk, in order to classify debt securities in Stage 1 or Stage 2, based on the following criteria:
  - primary use of the internal rating model and, if unavailable, reference to an external rating agency;
  - the determination of the rating downgrade threshold based on a comparison of rating classes at origination with rating classes at the measurement date (notching between rating classes);
- classification in Stage 3 of all debt securities in default at the reporting date (or transition to the standard), applying the definition of default contained in the ISDA document entitled “Credit Derivatives Definition” of 2003.

The standard also envisages the possible use of a practical expedient, intended to reduce the implementation burden for transactions that, at the measurement date, have a low credit risk and can be classified in Stage 1 without first carrying out the SICR test. The standard considers an asset to have a low credit risk if the debtor is well able to meet the short-term cash flow requirements deriving from its contractual obligations and adverse changes in the long-term economic situation might reduce that ability, but not necessarily.
BPER Banca has decided not to adopt this practical expedient.

Should the conditions giving rise to the SICR cease to apply at a subsequent measurement date, the financial instrument is once again measured with reference to the 12-month ECL, which might result in a write-back to the income statement. It should be noted, however, that in the event of reclassification of a loan from non-performing (Stage 3) to performing, the Bank does not deem necessary a forced classification in Stage 2 with the application of a Lifetime ECL, since no probation period has been set for the return from Stage 3 to Stage 1. In this case, the stage assignment approach mentioned previously will be valid. In line with this approach and with the regulatory requirements, also in the event of a return from Stage 2 to Stage 1, probation periods are not envisaged as the combination of the various SICR rules implemented already permits an adequate level of prudence in the case of a return to Stage 1. The only exception to this relates to any contractual changes and/or renegotiations of financial instruments, for which the Parent Company envisages classification as "forborne", which acts as a Stage 2 trigger and therefore requires the application of Lifetime ECL to the credit line. Furthermore, as specified in the "Group Regulation for the management of problem loans", the official rating that is valid on the day that a loan is classified as forborne cannot be improved until the observation period of twelve months has gone by, if the exposure is classified as non-performing forborne, and twenty-four months, if the exposure is classified as performing forborne.

B. Intangible assets with an undefined useful life

As regards testing goodwill for impairment, when preparing the financial statements, the BPER Banca carries out specific impairment tests on an annual basis as required by the accounting standards, normally at 31 December of each year, unless there have been changes or there are completely new situations that are likely to have had a material impact on the carrying amounts of assets and on the assumptions used the previous time the assets were measured (particularly the assumptions used to calculate the discount rate (KE) and profit forecast (budget and business plans) of the Companies or CGUs whose goodwill is to be tested, i.e. associates).

Paragraph 9 of IAS 36 requires an assessment to be made on each accounting reference date about whether or not an asset may be impaired; in addition, paragraphs. from 12 to 14 of IAS 36 describe certain situations that might be evidence of impairment.

In the case of goodwill, the cash generating unit (CGU) to which it has been allocated is tested for impairment. Any reduction in the value of goodwill is based on the difference between the recovery value of the CGU (Value in use) and its carrying amount if the latter is higher, up to the amount of goodwill on the books. The recoverable amount is the higher of the cash-generating unit’s fair value, net of any selling costs, or its related value in use. The difference between the book value and the value in use is recognised in the income statement as "Net adjustments to intangible assets”.

C. Equity investments

The Bank's equity investments are also subjected to impairment testing. In particular, the impairment test is performed at least on an annual basis and involves the determination of recoverable value, being the greater of fair value less selling costs or value in use.

Value in use represents the present value of the cash flows expected to derive from the assets subject to impairment testing; this involves estimating the cash flows expected from the asset, possible changes in the timing and/or extent of such flows, the time value of money, and the price that remunerates the specific risks associated with the asset, together with such other factors as the size of the market for the asset, which might affect operators’ assessments of the quality of the expected cash flows.

The estimate of value in use, being the present value of the cash flows expected to derive from the asset determined using a Discounted Cash Flow (DCF) method such as the DDM configured for banks, Excess Capital Method, identifies the value of a business in relation to its ability to generate cash flow and thus its financial solidity.
Value in use is therefore determined by discounting the cash flows identified in the business plan, the time horizon for which must be sufficiently long for "fair" forecasts to be made; in financial practice, the time period covered by the forecast flows is at least three years. Where business plans are not prepared directly by the investees, long-term inertia-based plans are developed based on the companies' results and financial position, as well as market projections.
Shareholders' equity and earnings performance are only referred to on a residual basis, for the measurement of minority equity investments.

D. Property, plant and equipment and intangible assets with a defined useful life

Property, plant and equipment and intangible assets with a defined useful life are subjected to impairment testing if there is evidence that their carrying amounts may no longer be recoverable. Recoverable value is determined with reference to the fair value of the property, plant and equipment or intangible asset, net of disposal costs, or to its value in use if this can be determined and exceeds fair value.
The fair value of property is usually determined by appraisal. Impairment is only recognised if fair value less costs to sell, or value in use, is lower than the related carrying amount for an extended period.
The valuation of the individual property is developed according to the Market Value criterion and includes the determination of the market value of the asset and the related land on which it develops. To determine the market value, in relation to the characteristics, intended uses and potential, one or more of the following approaches are adopted:

- comparative method;
- capitalization method;
- cash flow discounting method.

If valuations are negative, showing impairment losses with respect to the carrying amount, the assets are written down as a result.
In order to identify a single method of identifying the "extended period" that triggers impairment in the presence of a market value that is lower than the net carrying amount, reference thresholds have been identified (divided by type of property and use and refer to the negative change in market value compared with the net carrying amount), which indicate potentially critical situations; if exceeded, they lead to a supplementary investigation, which could result in the assets being written down.

Any write-down must be carried out up to the total market value and attributed primarily to the property element.

20. Business combinations: purchase price allocation

Fair value of the purchased assets and liabilities

When accounting for a business combination, the Bank determines the fair value of the assets, liabilities and contingent liabilities purchased. Such amount is only identified separately if, at the acquisition date, the following criteria are met:

- in the case of assets other than intangible assets, it is likely that the purchaser will obtain any future economic benefits;
- in the case of liabilities other than contingent liabilities, it is likely that their settlement will require the use of resources capable of producing economic benefits;
- in the case of an intangible asset (IAS 38) or a contingent liability (IAS 37), the related fair value can be measured in a reliable manner.

Identification of intangible assets

Depending on the characteristics of the business acquired, an analysis is performed to identify any unrecorded assets that should be recognised separately, for example customer-related intangibles or client relationship, and marketing-related intangibles (brand name).

Customer-related intangible assets: these are recognised as intangible assets when they are separable and can be measured reliably, even though they may not always derive from contractual rights such as marketing-related intangibles.

This category includes:

- client lists: these comprise all the information held about clients (database containing: names, addresses, transaction history, demographic information etc.) that has a recognised market value, on condition that it can be rented or exchanged; such information cannot be treated as an intangible asset if it is considered so confidential that the combination agreement forbids its sale, rental or exchange in other forms;
- contracts with clients and the client relationships established as a consequence: contracts with clients satisfy the contractual/legal requirement for the recognition of an intangible asset, even if the combination contract forbids their sale or transfer separately from the business acquired; this category also includes long-established contacts with clients, even if there is no formal contract, and all other non-contractual relationships that can be separated and measured on their own;
- non-contractual relations with clients: this category includes all intangible assets that, being separable and transferable independently of the business acquired, may be valued individually and recognised as intangibles.

Marketing-related intangible assets: trademarks, commercial names, service brands, collective names and quality marks that derive from contractual rights or which are usually separable. Such assets reflect the collection of productive conditions that are economically correlated with the commercial name, the relationship with the market, and the reach of distribution.

An intangible asset must be measured initially at cost. If acquired as part of a business combination, its cost is its fair value at the time control is obtained.

Fair value, in this context, reflects market expectations about the likelihood that the owner will obtain the future economic benefits deriving from the asset. The entity must assess the probability of obtaining

future economic benefits using reasonable and justifiable assumptions that reflect Management's best estimate of the economic conditions that will apply over the useful life of the asset.
The accounting standards do not specify the methodology to be used to measure the fair value of such assets but, among the possible alternatives, preference is given to those making reference to observable market prices. Failing this, the accounting standards allow the use of valuation models that include assumptions which are generally used and recognised by the market.
The fair value of customer-related intangible assets is determined by discounting the profit flows generated by deposits over the expected residual period of the relationships outstanding at the time of acquisition.
In general, brands are valued using market methods as well as methods based on the flows deriving from their management or a royalty recognised by the market.

Determination of goodwill

Goodwill represents the unallocated amount of purchase cost, being the excess of the cost of the business combination over the net fair value of the identifiable assets, liabilities and contingent liabilities acquired (including those intangibles and contingent liabilities that satisfy the requirements for recognition in the financial statements).
This represents the consideration recognised by the purchaser in exchange for the future economic benefits deriving from assets that cannot be identified individually and recognised separately. In substance, this includes the value of the expected synergies, the corporate image of the company acquired, its know how, its professionalism, its procedures and other non-specific factors.
The goodwill acquired as a result of a business combination is not amortised. The Group verifies each year, or whenever there is evidence of possible impairment, that the recorded value of goodwill has not been impaired (impairment test).
If the residual amount allocated to the purchase value is negative, it is recognised as a benefit in the income statement under "Badwill" caption.

A.3 – Information on transfers of financial assets between portfolios

No financial assets were reclassified during the year.

A.4 – Information on fair value

Qualitative information

A.4.1 Fair value Levels 2 and 3: valuation techniques and inputs used

Techniques for the determination of fair value

Paragraph 9 of IFRS 13 defines fair value as *"the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date"*.
When determining whether the fair value at initial recognition equals the transaction price, it is necessary to take into account factors specific to the transaction and to the asset and liability. It follows that, if the transaction price (consideration) differs from fair value, the difference should be recognised in the income statement.
It is also established that fair value includes transport costs, but excludes transaction costs.
In addition to the measurement of stand-alone financial instruments at fair value, the Bank may also measure groups of similar assets and liabilities at fair value, where it is permitted to do so.
Measurement at fair value assumes that the transaction to sell an asset or transfer a liability takes place in a principal market, defined as the market with the greatest volume and level of trading for the asset or liability to be measured. In the absence of a principal market, reference should be made to the most advantageous market, which is the market that maximises the amount that would be received to sell an asset or minimises the amount that would be paid to transfer a liability, after taking into account transaction costs.

Identification of active markets
The process for measurement of fair value starts with determining whether there is an active market with regularly available quoted prices.

In order to consider a market as active, the Parent Company takes account of the following factors:

- number of participants;
- frequency of price quotation/update;
- the presence and size of a bid-ask spread;
- trading volume.

Whether a financial instrument qualifies as traded on an active market can only be determined through extensive research of all the existing markets in order to identify the principal or most advantageous

market, taking into account "all information that is reasonably available" (IFRS 13 § 17). This needs to be done for each financial instrument for which the fair value has to be determined.
To determine whether, based on the information that is available, a market can be considered to be active, the Bank assesses the importance and relevance of factors that include the following:

- low level of recent trading activity;
- available prices are not current;
- available prices vary significantly over time or between market-makers;
- it can be demonstrated that indices that previously had a close correlation with the fair value of an asset or a liability no longer have this correlation based on recent indications of fair value of that asset or liability;
- presence of a significant increase in the embedded risk premiums, or default rates, of the transactions being considered or in quoted prices;
- presence of a wide bid-ask spread or of a significant increase therein;
- significant decline in the level of trading activity;
- lack of publicly available information.

If compliance with the necessary requirements is verified periodically, a financial instrument can be considered to be traded on one or more active markets. Within the possible markets, a search is undertaken to identify the principal market or, in the absence of a principal market, the most advantageous market.
Fair value is determined with reference to:

- the closing bid price for assets held or liabilities to be issued;
- the closing ask price for liabilities already issued or assets to be purchased.

Closing bid and ask prices are the bid and ask prices referred to by the entity that regulates the market on which an instrument is traded.
In the absence of reference bid and ask prices, the last price set by the entity which regulates the market could be taken, provided that this price has the following features: advertising, liquidity, prompt adaptation to changing conditions and availability as envisaged by the standards.
For assets and liabilities with offsetting positions in market risks, the average of the bid and ask price can be used, provided that this is commonly used by market participants and is consistent with the objective of measuring fair value in accordance with IFRS 13.

In the case of open-ended mutual funds, BPER Banca considers the Net Asset Value (NAV) as the best expression of the fair value of the instrument. No adjustments are made to the NAV to take into account the interval between the date redemption is requested and the actual redemption date (considered insignificant).
In the case of listed closed-end funds, the fair value is derived from the market quotation.
In order to take into account certain specific problems of unlisted closed-end funds, such as the underlying's lack of liquidity, the absence of a liquid market and the specificity of the underlying, the most up-to-date NAV available (usually referring to the end of the previous half year) may be adjusted to take into account the components of credit risk, risk of non-disinvestment and market risk.
With regard to foreign shares, if these are listed on regulated stock exchanges, then they are considered to be traded in an active market. The price provided for this type of share, if the bid-ask spread is not available, is the last price. On the contrary, equity trading in OTC markets is not considered to take place in an active market.

Listed derivatives are measured using the last prices supplied by the clearing house.

Financial instruments listed on non-active markets are considered as "unlisted" instruments.

With regard to bonds not listed on regulated markets, in view of the role played by the Bank in the institutional market for financial instruments, the Bloomberg Professional system has been identified as an active market for front office operations, if the prices recorded therein have the appropriate features mentioned above.

Identification of the fair value of financial instruments not listed on active markets

If the market for a financial instrument does not meet the conditions required to qualify as an active market, the fair value of the instrument is determined through the use of valuation techniques.
Valuation techniques indicated by international accounting standards are:

- market approach: this uses prices and other relevant information generated by market transactions involving comparable assets;
- cost approach: this reflects the amount that would be required currently to replace the service capacity of an asset ("current replacement cost");
- income approach: this converts future cash flows or income and expenses to a single current amount.

For Bank purposes, the following valuation techniques are valid:

- market approach for identical or comparable assets and liabilities;
- use of matrix pricing;
- present value techniques;
- option pricing models;
- the multi-period excess earnings method.

These techniques may be used if:

- they maximise the use of market data, while minimising the use of Bank estimates and assumptions;
- they reasonably reflect how the market expects the price to be determined;
- the fair value measurement is determined on the basis of the value indicated by current market expectations and the risk and yield of the instrument being valued;
- they reflect the assumptions that market participants would use when pricing an asset or liability;
- they are consistent with commonly accepted methodologies;
- they are periodically subjected to verification and calibration to verify their capability to determine a fair value in line with actual trading prices for the instrument being valued.

In summary, the Group's preference is to adopt a market approach for the determination of fair value, even if an active market does not exist. Only in the event that it is not possible to apply the above valuation techniques, quantitative valuation methods may be used.

It is apparent that regulations governing valuation techniques do not authorise a neutral and objective use of quantitative methods. However, their use should be understood to be the development by the Group of an internal process that matches the fair value measurement with a price at which an instrument could be exchanged in a market transaction at current conditions.

As part of this process, it would thus appear necessary to give priority to the use of recent transaction prices (prices on non-active markets, prices provided by third-party participants), or the prices of similar instruments. In this context, quantitative methods can provide a benchmark to supplement, or correct, any differences between the instrument being valued and that observed in the market, or to reflect the impact of changes in the economic environment on market transactions.

Valuation techniques used to measure fair value are applied consistently. A change in a valuation technique or its application is appropriate if the change results in a measurement that is equally or more representative of fair value in the circumstances. That might be the case if any of the following events take place:

- new markets develop;
- new information becomes available;
- information previously used is no longer available;
- valuation techniques improve;
- market conditions change.

Valuation techniques

Specific techniques are applied in relation to particular types of financial instrument, in order to correctly identify their characteristics.

Equity investments

For all unlisted shares, the valuation methodologies set out above apply. Failing this, they are measured at cost.

For unlisted shares, other than equity investments, the methods used the most for fair value measurement fall into the following categories:

- discounted cash flow;
- the use of multiples.

These methods require the availability of a significant amount of data to estimate future cash flows generated by a company or to identify the correct market multiples. They use uncertain estimates of various parameters (cash flows, dividends, beta, risk premium, cost of capital, asset values, etc.), the measurement of which is subjective and which do not always reflect market conditions. This leads to a valuation of a distribution of theoretical fair values. Where it is not possible to reliably determine the fair value with the above methods, securities and instruments are measured at cost.

As an alternative to the valuation techniques above, the value of the share may be based on book value, computed as the ratio between equity and the number of issued ordinary shares.

Plain vanilla debt securities

With regard to plain vanilla debt securities, the valuation technique applied is discounted cash flow analysis. There are three steps:

- mapping of cash flows: recognition of the cash flows expected from the instrument and their distribution of the duration of the contract;
- selection of the discounting curve, having regard for the risk factors affecting the cash flows;
- calculation of the present value of the instrument at the measurement date.

Having identified the cash flows, the appropriate discounting curve is calculated using the discount rate adjustment approach, which takes account of both rate risk and credit risk. This information is used to calculate the instrument's fair value, as the sum of the present values of its cash flows.

Structured debt securities

Given the non-determinant nature of the future cash flows from structured securities, their fair value is calculated by breaking them down into a portfolio of elementary instruments using the replica portfolio technique. The fair value of the structured product is obtained by summing the individual values obtained for elementary instruments comprising the product.

As from 2013, the Bank started issuing protection certificates. They combine two financial instruments:

- a zero coupon bond;
- an option which seeks to replicate the performance of an underlying asset and to protect the amount invested, whether partially or completely.

The methods used for the calculation of fair value are similar to those described above for structured debt securities.

Derivatives

The fair value of derivatives is determined using quantitative models that differ depending on the type of instrument concerned. In particular, a distinction is made between:

- Over-The-Counter (OTC) options represented by either stand-alone options or options embedded in complex financial instruments. Pricing techniques include:
  - options with payoff that can be calculated precisely, priced using models generally accepted by the market (e.g. Black & Scholes and variants);
  - options with payoff that cannot be calculated precisely, usually priced using "Montecarlo" simulation techniques;
- Interest Rate Swaps (IRS): the fair value of IRS is determined using net discounted cash flow analysis. In the case of a structured IRS, the instrument is decomposed into a plain component and an optional component ("building blocks"), so that their separate values can be determined and summed;
- Forward Outright contracts: the fair value measurement of FX Forward Outrights is given by the amount to be traded forward times the strike price, adjusted for the current difference between the spot exchange rate and the forward exchange rate.
- Credit default swaps (CDS): for the fair value measurement of CDS, the Standard ISDA model (v1) developed by Markit Group Ltd. is used

Balance sheet items measured at amortised cost

For financial instruments measured at amortised cost, the fair value is determined for the sole purpose of providing appropriate information in the financial statements.

The fair value of loans with a contractual duration of less than twelve months is estimated to be their book value; the fair value of other loans is obtained by discounting the contract cash flows, net of the expected losses determined with reference to the credit rating of the borrower, using the corresponding rate curve for their maturities.

Credit Valuation Adjustment (CVA) and Debit Valuation Adjustment (DVA)

Current regulations state that the pricing of a derivative, in addition to being based on market factors, should also reflect the credit risk of the counterparty determined by a Credit Valuation Adjustment (CVA) and a Debit Valuation Adjustment (DVA).

In order to o assess the credit risk of the counterparty, BPER Banca adopts the following methodology.

The term Credit Valuation Adjustment (CVA) refers to an adjustment in order to properly reflect the credit risk of the derivative counterparty made on the valuation of an OTC derivative (with a positive current exposure) transaction entered into by the Bank with an external counterparty and may be considered to be the market value of a potential loss amount derived from changes in market prices, due to a worsening of the credit or default risk of the counterparty.

Conversely, the term Debit Valuation Adjustment (DVA) refers to an adjustment in order to properly reflect the Bank's own default risk made on the valuation of an OTC derivative (with a negative current exposure) entered into by the Bank with an external counterparty, i.e. the market value of a potential gain derived from changes in market prices, due to a worsening of BPER Banca's credit or default risk.

For the quantification of a CVA and a DVA, under certain conditions, IFRS 13 refers to a calculation that must be made by netting set or by counterparty and, thus, based on net exposure and not at individual contract level. In addition, it is necessary to consider whether any collateral has been provided or if there are any netting agreements.
the Parent Company currently makes use of bilateral agreements for the netting of derivative contracts, in accordance with which the reciprocal *mark to market* receivable and payable positions are offset automatically on a daily basis, leading to a single net balance, without any novation: this results in margin settlement being made solely by the net creditor. The foregoing has led to a considerable reduction in exposure to credit risk and, consequently, the impact of CVAs and DVAs on fair value.

In particular, for BPER Banca, there are two factors that mitigate the impact on fair value of credit risk:

- the signing of ISDA (International Swaps and Derivatives Association, the international industry standard on OTC derivatives) agreements with the main corporate and all the institutional counterparties to OTC derivatives. In respect of the institutional counterparties the related CSA (Credit Support Annex) was also executed in order to cover the provision of collateral and to further reduce current exposure and consequent risks;
- the entry into force of the new EMIR (European Market Infrastructure Regulation) platform, in respect of the exclusion from the scope of CVAs and DVAs of derivatives entered into on that platform/market. On the basis of assessments made, it is likely that most derivative transactions will go through the new system as they mainly consist of derivatives that are eligible for that purpose.

IFRS 13 does not indicate a specific methodology for the calculation of CVAs and DVAs, but it requires the use of valuation techniques that, on the one hand, must be appropriate for the data available and, on the other hand, maximise the use of observable market data.
With reference to the above, in order to align with best market practices, it was decided to use bilateral CVA methodology that considers the presence of two components to the calculation, with the aim of including the potential loss/gain arising from changes in the credit risk of the counterparty/Bank, but taking into account the joint probability of default by counterparties.

Market parameters

The following types of yield curve are used:

- "par swap" curves;
- bond curves derived from baskets of bonds;
- corporate curves by issuer, rating, and sector.

The following are derived from the "par swap" curves:

- zero coupon curves;
- forward rate curves;
- discount factor curves.

The zero coupon rate curves are obtained using the bootstrapping technique. These are used to extrapolate the discount factors used to determine the present value of the cash flows generated by the financial instruments to be priced. The forward rates are implicit in the zero coupon curve are determined with reference to the non-arbitrage theory.
The issuer curves are obtained by adding to the par swap rates the spreads that reflect the credit rating of the instrument's issuer. These are used to price unlisted bonds.
The credit rating curve of BPER Banca is obtained by creating a basket of issues by banking issuers that have similar characteristics and ratings. This is used to price all issued bonds.

Volatility and other parameters
Volatilities and correlations are used principally to price unlisted derivatives. The volatilities are classified as follows:

- historical volatilities, estimated as the standard deviation of a time series of daily observations of the logarithm of the yields of the underlying concerned;
- contributed volatilities, obtained from information providers;
- implicit volatilities, obtained from the market prices of listed options.

With regard to the correlations, multi-variant derivatives are priced using historical correlations.

A.4.2 Measurement process and sensitivity

Assets and liabilities categorised within Level 3 of the fair value hierarchy mainly consist of:

- inter-related derivative transactions offsetting each other and linked with self-securitisation contracts classified as "Financial assets measured at fair value through profit or loss - financial assets held for trading" and "Financial liabilities held for trading";
- limited investments in equities measured at nominal value or using the equity method, classified as "Financial assets measured at fair value through other comprehensive income";
- non-controlling equity investments, often held to maintain contact with the territory, or to develop commercial relations (mainly measured using the equity method or at cost), classified as "Financial assets measured at fair value through other comprehensive income";
- investments in asset-backed securities classified as "Financial assets measured at amortised cost" or "Financial assets measured at fair value through profit or loss - other financial assets mandatorily measured at fair value".

For the latter, the related sensitivity is provided below:

Financial asset/liability	Non-observable parameter	Change in parameter	Sensitivity (in thousands)
Investments in Asset Backed Securities	Credit Spread	+25 b.p.	(1,652)

For the other positions which have just been illustrated, given the use of valuation techniques involving the use of estimates, the measurement thereof is incapable of being significantly impacted by changes in inputs.

A.4.3 Fair value hierarchy

The Parent Company classifies its financial assets and liabilities by decreasing degree of fair value quality on the basis of the following principles:

- Fair value Level 1. Measurement is based on the price of the financial instrument concerned, being a quoted price in an active market.
- Fair value Level 2. Measurement is not based on quoted prices in active markets for the financial instrument concerned, but on meaningful prices obtained from non-active markets or reliable info-providers, or on prices determined using an appropriate valuation technique largely based on observable market parameters, including credit spreads, derived from quotations of instruments that are substantially similar in terms of risk factors considered. The objective of the use of valuation techniques is to reaffirm the aim of obtaining a closing price at the valuation date from the point of view of a market participant that holds the financial instrument.
- Fair value level 3. Measurement is based on various inputs that include subjective parameters, that is, parameters whose value cannot be derived from quoted prices observable in active markets. Since the parameters are not observable directly in the market, it follows that the value is required to make estimates and assumptions.

In some cases, the inputs used to measure the fair value of an asset or a liability might be categorised within different levels of the fair value hierarchy. In those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group has set out[19]:

- the analyses to be performed in the event of changes in valuation techniques used to measure fair value;
- the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred and which is constantly adhered to.

As a general principle, to be allocated to Level 1 of the fair value hierarchy, if there is a quoted price in an active market for an asset or a liability, that price should be used without adjustment when measuring fair value. In fact, the fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities and the lowest priority to unobservable inputs.
An allocation to Levels 2 and 3 depends on how the inputs used for the fair value measurement of an asset or liability are categorised within different levels of the fair value hierarchy: in those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Assessing the significance of a particular input to the entire measurement requires judgement, taking into account factors specific to the asset or liability.

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[19] *Please refer to the set of regulations that the Group has adopted: Group Guidelines for the application of the Fair Value Option, Group Guidelines for fair value measurement of financial instruments, Group Regulation for determining the fair value of financial instruments and Manual of valuation techniques for financial instruments of the BPER Banca Group.*

The availability of relevant inputs and their relative subjectivity might affect the selection of appropriate valuation techniques.

A.4.4 Other information

IFRS 13 requires an entity to "disclose information that helps users of its financial statements to assess the following:

a) *for assets and liabilities that are measured at fair value on a recurring or non-recurring basis in the statement of financial position after initial recognition, the valuation techniques and inputs used to develop those measurements;*
b) *for recurring fair value measurements using significant unobservable inputs (Level 3), the effect of the measurements on profit or loss or other comprehensive income for the period."*

The Parent Company has a procedure in place to:

- identify transfers between levels;
- analyse and document the reasons for such transfers;
- monitor and control the reliability of the fair value of financial instruments.

In particular, for assets and liabilities measured at fair value on a recurring and non-recurring basis, adequate disclosure is made of:

- the fair value measurement at the end of the reporting period, and for non-recurring fair value measurements, the reasons for the measurement;
- the level of the fair value hierarchy within which the fair value measurements are categorised in their entirety (Level 1, 2 or 3);
- for assets and liabilities categorised within Level 2 or 3, a description of the valuation techniques and inputs used and the reasons for any changes in valuation techniques used.

The BPER Banca provides, for assets and liabilities held at the end of the reporting period that are measured at fair value on a recurring basis, the amounts of any transfers between Level 1 and Level 2 of the fair value hierarchy, the reasons for those transfers and the policy for determining when transfers between levels are deemed to have occurred, while, for those categorised on a recurring basis within Level 3 of the fair value hierarchy, a reconciliation is provided from the opening balances to the closing balances.
Information is also provided on the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred.

For assets or liabilities categorised within Level 3 of the fair value hierarchy, the following disclosures are provided:

- quantitative information about the significant unobservable inputs used in the fair value measurement;
- for recurring fair value measurements, the amount of the total gains or losses for the period included in profit or loss that is attributable to the change in unrealised gains or losses relating to those assets and liabilities held at the end of the reporting period, and the line item(s) in profit or loss in which those unrealised gains or losses are recognised;
- a description of the valuation processes used for recurring and non-recurring fair value measurements;

- a narrative description of the sensitivity of the fair value measurement to changes in unobservable inputs if a change in those inputs to a different amount might result in a significantly higher or lower fair value measurement.

For financial assets and liabilities measured at amortised cost (not thus measured at fair value, but with fair value disclosure obligations) the following information is provided:

- the fair value hierarchy level;
- a description of the valuation techniques adopted for Levels 2 and 3, as well as the inputs used;
- if there has been any change in the valuation technique, a description of the change and the reason for it.

For own financial liabilities measured at fair value with credit enhancement (e.g. inseparable guarantees), information is provided on the existence of credit enhancement and the impact thereof on the determination of the fair value of the liability.

The application of the fair value option to loans and receivables and financial liabilities requires disclosure of the change in fair value attributable solely to changes in the credit risk associated with the instrument.
As mentioned, the risk factors are included in the discount curve using the discount rate adjustment approach.
This approach involves making separate and independent estimates of the various risk components (rate risk and credit risk), so that the partial fair value can be determined considering the changes in just one risk factor.

The following factors are considered in relation to credit risk:

- the risk-free market rate observed at the valuation date;
- the credit spread observed at the initial recording date or the previous valuation date;
- the credit spread observed at the valuation date.

The market fair value at the measurement date is compared with the fair value calculated using the credit risk observed at the initial recording date (or, alternatively, at the previous valuation date). This makes it possible to determine the changes in fair value due solely to changes in credit risk on a cumulative or periodic basis.

Quantitative information

A.4.5 Fair value hierarchy

A. 4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value levels

Assets/Liabilities measured at fair value	31.12.2018			31.12.2017		
	L1	L2	L3	L1	L2	L3
1. Financial assets measured at fair value through profit or loss	339,105	390,851	274,100	415,057	425,462	339,938
a) Financial assets held for trading	126,072	150,260	10,753	246,325	180,747	19,867
b) Financial assets designated at fair value	70,745	132,244	-	72,457	134,666	-
c) Other financial assets mandatorily measured at fair value	142,288	108,347	263,347	96,275	110,049	320,071
2. Financial assets measured at amortised cost	6,632,973	636,389	261,115	10,795,905	1,148,930	240,511
3. Hedging derivatives	-	34,916	-	-	52,825	-
4. Property, plant and equipment	-	-	-	-	-	-
5. Intangible assets	-	-	-	-	-	-
Total	6,972,078	1,062,156	535,215	11,210,962	1,627,217	580,449
1. Financial liabilities held for trading	44	142,311	8,452	1,396	156,135	16,490
2. Financial liabilities designated at fair value	-	-	-	-	-	-
3. Hedging derivatives	-	85,717	-	-	20,589	-
Total	44	228,028	8,452	1,396	176,724	16,490

Transfers of assets from Level 1 to Level 2 of the fair value hierarchy during the period amounted to € 80,041 thousand and those from Level 2 to Level 1 amounted to € 381,789 thousand.
The former are due to a loss of significance of the prices quoted in the principal market, while, for the latter, the dealer market showed an improvement in the negotiability of the instruments in terms of volumes and in the width and depth of the prices quoted.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

A.4.5.2 Annual changes in assets measured at fair value on a recurring basis (level 3)

	Financial assets measured at fair value through profit or loss				Financial assets measured at fair value through other comprehensive income	Hedging derivatives	Property, plant and equipment	Intangible assets
	Total	of which: a) financial assets held for trading	of which: b) financial assets designated at fair value	of which: c) other financial assets mandatorily measured at fair value				
1. Opening balance	**299,346**	**19,866**	**-**	**279,480**	**240,511**	**-**	**-**	**-**
2. Increases	**103,850**	**9**	**-**	**103,841**	**42,973**	**-**	**-**	**-**
2.1. Purchases	68,472	1	-	68,471	482	-	-	-
2.2. Gains recognised to:	33,812	8	-	33,804	42,491	-	-	-
2.2.1. Income statement	33,812	8	-	33,804	254	-	-	-
- of which capital gains	32,378	8	-	32,370	-	-	-	-
2.2.2. Shareholders'equity	-	X	X	X	42,237	-	-	-
2.3. Transfers from other levels	-	-	-	-	-	-	-	-
2.4. Other increases	1,566	-	-	1,566	-	-	-	-
3. Decreases	129,096	9,122	-	119,974	22,369	-	-	-
3.1. Sales	88,196	-	-	88,196	470	-	-	-
3.2. Refunds	28,726	8,104	-	20,622	-	-	-	-
3.3. Losses recognised to:	10,838	1,018	-	9,820	19,105	-	-	-
3.3.1. Income statement	10,838	1,018	-	9,820	-	-	-	-
- of which capital losses	10,819	1,018	-	9,801	-	-	-	-
3.3.2. Shareholders'equity	-	X	X	X	19,105	-	-	-
3.4. Transfers from other levels	-	-	-	-	2,794	-	-	-
3.5. Other decreases	1,336	-	-	1,336	-	-	-	-
4. Closing balance	**274,100**	**10,753**	**-**	**263,347**	**261,115**	**-**	**-**	**-**

A.4.5.3 Annual changes in liabilities measured at fair value on a recurring basis (level 3)

	Financial liabilities held for trading	Financial liabilities designated at fair value	Hedging derivatives
1. Opening balance	**16,490**	**-**	**-**
2. Increases	**372**	**-**	**-**
2.1 Issues	-	-	-
2.2. Losses recognised to:	372	-	-
2.2.1. Income statement	372	-	-
- of which capital losses	372	-	-
2.2.2. Shareholders' equity	X	-	-
2.3. Trasferts from other levels	-	-	-
2.4. Other increases	-	-	-
3. Decreases	**8,410**	**-**	**-**
3.1. Refunds	8,104	-	-
3.2. Repurchases	-	-	-
3.3. Profits recognised to:	306	-	-
3.3.1. Income statement	306	-	-
- of which capital gains	306	-	-
3.3.2. Shareholders' equity	X	-	-
3.4. Trasferts from other levels	-	-	-
3.5. Other decreases	-	-	-
4. Closing balance	**8,452**	**-**	**-**

A.4.5.4 Assets and liabilities not measured at fair value or measured at fair value on a non-recurring basis: breakdown by fair value levels

Assets/Liabilities not measured at fair value or measured at fair value on a non-recurring basis	31.12.2018				31.12.2017			
	BV	L1	L2	L3	BV	L1	L2	L3
1. Financial assets measured at amortised cost	45,851,401	5,721,114	125,300	40,711,364	41,978,946	799,599	71,172	41,892,486
2. Property, plant and equipment held for investment	77,552			80,265	87,040			91,724
3. Non-current assets and disposal groups classified as held for sale	2,800			2,800				
Total	**45,931,753**	**5,721,114**	**125,300**	**40,794,429**	**42,065,986**	**799,599**	**71,172**	**41,984,210**
1. Financial liabilities measured at amortised cost	52,728,319	2,509,988	1,108,826	49,091,158	53,427,163	3,106,380	1,822,860	48,720,374
2. Liabilities related to non-current assets classified as held for sale								
Total	**52,728,319**	**2,509,988**	**1,108,826**	**49,091,158**	**53,427,163**	**3,106,380**	**1,822,860**	**48,720,374**

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

A.5 – Information on "day one profit/loss"

In the case of Level 3 transactions, the fair value according to the model may differ from the transaction price: in the case of a positive difference (day one profit), this is amortised over the residual life of the instrument; in case of a negative difference (day one loss), it is charged to the income statement for prudence sake.

There were no differences at 31 December 2018 between the value of transactions and their corresponding fair values.

Part B – Information on the balance sheet

Assets

Section 1 - Cash and cash equivalents Caption 10

1.1 Cash and cash equivalents: breakdown

	Total 31.12.2018	Total 31.12.2017
a) Cash	330,609	301,076
b) On demand deposits with Central banks	-	-
Total	**330,609**	**301,076**

Section 2 – Financial assets measured at fair value through profit or loss
Caption 20

2.1 Financial assets held for trading: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
A. Cash assets						
1. Debt securities	60,994	58,719	2	116,805	63,641	1
1.1 Structured securities	21,004	4,843	-	21,377	4,813	-
1.2 Other debt securities	39,990	53,876	2	95,428	58,828	1
2. Equity instruments	65,051	2,391	32	95,814	1,692	25
3. UCITS units	-	-	-	33,658	-	-
4. Loans	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-
Total (A)	**126,045**	**61,110**	**34**	**246,277**	**65,333**	**26**
B. Derivative instruments						
1. Financial derivatives	27	89,150	10,719	48	115,414	19,841
1.1 trading	27	89,150	10,719	48	115,414	19,841
1.2 connected with the fair value option	-	-	-	-	-	-
1.3 others	-	-	-	-	-	-
2. Credit derivatives	-	-	-	-	-	-
2.1 trading	-	-	-	-	-	-
2.2 connected with the fair value option	-	-	-	-	-	-
2.3 others	-	-	-	-	-	-
Total (B)	**27**	**89,150**	**10,719**	**48**	**115,414**	**19,841**
Total (A+B)	**126,072**	**150,260**	**10,753**	**246,325**	**180,747**	**19,867**

The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

2.2 Financial assets held for trading: breakdown by borrowers/issuers/counterparties

Description/Amounts	Total 31.12.2018	Total 31.12.2017
A. Cash assets		
1. Debt securities	119,715	180,447
a) Central Banks	-	-
b) Public Administrations	14,797	68,461
c) Banks	67,566	60,166
d) Other financial companies	27,930	34,871
of which: insurance companies	941	-
e) Non financial companies	9,422	16,949
2. Equity instruments	67,474	97,531
a) Banks	16,116	21,318
b) Other financial companies	5,878	6,866
of which: Insurance companies	3,208	3,546
c) Non financial companies	45,480	69,347
d) Other issuers	-	-
3. UCITS units	-	33,658
4. Loans	-	-
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	-	-
of which: insurance companies	-	-
e) Non financial companies	-	-
f) Households	-	-
Total (A)	**187,189**	**311,636**
B. Derivative instruments	-	-
a) Central counterparties	-	-
b) Others	99,896	135,303
Total (B)	**99,896**	**135,303**
Total (A+B)	**287,085**	**446,939**

2.3 Financial assets designed at fair value: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
1.Debt securities	70,745	132,244	-	72,457	134,666	-
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	70,745	132,244	-	72,457	134,666	-
2. Loans	-	-	-	-	-	-
2.1 Structured	-	-	-	-	-	-
2.2 Others	-	-	-	-	-	-
Total	**70,745**	**132,244**	**-**	**72,457**	**134,666**	**-**

The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

2.4 Financial assets designated at fair value: breakdown by borrowers/issuers

Description/Amounts	Total 31.12.2018	Total 31.12.2017
1. Debt securities	**202,989**	**207,123**
a) Central Banks	-	-
b) Public Administrations	191,466	195,551
c) Banks	6,961	7,209
d) Other financial companies	2,242	4,363
of which: Insurance companies	-	-
e) Non financial companies	2,320	-
2. Loans	**-**	**-**
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	-	-
of which: Insurance companies	-	-
e) Non financial companies	-	-
f) Households	-	-
Total	**202,989**	**207,123**

2.5 Other financial assets mandatorily measured at fair value: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
1. Debt securities	**9,774**	**108,347**	**106,648**	**-**	**109,684**	**182,352**
1.1 Structured securities	3,437	-	-	-	-	-
1.2 Other debt securities	6,337	108,347	106,648	-	109,684	182,352
2. Equity instruments	**2,133**	**-**	**56,555**	**3,587**	**365**	**60,264**
3. UCITS units	**130,381**	**-**	**100,144**	**92,688**	**-**	**77,455**
4. Loans	**-**	**-**	**-**	**-**	**-**	**-**
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-
Total	**142,288**	**108,347**	**263,347**	**96,275**	**110,049**	**320,071**

The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

2.6 Other financial assets mandatorily measured at fair value: breakdown by borrowers/issuer

	Total 31.12.2018	Total 31.12.2017
1. Equity instruments	**58,688**	**64,216**
of which: banks	6,576	32,457
of which: other financial companies	49,729	6,205
of which: non-financial companies	2,383	25,554
2. Debts securities	**224,769**	**292,036**
a) Central Banks	-	-
b) Public Administrations	51,569	53,009
c) Banks	50,038	40,000
d) Other financial companies	122,199	198,087
of which: insurance companies	-	-
e) Non financial companies	963	940
3. UCITS Units	**230,525**	**170,143**
4. Loans	**-**	**-**
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	-	-
of which: insurance companies	-	-
e) Non financial companies	-	-
f) Households	-	-
Total	**513,982**	**526,395**

2.6 bis UCITS units breakdown

Description	31.12.2018	31.12.2017
1. Equities	8,356	4,728
2. Property - closed end	25,213	29,078
3. Equities - open end	20,925	21,890
4. Balanced - open end	4,555	4,724
5. Bonds - open end	4,087	2,283
6. Equities closed end	20,408	17,282
7. Speculative securities	-	3
8. Bonds - short term	-	-
9. Bonds - long term	8,092	8,704
10. Other	138,889	81,451
Total	**230,525**	**170,143**

Section 3 – Financial assets measured at fair value through other comprehensive income Caption 30

3.1 Financial assets measured at fair value through other comprehensive income: breakdown by product

Description/Amounts	Total 31.12.2018			Total 31.12.2017		
	L1	L2	L3	L1	L2	L3
1. Debts securities	**6,632,963**	**633,739**	**-**	**10,795,896**	**1,148,525**	**-**
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	6,632,963	633,739	-	10,795,896	1,148,525	-
2. Equity instruments	**10**	**2,650**	**261,115**	**9**	**405**	**240,511**
3. Loans	**-**	**-**	**-**	**-**	**-**	**-**
Total	**6,632,973**	**636,389**	**261,115**	**10,795,905**	**1,148,930**	**240,511**

The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

3.2 Financial assets measured at fair value through other comprehensive income: breakdown by borrowers/issuers

Description/Amounts	Total 31.12.2018	Total 31.12.2017
1. Debt securities	**7,266,702**	**11,944,421**
a) Central Banks	-	-
b) Public Administrations	862,225	4,234,458
c) Banks	4,788,313	5,607,871
d) Other financial companies	1,120,635	1,453,708
of which: insurance companies	55,552	7,767
e) Non financial companies	495,529	648,384
2. Equity instruments	**263,775**	**240,925**
a) Banks	81,470	93,812
b) Other issuers:	182,305	147,113
- other financial companies	155,387	121,240
of which: insurance companies	104,330	63,777
- non financial companies	26,905	25,867
- others	13	6
3. Loans	**-**	**-**
a) Central Banks	-	-
b) Public Administrations	-	-
c) Banks	-	-
d) Other financial companies	-	-
of which: insurance companies	-	-
e) Non financial companies	-	-
f) Households	-	-
Total	**7,530,477**	**12,185,346**

3.3 Financial assets measured at fair value through other comprehensive income: gross carrying amount and total impairment provisions

	Gross value				Total impairment provisions			Total partial write-off
	First stage	of which: low credit risk	Second stage	Third stage	First stage	Second stage	Third stage	
Debt securities	6,799,216	-	471,884	18	3,943	473	-	-
Loans	-	-	-	-	-	-	-	-
Total 31.12.2018	**6,799,216**	**-**	**471,884**	**18**	**3,943**	**473**	**-**	**-**
Total 31.12.2017	**11,944,421**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
of which: purchased or originated credit-impaired financial assets	X	X	-	-	X	-	-	-

At 31 December 2018 none of the debt securities classified in Stage 3 has been written off.
In the comparative data at 31 December 2017, all performing exposures are classified in Stage 1.
For the approach used in the presentation of the gross value and total impairment provisions of financial assets, reference should be made to Part A of these Explanatory Notes.

Section 4 - Financial assets measured at amortised cost Caption 40

4.1 Financial assets measured at amortised cost: breakdown by product of loans to banks

Type of transaction/Amounts	Total 31.12.2018						Total 31.12.2017					
	Book value			Fair value			Book value			Fair value		
	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3
A. Loans to Central Banks	**909,185**	**-**	**-**	**-**	**-**	**909,185**	**2,027,004**	**-**	**-**	**-**	**-**	**2,027,004**
1. Time deposits	-	-	-	X	X	X	-	-	-	X	X	X
2. Reserve requirement	901,739	-	-	X	X	X	2,022,500	-	-	X	X	X
3. Repurchase agreements	-	-	-	X	X	X	-	-	-	X	X	X
4. Others	7,446	-	-	X	X	X	4,504	-	-	X	X	X
B. Loans to banks	**3,518,553**	**-**	**-**	**1,737,173**	**46,512**	**1,719,265**	**2,066,347**	**-**	**-**	**193,349**	**28,535**	**1,844,954**
1. Loans	1,719,265	-	-	-	-	1,719,265	1,844,955	-	-	-	-	1,844,954
1.1 Current accounts and demand deposits	428,293	-	-	X	X	X	355,018	-	-	X	X	X
1.2. Time deposits	612,658	-	-	X	X	X	494,018	-	-	X	X	X
1.3 Other loans:	678,314	-	-	X	X	X	995,919	-	-	X	X	X
- Repurchase agreements	228,088	-	-	X	X	X	567,163	-	-	X	X	X
- Finance leases	-	-	-	X	X	X	-	-	-	X	X	X
- Others	450,226	-	-	X	X	X	428,756	-	-	X	X	X
2. Debts securities	1,799,288	-	-	1,737,173	46,512	-	221,392	-	-	193,349	28,535	-
2.1 Structured securities	-	-	-	-	-	-	-	-	-	-	-	-
2.2 Other debt securities	1,799,288	-	-	1,737,173	46,512	-	221,392	-	-	193,349	28,535	-
Total	**4,427,738**	**-**	**-**	**1,737,173**	**46,512**	**2,628,450**	**4,093,351**	**-**	**-**	**193,349**	**28,535**	**3,871,958**

The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

4.2 Financial assets measured at amortised cost: breakdown by product of loans to customers

Type of transaction/Amounts	Total 31.12.2018						Total 31.12.2017					
	Book value			Fair value			Book value			Fair value		
	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3	First and second stage	Third stage	of which: purchased or originated impaired financial assets	L1	L2	L3
1. Loans	**34,644,926**	**2,028,553**	**671,924**	**-**	**-**	**37,528,110**	**33,793,678**	**3,446,806**	**-**	**-**	**-**	**38,012,657**
1.1.Current accounts	4,315,903	314,239	86,685	X	X	X	4,595,160	540,826	-	X	X	X
1.2. Repurchase agreements	-	-	-	X	X	X	-	-	-	X	X	X
1.3. Mortgages	21,839,405	1,362,155	500,831	X	X	X	21,044,261	2,386,572	-	X	X	X
1.4. Credit cards, personal loans and assignments of one-fifth of salary	765,765	13,984	5,644	X	X	X	929,283	22,392	-	X	X	X
1.5. Financial leasing	11,859	247	-	X	X	X	11,060	376	-	X	X	X
1.6. Factoring	12,376	64	-	X	X	X	9,720	61	-	X	X	X
1.7. Other loans	7,699,618	337,864	78,764	X	X	X	7,204,194	496,579	-	X	X	X
2. Debt securities	**4,750,184**	**-**	**-**	**3,983,941**	**78,788**	**554,804**	**645,111**	**-**	**-**	**606,250**	**42,637**	**7,871**
2.1. Structured securities	-	-	-	-	-	-	-	-	-	-	-	-
2.2. Other debt securities	4,750,184	-	-	3,983,941	78,788	554,804	645,111	-	-	606,250	42,637	7,871
Total	**39,395,110**	**2,028,553**	**671,924**	**3,983,941**	**78,788**	**38,082,914**	**34,438,789**	**3,446,806**	**-**	**606,250**	**42,637**	**38,020,528**

The sub-caption "Other loans" of performing loans includes: € 4,765 million of bullet loans (+11.10%), € 2,011 million of advances on invoices subject to collection (+1.21%), € 701 million of import/export advances (3.85%), € 40 million of credit assignment (-11.11%) and € 183 million of other miscellaneous entries (-11.17%).
The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.
The information referred to the purchased or originated impaired financial assets at 31 December 2017 is not available as, given the choice adopted by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of the Bank of Italy Circular 262/2005 is not applicable at that date.
The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

4.3 Finance leases

Time bands	Present value 31.12.2018	Present value 31.12.2017
Up to 3 months	-	23
Between 3 months and 1 year	-	-
Between 1 year and 5 years	-	353
Beyond 5 years	12,106	11,060
Total	**12,106**	**11,436**

4.4 Financial assets measured at amortised cost: breakdown by borrowers/issuers of loans to customers

Type of transaction/Amounts	Total 31.12.2018			Total 31.12.2017		
	First and second stage	Third stage	of which: purchased or originated impaired financial assets	First and second stage	Third stage	of which: purchased or originated impaired financial assets
1. Debt securities	**4,750,184**	**-**	**-**	**645,111**	**-**	**-**
a) Public Administrations	3,835,189	-	-	568,620	-	-
b) Other financial companies	857,218	-	-	48,662	-	-
of which: insurance companies	4,985	-	-	-	-	-
c) Non financial companies	57,777	-	-	27,829	-	-
2. Loans:	**34,644,926**	**2,028,553**	**671,924**	**33,793,678**	**3,446,806**	**-**
a) Public Administrations	2,102,661	34	-	2,077,417	2,198	-
b) Other financial companies	4,896,867	101,966	43,581	4,771,894	86,365	-
of which: insurance companies	25,080	-	-	17,067	-	-
c) Non financial companies	16,371,119	1,546,113	451,085	18,058,020	2,935,521	-
d) Households	11,274,279	380,440	177,258	8,886,347	422,722	-
Total	**39,395,110**	**2,028,553**	**671,924**	**34,438,789**	**3,446,806**	**-**

The information referred to the purchased or originated impaired financial assets at 31 December 2017 is not available as, given the choice adopted by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of the Bank of Italy Circular 262/2005 is not applicable at that date.

4.5 Financial assets measured at amortised cost: gross carrying amount and total impairment provisions

		Gross book value				Total impairment provisions			Total partial write-off
		First stage	of which: low credit risk	Second stage	Third stage	First stage	Second stage	Third stage	
Debt securities		6,507,760	-	44,899	-	3,163	24	-	-
Loans		32,749,757	-	4,652,383	4,905,782	81,219	47,545	2,877,229	476,303
Total	**31.12.2018**	**39,257,517**	**-**	**4,697,282**	**4,905,782**	**84,382**	**47,569**	**2,877,229**	**476,303**
Total	**31.12.2017**	**38,703,944**	**-**	**-**	**7,149,278**	**171,805**	**-**	**3,702,472**	**565,066**
of which: purchased or originated credit-impaired financial assets		X	X	191,293	753,947	X	2,741	270,575	-

For the approach used in the presentation of the gross value and total impairment provisions of impaired financial assets, reference should be made to Part A of these Explanatory Notes. Note that default interest is only recorded at the time of actual collection.
In the comparative data at 31 December 2017, all performing exposures are classified in Stage 1.

Section 5 – Hedging derivatives
Caption 50

5.1 Hedging derivatives: breakdown by type of hedge and level

	FV 31.12.2018			NV 31.12.2018	FV 31.12.2017			NV 31.12.2017
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives								
1. Fair Value	-	34,916	-	2,083,317	-	52,825	-	3,866,767
2. Cash flows	-	-	-	-	-	-	-	-
3. Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives								
1. Fair Value	-	-	-	-	-	-	-	-
2. Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**34,916**	**-**	**2,083,317**	**-**	**52,825**	**-**	**3,866,767**

The classification levels used (fair value hierarchy) are described in Part A.4 of the Explanatory Notes to the financial statements at 31 December 2018.

Key:
NV = notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

5.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge

Transactions/Type of hedge	Fair Value							Cash-flow hedges		Foreign investments
	Specific						General	Specific	General	
	debt securities and interest rates	equity instrumnets and stock indices	currencies and gold	credit	goods	others				
1. Financial assets measured at fair value through other comprehensive income	9,786	-	-	-	X	X	X	-	X	X
2. Financial assets measured at amortised cost	-	X	-	-	X	X	X	-	X	X
3. Portfolio	X	X	X	X	X	X	-	X	-	X
4. Other operations	-	-	-	-	-	-	X	-	X	-
Total assets	9,786	-	-	-	-	-	-	-	-	-
1. Financial Liabilities	25,130	X	-	-	-	-	X	-	X	X
2. Portfolio	X	X	X	X	X	X	-	X	-	X
Total liabilities	25,130	-	-	-	-	-	-	-	-	
1. Expected transactions	X	X	X	X	X	X	X	-	X	X
2. Portfolio of financial assets and liabilities	X	X	X	X	X	X	-	X	-	-

Section 6 – Change in value of macro-hedged financial assets
Caption 60

There are no amounts to be disclosed in this section.

Section 7 - Equity investments Caption 70

7.1 Equity investments: information on shareholdings

Company name	Registered head office	Operational head office	% Holding	% Available votes
A. Wholly-owned companies				
Direct:				
1 Adras s.p.a.	Milano	Milano	100.000	
2 Banca di Sassari s.p.a.	Sassari	Sassari	78.507	
3 Banca Farnese S.p.A. in liquidazione	Ferrara	Ferrara	65.127	
4 BPER Bank Luxembourg S.A.	Lussemburgo	Lussemburgo	100.000	
5 Banco di Sardegna s.p.a.	Cagliari	Sassari	50.940	51.000
6 BPER Credit Management s.cons.p.a.	Modena	Modena	67.000	
7 BPER Services s.cons.p.a.	Modena	Modena	92.838	
8 BPER Trust Company s.p.a.	Modena	Modena	100.000	
9 Cassa di Risparmio di Bra s.p.a.	Bra	Bra	84.286	
10 Cassa di Risparmio di Saluzzo s.p.a.	Saluzzo	Saluzzo	100.000	
11 Emilia Romagna Factor s.p.a.	Bologna	Bologna	95.954	
12 Estense Covered Bond s.r.l.	Conegliano	Conegliano	60.000	
13 Estense CPT Covered Bond s.r.l.	Conegliano	Conegliano	60.000	
14 Italiana Valorizzazioni Immobiliari s.r.l.	Milano	Milano	100.000	
15 Modena Terminal s.r.l.	Campogalliano	Campogalliano	100.000	
16 Mutina s.r.l.	Modena	Modena	100.000	
17 Nadia s.p.a.	Modena	Modena	100.000	
18 Optima s.p.a. S.I.M.	Modena	Modena	100.000	
19 Sardaleasing s.p.a.	Sassari	Milano	52.741	
20 SIFA' - Società Italiana Flotte Aziendali s.p.a.	Trento	Milano/Reggio Emilia	51.000	
B. Companies subject to joint control				
C. Companies subject to significant influence				
1 Alba Leasing s.p.a.	Milano	Milano	33.498	
2 Arca Holding s.p.a.	Milano	Milano	32.752	
3 Atriké s.p.a.	Modena	Modena	45.000	
4 Cassa di Risparmio di Fossano s.p.a.	Fossano	Fossano	23.077	
5 Cassa di Risparmio di Savigliano s.p.a.	Savigliano	Savigliano	31.006	
6 CAT Progetto Impresa Modena s.c.r.l.	Modena	Modena	20.000	
7 Co.Ba.Po. Consorzio Banche popolari dell'Emilia Romagna	Bologna	Bologna	23.587	
8 CONFORM Consulenza Formazione e Management s.cons. a r.l.	Avellino	Avellino	46.430	
9 Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	Lanciano	Lanciano	25.000	
10 Immobiliare Oasi nel Parco s.r.l.	Milano	Milano	36.800	
11 Resiban s.p.a.	Modena	Modena	20.000	
12 Unione Fiduciaria s.p.a.	Milano	Milano	24.000	

The "% Available votes" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

7.2 Significant equity investments: book value, fair value and dividend received

Please read the consolidated financial statements.

7.3 Significant equity investments: accounting information

Please read the consolidated financial statements.

7.4 Non-significant equity investments: accounting information

Please read the consolidated financial statements.

Impairment tests of equity investments

In accordance with IAS/IFRS, equity investments have been subjected to impairment tests to determine whether the carrying amounts thereof were recoverable.
Impairment tests have to be performed by comparing the carrying amount of an asset with its recoverable value, where the recoverable amount is the higher of its fair value less costs to sell and its value in use.
The recoverable value of each equity investment has been estimated as being equal to the pro rata value in use of the subsidiary, given that each individual entity is independently capable of generating cash flows and, so, this is identified as a CGU. For the estimate of the value in use of the main investments in associates and subsidiaries, reference should be made to sections 7 and 10 respectively of the consolidated explanatory notes.
The footnotes to table 7.5 show the adjustments made after impairment tests.

7.5 Equity investments: annual changes

	Total 31.12.2018	Total 31.12.2017
A. Opening balance	**1,686,979**	**1,619,457**
B. Increases	**109,386**	**81,890**
B.1 Purchases	107,800	81,576
of which: business combinations	-	80,409
B.2 Write-backs	-	-
B.3 Revaluations	-	-
B.4 Other changes	1,586	314
C. Decreases	**48,681**	**14,368**
C.1 Sales	-	7,447
C.2 Impairment losses	48,681	6,640
C.3 Depreciations	-	-
C.4 Other changes	-	281
D. Closing balance	**1,747,684**	**1,686,979**
E. Total revaluations	**-**	**-**
F. Total adjustments	**217,044**	**168,363**

Increases due to purchases (caption B.1) refer to:
- Purchase of 10,894 shares of Banca di Sassari for € 20 thousand.
- Purchase of 20,022 savings shares of Banco di Sardegna for € 131 thousand.
- Purchase of 1,802,534 shares of Emilia Romagna Factor for the subscription of the increase in share capital promoted by the company, for an amount of € 29,742 thousand;
- Purchase of 3,861,148 shares of Sardaleasing for the subscription of the increase in share capital promoted by the company, for an amount of € 47,878 thousand;
- Purchase of 57,750,000 shares of Cassa di Risparmio di Bra for the subscription of the increase in share capital promoted by the company, for an amount of € 30,030 thousand;

"Other changes" (caption B.4) refer to:
- waiver of interest receivable due to BPER Banca by Italiana Valorizzazioni Immobiliari s.r.l. (€ 786 thousand);
- non-repayable amount of € 800,000 paid to Italiana Valorizzazione Immobiliari.
"Impairment losses" (caption C.2.) refer to:
- impairment loss made to the holding in Italiana Valorizzazione Immobili s.r.l. (€ 1,631 thousand);
- impairment loss made to the holding in Immobiliare Oasi nel Parco (€ 1,654 thousand);
- impairment loss made to the holding in Sardaleasing s.p.a. (€ 20,116 thousand);
- impairment loss made to the holding in Saluzzo s.p.a. (€ 25,278 thousand);
- impairment loss made to the holding in Estense CPT Covered Bond s.r.l. (€ 1 thousand).

7.6 Commitments referred to equity investments in companies subject to joint control

Please read the consolidated financial statements.

7.7 Commitments referred to equity investments in companies subject to significant influence

Please read the consolidated financial statements.

7.8 Significant restrictions

Please read the consolidated financial statements.

7.9. Other information

Please read the consolidated financial statements.

Section 8 – Property, plant and equipment Caption 80

8.1 Property, plant and equipment used in operations: breakdown of assets measured at cost

Description/Amounts	Total 31.12.2018	Total 31.12.2017
1. Assets owened	**368,380**	**370,728**
a) lands	89,592	89,829
b) buildings	224,356	228,947
c) furniture	20,944	20,960
d) electronic system	7,418	8,732
e) other	26,070	22,260
2. Assets purchase under finance leases	**2,192**	**2,287**
a) lands	-	-
b) buildings	2,192	2,287
c) furniture	-	-
d) electronic system	-	-
e) other	-	-
Total	**370,572**	**373,015**
of which: arising from the recovery of guarantees received	-	-

8.2 Property, plant and equipment held for investment: breakdown of assets measured at cost

Description/Amounts	Total 31.12.2018				Total 31.12.2017			
	Book value	Fair value			Book value	Fair value		
		L1	L2	L3		L1	L2	L3
1. Assets owened	**77,552**	**-**	**-**	**80,265**	**87,040**	**-**	**-**	**91,724**
a) lands	26,058	-	-	20,815	25,635	-	-	18,913
b) buildings	51,494	-	-	59,450	61,405	-	-	72,811
2. Assets purchase under finance leases	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) lands	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	**77,552**	**-**	**-**	**80,265**	**87,040**	**-**	**-**	**91,724**
of which: arising from the recovery of guarantees received	-	-	-	-	-	-	-	-

BPER Bank has opted to measure at cost both property, plant and equipment used in operations and property, plant and equipment held for investment.
An explanation of the fair value hierarchy used for classification has been given in Part A.4 of these Explanatory notes.

Key:
L1 = Level 1
L2 = Level 2
L3 = Level 3

8.3 Property, plant and equipment used in operations: breakdown of revalued assets

There are no amounts to be disclosed in this section.

8.4 Property, plant and equipment held for investment: breakdown of assets measured at fair value

There are no amounts to be disclosed in this section.

8.5 Inventories of property, plant and equipment governed by IAS 2: breakdown

There are no amounts to be disclosed in this section.

8.6 Property, plant and equipment used in operations: annual changes

	Lands	Buildings	Furniture	Electronic systems	Other	Total
A. Gross opening balance	**89,829**	**363,189**	**145,536**	**81,686**	**204,912**	**885,152**
A.1 Total net value adjustments	-	131,955	124,576	72,954	182,652	512,137
A.2 Net opening balance	**89,829**	**231,234**	**20,960**	**8,732**	**22,260**	**373,015**
B. Increases:	**90**	**5,781**	**1,913**	**1,781**	**9,950**	**19,515**
B.1 Purchases	-	-	1,913	1,781	9,950	13,644
B.2 Capitalised expenditure on	-	3,748	-	-	-	3,748
B.3 Write-backs	-	-	-	-	-	-
B.4 Positive changes in fair value allocated to	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit or loss	-	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	-	-	-
B.6 Transfer from property, plant and equipment held for investment	90	478	-	-	-	568
B.7 Other changes	-	1,555	-	-	-	1,555
C. Decreases:	**327**	**10,467**	**1,929**	**3,095**	**6,140**	**21,958**
C.1 Sales	4	4	7	17	117	149
C.2 Amorizations	-	8,219	1,922	3,078	5,532	18,751
C.3 Impairment losses allocated to	-	351	-	-	-	351
a) shareholders' equity	-	-	-	-	-	-
b) profit or loss	-	351	-	-	-	351
C.4 Negative chages in fair value allocated to	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit or loss	-	-	-	-	-	-
C.5 Negative exchange differences	-	-	-	-	-	-
C.6 Transfers to:	323	1,893	-	-	-	2,216
a) transfer to property, plant and equipment held for investment	323	1,893	-	-	-	2,216
b) non-current assets and groups of assets held for sale	-	-	-	-	-	-
C.7 Other changes	-	-	-	-	491	491
D. Net closing balance	**89,592**	**226,548**	**20,944**	**7,418**	**26,070**	**370,572**
D.1 Total net value adjustments	-	138,998	125,694	56,235	183,958	504,885
D.2 Gross closing balance	**89,592**	**365,546**	**146,638**	**63,653**	**210,028**	**875,457**

The determination of the fair value of properties, held for whatever purpose, which is also useful to highlight any need for impairment, is usually done based on generally accepted valuation methods and principles.
At 31 December 2018, the valuation of the Bank's entire property portfolio was subjected to review by an independent expert. Based on the valuation submitted to us on completion of the above review, it was deemed appropriate to write down the carrying amount of the various properties with the recognition of an impairment adjustment of € 351 thousand.

8.7 Property, plant and equipment held for investments: annual changes

	Total	
	Lands	Buildings
A. Gross opening balance	**25,635**	**83,470**
A.1 Total net value adjustments	-	22,065
A.2 Net opening balance	**25,635**	**61,405**
B. Increases	**1,598**	**2,202**
B.1 Purchases	-	-
B.2 Capitalised expenditure on improvements	-	-
B.3 Positive changes in fair value	-	-
B.4 Write-backs	-	-
B.5 Positive exchange differences	-	-
B.6 Transfer from property, plant and equipment held for investment	323	1,893
B.7 Other adjustments	1,275	309
C. Decreases	**1,175**	**12,113**
C.1 Sales	78	1,802
C.2 Amortizations	-	1,742
C.3 Negative changes in fair value	-	-
C.4 Impairment losses	524	2,923
C5 Negative exchange difference	-	-
C.6 Transfer to:	533	2,835
a) transfer to property, plant and equipment held for investment	90	478
b) non-current assets and group of assets held for sale;	443	2,357
C.7 Other adjustments	40	2,811
D. Net closing balance	**26,058**	**51,494**
D.1 Total net value adjustments	-	23,096
D.2 Gross closing balance	**26,058**	**74,590**
E. Measured at fair value	20,815	59,450

As a result of the updated valuation of the property portfolio at fair value, as mentioned above, it has been necessary, in accordance with IAS 36, to write down the carrying amount of five properties, recording an impairment adjustment of € 3,447 thousand.

Useful life of the main fixed asset categories

Category	Useful life
Land	not depreciated
Property	based on the useful lives identified from specific appraisals
Office furniture and machines	100 months
Furnishings	80 months
Lifting equipment	160 months
Motor vehicles	48 months
Alarm systems	40 months
IT hardware	60 months

8.8 Inventories of property, plant and equipment governed by IAS 2: annual changes

There are no amounts to be disclosed in this section.

8.9 Commitments to purchase property, plant and equipment

There are no amounts to be disclosed in this section.

Section 9 – Intangible assets Caption

9.1 Intangible assets: breakdown by asset type

Description/Amounts	Total 31.12.2018		Total 31.12.2017	
	Defined duration	Undefined duration	Defined duration	Undefined duration
A.1 Goodwill		**225,792**	**x**	**280,236**
A.2 Other intangible assets	**13,347**	**-**	**14,800**	**-**
A.2.1 Assets measured at cost	13,347	-	14,800	-
a) intangible assets generated internally	-	-	-	-
b) other assets	13,347	-	14,800	-
A.2.2 Assets measured at fair value	-	-	-	-
a) intangible assets generated internally	-	-	-	-
b) other assets	-	-	-	-
Total	**13,347**	**225,792**	**14,800**	**280,236**

"Other intangible assets" mainly comprise applications software measured at cost and amortised on a straight-line basis over a period, not exceeding five years, that depends on the degree of obsolescence involved.
The remaining "Other intangible assets" comprise € 10,666 thousand representing the value of the client relationships identified on allocation of the purchase price of the former UNICREDIT branches acquired at the end of 2008, these relationships are estimated as having a useful life of 18 years.
"Goodwill" includes both goodwill arising from bank acquisitions and subsequent mergers by incorporation in past years, as well as goodwill relating to purchases of bank branches from the Unicredit Group.
The impairment test activity, carried out in compliance with the provisions of the international standard IAS 36, determined the need to make a write-down of goodwill of € 54,444 thousand.

Goodwill impairment test

In recent years, BPER Banca has been subject to a series of internal reorganisation transactions, including the merger of a number of subsidiary banks (specifically, Banca Popolare di Lanciano e Sulmona s.p.a., Banca Popolare di Aprilia s.p.a., CARISPAQ – Cassa di Risparmio della Provincia dell'Aquila s.p.a, Banca Popolare di Ravenna s.p.a., Banca della Campania s.p.a., Banca Popolare del Mezzogiorno s.p.a. and Meliorbanca s.p.a.) that did not result in changes in the amounts of goodwill, but simply a different allocation of their value to the Cash Generating Units (CGUs).

The characteristics of the individual business units merged, which were fully absorbed by BPER Banca's organisation and its structure, in terms of both the commercial network and risk management, led to the identification of the Bank as a whole as the CGU, representing the lowest level at which Management checks the profitability of an investment. In addition, planning processes and reporting systems are managed at the level of the individual legal entity.

Goodwill recorded in the Bank's assets is therefore verified on the basis of cash flows potentially distributable by the Bank as a whole.

On account of the fact that intangible assets with an indefinite useful life recognised in the separate financial statements coincide in substance with the same assets recognised in the consolidated financial statements of the BPER Banca CGU, the analysis performed and the results of impairment tests conducted for the preparation of the consolidated financial statements were also considered valid for the separate financial statements.
Details of the criteria used for the calculation of the recoverable amounts of CGUs, of the assumptions underlying the valuation models used and of sensitivity analysis are provided in "Section 10 Intangible assets" of the consolidated notes to the financial statements.
The analysis indicated the need for a partial write-down to the goodwill recorded in the separate financial statements of the Bank for Euro 54.4 million.

9.2 Intangible assets: annual changes

	Goodwill	Other intangible assets: internally generated		Other intangible assets: others		Total
		DEF	UNDEF	DEF	UNDEF	
A. Opening balance	**280,236**	**-**	**-**	**34,769**	**-**	**315,005**
A.1 Total net value adjustments	-	-	-	19,969	-	19,969
A.2 Net opening balance	**280,236**	**-**	**-**	**14,800**	**-**	**295,036**
B. Increases	**-**	**-**	**-**	**750**	**-**	**750**
B.1 Purchases	-	-	-	750	-	750
B.2 Increases in internal intagible assets	X	-	-	-	-	-
B.3 Write-backs	X	-	-	-	-	-
B.4 Positive changes in fair value	-	-	-	-	-	-
- shareholders' equity	X	-	-	-	-	-
- profit or loss	X	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	-	-	-
B.6 Other changes	-	-	-	-	-	-
C. Decreases	**54,444**	**-**	**-**	**2,203**	**-**	**56,647**
C.1 Sales	-	-	-	-	-	-
C.2 Impairment losses	54,444	-	-	2,203	-	56,647
- Amortisations	X	-	-	2,203	-	2,203
- Depreciations	54,444	-	-	-	-	54,444
+ shareholders' equity	X	-	-	-	-	-
+ profit or loss	54,444	-	-	-	-	54,444
C.3 Positive changes in fair value	-	-	-	-	-	-
- shareholders' equity	X	-	-	-	-	-
- profit or loss	X	-	-	-	-	-
C.4 Transfer to non-current assets held for sale	-	-	-	-	-	-
C.5 Negative exchange differrences	-	-	-	-	-	-
C.6 Other changes	-	-	-	-	-	-
D. Net closing balance	**225,792**	**-**	**-**	**13,347**	**-**	**239,139**
D.1 Total net value adjustments	54,444	-	-	22,172	-	76,616
E. Gross closing balance	**280,236**	**-**	**-**	**35,519**	**-**	**315,755**

All intangible assets are measured at cost.

Key:
DEF: defined useful life
UNDEF: undefined useful life

9.3 Intangible assets: other information

There are no information to be disclosed other than those already provided in this section.

Section 10 - Tax assets and liabilities
Asset caption 100 and liability caption 60

10.1 Deferred tax assets: breakdown

	IRES	IRAP	Total
Impairment losses on loans to customers	550,008	49,826	599,834
Impairment losses on equity investments and securities	24,600	10,696	35,296
Goodwill	128,580	26,043	154,623
Personnel provisions	44,986	2,726	47,712
Endorsement credits, revocatory action during bankruptcy proceedings and outstanding lawsuits	55,751	4,320	60,071
Impairment losses on loans to customers FTA IFRS 9	99,592	20,172	119,764
Tax losses	33,013	-	33,013
ACE reportable	19,245	-	19,245
Other deferred tax assets	27,060	3,006	30,066
Total	**982,835**	**116,789**	**1,099,624**

The total includes deferred tax assets under Law 214/2011 for an amount of € 738.7 million.
The remaining deferred tax assets - € 308.6 million referring to temporary differences and € 52.3 million referring to tax losses and ACE surpluses - were recorded on the basis of the positive outcome of the probability test carried out in accordance with IAS 12. The time horizon used for the forecasts is 5 years.
At 31 December 2018, no deferred tax assets have been recognised on tax losses totalling € 363.4 million.

10.2 Deferred tax liabilities: breakdown

	IRES	IRAP	Total
Gains from equity instruments and securities	16,064	7,746	23,810
Equity investments	233	-	233
Staff costs	1,518	-	1,518
Depreciation of property, plant and equipment and intangible assets	1,996	330	2,326
Other deferred taxes	2,919	611	3,530
Total	**22,730**	**8,687**	**31,417**

"Deferred tax assets" and "Deferred tax liabilities" are determined on the basis of IRES and IRAP tax rates which are expected to be in force at the time of their recovery.

10.3 Changes in deffered tax assets (through profit or loss)

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**969,356**	**976,411**
2. Increases	**186,451**	**221,525**
2.1 Defferred tax assets recognized in the year	186,451	79,711
a) related to previous years	33,747	-
b) due to changes in accounting criteria	122,944	-
c) value recoveries	-	-
d) others	29,760	79,711
2.2 New taxes or tax rate increases	-	-
2.3 Other increases	-	141,814
- of which: business combinations	-	141,814
3. Decreases	**110,744**	**228,580**
3.1 Defferred tax assets derecognized in the year	53,921	96,066
a) reversals	48,829	96,066
b) write-offs	-	-
c) due to changes in accounting criteria	-	-
d) others	5,092	-
3.2 Decreases in tax rates	-	-
3.3 Other decreases:	56,823	132,514
a) changes into tax credits	56,823	132,514
b) others	-	-
4. Final amount	**1,045,063**	**969,356**

The amount recorded under caption 2.1 a) "related to previous years" includes deferred tax assets recorded during the year for prior year losses.
The amount recorded under caption 2.1 b) "due to changes in accounting criteria" refers to deferred tax assets on impacts of the transition to IFRS 9, also bearing in mind the change in the reference tax regulation, implemented with the 2019 Finance Act.

10.3 bis Changes in deferred tax assets pursuant to Law 214/2011

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**817,687**	**859,979**
2. Increases	**-**	**152,003**
3. Decreases	**78,966**	**194,295**
3.1 Reversals	-	61,781
3.2 Changes into tax credits	56,823	132,514
a) from losses for the year	-	93,571
b) from fiscal losses	56,823	38,943
3.3 Other decreases	22,143	-
4. Final amount	**738,721**	**817,687**

The transformation mentioned in point 3.2. was made in light of the provisions of Decree Law 225/2010, converted with amendments into Law 10/2011. In particular, article 2, paragraphs 55-56, provides that in the event of a loss for the year, deferred tax assets recorded in the financial statements relating to adjustments to loans as well as those relating to goodwill and other intangible assets (in total, Deferred Tax Assets - DTAs) are transformed into a tax credit. The transformation runs from the date of approval of the financial statements and takes place for an amount equal to the loss for the year multiplied by the ratio between the DTAs and net equity before the loss for the year. With effect from the tax period of transformation, negative components corresponding to the DTAs transformed into tax credits are not deductible.
Law 214/2011 also introduced the chance to transform into tax credits any DTAs recognised in the financial statements for the part of IRES tax losses arising from the deduction of adjustments to loans and goodwill during the year.
Subsequently, Law 214/2013 (Stability Law 2014) extended the conversion of IRAP DTAs relating to the impairment of loans and the value of goodwill and other intangible assets, also in the case of "negative net value of production".
These rules therefore ensure the recovery of the DTAs in the case of a loss in the statutory accounts, even if a tax loss is recorded, explaining the reasons that justify full recognition in assets of € 738.7 million of deferred tax assets.

10.4 Changes in deffered tax liabilities (through profit or loss)

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**20,460**	**19,766**
2. Increases	**5,618**	**5,172**
2.1 Defferred tax liabilities recognized in the year	5,618	1,859
a) related to previous years	-	-
b) due to changes in accounting criteria	2,174	-
c) others	3,444	1,859
2.2 New taxes or tax rates increases	-	-
2.3 Other increases	-	3,313
- of which: business combinations	-	3,313
3. Decreases	**16,806**	**4,478**
3.1 Defferred tax liabilities derecognized in the year	16,806	4,478
a) reversals	16,806	4,478
b) due to changes in accounting criteria	-	-
c) others	-	-
3.2 Decreases in tax rates	-	-
3.3 Other decreases	-	-
4. Final amount	**9,272**	**20,460**

The amount recorded under caption 2.1 b) "Due to changes in accounting criteria" refers to deferred tax assets on FTA of IFRS 9

10.5 Changes in deffered tax assets (through shareholders' equity)

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**47,073**	**55,109**
2. Increases	**29,553**	**3,742**
2.1 Defferred tax assets recognized in the year	29,553	2,882
b) related to previous years	109	-
b) due to changes in accounting criteria	-	-
c) others	29,444	2,882
2.2 New taxes or tax rate increases	-	-
2.3 Other increases	-	860
- of which: business combinations	-	860
3. Decreases	**22,065**	**11,778**
3.1 Defferred tax assets derecognized in the year	21,955	11,778
a) reversals	15,056	11,778
b) write-offs	-	-
c) due to changes in accounting criteria	6,899	-
d) others	-	-
3.2 Decreases in taxl rates	-	-
3.3 Other decreases	110	-
4. Final amount	**54,561**	**47,073**

The amount recorded under caption 3.1 c) "Due to changes in accounting criteria" refers to deferred tax assets on FTA of IFRS 9

10.6 Changes in deffered tax liabilities (through shareholders' equity)

	Total 31.12.2018	Total 31.12.2017
1. Initial amount	**53,549**	**43,467**
2. Increases	**103,600**	**25,913**
2.1 Defferred tax liabilities recognized in the year	103,600	25,701
a) related to previous years	-	-
b) due to changes in accounting criteria	48,029	-
c) others	55,571	25,701
2.2 New taxes or tax rates increases	-	-
2.3 Other increases	-	212
- of which: business combinations	-	212
3. Decreases	**135,004**	**15,831**
3.1 Defferred tax liabilities derecognized in the year	135,004	15,831
a) reversals	135,004	15,831
b) due to changes in accounting criteria	-	-
c) others	-	-
3.2 Decreases in tax rates	-	-
3.3 Other decreases	-	-
4. Final amount	**22,145**	**53,549**

The amount recorded under caption 2.1 b) "Due to changes in accounting criteria" refers to deferred tax assets on FTA of IFRS 9

10.7. Other information

Current tax assets

	31.12.2018	31.12.2017
IRES provisions	-	1,291
IRAP provisions	-	-
Other assets and withholdings	451,791	555,795
Gross current tax assets	**451,791**	**557,086**
Offset current tax liabilities	4,856	1,558
Net current tax assets	**446,935**	**555,528**

Current tax liabilities

	31.12.2018	31.12.2017
Tax debt for IRES	357	295
Tax debt for IRAP	4,499	1,263
Other current tax liabilities on income	-	-
Gross current tax liabilities	**4,856**	**1,558**
Offset current tax assets	4,856	1,558
Net current tax liabilities	**-**	**-**

Changes in gross current tax liabilities

	31.12.2018	31.12.2017
Balance at the end of the prior year	**1,558**	**458**
Decreases	**1,120**	**21**
- uses for payment of income taxes	-	21
- uses for payment of other taxes	-	-
- other decreases	1,120	
Increases	**4,418**	**1,121**
- provisions:		
- income taxes: parent company	4,357	1,121
- income taxes: members of domestic tax group	61	-
- flat-rate tax: art. 1.150 Law 147/2013	-	-
- flat-rate tax: art. 15.10 Legislative Decree 185/2008	-	-
- flat-rate tax: art. 1.48 Law 244/2007	-	-
- other increases	-	-
Total gross current tax liabilities	**4,856**	**1,558**

Section 11 - Non-current assets and disposal groups classified as held for sale and related liabilities
Asset caption 110 and liability caption 70

11.1 Non-current assets and disposal groups classified as held for sale: breakdown by type of asset

	31.12.2018	31.12.2017
A. Assets held for sale		
A.1 Financial assets	-	-
A.2 Equity investments	-	-
A.3 Property, plant and equipment	2,800	-
of which: arising from the recovery of guarantees received	-	-
A.4 Intangible assets	-	-
A.5 Other non-current assets	-	-
Total A	**2,800**	**-**
of which measured at cost	2,800	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-
B. Discontinued operations		
B.1 Financial assets measured at fair value through profit or loss	-	-
- Financial assets held for trading	-	-
- Financial assets designated at fair value	-	-
- Other financial assets mandatorily measured at fair value	-	-
B.2 Financial assets measured at fair value through other comprehensive income	-	-
B.3 Financial assets measured at amortized cost	-	-
B.4 Equity investments	-	-
B.5 Property, plant and equipment	-	-
of which: arising from the recovery of guarantees received	-	-
B.6 Intangible assets	-	-
B.7 Other assets	-	-
Total B	**-**	**-**
of which measured at cost	-	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-

(cont.)

	31.12.2018	31.12.2017
C. Liabilities related to assets classified as held for sale		
C.1 Deposits	-	-
C.2 Securities	-	-
C.3 Other liabilities	-	-
Total C	**-**	**-**
of which measured at cost	-	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-
D. Liabilities related to discontinued operations		
D.1 Financial liabilities measured at amortized cost	-	-
D.2 Financial liabilities held for trading	-	-
D.3 Financial liabilities designated at fair value	-	-
D.4 Provisions	-	-
D.5 Other liabilities	-	-
Total D	**-**	**-**
of which measured at cost	-	-
of which measured at fair value level 1	-	-
of which measured at fair value level 2	-	-
of which measured at fair value level 3	-	-

11.2 Other information

There are no information to be disclosed other than those already provided in this section.

Section 12 – Other assets
Caption 120

12.1 Other assets: breakdown

	31.12.2018	31.12.2017
Taxes withheld on interest, withholdings and tax credits on dividends, advance taxation	102,728	92,747
Sundry amounts to be charged to customers	34,762	81,882
Bank charges to be debited to customers or banks	34,226	51,681
Cheques being processed	144	2,538
Cheques drawn on other banks	124,634	96,107
Items relating to securities transactions	13,205	10,962
Leasehold improvement expenditure	2,766	3,590
Gold, silver and precious metals	891	234
Accrued income and prepaid expenses	8,517	9,849
Other items for sundry purposes	41,190	117,636
Receivables from group companies	9,599	284
Total	**372,662**	**467,510**

From the analysis carried out in the Bank for the purposes of IFRS 15, no contract assets have been identified.

Liabilities

Section 1 – Financial liabilities measured at amortised cost
Caption 10

1.1 Financial liabilities measured at amortised cost: breakdown by product of due to banks

Type of transaction/Amounts	Total 31.12.2018				Total 31.12.2017			
	B V	Fair Value			B V	Fair Value		
		L1	L2	L3		L1	L2	L3
1. Due to Central Banks	**9,057,608**	X	X	X	**9,094,659**	X	X	X
2. Due to banks	**7,378,431**	X	X	X	**7,447,181**	X	X	X
2.1 Current accounts and demand deposits	2,657,365	X	X	X	2,518,918	X	X	X
2.2 Deposits to maturity	104,277	X	X	X	97,385	X	X	X
2.3 Loans	4,614,179	X	X	X	4,808,525	X	X	X
2.3.1 Repurchase agreements	4,387,677	X	X	X	4,569,246	X	X	X
2.3.2 Others	226,502	X	X	X	239,279	X	X	X
2.4 Payables for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
2.5 Other payables	2,610	X	X	X	22,353	X	X	X
Total	**16,436,039**	**-**	**-**	**16,436,039**	**16,541,840**	**-**	**-**	**16,541,840**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of explanatory notes in Chapter "Techniques for the determination of fair value".
The fair value is assumed to be equal to the book value since they are sight or short-term transactions.

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

1.2 Financial liabilities measured at amortised cost: breakdown by product of due to customers

Type of transaction/Amounts	Total 31.12.2018				Total 31.12.2017			
	BV	Fair Value			BV	Fair Value		
		L1	L2	L3		L1	L2	L3
1. Current accounts and demand deposits	27,216,395	X	X	X	26,059,789	X	X	X
2. Time deposits	1,788,114	X	X	X	1,852,364	X	X	X
3. Loans	2,087,268	X	X	X	1,978,922	X	X	X
3.1 Repurchase agreements	91,235	X	X	X	3,506	X	X	X
3.2 Others	1,996,033	X	X	X	1,975,416	X	X	X
4. Payables for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
5. Other payables	417,339	X	X	X	495,636	X	X	X
Total	**31,509,116**	**-**	**-**	**31,509,116**	**30,386,711**	**-**	**-**	**30,386,711**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of explanatory notes in Chapter "Techniques for the determination of fair value".
The fair value is assumed to be equal to the book value since they are sight or short-term transactions.

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

1.3 Financial liabilities measured at amortised cost: breakdown by product of debt securities issued

Type of transaction/Amounts	Total 31.12.2018				Total 31.12.2017			
	BV	Fair Value			BV	Fair Value		
		L1	L2	L3		L1	L2	L3
A. Securities								
1. bonds	3,584,489	2,509,988	1,055,793	-	4,637,018	3,106,380	1,752,435	-
1.1 structured	-	-	-	-	-	-	-	-
1,2 others	3,584,489	2,509,988	1,055,793	-	4,637,018	3,106,380	1,752,435	-
2. other securities	1,198,675	-	53,033	1,146,003	1,861,594	-	70,425	1,791,823
2.1 structured	52,672	-	53,033	-	69,771	-	70,425	-
2.2 others	1,146,003	-	-	1,146,003	1,791,823	-	-	1,791,823
Total	**4,783,164**	**2,509,988**	**1,108,826**	**1,146,003**	**6,498,612**	**3,106,380**	**1,822,860**	**1,791,823**

"Bonds" include subordinated bonds issued totalling € 759,693 thousand, none of which are convertible into shares. In the "Level 3" column of point 2.2, the fair value is assumed to be the same as the book value as these are short-term transactions.
An explanation of the fair value hierarchy used for classification has been given in Part A.4 of explanatory notes in Chapter "Techniques for the determination of fair value".

Key:
BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

1.4 Breakdown of subordinated securities

	Book value 31.12.2018	Nominal value 31.12.2018	Book value 31.12.2017	Nominal value 31.12.2017
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	-	-	23,586	23,590
Lower Tier II B.P.E.R. subordinated non-convertible bond 5.81%, 2013-2020	5,026	4,778	7,539	7,167
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	225,279	224,855	225,286	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	12,023	12,000	12,024	12,000
EMTN B.P.E.R. subordinated non-convertible bond 5.125%, 2017-2027 callable	513,097	500,000	512,950	500,000
Lower Tier II CARISPAQ subordinated non-convertible bond floating rate, 2010-2020	4,268	4,250	4,268	4,250
Total non-convertible bonds	**759,693**	**745,883**	**785,653**	**771,862**
Total expired non convertible bonds (*)	**-**	**-**	**39,368**	**37,586**
Total bonds	**759,693**	**745,883**	**825,021**	**809,448**

(*) Tranches of bonds with 31 December 2017 maturity for which accounting settlement was received by the custodian bank on 2 January 2018.
There are not convertible subordinated bonds outstanding at 31 December 2018.

1.5 Breakdown of structured debts

There are no amounts to be disclosed in this section.

1.6 Finance lease payables

Time bands	Present value 31.12.2018	Present value 31.12.2017
Up to 3 months	41	-
Between 3 months and 1 year	125	-
Between 1 year and 5 years	377	-
Beyond 5 years	-	-
Total	**543**	**-**

Section 2 – Financial liabilities held for trading Caption 20

2.1 Financial liabilities held for trading: breakdown by product

Type of transactions/Amounts	Total 31.12.2018					Total 31.12.2017				
	NV	Fair Value			Fair Value *	NV	Fair Value			Fair Value *
		L1	L2	L3			L1	L2	L3	
A. Cash liabilities										
1. Due to banks	-	-	-	-	-	50	71	-	-	71
2. Due to customers	500	-	546	-	546	507	478	6	-	484
3. Debt securities	-	-	-	-	X	-	-	-	-	X
3.1 Bonds	-	-	-	-	X	-	-	-	-	X
3.1.1 Other securities	-	-	-	-	X	-	-	-	-	X
3.1.2 Other bonds	-	-	-	-	X	-	-	-	-	X
3.2 Other securities	-	-	-	-	X	-	-	-	-	X
3.2.1 Structured	-	-	-	-	X	-	-	-	-	X
3.2.2 Others	-	-	-	-	X	-	-	-	-	X
Total A	**500**	**-**	**546**	**-**	**546**	**557**	**549**	**6**	**-**	**555**
B. Derivative instruments										
1. Financial derivatives	X	44	141,764	8,452	X	X	847	156,129	16,490	X
1.1 Trading	X	44	108,101	7,962	X	X	847	152,507	16,490	X
1.2 Connected with the fair value option	X	-	32,450	-	X	X	-	-	-	X
1.3 Others	X	-	1,213	490	X	X	-	3,622	-	X
2. Credit derivatives	X	-	1	-	X	X	-	-	-	X
2.1 Trading	X	-	1	-	X	X	-	-	-	X
2.2 Connected with the fair value option	X	-	-	-	X	X	-	-	-	X
2.3 Others	X	-	-	-	X	X	-	-	-	X
Total B	**X**	**44**	**141,765**	**8,452**	**X**	**X**	**847**	**156,129**	**16,490**	**X**
Total (A+B)	**X**	**44**	**142,311**	**8,452**	**X**	**X**	**1,396**	**156,135**	**16,490**	**X**

The caption "cash liabilities" concerns the balance of "technical shorts" generated by capital market transactions.
An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3
Fair value = Fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*

2.2 Breakdown of "Financial liabilities held for trading": subordinated liabilities

There are no amounts to be disclosed in this section.

2.3 Breakdown of "Financial liabilities held for trading": structured debts

There are no amounts to be disclosed in this section.

Section 3 - Financial liabilities designated at fair value through profit or loss
Caption 30

There are no amounts to be disclosed in this section.

Section 4 – Hedging derivatives Caption 40

4.1 Hedging derivatives: breakdown by type of hedge and hierarchy levels

	NV	Fair value			NV	Fair value		
	31.12.2018	L1	L2	L3	31.12.2017	L1	L2	L3
A) Financial derivatives	**4,462,219**	**-**	**85,717**	**-**	**2,273,914**	**-**	**20,589**	**-**
1) Fair value	4,412,219	-	81,208	-	2,183,914	-	13,162	-
2) Cash flows	50,000	-	4,509	-	90,000	-	7,427	-
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**4,462,219**	**-**	**85,717**	**-**	**2,273,914**	**-**	**20,589**	**-**

An explanation of the fair value hierarchy used for classification has been given in Part A.4 of Explanatory Notes in Chapter "Techniques for the determination of fair value".

Key:
NV = nominal value
L1 = Level 1
L2 = Level 2
L3 = Level 3

4.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge

Operations/Type of hedge	Fair Value							Cash flow		Foreign investments
	Specific						General	Specific	General	
	debt securities and interest rates	equity instruments and stock indices	currencies and gold	credit	goods	others				
1. Financial assets measured at fair value through other comprehensive income	40,992	-	-	-	X	X	X	4,509	X	X
2. Financial assets measured at amortised cost	40,216	X	-	-	X	X	X	-	X	X
3. Portfolio	X	X	X	X	X	X	-	X	-	X
4. Other operations	-	-	-	-	-	-	X	-	X	-
Total assets	**81,208**	**-**	**-**	**-**	**-**	**-**	**-**	**4,509**	**-**	**-**
1. Financial liabilities	-	X	-	-	-	-	X	-	X	X
2. Portfolio	X	X	X	X	X	X	-	X	-	X
Total liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	X	X	X	X	X	X	X	-	X	X
2. Portfolio of financial assets and liabilities port	X	X	X	X	X	X	-	X	-	-

Section 5 - Change in value of macro-hedged financial liabilities
Caption 50

There are no amounts to be disclosed in this section.

Section 6 - Tax liabilities
Caption 60

Please refer to the information provided in section 10 of Assets.

Section 7 - Liabilities associated with non-current assets held for sale
Caption 70

Please refer to the information provided in section 11 of Assets.

Section 8 – Other liabilities Caption 80

8.1 Other liabilities: breakdown

	31.12.2018	31.12.2017
Amounts due to banks	8,773	22,927
Amounts due to customers	450,972	594,583
Net adjustments on collection of receivables for third parties	347,468	26,322
Staff emoluments and related social contributions	33,497	23,605
Amounts due to third parties for coupons, securities and dividends to be collected	11,057	33,013
Amounts due to the tax authorities on behalf of customers and personnel	104,397	87,994
Bank transfers for clearance	13,887	9,088
Advances for the purchase of securities	-	40
Due to suppliers	68,190	63,233
Third-part payments as surety for loans	108	119
Accrued expenses and deferred income	10,860	10,721
Other liabilities to third parties	168,247	200,193
Payables due to members of the tax group	12,925	10,775
Total	**1,230,381**	**1,082,613**

From the analysis carried out by the Bank for the purposes of IFRS 15, a single type of contract liability has been identified, amounting to € 9.4 million classified under the caption "Accrued expenses and deferred income", which refers to the portion of consideration paid in advance by customers for warranty services provided by the Bank for a period of time ("over time performance obligation"), relating to the portion not yet accrued at the end of the year.

Section 9 - Employee termination indemnities Caption 90

9.1 Employee termination indemnities: annual changes

	31.12.2018	31.12.2017
A. Opening balance	**116,670**	**122,008**
B. Increases	**941**	**16,784**
B.1 Provision of the year	694	705
B.2 Other changes	247	16,079
- of which: business combinations	-	14,271
C. Decreases	**3,587**	**22,122**
C.1 Liquidations performed	3,587	22,122
C.2 Other changes	-	-
D. Closing balance	**114,024**	**116,670**
Total	**114,024**	**116,670**

Note that the caption "Other changes" (B.2) includes actuarial losses (€ 247 thousand).

9.2 Other information

The following tables show the changes in employee termination indemnities, as well as the principal demographic and financial assumptions made in order to quantify the provision using the Projected Unit Credit Method (pursuant to IAS 19 Revised, § 65-67); lastly, table 9.2.3 presents the comparative information required by law.

9.2.1 Changes in employee termination indemnities during the year

Description/Amounts	31.12.2018	31.12.2017
A. Opening balance	**116,670**	**122,008**
B. Increases	**941**	**16,784**
1. Pension cost relating to current work	-	-
2. Financial charges	694	705
3. Contribution to the plan by employees	-	-
4. Actuarial losses	247	1,807
5. Exchange differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	-	14,272
C. Decreases	**3,587**	**22,122**
1. Benefits paid	3,587	22,122
2. Pension cost of prior work	-	-
3. Actuarial gains	-	-
4. Exchange differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	-
D. Closing balance	**114,024**	**116,670**

9.2.2 Description of the main actuarial assumptions

Main actuarial assumptions/%	31.12.2018	31.12.2017
Discount rates	0.85%	0.60%
Expected increase in remuneration	n/a	n/a
Turn Over	1.99%	1.99%
Inflation rate	1.50%	1.50%
Interest rate adopted for the calculation of interest cost	0.60%	0.52%

In addition to the average data included in the table, the approach taken to identify the main actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Turn over: time series analysis for the period 2014-2016 of the phenomena giving rise to the terminations and adjustments to take account of any "anomalies" that occurred in the past. The assumptions made about turnover took account of grade, seniority, age and gender.
- Inflation rate: a fixed rate of 1.5% was used;
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Demographic assumptions

With reference to the technical demographic bases, the analyses performed on the time series of the Company's staff focused on monitoring the trend in the following reasons for elimination between 2014 and 2016:

- rate of employee mortality: except for the Section B pension fund, for which use was made of table RG48 (with age shifting), the ISTAT life table of resident population was used, broken down by age and gender, updated as of 2016;
- rate of employee disability: the tables used for the INPS model to generate "Initial prospects for 2010" were used;
- frequency and amount of advances on employee termination indemnities: in order to take into account the effects that these advances have on the timing of severance payments and, consequently on the discounting of the Company's liability, a probability table for the release of part of the accrued volumes was created. The frequency of advance payments and the average percentage of employee termination indemnities requested as an advance were taken from corporate data;
- probability of retirement, resignation, dismissal: this was taken from corporate data; in particular, a table showing the propensity of departure from the Company was created, based on age and gender.

9.2.3 Comparative information: history of plan

Description/Amounts	31.12.2018	31.12.2017	31.12.2016	31.12.2015
1. Present value of provisions (+)	114,024	116,670	122,008	120,872
2. Fair value of assets servicing the plan (-)	-	-	-	-
3. Plan (surplus) deficit (+/-)	114,024	116,670	122,008	120,872
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	247	1,807	3,634	(6,835)
5. Adjustments to plan assets based on historical experience		-	-	-

The adjustments based on historical experience solely comprise actuarial gains and losses.

9.2.4 Sensitivity analysis

As required by IAS 19 Revised, we carried out a sensitivity analysis on employee termination indemnities with respect to the more significant actuarial assumptions to show how the liability would change in relation to possible fluctuations in each of these assumptions. The following table shows how the provision would change in the event of a 50 basis point increase or decrease in the discount and inflation rates compared with the parameters actually used.

Employee termination indemnities	31.12.2018		+50 b.p.		-50 b.p.	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
discount rates	114,024	-	111,400	-	116,807	-
inflation rate	114,024	-	116,367		111,745	-

In compliance with the requirements of IAS 19 Revised with regard to additional disclosures, an estimate of future cash flows was carried out at 31 December 2018, as shown in the following table:

Employee termination indemnities	1st year	2nd year	3rd year	4th year	over the 4th year
Future cash flow	12,056	10,814	10,389	9,818	81,101

Section 10 - Provisions for risks and charges Caption 100

10.1 Provisions for risk and charges: breakdown

Descriptions/Amounts	31.12.2018	31.12.2017
1. Impairment provisions for credit risk related to commitments and financial guarantees granted	42,256	36,722
2. Impairment provisions related to other commitments and guaratees granted	7,616	-
3. Provisions for pension benefits	129,931	135,674
4. Other provisions for risk and charges	199,909	225,894
4.1 legal and fiscal disputes	130,638	115,369
4.2 personnel charges	50,174	70,973
4.3 others	19,097	39,552
Total	**379,712**	**398,290**

10.2 Provisions for risks and charges: annual changes

	Impairment provisions related to other commitments and guarantees granted	Provisions for pension benefits	Other provisions for risk and charges	Total
A. Opening balance	2,766	135,674	225,894	364,334
B. Increases	11,546	1,232	75,605	88,383
B.1 Provisions for the year	4,407	-	64,727	69,134
B.2 Time value changes	-	1,232	153	1,385
B.3 Changes due to discount rate modifications	-	-	188	188
B.4 Other changes	7,139	-	10,537	17,676
C. Decreases	6,696	6,975	101,590	115,261
C.1 Uses for the year	6,696	6,533	48,218	61,447
C.2 Changes due to discount rate modifications	-	442	-	442
C.3 Other changes	-	-	53,372	53,372
D. Closing balance	7,616	129,931	199,909	337,456

"Changes due to discount rate modifications" also include actuarial gains and losses, considering not just interest rate movements, but also other demographic and financial factors, where applicable.
The opening balance relating to the "Impairment provisions related to commitments and other guarantees granted" takes into account the first application of the international accounting standard IFRS 9 for € 2,766 thousand.

10.3 Impairment provisions for credit risk related to commitments and financial guarantees granted

	Impairment provisions for credit risk related to commitments and financial guarantees granted			
	First stage	Second stage	Third stage	Total
1. Commitments to distribute funds	8,235	2,241	-	10,476
2. Financial guarantees granted	531	1,700	29,549	31,780
Total	**8,766**	**3,941**	**29,549**	**42,256**

10.4 Provisions for other commitments and other guarantees granted

This section does not show significance requirements.

10.5 Provisions for pension with defined-benefits

10.5.1. Features of provisions and related risks

The In-house supplementary pension fund is not a separate legal entity and its assets are held together with those of the Bank; it is made up entirely of Section "A", classifiable as a "defined benefit" scheme.
Under the Regulations for Section A, beneficiaries receive a supplementary pension subject to revaluation, the cost of which is borne entirely by the Bank.
This section comprises all current employees hired by the Bank prior to 28 April 1993; it also includes all retired beneficiaries, or their heirs, of supplementary pension payments deriving from earlier agreements signed by BPER Banca or by the banks absorbed by the latter over time.
The following tables report the changes in provisions.
The actuarial gains and losses relating to Section A are recognised as an equity reserve.

The benefits provided by Fund Section A represent pension with defined-benefits, as governed by IAS 19 Revised; accordingly, the liability for these benefits is determined using the actuarial "Projected Unit Credit Method" applied in relation to employee termination indemnities.

The attachments to the financial statements include a "Statement of the staff pension fund", in accordance with the provisions of Bank of Italy's Circular 262/2005.

10.5.2 Changes in the year of net liabilities (assets) with defined-benefits and redemption rights

Description/Amounts	31.12.2018	31.12.2017
Opening balance	**135,674**	**134,691**
A. Increases	**1,232**	**8,500**
1. Pension cost relating to current work	-	-
2. Financial charges	1,232	1,319
3. Contribution to the plan by employees	-	-
4. Actuarial losses	-	-
5. Exchange differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	-	7,181
B. Decreases	**6,975**	**7,517**
1. Benefits paid	6,533	5,708
2. Pension cost of prior work	-	-
3. Actuarial gains	442	1,809
4. Exchange differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	-
Closing balance	**129,931**	**135,674**

10.5.3 Information on fair value of plan assets

As stated earlier, there are no "plan assets" that meet the requirements of IAS 19 Revised. Since there are no "plan assets" and given that the Bank recognises actuarial gains and losses in the year in which they arise, the present value of the Fund coincides with the value of the liabilities recorded in the balance sheet.

10.5.4 Description of the main actuarial assumptions

Main actuarial assumptions/%	31.12.2018	31.12.2017
Discount rates	1.30%	1.02%
Expected increase in remuneration	n/a	n/a
Turn Over	n/a	n/a
Inflation rate	1.50%	1.50%
Interest rate adopted for the calculation of interest cost (active employees)	1.54%	1.55%
Interest rate adopted for the calculation of interest cost (ceased and retired employees)	0.75%	0.70%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Inflation rate: a fixed rate of 1.5% was used;
- Interest Cost: it was calculated at a rate that reflected the duration of the liability.

10.5.5. Information on the amount, timing and uncertainty of financial cash-flows

As required by IAS 19 Revised, we carried out a sensitivity analysis on the obligation of pension funds with respect to the more significant actuarial assumptions to show how the liability would change in relation to reasonably possible movements in each of these assumptions. The following table shows how the provision would change in the event of a 50 basis point increase or decrease in the discount rate compared with the parameters actually used.

Funds	31.12.2018		+50 b.p.		-50 b.p.	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
Fund Section A	129,931	-	122,927	-	137,629	-

In compliance with the requirements of IAS 19 Revised with regard to additional disclosures, an estimate of future cash flows was carried out at 31 December 2018, as shown in the following table:

Funds	1st year	2nd year	3rd year	4th year	over the 4th year
Fund Section A	7,909	7,738	7,563	7,383	127,143

10.5.6 Multi-employer plans

At 31 December 2018 there were no multi-employer plans in place.

10.5.7 Defined-benefit plans that share risks between entities under common control

At 31 December 2018 there were no plans of this type.

10.6 Provisions for risks and charges - other provisions

10.6.1 Legal disputes

	31.12.2018	31.12.2017
A. Opening balance	**115,369**	**106,849**
B. Increases	47,653	45,249
Provisions for the year	41,686	28,080
Other increases	5,967	17,169
C. Decreases	32,384	36,729
Other decreases	19,893	23,134
Uses for the year	12,491	13,595
D. Closing balance	**130,638**	**115,369**

Provisions for legal and tax disputes amounted to Euro 125.2 million and Euro 5.4 million respectively.
As regards the provisions set aside for legal disputes, these are mainly to do with relationships with customers arising in the context of banking services (the main types of dispute include compound interest rates, usury, application of the conditions, bankruptcy clawbacks).
The main risks concerning outstanding disputes for which no provision has been made are as follows.

- BPER Banca (former Cassa di Risparmio dell'Aquila) - Investigation into what the media have labelled the "Truffa dei Parioli"

As regards what the media have labelled the "Truffa dei Parioli", in the civil case brought by the alleged victims, the Bank is defended by a special team of lawyers formed and coordinated by Prof. Francesco Astone of Rome. At present, there are 47 judgements in first instance pending before the Court of Rome, while for other 29 judgements the sentence has already been issued. With the first ruling, in chronological order, BPER Banca was sentenced to pay limited damages of Euro 16 thousand. Against this decision, the reasons for which appear to be groundless, an appeal was filed by the Bank to have it reversed. The subsequent twenty-eight rulings made from 2015 to 2018 have all rejected the applications with, in some cases, the plaintiffs being required to pay the litigation expenses incurred by the Bank. The respective plaintiffs have appealed against seventeen rulings, which were in favour of the Bank, to the civil Court of Appeal of Rome. In this regard, it should be noted that the Rome Court of Appeal (Third Civil Section) has already sentenced in favour of the Bank on the first of the appeals, completely rejecting the claims of other party and confirming the orientation taken by the Judge of first instance who maintained that BPER Banca was not liable for the claims made by investors who felt they had been defrauded. Given the above, it is currently believed that there is only a remote possibility that the Bank will suffer adverse consequences as a result of this matter; so it was decided not to make any provision.

- BPER Banca (formerly Emro Finance Ireland Ltd) tax years 2005-2009

By the time of preparing this report, the Bologna regional tax commission has ruled partially in favour of the appeal filed by the Tax Authorities to overturn the first-level ruling, which was entirely favourable to the taxpayer.
On 13 June 2018 the Bank appealed to the Court of Cassation, in the absolute conviction that it has operated properly.
In the meantime, the Commission accepted the request to suspend the enforceability of the second instance sentence presented by the Bank.
Also in light of the fiscal opinion issued by professionals and advisors with proven experience who do not consider the risk of losing as probable, at the date of preparation of this report no amount was set aside in the provisions for risks and charges, but rather an estimate of the legal fees.

- BPER Banca: subsidised loans relating to the "sisma Abruzzo" for the 2010-2011-2012 tax years

No new elements have arisen at the time of preparing this report. Please refer to the consolidated financial statements at 31 December 2017.
At 31 December 2018, the related provision amounts to Euro 1,419 thousand.

Personnel charges relate to specific benefits granted to employees based on their length of service, the provisions for which are governed by IAS 19R. The changes are shown in the following table as an aid to understanding the phenomenon.

10.6.2 Personnel charges

Description/Amounts	Other personnel provisions	
	31.12.2018	31.12.2017
Opening balance	**70,973**	**73,839**
A. Increases	**16,981**	**79,020**
1. Pension cost relating to current work	16,000	18,314
2. Financial cherges	144	107
3. Contribution to the plan by employees	-	-
4. Actuarial losses	543	350
5. Exchange differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	294	60,249
B. Decreases	**37,780**	**81,886**
1. Benefits paid	34,299	64,737
2. Pension cost of prior work	-	-
3. Actuarial gains	278	-
4. Exchange differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	3,203	17,149
Closing balance	**50,174**	**70,973**

"Actuarial losses" relate to the sum of "25th year of seniority bonus" of € 439 thousand and the "Special termination indemnity" of € 104 thousand; "Actuarial gains" relate to the "Provision for additional cover in case of death" of € 278 thousand;

10.6.3 Other provisions

Captions	31.12.2018		31.12.2017	
	Other provisions	Provision for charitable donations	Other provisions	Provision for charitable donations
A. Opening balance	**38,991**	**561**	**12,953**	**556**
B. Provisions	11,250	-	49,379	107
C. Uses	(31,701)	(4)	(23,341)	(102)
D. Closing balance	**18,540**	**557**	**38,991**	**561**

Section 11 - Redeemable shares Caption 120

There are no amounts to be disclosed in this section.

Section 12 - Shareholders' equity Captions 110, 130, 140, 150, 160, 170 and 180

12.1 "Share capital" and "Treasury shares": breakdown

Treasury shares: breakdown	31.12.2018	31.12.2017
Ordinary shares no. 481,308,435	1,443,925	1,443,925
of which: treasury shares no. 455,458	*1,366*	*1,366*

12.2 Share capital – number of shares: annual changes

Descriptions/Types	Ordinaries	Others
A. Initial number of shares	**481,308,435**	**-**
- fully paid-in	481,308,435	-
- not fully paid-in	-	-
A.1 Treasury shares (-)	(455,458)	-
A.2 Shares outstanding: opening balance	**480,852,977**	**-**
B. Increases	**-**	**-**
B.1 New issues	-	-
- against payment:	-	-
- business combination transaction	-	-
- conversion of bonds	-	-
- esxercise of warrants	-	-
- others	-	-
- for free:	-	-
- to employees	-	-
- to directors	-	-
- others	-	-
B.2 Sales of treasury shares	-	-
B.3 Other changes	-	-
C. Decreases	**-**	**-**
C.1 Cancellation	-	-
C.2 Purchase of treasury shares	-	-
C.3 Business disposal transactions	-	-
C.4 Other changes	-	-
D. Shares outstanding: closing balance	**480,852,977**	**-**
D.1 Treasury shares (+)	455,458	-
D.2 Finala number of shares	481,308,435	-
- fully paid-in	481,308,435	-
- not fully paid-in	-	-

12.3 Share capital: other information

The Bank's share capital is represented solely by ordinary shares; such shares are not subject to rights, privileges or restrictions. At the reporting date, the Bank directly owns 455,458 treasury shares.

12.4 Reserves from profits: other information

Nature and description of shareholders' equity captions		Amount	(1) portion available for:		
			Cover losses	Increase in share capital	Allocation
Share capital		**1,443,925**	**-**	**-**	**-**
Share capital reserves:		**1,431,043**	**1,455,631**	**1,455,631**	**1,455,631**
share premium		930,073	930,073	930,073	930,073
other reserves		500,970	525,558	525,558	525,558
- concentration reserve (Law 218/90)		-	-	-	-
- equity element of convertible instruments		-	-	-	-
- differences of shareholders' equity		(24,597)	-	-	-
- surplus/deficit from mergers		525,558	525,558	525,558	525,558
- reserve art. 55 Decree 917/86		9	-	-	-
Reserves from profits:		**1,296,134**	**1,296,134**	**1,002,883**	**1,001,192**
ordinary / legal reserve		286,326	286,326		
other reserves		1,009,808	1,009,808	1,002,883	1,001,192
- extraordinary reserve		1,350,483	1,350,483	1,350,483	1,350,483
- reserve for other risks		1,807	1,807	1,807	1,807
- taxed reserve (Law 823/73)		2,872	2,872	2,872	2,872
- concentration reserve (art. 6 Law 461/1998)		45,711	45,711	45,711	45,711
- concentration reserve under Law 218/1990 (Amato)		1,207	1,207	1,207	1,207
- concentration reserve (Decree 124/93)	(2)	963	963	963	-
- reserve of dividends on treasury shares		9,447	9,447	9,447	9,447
- non-allocatable reserve - gains from FV or SE	(3)	6,925	6,925	-	-
- reserve from gains on FVO securities - available portion		197,064	197,064	197,064	197,064
- equity element of convertible instruments - available portion		6,772	6,772	6,772	6,772
- reserve for adjustments to pension Fund Section B		(2,941)	(2,941)	(2,941)	(2,941)
- contribution reserve	(4)	728	728	728	
- FTA reserves		35,733	35,733	35,733	35,733
- IAS profit (loss) for 2004		8,160	8,160	8,160	8,160
- rieserve for First Time Adoption IFRS 9		(744,892)	(744,892)	(744,892)	(744,892)
- other reserves		89,769	89,769	89,769	89,769
Valuation reserves:		**(82,514)**	**-**	**-**	**-**
- Valuation reserves for the financial assets measured at fair value through other comprehensive income		16,720	-	-	-
- reserve for cash-flow hedges		(1,070)	-	-	-
- reserve for actuarial gains (losses)		(98,218)	-	-	-
- reserve for revaluations		54	-	-	-
Treasury shares		**(7,253)**	**-**	**-**	**-**
Equity instruments		**-**	**-**	**-**	**-**
Total shareholders' equity		**4,081,335**	**2,751,765**	**2,458,514**	**2,456,823**

(1) In the last 3 years the extraordinary reserve was used for the dividends allocation for an amount of € 14,378 thousand.
(2) Management has decided that the reserves in suspense for tax purposes are not available for allocation.
(3) Pursuant to art. 6, paragraph 5 of Legislative Decree 38/05, these reserves can only be used after fully using the available reserves and the legal reserve.
(4) Relates to the contribution of the Bank's IT resources to BPER Services s.cons.p.a.

Reserves from profits are generally established when the profit resulting from the financial statements is allocated through a specific reserve.

The Italian Civil Code obliges companies to set aside at least 5% of profit in a special reserve until it reaches one-fifth of share capital. If, for whatever reason, the amount of the legal reserve falls below this limit of one-fifth of share capital, it has to be reinstated by setting aside at least one-twentieth of the profit until the shortfall is covered.
This caption also includes the effects generated by the transition to international accounting standards.

12.5 Equity instruments: breakdown and change in year

There are no amounts to be disclosed in this section.

12.6. Other information

There are no amounts to be disclosed other than those already provided in this section.

Other information

1. Commitments and financial guarantees granted (other than those designated at fair value)

	Nominal value on commitments and financial guarantees granted			Total 31.12.2018	Total 31.12.2017
	First stage	Second stage	Third stage		
Commitments to distribute funds	**11,571,763**	**4,498,517**	**244,231**	**16,314,511**	**-**
a) Central Banks	-	-	-	-	
b) Public Administrations	403,195	129,473	21,363	554,031	
c) Banks	573,826	-	-	573,826	
d) Other financial companies	1,679,888	345,036	1,512	2,026,436	
e) Non-financial companies	8,250,011	3,533,936	219,745	12,003,692	
f) Households	664,843	490,072	1,611	1,156,526	
Financial guarantees granted	**570,777**	**98,256**	**42,523**	**711,556**	**-**
a) Central Banks	-	-	-	-	
b) Public Administrations	259	-	8	267	
c) Banks	335	-	-	335	
d) Other financial companies	306,091	270	89	306,450	
e) Non-financial companies	239,381	89,863	40,478	369,722	
f) Households	24,711	8,123	1,948	34,782	

The table does not show figures at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 (which provided for the inclusion of revocable margins) is not applicable at that date.

2. Other commitments and other guarantees granted

	Nominal value	
	31.12.2018	31.12.2017
Other guarantees granted	**2,111,223**	**-**
of which: non performing	74,779	
a) Central Banks	-	
b) Public Administrations	1,986	
c) Banks	137,639	
d) Other financial companies	28,006	
e) Non-financial companies	1,851,769	
f) Households	91,823	
Other commitments	**-**	**-**
of which: non performing	-	
a) Central Banks	-	
b) Public Administrations	-	
c) Banks	-	
d) Other financial companies	-	
e) Non-financial companies	-	
f) Households	-	

The table does not include figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date.

3. Assets pledged as collateral of own liabilities and commitments

Portfolios	Amounts 31.12.2018	Amounts 31.12.2017
1. Financial assets measured at fair value through profit or loss	322,471	-
2. Financial assets measured to fair value through other comprehensive income	6,838,031	-
3. Financial assets measured at amortized cost	16,828,299	-
4. Property, plant and equipment	-	-
of which: inventories of property, plant and equipmet	-	-

The comparative figure at 31 December 2017, published in the financial statements at 31 December 2017, prepared in accordance with the 4th update of Bank of Italy Circular 262/2005, was valued at € 22,972,703 thousand.
The following details are provided:
- € 243,640 thousand of Financial assets held for trading;
- € 7,210 thousand of Financial assets measured at fair value through profit or loss;
- € 9,303,123 thousand of Financial assets available for sale;
- € 2,162,741 thousand of Financial assets held to maturity;
- € 268,828 thousand of Loans to banks;
- € 10,987,161 thousand of Loans to customers.

Type of assets pledged as collateral of own liabilities and commitments

	31.12.2018	31.12.2017
1. Assets sold as part of Covered Bonds operations	3,170,178	3,454,303
2. Securities and deposits pledged as collateral for derivative transactions	355,774	286,651
3. Securities pledged as collateral for securitisations	10,057	25,328
4. Securities pledged as collateral for treasury transactions	6,559,494	6,644,632
5. Loans pledged as collateral for treasury transactions	8,542,547	7,169,286
6. Securities and deposits pledged as collateral for repurchase agreements	4,655,651	4,607,961
7. Loans pledged as collateral for the related funding	169,280	356,222
8. Securities pledged as collateral for the subsidised loans funding	525,820	428,320

The amounts indicated in point 5 "Loans pledged as collateral for treasury transactions" include, in addition to A.BA.CO operations, Euro 4,264,143 thousand relating to mortgage loans sold as part of covered bond issues.
Operationally, the instruments provided as a collateral are represented by the Senior Notes originated by the transactions.
No securities pertaining to reverse repurchase agreements have been pledged as collateral for funding transactions (repurchase agreements).

4. Information on operating leases

Below is the information required by IAS 17, paragraph 35, letter b), concerning the minimum future payments due for operating lease transactions.

Total minimum future lease payments

Time bands	31.12.2018
up to 1 year	47,481
Over 1 up to 5 years	173,057
Over 5 years	41,803
Total	**262,341**

For the Bank, the most significant type of operating lease is represented by the lease contracts for properties intended for business use (bank branches). For the other types of operating leases, the commitments relating to the payments of future rents are not significant.

5. Management and dealing on behalf of third parties

Type of service	Total 31.12.2018
1. Trading on behalf of customers	**-**
a) purchases	-
1. settled	-
2. not-settled	-
b) sales	-
1. settled	-
2. not-settled	-
2. Individual portfolios management	**2,572,016**
3. Custody and administration of securities	**48,636,915**
a) third party securities held in deposit: related to depositary bank activities (excluding portfolio management)	-
1.securities issued by companies included in the consolidation area	-
2. other securities	-
b) third party securities held in deposit (excluding portfolio management): others	30,992,083
1.securities issued by companies included in the consolidation area	2,100,591
2. other securities	28,891,492
c) third party securities deposited with third parties	30,068,655
d) own portfolio securities deposited with third parties	17,644,832
4. Other transactions	**11,681,391**

6. Financial assets subject to offsetting in balance sheet or subject to netting framework arrangements or similar agreements

Types		Gross amount of financial assets (a)	Amount of financial liabilities offset in the balance sheet (b)	Net amount of financial assets shown in balance sheet (c=a-b)	Related amounts not subject to offsetting in balance sheet		Net amounts (f=c-d-e)	Net amounts (f=c-d-e)
					Financial instruments (d)	Cash deposits pledged as collateral (e)		
1. Derivatives		94,527	-	94,527	77,117	5,736	11,674	29,250
2. Repurchase agreements		228,088	-	228,088	227,893	-	195	667
3. Securities lending		-	-	-	-	-	-	-
4. Others		-	-	-	-	-	-	-
Total	**31.12.2018**	**322,615**	**-**	**322,615**	**305,010**	**5,736**	**11,869**	**X**
Total	**31.12.2017**	**707,154**	**-**	**707,154**	**671,336**	**5,901**	**X**	**29,917**

The amounts shown in the table relate to standard master agreements such as ISDA (International Swaps and Derivatives Association) and CSA (Credit Support Annex) agreements for derivatives and GMRA (Global Master Repurchase Agreement) for repurchase agreement transactions.
Under the agreements executed using the ISDA standard, offsetting of OTC derivative contracts is permitted in the event of default of either party to the agreement and, for almost all institutional counterparties, the terms of the CSA provide for cash collateral that is revised regularly based on the contracts' underlying value.
Repurchase agreement transactions entered into with institutional counterparties are governed by the GMRA standard, which, in addition to the delivery of the securities pertaining to the transactions, provide for cash collateral that is revised regularly based on the value of the securities.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of paragraph 42 of IAS 32.
The gross amounts (a) shown in the table relating to Derivatives are recorded under item 20 a) "Financial assets measured at fair value through profit or loss - Financial assets held for trading" for € 59,611 thousand and under item 50 "Hedging derivatives" for € 34,916 thousand; the related financial instruments (d) consist of derivatives recorded under caption 20 "Financial liabilities held for trading" and under caption 40 "Hedging derivatives", whereas cash deposits received (e) are recorded under caption 10 a) "Due to banks" and in the caption 10 b) "Due to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 40 a) "Financial assets measured at amortised cost - Loans to customers" at an amount of € 228,088 thousand; The related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits received (e) are recorded under caption 10 a) "Due to banks" and 10 b) "Due to customers".

7. Financial liabilities subject to offsetting in balance sheet or subject to netting framework arrangements or similar agreements

Types		Gross amount of financial liabilities (a)	Amount of financial assets offset in the balance sheet (b)	Net amount of financial liabilities shown in balance sheet (c=a-b)	Related amounts not subject to offsetting in balance sheet		Net amount (f=c-d-e)	Net amount (f=c-d-e)
					Financial instruments (d)	Cash deposits pledged as collateral (e)		
1. Derivatives		227,334	-	227,334	77,117	148,382	1,835	955
2. Repurchase agreements		4,478,912	-	4,478,912	4,478,040	-	872	3,645
3. Securities lending		-	-	-	-	-	-	-
4. Others		-	-	-	-	-	-	-
Total	**31.12.2018**	**4,706,246**	**-**	**4,706,246**	**4,555,157**	**148,382**	**2,707**	**X**
Total	**31.12.2017**	**4,759,707**	**-**	**4,759,707**	**4,673,635**	**81,472**	**X**	**4,600**

With regard to the types of master agreements, the points made in respect of the previous table apply here as well.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of paragraph 42 of IAS 32.
The gross amounts (a) shown in the table relate to € 141,617 thousand of derivatives recorded under caption 20 "Financial liabilities held for trading" and € 85,717 thousand recorded under caption 40 "Hedging derivatives"; the related financial instruments (d) consist of derivatives recorded under caption 20 "Financial assets measured at fair value through profit or loss - Financial assets held for trading" and under caption 50 "Hedging derivatives", whereas cash deposits made (e) are recorded under caption 40 a) "Loans to banks" and under caption 40 b) "Loans to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 10 a) "Due to banks" at an amount of € 4,387,677 thousand and under caption 10 b) "Due to customers" at an amount of € 91,235 thousand; related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits made (e) are recorded under caption 40 a) "Loans to banks" and 40 b) "Loans to customers".

8. Securities lending transactions

Type of lender/Use	As collateral of own financing operations	Sold	Subject to repurchase agreements	Other	31.12.2018
a) Banks	-	-	-	-	-
b) Public Entities	-	-	-	-	-
c) Non-financial companies	-	-	-	-	-
d) Financial companies	2,171,226	-	-	-	2,171,226
e) Insurance companies	-	-	-	-	-
f) Others	-	-	-	-	-
Total	**2,171,226**	**-**	**-**	**-**	**2,171,226**

9. Disclosure on joint control activities

There are no amounts to be disclosed in this section.

Part C – Information on the income statement

Section 1 - Interest Captions 10 and 20

1.1 Interest and similar income: breakdown

Captions/Technical forms	Debt securities	Loans	Other transactions	Total 31.12.2018	Total 31.12.2017
1.Financial assets measured at fair value through profit or loss:	**12,790**	**-**	**-**	**12,790**	
1.1 Financial assets held for trading	3,757	-	-	3,757	
1.2 Financial assets designated at fair value	5,200	-	-	5,200	
1.3 Other financial assets mandatorily measured at fair value	3,833	-	-	3,833	
2. Financial assets measured at fair value through other comprehensive income	**104,816**	**-**	**X**	**104,816**	
3. Financial assets measured at amortised cost:	**61,420**	**822,574**	**X**	**883,994**	
3.1 Loans to banks	14,003	7,304	X	21,307	
3.2 Loans to customers	47,417	815,270	X	862,687	
4. Hedging derivatives	**X**	**X**	**(35,281)**	**(35,281)**	
5. Other assets	**X**	**X**	**724**	**724**	
6. Financial liabilities	**X**	**X**	**X**	**45,025**	
Total	**179,026**	**822,574**	**(34,557)**	**1,012,068**	**1,067,225**
of which: income interests on impaired financial assets	4	57,471	-	57,475	-

Caption "6. Financial liabilities" includes the benefit, € 37.1 million, deriving from application of the negative rate of 0.40% applied on the funding obtained from the ECB under the TLTRO II programme.

The interest income at 31 December 2017, reported only in total, derives from the data published in the Financial Statements at 31 December 2017, prepared in conformity with the 4th update of Bank of Italy Circular 262/2005. The following details are provided
- € 10,537 thousand on Financial assets held for trading;
- € 281 thousand on Financial assets measured at fair value through profit or loss;
- € 119,542 thousand on Assets available for sale
- € 57,171 thousand on Financial assets held to maturity;
- € 6,384 thousand on Loans to banks
- € 831,392 thousand on Loans to customers
- € 41,918 thousand on Other assets (including € 33 million of interest on TLTRO2 transactions).

1.2 Interest and similar income: other information

1.2.1 Interest income on foreign currency financial assets

Captions	31.12.2018	31.12.2017
Interest income on foreign currency financial assets	6,541	44,965

1.2.2 Interest income on finance lease transactions

Captions	31.12.2018	31.12.2017
Interest income on finance lease transactions	832	10,014

1.3 Interest and similar expense: breakdown

Captions/Technical forms	Debts securities	Loans	Other transactions	Total 31.12.2018	Total 31.12.2017
1. Financial liabilities measured at amortised cost	132,057	106,723	X	238,780	244,614
1.1 Due to central banks	-	X	X	-	-
1.2 Due to banks	48,043	X	X	48,043	33,873
1.3 Due to customers	84,014	X	X	84,014	87,518
1.4 Debt securities issued	X	106,723	X	106,723	123,223
2. Financial liabilities held for trading	1,262	-	3,476	4,738	3,490
3. Financial liabilities designated at fair value	-	-	-	-	3,083
4. Other liabilities and provisions	X	X	-	-	-
5. Hedging derivatives	X	X	(16,041)	(16,041)	4,845
6. Financial assets	X	X	X	10,731	7,721
Totale	**133,319**	**106,723**	**(12,565)**	**238,208**	**263,753**

1.4 Interest and similar expense: other information

1.4.1 Interest expense on foreign currency liabilities

Captions	31.12.2018	31.12.2017
Interest expense on foreign currency liabilities	40,849	28,214

1.4.2 Interest expense on finance lease transactions

Captions	31.12.2018	31.12.2017
Interest expense on finance lease transactions	5	6

1.5 Differentials on hedging transactions

Captions	Total 31.12.2018	Total 31.12.2017
A. Positive differentials on hedging transactions	46,347	52,851
B. Negative differentials on hedging transactions	(65,587)	(57,696)
C. Balance (A-B)	**(19,240)**	**(4,845)**

Section 2 - Commissions Captions 40 and 50

2.1 Commission income: breakdown

Type of service/Amounts	Total 31.12.2018	Total 31.12.2017
a) guarantees granted	24,921	25,859
b) credit derivatives	-	-
c) management, brokerage and consulting:	260,846	229,913
1. trading on financial instruments	23	451
2. trading on foreign currencies	5,317	4,728
3. individual portfolio management	25,587	21,882
4. custody and administration of securities	3,885	3,762
5. depositary bank	-	-
6. placement of securities	130,909	123,195
7. order taking and trasmission	11,218	10,062
8. advisory services	5,861	4,712
8.1 on investments	-	-
8.2 on financial structure	5,861	4,712
9. distribution of third-party services	78,046	61,121
9.1 portfolio management	1,982	1,696
9.1.1 individuals	-	-
9.1.2 collectives	1,982	1,696
9.2 insurance products	46,566	31,943
9.3 other products	29,498	27,482
d) collection and payments services	89,522	85,885
e) services related to securitisations	706	571
f) services for factoring transactions	-	-
g) tax collection services	-	-
h) management of multilateral trading system	-	-
i) maintenance and management of current accounts	113,737	110,733
j) other services	139,795	137,746
1. commissions income on other loans to customers	102,144	101,755
2. commissions income on pos and pagobancomat services	19,375	19,518
3. other commisions income	18,276	16,473
Total	**629,527**	**590,707**

With respect to the qualitative information on the types of revenue from relations with customers falling within the scope regulated by IFRS 15, we think that the details required by the Bank of Italy's Circular 262 is adequate.
Commission income includes the following types of variable income:
- Commissions related to the placement of "profit share" Arca products, the amount of which in the financial statements is determined on the basis of an estimate, the OP of which is fully fulfilled by the end of the year;
- Placement fees for "credit protection" insurance products with a single initial premium, which incorporate the possibility of having to repay (ultimately to customers) part of the placement fees received by the distributor, for the portion of the premium not received up front of an insurance contract terminated in advance of the contractual expiry date. This type of product therefore requires an estimate of the amount of the commission not subject to repayment risk (hence the variable nature of the revenue), against an OP that has been fully fulfilled at the balance sheet date (placement of the insurance product);
- Performance fees provided for in asset management mandates, calculated as a percentage of the difference between the actual operating result and the benchmark result for the period. These commissions are determined quarterly or annually and recognised once the result of the managed line has been ascertained, which means they have to be estimated at the end of the period;
- Additional amounts of commission on insurance products, which represent the additional remuneration of the Bank's performance with respect to certain quality levels. The variable amount is based on the total placed and is estimated at the end of the year based on the degree of achievement of the objectives required to obtain it.

2.2 Commission income: distribution channels of products and services

Channels/Amounts	Total 31.12.2018	Total 31.12.2017
a) at own branches:	**234,542**	**206,198**
1. portfolio management	25,587	21,882
2. securities placement	130,909	123,195
3. third party services and products	78,046	61,121
b) out-of-branche offer:	**-**	**-**
1. portfolio management	-	-
2. securities placement	-	-
3. third party services and products	-	-
c) other distributive channels:	**-**	**-**
1. portfolio management	-	-
2. securities placement	-	-
3. third party services and products	-	-

2.3 Commission expense: breakdown

Type of services/Amounts	Total 31.12.2018	Total 31.12.2017
a) guarantees received	2,115	1,833
b) credit derivatives	-	-
c) management and brokerage services	12,298	10,586
1.trading on financial instruments	513	506
2. trading on foreign currencies	-	-
3. portfolio management:	9,585	8,160
3.1 own portfolio	-	-
3.2 third party portfolio	9,585	8,160
4. custody and administration of securities	1,320	1,275
5. placement of financial instruments	880	645
6. out-of-branche offer of securities, financial instruments, products and services	-	-
d) collection and payment services	4,591	4,511
e) other services	20,176	15,472
Total	**39,180**	**32,402**

Section 3 - Dividends and similar income
Caption 70

3.1 Dividends and similar income: breakdown

Captions/Income	Total 31.12.2018		Total 31.12.2017	
	Dividends	Similar income	Dividends	Similar income
A. Financial assets held for trading	2,325	133	2,572	265
B. Other financial assets mandatorily measured at fair value	16,494	4,562	30	267
C. Financial assets measured at fair value through other comprehensive income	10,450	-	8,733	403
D. Equity investments	11,220	-	27,123	-
Total	**40,489**	**4,695**	**38,458**	**935**

Section 4 - Net income from trading activities
Caption 80

4.1 Net income from trading activities: breakdown

Transactions /Income items	Capital gains (A)	Profits on trading (B)	Capital losses (C)	Losses on trading (D)	Net result [(A+B) - (C+D)]
1. Financial assets held for trading	**1,627**	**15,605**	**(21,844)**	**(6,629)**	**(11,241)**
1.1 Debt securities	914	11,642	(2,780)	(3,450)	6,326
1.2 Equity instruments	713	2,997	(19,064)	(2,078)	(17,432)
1.3 UCITS units	-	966	-	(1,101)	(135)
1.4 Loans	-	-	-	-	-
1.5 Others	-	-	-	-	-
2. Financial liabilities held for trading	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Debts	-	-	-	-	-
2.3 Others	-	-	-	-	-
3. Financial assets and liabilities: exchange differences	**X**	**X**	**X**	**X**	**5,279**
4. Derivative instruments	**42,877**	**141,081**	**(45,434)**	**(130,858)**	**6,490**
4.1 Financial derivatives:	42,530	141,031	(45,434)	(130,726)	6,225
- on debt securities and interest rates	41,034	136,926	(44,193)	(124,108)	9,659
- on equities and stock indexes	1,496	1,845	(1,241)	(1,466)	634
- on currency and gold	X	X	X	X	(1,176)
- others	-	2,260	-	(5,152)	(2,892)
4.2 Credit derivatives	347	50	-	(132)	265
of which: natural hedges connected with the fair value option	X	X	X	X	-
Total	**44,504**	**156,686**	**(67,278)**	**(137,487)**	**528**

Section 5 – Net income from hedging activities Caption 90

5.1 Net income from hedging activities: breakdown

Income items/Amounts	Total 31.12.2018	Total 31.12.2017
A. Income from:		
A.1 Fair value hedging derivatives	21,476	25,118
A.2 Hedged financial assets (fair value)	72,646	2,423
A.3 Hedged financial liabilities (fair value)	7,656	17,172
A.4 Cash-flow hedging derivatives	-	-
A.5 Foreign currency assets and liabilities	-	-
Total income from hedging activity (A)	**101,778**	**44,713**
B. Charges from:		
B.1 Fair value hedges	82,016	20,194
B.2 Hedged financial assets (fair value)	12,021	25,013
B.3 Hedged financial liabilities (fair value)	6,274	-
B.4 Cash-flow hedging derivatives	-	-
B.5 Foreign currency assets and liabilities	-	-
Total charges from hedging activity (B)	**100,311**	**45,207**
C. Net income from hedging activities (A-B)	**1,467**	**(494)**
of which: result of hedging on net positions	-	-

Section 6 – Gains (Losses) on disposal or repurchase Caption 100

6.1 Gains (Losses) on disposal or repurchase: breakdown

Captions/Income items	Total 31.12.2018			Total 31.12.2017		
	Gains	Losses	Net result	Gains	Losses	Net result
A. Financial assets						
1. Financial assets measured at amortised cost	16,245	(73,924)	(57,679)			
1.1 Due to banks	-	-	-			
1.2 Due to customers	16,245	(73,924)	(57,679)			
2. Financial assets measured at fair value through other comprehensive income	168,150	(8,733)	159,417			
2.1 Debt securities	168,150	(8,733)	159,417			
2.2 Loans	-	-	-			
Total assets (A)	184,395	(82,657)	101,738	58,692	(19,049)	39,643
B. Financial liabilities measured at amortised cost						
1. Due to banks	-	-	-			
2. Due to customers	-	-	-			
3. Debt securities issued	1,246	(233)	1,013			
Total liabilities (B)	1,246	(233)	1,013	1,105	(554)	551

The net result relating to "Financial assets valued at amortised cost" includes the net losses realized on the NPL sales referred to in the "Aqui" (€ 54.8 million from the sale of Mezzanine and Junior notes, plus € 8.5 million from the assignment of loans and receivables to the SPV).
The gains realised on the FVOCI portfolio mainly relate to the disposal of debt securities classified in the HTC&S portfolio.
The net result at 31 December 2017, reported only in total, refers to the data published in the financial statements at 31 December 2017, prepared in conformity with the 4th update of Bank of Italy Circular 262/2005. The following details are provided
The net result from financial activities (€ 39,643 thousand) is analysed below:
-net profit of € 1,191 thousand on amounts loans to banks;
-net loss of € 9,797 thousand on loans to customers;
-net profit of € 47,933 thousand on Financial assets available for sale (of which € 34,251 thousand on debt securities, € 7,221 thousand on equity instruments and € 6,461 thousand on units in UCITS);
- € 316 thousand on Financial assets held to maturity, while the net result from Financial liabilities (€ 551 thousand) related to the Debt securities issued.

Section 7 – Net income on financial assets and liabilities measured at fair value through profit or loss Caption 110

7.1 Net change in value of other financial assets and liabilities measured at fair value through profit or loss: breakdown on financial assets and liabilities designated at fair value

Transactions/Income items	Capital gains (A)	Gains on disposal (B)	Capital losses (C)	Losses on disposal (D)	Net result [(A+B) - (C+D)]
1. Financial assets	**55**	**-**	**(4,493)**	**-**	**(4,438)**
1.1 Debt securities	55	-	(4,493)	-	(4,438)
1.2 Loans	-	-	-	-	-
2. Financial liabilities	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Due to banks	-	-	-	-	-
2.3 Due to customers	-	-	-	-	-
3. Foreign currency financial assets and liabilities: exchange differences	X	X	X	X	**60**
Total	**55**	**-**	**(4,493)**	**-**	**(4,378)**

7.2 Net change in value of other financial assets and liabilities measured at fair value through profit or loss: breakdown of other financial assets mandatorily measured at fair value

Transactions/Income items	Capital gains (A)	Gains on disposal (B)	Capital losses (C)	Losses on disposal (D)	Net Result [(A+B) - (C+D)]
1. Financial assets	**33,105**	**1,657**	**(21,157)**	**(61)**	**13,544**
1.1 Debt securities	7,974	49	(4,014)	(20)	3,989
1.2 Equity securities	17,797	1,567	(1,900)	-	17,464
1.3 UCITS units	7,334	41	(15,243)	(41)	(7,909)
1.4 Loans	-	-	-	-	-
2. Foreign currency financial assets: exchange differences	X	X	X	X	**543**
Total	**33,105**	**1,657**	**(21,157)**	**(61)**	**14,087**

Section 8 – Net impairment losses for credit risk Caption 130

8.1 Net impairment losses for credit risk relating to financial assets measured at amortised cost: breakdown

Transactions/Income items	Impairment losses (1)			Write - backs (2)		Total	Total
	First and second stage	Third stage		First and second stage	Third stage		
		Write-off	Others			31.12.2018	31.12.2017
A. Loans to banks	(555)	-	-	255	-	(300)	-
- Loans	-	-	-	255	-	255	-
- Debt securities	(555)	-	-	-	-	(555)	-
of which: purchased or originated credit-impaired financial assets	-	-	-	-	-	-	-
B. Loans to customers	(2,326)	(47,760)	(482,857)	31,053	352,285	(149,605)	(395,549)
- Loans	(1)	(47,760)	(482,857)	31,053	352,285	(147,280)	(391,049)
- Debt securities	(2,325)	-	-	-	-	(2,325)	(4,500)
of which: purchased or originated credit-impaired financial assets	-	-	-	-	-	-	-
Total	**(2,881)**	**(47,760)**	**(482,857)**	**31,308**	**352,285**	**(149,905)**	**(395,549)**

8.2 Net impairment losses for credit risk relating to financial assets measured at fair value through other comprehensive income: breakdown

Transactions/Income items	Impairment losses (1)			Write - backs (2)		Total	Total
	First and second stage	Third stage		First and second stage	Third stage	31.12.2018	31.12.2017
		Write-off	Others				
A. Debt securities	-	-	-	1,893	-	1,893	
B. Loans	-	-	-	-	-	-	
- to customers	-	-	-	-	-	-	
- to banks	-	-	-	-	-	-	
of which: purchased or originated credit-impaired financial assets	-	-	-	-	-	-	
Total	**-**	**-**	**-**	**1,893**	**-**	**1,893**	**(91,390)**

The interest income at 31 December 2017, reported only in total, derives from the data published in the Financial Statements at 31 December 2017, prepared in conformity with the 4th update of Bank of Italy Circular 262/2005. The following details are provided:
- € 4,392 thousand for net impairment losses to debt securities;
- € 30,626 thousand for net impairment losses to equity instruments
- € 56,372 thousand for net impairment losses to units in UCITS.

Section 9 - Gains (Losses) from contractual modifications without derecognition
Caption 140

9.1 Gains (Losses) from contractual modifications: breakdown

The item in question includes the economic impact of contractual modifications that do not qualify for derecognition of the assets and which, as a result, entail a change in the related amortised cost based on discounting the new contractual flows to the original IRR.
The scope of the exposures under consideration is represented by a portion of the forborne exposures (performing and non-performing), or situations in which the contractual modifications is linked to the borrower's financial difficulty and this amendment does not fall within the concept of "substantial modification" qualified by BPER Banca.
The impact calculated on this perimeter is added to the impairment losses envisaged by the Group in application of its own policies for the assessment of performing and non-performing loans and adds, for the two types of exposures, to Euro 1,128 thousand and Euro 1,012 thousand respectively.

Section 10 – Administrative expenses Caption 160

10.1 Staff costs: breakdown

Type of costs/Amounts	Total 31.12.2018	Total 31.12.2017
1) Employees	**572,700**	**539,854**
a) wages and salaries	419,206	393,577
b) social security charges	108,895	103,284
c) Termination indemnities	23,815	23,120
d) Pension expenses	-	-
e) provision for employee termination indemnities	694	705
f) provision for pension and similar commitments:	528	637
- defined contribution plan	-	-
- defined benefit plans	528	637
g) payments to external supplementary pension funds:	11,813	11,351
- defined contribution plan	11,813	11,351
- defined benefit plans	-	-
h) costs from share based payments	(67)	(70)
i) other personnel benefits	7,816	7,250
2) Other not-retired employees	**12,648**	**12,105**
3) Directors and Statutory Auditors	**4,058**	**3,956**
4) Retired employees	**769**	**1,100**
5) Recovery of costs for employees seconded to other companies	**(67,487)**	**(62,589)**
6) Refunds of costs for third party employees seconded to the company	**11,015**	**10,079**
Total	**533,703**	**504,505**

10.2 Average number of employees by category

	31.12.2018	31.12.2017
Employees:	**7,136**	**6,997**
a) Managers	147	149
b) Middle managers	2,417	2,311
c) Other employees	4,572	4,537
Other employees	**239**	**226**

10.2 bis Number of employees by category: banking group

	31.12.2018	31.12.2017
Employees:	**8,292**	**8,323**
a) Managers	175	175
b) Total 3rd and 4th level middle managers	1,165	1,124
c) Total 1st and 2nd level middle managers	1,565	1,562
d) Other employees	5,387	5,462
Other employees	**248**	**202**

10.3 Provisions for defined-benefit pension plans: costs and revenues

Type of costs/Amounts	31.12.2018	31.12.2017
Provisions for defined-benefit pension plans	528	637

For more information on defined-benefit pension plans, please refer to Part B of these Explanatory Notes, section 10 "Provisions for risks and charges".

10.4 Other personnel benefits

Type of costs/Amounts	31.12.2018	31.12.2017
Other personnel benefits	7,816	7,250

10.5 Other administrative expenses: breakdown

Captions	31.12.2018	31.12.2017
Indirect taxes and duties	**103,721**	**104,241**
Stamp duty	88,695	89,498
Other indirect taxes with right of recourse	6,961	7,142
Municipal property tax	4,233	3,882
Others	3,832	3,719
Other costs	**469,369**	**428,325**
Maintenance and repairs	13,868	15,451
Rental expense	60,687	58,260
Post office, telephone and telegraph	9,804	9,550
Data transmission fees and use of databases	20,760	19,298
Advertising	12,494	13,570
Consulting and other professional services	68,611	52,205
Insurance	4,338	5,945
Cleaning of office premises	5,924	5,919
Printing and stationery	2,692	2,899
Energy and fuel	9,806	9,904
Transport	8,062	8,520
Staff training and expense refunds	9,632	8,921
Information and surveys	7,466	9,122
Security	7,170	6,528
Administrative services	70,360	62,378
Use of external data gathering and processing services	97,273	90,739
Membership fees	5,599	4,898
Condominium expenses	2,044	2,239
Contribution to SRF, DGS, IDPF-VS	41,087	28,903
Sundry other	11,692	13,076
Total	**573,090**	**532,566**

"SRF, DGS, IDPF-VS contributions" comprise the 2018 ordinary contribution to the SRF (European Single Resolution Fund), € 16,834 thousand; the additional contribution requested by the SRF (European Single Resolution Fund) for 2016 from Italian banks, €7,422 thousand and the 2018 contribution to the DGS (Deposit Guarantee Scheme), € 16,831 thousand.

Section 11 – Net provisions for risks and charges Caption 170

11.1 Net provisions for credit risk on commitments to distribute funds and financial guarantees granted: breakdown

Type of risks and charges	Impairment losses			Write-backs			31.12.2018	31.12.2017
	First stage	Second stage	Third stage	First stage	Second stage	Third stage		
Commitments to distribute funds	(7)	(638)	-	332	26	-	(287)	
Financial guarantees granted	-	(418)	(8,741)	271	-	18,796	9,908	
Total	**(7)**	**(1,056)**	**(8,741)**	**603**	**26**	**18,796**	**9,621**	**(14,818)**

The figure at 31 December 2017, shown only as a total, refers to the figures published in the financial statements at 31 December 2017, prepared in accordance with the 4th update of Bank of Italy Circular 262/2005, and refers to net impairment losses to guarantees granted.

11.2 Net provisions on other commitments and other guarantees granted: breakdown

Type of risks and charges	Impairment losses	Write-backs	31.12.2018	31.12.2017
Other guarantees granted	(4,408)	6,696	2,288	-
Other commitments	-	-	-	-
Total	**(4,408)**	**6,696**	**2,288**	**-**

The table does not include figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date.

11.3 Net provisions for other risks and charges: breakdown

Type of risks and charges	31.12.2018	31.12.2017
A. Provisions	**(48,752)**	**(42,776)**
1. for legal disputes	(43,597)	(26,650)
2. other	(5,155)	(16,126)
B. Write-backs	**33,113**	**18,325**
1. for legal disputes	9,681	13,865
2. other	23,432	4,460
Total	**(15,639)**	**(24,451)**

Section 12 – Net adjustments to property, plant and equipment
Caption 180

12.1 Net adjustments to property, plant and equipment: breakdown

Asset/Income items	Depreciation (a)	Impairment losses (b)	Write-backs (c)	Net result (a + b - c)
A. Property, plant and equipment				
A.1 Owned	(20,398)	(3,798)	-	(24,196)
- used in operations	(18,656)	(351)	-	(19,007)
- held for investment	(1,742)	(3,447)	-	(5,189)
- Inventories	X	-	-	-
A.2 Purchase under finance leases	(95)	-	-	(95)
- used in operations	(95)	-	-	(95)
- held for investment	-	-	-	-
Total	**(20,493)**	**(3,798)**	**-**	**(24,291)**

The "Impairment losses" derive from the impairment test carried out in compliance with IAS 36 on a number of property units.

Section 13 - Net adjustments to intangible assets
Caption 190

13.1 Net adjustments to intangible assets: breakdown

Asset/Income items	Depreciation (a)	Impairment losses (b)	Write-backs (c)	Net risult (a + b - c)
A. Intangible assets				
A.1 Owned	(2,203)	-	-	(2,203)
- Generated internally by the company	-	-	-	-
- Other	(2,203)	-	-	(2,203)
A.2 Purchased under finance leases	-	-	-	-
Total	**(2,203)**	**-**	**-**	**(2,203)**

Section 14 – Other operating expense (income) Caption 200

14.1 Other operating expense: breakdown

Description/Amounts	31.12.2018	31.12.2017
Reimbursement of interest for collections and payments settled through the clearing house	435	465
Amortisation of leasehold improvement expenditure	1,553	2,206
Other	41,297	15,760
Total	**43,285**	**18,431**

14.2 Other operating income: breakdown

Description/Amounts	31.12.2018	31.12.2017
Rental income	5,079	4,705
Recovery of taxes	95,118	95,903
Other income	62,416	66,753
Total	**162,613**	**167,361**

Other income includes recoveries for services provided to Group companies (€ 11,050 thousand), recoveries for rapid preliminary investigation fees (€ 18,288 thousand) and write-backs of provisions for legal disputes (€ 10,534 thousand)

Section 15 – Gains (Losses) of equity investments Caption 220

15.1 Gains (Losses) of equity investments: breakdown

Income items/Amounts	Total 31.12.2018	Total 31.12.2017
A. Gains	**-**	**43**
1. Revaluations	-	-
2. Gains on disposals	-	43
3. Writebacks	-	-
4. Other income	-	-
B. Losses	**(48,681)**	**(6,921)**
1. Write-downs	-	-
2. Impairment losses	(48,681)	(6,640)
3. Loss from disposals	-	(281)
4. Other charges	-	-
Net result	**(48,681)**	**(6,878)**

The "Impairment losses" derive from the impairment test carried out on the equity investments in Cassa di Risparmio di Saluzzo s.r.l. (€ 25,278 thousand), Sardaleasing s.p.a. (€ 20,116 thousand), Immobiliare Oasi nel Parco s.r.l, Italiana Valorizzazioni Immobiliari s.r.l.

Section 16 – Valuation differences on property, plant and equipment and intangible assets
Caption 230

There are no amounts to be disclosed in this section.

Section 17 – Impairment losses on goodwill
Caption 240

17.1 Impairment losses on goodwill: breakdown

The impairment test, carried out in accordance with IAS 36, made it necessary to impairment the goodwill recorded by the Bank (Euro 54,444 thousand). For further details on how the impairment test is carried out and the related results, please refer to Part B, Section 10 - Intangible assets in the explanatory notes to the consolidated financial statements.

Section 18 – Gains (Losses) on disposal investments
Caption 250

18.1 Gains (Losses) on disposal investments

Income items/Amounts	Total 31.12.2018	Total 31.12.2017
A. Assets	95	56
- Gains on disposal	137	58
- Losses on disposal	(42)	(2)
B. Other assets	(45)	(6)
- Gains on disposal	6	31
- Losses on disposal	(51)	(37)
Net profit	**50**	**50**

Section 19 - Income taxes for the year on current operations
Caption 270

19.1 Income taxes for the year on current operations: breakdown

Income items/Amounts	Total 31.12.2018	Total 31.12.2017
1. Current tax (-)	2,429	1,703
2. Change in current tax of prior years (+/-)	(1,863)	206
3. Reduction in current tax for the year (+)	-	-
3. bis Reduction in current tax for the year for tax credit pursuant to L. 214/2011 (+)	56,823	132,585
4. Change in deferred tax assets (+/-)	(16,966)	(148,870)
5.Change in deferred tax liabilities (+/-)	13,362	2,773
6. Tax for the year (-) (-1+/-2+3+3bis+/-4+/-5)	**53,785**	**(11,603)**

19.2 Reconciliation between the theoretical tax charge to total income tax expense for the year

IRES	31.12.2018
Profit (Loss) from current operations before tax	**252,930**
Negative components of the gross result definitively considered not relevant (+)	**66,925**
Losses on disposal/remeasurement of securities and equity investments	48,681
Non-deductible taxes (other than on income)	3,418
Administrative expenses of limited deductibility	3,241
Other non-deductible costs	1,994
Net provisions for sundry disputes	5,256
Write-down of property, plant and equipment	3,447
Other	888
Positive components of the gross result definitively considered not relevant (-)	**(51,522)**
Non-relevant portion of gains on disposal/measurement of securities and equity investments	(16,106)
Non-relevant portion of dividends	(35,416)
Definitive increases not linked to elements of the gross result (+)	**15,397**
Temporary differences recoverable beyond the time horizon of the probability test	15,397
Definitive decreases not linked to elements of the gross result (-)	**(466,753)**
FTA IFRS 9	(192,810)
Prior year tax losses	(254,244)
A.C.E. (aid for economic growth) deduction	(19,699)
Basis of calculation of IRES shown in the income statement	**(183,023)**
IRES tax rate	*27.50%*
Effective IRES	**(50,331)**
Effective IRES tax rate	*-19.90%*

IRAP	31.12.2018
Profit (Loss) from current operations before tax	**252,930**
Negative components of the gross result definitively considered not relevant (+)	**141,504**
Non-deductible interest expense	-
Non-deductible portion of depreciation/amortisation on assets used in business	18,858
Other non-deductible administrative expenses	57,309
Staff costs net of permitted deductions	9,116
Other net impairment losses (caption 130 of the income statement)	
Net provisions for risks and charges	3,730
Losses of equity investments	48,681
IMU	3,810
Other	
Positive components of the gross result definitively considered not relevant (-)	**(36,621)**
Non-relevant portion of dividends	(20,244)
Gains of equity investments	
Other operating income	(14,484)
Other write-backs as per Section 130 of the Income Statement	(1,893)
Definitive increases not linked to elements of the gross result (+)	**15,397**
Temporary differences recoverable beyond the time horizon of the probability test	15,397
Definitive decreases not linked to elements of the gross result (-)	**(448,172)**
Recovery of non-relevant charges of prior periods (loan disposals)	(177,044)
FTA IFRS 9	(271,128)
Other	
Basis of calculation of IRAP shown in the income statement	**(74,962)**
Weighted average nominal rate of IRAP	5.57%
Effective IRAP	(4,175)
Effective IRAP tax rate	-1.65%

Out-of-period IRES and IRAP and other taxes	31.12.2018
Total impact	**722**
Changes in current taxes not for the year	487
Other	235
Effective out-of-period IRES and IRAP and other taxes	0.29%

Total tax on gross result	31.12.2018
IRES + IRAP + other taxes	**(53,785)**
Overall effective tax rate	-21.27%

Section 20 - Gains (Losses) from non-current assets and disposal groups classified as held for sale after tax
Caption 290

There are no amounts to be disclosed in this section.

Section 21 - Other information

The information contained in the above sections is deemed to be detailed and completed, thus providing a full picture of the results.

Section 22 - Earnings per share

IAS 33 requires disclosure of basic and diluted earnings per share (EPS), specifying how each is calculated.
Basic earnings per share reflect the relationship between:

- the earnings attributable to ordinary shareholders, and
- the weighted average number of shares outstanding during the period.

Diluted earnings per share reflect the relationship between:

- the earnings used to calculate basic EPS, as adjusted by the economic effects of converting all outstanding convertible bonds into shares at period end,
- and the number of shares used to calculate Basic EPS, as adjusted by the weighted average of the potential ordinary shares with a diluting effect deriving from the conversion of bonds outstanding at period end.

	31.12.2018			31.12.2017		
	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)
Basic EPS	306,715	480,852,977	0.638	208,844	480,852,977	0.434
Diluted EPS	306,715	480,852,977	0.638	208,844	480,852,977	0.434

The following tables reconcile the weighted average number of ordinary shares outstanding used to calculate basic earnings per share with the number of ordinary shares used to calculate diluted earnings per share; they also reconcile profit for the year with the net income used to determine basic and diluted earnings per share.

22.1 Average number of ordinary shares (fully diluted)

	31.12.2018	31.12.2017
Weighted average number of outstanding ordinary shares for Base EPS calculation	480,852,977	480,852,977
Weighted dilutive effect the potential conversion of convertible bonds	-	-
Weighted average number of outstanding ordinary shares for diluted EPS calculation	480,852,977	480,852,977

22.2 Other informations

	31.12.2018	31.12.2017
Profit (Loss) for the year	306,715	208,844
Allocations not attributable to the shareholders	-	-
Net profit for Basic EPS calculation	306,715	208,844
Change in income and charges deriving form conversion	-	-
Net profit for diluted EPS calculation	306,715	208,844

Part D – Other comprehensive income

DETAILED STATEMENT OF OTHER COMPREHENSIVE INCOME

	Captions	31.12.2018	31.12.2017
10.	**Profit (Loss) for the year**	**306,715**	**220,447**
	Other comprehensive income that will not be reclassified to profit or loss	19,020	
20.	Equity instruments measured at fair value through other comprehensive income	22,539	-
	a) changes in fair value	22,542	-
	b) transfer to other components of shareholders' equity	(3)	-
30.	Financial liabilities designated at fair value through profit or loss (changes in own creditworthiness):	-	-
	a) changes in fair value	-	-
	b) transfer to other components of shareholders' equity	-	-
40.	Hedge of equity instruments measured at fair value through other comprehensive income:	-	-
	a) change in fair value (hedged instrument)	-	-
	b) change in fair value (hedging instrument)	-	-
50.	Property, plant and equipment	-	-
60.	Intangible assets	-	-
70.	Defined benefit plans	90	(389)
80.	Non-current assets and disposal group classified as held for sale	-	-
90.	Share of valuation reserves connected with equity investments carried at equity	-	-
100.	Income taxes relating to other comprehensive income that will not be reclassified to profit or loss	(3,609)	(269)

(cont.)

Captions		31.12.2018	31.12.2017
	Other comprehensive income that may be reclassified to profit or loss	**(200,022)**	**(236,267)**
110.	Hedge of foreign investments:	-	-
	a) changes in fair value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
120.	Foreign exchange differences:	-	-
	a) change in value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
130.	Cash flow hedges:	176	(1,391)
	a) changes in fair value	176	(1,391)
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
140.	Hedging instruments (not designated elements):	-	-
	a) change in value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
150.	Financial assets (no equity instruments) measured at fair value through other comprehensive income:	(299,969)	43,429
	a) changes in fair value	(130,651)	80,591
	b) transfer to the income statement	(169,318)	(37,162)
	- impairment for credit risk	(1,892)	3,034
	- gains / losses from realization	(167,426)	(40,196)
	c) other changes	-	-
160.	Non-current assets and disposal group classified as held for sale	-	-
	a) changes in fair value	-	-
	b) reclassification to profit or loss	-	-
	c) other changes	-	-
170.	Share of valuation reserves connected with equity investments carried at equity	-	-
	a) changes in fair value	-	-
	b) reclassification to profit or loss	-	-
	- impairment adjustments	-	-
	- gains / losses from realization	-	-
	c) other changes	-	-
180.	Income taxes relating to other comprehensive income that may be reclassified to profit or loss	99,771	(15,205)
190.	**Total other comprehensive income**	**(181,002)**	**26,175**
200.	**Comprehensive income (Items 10+190)**	**125,713**	**246,622**

Part E - Information on risks and related hedging policies

Introduction

The following is a summary of how the Group's risk governance is organised, with its related processes and key functions that are also involved in the overall control system, highlighting the ways in which the spread of a "risk culture" is guaranteed in the BPER Banca Group. The role of the corporate bodies in the supervision of the corporate culture are explained, as are the objectives of the risk culture included in the corporate policies.
The Group's organisation provides for centralisation of the risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

The Board of Directors of the Parent Company[20] has established internal control guidelines for the entire BPER Banca Group by issuing and implementing "Guidelines for the Group internal control system"[21], in line with the Regulations for the prudential supervision of banks (Bank of Italy Circular 285 of 17 December 2013 – "Supervisory Instructions for Banks" and subsequent updates).

Risk management (RAF)

The Risk Appetite Framework - RAF, forms part of the Group's internal control system and acts as a frame of reference, in terms of methodologies, processes, policies, controls and systems, designed to establish, communicate and monitor the Group's risk appetite, this being understood as the set of values that reflect the Group's risk objectives (or "risk appetite"), tolerance thresholds (or "risk tolerance"), as well as the related operational limits. in both ordinary and stress conditions, which the Group intends to respect in pursuing its strategic guidelines, defining consistency levels and the maximum risk that it is able to take on ("risk capacity").
The BPER Banca Group identifies the Risk Appetite Framework (RAF) as a tool for overseeing the risk profile that the Group intends to take in the implementation of its business strategies, considering it as an essential element to ensure that the risk governance policy and process by which risks are handled comply with the principles of sound and prudent business management.
The RAF takes on the importance of a management tool that not only permits concrete application of the regulations, but also makes it possible to activate synergistic governance of the planning, control and risk management activities. It is also a key element to:

- strengthen the ability to govern business risks, facilitating the development and dissemination of an integrated risk culture;
- ensure alignment between strategic guidelines and the levels of risk assumed, through the formalisation of consistent objectives and limits;
- develop a quick and effective system of monitoring and reporting the risk profile taken on.

The key principles of the RAF are formalised and approved by BPER Banca, which periodically reviews them, ensuring that they are in line with the strategic guidelines, business model and regulatory requirements in force at the time.
Lastly, the Group periodically monitors the overall RAF metrics, in order to control on a timely basis any overruns of the tolerance thresholds and/or risk limits assigned and, if appropriate, handle the necessary communications to the Corporate Bodies and subsequent remedies.

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[20] *Throughout the chapter, any reference to the Board of Directors or the Chief Executive Officer or any other Corporate Bodies are to be understood as referring to the Parent Company BPER Banca, unless otherwise specified.*
[21] *Last update approved by Board of Directors of the Parent Company on 29 November 2016*

The Group's risk appetite is expressed:

- in specific areas of analysis defined in accordance with the Supervisory Provisions (capital adequacy, liquidity and measures that reflect risk capital or economic capital) and the expectations and interests of other Group stakeholders;
- through summary indicators (RAF metrics) that represent regulatory constraints and the risk profile defined in accordance with the capital adequacy verification process and risk management processes. The RAF metrics are defined at Group level and can be adapted to individual risks of strategic importance for the Bank and other relevant analysis axes identified in the strategic planning process.

More specifically, the RAF management process is split into the following stages:

- set up of the RAF structure: definition of the elements that express the Group's level of risk appetite for measurable and non-measurable risks;
- calibration of measurements for RAF metrics: definition of the calibration rules for RAF metrics and quantification of the levels of risk appetite, risk capacity and risk tolerance, consistent with management's decision in terms of strategic planning and economic/financial forecasting;
- formalisation and approval of the decisions taken within the ambit of the RAF in the Risk Appetite Statement (RAS), which is subject to periodic update;
- declension of the RAF metrics by type of risk or other relevant analysis axes to transfer the levels of risk appetite and risk tolerance to the corporate structures involved in taking on the risk so as to direct operations in a consistent manner;
- monitoring and managing threshold overruns by verifying the trend in the risk profile compared with the risk tolerance, operational limits and risk capacity and consequent activation of measures to reduce any overruns;
- periodic communication and reporting on the evolution of the risk profile compared with the risk appetite, risk tolerance and risk capacity thresholds and on implementation of diversified action plans according to the purpose of the communication and the recipients in terms of the corporate bodies/functions of the Company and the Group.

The process defines the roles and responsibilities of the corporate bodies and functions involved, adopting coordination mechanisms that ensure the effective inclusion of risk appetite within operational activities. In particular, the Group reconciles the RAF, business model, strategic plan, ICAAP and budget in a consistent manner via a complex system of coordination mechanisms.

In line with the structure of the RAF process, at the board meeting on 25 January 2018, the Parent Company's Board of Directors defined the Risk Appetite Statement of the BPER Group. This formalises the risk appetite at an overall Group level through quantitative indicators that are consistent with the processes of assessing capital adequacy and the adequacy of the Group's liquidity, and with the processes of managing measurable risks and qualitative indications for risks that are difficult to measure.
At the board meeting on 20 December 2018, the Parent Company's Board of Directors also approved a first update of the RAF thresholds which were an integral part of the BPER Group's 2018 Recovery Plan.
The RAF is periodically updated and reviewed according to the evolution of the risk and business strategy and of the regulatory and competitive context in which the Group operates.

Development of the internal control system

The Parent Company manages the Group's internal control system through a cyclical process that involves the following phases:

- design;

- implementation;
- assessment;
- communicating outside the Group.

The steps involved in the development process and the related responsibilities of the Corporate Bodies are explained below[22].

Design of the internal control system

The Board of Directors of the Parent Company defines and approves:

- the internal control system of the Parent Company and the Group, ensuring that it is consistent with the strategic guidelines and risk appetite established in the RAF and that it is able to reflect the various types of risk as they evolve and interact;
- the risk objectives, the threshold of tolerance (where identified) and the process of risk governance, to ensure that risks are properly governed and effective control maintained over all strategic decisions of the Group as a whole, along with balanced management of the individual components;
- the remedies needed to restore a normal situation after any overrun of the tolerance thresholds;
- the criteria for identifying significant transactions to be submitted to the risk control function;
- system standards for carrying out all activities.

More specifically, the Board of Directors, with the assistance of the Control and Risks Committee and on proposal of BPER Banca's CEO, establishes and approves for the Group as a whole and for its components:

- the business model, being aware of the risks to which this model exposes the Company and understanding the ways in which risks are identified and assessed; in this context it approves the adoption of internal risk measurement for the determination of capital requirements;
- the corporate control functions, specifying their duties and responsibilities within the Group, the procedures for coordination and collaboration and the information flows between these functions and between them and the Corporate Bodies;
- further internal information flow mechanisms to ensure that the corporate bodies and control functions are fully aware of the various risk factors and have the ability to govern them;
- formalised coordination and liaison procedures between Companies and the Parent Company for all areas of operation;
- the ICAAP process, identifying the roles and responsibilities assigned to functions and business structures, ensuring consistency with the RAF and rapid adjustment in relation to significant changes in strategic lines, organisational structure and operational context of reference;
- the Recovery Plan of BPER Banca Group;
- the process for managing anomalies identified by corporate control functions and by control functions, the activation criteria therefore and those to be adopted for the identification of the priority to be assigned to the analysis, consolidation and implementation of corrective action and the means of doing so, as well as the acceptance – in compliance with the RAF – of the residual risk identified by the control functions;

[22] Corporate Bodies include all bodies with strategic supervision, management and control functions. The definition of Corporate Body also includes the sub-committees of the Board of Directors ("Board Committees").

- policies and processes for the measurement of assets, financial instruments in particular, verifying that they always remain appropriate; it also establishes the Bank's maximum exposure to financial instruments or products that are uncertain or difficult to measure;
- the process for the development and validation of internal risk measurement;
- the process for approving new products and services, the launch of new activities, entering new markets (known collectively as Product Approval);
- Group policy for outsourcing business functions.

Finally, the Board of Directors ensures that:
- implementation of the RAF is consistent with the approved levels of risk appetite and risk tolerance (where identified);
- the strategic plan, the RAF, the ICAAP, budgets and internal control system are consistent, bearing in mind any developments in the internal and external conditions in which the Group operates;
- the amount and the allocation of capital and liquidity held are consistent with the risk appetite, risk governance policies and risk management process.

The Board of Directors appoints and dismisses the heads of the corporate control functions and the Manager responsible for preparing the company's financial reports, after consultation with the Control and Risk Committee, the Nominations Committee, the Board of Statutory Auditors and the Chief Executive Officer[23].
The Board of Directors of Group companies:
- defines any additions that have to be made to the internal control system of their respective entities, in accordance with the coordination and liaison procedures established by the Parent Company;
- acknowledges and approves the risk appetite of its own company, which has to be consistent with the level of risk of the Group.

Implementation of the internal control system
The Board of Directors delegates adequate powers and resources to the Chief Executive Officer to enable him to implement strategies, RAF and risk governance policies defined by the Parent Company's Board of Directors when designing the internal control system; he is responsible for taking all the necessary steps to ensure that the organisation and its internal control system comply with the principles and requirements laid down in regulatory provisions, monitoring compliance on an ongoing basis.
For this purpose, the CEO, for the Group as a whole and for its components:
- ensures that the responsibilities and duties of the various corporate structures and functions involved in risk assumption and management processes are clearly assigned and potential conflicts of interest are avoided;
- ensures that the activities carried out by the functions and structures involved in the internal control system are carried out by qualified personnel with an adequate degree of independence of judgement and with adequate experience and knowledge for the tasks to be performed;
- carries out any initiatives and interventions needed to ensure the overall reliability of the internal control system on an ongoing basis;

[23] *The Chief Executive Officer only intervenes for the appointment of the heads of Internal Audit, Compliance and Risk Control*

- takes corrective action or makes adjustments as necessary in the event of weaknesses or anomalies being found, or following the introduction of significant new products, activities, services or processes;
- defines and oversees implementation of the risk management process. In this context, the CEO establishes operating limits for the assumption of various types of risk, in line with the risk appetite, explicitly taking account of the results of stress tests and developments in the economic situation;
- examines the more significant transactions subject to an unfavourable opinion by the risk control function and, if appropriate, authorises them; informs the Board of Directors and the Board of Statutory Auditors about these transactions;
- implements the ICAAP and ILAAP processes, ensuring they are developed in accordance with the strategic guidelines and the risk profile identified in the RAF; designs and implements the Group's training programmes to raise awareness among employees about the responsibility for risks so as not to limit the process of risk management to specialists or to the control functions;
- defines internal information flow mechanisms to ensure that the Corporate Bodies and control functions are fully aware of the various risk factors and have the ability to govern them and the assessment of compliance with RAF;
- as part of the RAF, where a tolerance threshold is defined, authorises overruns of the risk appetite within the limit represented by the tolerance threshold and gives prompt notice to the Board of Directors, identifying the management actions needed to bring the risk back down to below the set objective;
- ensures that risks deriving from new operations are fully assessed and that these risks are consistent with the risk appetite, and that the Bank is able to manage them;
- ensures that the risk management process is consistent with the risk appetite and risk governance policies, also taking into account the evolution of the internal and external conditions in which the Bank operates;
- issues instructions to ensure that internal risk measurement systems are developed according to the chosen strategies and are integrated into decision-making processes and operational management.

More specifically, for the Group, the CEO issues instructions to define and render operational:

- mechanisms for the integration of information systems and processes of data management, in order to ensure the reliability of consolidated figures;
- regular information flows to permit effective implementation of the various forms of control over all members of the Group;
- procedures to ensure, at a centralised level, an effective standard process of Group risk management, involving a single register, or several registers providing they can be easily linked, for the various companies in the Group;
- systems for monitoring financial flows, credit reports and other relations between members of the Group;
- controls over the achievement of objectives in terms of information security and business continuity as defined for the entire Group and for the individual members of the Group.

The Board of Directors of each Group bank and company gives a mandate to the appropriate internal functions to implement the decisions made by the Parent Company during the design phase.

Assessment of the internal control system

As part of its strategic supervisory function, the Board of Directors:

- receives from the corporate control functions and other control functions the information flows foreseen for a full awareness of the various risk factors and the ability to govern them;
- periodically assesses the adequacy and effectiveness of the RAF and the compatibility between actual risk and the risk objectives;
- periodically assesses, with the assistance of the Control and Risk Committee, the adequacy and compliance of the Group's internal control system[24], identifying possible improvements and defining the steps needed to correct any weaknesses.

In addition, with regard to internal risk measurement systems for the determination of capital requirements, the Board of Directors:

- periodically verifies the choices of model made to ensure that they remain valid over time, approving significant changes to the system and carrying out overall supervision to ensure that it functions properly;
- monitors, with the assistance of the relevant functions, effective use of internal systems for management purposes and their compliance with regulatory requirements;
- reviews at least once a year the results of the validation process and passes a formal resolution, with the approval of the Board of Statutory Auditors, by which it certifies compliance with the requirements for the use of internal measurement systems.

The Board of Directors of each Group company, including the Parent Company, periodically assesses the internal control system[25].

The function responsible for providing support in assessing the effectiveness of the overall internal control system, company-wide, is the Internal Audit Department.

The Boards of Statutory Auditors of the Parent Company and of Group companies, each to the extent of its own responsibilities, carry out the assessment of the internal control system foreseen by law and the articles of association and have the responsibility of ensuring the completeness, suitability and functionality of the internal control system and of the RAF. The results of these assessments are brought to the attention of the respective Boards of Directors.

The Board of Directors receives, either directly or through the CEO, the information flows required to gain a full awareness of the various risk factors and the ability to govern them, as well as to plan and implement interventions to ensure the compliance and adequacy of the Internal Control System.

Communicating outside on the internal control system

The Board of Directors of each Group company, especially that of the Parent Company as regards the Group internal control system, ensures that information on the internal control and risk management system is given in all cases foreseen by law, guaranteeing the correctness and completeness of the information provided. In this context, it is important to make the Public Disclosures required by the "Third Pillar". For this, the Board of Directors of the Parent Company assigns control responsibilities and duties to the Corporate Bodies and the various functions involved in the different stages in the handling of such information.

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[24] *Supervisory instructions for banks – Circular 285 of the Bank of Italy, Part I, Title IV, Chapter 3, Section II, paragraph 2 "assures that: [...] b) the internal control system and corporate structure are consistently in line with the principles mentioned in Section I and the control functions satisfy the requirements and comply with the provisions of Section III. In the event of weaknesses or anomalies, it promotes timely adoption of appropriate corrective measures and assesses their effectiveness".*

[25] *a) Civil Code – art. 2381 – "The Board of Directors ... omissis ... evaluates the adequacy of the organisational, administrative and accounting structure of the company on the basis of the information received".*

c) Code of Conduct for Listed Companies – Standard 8.P.3. "The Board of Directors assesses the effectiveness of the system of internal control with respect to the characteristics of the business".

Levels of control envisaged by the Supervisory Authority

As part of the Group internal control system, the following control functions are identified at the levels provided for in the Supervisory instructions for banks, taking into account of the fact that the second and third level control functions always apply to the entire Group:

- Third-level controls: designed to identify violations of procedures and regulations and to assess periodically the completeness, suitability, functionality (in terms of efficiency and effectiveness) and reliability of the internal control system and information systems (ICT audit), with a set timing in relation to the nature and intensity of the risks involved. They are conducted on an ongoing basis, periodically or at random, by various structures that are independent of production, including spot checks. This activity is entrusted to the Internal Audit Department;
- Second-level controls ("risk and compliance controls"): the second level control functions have been developed and identified with the following objectives:
  - to check on an ongoing basis that company procedures are consistent with the goal of prevention of money laundering and financing of terrorism and to prevent and combat money laundering and financing of terrorism through the reporting of suspicious transactions and the execution of continuing control activities (Anti-Money Laundering control. This activity is entrusted to the Anti-Money Laundering Unit;
  - to identify non-compliance risks, examining the standards applicable to the Group on an ongoing basis and assessing their impact on Group companies. to establish, depending on the risks that have been identified and assessed, the minimum control objectives foreseen, by proposing organisational and procedural interventions to ensure adequate protection from any risks of non-compliance and monitoring their implementation. This activity is entrusted to the Compliance Unit;
  - to collaborate in the definition and implementation of the RAF and the related risk governance policies, through an adequate risk management process, verifying the adequacy thereof. To define methodologies, processes and tools to be used for risk management. To ensure consistency of the measurement and risk control systems with processes and methodologies to assess business operations. To ensure the correct representation of the risk profile and assessment of loan positions, to perform assessments of loan monitoring and recovery processes, to supervise the process for the allocation/monitoring of the official rating and to perform second-level controls over the lending process. These activities are entrusted to various functions of the Risk Management Unit;
  - qualitative and quantitative validation of internal risk measurement systems adopted by the Parent Company, as used to estimate internal capital and capital requirements, ensuring compliance with the instructions issued by the Supervisory Authority for this process, as well as consistency with the operational needs of the company and the evolution of the market. This activity is entrusted to the Model Validation Office, which forms part of the Risk Department's Credit Control and Internal Validation Department. The organisational positioning of this Office guarantees independence from the structures responsible for the development and use of internal risk models subjected to validation;
- First-level controls ("line controls"): designed to ensure that operations are carried out properly. They are performed by the production structures themselves (e.g. hierarchical, systematic and random controls), also through units dedicated exclusively to control duties that report to the

heads of the operating structures or carried out as part of the back office activities; as far as possible, they are incorporated into IT procedures.

Control roles and duties attributed to BPER Banca Group functions

Internal Audit Department

The primary objective of the Internal Audit Department is to provide independent and objective assurance and consulting services aimed at improving the effectiveness and efficiency of the organisation. Internal Audit assists the organisation in pursuing its objectives through a systematic professional approach, which generates added value as it is aimed at assessing and improving the risk management, control and governance processes.
The mission is, therefore, to enhance and protect the value of the organisation by providing objective and risk-based assurance, advice and expertise.
This mission is pursued:

- through a risk-based and process-oriented audit plan;
- by promoting a culture of risk and control in the company;
- by providing assurance and advice on risk management, control and governance processes;
- by evaluating existing controls and making suggestions for their continuous improvement.

The Internal Audit Department, through the Organisational Units that comprise it, has the following main responsibilities, which are differentiated according to:

- outsourcing of Control Functions to the Parent Company;
- exercise of control within the Parent Company's management and coordination activity;
- liaison with Control Functions in Group companies and not centralised at the Internal Audit Department.

Specifically:

- It elaborates and proposes to the competent Body guidelines for the planning and the annual and long-term planning of audit activities, based on the methodological models approved by the Board of Directors. The identification of the activities to be audited is in line with the operations of the members of the Group and their propensity to risk and is compatible with the resources available. In this context, the Audit Universe is updated its components allocated to the Organisational Units according to their competence. Checks that are not preannounced or not expressly indicated in the Audit Plan are also carried out;
- it defines and applies methodologies, tools, regulations and internal audit models, also taking into account international professional standards;
- With a view to third-level controls, it also verifies with on-site checks the regular performance of operations and the evolution of risks and assesses the completeness, adequacy, functionality and reliability of the organisational structure and other components of the internal control system, bringing possible improvements to the attention of the corporate bodies, with particular reference to the RAF, the risk management process, as well as the tools for measuring and controlling them. It makes recommendations to the Corporate Bodies on the basis of its audit results;
- Periodically, at consolidated level, it carries out on-site checks on Group members, taking into account the importance of the various types of risk taken on by the various entities; this in order to verify whether their conduct complies with the Parent Company's guidelines, as well as the

effectiveness of the internal control system as defined by the Parent Company for the individual legal entities;

- It checks the Risk Control, Compliance and Anti-Money Laundering Functions;
- It checks the regularity of the various company activities, including outsourced activities, and the evolution of risks both at the Central Functions and at the distribution network. The frequency of inspections is consistent with the activity performed and the propensity to risk; however, random and unannounced inspections are also performed;
- it monitors compliance with the rules of the activity at all company levels;
- it verifies the adequacy and correct functioning of the processes and methods for measuring company assets;
- it verifies compliance, in the various operating sectors, with the limits set by the delegation mechanisms and the full and correct use of the information available in the various activities;
- It carries out Fraud Audits (Detention and Investigation) through the recording, assessment and, where appropriate, reporting of anomalous behaviours detected during the audit, also in order to allow the competent functions to start the "internal disciplinary procedure" or, in any case, to take appropriate action to protect the Company;
- it performs periodic tests on the functioning of operating and internal control procedures;
- it also carries out assessments on specific irregularities;
- It makes recommendations to the Corporate Bodies based on the results of the audits checks carried out in accordance with the procedures laid down by the Parent Company;
- It promptly informs the Corporate Bodies about any significant violation or weakness it has found;
- it can provide consultancy services, not having auditing and/or validation/approval nature of the choices made by management, within the limits of the sustainability of the plan. The main assignments accepted must be reported in the Audit Plan;
- It illustrates and summarises with appropriate information to the Corporate Bodies of the Parent Company and of Group companies the results of the audit work performed;
- It prepares the reports required by the Supervisory Authorities and assigned to the Internal Audit Function;
- Based on the Audit Plan approved by the Board of Directors at the time the Plan was adopted, it makes an assessment, at least once a year, of the completeness, adequacy, functionality (in terms of efficiency and effectiveness) and reliability of the overall Internal Control System for the Banking Group as a whole;
- it pursues objectives of efficiency and effectiveness in its activity by identifying opportunities for improvement. In this sense, the Chief Audit Executive activates/maintains a Quality Assurance and improvement programme. In this sense, in December 2018, the Parent Company's Board of Directors approved the launch of an external Quality Assessment Review (QAR), which will be carried out by a leading company in this sector;
- It is responsible for third-level controls and operates in the interest of the Parent Company and of its Group within its sphere of competence as outlined in the external regulations and by the Group Guidelines - Internal Control System without any limitations on its scope of intervention;
- It helps the Corporate Bodies and Organisational Units of Group banks and companies pursue their objectives in the field of internal control, contributing to the development of a corporate and group culture.

In general terms, the Group's internal control system provides for the delegation of second and third level Control Functions of the Italian Group companies to the Parent Company, as provided by the "Group Guidelines - Internal Control System".
As regards Group companies based abroad, this centralised model is partially waived in consideration of the complexity and delicacy of operations run in a different regulatory environment. In this case, it is possible to activate organisational models that enhance the specific nature of the context in which these companies operate, for each control function required by local regulations, as requested by the Supervisory Authority or by the Parent Company.
Specifically, the Internal Audit Department:

- for companies that have an Internal Audit function that has been outsourced to the Parent Company, it performs the control activities foreseen for BPER Banca, according to the audit plan approved by the Board of Directors, while retaining the right to perform internal audit work in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role. For the performance of the outsourced activities, the Internal Audit Department has the support of the contacts of the Internal Audit function identified at Group companies;
- for companies that do not have an Internal Audit function, the analyses and assessments performed by the Parent Company's control function are carried out to fulfil the responsibilities allocated to the Parent Company as part of its Group guidance and coordination role and not to fulfil the responsibility of individual Group companies;
- for companies that have an Internal Audit function that has not (yet) been outsourced to BPER Banca, internal audit work is performed in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role.

At the date of this document, the Italian Banks have all delegated the Internal Audit function to the Parent Company.
The organisational structure of the Department is made up as follows: 1 office in staff functions for the Head of Department; 4 offices and 1 unit that report directly to the CAE (Chief Audit Executive). As regards the Head of this Unit, 4 offices report to him.

Risk Management Department

The Risk Management Department now reports directly to the Parent Company's Chief Executive Officer and is broken down into the following Organisational Units:

- Rating Office and Risk Governance Office, as staff functions for the Chief Risk Officer;
- Financial Risk Department;
- Credit and Operational Risk Department;
- Credit Control and Internal Validation Department.

The Risk Management Department, as the Group's risk control function, aims to collaborate in the definition and implementation of the Risk Appetite Framework and the related risk governance policies, through an adequate risk management process.
An integral part of its mission is to ensure adequate reporting to the Corporate Bodies of the Parent Company and Group companies.

The Risk Management Department extends its area of responsibility to all of the Group companies included in the current risk map, given that the "Group Guidelines - Internal Control System" provide for centralised management of the risk control function by the Parent Company.
The Group companies that have this function outsource it to the Parent Company, with the exception of the Luxembourg based company[26].
The mission of the Risk Management Department is carried out as part of the Parent Company's guidance and coordination activity as an outsourcer for Group banks and companies.
The Risk Management Department operates at Group companies through a Contact (who functionally reports to it) identified at the various Group companies.

The responsibilities of the Risk Management Department are entrusted to the Chief Risk Officer (CRO), who relies on the support of the organisational units, whether staff or line functions, which hierarchically report to them in the exercise of the following responsibilities:

- within the ambit of the Risk Appetite Framework, proposing the quantitative and qualitative parameters necessary for its definition, both in the normal course of business and in situations of stress, ensuring their adequacy over time in relation to changes in the internal and external context;
- proposal of risk governance policies for measurable and non-measurable risks not allocated to other control functions (limited to the sections relating to risk management and exposure/operational limits) and oversight of their implementation, ensuring that the various stages of the risk management process are consistent with the Risk Appetite Framework;
- development of risk management methodologies, processes and tools via the identification, measurement/assessment, monitoring and reporting of risks, ensuring their adequacy over time through the development and application of indicators designed to highlight anomalous situations and inefficiencies. In particular:
  - definition of common metrics of operational risk assessment (including IT risks) that are consistent with the RAF, in coordination with the Compliance Function, the ICT function and the Business Continuity function;
  - definition of methods to evaluate and control reputational risk, in coordination with the Compliance function and the corporate functions that are most exposed to this type of risk;
  - provision of assistance to the Corporate Bodies in the assessment of strategic risk by monitoring significant variables.
- monitoring the actual risk profile assumed in relation to the risk objectives defined in the RAF, collaborating in the definition of operating limits for the assumption of various types of risk and constantly verifying their adequacy and compliance, reporting any overruns to Corporate Bodies;
- provision of support to the Chief Executive Officer in the implementation of the ICAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned to it;
- provision of support to the Chief Executive Officer in the implementation of the ILAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned to it;
- coordination of the process for the preparation and update of the BPER Banca Group recovery plan to be submitted to the Supervisory Authority and performance of the phases assigned to it;

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[26] *Circular CSSF 14/597 – Update of circular CSSF 12/552 on the central administration, internal governance and risk management "117. Outsourcing the compliance function and risk control function is not authorised."*

- coordination of activities associated with the internal stress testing programme with the help of the various organisational structures involved, in the various execution areas (operational and regulatory stress test);
- checking the adequacy and effectiveness of the measures taken to correct weaknesses in the risk management process;
- development, validation[27] and upkeep of the internal systems of risk measurement, ensuring compliance with the instructions issued by the Supervisory Authority, as well as consistency with the operational needs of the company and the evolution of the market;
- provision of preventive advice on the consistency of more significant transactions with the RAF, acquiring if necessary, depending on the nature of the transaction, the opinion of other functions involved in the risk management process;
- analysis of risks deriving from new products/services and from entry into new business segments;
- involvement in the definition and update of criteria for the classification of outsourcing and the assessment of risk assigned to it;
- involvement in the definition and management of remuneration and incentive policies;
- control of the rating and override processes;
- performance of second-level controls in relation to the credit chain and verification that: individual credit exposures are monitored correctly (especially non-performing exposures); risk classifications are correct; the adequacy of provisions; and the effectiveness of the recovery process;
- involvement in the definition of policies for and the valuation of properties lodged as collateral, monitoring the implementation thereof, to the extent of his/her sphere of competence, by checking updates to appraisals performed on properties lodged as collateral, the autonomy of those who prepare the valuations and the consistency of the types of appraisals used for the valuation of the collateral;
- it is involved in defining, updating and monitoring the Non-Performing Loans strategy (providing estimates of the impact on the risk parameters used in the internal rating system and on the Group's capital profile in terms of RWA and Shortfall), as well as in policies and processes for their management before being submitted to the Corporate Bodies of the Parent Company and Group companies;
- it handles execution of the activities included in the second-level control framework on non-performing loans;
- it coordinates the preliminary activities for the preparation and updating of the Resolution Plan, prepared by the Resolution Authority, directly carrying out the steps that are within its sphere of competence.

In addition, the Risk Management Department:

- takes part in the definition of the Group's strategy, assessing the relative impact on risk;
- takes part in deciding on strategic changes to the Group's internal control system.

[27] *Through the Model Validation Office*

Anti-Money Laundering Unit

The task of the Anti-Money Laundering Unit is:

- to prevent and combat money laundering and financing of terrorism through the reporting of suspicious transactions and the execution of continuing control activities (Anti-Money Laundering control);
- to check that the IT and organisational procedures adopted by Group companies are consistent with laws and regulations, as well as self-regulation in the field of money laundering and financing of terrorism (Anti-Money Laundering function).

The organisational model adopted by the Group provides for centralised management at the Parent Company of the anti-money laundering function and supervision of the Italian Group banks and non-banking companies subject to money laundering regulations.

As regards the Parent Company's guidance and coordination activities, performed for all Group companies subject to anti-money laundering regulations - for the Luxembourg subsidiary, only with regard to matters of identification and knowledge of customers and monitoring of reports on suspicious transaction - the Anti-Money Laundering Unit has the following responsibilities:

- it identifies and evaluates the Group's exposure to the risk of money laundering and financing of terrorism;
- it identifies any risk of non-compliance with anti-money laundering legislation to which the Group is exposed, continuously examining the rules applicable to the Group and assessing their impact on Group companies;
- it carries out an annual assessment of the main risks of non-compliance with anti-money laundering and counter-terrorism laws at Group level, and reports to the Corporate Bodies of the Parent Company, indicating any critical situations and making proposals for the planning of related management measures to counter any weaknesses that may have emerged and to address any new non-compliance risks that have been identified ("Report of the Group on the risk of non-compliance with anti-money laundering and anti-terrorism laws"). For the Luxembourg subsidiary, it reports any critical issues arising from the opinions expressed and data provided by the relevant Corporate Functions;
- it proposes the Group's management of the risk of non-compliance with anti-money laundering and anti-terrorism regulations;
- it defines the methods, processes and tools that must be followed in performing the activities of the Anti-Money Laundering function and uses the reports defined in coordination with other control functions (corporate or otherwise);
- for companies that have not outsourced the function to the Parent Company (the Luxembourg subsidiary BPER Bank Luxembourg SA), it establishes the minimum control objectives and checks their application, depending on the risks that have been identified and assessed;
- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes aimed at preventing and combating money laundering, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out;
- it supports the Group Delegate in examining and evaluating, from a Group perspective, the reports filed and the transactions reported to the Bank of Italy's Financial Information Office by the consolidated banks and companies that have outsourced AML control to the Parent Company. This type of support is also provided with reference to reports filed and transactions

reported to the competent local authorities by the Group's Luxembourg subsidiary; to this end, the Anti-Money Laundering Unit receives adequate information flows from these companies;

- it supports the General Manager of the Parent Company or the person appointed by him in assessing whether Group companies (in Italy and abroad) should open correspondent accounts with the corresponding authorities of "non-equivalent" non-EU countries;
- it checks authorisations to open ongoing relationships, or occasional transactions, with "politically exposed persons" in Group companies (both Italian and foreign).

Among other activities, the Unit also:

- helps the Company Delegate in the assessment and investigation of reports of suspicious transactions pursuant to art. 35 of Legislative Decree 231/07 coming from the network and central offices, sending them to the Financial Intelligence Unit if found to have some basis, otherwise dropping them;
- helps the Company Delegate in identifying suspicious transactions that were not picked up by the structures in charge of day-to-day dealings with customers or not extracted by the automatic detection procedures;
- performs centralised checks on the Branches and Central Offices to detect potentially abnormal situations that merit specific investigation into proper fulfilment of due diligence and risk profiling of customers, detection and reporting of potentially suspicious transactions and limiting the use of cash and bearer securities;
- performs specific checks to confirm proper compliance with the obligation to keep data and information in accordance with art. 31 et seq. of Legislative Decree 231/07, and to detect any potentially suspicious transactions that could involve money laundering;
- forwards to the Ministry of Economy and Finance the communications on infringements of the rules regarding the use of cash and bearer securities as per art. 49 of Legislative Decree 231/07;
- manages relations with the Financial Intelligence Unit, the Investigative Authorities and the Judicial Authorities whenever there is need for in-depth investigation or discussion about the anti-money laundering and anti-terrorism legislation;
- helping to run the staff training activities with the other competent Corporate Functions, in order to promote and strengthen a culture of respect for the rules and fairness in behaviour.

Compliance Unit

The Compliance Unit's task is to ensure the adequacy of internal procedures to prevent the violation of external rules (e.g. laws and regulations) and self-regulation (e.g. codes of conduct) applicable to the Group's companies.
With reference to the internal procedures adopted under art. 88 of the Intermediaries Regulations adopted by CONSOB with resolution 20307 of 15 February 2018, the Compliance Unit also carries out regular checks on the effective application ("functioning") of the procedures and the measures taken to resolve any weaknesses.
It assists the Corporate Bodies and Organisational Units of Group companies in pursuing the objectives of compliance by promoting the spread of a corporate culture based on compliance and fairness in behaviour as an essential element for a company to function properly.

It assesses the risk of non-compliance arising from innovative projects that the Group intends to undertake, including the launch of new products or services, and operating in new markets or with new types of customers.
The Compliance Unit, as part of the management of compliance risk, works - directly or through Special Units - on regulations that concern the entire banking activity, with the exception of those for which there are dedicated corporate functions and other control functions.
In line with its mission, it extends the scope of its guidance, control and coordination activities to all Group companies. Centralised management of the compliance function at the Parent Company for all Italian Group companies that have that function.
For Group bank based abroad, the Compliance Unit only provides guidance and coordination.
As part of the guidance and coordination activity exercised by the Parent Company on behalf of the Group companies, the Compliance Unit has the following responsibilities:

- it identifies non-compliance risks, at Group level, examining the standards applicable to the Group on an ongoing basis and assessing their impact on Group companies;
- it establishes, depending on the risks that have been identified and assessed, the minimum control objectives foreseen for the Companies concerned, and verifies that the planning of Compliance activities of the individual companies that did not outsource this function to the Parent Company applies them;
- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, promptly highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes and to the processes of the companies that do not have this function, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out.

Line controls

Line controls (so-called "first-level controls") are designed to ensure that operations are carried out properly; these controls also include those that contribute to the creation of an internal accounting control system, understood as a set of controls that form part of the individual administrative and accounting procedures in order to have reasonable assurance that the recording and processing of data and the production of information have been performed correctly. They are performed by the same operating structures (e.g. hierarchical controls) or incorporated into procedures, or carried out as part of back-office activities.

Other control functions

In addition to the levels of control laid down by Supervisory Regulations, the regulations governing self-regulation necessitate the allocation of control duties to specific functions other than corporate control functions - or to board committees, the activities of which are consistent with the internal control system.
Specifically, control functions identified within the Group are:

- the Manager responsible for preparing the Company's financial reports;
- Supervisory Bodies pursuant to Legislative Decree 231/01.

Manager responsible for preparing the company's financial reports

Based on the provisions of Law 262/2005, which introduced art. 154-bis in Section V bis of Legislative Decree 58/98, BPER Group has established the role of Manager responsible for preparing the company's financial reports, a person who is responsible for ensuring the reliability of the Parent Company's financial reporting, as well as for the BPER Group in terms of the consolidated financial statements.
Art. 39 of the Articles of Association establishes that the Board of Directors, having heard the required opinion of the Board of Statutory Auditors, shall appoint a person in charge of preparing the corporate accounting documents, allocating him suitable powers and resources for the performance of the assigned tasks pursuant to legal requirements. Having received the opinion required from the Board of Statutory Auditors, the Board of Directors is also entitled to revoke the appointment of the Manager responsible for preparing the Company's financial reports.
The BPER Banca Group’s Manager responsible for preparing the Company’s financial reports, who is Marco Bonfatti, manager of the Administration and Reporting Department, is identified within the Group as a control function and, as laid down in the Guidelines for the Group internal control system, he is responsible for the design, implementation and maintenance of the "Financial reporting control model" to be applied to the Parent Company and, with reference to the procedures for the preparation of consolidated financial statements, to the Banks and Companies included in the scope of consolidation.

The financial reporting control model is a set of requirements to be met for proper management and control of the risks of unintentional errors and fraud in financial reports. It is up to the Manager Responsible to ensure that it is adopted.

In the BPER Banca Group the responsibility for the proper management and control of the risk of unintentional errors and fraud in financial reports, also taking into account the regulatory framework that assigns specific responsibilities to the Manager Responsible, is assigned, not only to the Corporate Bodies, but above all to the Manager Responsible.

The financial reporting control model is represented by a "body of law" made up as follows:

- Group policy for managing the risk of unintentional errors and fraud in financial reports (high level legislative source);
- Regulation of the Function of Manager Responsible for preparing the Company's financial reports (high level legislative source);
- Methodological note addressing macro process management of unintentional errors and fraud in financial disclosures (high level atypical source);
- Internal methodological document not included in the regulatory sources addressing macro process management of unintentional errors and fraud in financial disclosures (atypical operating source).

Finally, with reference to the financial reporting control model, it should be noted that the high-level sources were updated during the second half of 2018 and approved by the Parent Company's Board of Directors on 10 January 2019, substantially for the purpose of revising the model as regards adequacy and effective application of the administrative and accounting procedures, as well as an overall assessment of the risk of unintentional errors and fraud in financial reporting, particularly by reducing the grading levels from six to four.

In order to carry out his mission, the Manager responsible for preparing the company's financial reports makes use of a structure within the Parent Company (Financial Reporting Monitoring and Control Office), which reports hierarchically to the Manager responsible for preparing the company's financial reports and to a Contact Person appointed by each subsidiary bank and company, whether or not they form part of the Group, who reports functionally to the Manager responsible for preparing the company's financial reports.

The staff of the Financial Reporting Monitoring and Control Office, in performing the duties assigned to it, is vested with the powers deriving from the Manager Responsible for preparing the company's financial reports, regardless of the position held in the corporate hierarchy.

In the process for managing the risk of unintentional errors and fraud in financial reports of BPER Banca Group, the Manager Responsible for preparing the company's financial reports of the Parent Company is also supported by the Manager responsible for the Sub-Holding Company Banco di Sardegna (this role exists as this is a listed company); the latter reports to the General Manager and is under the Parent Company's Manager responsible for preparing the company's financial reports as regards methods, instruments, reporting and work processes used in carrying out his duties.

For more details regarding the main characteristics of the current risk management and internal control systems in relation to the financial reporting process, please refer to the 2018 Report on corporate governance and the ownership structure, prepared in accordance with art. 123-bis of TUF.

Supervisory Body pursuant to Legislative Decree 231/01

The Parent Company, in compliance with arts. 6 and 7 of Legislative Decree 231/01, adopted a Model of Organisation and Management in order to prevent the commission and/or the attempted commission of the types of offence provided for in this Decree. In accordance with this law, the Parent Company has therefore set up its own Supervisory Body (known as the Supervisory Board) with the task of supervising the functioning and observance of the Model of Organisation and Management.

The Board is composed of three members:

- an employee of the Parent Company, with appropriate specialist skills, especially of a legal/organisational nature, including experience of controls, who does not have operational duties in the Bank;
- two external consultants with the necessary professional skills.

The Supervisory Board carries out its supervision and ensures compliance with the Model of Organisation and Management, by:

- detecting any changes in the "risk map";
- checking compliance with procedures in the area of activities considered to be sensitive to commission of the offences mentioned in Legislative Decree 231/01;
- activating and/or performing internal investigations in coordination with the control functions;
- planning training activities for the staff about legal developments, or about any legislative changes that could affect the nature of the offences mentioned in Legislative Decree 231/01;
- requesting the identification of appropriate procedures to protect new types of activities that could be classified as sensitive;
- requesting updates to existing procedures, if the business could be materially affected by changes in the risks included in the scope;
- reporting proven infringements of the instructions;

- coordinating activities by the Parent Company of the Supervisory Boards of subsidiaries, fostering an exchange of information, knowledge or methodologies;
- adoption by Group Banks and by BPER Services s.cons.p.a. and BPER Credit Management s.cons.p.a. of the main regulatory documents that constitute the Organisational and Management Model, subject to limited and necessary adjustments.

The Supervisory Board is also the recipient of specific information flows, given that the employees, Statutory Auditors and the Directors are required to inform the Supervisory Board, on the basis specified in the Model of Organisation and Management, about:

- provisions or news from the Judicial Police, or any other authority, indicating that they are carrying out an investigation for the offences mentioned in Legislative Decree 231/01, also against unknown persons, involving the Parent Company, its employees or members of the Corporate Bodies (Board of Directors, Supervisory Board and Board of Statutory Auditors);
- requests for legal assistance by directors, statutory auditors and/or employees in the event of the initiation of proceedings for offences under Legislative Decree 231/01;
- routine reports requested by the Supervisory Board, prepared by the heads of specialised functions (Manager Responsible for preparing the company's financial reports, Internal Audit, Anti-Money Laundering, Compliance, Risk Management, Human Resources, Financial Reporting Monitoring Office);
- information relating to the start of disciplinary proceedings and their progress and any penalties imposed, in the event of circumstances considered relevant under Legislative Decree 231/01;
- information about activities identified by the Model as “sensitive” in terms of their frequency and operational significance;
- organisational/procedural changes that have an impact on the Model of Organisation and Management;
- reporting the onset of other types of risk;
- the system of delegation of powers and/or functions adopted by the Parent Company, and any modifications of a structural nature made to it.

Lastly, the Supervisory Board is also informed by reports received in accordance with pre-established procedures from the persons required to comply with the Model and the Code of Ethics (Shareholders, Statutory Auditors, Directors, Employees, Head of the Internal Reporting System, members of the Supervisory Board, persons who are not employees, but who work and are under the control and direction of BPER Banca, persons who, even if external to the Bank, work for or with the Parent Company, and any other person or entity who has dealings with the Parent Company for purposes of the report), about events that could give rise to liability under Legislative Decree 231/01.
The Supervisory Board reports immediately in case of necessity to the Board of Directors and reports every six months to it and the Board of Statutory Auditors on its activities and on the situation of the Parent Company with respect to the obligations referred to in Legislative Decree 231/01.

Within this context, the Parent Company has issued specific guidelines and distributed various regulatory documents, as well as instructions for coordinating the adoption of the Model of Organisation and Management as per Legislative Decree 231/01 by the individual Group banks by BPER Services s.cons.p.a. and BPER Credit Management s.cons.p.a., in compliance with the provisions of Legislative Decree 231/01 and in accordance with its specific responsibilities.

It should also be noted that, in compliance with the prudential regulations intended to strengthen the ability of banks to absorb shocks deriving from economic and financial tensions, the Group monitors capital adequacy, the exposure to risks and the general characteristics of the related management and control systems, in order to facilitate market discipline.
The document "Disclosure document - Pillar 3" has been prepared pursuant to the requirements of Circular 285 of 17 December 2013 and subsequent updates issued by the Bank of Italy, Regulation (EU) 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR) and the EBA Guidelines dated 23 December 2014 that came into force on 1 January 2015.

This document at 31 december 2018 is published together with the financial statements on the websites of the Parent Company – www.bper.it

Section 1 - Credit risk

-Qualitative information

The Group's organisation centralises the credit risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

1. General aspects

While maintaining an underlying trend that is still positive, the international economy has shown signs of deceleration in recent months, with performances gradually differing from country to country. Among the factors causing this slowdown, one is the uncertainty generated by the never-ending Brexit process, a possible flare-up of financial tensions in emerging countries and the effects of the ongoing tariff war between the United States and China.
Growth in the euro area also weakened and industrial production decreased significantly in Germany, France and Italy.
As regards Italy, it is above all the performance of the manufacturing sector that confirms this period of difficulty in maintaining production levels due to a reduction in domestic demand and a weakening in capital investment and household spending. Exports, on the other hand, have increased, especially towards non-EU markets with the exception of non-durable consumer goods and intermediate goods.
In this situation of great uncertainty, characterised by downside risks to growth, possible new increases in sovereign yields and a slowdown in the propensity of companies to invest, the BPER Banca Group continued to pursue the credit policy guidelines defined at the beginning of the year, in synergy with all the other budget planning processes, monitoring their constant evolution in qualitative and quantitative terms (volumes, risk, return and related dynamics).These indications, which are prudential and consistent with operating activities, have made it possible to optimise the asset allocation of the loan portfolio, in compliance with current legislation.
Specific instructions have also been provided on lending activity developed directly or through the Group's product companies, having regard for the intrinsic characteristics of the products distributed (leasing, factoring, personal loans and lending-against-salary) and their lower risk profile compared with similar banking transactions.
Finally, to confirm its proximity to the territory, the BPER Banca Group continued to participate in ABI initiatives in favour of SMEs ("2015 lending agreement – Firms returning to growth" extended to 31.12.2018) and Individuals ("Mortgage solidarity fund", "Suspension of household loan repayments", "Guarantee fund for the first home" ended on 31.07.2018), while also guaranteeing support for areas hit by natural disasters via the suspension of loan repayments, as envisaged by law.

2. Credit risk management policies

The lending policy of the Group pursues the aim of carefully selecting counterparties through an analysis of their creditworthiness, including the use of well-established tools such as the rating system, having regard for the achievement of commercial and support objectives.
In view of the Group's strategic objectives and operations, the general risk management strategy is to accept a moderate level of risk involving:

- the assessment of the current and prospective creditworthiness of counterparties;
- the diversification of the portfolio, limiting the concentration of exposures towards individual counterparties and sectors of economic activity.

2.1 Organisational aspects

The Group's credit risk management model has the following objectives:

- apply the instructions issued by the Supervisory Authorities, while taking account of the Group's specific operating characteristics;
- ensure that credit risk is managed appropriately by each bank and at a consolidated level.

These objectives are achieved via the segregation of responsibilities and duties between the bodies that manage credit risk and those with a control function.
The following elements underpin work to manage and control the exposure to credit risk:

- independence of the function responsible for the measurement of credit risk with respect to the various business functions;
- clear definition of delegated powers and the resulting structure of limits imposed by the Board of Directors of the Parent Company;
- coordination by the Parent Company of credit risk management processes, while leaving individual companies with operational autonomy for the management of credit risk;
- consistent application of measurement models throughout the Group, in line with international best practice;
- transparent methodology and measurement criteria to facilitate understanding of the risk measures adopted;
- performance of periodic stress tests which use endogenous and exogenous shock scenarios to provide deterministic and/or probability-based indicators of risk.

2.2 Systems for managing, measuring and monitoring

The management of risk involves applying a system of methodologies and approaches for the ongoing measurement and/or assessment of risk. This system helps to guide operational decisions and quantify the level of capital required by the Group in order to cover the risks that have been accepted. Each Bank analyses the various components of credit risk and identifies the exposure associated with the loan portfolio using suitable measurement methodologies. In particular, the Bank uses many tools to measure and monitor credit risk in relation to both performing and non-performing loans.
As part of its policies for managing loans to customers, the Bank has adopted rules and processes for monitoring relationships, which have involved, among other things, a complex activity of classifying them into homogeneous risk categories. In particular, on the basis of "rating" and "early warning" systems, the

Group has analysed performing loans to customers valued at amortised cost and identified those most at risk.

The characteristics of the rating models developed by the Parent Company for the calculation of PD (Probability of default: i.e. the probability that the borrower will not be able to meet their commitments) depend on the risk segment to which the counterparty belongs, the amount of the exposure and the stage in the lending process at which they are applied (initial pay-out or monitoring). The classifications are represented by 13 classes of merit differentiated by risk segment. All of the Parent Company's systems share a number of common characteristics:

- the rating is determined with reference to the specific counterparty;
- the rating systems are established with reference to the loan portfolio of the BPER Banca group (the rating is unique for each counterparty, even if shared by several banks in the Group);
- the models process internal performance information derived from reports issued by the central risk database, as well as financial information in the case of businesses;
- the models for Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates add a qualitative element to the purely statistical side. The rating allocation process for these segments also allows the account manager to activate an override process i.e. to request an exception to the quantitative rating based on true and documented information not processed by the model. The requested exception is evaluated by a central function that operates at Group level;
- to support risk analysis in the Large Corporate, Holding and Financial Companies segment, another component was added to the model to take into account whether counterparties belong to a group;
- the Probability of Default is calibrated with reference to regulatory anomalies, which include past due amounts;
- the time series used in order to develop and calibrate the models cover a broad time horizon, consistent with the requirements of current regulations;
- the ratings are analysed and reviewed at least once each year; the Bank has also defined a process for the monitoring of each rating, causing the rating to lapse if it no longer represents the true risk profile of the counterparty and there are signs of deterioration in the quality of the related lending;
- use is made of a rating calculation model for counterparties acting as guarantors for individuals, aimed at the quantification and measurement of credit risk attributable to private counterparties that provide personal guarantees to BPER Banca Group's customers.

Determination of the final rating depends on the type of counterparty. In particular, the rating allocation process involves a level of investigation that is proportional to the complexity/scale of the counterparty under review: a more complex and sophisticated structure is foreseen for medium-large businesses (Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates), which are fewer but with larger average exposures, while there is a simpler structure for Retail customers (Retail SMEs, Individuals and Small Businesses), which are more numerous, but with lower exposures.

The estimation of LGD (Loss Given Default: representing the extent of the loss expected to occur on default of the borrower, dependent on type of exposure to the counterparty) is based on information on the borrower (segment, geographical area, internal administrative status), the product (technical form, size of exposure), and the presence, type and coverage of guarantees. LGD estimation includes the impact of the recession phase in the economic cycle (downturn LGD).

In terms of the management and development of the internal rating system, the principal activities during the 2018 included:

- update of the LGD (Loss Given Default) model;
- recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties;
- the activities envisaged in the roll-out plan for the various internal methodologies;
- activities to adapt internal models to the New Definition of Default;
- recalibration of the risk models to IFRS 9;
- performance of activities linked to TRIM (Targeted Review of Internal Models)

In addition to indicating the principles of governance, assumption and management of credit risk, the Group Credit Risk Governance Policy defines the BPER Group's credit risk appetite. For this purpose, the policy provides for a new system of credit risk exposure limits, establishing supervisory thresholds that have to be monitored periodically. The document also explains the principles for calculating analytical and collective loan loss provisions and for the classification of loans by status.

In order to manage credit risk, the Group has developed a system of credit limits designed to regulate the lending process, together with a system for authorisations that takes account of the riskiness of the customer and/or the transaction, consistent with the risk evaluation systems adopted. This system ensures compliance with the principle that the level of authorisation be consistent with the riskiness of the transaction, envisaging that the limits on decision making are established with reference to one or more aspects of the specific counterparty and transaction risk (in particular counterparty rating, expected loss, amount of the facility).

The internal rating system’s risk measures are used for management reporting purposes; in particular:

- a Credit Risk Book is prepared on a quarterly basis and is an essential tool for the Risk Committee. This is the basic information support for the Risk Committee and contains detailed reports on credit risk at consolidated and individual level (distribution of the portfolio by type and rating classes, dynamics of risk parameters and expected loss, transition matrices, dynamics of general and analytical provisions and decay rates), with differentiated analyses for risk and management segments and geographical area;
- a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit risk.

A network reporting tool is also available, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

Lastly, following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the June 2016 Regulatory Reports, the BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- "Exposures to retail businesses";
- "Exposure to companies".

The other Group companies and asset classes for which Permanent Partial Use (PPU) is not required or which are not included in the roll-out plan, the BPER Banca Group will continue to use the Standardised Approach and the external ratings supplied by the ECAIs (external agencies for the assessment of creditworthiness) recognised by the Supervisory Authority. In particular, the Group used the Cerved Rating for "Exposures to companies," the Scope Ratings AG Rating for "Exposures to central administrations or central banks", the Fitch Rating for "Financial Instruments" lodged in guarantee, "Exposures to UCITS" and "Exposures to securitisation".

In order to optimise the process of monitoring customers, the Parent Company made some refinements to an early warning model, which is capable of analysing performing loans by level of risk, with a view to suggesting timely action to be taken by the responsible functions.
The model was developed using methodology that responds to two key needs in the process of managing performing counterparties:

- the need to identify as a first step those counterparties that, for the sake of prudence, should be monitored actively in order to avoid a deterioration in their position, or to implement actions that will improve the counterparty's risk profile or contain possible future losses;
- the need to define processes for observing these positions, determining the priorities and the rules for monitoring them, in order to optimise the organisational effort of the account managers and the results of such action.

2.3 Methods for measuring expected losses

The ECL model for calculating expected credit losses is based on the risk parameters estimated for regulatory purposes, whose main characteristics were described in the previous paragraphs, appropriately modified to ensure that they fully comply with IFRS 9. Information on impairment models and related risk parameters is presented in Part A of the Explanatory Notes, to which reference should be made.

2.4 Credit risk mitigation techniques

Mitigation techniques are an important tool for reducing or transferring part of the credit risk associated with the portfolio of exposure. Consistent with the low propensity to accept risk that characterises operations, the Group seeks to mitigate credit risk, in particular, by obtaining and managing secured and unsecured guarantees. For this purpose, the Group has prepared suitable IT procedures and systems for managing mortgages and financial guarantees in compliance with prudent supervisory requirements, as well as appropriate internal regulations for managing the lifecycles of the other tangible security obtained.

The secured guarantees obtained by the Group generally comprise mortgages on residential and non-residential property, as part of retail lending and, to a lesser extent, loans to Corporate customers, as well as pledges on securities, receivables and cash. An internal procedure developed over a number of years gathers information in an organised fashion on the property assets of borrowers and on the properties given in guarantee. As a guarantee of both performing and non-performing positions, properties are periodically revalued and updated with new appraisals or indexed revaluations based on the statistical databases of a primary operator in the sector. A dedicated procedure is used to check every month whether a new appraisal or index-based revaluation is needed, in compliance with the Guidelines for banks on non-performing loans (NPL) and the CRR (EU Reg. 575/2013). An internal function covering the entire banking group has been established to supervise this process and monitor constantly the value

obtained to cover exposures, as required by the new regulations. The Group also has a new appraisal management system that automatically directs requests to providers according to the rules consistent with the relevant legislation. The same application monitors the state of the appraisals in progress and acts as a historical archive that preserves the previous assessments in digital format with all the accompanying documents.
Likewise, the collateral represented by financial instruments is managed within a procedure that updates the fair value on the basis of market trends.

The principal types of unsecured guarantees consist of "specific guarantees" and "restricted omnibus guarantees", mainly given by entrepreneurs in favour of their companies and by Parent Companies in favour of their subsidiaries in the form of binding letters of patronage. Guarantees granted by various guarantee consortiums in favour of their members firms are becoming more significant, as well as guarantees granted by third party institutions, such as SACE; MCC (Guarantee Fund for SMEs); EIF (European Investment Fund); Guarantee Fund for the First Home, B.E.I (Life for Energy) also subject to periodic monitoring.

3 Non-performing exposures

3.1. Strategies and management policies

The BPER Banca Group has identified among the “strategic development” levers the management of the Non-Performing Exposures (NPE) portfolio, already approving the following guidelines at the beginning of 2018:

- the 2018-2022 NPE Plan, subject to analysis and sharing by the NPE Committee on 23 March 2018;
- the 2018-2020 NPE Strategy, subject to approval by the Board of Directors on 27 March 2018 and subsequent submission to the ECB on 30 March 2018.

More specifically, the 2018-2020 NPE Strategy has identified the objective of significantly reducing the portfolio of non-performing loans, also based on the recommendations made by the European Supervisory Authority. These would be implemented by strengthening internal recovery measures, as better explained below, but also through the use of mass sales on the NPE market. Once the strategy was defined, the 2018-2022 NPE Plan was developed, envisaging a total amount of gross NPE sales by the Group of Euro 4.5 billion.
The revision of the models for valuing non-performing loans required by IFRS 9 and, above all, the execution of important “package” sales and securitisations in 2018, led to a significant decrease in the net NPE ratio, which already came to 6.81% at the end of 2018.
Therefore, at the same Group perimeter, we confirm the objective for reducing the stock of NPEs over a three-year period by more than 40% of the levels recorded at the end of 2017, reaching a gross and net ratio put respectively at around 11.5% and 5.5% in 2020, with the forecast to fall below the thresholds of 10% and 5% in 2021.
For more details on the sales transactions and the overall NPE strategy, please refer to the chapter on Strategic Transactions in the Directors' Report on Group Operations.

In relation to the general management aspects of the NPE portfolio, it should be noted that the classification of financial assets within the risk categories envisaged by supervisory regulations is based on the identified risk profile.
The classification of each anomalous position is decided both automatically and by means of an analysis described in an internal regulation that governs in detail the transfer of a counterparty to a certain administrative position when a certain deterioration of its credit quality has occurred.
The classifications of the positions within problem items, when not automatic, takes place on the basis of subjective performance assessments based on monitoring of the credit chain. The tools that we have available make it possible to identify on a timely basis any signs of deterioration in risk relationships, allowing punctual analysis of the credit worthiness and classification of the position to the correct category of risk.

The following are some of the interventions developed at Banking Group level, which contributed to better processing of anomalous and non-performing loans, particularly in 2018.

- Organisation and governance:
  a) the structure of the Anomalous Loan department (and of BPER Credit Management - BCM) have been redesigned and reorganised, following the guidelines of the NPL Guidance. The recommended route is that of specialisation by segment, which is considered the best way to recover more and faster. The whole process has therefore been divided into specialised structures: Restructuring with a central team and in various areas of Italy focused on the Corporate segment (it mainly deals with debt restructuring such as voluntary plans, bankruptcy law plans, forbearance agreements), real estate with a team in Milan specialising in the construction/real estate sector, development with a central team and distributed in various areas, Minor positions with a central team and one in Sardinia specialized in the recovery of modest exposure positions. This anomalous credit organisational model was replicated on all the banks of the group, except for the Minor Positions, which operates centrally for all the legal entities.
     This structural activity, combined with process and procedure changes, had as its objective both the care of default stock and the reduction of entry flows to non-performing loans.
  b) On BCM, where management and recovery specialisation segmented by portfolio assets (both corporate and retail, rather than centralised or outsourced recovery) completely changed the Group's approach to bad loans.
  c) Another organisational measure concerns the marked subdivision of the credit chains dedicated to the granting of loans from the commercial ones, dedicated to their sale. The reorganisation was aimed at minimising transfers to default, thanks to greater independence in credit approvals, without the involvement of the budget or incentive systems to increase volumes.

- Processes and procedures acting on the Anomalous Loan: anomalous loan management and monitoring processes have been adapted, with the introduction of procedures that have been further developed and improved over the last three years, such as:
  a) a new Early Warning model, with the development over time of 5 dedicated fault detection engines per customer segment (e.g. corporate, private, small business, construction and real estate, financial and PA). The optimisation of anomaly detection, particularly with the inclusion of anticipatory pre-anomalies of the classification in IFRS 9 Stage 2 and the inclusion of triggers dictated by the NPL Guidance.

b) Electronic Dossier Management, optimised over time with the inclusion of new management measures and new information available to the manager to better understand the potential evolution of the position, with targeted links to other procedures;
c) development of credit recovery on minor positions of an external collection system, with phone collection and home collection cycles, as well as a central office that ultimately oversaw internal recovery before any transfer to bad loans;
d) a much more precise and targeted monitoring system on the performance of individual structures and not only on the quality of the overall portfolio;
e) more extensive use of the forbearance tool, use of sustainability tools and monitoring of the effectiveness of the agreed measures;
f) greater use of write-offs, especially for Minor Positions (an instrument that in any case is used in an extremely prudent way).

- Processes and procedures concerning the Granting of loans, so as to strengthen the decision-making system and prevent potential deterioration already at the time of granting:
  a) development of more punctual credit policies, characterised by indications of asset allocation based on risk/return/capital absorption indicators. These indications, valid for each individual counterparty, have been included in the Electronic Credit Dossier procedure, therefore visible to the proposer and to the decision maker. In this way the quality of the performing portfolio has improved over the years, shifting its concentration towards the best rating classes;
  b) strengthening of the preliminary investigation of top management dossiers, with the introduction of a much more complete set of information, similar to structured finance transactions, strengthening the functions delegated this task;
  c) a much more precise monitoring system also for Granting, the timing of approvals, as well as the quality of the approved portfolio.

- Incentive systems: credit quality objectives have been allocated to the network and to the central office/top management teams aimed at the activities of the individual functions so that there would be a mixture of complementary skills involved in the results.

- Lending training cycles segmented by function: aimed at the management functions involved in recovery, restructuring and real estate; general instead to illustrate the mechanisms of the NPL Guidance also to the network and not only to the central structures, obviously with strategic management instructions to follow.

The consistency of the classification of a position in the right risk category, with respect to internal rules and Bank of Italy regulations, is also ensured by second-level checks that, by applying a suitable method, verify not only that classifications are correct, but also the adequacy of provisions, the presence of first-level controls and the effectiveness of recovery processes, so as to ensure strong supervision throughout the entire credit chain. The improvement in the risk profile of counterparties leads to a transfer to better internal classifications and may result in a return to "performing" status.
With regard to the cycle for the management of non-performing exposures, macro strategies are envisaged within the Group, which will assume specific methods depending on the type of debtor, how critical the anomalies are and an assessment of the entire perimeter of the debtor's exposures and of any related parties.

The resolution approving the management strategy envisages a system of increasing delegated powers, consistent with the powers of classification and the estimate of value adjustments, also with the intervention of specialist units competent in the various phases of the relationship, and with different degrees of centralisation of decision-making skills in relationship management.
The main strategies that can be followed are:

- management of arrears/overdrafts, also through outsourcing;
- reshaping of the credit line and/or guarantee framework;
- granting of forbearance measures;
- waiver of loan (with or without debt forgiveness);
- transfer of loan to third parties;
- repossession of the asset.

3.2 Write-off

In general, and in line with the relevant legislation, the elimination of the loan from the financial statements must be carried out when:

- there is no reasonable prospect of recovery as a result of facts of any nature that make it impossible for the customer to fully meet their obligations ("write-off"), or
- the certainty of a loss materialises (for example, because of definitive legal events).

The assessment and proposal of write-offs, foreseen exclusively for the positions classified as "unlikely-to-pay" and "bad" loans according to certain events, must be adequately motivated and documented. In line with the recommendations of the supervisory authority, in cases of non-recoverability of the loan, it is best to write off a loan as soon as its non-recoverability has been ascertained.
In line with the reference guidelines:

- cancellation of a financial asset in its entirety or in part constitutes an accounting elimination (or "derecognition") and the cancelled amount cannot be subject to write-backs. Cancellations should not be reinstated and where cash flows or other assets are recovered as a last resort, their amount should be recognised as income in the income statement;
- cancellation can take place before legal action against the debtor for the recovery of the loan has been definitively concluded;
- cancellation, in itself, does not necessarily imply renunciation by the Bank of the legal right to recover the loan. The Bank's decision to waive this right is known as "debt forgiveness". Detailed evidence of cancellations of NPLs at portfolio level is kept, as well as information on financial assets that are subject to execution measures, even if derecognised from the financial statements.

3.3 purchased or originated impaired financial assets

If a credit exposure classified in caption 30 "Financial assets measured at fair value through other comprehensive income" or in caption 40 "Financial assets measured at amortised cost" at the time of initial recognition becomes impaired, it is identified as "Purchased or Originated Credit Impaired - POCI".
By convention, POCI financial assets are classified in Stage 3 on initial recognition.
Should these assets become performing, following an improvement in the creditworthiness of the counterparty, they are reclassified to Stage 2.
They can never be classified in Stage 1, as the expected credit loss must always be calculated over the residual duration.

BPER Banca identifies as "Acquired or originated impaired financial assets”:

- exposures already impaired at the time of purchase, also as part of business combinations;
- exposures originated as part of restructuring transactions of impaired exposures that led to the disbursement of new finance, or introduced substantial changes to the original contractual conditions.

4. Financial assets involved in commercialrenegotiations and forborne exposures

The BPER Banca Group adopts the definition of "Forbearance Measure" of the Implementing Regulation EU 227/2015.

Measures of forbearance, or "tolerance", consist of concessions to a debtor who is or is about to find themselves in difficulty in meeting their financial commitments (i.e. in financial difficulty). The exposures subject to forbearance measures are identified as forborne.

"Forbearance" means facilitating measures in favour of the customer which can be summarised in the following categories:

- “Changes”, made to the terms and conditions of a loan agreement due to the debtor's inability to perform financially in the commitments assumed previously;
- Total or partial "refinancing" of the debt, in the event of a new financing that is not marginal with respect to the cash flows committed.

An intrinsic characteristic of forbearance is the state of financial difficulty of the debtor: it is based on an overall assessment of the debtor for which the rating is one of the elements to be considered.

The Group adopts standardised solutions and decision-making trees in order to apply efficient and effective debt rescheduling solutions, based on customer characteristics and type of exposure, which constitute one of the Group's strategies for reducing non-performing exposures.

The forbearance measures are divided, depending on the time horizon over which they extend, into:

- short-term forbearance measures, or temporary changes in the reimbursement conditions, aimed at facing short-term financial difficulties, which do not address the resolution of arrears in existing amounts and have a duration of less than 24 months;
- long-term forbearance measures, or changes in the reimbursement conditions aimed at definitively resolving the debtor's financial difficulty, even resolving any situations of overdue or past-due amounts, and lasting more than 24 months (also in combination with short-term measures).

Forbearance does not constitute an administrative status, but in the cases envisaged by current legislation, it may lead to a change in the counterparty's classification (providing for a transfer to non-performing).

Once the debtor's financial difficulty has been established, the conditions for classification as an unlikely-to-pay position must also be verified when the measure is granted.

Not all contractual changes in favour of the customer ("concessions") give rise to forborne exposures, but only if there are also elements of financial difficulty. In their absence, the concessions are configured as transactions for merely commercial purposes.

Quantitative information

A. Credit quality

A.1 Non-performing and performing credit exposures: amounts, adjustments, changes and economic distribution

A.1.1 Breakdown of financial assets by portfolio classification and credit quality (book values)

Portfolios/quality	Bad loans	Unlikely to pay loans	Non-performing past due exposures	Performing past due exposures	Other performing exposures	Total
1. Financial assets measured at amortised cost	894,519	1,111,408	22,626	358,978	43,463,870	45,851,401
2. Financial assets measured at fair value through other comprehensive income	18	-	-	-	7,266,684	7,266,702
3. Financial assets designated at fair value	-	-	-	-	202,989	202,989
4. Other financial assets mandatorily at fair value	-	963	-	-	223,806	224,769
5. Financial assets classified as held for sale	-	-	-	-	-	-
Total 31.12.2018	**894,537**	**1,112,371**	**22,626**	**358,978**	**51,157,349**	**53,545,861**
Total 31.12.2017	**1,854,935**	**1,563,841**	**28,986**	**531,739**	**50,247,473**	**54,226,974**

Details of forborne exposures (book values)

Portfolios/Quality	Bad loans	Unlikely to pay loans	Non-performing past due exposures	Performing past due exposures	Performing exposures	Total
1. Financial assets measured at amortised cost						
- Loans to customers	215,038	673,275	206	27,499	484,261	1,400,279

A.1.2 Breakdown of financial assets by portfolio classification and credit quality (gross and net values)

Portfolio/quality	Non-performing				Performing			Total (net exposure)
	Gross exposure	Overall impairment provisions	Net exposure	Overall partial write-off	Gross exposure	Overall impairment provisions	Net exposure	
1. Financial assets measured at amortised cost	4,905,782	2,877,229	2,028,553	476,303	43,954,799	131,951	43,822,848	45,851,401
2. Financial assets measured at fair value through other comprehensive income	18	-	18	-	7,271,100	4,416	7,266,684	7,266,702
3. Financial assets designated at fair value	-	-	-	-	X	X	202,989	202,989
4. Other financial assets mandatorily measured at fair value	963	-	963	-	X	X	223,806	224,769
5. Financial assets classified as held for sale	-	-	-	-	-	-	-	-
Total 31.12.2018	**4,906,763**	**2,877,229**	**2,029,534**	**476,303**	**51,225,899**	**136,367**	**51,516,327**	**53,545,861**
Total 31.12.2017	**7,150,234**	**3,702,472**	**3,447,762**	**565,066**	**50,939,445**	**171,805**	**50,779,212**	**54,226,974**

Details of counterparties	Total write-offs	
	31.12.2018	31.12.2017
Financial companies	12,202	9,609
- of which: financial and non resident companies	-	-
Non financial companies	447,182	536,388
- of which: non financial and non resident companies	136	201
Households	16,919	19,069
- of which: non resident households	-	-
Total	**476,303**	**565,066**
- of which: non resident	**136**	**201**

Previous write-offs do not include those carried out during the year on bad loans as part of credit extinction events, also reported in the tables A.1.9 and A.1.11, as detailed below.

Details of counterparties	Total write-offs	
	31.12.2018	31.12.2017
Financial companies	9,280	14,364
- of which: financial and non resident companies	-	-
Non financial companies	114,722	149,606
- of which: non financial and non resident companies	128	140
Households	21,465	68,675
- of which: non resident households	-	5,620
Total	**145,467**	**232,645**
- of which: non resident	**128**	**5,760**

The amounts shown above are gross of default interest

Portfolios/quality		Low credit quality assets		Other activities
		Cumulated capital losses	Net exposure	Net exposure
1. Financial assets held for trading		341	423	219,188
2. Hedging derivatives		-	-	34,916
Total	**31.12.2018**	**341**	**423**	**254,104**
Total	**31.12.2017**	**196**	**543**	**563,583**

A.1.3 Breakdown of financial assets by past-due buckets (book values)

Portofolios/risk stages		First stage			Second stage			Third stage		
		From 1 day to 30 days	Over 30 days to 90 days	Over 90 days	From 1 day to 30 days	Over 30 days to 90 days	Over 90 days	From 1 day to 30 days	Over 30 days to 90 days	Over 90 days
1. Financial assets measured at amortised cost		125,586	85	13	108,456	97,113	27,725	32,066	53,607	1,456,069
2. Financial assets measured at fair value through other comprehensive income		-	-	-	-	-	-	-	-	18
Total	**31.12.2018**	**125,586**	**85**	**13**	**108,456**	**97,113**	**27,725**	**32,066**	**53,607**	**1,456,087**
Total	**31.12.2017**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**

The table does not include figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date

A.1.4 Financial assets, commitments to distribute funds and financial guarantees granted: changes in total impairment provisions

Reasons/risk stages	Total impairment provisions							
	First stage activities				Second stage activities			
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	of which: individual impairment losses	of which: collective impairment losses	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	of which: individual impairment losses	of which: collective impairment losses
Opening balance	80,076	5,544	-	85,620	86,038	757	-	86,795
Increases in purchased or originated financial assets	-	-	-	-	-	-	-	-
Derecognitions other than write-offs	-	-	-	-	-	-	-	-
Net impairment losses for credit risk (+/-)	4,306	(1,601)	-	2,705	(38,469)	(284)	-	(38,753)
Contractual modifications without derecognitions	-	-	-	-	-	-	-	-
Changes in the estimation methodology	-	-	-	-	-	-	-	-
Write-off	-	-	-	-	-	-	-	-
Other changes	-	-	-	-	-	-	-	-
Closing balance	84,382	3,943	-	88,325	47,569	473	-	48,042
Recoveries from financial assets subject to write-off	-	-	-	-	-	-	-	-
Write-offs recorded directly through profit or loss	-	-	-	-	-	-	-	-

A.1.4 Financial assets, commitments to distribute funds and financial guarantees granted: changes in total impairment provisions

(cont.)

Reasons/risk stages	Total impairment provisions					Total impairment provisions on commitments to distribute funds and financial guarantees granted			Totale
	Third stage activities				Of which: purchased or originated impaired financial assets				
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	of which: individual impairment losses	of which: collective impairment losses		First stage	Second stage	Third stage	
Opening balance	**4,435,196**	**8**	**4,435,204**	**-**	**-**	**2,468**	**3,457**	**46,843**	**4,660,387**
Increases in purchased or originated financial assets	-	-	-	-	-	-	-	-	-
Derecognitions other than write-offs	(1,319,191)	-	(1,319,191)	-	-	-	-	-	(1,319,191)
Net impairment losses for credit risk (+/-)	66,418	(8)	66,410	-	-	6,298	484	(17,294)	19,850
Contractual modifications without derecognitions	-	-	-	-	-	-	-	-	-
Changes in the estimation methodology	-	-	-	-	-	-	-	-	-
Write-off	(139,746)	-	(139,746)	-	-	-	-	-	(139,746)
Other changes	(165,448)	-	(165,448)	-	-	-	-	-	(165,448)
Closing balance	**2,877,229**	**-**	**2,877,229**	**-**	**-**	**8,766**	**3,941**	**29,549**	**3,055,852**
Recoveries from financial assets subject to write-off	5,884	-	5,884	-	-	866	278	242	7,270
Write-offs recorded directly through profit or loss	(47,760)	-	(47,760)	-	-	-	-	-	(47,760)

The caption "other changes" relates to the cancellation of default interest.

A.1.5 Financial assets, commitments to distribute funds and financial guarantees granted: transfers between different credit risk stages (gross and nominal values)

Portofolios/risk stages		Gross values/Nominal values					
		Transfers between first stage and second stage		Transfers between second stage and thirth stage		Transfer between first stage and thirth stage	
		From first stage to second stage	From second stage to first stage	From second stage to third stage	From thirth stage to second stage	From first stage to thirth stage	From thirth stage to first stage
1. Financial assets measured at amortised cost		1,182,888	1,319,661	322,911	99,624	177,263	11,855
2. Financial assets measured at fair value through other comprehensive income		64,876	353,202	-	-	-	-
3. Commitments to distribute funds and financial guarantees granted		551,499	1,382,065	93,186	11,261	26,419	613
Total	**31.12.2018**	**1,799,263**	**3,054,928**	**416,097**	**110,885**	**203,682**	**12,468**
Total	**31.12.2017**	**-**	**-**	**-**	**-**	**-**	**-**

The table does not include figures as at 31 December 2017 as, given the choice made by the BPER Banca Group for the transition to IFRS 9 without restating the comparative balances, the breakdown required by the 5th update of Bank of Italy Circular 262/2005 is not applicable at that date.

A.1.6 Cash and off-balance sheet credit exposures to banks: gross and net values

Type of exposures/amounts	Gross exposure		Total impairment provisions	Net Exposure	Total partial write-off
	Non-performing	Performing			
A. Cash exposures					
a) Bad loans	-	X	-	-	-
- of wich: forborne exposures	-	X	-	-	-
b) Unlikely to pay loans	-	X	-	-	-
- of wich: forborne exposures	-	X	-	-	-
c) Non-performing past due exposures	-	X	-	-	-
- of wich: forborne exposures	-	X	-	-	-
d) Performing past due exposures	X	22	-	22	-
- of wich: forborne exposures	X	-	-	-	-
e) Other performing exposures	X	9,346,419	5,825	9,340,594	-
- of wich: forborne exposures	X	-	-	-	-
Total (A)	**-**	**9,346,441**	**5,825**	**9,340,616**	**-**
B. Off-balance sheet credit exposures					
a) Non-performing	-	X	-	-	-
b) Performing	X	730,911	175	730,736	-
Total (B)	**-**	**730,911**	**175**	**730,736**	**-**
Total (A+B)	**-**	**10,077,352**	**6,000**	**10,071,352**	**-**

A.1.7 Cash and off-balance-sheet exposures to customers: gross and net values

Type of exposures/amounts	Gross exposure		Total impairment provisions	Net exposure	Total partial write-off
	Non-performing	Performing			
A. Cash exposures					
a) Bad loans	3,071,137	X	2,176,600	894,537	476,303
- of which: forborne exposures	540,881	X	325,843	215,038	75
b) Unlikely to pay loans	1,808,804	X	696,433	1,112,371	-
- of which: forborne exposures	1,070,632	X	397,357	673,275	-
c) Non-performing past due exposures	26,822	X	4,196	22,626	-
- of which: forborne exposures	247	X	41	206	-
d) Performing past due exposures	X	364,454	5,498	358,956	-
- of which: forborne exposures	X	28,110	611	27,499	-
e) Other performing exposures	X	42,061,514	125,044	41,936,470	-
- of which: forborne exposures	X	493,627	9,366	484,261	-
Total (A)	**4,906,763**	**42,425,968**	**3,007,771**	**44,324,960**	**476,303**
B. Off-balance sheet credits exposures					
a) Non performing	361,395	X	36,096	325,299	-
b) Performing	X	18,104,723	13,600	18,091,123	-
Total (B)	**361,395**	**18,104,723**	**49,696**	**18,416,422**	**-**
Total (A+B)	**5,268,158**	**60,530,691**	**3,057,467**	**62,741,382**	**476,303**

Details of impairment losses on an individual and collective basis on loans to customers are provided below.

	Non-performing assets				Performing assets		
	Gross exposure	Individual impairment provisions - analytical	Individual impairment provisions - automated	Net exposure	Gross exposure	Collective impairment provisions	Net exposure
Cash credit exposures to customers (loans and debt securities)	**4,905,783**	**2,748,944**	**128,285**	**2,028,554**	**39,524,285**	**129,176**	**39,395,109**
Governments and other public entities	232	-	198	34	5,831,660	9,710	5,821,950
- of which: foreign	-	-	-	-	679,000	30	678,970
Financial companies	231,006	126,666	2,373	101,967	5,877,191	7,206	5,869,985
- of which: foreign	32,585	28,491	240	3,854	361,375	200	361,175
Non-financial companies	3,778,808	2,161,496	71,199	1,546,113	16,507,482	78,586	16,428,896
- of which: foreign	34,251	18,505	-	15,746	107,025	438	106,587
Privates and households	895,737	460,782	54,515	380,440	11,307,952	33,674	11,274,278
- of which: foreign	3,929	1,613	236	2,080	33,959	90	33,869

A.1.8 Cash credit exposures to banks: change in gross non-performing exposures

There are no amounts to be disclosed in this section.

A.1.8bis Cash credit exposures to banks: change in gross forborne exposures broken down by credit quality

There are no amounts to be disclosed in this section.

A.1.9 Cash credit exposures to customers: change in gross non-performing exposures

Reasons/Categories	Bad loans	Unlikely to pay loans	Non-perfomring past due exposures
A. Opening balance (gross amount)	**4,870,993**	**2,245,953**	**33,288**
- Sold but not derecognised	-	-	-
B. Increases	**678,633**	**889,841**	**36,133**
B.1 entry from performing exposures	49,564	520,475	25,857
B.2 entry from purchased or originated impaired financial assets	-	-	-
B.3 transfers from other non-performing exposures	504,598	13,367	539
B.4 contractual modifications without derecognitions	-	-	-
B.5 other increases	124,471	355,999	9,737
C. Decreases	**2,478,489**	**1,326,990**	**42,599**
C.1 transfers to performing exposures	-	220,267	7,948
C.2 write-offs	145,467	42,034	5
C.3 recoveries	203,401	537,195	11,496
C.4 sales proceeds	640,172	-	-
C.5 losses on disposals	73,567	-	-
C.6 transfers to other non-performing exposures	-	495,354	23,150
C.7 contractual modifications without derecognitions	-	-	-
C.8 other decreases	1,415,882	32,140	-
D. Closing balance (gross amounts)	**3,071,137**	**1,808,804**	**26,822**
- Sold but not derecognised	-	-	-

The caption "other decreases" includes € 165,448 thousand relating to the cancellation of default interest and € 1,282,228 thousand relating to the gross amount of the exposures sold exceeding the sum of the realisable value and the loss on disposal (of which Aqui € 1,171,401 thousand).

A.1.9bis Cash credit exposure to customers: change in gross forborne exposures broken down by credit quality

Reasons/Quality	Forborne exposures: non-performing	Forborne exposures: performing
A. Opening balance (gross amount)	**2,037,088**	**657,921**
- Sold but not derecognised	-	-
B. Increases	**655,377**	**359,359**
B.1 Transfers from non-forborne performing exposures	164,376	191,329
B.2. Transfers from forborne performing exposures	127,587	X
B.3. Transfers from non-performing forborne exposures	X	77,311
B.4 other increases	363,414	90,719
C. Decreases	**1,080,705**	**495,543**
C.1 Transfers to non-forborne performing exposures	-	209,635
C.2 Transfers to forborne performing exposures	77,311	-
C.3 transfers to non-performing forborne exposures	X	127,587
C.4 write-offs	35,883	-
C.5 recoveries	494,310	158,314
C.6 sales proceeds	147,562	-
C.7 losses on disposals	2,554	-
C.8 other decreases	323,085	7
D. Closing balance (gross amount)	**1,611,760**	**521,737**
- Sold but not derecognised	-	-

The caption "other decreases" includes the cancellation of default interest.

A.1.10 Non-performing cash credit exposures to banks: change in total impairment provisions

There are no amounts to be disclosed in this section.

A.1.11 Non-performing cash credit exposures to customers: change in total impairment provisions

Reasons/Categories	Bad loans		Unlikely to pay loans		Non-performing past due exposures	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Opening balance (total impairment provisions)	**3,362,202**	**461,489**	**1,067,870**	**575,887**	**5,132**	**158**
- Sold but not derecognised	-	-	-	-	-	-
B. Increases	**788,818**	**311,555**	**238,968**	**167,784**	**3,395**	**23**
B.1 impairment losses on purchased or originated assets	-	X	-	X	-	X
B. 2 other value adjustments	297,860	73,490	236,169	167,737	2,908	19
B.3 losses on disposal	73,567	2,554	-	-	-	-
B.4 transfer from other non-performing exposures	397,846	232,685	1,813	47	312	4
B. 5 contractual modifications without derecognitions	-	X	-	X	-	X
B.6 other increases	19,545	2,826	986	-	175	-
C. Decreases	**1,974,420**	**447,201**	**610,405**	**346,314**	**4,331**	**140**
C.1 write-backs from assessment	223,024	29,745	89,934	47,088	1,222	12
C.2 write-backs from recoveries	54,707	27,294	49,640	43,826	46	23
C.3 gains on disposal	5,159	-	2,364	-	-	-
C.4 write-offs	145,467	24,149	42,034	11,734	5	-
C.5 transfers to other non-performing exposures	-	-	397,004	232,671	2,967	66
C. 6 contractual modifications without derecongitions	-	X	-	X	-	X
C.7 other decreases	1,546,063	366,013	29,429	10,995	91	39
D. Closing balance (total impairment provisions)	**2,176,600**	**325,843**	**696,433**	**397,357**	**4,196**	**41**
- Sold but not derecognised	-	-	-	-	-	-

The caption "Other decreases" includes the cancellation of default interest of € 165,448 thousand.

A.2 Classification of financial assets, commitments to distribute funds and guarantees granted based on external and internal ratings

A.2.1 Breakdown of financial assets, commitments to distribute funds and financial guarantees granted: by external rating classes (gross amounts)

Exposures	External rating classes						Unrated	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
A. Financial assets measured at amortised cost	1,333,987	1,413,320	3,646,267	417,295	27,909	85,237	41,936,566	48,860,581
- First stage	1,289,079	1,040,196	3,593,935	272,350	20,140	753	33,041,062	39,257,515
- Second stage	44,908	373,124	52,332	132,768	3,771	441	4,089,940	4,697,284
- Third stage	-	-	-	12,177	3,998	84,043	4,805,564	4,905,782
B. Financial assets measured at fair value through other comprehensive income	2,963,854	1,230,336	1,361,246	22,093	12,881	-	1,680,709	7,271,119
- First stage	2,807,698	1,077,677	1,251,807	10,060	-	-	1,651,974	6,799,216
- Second stage	156,156	152,659	109,439	12,033	12,881	-	28,717	471,885
- Third stage	-	-	-	-	-	-	18	18
Total (A + B)	**4,297,841**	**2,643,656**	**5,007,513**	**439,388**	**40,790**	**85,237**	**43,617,275**	**56,131,700**
of which: purchased or originated impaired financial assets	-	-	-	-	-	-	-	-
C. Commitments to distribute funds and financial guarantees granted	180,203	1,223,464	270,461	385,404	12,219	31,780	17,093,498	19,197,029
- First stage	62,713	709,988	201,909	177,527	10,916	-	12,613,835	13,776,888
- Second stage	117,490	513,476	68,552	205,192	1,252	9	4,148,982	5,054,953
- Third stage	-	-	-	2,685	51	31,771	330,681	365,188
Total (C)	**180,203**	**1,223,464**	**270,461**	**385,404**	**12,219**	**31,780**	**17,093,498**	**19,197,029**
Total (A + B + C)	**4,478,044**	**3,867,120**	**5,277,974**	**824,792**	**53,009**	**117,017**	**60,710,773**	**75,328,729**

The following rating agencies are used: Cerved Group for exposure to companies, Scope Ratings for exposures to central administrations, Fitch Rating and Standard & Poor's for exposures deriving from securitisations.
The rating classes of Scope Ratings, Cerved Group, Fitch Ratings and Standard & Poor's used by BPER Banca have been made with reference to the classes of creditworthiness of the debtors/guarantors according to prudential regulations. The rating agencies used are shown below and there is a reconciliation between the external ratings and the agencies' ratings.

Long-term rating for exposures to companies:

Class of credit merit	Risk weighting coefficients	ECAI Cerved Group
1	20%	A1.1, A1.2, A1.3
2	50%	A2.1, A2.2, A3.1
3	100%	B1.1, B1.2
4	100%	B2.1, B2.2
5	150%	C1.1
6	150%	C1.2, C2.1

Long-term rating for exposures to securitisations:

Class of credit merit	Risk weighting coefficients	ECAI Fitch Ratings
1	20%	from AAA to AA-
2	50%	from A+ to A-
3	100%	from BBB+ to BBB-
4	350%	from BB+ to BB-
5	1250%	BB- and below

Class of credit merit	Risk weighting coefficients	ECAI S&P Ratings
1	20%	from AAA to AA-
2	50%	from A+ to A-
3	100%	from BBB+ to BBB-
4	350%	from BB+ to BB-
5	1250%	BB- and below

Long-term rating for exposures to the Public Administrations:

Class of credit merit	Risk weighting coefficients	ECAI Scope Ratings
1	0%	from AAA to AA-
2	20%	from A+ to A-
3	50%	from BBB+ to BBB-
4	100%	from BB+ to BB-
5	100%	from B+ to B-
6	150%	from CCC to D

A.2.2 Breakdown of financial assets, commitments to distribute funds and financial guarantees granted: by internal rating classes (gross amounts)

Exposures	Internal rating classes						
	1	2	3	4	5	6	7
A. Financial assets measured at amortised cost	3,997,219	3,642,357	8,588,980	5,348,487	11,220,914	2,223,168	2,802,327
- First stage	3,726,880	3,354,065	7,718,983	4,613,916	10,390,055	1,881,639	2,409,222
- Second stage	270,339	288,292	869,997	734,571	830,859	341,527	393,105
- Third stage	-	-	-	-	-	2	-
B. Financial assets measured at fair value through other comprehensive income	861,089	173,788	682,794	644,532	493,772	630,180	1,550,095
- First stage	838,976	151,101	590,401	606,954	480,464	593,696	1,492,393
- Second stage	22,113	22,687	92,393	37,578	13,290	36,484	57,702
- Third stage	-	-	-	-	18	-	-
Total (A + B)	**4,858,308**	**3,816,145**	**9,271,774**	**5,993,019**	**11,714,686**	**2,853,348**	**4,352,422**
of which: purchased or originated impaired financial assets	-	-	-	-	-	-	-
C. Commitments to distribute funds and financial guarantees granted	3,239,389	3,663,359	3,457,677	2,494,590	4,046,199	639,604	800,636
- First stage	2,347,676	2,647,527	2,436,408	1,645,577	3,361,402	460,826	621,433
- Second stage	891,713	1,015,832	1,021,269	849,013	684,797	178,778	179,203
- Third stage	-	-	-	-	-	-	-
Total (C)	**3,239,389**	**3,663,359**	**3,457,677**	**2,494,590**	**4,046,199**	**639,604**	**800,636**
Total (A + B + C)	**8,097,697**	**7,479,504**	**12,729,451**	**8,487,609**	**15,760,885**	**3,492,952**	**5,153,058**

Exposures	Internal rating classes						
	8	9	10	11	12	13	
A. Financial assets measured at amortised cost	1,040,949	3,635,822	406,426	138,292	683,231	130,876	43,859,048
- First stage	752,887	3,420,906	223,445	46,829	622,358	25,605	39,186,790
- Second stage	288,062	214,916	182,976	91,463	60,873	105,271	4,672,251
- Third stage	-	-	5	-	-	-	7
B. Financial assets measured at fair value through other comprehensive income	916,595	772,503	193,169	-	194,615	4,151	7,117,283
- First stage	840,638	743,907	193,169	-	167,595	4,151	6,703,445
- Second stage	75,957	28,596	-	-	27,020	-	413,820
- Third stage	-	-	-	-	-	-	18
Total (A + B)	**1,957,544**	**4,408,325**	**599,595**	**138,292**	**877,846**	**135,027**	**50,976,331**
of which: purchased or originated impaired financial assets	-	-	-	-	-	-	-
C. Commitments to distribute funds and financial guarantees granted	230,269	77,561	47,425	9,088	4,329	15,576	18,725,702
- First stage	131,488	28,328	16,556	6,383	1,316	746	13,705,666
- Second stage	98,781	49,208	30,869	2,705	3,013	14,830	5,020,011
- Third stage	-	25	-	-	-	-	25
Total (C)	**230,269**	**77,561**	**47,425**	**9,088**	**4,329**	**15,576**	**18,725,702**
Total (A + B + C)	**2,187,813**	**4,485,886**	**647,020**	**147,380**	**882,175**	**150,603**	**69,702,033**

	With internal rating	Unrated	Total
Cash exposures	50,976,331	5,155,369	56,131,700
Off-balance sheet exposures	18,725,702	471,327	19,197,029
Total	**69,702,033**	**5,626,696**	**75,328,729**

On 24 June 2016, the ECB authorised the Group to use the IRB Advanced Method (PD, LGD, EAD parameters) for the quantification of the capital requirement for customers' credit risk from 30 June 2016.
The internal rating classes are shown as they are used in the management of credit risk. The Group's rating system for the valuation of counterparties is divided into a Large Corporate model, a Corporate model and an Individuals model. Creditworthiness classifications are represented by 13 rating classes regarding performing counterparties, differentiated by risk segment, and by a class relating to default. In turn, the 13 rating classes have been grouped into 5 operational classes, which indicate aggregate risk levels:

Operational Classes (of risk)	Rating Classes
High	10 - 11 - 12 - 13
Significant	8 -9
Average	5 - 6 - 7
Low	3 - 4
Very low	1 - 2

Cash exposures include all the financial assets of the "Financial assets measured at fair value through other comprehensive income" portfolio, with the exception of equities and the "Financial assets measured at amortised cost" portfolio; "off-balance sheet" exposures include all financial transactions other than cash transactions (guarantees granted, commitments, derivatives) that involve the assumption of a credit risk, whatever the purpose of such transactions is (trading, hedging, etc.).

A.3 Breakdown of guaranteed credit exposures by type of guarantee

A.3.1 Guaranteed cash and off-balance sheet credit exposures to banks

	Gross exposure	Net exposure	Collaterals (1)				Personal guarantees (2)	
							Credit derivatives	
								Other derivatives
			Property - mortgages	Property - finance leases	Securities	Other collaterals	CLN	Central counterparties
1. Guaranteed cash credit exposures:	**261,447**	**261,417**	**-**	**-**	**227,867**	**-**	**-**	**-**
1.1 totally guaranted	261,447	261,417	-	-	227,867	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
1.2 partially guaranted	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**24,690**	**24,651**	**-**	**-**	**-**	**-**	**-**	**-**
2.1 totally guaranted	16,720	16,694	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
2.2 partially guaranted	7,970	7,957	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-

A.3.1 Guaranteed cash and off-balance sheet credit exposures to banks

(cont.)

	Personal guarantees (2)							Total (1)+2)
	Credit derivatives			Endorsement loans				
	Other derivatives							
	Banks	Other financial companies	Other entities	Public Administrations	Banks	Other financial companies	Other entities	
1. Guaranteed cash credit exposures:	**-**	**-**	**-**	**31,835**	**1,494**	**-**	**-**	**261,196**
1.1 totally guaranted	-	-	-	31,835	1,494	-	-	261,196
- of which non-performing	-	-	-	-	-	-	-	-
1.2 partially guaranted	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**14,594**	**1,519**	**-**	**6,151**	**22,264**
2.1 totally guaranted	-	-	-	14,594	1,519	-	581	16,694
- of which non-performing	-	-	-	-	-	-	-	-
2.2 partially guaranted	-	-	-	-	-	-	5,570	5,570
- of which non-performing	-	-	-	-	-	-	-	-

A.3.2 Guaranteed cash and off-balance sheet credit exposures to customers

	Gross exposure	Net exposures	Collaterals (1)				Personal guarantees (2)	
							Credit derivatives	
								Other derivatives
			Property - mortgages	Property - finance leases	Securities	Other collaterals	CLN	Central counterparties
1. Guaranteed cash credit exposures:	**23,293,976**	**21,360,358**	**13,997,854**	**8,423**	**627,107**	**327,171**	**-**	**-**
1.1 totally secured	20,404,283	18,916,373	13,743,973	8,423	356,725	254,253	-	-
- of which:	2,894,546	1,475,717	1,210,724	121	7,333	8,401	-	-
1.2 partially secured	2,889,693	2,443,985	253,881	-	270,382	72,918	-	-
- of which:	722,697	289,460	156,327	-	2,775	7,095	-	-
2. Guaranteed off-balance sheet credit exposures:	**1,243,452**	**1,227,396**	**3,153**	**-**	**69,276**	**66,271**	**-**	**-**
2.1 totally secured	933,776	918,856	2,600	-	35,757	46,075	-	-
- of which:	4,484	3,287	394	-	12	216	-	-
2.2. partially	309,676	308,540	553	-	33,519	20,196	-	-
- of which:	4,223	3,190	394	-	279	311	-	-

A.3.2 Guaranteed cash and off-balance sheet credit exposures to customers

(cont.)

	Personal guarantees (2)							Total (1)+(2)
	Credit derivatives			Endorsement loans				
	Other derivatives							
	Banks	Other financial companies	Other entities	Public Administrations	Banks	Other financial companies	Other entities	
1. Guaranteed cash credit exposures:	**-**	**-**	**-**	**518,212**	**35,062**	**211,898**	**4,463,575**	**20,189,302**
1.1 totally secured	-	-	-	274,254	28,595	164,723	3,967,596	18,798,542
- of which: impaired	-	-	-	4,675	23,829	16,152	204,508	1,475,743
1.2 partially secured	-	-	-	243,958	6,467	47,175	495,979	1,390,760
- of which: impaired	-	-	-	3,478	-	13,806	38,817	222,298
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**2,261**	**831**	**14,405**	**1,023,258**	**1,179,455**
2.1 totally secured	-	-	-	1,119	821	13,569	818,915	918,856
- of which: impaired	-	-	-	-	-	-	1,071	1,693
2.2. partially guaranteed	-	-	-	1,142	10	836	204,343	260,599
- of which: impaired	-	-	-	-	-	-	419	1,403

A.4 Financial and non-financial assets obtained through the enforcement of guarantees received

There are no amounts to be disclosed in this section.

B. Distribution and concentration of credit exposures

B.1 Breakdown by sector of cash and off-balance sheet credit exposures to customers

Exposures/Counterparties		Public Administrations		Financial companies		Financial companies (of which: insurance companies)	
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A.Cash credit exposures							
A.1 Bad loans		-	-	17,011	77,721	-	-
- of wich: forborne exposures		-	-	838	5,228	-	-
A.2 Unlikely to pay loans		31	22	83,769	51,027	-	-
- of wich: forborne exposures		-	-	70,212	45,020	-	-
A.3 Non-performing past due exposures		4	176	1,185	292	-	-
- of wich: forborne exposures		-	-	-	-	-	-
A.4 Performing exposures		7,057,906	10,003	7,027,092	7,897	86,557	48
- of wich: forborne exposures		-	-	441	5	-	-
Total (A)		**7,057,941**	**10,201**	**7,129,057**	**136,937**	**86,557**	**48**
B. Off-balance sheet credit exposures							
B.1 Non-performing exposures		21,386	5	1,679	59	-	-
B.2 Performing exposures		534,679	215	2,359,901	294	46,146	4
Total (B)		**556,065**	**220**	**2,361,580**	**353**	**46,146**	**4**
Total (A+B)	**31.12.2018**	**7,614,006**	**10,421**	**9,490,637**	**137,290**	**132,703**	**52**
Total (A+B)	**31.12.2017**	**7,258,535**	**10,480**	**7,045,353**	**148,532**	**86,716**	**9**

B.1 Breakdown by sector of cash and off-balance sheet credit exposures to customers

(cont.)

Exposures/Counterparties		Non-financial companies		Households	
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A.Cash credit exposures					
A.1 Bad loans		682,084	1,651,260	195,442	447,619
- of wich: forborne exposures		166,478	235,103	47,722	85,512
A.2 Unlikely to pay loans		857,836	580,233	170,735	65,151
- of wich: forborne exposures		504,779	316,036	98,284	36,301
A.3 Non-performing past due exposures		7,175	1,201	14,262	2,527
- of wich: forborne exposures		-	-	206	41
A.4 Performing exposures		16,936,148	78,968	11,274,280	33,674
- of wich: forborne exposures		336,066	7,775	175,253	2,197
Total (A)		**18,483,243**	**2,311,662**	**11,654,719**	**548,971**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures		298,386	34,550	3,848	1,482
B.2 Performing exposures		13,917,314	4,082	1,276,475	9,009
Total (B)		**14,215,700**	**38,632**	**1,280,323**	**10,491**
Total (A+B)	**31.12.2018**	**32,698,943**	**2,350,294**	**12,935,042**	**559,462**
Total (A+B)	**31.12.2017**	**24,264,762**	**3,345,896**	**9,430,248**	**441,152**

B.2 Breakdown by geographical area of cash and off-balance sheet credit exposures to customers

Exposures/Geographical areas	Italy		Other european countries		United States
	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure
A. Cash credit exposures					
A.1 Bad loans	885,825	2,131,790	8,683	44,745	28
A.2 Unlikely to pay loans	1,100,470	692,428	10,652	3,136	1,103
A.3 Non-performing past due exposures	21,560	3,926	1,062	265	3
A.4 Performing exposures	39,025,251	128,786	2,308,767	1,133	796,929
Total (A)	**41,033,106**	**2,956,930**	**2,329,164**	**49,279**	**798,063**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures	325,179	36,096	-	-	-
B.2 Performing exposures	17,792,122	13,480	294,452	119	1,407
Total (B)	**18,117,301**	**49,576**	**294,452**	**119**	**1,407**
Total (A+B) 31.12.2018	**59,150,407**	**3,006,506**	**2,623,616**	**49,398**	**799,470**
Total (A+B) 31.12.2017	**44,724,705**	**3,890,896**	**1,942,776**	**52,583**	**1,125,538**

B.2 Breakdown by geographical area of cash and off-balance sheet credit exposures to customers

(cont.)

Exposures/Geographical areas	United States	Asia		Rest of the world	
	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures					
A.1 Bad loans	50	-	-	1	15
A.2 Unlikely to pay loans	816	-	-	146	53
A.3 Non-performing past due exposures	3	-	1	1	1
A.4 Performing exposures	284	140,696	333	23,783	6
Total (A)	**1,153**	**140,696**	**334**	**23,931**	**75**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures	-	-	-	120	-
B.2 Performing exposures	1	321	-	67	-
Total (B)	**1**	**321**	**-**	**187**	**-**
Total (A+B) 31.12.2018	**1,154**	**141,017**	**334**	**24,118**	**75**
Total (A+B) 31.12.2017	**1,852**	**144,444**	**603**	**61,435**	**126**

B.2 Breakdown by geographical area of cash and off-balance sheet credit exposures to customers

Exposures/Geographical areas		North West Italy		North East Italy		Centre Italy		South Italy and Islands	
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures									
A.1 Bad loans		67,987	174,798	388,790	954,419	82,382	250,213	346,665	752,360
A.2 Unlikely to pay loans		73,530	51,556	544,647	370,228	183,586	124,671	298,707	145,973
A.3 Non-performing past due exposures		2,592	357	6,168	940	1,626	366	11,174	2,263
A.4 Performing exposures		4,307,149	13,891	16,563,157	32,718	8,813,083	15,906	9,341,862	66,271
Total (A)		**4,451,258**	**240,602**	**17,502,762**	**1,358,305**	**9,080,677**	**391,156**	**9,998,408**	**966,867**
B. Off-balance sheet credit exposures									
B. 1 Non-performing exposures		14,525	1,310	220,725	24,743	45,082	5,332	44,847	4,711
B. 2 Performing exposures		2,780,709	910	9,289,329	10,016	2,194,228	617	3,527,856	1,937
Total (B)		2,795,234	2,220	9,510,054	34,759	2,239,310	5,949	3,572,703	6,648
Total (A+B)	31.12.2018	7,246,492	242,822	27,012,816	1,393,064	11,319,987	397,105	13,571,111	973,515
Total (A+B)	31.12.2017	5,040,359	327,562	18,942,797	1,712,415	9,934,336	541,059	10,807,213	1,309,860

B.3 Breakdown by geographical area of cash and off-balance sheet credit exposures to banks

Exposures/Geographical areas		Italy		Other european countries		United States
		Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure
A. Cash credit exposures						
A.1 Bad loans		-	-	-	-	-
A.2 Unlikely to pay loans		-	-	-	-	-
A.3 Non-performing past due exposures		-	-	-	-	-
A.4 Performing exposures		3,360,500	2,785	4,841,291	2,880	209,950
Total (A)		**3,360,500**	**2,785**	**4,841,291**	**2,880**	**209,950**
B. Off-balance sheet credit exposures						
B.1 Non-performing exposures		-	-	-	-	-
B.2 Performing exposures		141,134	12	274,527	61	54,580
Total (B)		141,134	12	274,527	61	54,580
Total A+B	31.12.2018	3,501,634	2,797	5,115,818	2,941	264,530
Total A+B	31.12.2017	4,269,671	-	4,217,238	-	445,950

B.3 Breakdown by geographical area of cash and off-balance sheet credit exposures to banks

(cont.)

Exposures/Geographical areas	United States	Asia		Rest of the world	
	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures					
A.1 Bad loans	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-
A.3 Non-performing past due exposures	-	-	-	-	-
A.4 Performing exposures	52	105,351	50	823,524	58
Total (A)	**52**	**105,351**	**50**	**823,524**	**58**
B. Off-balance sheet credit exposures					
B.1 Non-performing exposures	-	-	-	-	-
B.2 Performing exposures	29	203,553	63	56,624	10
Total (B)	**29**	**203,553**	**63**	**56,624**	**10**
Total A+B 31.12.2018	**81**	**308,904**	**113**	**880,148**	**68**
Total A+B 31.12.2017	**-**	**136,288**	**-**	**1,046,027**	**-**

B.3 Breakdown by geographical area of cash and off-balance sheet credit exposures to banks

Exposures/Geographical areas	North West Italy		North East Italy		Centre Italy		South Italy and Islands	
	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions	Net exposure	Total impairment provisions
A. Cash credit exposures								
A.1 Bad loans	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-	-	-	-
A.3 Non-performing past due	-	-	-	-	-	-	-	-
A.4 Performing exposures	1,452,909	1,940	124,831	91	1,069,823	754	712,937	-
Total (A)	**1,452,909**	**1,940**	**124,831**	**91**	**1,069,823**	**754**	**712,937**	**-**
B. Off-balance sheet credit exposures								
B.1 Deteriored exposures	-	-	-	-	-	-	-	-
B.2 Non-deteriored exposures	29,006	4	13,611	8	1,000	-	97,517	-
Total (B)	29,006	4	13,611	8	1,000	-	97,517	-
Total (A+B) 31.12.2018	**1,481,915**	**1,944**	**138,442**	**99**	**1,070,823**	**754**	**810,454**	**-**
Total (A+B) 31.12.2017	**1,377,769**	**-**	**155,775**	**-**	**2,319,394**	**-**	**416,733**	**-**

B.4 Large exposures

	31.12.2018	31.12.2017
a) Book value	20,985,947	20,045,387
b) Weighted value	3,713,696	3,585,383
c) Number	12	10

This measurement was made on the basis of the recent updates to Circular 285 which regulate "large exposures".
The rules define as a "large exposure" the amount of cash assets at risk and off-balance sheet transactions of a single customer or group of related customers that come to 10% or more of admissible capital.
Note that repurchase agreements are included in the amount of risk activities. These transactions contribute to the value of the counterparty exposure for the amount of "securities to be received", while they contribute to the exposure after CRM and exemptions under art. 400 CRR only for the difference between the amount of "securities to be received" and the cash deposit received.
At the end of the year, there are 12 "large exposure" for an overall amount of € 20,986 million, corresponding to € 3,714 million of weighted value. Of these, repurchase agreements account for € 4,067 million and € 212 million.
These exposures include the Treasury Ministry and the Ministry of Economy and Finance for a nominal value of € 7,052 million (34% of the total).
The remainder consists mainly of balances with large banking groups and counterparty companies for a nominal amount of € 5,482 million and a weighted amount of € 2,483 million.

To facilitate an understanding of the degree of concentration of loans, the nominal value of major exposures has been provided.

Risk concentration:

Reference date: 31.12.2018	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	17,050,002	1,950,356
First 10 exposures	19,942,996	2,800,077
First 20 exposures	23,658,851	5,499,905

Reference date: 31.12.2018	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	16,888,704	1,364,826
First 10 exposures	20,045,387	3,585,383
First 20 exposures	23,734,584	5,573,001

C. Securitisation transactions

Qualitative information

The primary objectives of the securitisation transactions arranged by the Bank in relation to non-performing loans are:

- to improve the asset structure of the banks concerned;
- to facilitate loan recovery strategies and make them more efficient (by centralising work with one group of lawyers);
- to exercise rigorous, direct control over higher risk loans, without modifying the overall risk profile.

Transactions involving performing contracts are, on the other hand, arranged in order to optimise sources of funding.

The following BPER Banca transactions, other than self-securitisation transactions described in the subsequent Section 3, are outstanding at 31 December 2018:

- Mutina
- Diesis
- Italian Credit Recycle
- Restart
- Aqui spv
- Pillarstone
- Sestante

Mutina (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	27 June 2002
Seller:	"Multi-originator" transaction arranged by the following Group banks: - Banca del Monte di Foggia s.p.a. (2); - Banca Popolare di Aprilia s.p.a. (4); - Banca Popolare dell'Irpinia s.p.a. (1); - Banca Popolare di Lanciano e Sulmona s.p.a.(4); - Banca Popolare del Materano s.p.a. (3); - Banca Popolare di Salerno s.p.a. (1); - Cassa di Risparmio della Provincia dell'Aquila s.p.a. (4); - Banca Popolare di Crotone s.p.a.(3); - Banca di Sassari s.p.a. (5) (1) merged with Banca della Campania s.p.a. on 23/06/03 (2) merged with Banca della Campania s.p.a. on 28/12/06 (3) merged with Banca popolare del Mezzogiorno on 03/11/08. (4) now part of BPER as a result of the merger on 27/05/13. (1)(2)(3) Banca della Campania and Banca Popolare del Mezzogiorno are now part of BPER as a result of the merger on 24/11/2014. (5) On 23 May 2016 Banco di Sardegna acquired a business unit of Banca di Sassari, that includes this type.
Special purpose vehicle:	Mutina s.r.l., with registered offices in Modena. Held 100% by BPER Banca (as a result of the merger of Em.Ro. popolare s.p.a. and Meliorbanca s.p.a. in 2012).
Servicer:	Nettuno Gestione Crediti s.p.a. as Master Servicer; the originator banks are used as sub-servicers. Until 31 December 2015, the Parent Company BPER was the back-up servicer. The new "Master Servicing Agreement" was signed on 15 December 2015, providing for the appointment of BPER (former back-up servicer) as a new Master Servicer in place of Nettuno Gestione Crediti s.p.a., with effect from 1 January 2016.
Issue date of securities	20 March 2003
Type of transaction	Standard
Organisation	Commencing from the closing date, the Master Servicer prepares quarterly and six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. This information is also provided regularly to General Management and the administrative bodies of the Parent Company, BPER. The Master Servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The carrying amount of the loans portfolio was Euro 840,160,206.
Disposal price of securitised assets	The disposal price was Euro 412,514,712.
Guarantees and credit lines granted by the bank	Liquidity line equal to 20% of the amount of the Senior securities issued.
Guarantees and credit lines granted by third parties	None.
Related financial transactions	Limited recourse loan in the form of government securities representing 120% of the amount of the Senior securities issued.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following 10 bonds in two categories, Senior and Junior.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018	*Rating Fitch*	*Rating S&P*
IT0003444327	Senior	Aug-09	228,000	-	AA-	A+
IT0003444350	Junior	Feb-19	12,069	1,872	n.r.	n.r.
IT0003444376	Junior	Feb-19	12,143	7,206	n.r.	n.r.
IT0003444392	Junior	Feb-19	24,001	13,388	n.r.	n.r.
IT0003444459	Junior	Feb-19	61,830	37,722	n.r.	n.r.
IT0003444509	Junior	Feb-19	9,987	198	n.r.	n.r.
IT0003444517	Junior	Feb-19	10,487	10,487	n.r.	n.r.
IT0003444525	Junior	Feb-19	3,432	1,011	n.r.	n.r.
IT0003444558	Junior	Feb-19	31,094	23,302	n.r.	n.r.
IT0003444566	Junior	Feb-19	19,466	7,802	n.r.	n.r.
Total			**412,509**	**102,988**		

The Senior securities bore interest at Euribor plus a spread of 22 basis points. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors and listed on the Luxembourg stock exchange.
The Junior securities, all subscribed for on a proportional basis by the originator banks, bear interest at 0.10%, with a "without memory" clause, and their redemption is subordinate to full satisfaction of the rights of bearers of the Senior securities.
The remaining outstanding Senior securities matured on 10 August 2009 and were repaid in full on that date. Payment was made using available cash totalling Euro 5,922 thousand, plus Euro 29,350 thousand deriving from the redemption on 1 August of the CCTs previously used to guarantee the securities.
This utilisation, essentially representing an advance of liquidity, has given rise to a liability for Mutina s.r.l. towards the guarantors drawn against. These liability, fully written down by both banks, have the same maturity as the class C securities, to which they are subordinated in the repayment:

- Euro 24,384 thousand in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014;
- Euro 4,966 thousand to Banco di Sardegna, formerly Banca di Sassari following the sale of the business unit in 2016.

With regard to the Junior Notes held in portfolio by the two Group banks, on 12 September 2012 the Amendment Agreement was signed which provides for the extension of their maturity from August 2013 to February 2019.

At 31 December 2018, the remaining Junior Notes are equal to a nominal value of Euro 102,988 thousand, corresponding to a net value of Euro 15,000 thousand:

- Euro 79,686 thousand in the portfolio of the Parent Company BPER Banca, following the absorption carried out in 2013 and 2014, for a carrying value of Euro 10,825 thousand;
- Euro 23,302 thousand held by Banco di Sardegna s.p.a., originating from Banca di Sassari's sale of the business unit in 2016 at a book value of Euro 4,175 thousand.

It is specified that in January 2019 the SPV Mutina, after having sold 1,406 positions to MB Credit Solution (a Mediobanca Group company) equal to a GBV of Euro 203,307 thousand in December 2018, provided for the sale of the remaining 68 loans in portfolio at 31 December 2018, for a total nominal value of Euro 3,403 thousand to the Originator Banks:

- Euro 1,245 thousand in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014;
- Euro 2,158 thousand in the portfolio of Banco di Sardegna s.p.a., formerly Banca di Sassari following the sale of the business unit in 2016.

Following this sale and having eliminated the loan portfolio, bringing forward the payment date originally scheduled for 11 February to 25 January 2019, after making the various planned payments, the Vehicle was able to repay a portion of the Junior Notes mentioned previously, for an amount of Euro 14,200 thousand, thereby reducing the residual amount to Euro 88,788 thousand (Euro 68,625 thousand for BPER Banca and Euro 20,163 thousand for Banco di Sardegna). Knowing about the amounts of sale and redemption of Junior Notes at the closing date of the financial statements at 31 December 2018, BPER Banca and Banco di Sardegna proceeded to record valuation gains of Euro 7,337 thousand and Euro 2,830 thousand, respectively.

The residual Junior Notes in the two banks' portfolios were therefore cancelled as they reached their final expiry, as envisaged by the contracts signed on 22 January 2019 by the Vehicle and by all the parties involved in the securitisation (Termination Agreement).

The debts of the Vehicle with respect to the same two banks were also cancelled, as they are subordinated to full repayment of the unsecured Junior Notes, without producing effects on the income statement of the banks concerned, having already been totally written down.

As a result, on 25 January 2019, the Mutina securitisation has been definitively closed, while the company is still in existence for now only for the last corporate formalities and to deal with the ultimate costs, particularly invoices for legal costs not yet received, with a cash sum maintained for this purpose.

Diesis (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	13 July 2016
Seller:	"Multi-originator" transaction arranged by the following Group banks: - BPER Banca s.p.a. ; - Banco di Sardegna s.p.a. ;
Special purpose vehicle:	Diesis SPV s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent; Cerved Credit Management s.p.a. acted as Special Servicer.
Issue date of securities	22 December 2016
Type of transaction	Standard
Organisation	The Master Servicer prepares six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. The master servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 259 million.
Disposal price of securitised assets	The disposal price was Euro 55 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT0005224925	Senior	Lug-26	31,000	20,306
IT0005224933	Junior	Lug-28	20,600	20,600
Total			**51,600**	**40,906**

The Senior securities bear interest at the 6-month Euribor interest rate plus a spread of 3%. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. The Senior securities were all subscribed for by the originator banks.
Junior Securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 1.1 million). The securities bear interest at the 6-month Euribor interest rate and the payment thereof is subordinate to the full satisfaction of the rights of the bearers of the senior securities.

Italian Credit Recycle (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	20 June 2017
Seller:	Nuova Cassa di Risparmio di Ferrara s.p.a. ;
Special purpose vehicle:	Italian Credit Recycle s.r.l., based in Rome
Servicer:	Credito Fondiario s.p.a., acting as Servicer, Corporate Servicer, Calculation and Paying Agent.
Issue date of securities	28 June 2017
Type of transaction	Standard
Organisation	Credito Fondiario s.p.a. prepares a quarterly report that communicates to investors.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 252 million.
Disposal price of securitised assets	The disposal price was Euro 41 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.

The special purpose vehicle has issued the following bonds:

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT0005274565	Senior	Dic-37	22,400	6,458
IT0005274573	Junior	Dic-37	18,600	18,600
Total			**41,000**	**25,058**

The securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 2.2 million).

Restart (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	20 June 2017
Seller:	Nuova Cassa di Risparmio di Ferrara s.p.a. ;
Special purpose vehicle:	Restart SPV s.r.l., based in Rome
Servicer:	Credito Fondiario s.p.a., acting as Servicer, Corporate Servicer, Calculation and Paying Agent.
Issue date of securities	20 June 2017
Type of transaction	Standard
Organisation	Credito Fondiario s.p.a. prepares a quarterly report that communicates to investors.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 343 million.
Disposal price of securitised assets	The disposal price was Euro 22 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.

The special purpose vehicle has issued the following bonds:

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT0005274532	Senior	Dic-37	18,200	11,338
IT0005274540	Junior	Dic-37	14,800	11,846
Total			**33,000**	**23,184**

The securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 1.8 million).

AQUI SPV S.R.L. (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	2 October 2018
Seller:	BPER Banca S.p.A ; Cassa di Risparmio di Bra s.p.a.; Cassa di Risparmio di Saluzzo s.p.a.
Special purpose vehicle:	AQUI SPV S.r.l., based in Conegliano (TV)
Servicer:	Prelios Credit Servicing s.p.a., as Servicer.
Issue date of securities	7 November 2018
Type of transaction	Traditional with Guarantee from the Ministry of Economy and Finance (GACS or Bad Loan Securitisation Guarantee)
Organisation	Prelios Credit Servicing s.p.a. prepares a half-year report that communicates to investors..
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 2,082 million.
Disposal price of securitised assets	The disposal price was Euro 618 million.
Guarantees and credit lines granted by the bank	Subordinated loan of Euro 27,235 million.
Guarantees and credit lines granted by third parties	Cap Agreement to hedge interest rates on the notes issued.

The special purpose vehicle has issued the following bonds:

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2018
IT000535330	Senior	Ott-38	544,700	544,700
IT0005351348	Mezzanine	Ott-38	62,900	62,900
IT0005351355	Junior	Ott-38	10,852	10,852
Total			**618,452**	**618,452**

The Senior notes were fully subscribed by Bper Banca S.p.A. The Mezzanine and Junior notes were placed with an institutional investor and, for a residual portion of 5%, were subscribed by BPER Banca S.p.A.

During 2017, BPER Banca securitised a loan of 21 million US dollars granted to Premuda Spa, through the vehicle Pillarstone Italy SPV Srl (established under Law 130/99).
The transaction, carried out jointly with other important Italian banks, was carried out in order to allow a restructuring of the receivables from Premuda Spa, with the aim of facilitating and increasing the recoveries of the securitised exposures.
The sale was finalized with the issue by the vehicle of Super Senior class securities (subscribed by third parties), of Senior and Junior class securities (fully subscribed by the bank).
The transaction also involves the transfer of all the loans purchased by the vehicle (Pillarstone Italy SPV Srl) to a company (Pillarstone Italy Holding Spa) which, through separate assets established pursuant to art. 2447-bis letter a) of the Italian Civil Code, provides for the restructuring of the loan due from the Premuda group.
BPER Banca does not hold any interest in the companies indicated above.
None of the securities issued by the SPV have a rating.
This loan has been derecognised for financial reporting and prudential supervisory purposes, as the requirements of IAS 39 were satisfied.
To match the derecognition of the loan, the Parent Company has recognised the securities subscribed as an asset.
The carrying value of the securities of US dollar 9,259 thousand is equal to the amount of the restructured loan signed between Pillarstone Italy Holding Spa and the Premuda group.

The “own” transactions also include those originated by the Banks absorbed in previous years by BPER Banca S.p.A.
In particular, they include securities issued by Sestante Finance SPV Srl deriving from transactions originating from the former Meliorbanca SpA incorporated in BPER Banca in 2012.

Quantitative information

C.1 Breakdown of exposures deriving from the main “own” securitisations by type of securitised asset and type of exposure

Type of securitised assets/Exposure	Cash exposures					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
A. Fully derecognized	**557,186**	**1,086**	**8,494**	**-**	**11,761**	**-**
- performing residential mortgages	1,150	-	647	-	77	-
- non-performing residential mortgages	51,462	100	81	-	10,410	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	304,970	598	486	-	426	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	621	-	640	-	-	-
- other performing loans	-	-	-	-	-	-
- other non-performing loans	198,983	388	6,640	-	848	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Partially derecognized	-	-	-	-	-	-
C. Not derecognized	-	-	-	-	-	-

(cont.)

Type of securitised assets/Exposure	Guarantees granted					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
A. Fully derecognized	**3,352**	**-**	**-**	**-**	**-**	**-**
- performing residential mortgages	3,352	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages		-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing		-	-	-	-	-
- leasing non performing		-	-	-	-	-
- other performing loans		-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Partially derecognized	-	-	-	-	-	-
C. Not derecognized	-	-	-	-	-	-

The table shows the cash exposures assumed by the Group in connection with its own securitisations Mutina, Sestante, Diesis, Restart, Italian Credit Recycle, Pillarstone, and Aqui. "Net impairment losses" show the annual flow of impairment losses and write-backs as required by the Bank of Italy's Circular 262/2005.
The parts of the table relating to “Credit lines” have not been shown as there is nothing to report.

C.2 Breakdown of exposures deriving from the main "third party" securitisations by type of securitised asset and type of exposure

Type of underlying asset/Exposures	Cash exposures					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
- performing residential mortgages	9,993	7	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	19,894	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	54,995	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-

(cont.)

Type of underlying asset/Exposures	Credit lines					
	Senior		Mezzanine		Junior	
	Book value	Net impairment losses	Book value	Net impairment losses	Book value	Net impairment losses
- performing residential mortgages	-	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	2,100	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-

The parts of the table relating to "Guarantees given" have not been shown as there is nothing to report.

C.3 Securitisation vehicles

Securitisation name/ Securitisation vehicle name	Head office	Consolidation	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Mutina s.r.l.	Modena	PN (art.19 CRR)	513	-	16,236	-	-	15,228

The Mutina SPV is wholly-owned by the Parent Company, but it has not been consolidated line-by-line because the Bank standardised the scope of consolidation for accounting purposes with the scope for supervisory purposes.

C.4 Not consolidated securitisation vehicles

There are no amounts to be disclosed in this section.

C.5 Servicer activities - "own" securitisation: collection of securitised loans and reimbursement of securities issued by securitisation vehicle

Securitisation vehicle	Securitised assets (closing balance)		Collections of loans during the year		Percentage of redeemed securities (closing balance)					
					Senior		Mezzanine		Junior	
	Non-performing	Performing	Non-performing	Performing	Non-performing assets	Performing assets	Non-performing assets	Performing assets	Non-performing assets	Performing assets
Mutina s.r.l.	321	-	1,193	-	100%	-	-	-	48.06%	-

D. Information on structured entities not consolidated for accounting purposes (other than securitisation vehicles)

Please refer to the consolidated financial statements.

E. Disposal transactions

A. Financial assets sold but not fully derecognized

Qualitative information

BPER Banca did not carry out any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

Quantitative information

E.1 Financial assets sold fully recognised and related financial liabilities: book value

	Financial assets sold fully recognised				Related financial liabilities		
	Book value	of which: subject to securitization transactions	of which: subject to sale contracts with repurchase agreement	of which: non-performing	Book value	of which: subject to securitization transactions	of which: subject to sale contracts with repurchase agreement
A. Financial assets held for trading	**-**	**-**	**-**	**X**	**-**	**-**	**-**
1. Debt securities	-	-	-	X	-	-	-
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	X	-	-	-
4. Derivatives	-	-	-	X	-	-	-
B. Other financial assets mandatorily measured at fair value	**30,153**	**-**	**30,153**	**-**	**29,303**	**-**	**29,303**
1. Debt securities	30,153	-	30,153	-	29,303	-	29,303
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
C. Financial assets designated at fair value	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Debt securities	-	-	-	-	-	-	-
2. Loans	-	-	-	-	-	-	-
D. Financial assets measured at fair value through other comprehensive income	**2,194,250**	**-**	**2,194,250**	**-**	**2,130,350**	**-**	**2,130,350**
1. Debt securities	2,194,250	-	2,194,250	-	2,130,350	-	2,130,350
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
E. Financial assets measured at amortised cost	**2,431,248**	**-**	**2,431,248**	**-**	**2,319,259**	**-**	**2,319,259**
1. Debt securities	2,431,248	-	2,431,248	-	2,319,259	-	2,319,259
2. Loans	-	-	-	-	-	-	-
Total 31.12.2018	**4,655,651**	**-**	**4,655,651**	**-**	**4,478,912**	**-**	**4,478,912**
Total 31.12.2017	**4,607,961**	**-**	**4,607,961**	**-**	**4,572,752**	**-**	**4,572,752**

E.2 Financial assets sold partially recognised and related financial liabilities: book value

There are no amounts to be disclosed in this section.

E.3 Sale transactions with liabilities having recourse exclusively on the assets sold and not fully derecognised: fair value

There are no amounts to be disclosed in this section.

B. Financial assets sold and fully derecognised with recognition of continuing involvement

Qualitative information

The Group did not make any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

Quantitative information

E.4 Covered bond transactions

GBB issues are foreseen by BPER Banca Group's strategic plan as a means of diversification of funding sources, of reduction of related costs and of lengthening of maturities of liabilities. In particular, guaranteed bank bond issues are extremely appealing at a time when market yields are very low, also considering the relevant volatility of the reference market.
On 8 February 2011, the Board of Directors launched the structuring of a first programme for the issue of guaranteed bank bonds ("GBB1"), based on a collateralised portfolio of residential mortgage loans pursuant to art. 7-*bis* of Law 130 of 30 April 1999 ("Law 130/99"), the Ministry of Economy and Finance's Decree no. 310 of 14 December 2006 (the "MEF Decree") and the regulatory provisions of the Bank of Italy of 24 March 2010 (the "Rules" and, together with Law 130 and the MEF Decree and each subsequent amendment, the "Regulations").
On 3 March 2015 the Board of Directors launched the structuring of a second programme for the issue of guaranteed bank bonds ("GBB2"), based on a collateralised portfolio of residential and commercial mortgage loans, as already mentioned in the Directors' report on Group operations.

The basic structure of a guaranteed bank bonds issue
"Guaranteed Bank Bonds", also known as "Covered Bonds", may be issued under a scheme which envisages:

- the sale by a bank, which may differ from the bond issuer, to a special purpose vehicle of high credit quality assets and which constitute segregated assets pursuant to the applicable provisions of Law 130/99;
- the selling bank or another bank granting a subordinated loan to the assignee company to provide the assignee with the funding required to purchase the assets;

- the issue of a guarantee by the assignee company in favour of the bondholders, up to the amount of the segregated assets.

High credit quality assets are intended to mean loans that meet the selection criteria defined by the Regulations and related contracts (the "Eligible Assets").

Key elements of the BPER Banca Group's Programmes for the issue of Covered Bonds

The BPER Banca's Covered Bond Programmes (the "Programmes") have been structured as follows:

- the sale without recourse to Estense Covered Bond s.r.l. (the "SPV" or "Estense Covered Bond") for GBB1, and to Estense CPT Covered Bond s.r.l. (the "SPV" or "Estense CPT Covered Bond") for GBB2, initially just by BPER Banca and then, during the Programmes, also by other Group Banks, of assets with a high credit quality, which constitute segregated assets pursuant to Law 130/99;
- the provision to the assignee SPVs, by BPER Banca and other Group Banks that will eventually join the programmes as selling banks, of subordinated loans to provide the assignees with the funding required to purchase the assets sold;
- the issue by the SPVs, up to the amount of the segregated assets, of guarantees in favour of the holders of the Guaranteed Bank Bonds issued by BPER Banca.

Although they are presented as Group programmes, the initial and subsequent transactions only involved BPER Banca as the selling bank, the understanding being that BPER Banca will always take on the role of issuing bank. Only at a later stage, after an expert assessment of the risks and opportunities, is it expected that other Group Banks will join the Programmes as selling banks to sell additional Eligible Assets.

The portfolios of Eligible Assets involved in the initial sales are composed of loans originating from residential mortgage loans for GBB1 and of residential and commercial mortgage loans for GBB2, which meet the requirements of the Regulations. These portfolios were identified based on general and specific criteria indicated in the sale agreements. Additional portfolios of Eligible Assets may include mortgage loans that meet the requirements of the Rules and any subsequent additional eligible assets referred to in article 2, paragraph 3, points 2 and 3 of the MEF Decree.

The sale prices of the portfolios is determined, as laid down in the Provisions, with reference to their book values in the latest financial statements approved by BPER Banca with a view to specific sale dates or by having the sale price certified by the Independent Auditors. The sale prices so determined are subject to adjustment to take account of movements on the loans between the financial year end and the date of sale. More specifically, the sale prices shall be adjusted to take account of the collection of the capital element of the loans in the intervening period and the payment of contractually agreed interest in the same period.

The sale of the portfolios - without recourse and under the combined provisions of articles 1 and 4 of Law 130/99 and art. 58 of the CFA - is communicated to the mortgage holders by publishing a notice of sale by the seller with the above selection criteria in the Official Journal and by filing the same notice of sale with the Registrar of Companies. Further formalities are also carried out for privacy legislation purposes (Legislative Decree 196/2003).

The mortgage holders maintain a direct operational relationship with BPER Banca - or, in the case of sale of Eligible Assets by other selling banks that will join the Programmes, with the other Group Banks that the mortgage holders originally obtained the loans from - since the two SPVs have given BPER Banca responsibility for managing and administering the loans sold and the related collection and payment

services (servicing activities), with BPER Banca having the power to grant a sub-proxy to the pertinent selling banks to perform servicing activities for the portfolios sold.
This, in accordance with the Regulations, is in order to minimise the commercial impact with the mortgage holders and, at the same time, to optimise the operational management of each portfolio which, in fact, remains in the hands of the assignors.
At predetermined dates and based on specific operational and market situations, BPER Banca, in the role of Calculation Agent, will perform assessment tests to compare the portfolios sold with the bonds issued, aimed at verifying the adequacy of the guarantees issued with reference to specific legal parameters and the parameters set by the Programmes' documentation based on indications provided by rating agencies, on which the credit rating assigned to the Guaranteed Bank Bonds depends.
In the case of non-compliance with one or more of the required parameters, it will be necessary to add to the portfolios sold by selling further Eligible Assets. The portfolios can be added to by using the SPVs' liquid funds or by further drawdowns of the subordinated loans granted by BPER Banca (or by the other selling banks) to the two SPVs.
Other initiatives are required in the case of violation of contractual conditions, up to the extreme consequences of enforcement of the guarantees provided by the SPVs in the case of an Event of Default by the Issuer (for example, default in repayment of principal or non-payment of interest on the Covered Bonds).
Moreover, on predetermined dates, the functions responsible for supervising the Bank's risk management verify the quality and integrity of the assets provided as collateral for Covered Bonds issued.
The structure of the Programmes, as outlined, permits the creation of segregated assets (consisting of the Eligible Assets assigned from time to time to the SPVs), to serve as a preferred guarantee for the Covered Bond holders, for the counterparties to derivative contracts entered into under the Programmes to hedge the risks inherent in the portfolio of transferred Eligible Assets and for the payment of other transaction costs.
Normally, the charges for payment and redemption of the Covered Bonds remain with the Issuer and, only when there is an Event of Default by the Issuer will automatic protection mechanisms be activated to protect the investors.
In further support of the financial structure, provision has been made for swaps with one or more external counterparties selected on the market and with an appropriate credit standing in line with the eligibility criteria required by rating agencies. The purpose of these contracts is to transform the interest flow produced by the loan portfolios sold so as to make them consistent with that incurred on the bonds issued.
In particular, among the various options available, it is normally envisaged that two separate swap derivative contracts will be entered into:

- asset swap: under this contract, the SPV will pay the swap counterparty the flow received as interest on a notional amount represented by a portion of segregated assets and determined by taking into account the outstanding amount of the liability represented by the Guaranteed Bank Bonds issued and will collect from it a flow corresponding to Euribor for the period plus or minus a Spread applied to the same notional amount for the reference period;
- liability swap: under this derivative the SPV will receive from the swap counterparty a fixed rate equal to the coupon of the related series of Guaranteed Bank Bonds and will pay thereto a flow corresponding to Euribor plus or minus (as appropriate) a Spread applied to an amount equal to the nominal value of the corresponding series of Guaranteed Bank Bonds.

These contracts can be linked to back-to-back swap agreements between the swap counterparties and BPER Banca, a situation that currently exists in the case of the third, fourth and fifth issue of the GBB1 Programme.
In this respect, it should be noted that the first issue of the GBB1 Programme was redeemed on 22 January 2014, whereas the second issue, redemption of which should have taken place in April 2015, was redeemed early on 12 January 2015. Lastly, the third issue was also physiologically repaid on 22 October 2018.
For the fourth, fifth and eighth issue, which bear a fixed interest rate, it was necessary to execute liability swap agreements. Lastly, the sixth and seventh issues bear a floating interest rate and, thus, have no associated liability swap.
The financial mechanism allows, on the one hand, BPER Banca, as selling bank, to maintain a financial position as desired and consistent with its Asset & Liability Management strategies and, on the other hand, the SPV, as guarantor, in the Event of the occurrence of an Event of Default of the Issuer, to cover the costs of the Guaranteed Bank Bonds by trading them for the expected return on portfolio of loans sold.

The GBB1 Programme

The GBB1 Programme provides for the issue of Covered Bonds up to a maximum of Euro 7 billion, to be carried out in a number of issues over time, by 31 December 2023 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).
The first series of Guaranteed Bank Bonds with par value of Euro 750 million was issued on 1 December 2011 and was redeemed on 22 January 2014, after the sale on 2 November 2011 by BPER Banca to Estense Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the Regulations for a nominal value of Euro 1.1 billion, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential mortgage loans provided in accordance with mortgage lending legislation;
- concluded by 31 December 2010;
- final instalment due after 31 December 2012;
- ratio of outstanding debt to the value of secured property, estimated at the payment date, lower than 80%.

Based on these general assumptions, a second issue of Guaranteed Bank Bonds was completed on 25 June 2012 for a total of Euro 300 million, with a maturity of three years at a floating rate. This was after another Euro 546 million of residential mortgage loans, again originated exclusively by BPER Banca, were transferred to the vehicle company Estense Covered Bond s.r.l. on 4 May 2012, essentially attributable to the "production" of 2011. The new issue has been carefully sized to take into account the possible implications of the earthquake in May 2012 on the value of the collateral.
Based on these same general assumptions, on 10 July 2013, a further Euro 680 million of residential mortgage loans was sold, with these originating solely from BPER Banca or from other Group banks merged into the Parent Company. On 12 January 2015 the second series of GBB was all repaid early.
On 15 October 2013, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market. This issue was then reopened on 24 February 2014 for a further Euro 250 million.
On 23 July 2014, another Euro 501 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 22 January 2015, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 7 years, all of which was placed on the market.
On 28 April 2015, another Euro 1,074 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 29 January 2015, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market.
On 28 January 2016, another Euro 1,086 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 31 May 2016, a sixth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 July 2016, another Euro 310 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 25 January 2017, another Euro 404 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 3 February 2017, a seventh issue of Guaranteed Bank Bonds was completed for an amount of Euro 540 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 23 October 2017, another Euro 816 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 27 April 2018, another Euro 652 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 19 July 2018, a eighth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market. The subordinated loan granted by BPER Banca to Estense Covered Bond s.r.l., under the form of a credit facility to finance the purchase of the assigned portfolios currently amounts to Euro 6 billion. Notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purpose of adding to segregated assets) and with a remuneration that guarantees a return to the transferor of the yield on the segregated mortgage loans, albeit residual with respect to payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in October 2014 drawdowns of the subordinated loan had been reduced to Euro 250 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2015 and again in January, April, July 2016, October 2017, April, July and October 2018, and again in January 2019, an additional Euro 250 million, Euro 120 million, Euro 250 million, Euro 250 million, Euro 400 million, Euro 100 million, Euro 250 million, Euro 500 million and finally Euro 280 million respectively were repaid, again based on the principal amounts of cash generated by the loan portfolio sold.
The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the

inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated from the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with BNP Paribas Securitisation Services, either in Italy or the UK, since this is a third party with appropriate rating.

Counterparties involved in the GBB1 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Principal Paying Agent and Calculation Agent: BPER Banca.
Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: NatWest Market Plc (formerly The Royal Bank of Scotland plc).
Joint Lead Manager of the Third series of bonds issued: NatWest, Citibank, Mediobanca, Société Générale, UBS.
Joint Lead Manager of re-opening of the Third series of bonds issued: Citibank, Raiffeisen Bank International.
Joint Lead Manager of the Fourth series of bonds issued: NatWest, BNP Paribas, Natixis, Nomura International plc., UNICREDIT Bank AG.
Joint Lead Manager of the Fifth series of bonds issued: NatWest, Banca IMI, Credit Suisse International, Raiffeisen Bank International, Société Générale.
Lead Manager of the Sixth series of bonds issued: NatWest.
Lead Manager of the Seventh series of bonds issued: NatWest.
Joint Lead Manager of the Eighth series of bonds issued: NatWest, Commerzbank, Nomura, UBS, Unicredit.
Guarantor: Estense Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Italian Paying Agent, Cash Manager and Account Bank: BNP Paribas Securities Services (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Liability Swap counterparty: for the fourth issue, NatWest; for the fifth issue, Credit Suisse International; for the eighth issue, BNP-Paribas.
Legal advisor to BPER Banca: Studio Legale RCC.
Asset Monitor and Pool Auditor: PriceWaterhouseCoopers s.p.a.
Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.
Rating agencies: Moody’s Investor Services.

In 2012, the role of Back Up Servicer (BUS) was added to the structure of this transaction and is being performed by Italfondiario s.p.a.; the aim was to make the transaction more robust, also based on the indications received to that effect from the counterparty to the asset swap and from the rating agency.

The GBB2 Programme

The GBB2 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to take place in a number of issues over time, by 31 December 2025 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).

The first series of Guaranteed Bank Bonds with par value of Euro 625 million was issued on 16 December 2015, after the sale on 17 September 2015 by BPER Banca to Estense CPT Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the regulations for a nominal value of Euro 870 million, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential and commercial mortgage loans;
- granted by 31 December 2014;
- final instalment due after 31 December 2015;
- ratio of outstanding debt to the value of secured property, revalued close to the date of sale, up to a maximum of 80% for residential mortgage loans and up to a maximum of 60% for commercial mortgage loans.

The first bond issue of Euro 625 million was fully subscribed by BPER Banca in order to increase the collateral for refinancing operations with the European Central Bank.

On 23 June 2016, another Euro 478 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 1 August 2016, a second issue of Guaranteed Bank Bonds was completed for an amount of Euro 200 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.

On 21 November 2016, another Euro 411 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 24 February 2017, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 240 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.

On 27 September 2017 a partial early repayment was made for Euro 150 million on the first series of securities issued.

On 25 February 2018, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 420 million, at a floating interest rate, with a tenor of 3 years and which was self-subscribed.

On 22 May 2018, another Euro 594 million of commercial mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 24 September 2018, another Euro 731 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 17 October 2018, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 1,050 million, at a floating interest rate, with a tenor of 3 years and which was self-subscribed.

The subordinated loan granted by BPER Banca to Estense CPT Covered Bond s.r.l., under the form of a credit facility, to finance the purchase of the assigned portfolios, amounted to Euro 3 billion, notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purposes of adding to segregated assets) and with a yield that guarantees a return to the transferor of the yield on the segregated mortgage loans within segregated assets, albeit residual with respect to the payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.

Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in July 2017 drawdowns of the subordinated loan had been reduced to Euro 70 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2017, April and July 2018, and again in January 2019, an additional Euro 200 million, Euro 100 million and Euro 150 million were repaid, and finally Euro 110 million were paid, again based on the principal amounts of cash generated by the loan portfolio sold.

The liquidity generated by the portfolio can also be used - within the limits established by law - for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It cannot, however, be entrusted to BPER Banca because of the inadequate rating level. Accordingly, cash generated by the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with Citibank N.A., either in Italy or the UK, since this is a third party with an appropriate rating.

The specific financial feature of the GBB2 Programme is a different structural technique which, in the event of the Parent Company's default and under other circumstances foreseen in the GBB2 Programme, makes it possible to transform the repayment plan of the Covered Bonds according to the loan portfolio amortisation schedule given in guarantee. This eliminates the financial risk associated with a forced and peremptory liquidation of this portfolio, thereby transforming the outstanding Covered Bonds into securities similar to pass-through securities issued as part of securitisation transactions. In this way, the risk profile of a default on the Covered Bonds is clearly attenuated, making it possible to obtain a higher rating.

Counterparties involved in the GBB2 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Primary Paying Agent and Calculation Agent: BPER Banca.

Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: Finanziaria Internazionale Securitisation Group s.p.a.
Initial Dealer of the first series of bonds issued: Banca Finanziaria Internazionale s.p.a..
Dealer of the Second series of bonds issued: NatWest.
Dealer of the Third series of bonds issued: NatWest.
Dealer of the Fourth series of bonds issued: NatWest.
Dealer of the Fifth series of bonds issued: NatWest.
Guarantor: Estense CPT Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Subsequent Paying Agent, Cash Manager and Account Bank: Citibank N.A. (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Legal advisor to BPER Banca: Jones Day Studio Legale.

Asset Monitor and Pool Auditor: PricewaterhouseCoopers s.p.a.
Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.
Rating agencies: Moody's Investor Services.

The requirements for Issuers

According to the Rules, Guaranteed Bank Bonds may be issued by banks belonging to banking groups that have:

- Own Funds not lower than Euro 250 million;
- Total capital ratio at consolidated level not lower than 9%.

These requirements must be satisfied, on a consolidated basis, even by selling banks, where the latter, as provided for by the Programmes' structure, differ from the bank issuing the Guaranteed Bank Bonds. In the case of banks belonging to the same group, reference should be made to consolidated figures.
With reference to the figures at 31 December 2018, the Own Funds of the BPER Banca Group amount to Euro 5,279 million and the Total capital ratio is equal to 17.25%.

Limits on the sale of Eligible Assets

The Provisions set limits to the possibility for banks to sell Eligible Assets, which are based on the level of their Tier 1 (T1) and Common Equity Tier 1 (CET1) ratio.
Sale restrictions refer to total transactions of this kind made by a banking group. Banking groups are classified into three categories, with corresponding specific limits as shown below:

- "a" band: for banking groups with T1 Ratio equal to or higher than 9% and CET1 Ratio equal to or higher than 8%, for which there are no sale limits;
- "b" band: for banking groups with T1 Ratio equal to or higher than 8% and CET1 Ratio equal to or higher than 7%, for which there is a sale limit of 60% of appropriate assets;
- "c" band; for banking groups with T1 Ratio equal to or higher than 7% and CET1 Ratio equal to or higher than 6%, for which there is a sale limit of 25% of appropriate assets.

At 31 December 2018, the Tier 1 Ratio was 14.37% and the Common Equity Tier 1 Ratio 14.27%.

Organisational structure and procedures

The structuring process for the GBB Issue Programmes meant organising a team to coordinate the activities of all the departments involved. In this regard, a specific structure was set up, the Structured Finance Management Office, which acts as coordinator of the interfunctional team, taking care to involve all the structures involved in the management process of the Covered Bonds. To supervise the structuring process and management of the Programmes, including when it is fully operational, a specific Group Regulation has been prepared followed by a Group Organisational Procedure.

Accounting, capital and tax impact

With the issue of the GBB, BPER Banca, as initial selling bank and any subsequent selling banks will retain substantially all the risks and benefits of the transferred assets as:

- they are required to reinstate, in line with several alternatives, the collateral should the value of assets sold deteriorate and their value fall below the thresholds set by contract;
- the repayment of the subordinated loan granted to the special purpose vehicle is linked to the performance of the secured assets.

The primary objective of creating a special purpose vehicle and the sale of eligible assets thereto is, in fact, to legally segregate, by means of a without recourse sale contract, the selling bank's assets within a

separate legal entity. These assets, segregated in this manner, are subject to a restriction as to their use pursuant to Law 130/99 for the protection, among others, of the holders. Thus, the holders of Covered Bonds benefit, on the one hand, from the general guarantee represented by the issuer's capital and on the other, from the guarantee issued by the SPV in respect of the segregated portfolio for which they have priority creditor rights. This structure of "dual protection" facilitates the creation of conditions for a potential reduction in funding costs.
The overall risk profile of BPER Banca as initial selling bank and that of any further selling banks is not altered in any way.
The same regulatory provisions stipulate that the selling banks retain the same capital requirement that they are already required to comply with, in respect of the assets sold, prior to the sale. The transactions, therefore, do not qualify for derecognition: the selling banks must continue to recognise the transferred assets in their entirety in the balance sheet and the considerations received from the sale must be accounted for as opposite entries to the financial liabilities due to the SPVs.
In turn, these liabilities must be shown net of the subordinated loans granted to the vehicles, due to the principle of substance over form: it is as if the purchase of loans by the SPVs had never taken place.
The subordinated loans are not taken into consideration for the purposes of counterparty risk; these loans must not, in fact, be considered, as the credit risk is already reflected in the valuation of the mortgage loans being sold.
As regards the impact at consolidation level, it should be noted that both the SPVs are BPER Banca Group's entities, as the Parent Company has a 60% holding; they are therefore subject to consolidation, although limited to their own results and financial position.
Finally, regarding the tax implications, consistent with the dictates of art. 7 *bis*, Law 130/99, all taxes and dues are payable as though the sales of the loans had never taken place.
Again, to ensure that the operation was neutral for tax purposes, it was established, as foreseen in art. 7 *bis*, paragraph 7 of Law 130/99, that the sale price would be equal *"to the latest carrying amount of the loans"*, or as certified by the Independent Auditors of the selling Bank.

More specifically, the book value is adjusted for "endogenous variables", that is, cash collected from the loans in the intervening period and contractual interest accruing in the same period. This is also consistent with the regulatory provisions laid down by the Rules as described previously.
As for the other components that could affect the configuration of the carrying amount, i.e. amortised cost and collective impairments (given that they are performing loans), it has been considered in line with the principles of relevance, pertinence and materiality to assume that their value is equal to the one shown in the latest approved and audited financial statements, or the sale price specifically certified by the auditors of the selling Bank.

The risks associated with the transaction

The GBB1 and GBB2 Programmes involve some financial and other risks, subject to analysis and monitoring by the Group’s Risk Management and Compliance functions and, specifically with regard to the risks of fraud and unintentional errors in financial reporting, by the Manager responsible for preparing the company's financial reports. In summary the main risk profiles can be summarised as follows:

- Interest rate risk. In the structure of a Covered Bond, the interest rate risk originates from the different characteristics of interest rates on Guaranteed Bank Bonds and on the portfolio of secured assets. These risks are mitigated by hedging derivatives put in place from time to time with market counterparties.

- Credit risk. In the structure of a covered bond, credit risk is attributable to the quality of loans sold by each Selling Bank in the cover pool. Given this risk, the rating agencies, in order to attribute to the Covered Bonds the maximum rating possible, require a level of over-collateralisation which is also linked to the quality of the cover pool.
- Counterparty risk. The counterparty risk is the possibility that the creditworthiness of counterparties involved in the transaction, in other words, the swap counterparties and the non Group bank, with which the SPV has its accounts, may worsen to the point of creating a liquidity problem, with the result that the cover pool funds that flow into the accounts of the SPV or payments made in connection with the swaps are retained by the same counterparties. This risk is mitigated by the involvement of high rated counterparties and the existence of clauses, in the relevant ISDA and CSA contracts as well as in the "Cash Management and Agency Agreement", according to which, in the case of downgrading of the counterparties, they will be immediately replaced.
- Liquidity risk. An issue of "bullet" Covered Bonds with a cover pool relating to mortgage loans with a given repayment plan entails the need for dynamic management of the cover pool itself. The funds received from the collection of capital instalments on the mortgage loans relating to the cover pool may have to be, in fact, reinvested in new mortgage loans with similar characteristics. If the Group does not have eligible mortgages available to be sold to supplement the cover pool (or to replace non-performing mortgages), it would be forced to pay cash or eligible securities, impacting negatively on Counterbalancing Capacity (the limit set by the Rules for these assets is 15%).
- Compliance risk. The articulate and accurate external legislation regulating Guaranteed Bank Bonds, together with management and internal operating rules, require a precise and formal structuring of activities under the Programmes, both during the up front and on going phases. The analysis of compliance requirements has been performed by the Compliance function.
- Reputational risk. Reputational risk is the possibility that the failure by BPER Banca to fulfil certain obligations arising from its role in the Programmes adversely affects the credibility and image of the Group on the market, resulting in a significant economic and financial impact. In addition to the risks outlined above, already existing at the inaugural issue, there are aspects associated with the multi-originator characteristic of the Programmes, which will be formally integrated into the body of the contract and management processes, as and when other Group Banks join the Programmes as originators.
- Risk of financial inadequacy. The regulatory provisions, in the discipline of Guaranteed Bank Bonds, in relation to the complexity of the contractual profiles and the possible impact on the technical structure of these transactions, require, among other things, a careful assessment of the impact on the financial stability of the bank. The analysis of the projects by the Board of Directors, highlighted:
  - regarding the impact on results, the transactions would have led to, with reference to available market data, a lower cost of funding compared with equivalent senior transactions and this would have allowed start-up costs to be fully covered, already in the first year, as well as to cover ongoing costs for the period. Under current market conditions, this original estimate may be considered highly conservative;
  - regarding the impact on the financial position, having valued the portfolio of eligible residential or commercial mortgage loans, at Group level, there was an assumed plan for 7 and 10 year issues respectively, for the first and second Programme, so as to have

appropriate margins for restoration of the cover pool, if necessary, without this having an impact on the Group's financial position or commercial practices.

These findings have allowed the Board to determine that the transactions do not negatively affect the financial stability of the bank and of the Group as a whole.

In order to proceed with the renewal and extension of the OBG1 Programme - completed in January 2019 - the Board of Directors reiterated its assessments in this regard.

Organisational and management aspects of special purpose vehicles

With regard to organisational and management aspects of special purpose vehicles (in order to assess their adequacy in relation to the role assigned them) and the contracts entered into as part of the Programmes, "Reports on the transferee company" have been prepared by external legal consultants, in order to ensure that the contracts entered into as part of the Programmes contain clauses that ensure the regular and efficient performance of functions by the assignees, as required by the Regulations.

Assessment of legal aspects of the Programmes for Issue of Guaranteed Bank Bonds

Studio Legale Linklaters and Studio Legale Allen & Overy, for the GBB1 and GBB2 Programme respectively, also issued reports to assess the legal aspects of the activities involved in the Programmes in accordance with the Rules. The reports contain a thorough assessment of legal structures and contractual arrangements used, with particular attention to the characteristics of the guarantees given by the assignee companies and the overall relationships between and among the participants in the Programmes.

Annual assessment of the Programmes for Issue of Guaranteed Bank Bonds by Asset Monitor

Note that, under the regulations, the asset monitor – in this case PricewaterhouseCoopers s.p.a. replaced Deloitte & Touche s.p.a. in July 2017 – performs annual reviews of the Programmes' status and issues a report to the Board of Directors, the Board of Statutory Auditors and the Bank's Internal Audit Function.

To date, reviews have been performed for 2011, 2012, 2013, 2014, 2015, 2016 and 2017 without any significant findings emerging.

Quantitative information relating to loans sold

GBB1 Programme

1. Changes during the year

Description	31.12.2018
Opening balance	**4,509,331**
Increases	**761,504**
Purchase of loans portfolio	651,391
Other changes:	110,113
- Interest income accrued on loans	99,200
- Default interest	13
- Penalties and various recoveries	-
- Revenues from IAS adjustments	971
- Out-of-period income from bad loans	-
- Write-backs on impairment provisions	9,928
- Recovery of expenses on bad loans	1
Decreases	**759,456**
Collections from customers	693,221
Other changes:	2,321
- Impairment losses on loans	2,301
- Losses on loans	20
- Charges from to IAS adjustments	-
Repurchases by the Originator	63,914
Closing balance	**4,511,379**

2. Breakdown by residual life

Residual life of securitised loans	31.12.2018
Up to 3 months	356
Between 3 and 12 months	5,758
From 1 to 5 years	163,080
Over 5 years	4,352,919
Unspecified duration	1,686
Total	**4,523,799**

3. Risk concentration

Amount by category (Euro)	Number of customers	31.12.2018
0 - 25.000	6,841	95,644
25.000 - 75.000	26,584	1,318,879
75.000 - 250.000	23,732	2,788,767
sopra 250.000	907	320,509
Total		**4,523,799**

The loans balance is gross of loan provisions and IAS adjustments.

As of 31 December 2018, debtors sold are for the most part resident in Italy and the loans are denominated in Euro.

GBB2 Programme

1. Changes during the year

Description	31.12.2018
Opening balance	**1,255,130**
Increases	**1,371,888**
Purchase of loans portfolio	1,325,686
Other changes:	46,202
- Interest income accrued on loans	39,670
- Default interest	62
- Penalties and various recoveries	222
- Revenue from IAS adjustments	494
- Out-of-period income from bad loans	-
- Write-backs on impairment provisions	5,754
Decreases	**381,901**
Collections from customers	379,708
Other changes:	2,193
- Impairment losses on loans	911
- Charges from to IAS adjustments	1,282
Repurchases by the Originator	-
Closing balance	**2,245,117**

2. Breakdown by residual life

Residual life of securitised loans	31.12.2018
Up to 3 months	601
Between 3 and 12 months	9,785
From 1 to 5 years	246,305
Over 5 years	1,994,890
Unspecified duration	4,741
Total	**2,256,322**

The loans balance is gross of loan provisions and IAS adjustments.

3. Risk concentration

Amount by category (Euro)	Number of customers	31.12.2018
0 - 25,000	4,488	38,959
25,000 - 75,000	8,603	427,134
75,000 - 250,000	8,773	1,079,161
over 250,000	1,093	711,068
Total		**2,256,322**

The loans balance is gross of loan provisions and IAS adjustments.

As of 31 December 2018, debtors sold are for the most part resident in Italy and the loans are denominated in Euro.

F. Models for the measurement of credit risk

BPER Banca does not have internal portfolio credit risk models (VAR methodology).

Section 2 – Market risk

2.1 Interest rate risk and price risk - Trading portfolio reported for supervisory purposes

The Group's organisation provides for centralisation of the market risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

Qualitative information

A. General aspects

As a primary activity, the Group trades on own account.
The portfolio comprises all of the financial instruments acquired for trading purposes or for hedging a risk factor inherent to the portfolio.
"For trading purposes" is understood as being the purchase of financial instruments with the following features:

- exposure to managed risk factors (interest rate risk and price risk, exchange rate risk, issuer risk, counterparty risk and liquidity risk);
- trading done prevalently on active markets;
- securities issued by operators of prime standing.

The trading portfolio is managed according to exposure to the interest rate risk deriving from the overall asset-liability structure and, as a rule, does not include complex or innovative derivatives.
The trading portfolio comprises all those financial instruments not purchased with the aim of achieving equilibrium of the asset-liability structure, but with a view to contributing to the results of the year, optimising the overall risk-yield profile.
The size of the trading portfolio is closely linked to the liquidity position.
Arbitrage and short-term speculative activity with regard to listed derivatives are marginal with respect to routine trading on own account. The objective of the investment strategy underlying trading in these financial instruments is to maximise the overall risk/yield profile via appropriate diversification.
The Parent Company makes medium-term speculative investments in stock markets, in commodity derivatives, in mutual funds and, to a marginal extent, in hedge funds. However, this activity is just a small part of the transactions carried out in bond markets.
The trading portfolio governance process is centralised in BPER Banca to respond to the needs of central oversight of market risk and greater efficiency of Group investment processes.
This process implies that the individual Group banks remain responsible for optimisation of the yield from liquidity through treasury transactions with BPER Banca or, alternatively, by investing in floating rate or fixed rate bonds issued by the Bank.
In this way, the governance of market risk has been centralised by the Parent Company on the basis of decisions taken by the ALCO and Finance Committee, which is chaired by the Chief Executive Officer.

B. Management and measurement of interest rate risk and price risk

The BPER Banca Group's system of daily checking is consistent with market standards. Value at Risk (VaR) techniques are used to measure market risk.
VaR represents the estimated maximum potential loss, determined based on probabilities, that may be suffered by the aggregate concerned over a given time horizon (depending on the degree of liquidity of the portfolio) at a pre-determined level of probability (consistent with the investor's degree of risk aversion).
The method adopted for calculating VaR belongs to the class of “historical simulation” models, according to which the overall risk is determined on the basis of the historical distribution of the returns on the risk factors to which the financial instruments held are sensitive. The methodologies used to monitor market risks also include a sensitivity analysis based on parallel shifts in the market rate curves.
Currently, the daily calculation of VaR makes reference to two distinct time horizons, in order to meet both regulatory and operational requirements. In fact, an analysis is proposed with a time horizon of one month and with a confidence interval of 99% consistent with the Group's Risk Appetite Framework. This is accompanied by a further analysis with the same confidence interval, but on a daily time horizon, in order to monitor day by day the market risk dynamics of the Bank's proprietary portfolio. This model is only used for internal management purposes and is not involved in the calculation of the capital adequacy requirements regarding market risk.
The interest rate and price risk control process is centralised at BPER Banca and is carried out by the Risk Management Unit. Periodic information is assured by the distribution of specific daily and monthly reports.
The monitoring and control of interest rate risk of the trading portfolio aims to mitigate the risk in question, by defining certain limits (sensitivity, stop loss and position), in respect of the various risks borne, for portfolios managed by the appropriate Group structure. Limits are checked on a daily basis by the Financial Risk Department.
The daily monitoring and control of the price risk associated with the trading portfolio for supervisory purposes is performed via Value-at-Risk (VaR) analyses, in accordance with the method indicated above.

Quantitative information

3. Interest rate risk - Trading portfolio reported for regulatory purposes: internal models and methodologies for the analysis of sensitivity

The VaR readings determined over time horizons of ten days and one day are set out below, in relation to the rate risk associated with the trading portfolio reported for regulatory purposes at 31 December 2018.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
BOT	20	1	7.44%	-	0.00%
BTP	30	1	4.88%	-	0.00%
CCT	-	-	0.00%	-	0.00%
Other government securities	14,831	168	1.14%	53	0.36%
Bonds	104,846	2,021	1.93%	641	0.61%
Equities	20	-	0.00%	-	0.00%
Mutual funds and Sicavs	-	-	0.00%	-	0.00%
Derivatives/Transactions to be settled	(66,769)	18,086	-27.09%	5,280	-7.91%
Effect of diversification		(7,491)		(2,221)	
Total portfolio 2018	**52,978**	**12,788**	**24.14%**	**3,753**	**7.08%**
Total portfolio 2017	**363,472**	**8,128**	**2.24%**	**2,570**	**0.71%**

The value of the trading portfolio at 31 December 2018 given a parallel shift of +/- 100 basis points (sensitivity analysis) is set out below.

	+100 b.p.	-100 b.p.
31 dec 2018	(34,535)	36,909
31 dec 2017	56,182	(43,181)

3. Price risk - Trading portfolio for regulatory purposes: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for regulatory purposes at 31 December 2018.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities	67,496	5,714	8.47%	1,807	2.68%
Mutual funds and Sicavs	-	-	0.00%	-	0.00%
Derivatives/Transactions to be settled	2,140	1,136	53.10%	382	17.87%
Effect of diversification		(950)		(295)	
Total portfolio 2018	**69,636**	**5,901**	**8.47%**	**1,895**	**2.72%**
Total portfolio 2017	**162,628**	**7,289**	**4.48%**	**2,305**	**1.42%**

2.2 Interest rate risk and price risk - Banking book

Qualitative information

A. General aspects, management and measurement of interest rate risk and price risk

Interest rate risk represents the potential impact of unexpected changes in market rates on current profits and the equity value of the Parent Company. This risk typically affects the positions included in the banking book.
The exposure to interest rate risk can be further analysed into:

- income risk;
- investment risk.

Income risk derives from the possibility that an unexpected change in interest rates may reduce net interest income, being the difference between interest received and interest paid. This risk is measured by maturity gap models and depends on:

- the mismatch in the maturity structures of lending and funding, in cases where the related assets and liabilities are remunerated at fixed rates until final maturity;
- the mismatch of the review periods for rate conditions, in the case of floating-rate assets and liabilities.

The timing mismatches mentioned above expose BPER Banca to:

- refinancing risk: the risk arising when the average maturity period (period until the next rate review) is shorter for funding than for lending. In this case, the Bank is exposed to possible increases in interest rates (the Bank is Liability Sensitive);
- reinvestment risk: the risk arising when the average maturity period (period until the next rate review) is shorter for lending than for funding. In this case, the Bank’s net interest income will decline if interest rates fall (the Bank is Asset Sensitive).

Investment risk derives from the possibility that adverse changes in the value of all assets, liabilities and off-balance sheet instruments held by the Bank, following changes in interest rates, may destabilise the equilibrium of the balance sheet. This risk is measured by duration gap and sensitivity analysis techniques.
The following types of interest rate risk are identified:

- *Repricing Risk:* risk associated with differences in the maturities (fixed rate) and the repricing dates (floating rate) of the assets and liabilities held in the portfolio.
- *Yield Curve Risk:* risk associated with changes in the gradient and shape of the yield curve.
- *Refixing Risk:* risk associated with the timing of changes in market parameters, for floating rate positions. More specifically, this is the risk that rate of rise in interest rates is more marked in the refixing periods for funding than in those for lending.
- *Basis Risk:* risk arising from the imperfect correlation between the indexation parameters for lending and funding, or from unfavourable changes in the gradient of the curve.
- *Optionality Risk:* risk associated with "explicit" or "embedded" options embedded in the banking book's assets and liabilities (e.g. cap/floor/collar, loan prepayment options).

Every month, BPER Banca monitors at both consolidated and legal entity level the impact that unexpected changes in market interest rates might have on the positions in the banking book, considering both current profits (sensitivity of net interest income) and the economic value of shareholders' equity:

- standpoint of current profits: the purchase of considering the impact on current profits is to evaluate interest risk with reference to the sensitivity of net interest income to rate changes over a given period of time. Adverse changes in net interest income potentially affect the financial stability of a bank by weakening its capital adequacy. The change in net interest income depends on the various types of risk;
- standpoint of economic value: changes in interest rates may affect the economic value of the Parent Company's assets and liabilities. The economic value of a bank is represented by the present value of its expected cash flows, defined as the sum of the present value of the cash flows to be generated by its assets, liabilities and positions in derivatives. By contrast with the standpoint of current profits, that of economic value identifies the risk generated by the repricing or maturity gap over a long time horizon.

The objectives to be pursued in support of the proper management of interest rate risk are:

- reduce the adverse effects of the volatility of net interest income (standpoint of current profits). The stability of net interest income is principally influenced by the yield curve risk, repricing risk, basis risk and optionality risk;
- immunise the economic value, being the sum of the present values of all the expected cash flows, generated by both sides of the balance sheet. By contrast with the standpoint of current profits, the standpoint of economic value takes a medium/long-term view and is principally associated with the repricing risk;
- ensure compliance with the related organisational requirements envisaged by the domestic and international supervisory bodies.

The model for the governance of rate risk is based on the following principles:

- consistency with BPER Banca's current business model in terms of autonomy and the coordination of the commercial and lending policies of Group companies;
- allocation to BPER Banca of powers to manage and coordinate, in order to ensure consistency in the overall governance of rate risk and compliance with regulatory requirements;
- segregation between governance processes and the management of rate risk.

The model for the management of interest rate risk focuses on the following measures of risk:

- sensitivity of net interest income;
- sensitivity of economic value.

Analysis of the sensitivity of net interest income identifies the impact of changes in interest rates as a result of parallel and other shocks.

The Bank calculates the sensitivity of net interest income holding rates and volumes constant. According to this model amounts maturing are reinvested on the assumption of constant volumes, rates and maturities.

The following shocks are considered:

- parallel shock of + 100 bps;
- parallel shock of +/- 50 bps;
- parallel shock of - 25 bps.

The indicator is calculated at both Group and Legal Entity levels.
Analysis of the sensitivity of economic value identifies the impact on the value of shareholders' equity of parallel and other shocks to the yield curve. This change is calculated by discounting all the cash flows using two different yield curves: the current curve at the analysis date and that following the shock, and comparing the two values.

$$\Delta VA = VA_{(Curva1)} - VA_{(Curva2)}$$

In order to incorporate the phenomenon known as prepayment[28] of loans, in measuring the sensitivity of economic value, a model was adopted according to which the amount of capital prepaid on a loan is estimated through a percentage of early repayment on the capital outstanding during the reference period. The percentage of prepayment defined in this way is maintained constant for the whole duration of the loan.
For the calculation of sensitivity, demand balances outstanding with customers are simulated using an econometric model which identifies a portfolio that replicates them, by allocating demand funding (lending) to a portfolio of liabilities (assets) with an identified effective repricing profile.

In addition to the risk measures mentioned above, the capital absorbed in relation to interest rate risk is also calculated. Sensitivity analysis is applied in order to estimate the capital absorbed, consistent with the standardised approach envisaged by the Supervisory Authorities. Under this approach, the capital absorbed in relation to the banking book's interest rate risk is the change in the economic value (defined as the present value of expected cash flows) caused by a rate shock of 200 basis points.

With regard to price risk, the banking book mainly comprises shares, mutual funds and SICAVs classified as available for sale or measured using the Fair Value Option.
The monitoring of the aforementioned portfolio takes place through the Value at Risk (VaR) methodology presented in detail in the section on qualitative information: "Interest rate risk and price risk - Trading portfolio reported for supervisory purposes”.
The Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

[28] *Prepayment can be defined as a total or partial early repayment of the residual loan by the borrower.*

Quantitative information

2. Interest rate risk - Banking book: internal models and other methodologies for the analysis of sensitivity

Below are the year-end figures at 31 December 2018 and their trends (minimum, average, maximum) of the management reporting year relating to the banking book's interest margin, against a parallel shift of +100/-50 basis points.

	+100 b.p.	-50 b.p.
31 December 2018	**67,465**	**3,703**
maximum change	81,332	6,492
minimum change	66,548	3,261
average change	73,105	4,772
31 December 2017	**67,091**	**7,094**

Below are the year-end figures at 31 December 2018 and their trends (minimum, average, maximum) of the management reporting year relating to the change in the value of the banking book, against a parallel shift of +/- 100 basis points (sensitivity analysis).

	+100 b.p.	-100 b.p.
31 December 2018	**144**	**(185,130)**
maximum change	96,471	(185,130)
minimum change	144	(65,801)
average change	34,308	(103,925)
31 December 2017	**131,545**	**(165,342)**

2. Price risk - Banking book: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for supervisory purposes at 31 December 2018.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities Instruments	320,644	26,629	8.30%	8,421	2.63%
Mutual funds and SICAVs	231,130	10,620	4.59%	3,358	1.45%
Derivatives/Transactions to be settled	-	-	0.00%	-	0.00%
Effect of diversification		(4,214)		(1,333)	
Total portfolio 2018	**551,775**	**33,035**	**5.99%**	**10,447**	**1.89%**
Total portfolio 2017	**425,024**	**20,094**	**4.73%**	**6,354**	**1.50%**

2.3 Exchange risk

Qualitative information

A. General aspects, management and measurement of exchange risk

The Group is exposed to exchange risk as a consequence of routine funding and lending activities and, to a marginal extent, in relation to speculative activities.
The Parent Company's Risk Management Department determines the exposure to exchange rate risk each day and summarises it monthly in a specific VaR report.

B. Hedging of exchange risk

The Bank uses plain vanilla instruments for the operational hedging of exchange risk.

Quantitative information

1. Distribution by currency of assets and liabilities and derivatives

Items	Currencies					
	USD	GBP	JPY	CHF	CAD	OTHER CURRENCIES
A. Financial assets	**2,079,860**	**104,689**	**2,837**	**10,437**	**3,275**	**8,753**
A.1 Debt securities	1,926,627	85,460				
A.2 Equity securities	24,634	1,340		1,526	296	191
A.3 Loans to banks	24,726	16,097	1,241	1,001	1,873	8,560
A.4 Loans to customers	103,873	1,792	1,596	7,910	1,106	2
A.5 Other financial assets						
B. Other assets	**2,534**	**1,318**	**106**	**813**	**492**	**736**
C. Financial liabilities	**1,993,045**	**102,443**	**3,898**	**10,753**	**3,828**	**15,005**
C.1 Deposits from banks	1,775,492	83,672	12	5,064	204	2,940
C.2 Deposits from customers	217,553	18,771	3,886	5,689	3,624	12,065
C.3 Debt securities in issue						
C.4 Other financial liabilities						
D. Other liabilities	**4,613**	**398**		**75**	**61**	**8**
E. Financial derivatives	**494,306**	**60,027**	**59,749**	**13,746**	**7,456**	**41,931**
- Options						
+ Long positions	13,971	933	6,951			
+ Short positions	86,000	2,617	6,908			505
- Other derivative instruments						
+ Long positions	190,188	28,878	18,665	6,894	3,950	23,995
+ Short positions	204,147	27,599	27,225	6,852	3,506	17,431
Total Assets	**2,286,553**	**135,818**	**28,559**	**18,144**	**7,717**	**33,484**
Total liabilities	**2,287,805**	**133,057**	**38,031**	**17,680**	**7,395**	**32,949**
Net balance (+/-)	**(1,252)**	**2,761**	**(9,472)**	**464**	**322**	**535**

2. Internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the exchange risk faced by the Bank at 31 December 2018.

	VaR Time horizon: 10 days Confidence interval: 99%	VaR Time horizon: 1 day Confidence interval: 99%
2018 figures	2,235	714
2017 figures	59,779	18,904

Section 3 - Derivatives and hedging policies

3.1 Trading derivative instruments

A. Financial derivatives

A.1 Trading financial derivatives: notional values at the end of the period

Underlying assets/Type of derivatives	Totale 31.12.2018				Totale 31.12.2017			
	Over the counter			Organized markets	Over the counter			Organized markets
	Central Counterparts	without central counterparties: with clearing arrangements	without central counterparties: without clearing arrangements		Central Counterparts	without central counterparties: with clearing arrangements	without central counterparties: without clearing arrangements	
1. Debt securities and	**-**	**8,370,413**	**575,725**	**-**	**-**	**10,509,714**	**2,399,267**	**-**
a) Options	-	557,462	29,214	-	-	1,099,362	512,932	-
b) Swap	-	7,631,488	-	-	-	9,045,427	744,503	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	546,511	-	-	-	815,378	-
e) Others	-	181,463	-	-	-	364,925	326,454	-
2. Equities and stock	**-**	**130,660**	**54,936**	**-**	**-**	**129,951**	**118,125**	**-**
a) Options	-	130,660	54,936	-	-	129,951	116,340	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	1,785	-
e) Others	-	-	-	-	-	-	-	-
3. Currencies and gold	**-**	**586,045**	**49,972**	**-**	**-**	**411,512**	**441,866**	**-**
a) Options	-	132,831	-	-	-	64,685	240,263	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	453,214	49,972	-	-	346,827	201,603	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
4. Goods	**-**	**9,983**	**-**	**-**	**-**	**-**	**25,474**	**-**
5. Other	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total	**-**	**9,097,101**	**680,633**	**-**	**-**	**11,051,177**	**2,984,732**	**-**

A.2 Trading financial derivatives: positive and negative fair value - regulatory trading portfolio

Types of derivatives	Total 31.12.2018				Total 31.12.2017			
	Over the counter			Organized markets	Over the counter			Organized markets
	Central Counterparts	Without central counterparties			Central Counterparts	Without central counterparties		
		With clearing arrangements	Without clearing arrangements			With clearing arrangements	Without clearing arrangements	
1. Positive fair value								
a) Options	-	7,119	36	-	-	13,024	7,861	-
b) Interest rate swap	-	79,369	-	-	-	77,219	33,060	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	3,239	4,018	-	-	2,834	3,600	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	6,115	-	-	-	95	10,536	-
Total	**-**	**95,842**	**4,054**	**-**	**-**	**93,172**	**55,057**	**-**
2. Negative fair value								
a) Options	-	24,389	1,747	-	-	11,827	11,911	-
b) Interest rate swap	-	115,943	-	-	-	146,148	191	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	3,556	1,016	-	-	5,678	1,919	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	3,608	-	-	-	8,131	-	-
Total	**-**	**147,496**	**2,763**	**-**	**-**	**171,784**	**14,021**	**-**

A.3 OTC trading financial derivatives - notional values, positive and negative fair value by counterparty

Underlyings	Central Counterparts	Banks	Other financial companies	Other entities
Contracts not included in clearing agreement				
1) Debt securities and interest rate				
- notional value	X	575,725	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
2) Equities and stock indexes				
- notional value	X	1,320	39	53,577
- positive fair value	X	-	16	20
- negative fair value	X	44	-	1,703
3) Currencies and gold				
- notional value	X	44,919	-	5,053
- positive fair value	X	3,935	-	83
- negative fair value	X	373	-	643
4)Goods				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
5) Others				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
Contracts included in clearing arrangements				
1) Debt securities and interest rate				
- notional value	-	7,221,986	165,181	983,247
- positive fair value	-	48,998	3,213	35,042
- negative fair value	-	134,073	2,768	391
2) Equities and stock indexes	-			
- notional value	-	96,345	2,314	32,000
- positive fair value	-	4,215	12	-
- negative fair value	-	1,869	351	-
3) Currencies and gold	-			
- notional value	-	263,201	44,478	278,366
- positive fair value	-	2,518	293	1,551
- negative fair value	-	1,737	500	5,805
4)Goods	-			
- notional value	-	9,983	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
5) Others	-	-	-	-
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-

A.4 Residual life of OTC trading credit derivatives: notional values

Underlying / residual		Up to 1 year	Over 1 year up to 5 year	Over 5 year	Total
A.1 Financial derivative contracts on debt securities and interest rates		1,430,843	5,166,091	2,349,204	8,946,138
A.2 Financial derivative contracts on equity securities and stock indexes		37,392	116,139	32,064	185,595
A.3 Financial derivatives on currencies and gold		598,748	36,618	651	636,017
A.4 Financial derivatives on goods		9,983	-	-	9,983
A.5 Other financial derivatives		-	-	-	-
Total	**31.12.2018**	**2,076,966**	**5,318,848**	**2,381,919**	**9,777,733**
Total	**31.12.2017**	**4,756,743**	**5,950,435**	**3,328,731**	**14,035,909**

B. Credit derivatives

B.1 Trading credit derivatives: end of period notional amounts

Type of transaction	Trading derivatives	
	with a single counterparty	with more than one counterparty (basket)
1. Protection purchases		
a) Credit default products	-	20,000
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Totale 31.12.2018	**-**	**20,000**
Totale 31.12.2017	**-**	**-**
2. Security sales		
a) Credit default products	-	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Totale 31.12.2018	**-**	**-**
Totale 31.12.2017	**-**	**-**

B.2 Trading credit derivatives: positive and negative gross fair value - breakdown for products

Types of derivatives	Totale 31.12.2018	Totale 31.12.2017
1. Positive fair value		
a) Credit default products	-	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	**-**	**-**
2. Negative fair value		
a) Credit default products	1	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	**1**	**-**

B.3 OTC trading credit derivatives: notional values, positive and negative fair value for counterparty

	Central counterparts	Bank	Other financial companies	Other subjects
Contracts not covered by clearing agreements				
1) Purchase protection				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
2) protection sale				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
Contracts covered by clearing agreements				
1) Purchase protection				
- notional value	-	20,000	-	-
- positive fair value	-	-	-	-
- negative fair value	-	1	-	-
2) protection sale				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-

B.4 Residual life of OTC trading credit derivatives: notional values

Underlying / residual	Up to 1 year	Over 1 year up to 5 years	Over 5 years	Total
1. Sale protection	-	-	-	-
2. Buy protection	-	20,000	-	20,000
Totale 31.12.2018	**-**	**20,000**	**-**	**20,000**
Totale 31.12.2017	**-**	**-**	**-**	**-**

B.5 Credit derivatives connected with the fair value option: annual changes

There are no amounts to be disclosed in this section.

3.2 Accounting hedges

Qualitative information

The Group's organisation provides for centralisation of the financial and accounting hedges at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

A. Fair value hedges

Hedged Risk - Rate Risk
As already mentioned previously and in other parts of the financial statements, the corporate strategies provide for specific interventions aimed at the best possible management of interest rate risk. Among the intervention levers, the Group has recourse to derivative contracts (classified from an accounting point of view both as “hedging” and “trading”), used to reduce the sensitivity of the proprietary securities portfolio, loans granted and own bond issues, compared with a rise in risk-free rates.
The derivatives used for this purpose are:

- Interest Rate Swaps - IRS, over-the-counter negotiations, specific for each instrument of the asset to be hedged, or referring to several instruments with the same maturity. In these instruments, the BPER Banca Group pays fixed and receives floating interest;
- Futures, listed, generic with underlying German, Italian and US bonds.

Compared with what is shown, micro-hedge accounting is qualified only for hedging the interest rate risk connected to bonds in the banking book, classified among Financial assets measured at fair value through other comprehensive income and Financial assets measured at amortised cost, loans disbursed and classified as financial assets at amortised cost, using IRS-type derivatives for this purpose. Similarly, they have been qualified as hedges of bonds issued by the Group at a fixed rate.

Hedged risk - Credit / Counterparty Risk
Given the unexpected increase in credit/counterparty risk, the BPER Banca Group uses derivative instruments to reduce the sensitivity of the investment portfolio.
The derivatives used for this purpose are:
• Credit Default Swaps - CDS, traded over-the-counter, generic and linked to sub-indexes;
• Futures, listed, generic with underlying German, Italian and US bonds.

Compared with what is shown, the credit risk is hedged only by management, as no Hedge Accounting has been qualified.

B. Cash flow hedges

Hedged risk - Credit and/or Rate risk
The objective pursued by the Group in this case is to stabilise the contribution of the proprietary securities portfolio to the Bank's net interest income, in the event of a decrease in the credit risk of specific issuers and/or risk-free rates.
The derivatives used for this purpose are:

- Interest Rate Swaps - IRS, traded over-the-counter, specific for each issue to be hedged or for multiple issues with the same maturity. In this case the BPER Banca Group pays floating and receives fixed interest.

With respect to this management approach, the BPER Banca Group has classified some hedging relationships (micro-hedge accounting) solely with a view to minimising the risk of undesired fluctuation in market rates, using IRS derivative contracts as hedging instruments.

C. Foreign investment hedging assets

Hedged risk - Exchange rate risk

As part of the Group's operations in foreign currency instruments, the management of foreign exchange risk also occurs through derivatives, used to neutralise the sensitivity of the securities portfolio held in foreign currency, or in the event of exchange rate devaluation.
The derivatives used for this purpose are:

- Cross Currency Swaps, traded over-the-counter, specific for each issue to be hedged or for multiple issues with the same maturity. The BPER Banca Group pays the cash flows in foreign currency that it receives from the hedged asset and receives Euro.
- Repos in foreign currency

Compared with what is shown, the exchange rate risk is only hedged for management purposes, as none of them qualify for hedge accounting.

D. Hedging instruments

The Hedge Accounting implemented by the BPER Banca Group is therefore realized through the use of OTC IRS plain vanilla derivative contracts or with cap & floor options.

E. Hedged items

As mentioned, the BPER Banca Group currently has hedges on bonds in the banking book, on loans (mortgages) granted and on its own bond issues. Only the interest rate risk component is hedged in these instruments.
As already mentioned in Part A of the notes, the effectiveness of the hedge is assessed in the initial phase and continuously during its life, performing prospective and retrospective tests on a quarterly basis, applying the so-called "Dollar Offset Method".
For further details on how these tests are carried out and on the evaluation of the results in terms of effectiveness and ineffectiveness of the hedging relationships, see the information provided in Part A.

Quantitative information

A. Hedging financial derivatives

A.1 Hedging financial derivatives: notional values at the end of the period

Underlying assets / Type of derivatives	Totale 31.12.2018				Totale 31.12.2017			
	Over the counter			Organized markets	Over the counter			Organized markets
	Central Counterparts	without central counterparties			Central Counterparts	without central counterparties		
		with clearing arrangements	without clearing arrangements			with clearing arrangements	without clearing arrangements	
1. Debt securities and interest rate	**-**	**6,545,536**	**-**	**-**	**-**	**6,155,681**	**-**	**-**
a) Options	-	-	-	-	-	-	-	-
b) Swap	-	6,545,536	-	-	-	6,155,681	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
2. Equities and stock indexes	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) Options	-	-	-	-	-	-	-	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
3. Currencies and gold	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) Options	-	-	-	-	-	-	-	-
b) Swap	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Others	-	-	-	-	-	-	-	-
4. Goods	-	-	-	-	-	-	-	-
5. Other	-	-	-	-	-	-	-	-
Total	-	6,545,536	-	-	-	6,155,681	-	-

A.2 Hedging financial derivatives: positive and negative fair value - regulatory trading portfolio

Types of derivatives	Fair value positivo e negativo								Change in the value used to calculate the effectiveness of the hedge	
	Total 31.12.2018				Total 31.12.2017				Total	Total
	Over the counter			Organized markets	Over the counter			Organized markets	31.12.2018	31.12.2017
	Central Counterparts	Without central counterparties: With clearing arrangements	Without central counterparties: Without clearing arrangements		Central Counterparts	Without central counterparties: With clearing arrangements	Without central counterparties: Without clearing arrangements			
Positive fair value										
a) Options	-	-	-	-	-	-	-	-	-	-
b) Interest rate swap	-	34,916	-	-	-	52,824	-	-	-	-
c) Cross currency swap	-	-	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-	-	-
Total	**-**	**34,916**	**-**	**-**	**-**	**52,824**	**-**	**-**	**-**	**-**
Negative fair value										
a) Options	-	-	-	-	-	-	-	-	-	-
b) Interest rate swap	-	85,717	-	-	-	21,175	-	-	-	-
c) Cross currency swap	-	-	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-	-	-
Total	**-**	**85,717**	**-**	**-**	**-**	**21,175**	**-**	**-**	**-**	**-**

A.3 OTC hedging financial derivatives - notional values, positive and negative fair value by counterparty

Underlyings	Central Counterparts	Banks	Other financial companies	Other entities
Contracts not included in clearing agreement				
1) Debt securities and interest rate				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
2) Equities and stock indexes				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
3) Currencies and gold				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
4) Other values				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
5) Other				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
Contracts included in clearing arrangements				
1) Debt securities and interest rate				
- notional value	-	6,506,128	39,408	-
- positive fair value	-	34,579	337	-
- negative fair value	-	85,717	-	-
2) Equities and stock indexes				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
3) Currencies and gold				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
4) Other values				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
5) Other				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-

A.4 Residual life of OTC hedging credit derivatives: notional values

Underlying / residual		Up to 1 year	Over 1 year up to 5 year	Over 5 year	Total
A.1 Financial derivative contracts on debt securities and interest rates		152,617	2,906,898	3,486,021	6,545,536
A.2 Financial derivative contracts on equity securities and stock indexes		-	-	-	-
A.3 Financial derivative contracts on currency and gold		-	-	-	-
A.3 Financial derivative on goods		-	-	-	-
A.5 Other financial derivatives		-	-	-	-
Total	**31.12.2018**	**152,617**	**2,906,898**	**3,486,021**	**6,545,536**
Total	**31.12.2017**	**1,319,010**	**2,114,259**	**2,722,412**	**6,155,681**

B. Hedging credit derivatives

There are no amounts to be disclosed in this section.

C. Non-hedging derivatives

There are no amounts to be disclosed in this section.

D. Hedged instruments

There are no amounts in the financial statements as BPER Banca has decided to use the opt-out option, which means that hedging transactions will continue to be managed in accordance with IAS 39.

E. Effects of hedging transactions on equity

There are no amounts in the financial statements as BPER Banca has decided to use the opt-out option, which means that hedging transactions will continue to be managed in accordance with IAS 39.

3.3. Other information on derivatives (trading and hedging)

A. Financial and credit derivatives

There are no amounts to be disclosed in this section.

Section 4 - Liquidity risk

Qualitative information

The Group's organisation provides for centralisation of the liquidity risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

A. General aspects, management and measurement of liquidity risk

The BPER Banca Group has a specific policy for the management of liquidity risk (Group Policy for Liquidity and Funding Risk Governance), which includes the plan covering the objectives, processes and strategies for action (Contingency Funding Plan).

Group Policy for Liquidity and Funding Risk Governance

This document, which forms an integral part of the Risk Appetite Framework of the BPER Banca Group, defines the principles, objectives and methods of governance and monitoring of liquidity and funding risk at Group level.
More specifically, it contains:

- the definition of the governance model in terms of the parties involved in risk governance and their roles and responsibilities;
- definition of limits and mitigating actions aimed at risk containment;
- the formalisation of risk management methods, through the establishment of rules, procedures and metrics for the measurement and monitoring of liquidity and funding risk, describing the Stress Test model adopted to evaluate the risk exposure in stress scenarios.

Liquidity risk typically crystallises in the form of failure to meet payment obligations; it may take various forms, depending on the circumstances in which the risk arises. With reference to the definitions adopted at international level, a distinction is made between funding liquidity risk and market liquidity risk.
Funding liquidity risk is the risk that the Parent Company will not be able to make expected and unexpected cash payments, both current and future, in an efficient manner, nor will it be able to meet collateral obligations, without an adverse effect on current operations or its financial position.
Market liquidity risk, on the other hand, is the risk that the Parent Company is not able to sell a financial asset without incurring a capital loss due to poor liquidity or disorder in the reference market.
These two forms of liquidity risk are often highly correlated, and may crystallise as a result of the same underlying factors. Market liquidity risk is usually considered to be a type of market risk (price risk); accordingly, the processes and rules for measuring, controlling and mitigating liquidity risk focus on the funding risk aspect.

In the context of funding risk, a distinction is made between:

- mismatch liquidity risk, being the liquidity risk implicit in the structure of the Parent Company's assets and liabilities due to the transformation of maturities typical of financial intermediaries,

when the profile of cash outflows is not perfectly matched by the profile of cash inflows (with reference to contractual maturities and routine behaviour);
- contingency liquidity risk, being the risk that future events may require access to significantly more liquidity than previously planned by the Group; in other words, this is the risk of not being able to settle sudden and unexpected payment commitments in the short or very short term.

Liquidity risk can derive from different types of sources. In particular, two macro-categories are considered:
- Endogenous sources of liquidity risk: these include, among specific adverse events for the Group, a rating downgrade or other event that causes the market to lose confidence in the Group. Such a downgrade or a widespread market perception of a deterioration in the Group's solidity (which could arise from other risks, such as major losses on the trading book or loan portfolio) might also result in:
  - reduced access to the market for unsecured funds (e.g. commercial paper) by institutional investors;
  - a reduction in or cancellation of interbank lines of credit;
  - the withdrawal of deposits by retail customers;
  - an increased need for liquidity, for example a request to increase margins and guarantees due, or the need to finance assets that can no longer be sold or converted into securities through securitisations.
- Exogenous sources of liquidity risk include:
  - systemic events that cause a liquidity crisis in the market (political and financial crises, catastrophic events, etc.);
  - specificity of some financial products (derivative contracts, stock-borrowing contracts), where events, such as sudden market movements, bankruptcies or downgrades in the ratings, could trigger a request for further collateral from counterparties;
  - commitments relating to committed lines that in the event of a crisis could generate an increase in the demand for liquidity on the part of customers; endorsement credits or committed lines facilities stipulated with special purpose vehicles in connection with securitisations act in a similar way;
  - structural changes in the market that can lead to an increase in the liquidity risk perceived overall (increasing system demand for more volatile funding sources such as wholesale funds, rapid movement of accounts via internet banking).

Consistent with the Group Guidelines - Internal Control System, the management of liquidity risk can be broken down into the following components:
- definition of risk objectives,
- risk-taking,
- risk management,
- definition of risk exposure and operational limits.

The Group's governance model of short-term liquidity (operating liquidity) is based on centralised governance of liquidity and the related risk. In particular, the Parent Company:
- is responsible for the liquidity policy,
- governs short-term liquidity,
- determines and manages the funding plan,

- monitors liquidity risk,

for all Group banks and companies covered by the policy.

Funding/lending transactions involving liquidity are centralised at the Treasury and Institutional Liquidity Office to ensure that the Group's overall liquidity is managed efficiently:

- by optimising access to liquidity markets in terms of volumes and costs, exploiting the creditworthiness of the Group and minimising the cost of funding;
- by centralising "rating sensitive" funding transactions, as well as interventions on the money market;
- by implementing a principle of functional specialisation through centres of competence for secured funding transactions (issues of secured instruments, funding from particular categories of institutional investors, etc.).

The Group's governance model for long-term liquidity (or "structural liquidity") is based on the following principles:

- attribution to the Parent Company of the prerogatives for the management and coordination of the commercial and credit policies of Group Companies to ensure consistency in the overall governance of funding risk and to ensure compliance with the requisites envisaged by the regulations;
- communication of decisions and clear division of responsibilities between management, control and operational bodies;
- development of processes for the governance and control of funding risk that are consistent with the Group's reporting structure and by using the governance model formalised by this policy.

From the principles listed above derives a model based on integrated governance of the structural liquidity risk among all Group banks/companies included in the scope of consolidation. Specifically, this model is characterised by the following aspects:

- governance of the structural liquidity risk assigned to individual Group companies within the framework of a system of individual and consolidated limits defined by the Parent Company and formalised in this policy;
- control of structural liquidity risk centralised at the Parent Company.

The Policy and its updates approved by the Parent Company's Board of Directors once they have been reviewed or proposed by the Risk Committee. It is then adopted by the Board of each Group bank/company covered by the policy.

Pursuit of the above objectives takes account of the following aspects:

- segregation of responsibilities and roles between the internal functions responsible for managing liquidity and those responsible for managing liquidity risk;
- measurement of the exposure to liquidity risk, according to the Liquidity Risk Mismatch Model;
- definition of a Group Contingency Funding Plan that establishes the liquidity policy to be followed in a crisis scenario caused by endogenous and/or exogenous factors.

The Liquidity Policy Mismatch Model is based on the liquidity policy and on the metrics and tools aimed at managing liquidity risk, split into short-term liquidity and medium/long-term liquidity. In particular:

- the purpose of managing short-term (operational) liquidity risk is to manage the events affecting the Group's liquidity position over time horizons from 1 day to 1 year, with the paramount objective of maintaining the Group's ability to meet routine and special payment commitments, while minimising the related costs;

- the purpose of managing medium/long-term (structural) liquidity risk, deriving from events that affect the Group's liquidity position over a time horizon in excess of one year, is to maintain a suitable dynamic between medium/long-term assets and liabilities, while avoiding pressure on the current and future sources of short-term liquidity and, at the same time, optimising the cost of funding.

The metrics for monitoring short-term liquidity risk include:

- calculation of the liquidity mismatch having regard for the assets that can be promptly converted to cash, comprising the portfolio of eligible and marketable securities, as well as any reserves under the form of working capital;
- maintaining the lending-funding maturing in the various time bands within a cumulative limit expressed in absolute terms; daily checking for internal operational purposes and weekly checks using the methodologies defined by the Supervisory Authorities.

The metrics for the monitoring of structural liquidity risk include calculation of the liquidity mismatch which, operationally, involves:

- calculating the gap ratio between assets and liabilities in the time bands that exceed one year;
- the use of statistical/quantitative behavioural models for items without contractual maturities or which are subject to options;
- the performance of periodic stress tests which, based on the application of endogenous and exogenous shock scenarios, generate deterministic and/or probability-based indicators of risk.

The Group's liquidity position is monitored both under normal conditions and at times of stress: scenario analysis is carried out once a month by the Risk Management Department.
When carrying out stress analysis, scenarios are constructed with reference to events of a systemic nature (Market Stress Scenario) as well as those specific to BPER Banca (Name Crisis Stress Scenario) and with a combination of the two (Composite Scenario), taking account of the macroeconomic environment, commercial policies and potential changes in the behaviour of customers.

Contingency Funding Plan

The Contingency Funding Plan formalises the process of liquidity management under stress or crisis scenarios. The business functions responsible for monitoring and managing liquidity risk must be able to carry out their activities both under normal conditions and at times of stress and/or liquidity crises that are unlikely to occur, but which would have a significant impact.
In view of the governance model of the liquidity and funding risk previously illustrated, BPER Banca - as the lender of last resort for all Group subsidiaries - guarantees their short, medium and long-term solvency and is responsible for activating the Contingency Funding Plan, regardless of where in the Group the liquidity crisis arises.
The purpose of the Contingency Funding Plan is to safeguard the net assets of the Bank at the early stages of liquidity stress and to guarantee the Group's continuity in the event of a serious and/or prolonged liquidity crisis, by:

- defining a process for the identification and monitoring of risk indicators that signal and measure the stages in a liquidity crisis;

- identifying ex ante a system of predetermined but flexible actions to be implemented in the early stages of a crisis;
- determining the roles and responsibilities of each business function;
- identifying the internal regulations that may be invoked to justify the actions of the BPER Banca Group's management, which at a time of crisis must be authorised to modify on a timely and perhaps radical basis the structure of the assets and liabilities in the balance sheet.

A state of liquidity crisis is defined as a situation in which a Group finds it difficult or impossible to settle the cash payments falling due, except by activating procedures and/or using tools with an intensity or in a manner not envisaged as part of ordinary administration.
Liquidity crises fall into two broad categories:

- systemic or "market driven" liquidity crises generated by market, political or macroeconomic crises;
- specific liquidity crises or "name crises" limited to the Group or to one or more Group companies/banks.

Considering the types of liquidity crisis and their scale, three operational scenarios have been identified:

- ordinary course of business;
- state of stress;
- state of crisis.

Depending on the scenario, the actions required and the functions involved in its management can be identified.
The operational scenario faced by the Group is identified by monitoring the system of early warnings, which comprises a series of indicators that flag the scenario with reference to progressive levels of stress/crisis associated with one or more drivers. Depending on the level of stress/crisis identified, monitoring and/or communications procedures are activated in preparation for implementing procedures designed to manage the state of stress or state of crisis concerned.
The Contingency Funding Plan and its revisions must be approved by the Board of Directors of the Parent Company.

B. Liquidity indicators

The new harmonised rules for banks and investment companies contained in EU Regulation 575/2013 (CRR), as currently updated, also introduced new liquidity indicators:

- Liquidity Coverage Ratio (LCR): this is an indicator of coverage of short-term liquidity whose purpose is to force banks to accumulate sufficient high-quality assets that are readily convertible into cash, in order to deal with a scenario of high stress on the funding side over a period of thirty days. At 31 December 2018 it was 154.3% calculated as a ratio of 7,258 million of highly liquid assets and 4,704 million of net cash outflows.
- Net stable funding ratio (NSFR): a structural long-term indicator that is measured with a view to reporting any mismatches between liquid assets and liabilities. At 31 December 2018, the indicator stood at 106.8%. The liquidity requirements are over 100%, so above the minimum requirements of Basel 3.

Alongside these indicators, the legislation also sets the leverage ratio which is highlighted in the Directors' Report on Operations.

Quantitative information

1.Time breakdown by contractual residual maturity of financial assets and liabilities

EURO

Items/Time	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months
A.Cash assets	**6,690,684**	**367,492**	**784,991**	**3,068,805**	**2,125,613**
A.1 Government securities	-	1	-	-	-
A.2 Other debt securities	11,015	14,148	6,337	18,382	108,734
A.3 UCITS units	208,101	-	-	-	-
A.4 Loans	6,471,568	353,343	778,654	3,050,423	2,016,879
- Banks	792,052	4,652	137,089	103,257	19,572
- Customers	5,679,516	348,691	641,565	2,947,166	1,997,307
B.Cash liabilities	**30,192,561**	**1,691,948**	**557,920**	**760,462**	**934,128**
B.1 Deposits and current accounts	29,749,569	141,989	91,191	188,279	501,265
- Banks	2,678,499	-	-	98,052	-
- Customers	27,071,070	141,989	91,191	90,227	501,265
B.2 Debt securities	25,698	48,317	36,118	62,034	240,855
B.3 Other liabilities	417,294	1,501,642	430,611	510,149	192,008
C. Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	-	10,304	14,247	56,327	82,268
- Short positions	-	386	21,953	31,651	35,689
C.2 Cash settled financial derivatives					
- Long positions	78,670	-	-	-	-
- Short positions	89,672	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	785,052	-	-	-
- Short positions	-	521,727	-	-	97,194
C.4 Commitments to disburse funds					
- Long positions	14,529	-	-	-	8
- Short positions	14,529	-	-	426	8
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	1	-	-	-	-
- Short positions	-	-	-	-	-

1.Time breakdown by contractual residual maturity of financial assets and liabilities
EURO

(cont.)

Items/Time	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	Undefined maturity
A.Cash assets	**2,190,747**	**3,821,622**	**15,805,815**	**17,847,653**	**903,384**
A.1 Government securities	2,021	146,260	1,006,501	2,753,668	-
A.2 Other debt securities	165,301	168,978	3,222,198	4,366,132	983
A.3 UCITS units	-	-	-	-	-
A.4 Loans	2,023,425	3,506,384	11,577,116	10,727,853	902,401
- Banks	32,370	3,994	464,142	83,291	902,401
- Customers	1,991,055	3,502,390	11,112,974	10,644,562	-
B.Cash liabilities	**1,262,440**	**893,119**	**12,312,587**	**2,204,797**	**-**
B.1 Deposits and current accounts	701,913	223,838	-	-	-
- Banks	-	-	-	-	-
- Customers	701,913	223,838	-	-	-
B.2 Debt securities	404,517	531,182	2,650,522	741,269	-
B.3 Other liabilities	156,010	138,099	9,662,065	1,463,528	-
C. Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	69,429	74,179	10,188	267	-
- Short positions	43,861	43,338	7,150	260	-
C.2 Cash settled financial derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	-	-	-	-
- Short positions	166,130	-	-	-	-
C.4 Commitments to disburse funds					
- Long positions	413	1,891	417,470	5,640	-
- Short positions	601	11,867	314,104	208,859	-
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-

1.Time breakdown by contractual residual maturity of financial assets and liabilities

OTHER CURRENCIES

Items/Time	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months
A.Cash assets	**60,792**	**18,537**	**37,444**	**30,198**	**87,640**
A.1 Government securities	-	-	-	-	-
A.2 Other debt securities	-	-	24,397	17,563	26,321
A.3 UCITS units	22,424	-	-	-	-
A.4 Loans	38,368	18,537	13,047	12,635	61,319
- Banks	27,245	15,777	-	657	7,228
- Customers	11,123	2,760	13,047	11,978	54,091
B.Cash liabilities	**249,020**	**19,349**	**339,049**	**495,967**	**1,012,938**
B.1 Deposits and current accounts	248,509	6,236	4,175	244	14,883
- Banks	12,449	6,114	-	-	-
- Customers	236,060	122	4,175	244	14,883
B.2 Debt securities	-	-	-	-	-
B.3 Other liabilities	511	13,113	334,874	495,723	998,055
C. Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	-	10,914	22,120	31,771	35,072
- Short positions	-	2,295	14,513	67,011	84,058
C.2 Cash settled financial derivatives					
- Long positions	121	-	-	-	-
- Short positions	3,650	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.4 Commitments to disburse funds					
- Long positions	-	-	139	-	-
- Short positions	96	42	-	-	-
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-

1.Time breakdown by contractual residual maturity of financial assets and liabilities
OTHER CURRENCIES

(cont.)

Items/Time	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	Undefined maturity
A.Cash assets	**33,774**	**121,831**	**1,501,910**	**531,613**	**-**
A.1 Government securities	-	-	124,601	105,796	-
A.2 Other debt securities	21,550	108,462	1,372,030	425,817	-
A.3 UCITS units	-	-	-	-	-
A.4 Loans	12,224	13,369	5,279	-	-
- Banks	353	2,829	-	-	-
- Customers	11,871	10,540	5,279	-	-
B.Cash liabilities	**4,086**	**1,622**	**-**	**-**	**-**
B.1 Deposits and current accounts	4,086	1,622	-	-	-
- Banks	98	-	-	-	-
- Customers	3,988	1,622	-	-	-
B.2 Debt securities	-	-	-	-	-
B.3 Other liabilities	-	-	-	-	-
C. Off-balance sheet transactions					
C.1 Physically settled financial derivatives					
- Long positions	44,147	44,583	7,125	325	-
- Short positions	71,527	76,772	10,510	325	-
C.2 Cash settled financial derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.3 Deposit to be received					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.4 Commitments to disburse funds					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.5 Written guarantees	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-
C.7 Physically settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-
C.8 Cash settled credit derivatives					
- Long positions	-	-	-	-	-
- Short positions	-	-	-	-	-

As required by the regulations, liquidity risk includes the self-securitisations carried out by BPER Banca and outstanding in 31 December 2018, as shown below.

Estense Finance self-securitisation

During 2009, BPER Banca completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999, with a view to strengthening the funding available to tackle liquidity risks.
This operation involved the without-recourse sale of a block of 20,198 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,922,631,856, to Estense Finance s.r.l., a company formed pursuant to Law 130 that is 9.9% owned by the Bank.
The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by BPER Banca.
The operation physiologically ended in June 2018, after nine years of virtuous management.

Casa d'Este self-securitisation

Transaction arranged in November 2004 by Cassa di Risparmio di Ferrara with the sale to Casa d'Este Finance s.r.l. of residential and commercial mortgages originally amounting to Euro 281 million. The Senior notes of the transaction, after the payment date of December 2018, have been fully repaid, while the Mezzanine and Junior notes amount to Euro 35.2 million and Euro 1.4 million respectively.
In 2018, BPER Banca purchased the remaining Mezzanine and Junior Notes, bringing the operation back to self-securitisation.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2018	Rating Moody's
IT0003747786	Senior	15/09/2016	150,000	-	-
IT0003747794	Senior	15/09/2021	94,500	-	
IT0003747802	Mezzanine	15/09/2021	35,200	35,200	Ba1
IT0003747810	Junior	15/09/2021	1,360	1,360	-
Total			**281,060**	**36,560**	

Casa d'Este2 self-securitisation

Transaction arranged in December 2008 by Cassa di Risparmio di Ferrara, with loans originally amounting to Euro 382.55 million that were sold to the same SPV mentioned above. The Senior notes of the transaction, after the payment date of October 2018, have been fully repaid, while the Mezzanine and Junior notes amount to Euro 78.9 million and Euro 1.9 million respectively.
In 2018, BPER Banca purchased the remaining Mezzanine and Junior Notes, bringing the operation back to self-securitisation.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2018	Rating Moody's
IT0004440365	Senior	ott-2050	270,000	-	
IT0004440456	Senior	ott-2050	30,000	-	
IT0004440571	Mezzanine	ott-2050	80,650	78,878	Caa1
IT0004440589	Junior	ott-2050	1,900	1,900	-
Total			**382,550**	**80,778**	

Section 5 – Operational risk

Qualitative information

A. General aspects, governance and measurement methods of operational risk

Operational risk is "the risk of losses due to inadequate or dysfunctional procedures, human resources or internal systems, or to exogenous events, including the legal risk[29]".
BPER Banca adopts the Traditional Standardised Approach (TSA) to calculate the individual capital requirement for operational risk. The Own Funds requirement is calculated using the standardised approach by determining the three-year average of the sum of the annual Own Funds requirement for the lines of business in which the relevant indicator was classified[30].

Note that, on the basis of the principles of organisational separation and independence of functions exercising second and third level control activities, it is envisaged that there is:

- a first level control of operational risk;
- a function that performs second level controls of operational risk within the Risk Management Department, part of the Credit and Operational Risk Management Unit;
- a function for third level controls that is attributed to the Internal Audit Department, in accordance with the Group's internal control system.

Operational risk management is based on the following principles:

- identification: operational risks are identified, highlighted and reported to senior management;
- measurement and assessment: the risk is quantified by determining the impact on business processes, inclusive of the financial impact thereon;
- monitoring: monitoring of operational risk and of exposure to significant losses is ensured, generating information flows that favour active risk management;
- mitigation: appropriate measures have been taken to mitigate operational risk;
- reporting: a reporting system has been set up to report on operational risk management.

The collection and storage of data relating to loss events is done by means of the Group's Loss Data Collection process.
The process of Loss Data Collection is supported by special IT tools, which are under constant development, to ensure the integrity and quality of data.
The assessment of operational risk exposure, which is performed by means of risk self assessment and scenario analysis, is aimed at determining, with an annual time horizon and for significant operating segments:

- the extent of exposure to operational risk;
- an assessment of the adequacy of line processes and controls.

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[29] See (EU) Regulation 575/2013 of the European Parliament and the Council of 26 June 2013 on prudential requirements for credit institutions and investment companies (CRR) – Part one, Title I, art. 4. Legal risk is the risk of losses resulting from violations of laws or regulations, from contractual or extra-contractual liability or from other disputes.
[30] See CRR – Part three, Title III, Chapter 3, art. 317.

Starting from 2015, BPER Banca implemented an analytical framework for IT risk, in compliance with Circular 285 of 17 December 2013, with the aim of providing an overview of the current risk situation and the remedy plan needed to avoid exceeding the threshold set for the Bank's risk appetite.

Starting from 2017, the Group implemented a reputational risk management framework in accordance with applicable regulations and best practice to continuously oversee and monitor the risk and to mitigate any abnormal situations. With this purpose in mind, objectives and risk exposure and operational limits were established, given that there is no requirement to quantify internal capital in relation to reputational risk.

The Parent Company prepares detailed reports for senior management and the heads of central organisational units concerning the operational losses that occurred during the period and mitigating actions planned for their resolution and a report to the operational structures to make them aware of the losses incurred and of the anomalies to be mitigated.

Specific reporting requirements have also been established by the IT and reputational risk management framework.

Membership by the BPER Banca Group of the DIPO consortium[31] allows the Bank to obtain feedback about the operational losses reported by the other Italian banks that are members. This feedback is used by the Bank to analyse positioning in comparison to that indicated by the system and as support for specific assessments of processes in order to implement any corrective measures that may be needed.

Operational risk management includes the various steps involved in the process of Business Continuity Management. This process is designed to maintain an appropriate level of attention regarding operational continuity and to avoid the progressive obsolescence of organisational measures (rules, impact assessment, scenarios, emergency measures, operating plans etc.) taken to ensure the continuity of critical business processes.

Quantitative information

The following is the distribution of the number of events and operating losses recorded in 2018, divided into the following risk categories:

- internal fraud: losses due to fraud, embezzlement or circumvention of regulations, laws or company policies, excluding incidents of discrimination or failure to apply equal treatment, which involves at least one internal resource of the entity;
- external fraud: losses due to fraud, embezzlement or violation/circumvention laws, by a third party;
- employment and safety at work: losses arising from acts not in compliance with laws or agreements in respect of employment, health and safety at work, from the payment of compensation for personal injuries or incidents of discrimination or failure to apply equal treatment;

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[31] *Database Italiano Perdite Operative (Italian Database of Operational Losses) which the BPER Banca Group has participated in since 2003. The DIPO observatory is a service provided by the Italian Banking Association designed to support the development of Operational Risk Management and to create a methodology for gathering and exchanging information on operational losses suffered by members.*

- customers, products and business practices: losses arising from unintentional or negligent non-performance relating to professional obligations to specific clients (including fiduciary and suitability requirements), or from the nature or characteristics of the product;
- damage to fixed assets: losses resulting from loss or damage to assets from natural disasters or other events;
- business interruption and system failures: losses arising from business interruption or system failures;
- performance, delivery and management of processes: losses due to weaknesses in the handling of transactions or management of processes, as well as losses due to relations with business partners and suppliers.

Figure 1 – Breakdown by Frequency

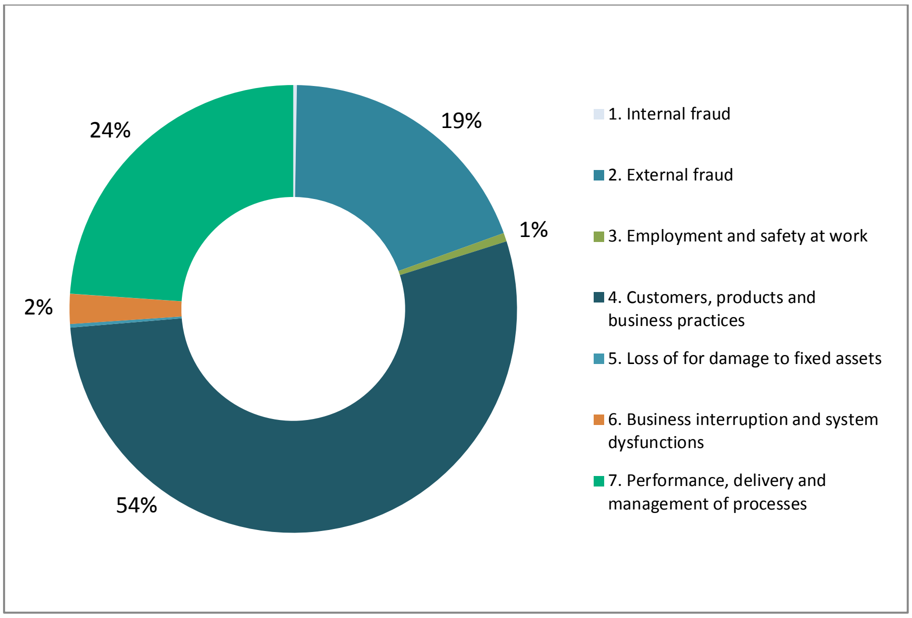
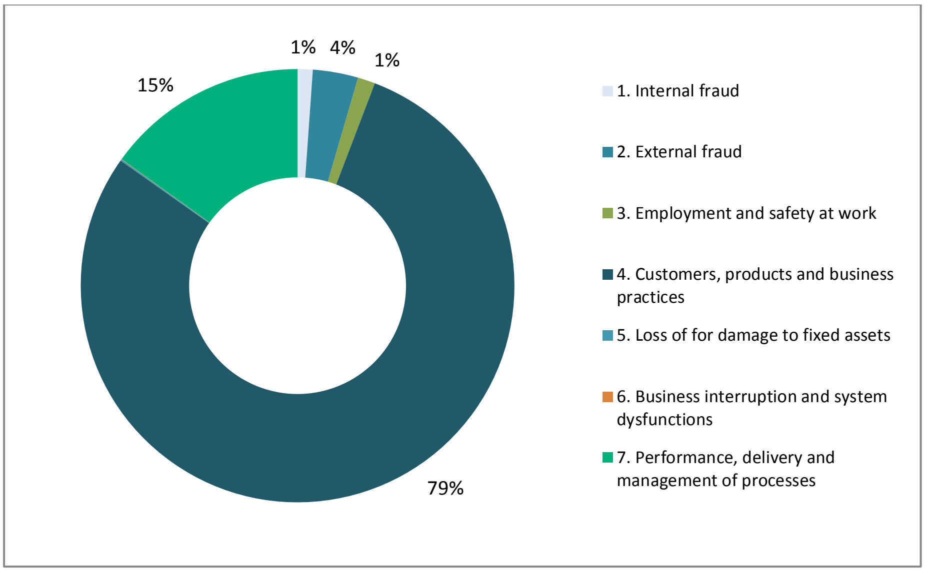


Figure 2 – Breakdown by Gross Actual Loss



An analysis of the graphs shows that the most relevant type of event in terms of frequency is:

- "External fraud" with 54% of the total frequency;
- "Performance, delivery and management of processes", with 24% of the total frequency;

In terms of economic impact the most significant events related to:

- "Customers, products and business practices", with 80% of the total gross loss;
- "Performance, delivery and management of processes", with 15% of the total gross loss.

Part F - Information on shareholders' equity

Section 1 - Shareholders' equity

A. Qualitative information

Shareholders' equity comprises share capital and all types of reserve, together with the profit for the year.

B. Quantitative information

B.1 Shareholders' equity: breakdown

Captions/Amounts	Amount 31.12.2018	Amount 31.12.2017
1. Share capital	1,443,925	1,443,925
2. Share premium reserve	930,073	930,073
3. Reserves	1,797,104	2,332,249
- from profits	1,296,134	1,830,743
a) legal	286,326	275,954
b) statutory	-	-
c) treasury shares	-	-
d) others	1,009,808	1,554,789
- others	500,970	501,506
4. Equity instruments	-	-
5. (Treasury shares)	(7,253)	(7,253)
6. Valuation reserves:	(82,514)	(21,007)
- Equity instruments designated at fair value through other comprehensive income	32,096	11,019
- Hedging of equity instruments designated at fair value through other comprehensive income	-	-
- Financial assets (no equity instruments) measured at fair value through other comprehensive income	(15,376)	68,021
- Property, plant and equipment	-	-
- Intangible assets	-	-
- Foreign investments hedges	-	-
- Cash flow hedges	(1,070)	(1,818)
- Hedging instruments [non-designated elements]	-	-
- Exchange differences	-	-
- Non-current assets and disposal groups held for sale	-	-
- Financial liabilities designated at fair value through profit or loss (variation due to changes in the credit worthiness)	-	-
- Actuarial gains (losses) on defined benefit plans	(98,218)	(98,283)
- Share of the valuation reserves of equity investments carried at equity	-	-
- Special revaluation laws	54	54
7. Profit (Loss) for the year	306,715	208,844
Total	**4,388,050**	**4,886,831**

B.2 Valuation reserves of financial assets measured at fair value through other comprehensive income: breakdown

Assets/values	Total 31.12.2018		Total 31.12.2017	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	33,947	49,323	98,255	30,234
2. Equity instruments	49,775	17,679	13,818	2,799
3. Loans	-	-	-	-
Total	83,722	67,002	112,073	33,033

B.3 Valuation reserves of financial assets measured at fair value through other comprehensive income: annual changes

	Debt securities	Equity instruments	Loans
1. Opening balance	**185,393**	**13,142**	**-**
2. Positive changes	**117,910**	**43,276**	**-**
2.1 Fair value increases	2,249	42,197	-
2.2 Impairment losses for credit risk	710	X	-
2.3 Reclassification to profit or loss of negative reserves to be realized	6,927	X	-
2.4 Transfer to other components of shareholders' equity (equity instruments)	-	-	-
2.5 Other changes	108,024	1,079	-
3. Negative changes	**318,679**	**24,322**	**-**
3.1 Fair value decreases	132,900	19,655	-
3.2 Write-backs for credit risk	2,602	-	-
3.3 Reclassification to profit or loss of positive reserves to be realized	174,353	X	-
3.4 Transfer to other components of shareholders' equity (equity instruments)	-	3	-
3.5 Other changes	8,824	4,664	-
4. Closing balance	**(15,376)**	**32,096**	**-**

The opening balance takes into account the first application of the international accounting standard IFRS 9 for a total of € 119,495 thousand.

B.4 Valuation reserves about actuarial gains (losses) on defined-benefit plans

	31.12.2018	31.12.2017
1. Opening balance	**(98,283)**	**(97,369)**
2. Positive changes	**4,174**	**7,800**
2.1 Actuarial gains	4,077	7,572
2.2 Other changes	97	228
3. Negative changes	**4,109**	**8,714**
3.1 Actuarial losses	3,986	7,961
3.2 Other changes	123	753
4. Closing balance	**(98,218)**	**(98,283)**

Section 2 - Own funds and capital adequacy ratios

Information about own funds and capital adequacy is provided in the "Public Disclosures at 31 December 2018 – Pillar 3" document prepared pursuant to the requirements of Circular 285 of 17 December 2013 and subsequent updates issued by the Bank of Italy and Regulation (EU) 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR).
The document contains consolidated information and is published together with the Consolidated financial statements on the website of the Parent Company – http://istituzionale.bper.it.

Part G – Business combination transactions concerning companies or business lines

Section 1 - Transactions carried out during the year

1. Business combinations

No business combinations pursuant to IFRS 3 were carried out during the period to 31 December 2018.

Part H – Related-party transactions

1. Information on the remuneration of directors, auditors and managers

	Description	31.12.2018	31.12.2017
	Directors		
	- short-term benefits	2,854	2,886
	- other long-term benefits	248	102
	Statutory Auditors		
	- short-term benefits	522	522
	Other managers with strategic responsibilities (General Manager, Deputy General Managers, Manager responsible for preparing the company's financial reports and Manager of the executive subcommittees):		
1	- short-term benefits includes salaries, social security contributions, indemnities in lieu of untaken vacation, paid leave of absence and any fringe benefits, such as insurance, housing and car.	3,084	2,868
	- other short-term benefits - contributions for social security taxes	943	790
2	- post-employment benefits includes payments to supplementary pension funds and provisions for termination indemnities.	292	277
3	- other long-term benefits	442	85
4	- indemnities for termination of employment	-	98
5	- share-based payments	-	-

The information provided is consistent with that required by IAS 24.
The amounts relating to Directors, including the Chief Executive Officer, and the Statutory Auditors represents their emoluments for the year, regardless of when paid. These amounts are classified in the income statement caption 160-a) "Staff costs".
In particular, as regards the amounts relating to Directors (€ 2,854 thousand), details are disclosed at the foot of the table included in the Explanatory notes to the consolidated financial statements.
The amounts shown for other Managers with strategic responsibility (the General Manager, 4 Deputy General Managers, the Manager responsible for preparing the company's financial reports and 3 other Senior Managers) belong to the types of costs detailed above. They are disclosed in the Report on Remuneration (art. 123-ter of Legislative Decree 58/1998) in accordance with CONSOB requirements.
As indicated in the Remuneration Report, other long-term benefits relating to Directors (specifically, the Chief Executive Officer) and to other managers with strategic responsibilities relate to deferred variable compensation, including a value of € 515 thousand relating to a compensation plan based on financial instruments called "Phantom stock".

2. Related-party disclosures

The following shows the transactions with related parties, identified in application of IAS 24.

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Subsidiaries	4,999,254	3,908,960	1,307,636	65,379	276,960
Associates	480,624	3,791	42,450	3,965	794
Directors, Statutory Auditors and Managers	639	1,390	-	69	8
Other related parties	833	103,864	619	83,505	1,581
Total as at 31.12.2018	**5,481,350**	**4,018,005**	**1,350,705**	**152,918**	**279,343**
Subsidiaries	3,886,277	4,243,763	211,513	120,095	195,910
Associates	577,097	4,083	42,855	5,536	891
Directors, Statutory Auditors and Managers	448	1,988	6	70	6
Other related parties	3,303	6,512	73	188	2,057
Total as at 31.12.2017	**4,467,125**	**4,256,346**	**254,447**	**125,889**	**198,864**

"Managers" are understood to mean Managers with strategic responsibilities, as defined in the table on the previous page. "Other related parties" are situations other than those set out in the table, such as entities controlled by associated companies of BPER Banca and entities subject to the control of directors, statutory auditors or managers, or by subjects that may have significant influence over them, as defined by IAS 24.
As already expressed in the Report on Operations and with reference to the entry into force, in 2012, of the regulation on "Risk Activities and Conflicts of Interest with Related Parties" contained in the 9th update to Bank of Italy Circular 263/2006, the Group has adopted a series of regulations that include the Group policy governing non-compliance risk in relation to conflicts of interest with related parties and risk activities involving related parties, which describes the prudential limits placed on risk activities involving related parties; continuous monitoring of the limits; managing situations where the limits have been exceeded. An "internal threshold of attention" establishes an individual limit on the weighted consolidated exposure that is lower than the regulatory threshold. This threshold is set at such a level as to constitute an adequate precaution against accepting particularly significant exposures to related parties and persons associated with them.

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Total reference amounts - 2018	59,108,427	54,720,376	19,137,290	1,804,208	1,427,466
Total reference amounts - 2017	60,180,185	55,293,355	3,384,506	1,825,293	1,351,658

The total reference amounts for revenues include interest income, commission income and other operating income; costs include interest expense, commission expense, other operating expenses and administrative expenses.
The value of the "Guarantees and commitments" calculated according to the provisions of the 4th update of Bank of Italy Circular 262/2005 does not take revocable margins into account.

Related party transactions stated as a percentage of reference amounts (financial position and economic results)

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Subsidiaries	8.46%	7.14%	6.83%	3.62%	19.41%
Associates	0.81%	0.01%	0.22%	0.22%	0.06%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.00%	0.00%
Other related parties	0.00%	0.19%	0.00%	4.63%	0.11%
Total as at 31.12.2018	**9.27%**	**7.34%**	**7.06%**	**8.48%**	**19.57%**
Subsidiaries	6.46%	7.67%	6.25%	6.58%	14.50%
Associates	0.96%	0.01%	1.27%	0.30%	0.07%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.00%	0.00%
Other related parties	0.01%	0.01%	0.00%	0.01%	0.15%
Total as at 31.12.2017	**7.42%**	**7.70%**	**7.52%**	**6.90%**	**14.71%**

There are no critical outstanding balances or transactions with related parties. They all relate to routine banking and other services and arose normally during the year, as a consequence of needs and requirements in the common interests of the parties or, where applicable, of the Group. The conditions applied to individual balances and transactions with these companies are in line with those currently applied in the market.
No provisions for doubtful loans relating to parties which, on 31 December 2018, qualified as related parties have been made in 2018.

3. Balances and transactions between the Parent Company and subsidiary and/or correlated companies (CONSOB's recommendations of 20/2/1997 and of 27/2/1998)

There are intercompany balances and transactions with banks and other companies in which BPER has a direct or indirect interest and which form part of the consolidated financial statements. Balances and transactions with these companies are as follows.

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Banco di Sardegna s.p.a.	125,154	3,031,888	85,904	11,591	20,540
Banca di Sassari s.p.a.	604,937	163,528	-	28,654	5,597
Cassa di Risparmio di Bra s.p.a.	426,195	10,247	2,009	3,512	970
BPER Bank Luxembourg s.a.	31,319	524,975	18,680	1,223	1,490
Emilia Romagna Factor s.p.a.	622,427	112	318,315	2,037	96
Modena Terminal s.r.l.	499	-	3,353	28	105
Mutina s.r.l.	12,008	16,240	2,550	-	-
Nadia s.p.a.	38,142	3,596	9,688	627	7,157
Numera s.p.a.	3	34	-	7	280
Tholos s.p.a.	-	17	-	3	283
Optima s.p.a. S.I.M.	260	7,110	-	338	11,763
BPER Services s.cons.p.a.	82,985	4,998	64,221	4,334	201,999
Estense Covered Bond s.r.l.	307,292	7,299	-	-	-
Sardaleasing s.p.a.	2,063,882	9,162	735,080	9,668	1,239
BPER Trust Company s.p.a.	22	294	-	31	122
Estense CPT Covered Bond s.r.l.	370,533	8,180	-	-	-
Italiana Valorizzazioni Immobiliari s.r.l.	15,098	859	3,790	443	556
Adras s.p.a.	15,411	79	-	-	52
Sifà s.r.l.	196,858	9	33,734	1,885	2,284
BPER Credit Management s.cons.p.a.	899	3,706	21,000	505	21,743
Cassa di Risparmio di Saluzzo s.p.a.	80,352	115,535	4,000	430	679
Banca Farnese s.p.a. in liquidazione	-	1,092	-	-	5
Costruire Mulino s.r.l.	4,978	-	5,312	63	-
Total subsidiaries	**4,999,254**	**3,908,960**	**1,307,636**	**65,379**	**276,960**

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
CO.BA.PO Consorzio Banche Popolari dell'Emilia Romagna	-	74	-	1	15
Sofipo s.a. in liquidazione	-	-	-	-	-
CONFORM Consulenza Formazione e Management s.cons.a r.l.	3	1,058	1,605	33	391
Cassa di Risparmio di Fossano s.p.a.	435	-	-	-	-
CAT Progetto Impresa Modena s.c.r.l.	70	-	94	4	-
Cassa di Risparmio di Savigliano s.p.a.	-	109	-	-	-
Resiban s.p.a.	-	170	-	1	-
Unione Fiduciaria s.p.a.	6,002	-	-	96	108
Sarda Factoring s.p.a.	730	25	-	13	-
Alba Leasing s.p.a.	447,099	2,218	40,751	3,817	205
Atrikè s.p.a.	1,450	76	-	-	-
Emil-Ro Service s.r.l.	52	61	-	-	-
Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	42	-	-	-	75
Brozzu e Cannas s.r.l. in liquidazione	-	-	-	-	-
Compagnia Finanziaria Olbia Produce s.r.l. in liquidazione	-	-	-	-	-
Arca Holding s.p.a.	24,741	-	-	-	-
Gestione esazioni convenzionate s.p.a. in liquidazione	-	-	-	-	-
Oasi nel Parco s.r.l.	-	-	-	-	-
Total associates	**480,624**	**3,791**	**42,450**	**3,965**	**794**
Total 31.12.2018	**5,479,878**	**3,912,751**	**1,350,086**	**69,344**	**277,754**
Total 31.12.2017	**4,463,374**	**4,247,846**	**254,368**	**125,630**	**196,800**

Part I – Equity-based payments

Qualitative information

1. Description of equity-based payments

On 8 March 2018 the Bank's Board of Directors approved:

- the Remuneration Report pursuant to art. 123-*ter* of Legislative Decree 58 dated 24 February 1998, relating to the remuneration policies for 2018 of the BPER Banca Group;
- the remuneration plan pursuant to art. 114-*bis* of Legislative Decree 58 dated 24 February 1998, implementing the remuneration policies for 2018 of the BPER Group. The Plan covers those employees of the BPER Banca Group identified as "key personnel" in accordance with the 7th update of 18 November 2014 of Circular 285 "Supervisory Provisions for banks", Title IV, Chapter 2 "Remuneration and incentive policies and practices" and in Delegated EU Regulation 604 of 4 March 2014.

Both documents were approved by BPER's Shareholders' Meeting held on 14 April 2018 at single calling.

The remuneration of key personnel is composed of a fixed element and a variable element that is lower than the maximum of 60% of the fixed component, though there are certain exceptional situations[32] in which it is possible to raise this percentage to 100%, and it is governed by particularly stringent rules (Bank of Italy's Circular 285, 7th update of 18 November 2014, Section III, paragraphs 1.2, 2.1 points 3 and 4, paragraphs 2.2.1 and 2.2.2). With particular regard to risk alignment before the event, this is based on actual and lasting results, it also takes qualitative objectives into account, it is parametrised to performance indicators, it is measured net of risks and takes into account the level of capital resources.
The sustainability of the overall maximum amount of variable remuneration allocated to key personnel (those most responsible for running the company), is assessed in relation to the economic and financial stability of the Group as a whole.
The payment of bonuses is in fact dependent on achieving basic economic and financial objectives (the so-called "entry gates") that have to be achieved at the same time.
The entry gates that have been identified are based on the following parameters:

- Common Equity Tier 1 (CET 1) – Pillar 1 consolidated ratio;
- Consolidated Return On Risk-Weighted Assets (RORWA);
- Consolidated Liquidity Coverage Ratio (LCR) .

If all the above entry gates are achieved, the company's results are subjected to an assessment which can change the bonus pool by means of a multiplier/demultiplier mechanism which acts directly on the individual target bonuses.
In particular, for key personnel belonging to the Parent Company, with the exception of those belonging to the branch network, the target bonus is determined entirely on the basis of the Group's Gross Profit.
For key personnel belonging to Group companies and key personnel of the parent company belonging to the network, the target bonus is determined on the basis of both the Group's Gross Profit and the Gross Profit of the company to which they belong.
After verifying that the entry gates have been exceeded and the target bonus has been calculated (and the capacity check for bonus pool), the actual allocation of the bonus and the related amount, within the

[32] *Entry bonus or incentive packages designed to facilitate the acquisition of resources that the company deems necessary for the achievement of important objectives.*

maximum levels[33] of the variable remuneration, are defined via an assessment of individual performance that includes an analysis of various quantitative and qualitative indicators.

If the Bonus exceeds a specific amount established by the Board of Directors, the Plan envisages an allocation (which can also be deferred) of part of the total bonus through an assignment of "phantom stock"[34].

In particular, this Plan provides for (apart from as provided by the stricter regulations foreseen for the CEO of the Parent Company):

- in the case of a bonus of more than Euro 100 thousand:
  - 60% is attributed at the date the bonus is granted ("upfront portion");
  - the remainder of 40% is attributed in equal portions on a deferred basis: for bonuses lower than Euro 120 thousand, it is attributed over the subsequent three years; for bonus amounting to between Euro 120 thousand and Euro 150 thousand, the deferral period is increased to 4 years; for bonuses higher than Euro 150 thousand, there is a 5 year deferral period.

The allocation of 50% of the up-front and deferred portions takes place through phantom stock, the other 50% in cash;

- for bonuses amounting to between Euro 60 thousand and Euro 100 thousand:
  - 50% of the bonus is attributed at the grant date in cash;
  - the remainder of 50% is allocated through phantom stock, attributed in equal portions in the three years subsequent to the grant year;
- for bonuses amounting to between Euro 30 thousand[35] and Euro 60 thousand:
  - the first Euro 30 thousand is attributed at the grant date in cash;
  - the allocation of the portion of the bonus exceeding Euro 30 thousand[36] takes place through phantom stock entirely attributed in equal portions in the three years subsequent to the grant year;
- for bonuses of less than Euro 30 thousand and less than 30% of the fixed remuneration:
  - the amount in question is attributed at the grant date in cash.

The deferred instalments are subject to malus rules that can reduce the instalment to zero in the event of failure to achieve the access thresholds ("entry gates") for the financial year preceding the year of payment of each deferred instalment.

The malus mechanism, which can block payment of the deferred portions of the bonus, also acts on activation of the clawback clauses. Note that there are compensation plans still outstanding for the years 2014, 2015 and 2017.

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[33] *The theoretical maximum amount of the bonus payable is the sum of the maximum bonuses obtainable at an individual level.*

[34] *Phantom Stock: these are "virtual" financial instruments (free, personal and not transferable inter* vivos) that assign to each recipient the right to demand on maturity an amount *of money corresponding to the value of the BPER Banca stock, calculated as per paragraph 3.8 of the information document on the remuneration plan based on financial instruments - Phantom Stock 2018, at the payment date.*

[35] *Or 30% of the fixed remuneration, if lower.*

[36] *Or 30% of the fixed remuneration, if lower. In exceptional and unlikely circumstances where the bonus is more than 60% of the fixed remuneration, but less than € 60 thousand, 50% of the bonus is paid in cash upfront and 50% in phantom stock deferred over three years.*

2. Other information

With reference to the compensation plan for 2018, in the light of the economic and financial results achieved at Group level, 292,810 Phantom stocks for a total of Euro 911 thousand were allocated.
Please also note that the same results affect the 2015 Plan allowing the vesting of 18,862 Phantom Stocks, for a consideration of Euro 58 thousand and the 2017 Plan allowing the vesting of 8,233 Phantom Stocks for a consideration of Euro 26 thousand.

Part L – Segment reporting

Segment reporting, as required by IFRS 8, is presented only in the consolidated financial statements. Please refer to the Consolidated Explanatory Notes, Part L, for details on the business segments.

Attachments

The following documents, which are not attached to the financial statements as at 31 December 2018, could be consulted in the Italian version:

- Statement of cash flow of the staff pension fund
- Statement of properties revaluation

Fees for audit and non-audit services

Information pursuant to art. 149-duodecies of CONSOB Issuers' Regulation

This schedule, prepared pursuant to art. 149-duodecies of CONSOB Issuers' Regulation (Resolution 11971 of 14 May 1999 and subsequent additions and amendments), reports the 2018 fees for audit and non-audit services provided by the Independent Auditors and member firms of the same network. These fees represent the costs incurred and recorded in the financial statements, net of expenses, unrecoverable VAT and the CONSOB contribution.

(in thousands)

Type of services	Party providing the service	Recipient		Fees
Audit services	Deloitte & Touche s.p.a	BPER Banca		874
Certification services	Deloitte & Touche s.p.a	BPER Banca	(1)	393
Other services	Deloitte & Touche s.p.a	BPER Banca	(2)	90
Total				**1,357**

(1) Certification services by Deloitte & Touche s.p.a.:
- activities performed in relation to the translation into English of the Consolidated half-year financial statements at 30 June 2018 and of the separate and consolidated financial statements for the year ended 31 December 2018;
- activities performed as part of the covered bond issue programmes and EMTN programme;
- certification for the derecognition of disposal of bad loans;
- certification of TLTRO2 reports;
- activities carried out for the issue of the compliance opinion on the Consolidated Non-Financial statements (Consolidated Sustainability Report).

(2) Other services provided for by Deloitte & Touche s.p.a.:
- work related to granting a stamp of approval on the 2018 Income Tax Return;
- gap analysis activities for the inclusion of BPER Banca in the FT4G index;
- pool audit work for the Aqui securitisation;
- agreed upon procedures on the integration of Nuova Carife into BPER Banca.

Transition to IFRS 9 by BPER Banca

Presentation in the balance sheet of the effects of the transition to IFRS 9

With regard to presenting the effects of adopting the standard for the first time, the Bank has made the election envisaged in the standard[37], whereby – without prejudice to the retrospective application of the new measurement and presentation rules required by the standard – it is not necessary to restate the comparative data on a consistent basis when adopting the new standard for the first time.
As specified in the document accompanying the 5th update of Bank of Italy Circular 262, banks which decide do not restate the comparative amounts must include in the first financial statements prepared under the new Circular 262 a statement of reconciliation which describes the methodology used and provides a reconciliation of the data contained in their latest approved financial statements with that reported in the first financial statements prepared in accordance with the new instructions.

Statement of reconciliation at 31 December 2017 of the Accounting Schedules required by the 4th update of Circular 262 with those required by the 5th update of Circular 262 (reclassification of balances at 31 December 2017)

The following schedules reconcile the Accounting Schedules required by the 4th update of Bank of Italy Circular 262 with those required by the 5th update of Circular 262, which adopts the presentation criteria envisaged in IFRS 9. The accounting balances at 31 December 2017 presented in these schedules (determined in accordance with IAS 39) have been reclassified to the new accounting captions using the classification criteria introduced by IFRS 9, without applying the new measurement criteria and, therefore, without changing the amounts reported for total assets and total liabilities and shareholders' equity.

[37] *paragraph 7.2.15 of IFRS 9*

(in thousands)

Circular no. 262/2005 4° updates ASSETS	31.12.2017 IAS 39	Circular no. 262/2005 5° updates ASSETS: 10. Cash and cash equivalents	20. Financial assets measured at fair value through profit or loss: a) Financial assets held for trading	20. b) Financial assets designated at fair value	20. c) Ohter financial assets mandatorily measured at fair value	30. Financial assets measured at fair value through other comprehensive income	40. Financial assets measured at amortised cost: a) Loans to banks	40. b) Loans to customers	50. Hedging derivatives	70. Equity investments	80. Property, plant and equipment	90. Intangible assets	100. Tax assets: a) current	100. b) deferred	120. Other assets
10. Cash and cash equivalents	**301,076**	**301,076**													
20. Financial assets held for trading	**684,649**		**446,939**	195,550	42,160										
30. Financial assets designated at fair value	**38,005**			**11,573**	26,432										
40. Financial assets available for sale	**10,684,259**				282,322	**9,790,382**	180,757	430,798							
50. Financial assets held to maturity	**2,637,135**				30,306	2,379,940	**12,577**	**214,312**							
60. Loans to banks	**3,909,712**				9,695		**3,900,017**								
70. Loans to customers	**37,390,988**				135,480	15,024		**37,240,484**							
80. Hedging derivatives	**52,825**								**52,825**						
100. Equity investments	**1,686,979**									**1,686,979**					
110. Property, plant and equipment	**460,055**										**460,055**				
120. Intangible assets	**295,036**											**295,036**			
130. Tax assets	**1,571,957**												555,528	1,016,429	
a) current	**555,528**												**555,528**		
b) deferred	**1,016,429**													**1,016,429**	
150. Other assets	**467,510**														**467,510**
Total assets	**60,180,186**	**301,076**	**446,939**	**207,123**	**526,395**	**12,185,346**	**4,093,351**	**37,885,594**	**52,825**	**1,686,979**	**460,055**	**295,036**	**555,528**	**1,016,429**	**467,510**

Application of the new classification and measurement rules to the financial assets of BPER Banca has led to the following main reclassifications:

- reclassification of Euro 2,395 million of financial assets measured at amortised cost in the HTM and LRO categories pursuant to IAS 39 to financial assets measured at fair value through other comprehensive income due to the change in business model (and the need to pass the SPPI test);

- reclassification of Euro 611.6 million as a portion of debt securities classified as available-for-sale financial assets pursuant to IAS 39 to financial assets measured at amortised cost following the change in business model (and the need to pass the SPPI test), and of Euro 116.6 million to financial assets measured at fair value through profit or loss after failing to pass the SPPI test;

- reclassification of UCITS units (Euro 101.9 million) classified as financial instruments available for sale pursuant to IAS 39 to assets mandatorily measured at fair value through profit or loss pursuant to IFRS 9;

- equity instruments classified as assets available for sale pursuant to IAS 39, amounting to Euro 304.8 million, have been allocated for Euro 240.9 million to financial assets for which we irrevocably exercised the option for measurement at fair value through equity (without reversal to profit or loss) and for Euro 63.9 million to financial assets mandatorily measured at fair value through profit or loss.

There was also a reclassification of financial assets previously allocated to the HTM and LRO categories (amortised cost) pursuant to IAS 39 to the portfolio of financial assets measured at fair value through profit or loss after failing to pass the SPPI test, for a total of Euro 175.5 million.

Circular. 262/2005 5° updates LIABILITIES

(in thousands)

Circular no. 262/2005 4° updates LIABILITIES	31.12.2017 IAS 39	10. Financial liabilities measured at amortised cost			20. Financial liabilities held for trading	40. Hedging derivatives	60. Tax liabilities		80. Other liabilities	90. Employee termination indemnities	100. Provisions for risks and charges			110. Valuation reserves	140. Reserves	150. Share premium reserve	160. Share capital	170. Treasury shares (-)	180. Profit (Loss) for the year (+/-)
		a) Due to banks	b) Due to customers	c) Debt securities issued			a) current	b) deferred			a) commitments and guarantees granted	b) pensions and similar obligations	c) other provisions for risks and charges						
10. Due to banks	**16,541,840**	**16,541,840**																	
20. Due to customers	**30,386,711**		**30,386,711**																
30. Debt securities issued	**6,450,292**			**6,450,292**															
40. Financial liabilities held for trading	**173,434**				**173,434**														
50. Financial liabilities designated at fair value	**48,320**			48,320															
60. Hedging derivatives	**21,176**				587	**20,589**													
80. Tax liabilities	**74,009**							**74,009**											
a) current	-																		
b) deferred	**74,009**							**74,009**											
100. Other liabilities	**1,119,335**								**1,082,613**		36,722								
110. Employee termination indemnities	**116,670**									**116,670**									
120. Provisions for risks and charges	**361,568**											**135,674**	**225,894**						
a) pensions and similar obligations	**135,674**											**135,674**							
b) other provisions for risks and charges	**225,894**												**225,894**						
130. Valuation reserves	**14,430**													**- 21,007**	35,437				
160. Reserves	**2,296,812**														**2,296,812**				
170. Share premium reserve	**930,073**															**930,073**			
180. Share capital	**1,443,925**																**1,443,925**		
190. Treasury shares (-)	**- 7,253**																	**- 7,253**	
200. Profit (Loss) for the year (+/-)	**208,844**																		**208,844**
Total liabilities and shareholders' equity	**60,180,186**	**16,541,840**	**30,386,711**	**6,498,612**	**174,021**	**20,589**	**-**	**74,009**	**1,082,613**	**116,670**	**36,722**	**135,674**	**225,894**	**- 21,007**	**2,332,249**	**930,073**	**1,443,925**	**- 7,253**	**208,844**

As regards the classification and measurement of financial liabilities in the new IFRS 9 target portfolios, no significant impacts were recorded deriving from the transition to IFRS 9. For completeness of information, we would highlight:

- the reclassification of the entire amount of financial liabilities measured at fair value pursuant to IAS 39 to financial liabilities measured at amortised cost (debt securities issued);

- the reclassification to financial liabilities held for derivative trading (Euro 587.5 thousand), previously classified as a hedging instrument pursuant to IAS 39, for which early termination of the hedging relationship was decided on transition, as it concerned a financial instrument recognised under assets in the balance sheet and included in financial assets mandatorily measured at fair value through profit or loss after failing to pass the SPPI test;

- the reclassification of credit risk provisions set up for commitments to distribute funds and financial guarantees granted which, pursuant to Bank of Italy Circular 262 4th update, were allocated to Other liabilities and which, according to the new instructions, are included in the Provisions for risks and charges.

Changes to the balance sheet opening balances at 1 January 2018 due to application of the new measurement rules required by IFRS 9.

The following tables show the balances at 31 December 2017 (reclassified) and the related change due to application of the new measurement and impairment rules, leading to the IFRS 9 opening balances at 1 January 2018.

Parent Company's balance sheet on first-time adoption of IFRS 9

(in thousands)

Assets		31.12.2017	IFRS 9 impact	01.01.2018
10.	Cash and cash equivalents	301,076	-	301,076
20.	Financial assets measured at fair value through profit or loss	1,180,457	(40,297)	1,140,160
	a) financial assets held for trading	446,939	-	446,939
	b) financial assets designated at fair value	207,123	-	207,123
	c) other financial assets mandatorily measured at fair value	526,395	(40,297)	486,098
30.	Financial assets measured at fair value through other comprehensive income	12,185,346	150,322	12,335,668
40.	Financial assets measured at amortised cost	41,978,945	(709,677)	41,269,268
	a) loans to banks	4,093,351	902	4,094,253
	b) loans to customers	37,885,594	(710,579)	37,175,015
50.	Hedging derivatives	52,825	-	52,825
70.	Equity investments	1,686,979	-	1,686,979
80.	Property, plant and equipment	460,055	-	460,055
90.	Intangible assets	295,036	-	295,036
	- of which: goodwill	280,236	-	280,236
100.	Tax assets	1,571,957	(3,799)	1,568,158
	a) current	555,528	-	555,528
	b) deferred	1,016,429	(3,799)	1,012,630
120.	Other assets	467,510	-	467,510
	Total assets	**60,180,186**	**(603,451)**	**59,576,735**

(in thousands)

Liabilities and shareholders' equity		31.12.2017	IFRS 9 impact	01.01.2018
10.	Financial liabilities measured at amortised cost	53,427,163	515	53,427,678
	a) due to banks	16,541,840	-	16,541,840
	b) due to customers	30,386,711	-	30,386,711
	c) debt securities issued	6,498,612	515	6,499,127
20.	Financial liabilities held for trading	174,021	-	174,021
40.	Hedging derivatives	20,589	-	20,589
60.	Tax liabilities:	74,009	50,204	124,213
	b) deferred	74,009	50,204	124,213
80.	Other liabilities	1,082,613	(864)	1,081,749
90.	Employee termination indemnities	116,670	-	116,670
100.	Provisions for risks and charges	398,290	7,528	405,818
	a) commitments and guarantees granted	36,722	7,528	44,250
	b) pension and similar obligations	135,674	-	135,674
	c) other provisions for risks and charges	225,894	-	225,894
110.	Valuation reserves	(21,007)	119,495	98,488
140.	Reserves	2,332,249	(780,329)	1,551,920
150.	Share premium reserve	930,073	-	930,073
160.	Share capital	1,443,925	-	1,443,925
170.	Treasury shares (-)	(7,253)	-	(7,253)
180.	Profit (Loss) for the year (+/-)	208,844	-	208,844
	Total liabilities and shareholders' equity	**60,180,186**	**(603,451)**	**59,576,735**

Classification and measurement

The different allocation of financial assets and liabilities to the new accounting categories envisaged by IFRS 9 and hence the different method of measuring them led overall to positive changes in the consolidated shareholders' equity of BPER Banca of Euro 126.9 million (before taxes). The positive impact was mainly brought about by:
- the adjustment to fair value, with consequent recognition in the valuation reserve of the changes in fair value arising from the origination, for financial assets that were valued at amortised cost in accordance with IAS 39 and reclassified to financial assets measured at fair value through other comprehensive income due to the attribution of a "Hold to Collect and Sell" model (and passing of the SPPI test) for Euro +150.3 million;
- the recalculation of the carrying amount (amortised cost), with consequent cancellation of the valuation reserve, of the portion of debt securities allocated to AFS financial assets pursuant to IAS 39 and reclassified to financial assets measured at amortised cost due to the assignment of a "Hold to Collect" business model (and passing the SPPI test) for Euro +17.4 million;
- the adjustment to fair value, with consequent recognition in the appropriate income reserve (FTA reserve) of changes in fair value arising from the origination, for financial assets allocated to the HTM and L&R categories pursuant to IAS 39 and reclassified to financial assets mandatorily measured at fair value after failing to pass the SPPI test for Euro -40.3 million.

Impairment

Application of the IFRS 9 impairment rules to financial assets (on- and off-balance sheet exposures) resulted in negative changes to consolidated shareholders' equity (income or FTA reserve) of BPER Banca equal to Euro 740.9 million (before taxes). The negative impact was mainly determined by:
- increase in impairment provisions of financial assets measured at amortised cost (cash exposures) of Euro 8.7 million on loans to customers, in addition to Euro 2.4 million on loans to banks and, marginally, Euro 307.4 thousand on the securities portfolio, mainly attributable to the stage allocation to portfolios, with the consequent need to calculate the expected loss for the entire residual duration of the financial assets, in addition to inclusion in the calculation of expected losses of forward-looking parameters deriving from future macroeconomic scenarios.
- increase in impairment provisions of non-performing exposures to customers (Stage 3), for approximately Euro 715.6 million, deriving from the inclusion of forward-looking factors in the measurement process, in the multi-scenario hypothesis with reference, in particular, to the adoption of a "disposal scenario", identified on the basis of the objectives and forecasts hypothesised in the 2018-2020 NPE Strategy and by the 2018-2022 NPE Plan of the BPER Banca Group as an alternative to the "workout scenario" (ordinary recovery managed internally by the Group).
- increase in impairment provisions of guarantees granted and (irrevocable and revocable) commitments to disburse funds (off-balance sheet exposures) for Euro 7.5 million recorded under provisions for risks and charges. This increase derives both from the application of the new rules on impairment (including the forward-looking component) and from an extension of the scope of application of the write-down, which also includes revocable commitments.
- increase in impairment provisions of financial assets measured at fair value through other comprehensive income, recorded in valuation reserves and attributable to debt securities for Euro 6.3 million.

The overall impact of IFRS 9 on shareholders' equity, including the tax effect, is negative for Euro 660.8 million: valuation reserves improved by Euro 119.5 million, while there was a negative income reserve (FTA reserve) of Euro 780.3 million.

Information on portfolio transfers on FTA

The following is the information required by IFRS 7 (paragraphs 42M and 42N) on the effects of the reclassification for financial instruments reclassified at amortised cost - from accounting categories measured on the basis of a different criterion than amortised cost - and for instruments reclassified to assets measured at fair value through other comprehensive income, previously measured at fair value through profit or loss. In greater detail, for the first report in which IFRS 9 is applied, indications have to be provided of the fair value at the end of 2018 of the financial instruments reclassified at amortised cost during the transition to the new standard, of the profits or losses that would be recognised in the income statement or in the valuation reserves if the instruments had been valued on the basis of the previous fair value criterion, and of the interest recognised on the reclassified financial instruments based on the effective interest rate.
As can be seen from the above reconciliation tables, BPER Banca has reclassified debt securities, previously classified in the portfolio of "Available-for-sale financial assets" pursuant to IAS 39 (Euro 611.6 million), to the category of "Financial assets measured at amortised cost", in relation to the management of these securities based essentially on collection of the contractual cash flows. At 31 December 2018, the fair value of these instruments was Euro 586.6 million (net of disposals in 2018 of Euro 7.9 million). Continuing to measure these instruments at fair value would therefore have entailed recording a negative valuation reserve of Euro 34.5 million in 2018 (an increase of Euro 17.1 million compared with the reserve that existed at 31 December 2017). The interest recognised in 2018, based on the effective interest rate, is in line with the amount that would have been recognised in that period without the reclassification as they were also recorded previously according to the effective rate of return (ex-AFS).
BPER Banca has also reclassified bonds issued, previously classified in the portfolio of “Financial liabilities measured at fair value” pursuant to IAS 39 (Euro 48.3 million) in the category of “Financial liabilities measured at amortised cost - Debt securities in issue”. At 31 December 2018 the fair value of reclassified securities amounted to Euro 33.3 million (net of repayments of Euro 14.4 million). The measurement of the instruments at fair value would therefore have entailed the recognition of income in the income statement for 2018 of Euro 610 thousand.

Certifications and other reports

Certification of the individual financial statements for 2018 pursuant to art. 81-ter of Consob Regulation no. 11971 dated 14 May 1999 and subsequent additions and amendments

➢ The undersigned

- Alessandro Vandelli, as Chief Executive Officer,
- Marco Bonfatti, as the Manager responsible for preparing the Company's financial report,

of BPER Banca S.p.A., having considered the requirements of paras. 3 and 4 of art. 154-bis of Decree no. 58 dated 24 February 1998, confirm:

- the adequacy in relation to the characteristics of the Bank and
- the proper application

during 2018, of the administrative and accounting procedures adopted for the preparation for the financial statements.

➢ This assessment of the adequacy of the administrative and accounting procedures adopted for the preparation of the financial statements at 31 December 2018 is based on a model developed by BPER Banca S.p.A., consistent with the Internal Control - Integrated Framework issued by the Committee of Sponsoring Organizations of the Tradeway Commission. These framework represent reference standards for systems of internal control that are generally accepted at an international level.

➢ It is also certified that

- the financial statements at 31 December 2018:
  a) have been prepared in accordance with the applicable international accounting standards recognised within the European Union pursuant to European Parliament and Council Regulation (EC) no. 1606/2002 dated 19 July 2002, Decree 38/2005 and the enabling regulations for art. 9 of this Decree;
  b) agree with the underlying accounting records and entries;
  c) present a true and fair view of the financial position and results of operations of the Bank.
- The report on operations includes a reliable analysis of performance and the results of operations, as well as of the position of the Bank, together with a description of the principal risks and uncertainties to which it is exposed.

Modena, 5 March 2019

Chief Executive Officer

Alessandro Vandelli

Manager responsible for preparing the company's financial report

Marco Bonfatti

Deloitte & Touche S.p.A.
Piazza Malpighi, 4/2
40123 Bologna
Italia

Tel: +39 051 65811
Fax: +39 051 230874
www.deloitte.it

INDEPENDENT AUDITOR'S REPORT
PURSUANT TO ARTICLE 14 OF LEGISLATIVE DECREE No. 39 OF JANUARY 27, 2010
AND ARTICLE 10 OF THE EU REGULATION 537/2014

To the Shareholders of
BPER Banca S.p.A.

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of BPER Banca S.p.A. (the Bank), which comprise the balance sheet as at December 31, 2018, and the income statement, the statement of other comprehensive income, the statement of changes in shareholders' equity and the statement of cash flows for the year then ended, and the explanatory notes.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Bank as at December 31, 2018, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Bank in accordance with the ethical requirements applicable under Italian law to the audit of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

First time adoption of IFRS 9	
Description of the key audit matter	The first time adoption, as of January 1, 2018, of the International Financial Reporting Standard IFRS 9 "Financial instruments" (the "Standard"), has led to the classification and measurement of the Bank's financial assets and liabilities according to the new accounting categories envisaged by the Standard and the definition of a new methodology for determining the impairment losses of the financial assets on the basis of the expected losses model (expected credit losses). The Bank has opted, according to the Standard, to keep on applying IAS 39 hedge accounting requirements for all its hedging relationships (carve-out). *Part A – Accounting Policies* of the consolidated explanatory notes describes the disclosure required by applicable International Financial Reporting Standards, including the main methodological choices made. In particular, the first time adoption of the Standard determined, as at January 1, 2018, a negative impact on the Banks's net equity of Euro 661 million before tax. Such an impact was determined as a result of the implementation of the new Standard that has affected the various aspects of the Bank's internal control system. In this context, the determination of impairment provisioning of the financial assets according to the expected credit losses model introduced by the Standard represents the result of a complex estimation process that includes several subjective variables regarding the criteria used to identify the significant increase in credit risk, in order to allocate the financial assets at the different stages provided by the Standard, and the definition of the models used to measure the expected credit losses, using assumptions and parameters which have to take into account current and future macroeconomic information ("forward-looking"), including possible future sale scenarios, as far as non-performing exposures are concerned, if the Bank's strategy for loans recovery envisages sale transactions. Given the significance of the above-mentioned effects, the pervasive operational complexities connected to the transition to the Standard and the inherent subjectivity of the estimation process adopted by the Bank for the valuation of financial assets according to the new impairment methodology, we considered the first time adoption of the Standard a key audit matter for the financial statements of BPER Banca S.p.A. as at December 31, 2018.
Audit procedures performed	While performing our audit procedures we have preliminarily examined, also supported by IT processes and systems and credit risk model specialists of the Deloitte network, the Bank's implementation project, with particular reference to the application choices adopted, in order to verify their appropriateness and compliance with the Standard, and to the related impacts. The main procedures carried out as part of our audit work were, among others, as follows: • obtaining and analysing the minutes of the Bank's Governance and Control Bodies and any other documentation produced and made available, with particular reference to the areas of interpretation, also through information

gathering and interviews with the relevant departments of the Bank and in-depth analysis with its advisors;

- performing an analysis of the technical-methodological documentation underlying the identification of the Bank's business models with particular reference to the classification criteria for financial assets in such business models;

- identifying and understanding the design, also supported by the above-mentioned specialists of the Deloitte network, of certain key controls, including IT controls, which ensure the classification and evaluation of the Bank's financial assets, and checking their correct implementation and operating effectiveness, where applicable;

- checking, for certain loans and debt securities, the correctness of the results of SPPI test carried out by the Bank during the first time adoption of the Standard;

- gaining an understanding of the impairment models developed by the Bank and analysis of the reasonableness of the main assumptions and parameters used for transfer logic or stage allocation and evaluation of expected credit losses models, also supported by the specialists of the Deloitte network, and checking the correctness of the related calculations;

- checking the consistency between the information used for estimating expected credit losses and that used in the other main decision-making, budget and evaluation processes of the Bank, with particular reference to macroeconomic indicators and forward-looking information.

Finally, with regard to the impact of the first time adoption of the Standard, we have acquired the details of the relevant quantification and checked its clerical accuracy. We have also checked the completeness and the compliance of the disclosure provided in Part A – Accounting Policies of the explanatory notes in accordance with the requirements of the applicable International Financial Reporting Standards.

Classification of high-risk performing loans to customers measured at amortised cost	
Description of the key audit matter	As reported in paragraph "2.3 Balance sheet aggregates" of the report on operations and in the quantitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies in the explanatory notes as at December 31, 2018, performing loans to customers measured at amortised cost of BPER Banca S.p.A. show a gross amount of Euro 34,772 million, reduced by portfolio adjustments of Euro 127 million, to come to a net amount of Euro 34,645 million, resulting in a coverage ratio of 0.36%. As reported in the qualitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies in the explanatory notes as at December 31, 2018, as part of its policies for managing loans to customers, the Bank adopted rules and processes for monitoring credit exposures, which have entailed, among other things, a structured action of classification into homogeneous risk categories. In particular on the basis of “rating” and “early

	warning” systems the Bank identified, among performing loans to customers measured at amortised cost, those ones with a higher degree of risk. Given the complexity of the process of classifying loans to customers in homogeneous risk categories followed by the Bank, we considered the classification of high-risk performing loans to customers measured at amortised cost a key audit matter of the financial statements of BPER Banca S.p.A. as at December 31, 2018.
Audit procedures performed	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the internal regulations and processes implemented by the Bank for classifying loans to customers measured at amortised cost and monitoring their quality, in order to verify the compliance with the regulatory framework; • checking the implementation and operating effectiveness of the key controls identified in relation to those processes, also supported by IT processes and systems specialists of the Deloitte network; • checking, on a sample basis, the classification of high-risk performing loans to customers measured at amortised cost in accordance with the regulatory framework; • checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Classification and valuation of non-performing loans to customers measured at amortised cost	
Description of the key audit matter	As reported in paragraph "2.3 Balance sheet aggregates" of the report on operations and in the quantitative information of "Section 1 – Credit risk” of Part E – Information on risks and related hedging policies of the explanatory notes as at December 31, 2018, non-performing loans to customers measured at amortised cost of BPER Banca S.p.A. show a gross amount of Euro 4,906 million, reduced by specific adjustments of Euro 2,877 million, resulting in a net amount of Euro 2,029 million. The report on operations also shows that the coverage ratio of non-performing loans to customers measured at amortised cost as at December 31, 2018 is equal to 58.65%. More specifically, the above-mentioned lons to customers, classified in accordance with IFRS 9 “Financial Instruments” as “Third Stage”, include bad loans for a net value of Euro 895 million and a coverage ratio of 70.87%, unlikely to pay loans for a net value of Euro 1,111 million and a coverage ratio of 38.52%, and impaired past due loans for a net value of Euro 23 million and a coverage ratio of 15.65%. Part A – Accounting policies of the explanatory notes describes: • the rules for classifying non-performing loans to customers measured at amortised cost followed by the Bank in compliance with the current

instructions of the Supervisory Authorities and the applicable accounting standards;

- the methods for determining their recoverable amount which are based on the estimate of the present value of expected cash flows deriving from an analytical valuation of bad loans and unlikely to pay loans whose exposure is higher than the thresholds established by internal regulations, and from a flat-rate approach for the remaining non-performing loans to customers measured at amortised cost. Furthermore the quantification of the recoverable amount of non-performing loans which are included in the Bank's strategy, which envisages the recovery of those loans through disposals, reflects also the estimate of their disposal value, duly weighting the probability of the "workout" and "disposal" scenarios.

Given the significance of the amount of non-performing loans to customers measured at amortised cost recorded in the financial statements, the complexity of the valuation processes adopted by the Bank, which entailed a structured action of classification into homogeneous risk categories, as well as the relevance of the discretionary components linked to the estimate of the recoverable amount (such as the estimate of expected cash flows, the time of recovery, the collaterals' value and the possible recovery strategies), we considered the classification of non-performing loans to customers measured at amortised cost and their valuation a key audit matter of the financial statements of BPER Banca S.p.A. as at December 31, 2018.

Audit procedures performed

The main procedures carried out as part of our audit work were, among others, as follows:

- gaining an understanding of the internal regulations and processes implemented by the Bank for classifying non-performing loans to customers measured at amortised cost and determining their recoverable amount, in order to verify the relevant compliance with the regulatory framework and applicable accounting standards;

- checking the implementation and operating effectiveness of the key controls identified in relation to those processes, also supported by IT processes and systems specialists of the Deloitte network;

- drawing qualitative and trend analysis of non-performing loans to customers by calculating appropriate qualitative and quantitative indicators in order to identify possible matters of interest;

- checking on a sample of credit files, selected also on the basis of the matters of interest emerging from the analysis referred to in the previous point, the relevant classification and determination of the recoverable amount of non-performing loans to customers measured at amortised cost in accordance with the regulatory framework and applicable accounting standards, also by obtaining and examining written confirmations by the lawyers appointed for their collection;

- checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Accounting derecognition of portfolios of bad loans following the transfer through GACS-backed securitisation	
Description of the key audit matter	On November 7, 2018, as part of the BPER Banca Group's derisking and asset quality improvement strategy, the multi-originator securitisation transaction named "Aqui", referred to a bad loans portfolio of BPER Banca S.p.A., Cassa di Risparmio di Bra S.p.A. and Cassa di Risparmio di Saluzzo S.p.A., was finalized, through a backed securitisation programme guaranteed by the Italian Ministry of Finance (so called "GACS"). In particular, on October 24, 2018, with effective date January 1, 2018, the bad loans portfolio, of a total Gross Book Value of Euro 1,902 million (out of which Euro 1,814 million of BPER Banca S.p.A.) at the reference date, was transferred to the independent special purpose vehicle Aqui SPV S.r.l., which, on November 7, 2018, issued Senior notes of Euro 544,7 million, Mezzanine notes of Euro 62,9 million and Junior notes of Euro 10,8 million, which were fully subscribed by BPER Banca S.p.A.. On December 14, 2018, BPER Banca S.p.A. finalized the sale of 95% of the nominal value of Mezzanine and Junior notes, initially subscribed, to an institutional investor, keeping a net economic interest equal to 5% of the nominal value of each class, in order to fulfil the obligation of retention required by the regulatory framework. Following the completion of the sale of those securities, the conditions required by IFRS 9 for the accounting derecognition of the transferred loans from the balance sheet of the Bank were met. In paragraph "3.2 Strategic transactions" of the Directors' Report on Group Operations, to which in paragraph "1.7 Strategic transactions" of the Directors' Report on Operations reference is made, and in "Section 6 – Gains (Losses) on disposal or repurchase" of Part C – Information on the income statement of the Explanatory notes, disclosures are provided on the above-described aspects and the economic effects recorded in the fiscal year 2018 with reference to the above-mentioned transaction. Given the complexity of the transaction and the significance of the related accounting effects, we considered the accounting derecognition of bad loans following the transfer through GACS-backed securitisation a key audit matter of the financial statements of BPER Banca S.p.A. as at December 31, 2018.
Audit procedures performed	The main procedures carried out as part of our audit work, also supported by specialists of the Deloitte network, were, among others, as follows: • understanding of the structure and of the finalization process of the transfer transaction, through securitisation, by obtaining and analysing signed agreements and further available documentation, as well as through interviews with the management of the Bank; • testing the design and implementation of the key controls performed by the Bank with reference to the accounting derecognition of the securitised loans; • analysis of the existence of the conditions required by the international accounting standard IFRS 9 for the accounting derecognition of the securitised loans; • checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Impairment test of goodwill	
Description of the key audit matter	As reported in the financial statements as at December 31, 2018, intangible assets include goodwill of Euro 225.8 million allocated to the cash generating unit ("CGU") identified in BPER Banca S.p.A. as a whole. Under IAS 36 "Impairment of assets", goodwill is not amortised but subjected to an impairment test at least once a year, by comparing the carrying amount with the relevant recoverable amount of the CGU. When preparing the impairment test, the Bank determines the recoverable amount of the CGU in terms of value in use estimated on the basis of the "Dividend Discount Model". The process of determining the value in use adopted by the Bank is based on assumptions involving, among other things, a forecast of expected cash flows of the CGU to which goodwill has been allocated, as well as the discount rate to be applied to the expected cash flows and the long-term growth rate. The impairment test carried out by the Bank, supported by a fairness opinion of an independent external expert, revealed the need to adjust goodwill for a total of Euro 54.4 million. In Part A – Accounting Policies and in "Section 9 – Intangible Assets" of Part B – Information on the balance sheet of the explanatory notes and in "Section 10 – Intangible Assets" of Part B – Information on the balance sheet of the consolidated explanatory notes, to which reference is made, disclosures are provided on these aspects, as well as on the results of the sensitivity analysis performed. Given the subjectivity of the estimates involved in determining the cash flows of the CGU to which the goodwill has been allocated and the key variables of the impairment model, we considered the impairment test of goodwill a key audit matter of the financial statements of BPER Banca S.p.A. as at December 31, 2018.
Audit procedures performed	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the valuation model and of the assumptions adopted by the Bank to carry out the impairment test, also supported by the specialists of the Deloitte network; • gaining an understanding of the process involved in carrying out the impairment test and verifying the implementation and operating effectiveness of the key controls identified in relation to that process; • performing an analysis of reasonableness of the main assumptions adopted to estimate cash flows, carried out also by obtaining information from the Bank; • performing an analysis of reasonableness of the key variables adopted in the valuation model, carried out also through in-depth analysis with the independent external expert and supported by the specialists of the Deloitte network;

- obtaining and analysing the fairness opinion prepared by the independent external expert;
- performing an analysis of actual figures compared with the original plans, in order to assess the nature of variances and the reliability of the process of determining the forecasts;
- verifying the clerical accuracy of the model used to determine the value in use of the CGU to which the goodwill has been allocated, also supported by the specialists of the Deloitte network;
- reviewing the sensitivity analysis performed by the Bank;
- checking the completeness and the compliance of the disclosures provided in the financial statements in accordance with the regulatory framework and applicable accounting standards.

Responsibilities of the Directors and the Board of Statutory Auditors for the Financial Statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15 and, within the terms established by law, for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they have identified the existence of the conditions for the liquidation of the Bank or for the termination of the operations or have no realistic alternative to such choices.

The Board of Statutory Auditors is responsible for overseeing, within the terms established by law, the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing (ISA Italia), we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control;

- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors;

- conclude on the appropriateness of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern;

- evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance, identified at an appropriate level as required by ISA Italia, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence applicable in Italy, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and, where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report.

Other information communicated pursuant to art. 10 of the EU Regulation 537/2014

The Shareholders' Meeting of BPER Banca S.p.A. has appointed us on November 26, 2016 as auditors of the Bank for the years from December 31, 2017 to December 31, 2025.

We declare that we have not provided prohibited non-audit services referred to in art. 5 (1) of EU Regulation 537/2014 and that we have remained independent of the Bank in conducting the audit.

We confirm that the opinion on the financial statements expressed in this report is consistent with the additional report to the Board of Statutory Auditors, in its role of Audit Committee, referred to in art. 11 of the said Regulation.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Opinion pursuant to art. 14, paragraph 2 (e), of Legislative Decree 39/10 and art. 123-bis, paragraph 4, of Legislative Decree 58/98

The Directors of BPER Banca S.p.A. are responsible for the preparation of the report on operations and the report on corporate governance and ownership structure of BPER Banca S.p.A. as at December 31, 2018, including their consistency with the related financial statements and their compliance with the law.

We have carried out the procedures set forth in the Auditing Standard (SA Italia) n. 720B in order to express an opinion on the consistency of the report on operations and some specific information contained in the report on corporate governance and ownership structure set forth in art. 123-bis, n. 4 of Legislative Decree 58/98 with the financial statements of BPER Banca S.p.A. as at December 31, 2018 and on their compliance with the law, as well as to make a statement about any material misstatement.

In our opinion, the above-mentioned report on operations and information contained in the report on corporate governance and ownership structure are consistent with the financial statements of BPER Banca S.p.A. as at December 31, 2018 and are prepared in accordance with the law.

With reference to the statement referred to in art. 14, paragraph 2 (e), of Legislative Decree 39/10, made on the basis of the knowledge and understanding of the entity and of the related context acquired during the audit, we have nothing to report.

DELOITTE & TOUCHE S.p.A.

Signed by
Marco Benini
Partner

Bologna, Italy
March 26, 2019

This report has been translated into the English language solely for the convenience of international readers.

REPORT OF THE BOARD OF STATUTORY AUDITORS TO THE SHAREHOLDERS' MEETING PURSUANT TO ART. 153 OF LEGISLATIVE DECREE 58/1998

Shareholders,

Pursuant to art. 153 of Legislative Decree 58/1998 ("CFA") and art. 2429, paragraph 2, of the Italian Civil Code, we, the Board of Statutory Auditors, are required to report to the Shareholders' Meeting of BPER Banca S.p.A. ("BPER" or the "Bank"), called to approve the financial statements at 31 December 2018, on the supervisory activities that we have carried out and on any omissions and reprehensible situations that we have found. We can also make observations and proposals on the financial statements, their approval and other matters within our sphere of competence.

During the year, we carried out our institutional duties in accordance with the Italian Civil Code, Legislative Decrees 385/1993 ("CBA") and 58/1998 ("CFA") and the Articles of Association, in compliance with the standards of conduct recommended by the Italian Accounting Profession (represented by the Consiglio Nazionale dei Dottori Commercialisti e degli Esperti Contabili), as well as the special laws on the subject, and pursuant to the provisions adopted by the Public Authorities involved in supervisory and control activities in Italy (including the Bank of Italy and CONSOB) and in Europe (the European Central Bank, "ECB"). Following the entry into force in November 2014 of the Single Supervisory Mechanism, the Bank and the Group are now classified respectively as a "significant supervised entity" and a "significant supervised group" and therefore subject to direct Supervision by the ECB, which has taken on the tasks assigned by (EU) Regulation 1024 of 15 October 2013, which are also performed with assistance from the Bank of Italy in the manner envisaged in (EU) Regulation 468/2016 of 6 April 2014.

The Board's activities are based on Operating Rules that were updated during the year (11 July 2018) to bring them more into line with the Board's duties.

On 14 April 2018, the Shareholders' Meeting of BPER Banca S.p.A. renewed the Board of Statutory Auditors, which had terminated its three-year period of office, appointing members for the following period up to approval of the financial statements at 31 December 2020, in the persons of Giacomo Ramenghi (Chairman), Antonio Mele, Diana Rizzo, Francesca Sandrolini, Vincenzo Tardini (Acting Statutory Auditors). On 8 May 2018, Giacomo Ramenghi (Chairman) resigned from the office for personal reasons; he was replaced by Paolo De Mitri, formerly Alternate Auditor elected from the same list. On 22 November 2018, Antonio Mele resigned, as he had been appointed Chairman of the Board of Statutory Auditors at another bank, as well as other professional commitments; he was replaced by Cristina Calandra Buonaura, formerly Alternate Auditor elected from the same list.

During the year, we acquired the information needed to perform the general supervisory duties assigned to us through the detailed system of information flows provided for within the Group as well as by taking part in meetings of the Board of Directors and Executive Committee.

We held regular meetings with most of the Board Committees (Control and Risk Committee, Remuneration Committee, Independent Directors Committee) and with senior management in the persons of the Chairman of the Board of Directors, the Chief Executive Officer and the General Manager. Pursuant to Legislative Decree 231/01, we also met the Supervisory Board of the Bank, as well as the Supervisory Board of the Pension Fund of the Bank's employees; we also held meetings with the Chairmen and members of the Control Bodies of the Group's main banking and non-banking companies.

We had frequent meetings with the Manager responsible for preparing the company's financial reports and the Group's Internal Control Functions: the Internal Audit Department, the Risk Department, the Anti-Money Laundering Unit, the Compliance Unit.

We also had regular meetings with the Chief Lending Officer (CLO) to look into those loan dossiers that had been brought to the attention of Governing Bodies and regularly met the key corporate functions of the Bank, including the Chief Legal & Governance Officer (CL&GO), Chief Business Office (CBO, Chief Information Officer (CIO), Chief Financial Officer (CFO), Chief Operating Officer (COO).

Recommendations and suggestions made by us are communicated to the internal departments concerned through the general secretarial structure or communicated directly to the Body with management or strategic supervision functions and to the related Board committees, monitoring the follow-up.

Given the above, the following information is provided relating to CONSOB Communication 1025664 of 6 April 2001 and subsequent amendments and additions.

I - INFORMATION ON THE PRINCIPAL ECONOMIC, FINANCIAL AND CAPITAL TRANSACTIONS CARRIED OUT BY THE BANK AND ON SIGNIFICANT SUBSEQUENT EVENTS

Among other things, we have carried out specific in-depth analyses with Top Management regarding the significant progress made in achieving the individual objectives that had been set, developing a dynamic of constant and profitable dialogue within their respective areas of competence.

Of the main initiatives carried out in 2018, the Report on Operations highlights the following:

2018-2020 NPE Strategy: main actions and targets

The BPER Banca Group has reviewed and updated the actions and targets contained in the 2018-2020 NPE Strategy communicated to the ECB and in the wider 2018-2002 NPE Plan on the management of non-performing exposures.

The net NPE ratio came to 6.81% at the end of 2018, while the ratio of gross exposures was 13.80%, positively impacted by the effect of the securitisation and/or sale of loans *en masse* carried out during the year, on which we will briefly report below, and by the contribution made by the recovery (or "work-out") activity performed by BPER Credit Management. In compliance with the provisions contained in the aforementioned strategic lines, approximately Euro 3.0 billion was already sold in 2018, through actions involving the most important Group companies.

Cream 2 operation

The subsidiary Sardaleasing has launched a programme of NPL sales to be carried out in the two-year period 2018–2019, and, in this context, on 15 June 2018 (with effect as of 1 April 2018), it completed the sale of a bad loan portfolio of approximately Euro 50 million (an operation called "Cream2"). Taking into account the high level of coverage of the positions being sold - the perimeter of which was identified in close collaboration with BPER Credit Management, a Group company specialising in the management of forced recovery of receivables, in the context of bad property lease contracts - the transaction has had marginal effects on the Group's income statement.

4 Mori Sardegna operation

Again in the first half of 2018, Banco di Sardegna ("Banco") concluded a sale through the securitisation of bad loans.

In particular, a contract for the without-recourse sale of bad loans was signed with economic effect from 1 January 2018. This transaction pursuant to Law 130/1999, with a gross book value at 31 December 2017 of Euro 900 million was arranged with "4Mori Sardinia S.r.l.", which was formed specifically for this purpose (SPV company). The consideration for this disposal was recognised to Banco following its subscription for all the Notes issued by 4Mori Sardegna. Banco subsequently sold 95% of the nominal value of the Mezzanine Notes and the Junior Notes, maintaining the entire Senior tranche in portfolio; The State guarantee (GACS) was granted on this last tranche with a decree dated 5 September 2018.

This transaction, as a result of the high level of coverage of the positions, also had marginal effects on the Group's income statement.

Aqui operation

The most significant transaction, within the framework of the NPE Plan, was carried out on 7 November 2018, when the Parent Company BPER Banca and the subsidiaries Cassa di Risparmio di Bra and Cassa di Risparmio di Saluzzo sold, with effect from 1 January 2018, a portfolio of bad loans for a gross carrying amount of Euro 1.9 billion to the special purpose vehicle AQUI SPV Srl, established under Law 130/99, which financed the purchase by issuing three classes of securities (Mezzanine, Junior and Senior notes). 95% of the Mezzanine and Junior tranches, initially subscribed by BPER Banca, were placed with institutional investors; subsequently, the assets sold were deconsolidated for both accounting and supervisory purposes. Unlike the transactions explained above, the overall economic impact of the Aqui sale was negative for Euro 66.7 million. The Senior securities have been fully retained by BPER Banca and, with Decree of 18 January 2019, this tranche obtained the government guarantee (GACS).

We examined the strategic reasons for the transactions described above, their impact on the Bank's structure, their rationales and the related economic effects, with no evidence of any substantial or formal anomalies or any critical issues.

The main events following the end of the financial year include:

Acquisition of control of the Unipol Banca Group

On 7 February 2019 the Board of Directors of BPER Banca approved the purchase of 100% of the capital of Unipol Banca, for a cash consideration of Euro 220 million. This transaction aims to boost the size of the BPER Banca Group and strengthen the customer base, with over 500 thousand new customers, with opportunities to optimise cross-selling and distribution.

Emilia sale transaction

As part of the strategic transactions with the Unipol Group, on 7 February 2019 the BPER Banca Group signed a framework agreement for the sale to the Unipol Group of a portfolio of bad loans originated by BPER Banca and Banco di Sardegna for a gross book value of around Euro 1.0 billion consisting of 68% unsecured loans and 32% secured loans, the envisaged cash consideration is in line with the net value, resulting in marginal impacts on the income statement.

Acquisition of a minority interest in Banco di Sardegna

On 7 February 2019 the Board of Directors of BPER Banca approved the purchase of the ordinary and preferred shares in Banco di Sardegna held by the Fondazione Banco di Sardegna (FdS), against the issue in favour of FdS of 33,000,000 newly issued BPER Banca shares and a subordinate convertible Additional Tier 1 ("AT1") instrument with a nominal value of Euro 150 million issued by BPER Banca. This operation simplifies and rationalise the Group structure, maintaining the identity of Banco di Sardegna and its operations in the reference territory. Thanks to this transaction the BPER Group will improve significantly its level of regulatory capital (impact on the CET1 ratio and a positive Fully Phased Tier 1 ratio of approximately +50 b.p. and +90 b.p. respectively); it will also accelerate the process of optimising Banco di Sardegna's cost structure.

Absorption of BPER Services S.C.p.A. by BPER Banca S.p.A.

On 10 January 2019, the Board of Directors of BPER Banca S.p.A. approved a plan for BPER Banca to absorb BPER Services Società consortile per azioni. This transaction is consistent with the action plan that has led to a reduction in the number of legal entities belonging to the BPER Banca Group. The transaction, aimed at the internal reorganization of the BPER Banca Group, will not have any impact on the Group's consolidated financial statements. It is expected that the absorption transaction should be completed by the end of the first half of 2019.

Arca Holding S.p.A.

Following a joint presentation of a binding offer for the purchase of 19,999,000 Arca Holding ordinary shares held by Banca Popolare di Vicenza S.p.A. ("BPVI") in receivership and Veneto Banca S.p.A. ("VB") in receivership, BPER Banca S.p.A. and Banca Popolare di Sondrio S.c.p.a. won the auction on 13 February 2019. As a result of this deal, BPER Banca will hold 57.06% of Arca Holding. It is expected that the overall transaction should be completed by the end of the first half of 2019.

Together with the relevant departments and the Independent Auditors, we reviewed the process involved in the strategic planning of these transactions and examined the main aspects in depth and it will promote the appropriate monitoring activities regarding their correct implementation during 2019.

Lastly, on 27 February 2019, the Board of Directors approved the 2019-2021 Business Plan as explained in greater detail in the Directors' Report on Operations.

II, III - INFORMATION ON THE EXISTENCE AND ASSESSMENT OF THE ADEQUACY OF INFORMATION MADE AVAILABLE BY THE DIRECTORS ABOUT ATYPICAL OR UNUSUAL TRANSACTIONS, INCLUDING INTERCOMPANY TRANSACTIONS OR TRANSACTIONS WITH RELATED PARTIES.

The Report on operations (section 4.3), the Group report on operations (section 8.7) and the information obtained by this Board do not evidence any atypical and/or unusual transactions with third parties, Group Banks and Companies or Related Parties and associated persons.

Note that, on 14 July 2019 the Board of Directors adopted the new "*Group policy for the governance of non-compliance risk concerning conflicts of interest with related parties and risk assets with associated persons*", as amended on 18 October 2018, issued pursuant to art. 136 of Legislative Decree 385/93, the Bank of Italy instructions on risk assets and conflicts of interest with associated persons (Circular 263/2006, Title IV, Chapter 5), the Consob Regulation containing instructions about related-party transactions (Consob Resolution 17221/2010), and IAS 24 on the disclosure of related-party transactions. The new Policy was drafted on the basis of the EBA-ESMA guidelines "on the assessment of the suitability of the members of the management body and of key personnel", of the "Guide to fit and proper assessment" of the European Central Bank (version May 2018) and the Corporate Governance Code promoted by the Corporate Governance Committee. On 18 October 2018, subject to the favourable opinion of the Independent Directors Committee and the Board of

Statutory Auditors, the Board of Directors also approved the revision of the risk assumption limits with related parties with the addition of the provision of "Significant Shareholders ", making use of the factual indices foreseen in attachment 1 of Consob Regulation No. 17221. On 14 March 2019, a new "Group Regulation of the process of managing conflicts of interest for Company Representatives" was introduced to regulate the assessment of the suitability of corporate officers to hold their offices by identifying, managing and monitoring conflicts of interest of directors actually or potentially in conflict with those of the Company, also in light of the EBA-ESMA guidelines of 26 September 2017 and the ECB Guidelines on the professionalism and integrity requirements of May 2018. In this regard, reference is made to the information provided by the Directors to the Shareholders' Meeting, in their report pursuant to art. 125-ter of Legislative Decree 58/98 containing Information on internal control policies in terms of risk activities and conflicts of interest with related parties, in compliance with the requirements of Bank of Italy Circular 263 dated 27 December 2006, with regard to the amendments made (see Agenda point 6 of the Shareholders' Meeting of 17 April 2019).

Given the above, it should be noted that further information on transactions with associated persons and related parties is provided in the Group report on operations (section 8.6) and in the report on operations (section 4.2), as well as in Section H of the notes to the consolidated financial statements and the draft separate financial statements.

Note, too, that we regularly receive and review periodic information flows on transactions with related parties and with associated and control persons; where necessary, we requested additional information and details. In this context, we can confirm the ongoing reduction in transactions with Directors and other corporate officers; the volumes of the liability entries for intragroup transactions are significant, also due to the centralisation of the Group's liquidity management at the Parent Company. Lastly, it should be noted that, starting from 30 June 2018, transactions with control participants are also monitored.

On the occasion of the extraordinary transactions completed with Related Parties and Associated Persons between the end of 2018 and the beginning of 2019 (Unipol Banca and Banco di Sardegna), the Board, through its Chairman and/or another Statutory Auditor, continuously monitored the entire process, participating in all the meetings of the Independent Directors Committee on the subject.

The Board of Directors provides complete information about related-party transactions in the Report on operations and in the notes to the separate financial statements.

To our knowledge, these transactions were concluded in the interests of the Bank and do not lead to comments about their appropriateness.

We can also certify that the transactions carried out pursuant to art. 136 of Legislative Decree 385/93 were unanimously approved by the Board of Directors and with the favourable opinion of all members of the Board of Statutory Auditors.

IV - OBSERVATIONS AND PROPOSALS ON THE FINDINGS AND HIGHLIGHTS CONTAINED IN THE INDEPENDENT AUDITORS' REPORT

Pursuant to the combined provisions of Decree 39 dated 27 January 2010 and Regulation (EU) 537/2014, the engagement to perform the legal audit of the accounts and audit the separate and consolidated financial statements for the nine-year period 2017-2025 was assigned at the Shareholders' Meeting held on 26 November 2016 to Deloitte & Touche S.p.A. (“Deloitte”), together with the issue of opinions on consistency and conformity with the law pursuant to art. 123-bis, para. 4, of Legislative Decree 58/1998.

On 26 March 2019, the independent auditors issued their report to the separate financial statements for the year ended 31 December 2018, pursuant to art. 14 of Legislative Decree 39/2010 and to art. 10 of (EU) Regulation 537/2014.

In that auditors' report, which does not contain any emphasis of matter, the firm of legal auditors:

- issued an opinion confirming that the separate financial statements present a true and fair view of the financial position of the Bank as of 31 December 2018, and of its results and cash flows for the year ended on that date, in accordance with the International Reporting Standards endorsed by the European Union and with the measures issued in implementation of art. 9 of Decree 38/2005 and art. 43 of Decree 136/2015;

- confirmed that the report on operations accompanying the separate financial statements and certain specific information contained in the Report on corporate governance and the ownership structure specified in art. 123-bis, para. 4, of Legislative Decree 58/1998, are consistent with the draft financial statements at 31 December 2018 and were prepared in accordance with the law;

- declared, with reference to possible significant errors in the Report on operations, that it had no observations to make based on its knowledge and understanding of the business and related context, obtained during the performance of its audit activities.

The auditors' report does not contain any emphasis of matter or qualifications. In accordance with the new regulations that are applicable, the auditors' report states the auditing standards adopted and indicates the following "key aspects" that emerged during the course of the audit:

- first-time adoption of IFRS 9;

- classification and measurement of non-performing loans to customers measured at amortised cost;

- classification of performing high-risk loans to customers measured at amortised cost;

- derecognition of a portfolio of bad loans following the sale by means of a GACS-assisted securitisation;

- impairment test of goodwill.

On 26 March 2019 the auditing firm also issued its auditors' report on the consolidated financial statements, also without qualifications or emphasis of matter, which includes at consolidated level attestations and declarations similar to those mentioned above and the same key aspects.

Again on the same date, the auditing firm presented to us the additional Report envisaged in art. 11 of Regulation (EU) 537/2014, which does not identify any significant weaknesses in the system of internal control over the process of making financial disclosures that should be drawn to the attention of those responsible for governance activities; the above report also confirms that, during the course of the audit, no actual or possible non-conformities were found with regard to current laws, regulations or requirements of the Articles of Association; it does not highlight any critical issues regarding the appropriateness of the accounting principles adopted by the Bank and the Group.

Additionally, the auditing firm has presented to the Board of Statutory Auditors the independence declaration required by art. 6 of Regulation (EU) 537/2014, which does not identify any situations that might compromise its independence.

We also acknowledges the Transparency Report prepared by the auditing firm and published on its website pursuant to art. 18 of Decree 39/2010.

As required by Decree 254/2016 implementing Directive 2014/95/EU, the Bank has also prepared a “Consolidated non-financial statement” (NFS) relating to 2018. This non-financial statement, approved by the Board of Directors on 5 March 2019, was published on 26 March 2019 together with the draft financial statements and the consolidated financial statements.

As required by art. 5, co. 3, letter b) of Legislative Decree 254/2016, the consolidated NFS of the BPER Group constitutes a separate report (Sustainability Report) with respect to the Report on Operations and is made available on the institutional website. This statement has to contain information of an environmental and social nature, relating to personnel, respect for human rights, the fight against bribery and corruption, to the extent necessary to understand the progress being made by the company, the situation in which it operates and the impact of its activity, developing the material themes identified in the non-financial context through the materiality analysis applied to the issues set forth in Legislative Decree 254/2016 and the reporting framework (GRI Standards). For the implementation of this regulation, on 21 March 2019, completing the process of refining internal procedures and regulations following the entry into force of Legislative Decree 254/2016, BPER Banca S.p.A. adopted the first version of the specific “Group Regulation of the process of preparing the consolidated non-financial statement” with the aim of regulating the methods and rules, the articulation of the reporting process aimed at drafting the NFS, as well as roles and responsibilities at Group level. As part of the functions assigned to the Board of Statutory Auditors as the Control Body, we supervised compliance with the relevant legal provisions, the adequacy of the organisational, administrative, reporting and control system and the processes set up for the purpose of allowing a correct and complete representation of the business activity in the NFS, its results and impacts, as well as the main risks identified in a non-financial context, including how they are managed.

As part of BPER Banca's ongoing commitment to improve the implementation of Legislative Decree 254/2016 also through an overall review of internal regulations, in December 2018, the Group Policy for the governance of non-compliance risk was issued on the subject of anti-corruption. Then, in January 2019, the document containing the "BPER Group's commitments to the environment", was published, aimed at reducing direct and indirect impacts, particularly in terms of resource savings and attention to climate change.

In December 2018, to provide guidelines consistent with the Group's ethical principles and values, the Group Policy on management of the risk of non-compliance with the law on the protection of personal data was updated. in order to incorporate the innovations deriving from the entry into force of the European Regulation on the protection of personal data (GDPR) and the Group's new organisational model on the subject of privacy and data protection.

On 26 March 2019, the Independent Auditors issued the required report on their limited review of the “Consolidated non-financial statement”, without raising any matters of note and expressing a conformity opinion pursuant to art. 3 and 4 of Legislative Decree 254/2016.

V - INFORMATION ABOUT ANY COMPLAINTS RECEIVED PURSUANT TO ART. 2408 OF THE ITALIAN CIVIL CODE AND ACTION TAKEN

No complaints pursuant to art. 2408 of the Italian Civil Code were received during 2018 or up to the date of this report.

VI - INFORMATION ABOUT ANY STATEMENTS RECEIVED AND ACTION TAKEN

We received a number of complaints or other types of claim, including one that was signed, the others anonymous. In these cases, we took prompt action to obtain from the pertinent structures the information necessary to examine and assess the circumstances reported. No cases worthy of mention have arisen from those already analysed.

We took note of the information contained in the Report on the internal system for reporting violations (so-called "Whistleblowing") for 2018, prepared pursuant to the Bank of Italy's Supervisory Provisions (Circular 285/2013 Part One, Title IV, Chapter 3, Section VIII "Internal systems for reporting violations"), which summarises the information concerning the reports received by BPER Banca S.p.A. during 2018, none of which was so serious as to be brought to the attention of the Board of Statutory Auditors or, subsequently, of the Board of Directors.

VII - INFORMATION ABOUT ANY ADDITIONAL ASSIGNMENTS TO THE INDEPENDENT AUDITORS AND RELATED COSTS

As required by specific regulations, it is confirmed that the fees recognised by the Bank to Deloitte for the legal audit activities performed in relation to 2018, as authorised at the Shareholders' Meeting held on 26 November 2016, amounted to Euro 588 thousand for the audit of the Parent Company's financial statements and the consolidated financial statements. This amount is detailed below:

- Euro 211 thousand for the legal audit of the financial statements of the Bank at 31 December 2018, pursuant to art. 14 of Decree 39/2010;

- Euro 42 thousand for the legal audit of the consolidated financial statements at 31 December 2018;

- Euro 69 thousand for the work to check that the accounting records are kept properly, including the verification work performed in relation to signature of the tax returns;

- Euro 112 thousand for the limited examination of the Condensed consolidated half-year financial statements and the half-year financial statements of the Parent Company included in the Consolidated half-year financial report at 30 June 2018;

- Euro 154 thousand for the limited examination of the accounting schedules to determine the interim profit for the periods ended 31 March 2018 and 30 September 2018, for the purpose of including these interim results in the calculation of Common equity Tier 1 capital.

It should also be noted that during 2018, Deloitte & Touche S.p.A. carried out additional "one-off" and "running" audits compared with those mentioned in the initial proposal for the years 2017-2025. They were needed to assess correct first-time adoption of the new international accounting standards IFRS 9 - Financial Instruments and IFRS 15 - Revenue from contracts with Customers, which came into force on 1 January 2018, as well as the acquisition by BPER Banca S.p.A. of Nuova Carife S.p.A. and subsequent absorption of Nuova Carife S.p.A. by BPER Banca S.p.A. In relation to the increase in the time associated with these additional audits with respect to the initial proposal, in 2018 Deloitte & Touche S.p.A. requested a supplement to the total fees of Euro 285.5 thousand, based on a reasoned proposal that was presented in point 4 of the agenda for the Shareholders' Meeting of 17 April 2019.

Deloitte & Touche S.p.A. was also recognised the following additional fees, for other appointments ancillary to and/or connected with the legal audit, totalling Euro 483 thousand:

Certification services (for a total of Euro 393 thousand)

a) Euro 43 thousand for the activities performed in order to release the conformity opinion on the Consolidated non-financial declaration (Consolidated Sustainability Report pursuant to Decree 254/2016);

b) Euro 28 thousand for the activities performed in relation to the translation into English of the auditors' reports on the Separate and Consolidated financial statements at 31 December 2018 and on the Consolidated half-year report for the period ended 30 June 2018;

c) Euro 127 thousand for the activities performed in relation to the programme for the issue of covered bonds;

d) Euro 25 thousand for the release of comfort letters in relation to the Euro Medium Term programme;

e) Euro 60 thousand for the certification for the purpose of derecognition of bad loans being sold;

f) Euro 110 thousand for the certification of TLTRO2 reports;

Other services (for a total of Euro 90 thousand)

g) Euro 20 thousand for Pool Audit activities related to the Aqui securitisation;

h) Euro 40 thousand for agreed audit procedures on the integration of Nuova Carife into BPER Banca;

i) Euro 15 thousand for the gap analysis activities for the inclusion of BPER Banca in the FT4G index;

j) Euro 15 thousand for the audit work related to granting a stamp of approval on the 2018 tax return.

To the extent not already authorised by resolutions adopted at the Shareholders' Meeting held on 26 November 2016, the above appointments were authorised by the Board of Statutory Auditors pursuant to arts. 4 and 5 of Regulation (EU) 537/2014. In this regard, on 21 June 2018, completing the process of refining internal procedures and regulations following the entry into force of regulation no. 537/2014/UE, in implementation of Directive 2014/56/EU and Legislative Decree 39/2010, BPER Banca S.p.A. adopted the "Model of assignment of engagements to the auditing firm, their network and related parties" with the aim of regulating the assignment of work by the BPER Group to the independent auditors and those connected to them. In June 2018, the first version of the "Group Regulations for the Assignment of Work to the Independent Auditors and their Networks" was issued, subsequently updated in January 2019, with the aim of defining the relative methodologies, rules and articulation of the process. roles and responsibilities at Group level. Work continues in 2019 to refine procedures and internal regulations in order to strengthen further, for the benefit of the entire Group, the process adopted for the assignment of permitted non-audit engagements.

In addition to the above, the fees paid by subsidiaries to Deloitte & Touche S.p.A. and to Deloitte Audit S.à.r.l. (a company of Deloitte's network) amounted to Euro 433 thousand in 2018, in addition to Euro 80 thousand for certification services and Euro 103 thousand for other services. It should also be noted that during 2018, Deloitte & Touche S.p.A. carried out additional "one-off" and "running" audits in favour of the subsidiaries compared with the initial proposal for the years 2017-

2025, needed to assess the correct first-time adoption of the new international accounting standards IFRS 9 - Financial Instruments and IFRS 15 - Revenue from contracts with Customers, which came into force on 1 January 2018, as well as changes in the Group's perimeter. In relation to the increase in the time associated with these additional audit activities with respect to what is included in the initial proposal, in the course of 2018, Deloitte & Touche S.p.A. requested an integration of their total fees of Euro 97 thousand to the shareholders' meetings of the subsidiaries concerned.

Having obtained the report on independence issued by the auditing firm pursuant to art. 6 of EU Regulation 2014/537, we do not believe that there are any critical aspects regarding independence or causes of incompatibility pursuant to arts. 10, 10-bis and 17 of the Independent Audit Code and the related implementing provisions.

VIII - INFORMATION ABOUT ANY ADDITIONAL ASSIGNMENTS TO PARTIES WITH ONGOING RELATIONSHIPS WITH THE INDEPENDENT AUDITORS AND RELATED COSTS

During 2018, the BPER Group did not grant appointments to other companies that have ongoing relationships with the auditing firm, even in relation to activities commenced in prior years.

IX - OPINIONS ISSUED BY THE BOARD OF STATUTORY AUDITORS PURSUANT TO THE LAW DURING 2018

During 2018 up to the date of this report, we issued opinions according to current law.

Among the various topics on which we have been called upon to express an opinion, or to make our own observations, we would highlight the following:

1) an opinion on the assessment process relating to the ICAAP and ILAAP reports, Bank of Italy's Circular 285, Part I, Title III, Chapter 1 and Bank of Italy's Circular 262 Title V, Chapter 7;
2) an opinion on the remuneration of directors who perform special duties as per art. 2389 of the Italian Civil Code;
3) an opinion on the updating of the Group Policy for the risk of non-compliance with regard to conflict of interest with related parties, Bank of Italy Circular 263, Title V, Chapter 5, VAT Section IVA, paragraph 3 and Bank of Italy Circular 263, Title V, Chapter 5, Section III, paragraph 2;
4) an opinion at the request of the Supervisory Authority on the Deep Dive Analysis carried out on Banco di Sardegna;
5) an opinion on the Covered Bond Programme: 2018 BPER annual Asset Monitor report (OBG1, OBG2) and renewal of the Programme;
6) Observation on the Activity Plan of the Risk Management Department for 2018, Bank of Italy Circular 285, Part 1, title IV;
7) Observations on the 2017 annual Anti-Money Laundering report and planning for 2018, as per Bank of Italy Provision of 10/03/2011;
8) Observations on the Model for the assignment of tasks to the Audit firm, as per EU Regulation 537/2014 and legislative decree 539/2010 and Group Regulation on the process of Assignment of Work to the Independent Auditors and their network;
9) Observations on the Internal Audit Department Regulation and Internal Audit Mandate, Bank of Italy Circular 285/2013;
10) Observations to the Reports on Outsourcing of Operational Functions re. Bank of Italy Circular 263/2006;

We also prepared a reasoned proposal for the integration of the fees of the Independent Auditors, pursuant to Legislative Decree 39/2010, art. 13, paragraph 1.

X - INFORMATION ABOUT MEETINGS ATTENDED BY THE BOARD OF STATUTORY AUDITORS IN 2018

During 2018 we held 49 meetings lasting an average of 4 hours 17 minutes, often holding meetings with several corporate bodies or functions on the same day; the minutes explain the control and supervisory activities that were carried out. During the current year up to the date of this report, we have held 15 meetings.

We also attended the meetings of the Board of Directors, which are convened in accordance with the current articles of association; 24 meetings were held during 2018. We also took part in meetings of the Executive Committee, which normally meets with frequency required in the "Operating Rules" of the Executive Committee; 13 meetings took place in 2018.

During 2018, the Control and Risk Committee held 23 meetings, with 92 total participations on the part of the Statutory Auditors: of these 23, 15 were held jointly (or in part jointly) with us to examine matters of common interest, in the context of constant and constructive dialogue with full respect for the different roles and duties. Of the latter, 2 were also held jointly with the Supervisory Body.

During 2018, through our Chairman or another Statutory Auditor appointed by him, we attended all the 16 meetings of the Remuneration Committee (during 2019 and up to the date of this report, 7 meetings were held).

During 2018, through our Chairman and/or another Statutory Auditor appointed by him, we attended 10 meetings of the Independent Directors Committee, of which 1 joint meeting of the two bodies (during 2019 and up to the date of this report, 6 meetings were held).

In addition, we also participated in the Induction and Training activities organised by the Bank.

As regards the induction course, 5 events were organised (concentrated in the first 3 months after the appointment of the corporate bodies, of which the first 3 held in the week following their appointment) on the following matters: 17 April 2018 “Present system of governance of the Bank”; 20 April 2018 "BPER Banca Group presentation model"; 21 April 2018 "Risk management in the BPER Group and the processes for assessing capital adequacy and liquidity (ICAAP and ILAAP)"; 8 June 2018: "HR Overview, Remuneration Policies and MBO", "PRF: process for the management and monitoring of settlement plans by the Control Functions", "The Risk Management and the BPER Group's internal rating system", "Management of non-compliance risk: the model adopted by the BPER Group", " Internal audit activities in the BPER Group", "The Anti-Money Laundering Function in the BPER Group"; 13 July 2018: "The Business Area of the BPER Group: focus on structure, customer base and distribution model", "BPER Credit Management: presentation of the Group consortium company", "The Administration and reporting area and the drafting and control process for Financial Reporting", "The Operating Governance Area".

With regard to the Training activity, 2 sessions were held: 17 October 2018 "Macroeconomic scenarios and financial portfolio management"; 30 November 2018 "Crisis management in the European Banking Union and MREL requirements".

A third session is currently being organised, by the end of March 2019, concerning the issues relating to the accounting standards IFRS 9 and IFRS 16 and another session on specific matters regarding Legislative Decree no. 231/01.

Further information is contained in the Report on Corporate Governance and the Ownership Structure for 2018, prepared pursuant to art. 123-bis of Legislative Decree 58/1998 and approved by the Board of Directors on 7 March 2018.

XI - COMMENTS ON COMPLIANCE WITH THE PRINCIPLES OF PROPER ADMINISTRATION

We have monitored compliance with the law, the Articles of Association and the requirements of Public Supervisory and Control Authorities; we acquired knowledge about and monitored, within the scope of our sphere of competence, compliance with the principles of correct administration and the adequacy of the organisational and accounting structures, as well as the overall functionality of BPER's Internal Control System.

We were able to make sure that the activities of these Committees and Bodies were based on respect for the principles of correct administration and protection of the Bank's assets. During the meetings we attended and the checks we carried out, we did not become aware of any transactions which were manifestly imprudent, risky or in potential conflict of interest, nor of actions contrary to the decisions of the Shareholders' Meeting or that might compromise the integrity of the Company's assets.

As mentioned previously, we also checked that the main transactions to be approved were backed by adequate and thorough analysis and evaluation of all relevant aspects, making use, where appropriate, of independent expert appraisals.

In the opinion of this Board of Statutory Auditors, the Bank is administered in compliance with the law and the articles of association, and the system for the delegation of powers and authorities also appears to be adequate. The administrative activity did not give rise to any findings nor to particular or significant observations on our part, nor by any other Corporate Body vested with specific control functions.

With regard to the decision-making processes of the Board of Directors and of the Executive Committee, we monitored, also through direct participation at board meetings, its compliance with the law and the Articles of Association and verified that the resolutions of the Board of Directors and of the Executive Committee were supported by adequate processes of information, analysis and verification.

We took note of the declarations made pursuant to art. 2391 of the Italian Civil Code.

Note that Board meetings were regularly attended, by right, by the General Manager and the Secretary to the Board of Directors, for the explanation and analysis of the measures to be decided. The Deputy General Managers and other Executives also attended, upon invitation, based on the specific topics on the agenda. Benefiting from attendance by these persons, this Board was able to obtain additional information, as appropriate, about the proposed transactions and their economic and financial effects.

During regular meetings with the Chief Executive Officer, we analysed and provided our comments on the issues of greatest interest to the Bank and the Group, including the following the extraordinary transaction for the acquisition of the shares of Banca Unipol and Banco di Sardegna, of Arca Holding, the preparatory activities of the Business Plan, the bad loan securitisation plan envisaged under the BPER Group NPE Strategy 2018–2020, the overall real estate asset reorganization project, the quarterly statistical reporting of the Auditor on the loan portfolio, projects to adapt to MiFID II, the results of road shows and meetings with analysts and investors.

During the year, this Board continued to monitor the progress made in the areas of strategic planning and management control, given that the Bank is committed to migrating from traditional system of control towards a new model more focused on executive and strategic analysis.

XII - OBSERVATIONS OF THE ADEQUACY OF THE ORGANISATIONAL STRUCTURE

in this context, we held regular meetings with General Management, the Human Resources Department, the Systems Department and the Business Area, in order to assess the adequacy of the organisational structure and the response of management and strategic supervision to the market and to the competitive environment and requirements.

We have acknowledged that the Group Function Organisation Chart, updated by the Board of Directors on 13 September 2018, reflects an organisational and business model that guarantees efficient decision-making processes and considers a divisional structure for the governance of certain businesses/products, as well as global monitoring of the support functions.

The current organisational structure focuses on the following main areas of responsibility.

The Chief Executive Officer exercises direct control over the definition of Group Strategy, the CL&GO General Affairs Department, the CRO and the CFO, the Administrative and Financial Reporting Department, Compliance and Anti-Money Laundering, Equity Investments and Special Projects.

The General Manager is responsible for the Operating Governance and in particular for the CBO, the CLO and the Human Resources Department.

The Chief Operating Office (COO) promotes coordination and synergistic action between the Functions that represent the "operational machine" of the Group, i.e. Organization, Information System Governance (CIO) and BPER Services. This function is responsible for coordinating and monitoring the Group's operational, planning and technological activities, in order to guarantee continuous improvement in terms of effectiveness and efficiency.

The various functions defined as the Internal Audit Department, Planning and Finance Department, Risk Management, Legal Unit of the General Affairs Department, Compliance Department, Human Resources Department, each for its own area of competence, maintain responsibility for directing, coordinating and controlling the activities of the Group and related risks.

The CRO is the Risk Manager in accordance with the Bank of Italy Communication dated 7 June 2011 and Bank of Italy Circular no. 285/2013 and the Head of the Risk Management Function pursuant to the Joint Consob/Bank of Italy Regulation of 29 October 2007, and therefore of the governance and control of the Risk Appetite Framework (RAF) and the Internal Capital Adequacy Assessment Process (ICAAP) and of Group Risks.

The CLO promotes the guidelines on credit policies, defines and governs the guidelines on the granting and management of credit, as well as on quality and credit risk monitoring, coordinating its implementation at Group level, assumes the relevant credit decisions, within their own autonomy limits, and guarantees the governance of performing loans and anomalous loans of the Banking Group.

We consider the organisational model to be adequate, in light of the guidelines of the Supervisory Authorities and pursuit of the objective of continuous improvement of credit processes, also through an improvement in the credit culture and a separation of functions, in line with the strategic guidelines and credit policies.

Also taking into account the attention paid to these issues by the Supervisory Authority and without prejudice to the relevant activities pertaining to Internal Audit, we will monitor the effective implementation and relative effectiveness of the organisational changes in question, given their relevance to the purposes of a correct and adequate organisational structure for risk control and credit management. We examined the Audit Plan for 2019 approved by the Board of Directors in February 2019. In addition to providing coverage for the Group's main risks, this Plan takes into account the law and regulatory developments; planning, based on the riskiness of the activities/processes, involves on-site and off-site activities, as well as actions aimed at acquiring an end-to-end assessment of the processes at Group level. We will monitor the results of the QAR process of the Internal Audit Function currently underway.

We have acknowledged that, at its meeting of 5 March 2019, the Board of Directors approved the 2019 Plan of the Risk Management Function, which was developed taking into account the requests of the European Central Bank and the evolution of the regulatory context. On the basis of the information acquired, while deeming adequate the size and capacity of the Function to achieve the objectives set by the 2019 Plan, we recommended that the organisational structure should be functional to their pursuit, given the challenging goals for the future.

We examined the 2019 Plan of the Compliance Function (approved by the Board of Directors at the meeting of 5 March 2019) and based on the information acquired, recommended that the Function should be provided with an adequate capacity in light of: i) the provisions of the Compliance Plan; ii) the availability of budgets for any external and/or outsourcing consultancy; iii) greater dissemination of the Compliance Culture at all levels of the Group, iv) strengthening of the skills of the people of the Competence Line, with specific certification and training courses, (v) management's commitment that has helped to foster increased responsiveness of the Bank's structures to Internal Audit and Compliance findings. We also drew the attention of the Board of Directors to the fact that the capacity is substantially not aligned with the sector average and will monitor the results of the self-assessment of the Function currently underway, as a result of the SREP 2017 activity and the further observations received by the Joint Supervisory Team.

We took note of the Planning of the 2019 activities of the Anti-Money Laundering Unit approved by the Board of Directors at the meeting of 5 March 2019.

We have acknowledged that, at the meeting of 27 February 2019, the Board of Directors approved the overall structure of the Remuneration Policies for 2019 and the 2018-2019 Long-Term Incentive Plan (LTI) for key personnel to be submitted to the Shareholders' Meeting, as recommended by Consob. This document defines the principles and standards used to design, implement and monitor Group remuneration systems. However, having taken note of the favourable opinion of the Remuneration Committee, we recommended a refinement of the structure in light of the 2019-2021 Strategic Plan.

XIII – OBSERVATIONS ABOUT THE SYSTEM OF INTERNAL CONTROL AND THE ACTIVITIES OF THOSE RESPONSIBLE FOR INTERNAL CONTROL, HIGHLIGHTING ANY CORRECTIVE ACTIONS TAKEN AND/OR STILL TO BE TAKEN

Internal Control System

For the specific topic, please refer to the Report on Operations, the Group Report on Operations, the Explanatory Notes, the Report on Corporate Governance and ownership structure and the Third Pillar disclosure to the market; the Internal Control System is governed by the Group Guidelines, the last update of which was approved by the Board of Directors on 19 December 2017.

In the context of their management and coordination responsibilities, the control functions active within the Parent Company perform technical-operational checks on Group companies in order to assess the degree of risk contributed to the Group by each subsidiary and the overall risks faced by the Group.

For companies that have an obligation to set up their own corporate control functions, or those where there are significant risks, specific outsourcing contracts are in place which regulate control activities.

We have constantly monitored the system of internal controls, both by regular, frequent meetings with the control functions and by direct verification of the various levels of the control system and the activities that involved the system architecture in 2018.

Note that a self-assessment process of the Internal Audit Department and the Compliance Unit has been scheduled for the first half of 2019. These processes will be carried out under our supervision.

Work also continued during the year on the fine tuning of the new system for identifying, monitoring, managing and reporting on the findings of the internal control functions, in order to ensure consistent, timely and prioritised action in line with best practices (EBA/CP/2016/16).

Completion of this project made the analysis of recommendations still to be implemented and the monitoring of progress and priorities more efficient and effective; during 2018 we held periodic meetings with the Function responsible for managing it.

We have monitored the system of internal controls, both by regular, frequent meetings with the control functions and by direct verification of the various levels of the control system. We have also requested feedback, follow-up and action by senior management or the body responsible for strategic supervision.

During 2018, we addressed several issues related to the internal control system, including the size and the expected strengthening of the functions, the planning, handling of findings, the system of management and control of credit, operational and financial risks, providing recommendations and input.

The information system, which in 2018 is still managed by the BPER Services consortium, is involved in important projects as part of the implementation of policies and regulations to transpose new legislation (Circ. 285, Title V, Chapter IV), particularly on the subject of data governance: these projects respond to a constantly evolving need for data quality that is strongly felt within the Group and by the corporate control and operational functions.

As indicated in previous reports, this matter intersects with that of NPE management and is a critical success factor in relation to both the work-out capability and the ability to obtain assignment prices in line with expected internal rates of recovery.

We have also monitored the effects deriving from the adoption and entrance into force of the new regulations on product governance, Mifid II, MAD II / MAR, GDPR and PSD2.

We continue to monitor the transposition of directives and Group regulations, requiring, where necessary, the intervention of the equivalent control functions operating at subsidiaries.

Based on the deeds and facts considered during our monitoring activities and having regard for the scale and operating characteristics of the Bank and the Group, we have not identified any situations suggesting that, taken as a whole, the system of internal control might not be adequate; this system has not evidenced any significant problems, pending the activity of the Control and Risk Committee and the continued work on the part of the competent functions of constant methodological and organisational review and refining, which have led to better results compared with last year, in terms of effectiveness and efficiency.

Risk management and control system

The risk management and control system, which is an integral part of the Group's Internal Control System and which is structured through Group policies, regulations and procedures, is constantly evolving, in order to guarantee the implementation of the Risk Appetite Framework, an instrument that represents the reference framework for defining the Group's risk appetite.

In this context we would point out the following: the evolution of the areas linked to ICAAP and ILAAP which formally incorporate the changes contained in the Guidelines published by the ECB in November 2018; the further functional implementations made to improve the links between the above processes, the RAF, the budget, the business plan and the NPE Business Plan, the increased inclusion of ICAAP parameters in the RAF quarterly reports and inclusion in the assessment of prospective capital adequacy of the impact of adopting IFRS 9.

The update of the Recovery Plan was approved in December 2018. The previous version dating back to the end of 2017 included various initiatives that were implemented following the requests made by the European Supervisory Authority.

With reference to the management of credit and counterparty risk, in recalling what was mentioned previously with regard to authorisation to use the AIRB approach, we would point out the following significant activities in 2018:

- update of the LGD (Loss Given Default) model and recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties,

- recalibration of the risk models to IFRS 9;

- activities to adapt internal models to the new definition of default and changes to the Roll Out plan and to the planning linked to the evolution of the internal rating system, also in consideration of the adaptation to the EBA Guidelines on the risk models that will come into force starting from 2021.

We have devoted particular attention to the configuration of the second-level controls over lending, which are a significant element in the internal control system applicable to financial disclosures.

Market risks, discussed in the following paragraph on Supervisory Review, are monitored by a system of limits that are revised annually, or more frequently, depending on the complexity of the portfolios. In this area, responding to requests made by this Board and the Supervisory Authorities during audits of how market and liquidity risks are managed, the Bank has launched an ambitious process to enhance the framework for the management and control of financial risks (including the banking book interest rate risk, as well as the liquidity, market, counterparty and sovereign risks). In this regard, this Board believes that the size of the portfolio of financial assets and related risks (including credit spread risk) justifies making further enhancements to the related processes and systems.

As regard operating risks, discussed in the following paragraph, various refinements were made in this area during 2018, also thanks to the OSI inspection which involved the Group. The process of gathering operating loss data has been further consolidated by improving the identification criteria and more precise accounting for the effects of the loss.

Lastly, we would mention the activity of the internal validation function, which has continued to monitor and verify the internal models adopted by the Group, both for prudential purposes and in order to manage risk, reporting punctually to the competent bodies.

Supervisory checks and stress tests

During 2018, we continued to monitor implementation of the actions taken by the Bank in response to the comments, observations and suggestions made by the Supervisory Authorities following inspections and other supervisory activities, ensuring compliance with the set deadlines.

The topics addressed include:

- inspection by the Bank of Italy, completed in July 2015, regarding the transparency of operations, propriety in relations with customers and anti-money laundering activities. Anti-money laundering activities related to some IT interventions were completed during 2018;

- actions in the field of transparency of relations with customers were the object of a Bank of Italy communication in September 2018 to which the Bank responded on various occasions. They will also continue in 2019, by which they should be concluded;

- ECB inspection covering the accuracy of the calculation of capital (Osi-2015-Itper 2265), which was completed in March 2017. The outcome was notified to the Bank in August 2017, setting October 2018 as the deadline for completing the related implementation work. In this context, the inspection team requested us to perform various checks and issue confirmations about the data provided by the Bank, in 2018 we monitored implementation of the remedial action identified and the accuracy of the quarterly information on progress provided to the ECB;

- Thematic Review on the Bank profitability;

- Deep Dive Analysis started remotely by ECB on Banco di Sardegna, after which the Follow-Up Letter was received in October 2018. The Bank has prepared an Action Plan for the resolution of the findings received;

- Credit Quality Review launched by the ECB in March 2018 and whose inspection activity began at the end of 2018 at the Bank's registered office. The deadline set for the completion of the inspection activity is estimated for the beginning of April 2019;

- in March 2018 the ECB's inspection activity on the Bank's Operational Risk began, OSI 2018-itper-3710, which ended in June 2018. Subsequently, in October the Bank received the ECB's Follow-Up Letter, after which the Bank replied, in March 2019, with approval and submission of the Action Plan prepared for the resolution of the findings received.

We monitor the progress of the corrective action on the findings of the various inspections through quarterly meetings with the functions in charge.

During the period from September to December 2017 the ECB also carried out an additional inspection in relation to the management of market and liquidity risks, the results of which have been notified officially to the Bank in June 2018, so that remedial action can be planned; in this context, in 2018 the Bank has prepared and approved the Action Plan to enhance the system for the management and control of financial risks and the value-based management project. We point out that the Internal Audit has commenced specific activities designed to monitor and evaluate the process of resolving the matters raised by the Supervisory Authority.

During 2018, the Bank took part in the European-wide Stress Test promoted by the EBA and ECB for the third time. The preparation of data began in January 2018 and ended with the last submission in September. In November, the EBA published the results of the banks included in the relevant panel; the ECB also published in aggregate form the results of the banks included in its perimeter (including BPER).

In December 2018, the ECB notified the Draft SREP Decision to the Bank, closing the SREP 2018 process. This was followed, in February 2019, by notification of the official Draft Decision with which the ECB communicated to the Bank the regulatory capital requirements (Pillar 2 Requirement) and orientation (Pillar 2 Guidance) set for 2019 as a result of SREP process.

In detail, the ECB decided that BPER should maintain a total SREP capital requirement (TSCR) of 10% on a consolidated basis compared to the previous figure of 9.75%, composed of the minimum capital requirement of 8% and the specific Pillar 2 requirement for capital, to be covered exclusively with Common Equity Tier 1 (CET 1), which goes from 1.75% to 2.00%.

XIV - COMMENTS ON THE ADEQUACY OF THE ADMINISTRATIVE AND ACCOUNTING SYSTEM AND ON ITS RELIABILITY TO REPRESENT OPERATING EVENTS CORRECTLY

We have monitored the adequacy of the administrative and accounting system, its reliability in correctly representing operating events, by obtaining information from the heads of the various Corporate Functions, examining the most significant corporate documents, analysing the work performed by the Independent Auditors PwC and Deloitte, by the Manager responsible for preparing the company's financial reports, and by the Internal Audit Department.

In the context of the system of internal controls over financial disclosures, the Manager responsible for preparing the company's financial reports plays a key role by defining the related control model applied by BPER Banca and, with reference to the procedures for preparing the consolidated financial statements, by the companies included within the scope of consolidation. The Financial Reporting Control Model is a set of requirements to be met for the proper management and control of the risk of unintentional errors and fraud in financial reports and is approved by the Board of Directors. In order to perform the duties envisaged by Law 262/2005 and by art. 154-bis of Legislative Decree 58/1998, the Manager Responsible has at his disposal a specific internal structure, the Office for the monitoring and control of financial reporting ("UMCIF”). The entire Model and related internal regulation were revised extensively during 2018, which entailed the approval on 10 January 2019 by the Board of Directors of updated versions of the all regulation set made up of:

- Group policy for managing the risk of unintentional errors and fraud in financial reports;
- Regulation of the Function of Manager responsible for preparing the Company's financial reports;
- Methodological note addressing macro process management of unintentional errors and fraud in financial disclosures.

In this regard, we took note of the positive content of the report of the Manager responsible for preparing the company's financial reports for the purposes of art. 154-bis, paragraphs 3 and 4, of Legislative Decree 58/1998 that describes the Control Model for Financial Information, the checks carried out, the overall positive evaluation of the system and any points of attention, and the planning for 2019.

Given the task attributed to us as part of the financial reporting process and as Internal Control and Audit Committee pursuant to art. 19, para.2 letter c. of Legislative Decree 39/2010, we maintained close coordination with the Financial Statements and Administration Department "DAB". In particular, we periodically met with the DAB for the exchange of information on the administrative-accounting system, as well as on the reliability of the latter for the purposes of a correct representation of the management facts. During these meetings, the Manager responsible for preparing the company's financial reports did not point out any significant deficiencies in the operational and control processes which, due to their relevance, could invalidate the assessment of the adequacy and effective application of the administrative-accounting procedures safeguarding a correct representation of operations, in accordance with current international accounting standards.

During the year, we also examined the report on the verifications carried out by the UMCIF, also with respect to Group companies, and the related outcomes, examining the causes and corrective actions for any weaknesses that had been identified.

At the beginning of 2019, we also took note of the closing activity carried out in 2018 and the planning for 2019. In this context, the points of attention are monitored by us, and with our usual constructive relationship, we provide suggestions and recommendations where necessary.

As for financial reporting processes, the Board has taken note of the implementation of design and control activities carried out by the UCMIF, whose surveys have enabled the Group to focus on certain aspects of interest for the purpose of the consolidated financial statements (e.g. subsidiaries). In this regard, we recommend continuing to address and implement the corrective actions already identified, as well as further strengthening the role of guidance and coordination of the Parent Company, with a view to ever greater sharing, harmonisation and monitoring of the separate financial reporting processes and of internal control systems.

Both during the year and later in the first few months of 2019, we continued to monitor the progress and implementation of the projects to adapt to the new accounting standards (IFRS 9 and IFRS 15) needed for their application from 1 January 2018. With particular regard to IFRS 9, meetings and verifications were held with the Manager Responsible, extended also to the participation of the Independent Auditors (impacts deriving from the "First Time Adoption-FTA", Classification & Measurement, new Impairment model, implementation of new accounting policies), with the Internal Audit Department (audit on the classification of financial assets and the SPPI Test), with Risk Management and the Validation function (PD, LGD, EAD models, staging allocation models, ECL 1Y and lifetime calculation models, validation IFRS9 models) with the Credit and Loans Area (staging models, calculation of the SICR, impacts on credit policies) and with the Second Level Credit Control Unit.

With reference to the impairment model of the loans classified in Stage 3 (non-performing loan portfolio), the effects of including the forward-looking factors into scenario assessments, which led to the inclusion of a disposal scenario, in accordance with what is defined in the 2018-2022 NPE Business Plan of the Group and the 2018-2020 NPE Strategy, which provide for the recovery of impaired assets also through their transfer. The recoverable amount was then determined in the "multi-scenario" hypothesis on the basis of a weighted average of the expected recoveries through the internal processing and the estimated selling prices with both scenarios weighted by applying to them a probability of occurrence.

We also acknowledged, *inter alia*:

- the favourable outcome of the verifications carried out by the Internal Audit Department, at the request of the Supervisory Authority within the Thematic Review IFRS 9, concerning the classification of financial assets for the purposes of IFRS 9 and the SPPI Test;

- the favourable outcome of the verifications carried out by the UMCIF concerning the process of Classification and Measurement and the process of Impairment; the methodological choices adopted by the Group and governed by the document "Summary of the guidelines of the BPER Banca Group on IFRS 9" were also analysed by the UMCIF.

We will continue to monitor the points for improvement and the suggestions made.

We also followed the progress plan for the implementation and corrective measures contained in the Action Plan following the observations made by the Supervisory Authority as part of the Thematic Review IFRS 9, which ended in April 2018 with the ECB's second Conclusion Letter, actions and interventions that were all substantially concluded or addressed in June 2018.

In application of the indications of IAS 8 - Changes in Accounting Policies and para. 7.2 et seq. of IFRS 9 - Temporary Provisions, BPER Banca S.p.A. has chosen to manage the transition (or "First Time Adoption - FTA") to IFRS 9 without restating the comparative balances, recognising the cumulative impact caused by the different methods of classification and measurement in equity as a change to the opening balances at 1 January 2018. The Notes provide adequate disclosure also in application of the 5th update of Bank of Italy Circular 262/2015 concerning the impacts related to the transition to the new accounting standard and consists of:

- a qualitative part (part A-2), which summarises the Classification and Measurement criteria of financial assets, according to the management purposes associated with each portfolio of financial assets ("Business Model") and the contractual characteristics of the related cash flows ("SPPI test"), the allocation of financial assets ("Staging Allocation") and the consequent methods for determining impairment;

- a quantitative part (parts A and E and attachments to the financial statements), which reports the changes deriving from the classification and measurement of financial instruments in the new portfolios, from the impairment of the performing portfolio (stage 1 and stage 2) and from the impairment of the bad loan portfolio (stage 3).

The overall impact of first-time adoption involved changing the opening balances at 1 January 2018 for an overall imbalance, recognised on transition to the new standard, of Euro 1,084 million at Group level (of which Euro 201 million pertaining to controlling interests) and Euro 661 million of the Parent Company. The BPER Banca Group has chosen to apply to the impact resulting from the comparison between the IAS 39 adjustments at 31 December 2017 and the IFRS 9 adjustments resulting on 1 January 2018 the so-called "static approach" which provides for deferral of the impact on the capital only to the first application of the FTA rules. On 30 January 2018, the Group formally notified the Supervisory Authority (CET 1) of its decision to make use of the transitional regime envisaged by art. 473 bis of Regulation 575/2013 (CRR). This involves gradual computation by applying decreasing percentages over a period of five years (from March 2018 to December 2022) in Regulatory Supervisory Capital of the provisions provided for by the application of IFRS 9.

In addition, information relating to available capital, RWA, capital ratios and the "fully loaded" leverage ratio is provided, as requested to the banks that opt for transitional treatment, in the financial statements and in its attachments, and in the Pillar 3 public disclosure, deriving from full application of the new standard.

With regard to FTA of IFRS 15, for which the “modified retrospective” approach was chosen, based on specific analyses carried out at Group level to identify contracts with customers and any changes in the recognition of revenues, also involving subsidiaries where necessary, no significant impacts emerged.

Lastly, we monitored and continue to monitor implementation of the suggestions given in relation to the new international accounting standards IFRS 9 and IFRS 15, also by the Independent Auditors, which did not highlight any elements that required particular attention.

In the second half of 2018 the BPER Banca Group launched a project to analyse the accounting impacts deriving from application of the new international accounting standard IFRS 16 which was applied from 1 January 2019. This project aims to analyse the accounting impacts deriving from application of the new requirements and to identify the effects on the various corporate, organisational, process and related information systems. We will continue to follow the progressive development of the activities and the refinement of the estimates currently available, also in consideration of the full disclosure on the impacts deriving from the FTA of IFRS 16 to be given in the first financial report of 2019.

Furthermore, starting from October 2018, a project was started up aimed at a comprehensive review of the Financial Reporting provided in the Financial Reports (Financial Statements and Consolidated Financial Statements and Half-Year Financial Statements) and in the Interim Reports aimed at reorganising and harmonising the overall information set with a view to greater usability in reading, in light of regulatory requirements that, for various reasons, govern the content of accounting documents as well as the reference best practices.

The so-called "probability test" of deferred tax assets and liabilities foreseen in IAS 12 was carried out on BPER Banca S.p.A. and on the consolidated tax perimeter. This test, based on the economic forecast developed over a prospective 5-year horizon, allows an appropriate estimate of future tax results able to determine the recovery of deferred tax assets and has therefore led to the recognition of deferred tax assets relating to deductible temporary differences, mainly related to the deductibility in 10 years of the adjustments made on FTA of IFRS 9. Please read the explanatory notes Part C for the related impacts.

In relation to accounting information contained in the separate and consolidated financial statements at 31 December 2018, the Chief Executive Officer and the Manager responsible for preparing the company's financial reports issued the required certification pursuant to art. 81-ter of CONSOB Regulation 11971, without any comments.

It is worth recalling that the BPER Group does not include any companies incorporated under the laws of non-EU countries.

In light of the above, the information received, the analyses carried out, as also mentioned below, the administrative-accounting structure appears to be adequately defined and suitable to meet the business needs that emerged during the year and, overall, it is adequate for what is expected by the current regulations.

We confirm that the internal control system on financial reporting, constantly subject to updates and maintenance, is organised, structured and equipped with appropriate resources and tools. Furthermore, the Administration and Reporting Department was strengthened with the appointment, in October 2018, of the Reporting Office manager, a position previously held on an interim basis by the

Manager responsible for preparing the company's financial reports.

The Independent Auditors checked the administrative and accounting procedures without highlighting any matters regarding their reliability. They also checked the accuracy of the recognition of operating events in the accounting records, as well as the completeness of the information and accounting policies for the preparation of the separate and consolidated financial statements, without making any comments or observations.

Even though the statutory audit of the accounts as per Legislative Decree 39/2010 is not part of the duties of the Board of Statutory Auditors, being delegated to the Independent Auditors, based on the information received from the latter and from the Manager responsible for preparing the company's financial reports and the checks provided for in arts. 2403 et seq. of the Italian Civil Code, we are of the opinion that the administrative and accounting system, as a whole, is adequate and reliable and that operating events are recognised correctly and punctually.

As regards the scope of consolidation, please refer to the Group report on operations and to Part A of the notes for information on the unification of the line-by-line scope of consolidation for accounting purposes with the scope of consolidation for supervisory purposes for reasons of rationalisation, simplification and control of process for producing the consolidated figures for supervisory and financial reporting purposes, without appreciable effects in terms of equity, economic results or financial performance of the Group.

BPER Banca S.p.A. was admitted to the cooperative compliance regime by a Tax Authority Decision dated 25 July 2018, following a process that commenced in December 2017. This regime was created with Legislative Decree 128/2015 with the aim of promoting better forms of communication and cooperation between the Tax Authorities and tax payers who have a system for the recognition, measurement and control of tax risk. Accordingly, in December 2018, BPER Banca S.p.A. issued the "Company policy for the governance of the risk of non-compliance with tax regulations" which defines the rules, processes and tools for managing the risk of operating in violation of tax regulations or laws in contrast with the principles or purposes that characterise the tax system. The Bank has therefore implemented and inserted in the context of the internal control and risk management system a specific system for detecting, measuring, managing and controlling tax risk (known as the "Tax Control Framework"). It is also noted that from 1 January 2019 the BPER VAT Group is operational, a new VAT payer regulated by the EU legislation recently introduced into national law by Law 232 of 11 December 2016, which replaces the individual participants, limited to the scope of application of value added tax, which otherwise retain distinct legal status from a legal, accounting and fiscal standpoint.

Lastly, it should be noted that the Bank and the Group do not have any situations that could be considered significant for disclosure purposes under IFRS 12.

XV - OBSERVATIONS ON THE ADEQUACY OF THE INSTRUCTIONS GIVEN TO SUBSIDIARIES UNDER ART. 114 OF LEGISLATIVE DECREE 58/1998

We have monitored the adequacy of the instructions given by the Bank to its subsidiaries, pursuant to art. 114 of Legislative Decree 58/1998, deeming them appropriate for the latter to comply with the legal disclosure requirements.

In relation to the close functional and operational links, as well as the presence of contact persons at the subsidiaries, a proper and adequate flow of information was guaranteed during 2018, supported by appropriate accounting documents and calculations relating to the management of legal entities under the Bank's control.

We can confirm that we have remained in constant contact with the corresponding bodies of the main Group banks and companies; in this context, it should be noted that in October we held individual meetings with the Chairmen of the Boards of Statutory Auditors of the Italian Banks and of the main operating companies of the Group for an exchange of information on the main issues pertaining to the individual companies (assessment of the internal control system, supervision of the legal audit, systems, IT, human resources; business performance; management and assessment of non-performing loans; significant disputes/legal cases; anti-money laundering; overall compliance; implementation of guidance and coordination instructions).

Additional discussion and training meetings were held when the Chairmen of the Group Boards of Statutory Auditors attended the Group Convention held in May 2018, which were attended by all the Chairmen of the Control Bodies of Italian banks and numerous non-bank companies within the BPER Group. As part of this Convention, reports were presented by the Corporate Control Functions and by the Manager responsible for preparing the company's financial reports with discussions on matters of common interest. Furthermore, in July and October, the Parent Company's Board organised and held training sessions with the Chairmen of the Boards of Statutory Auditors of the Banks and some operating companies of the Group perimeter on the new accounting standard IFRS 9, on the introduction of the VAT Group, on the Cooperative Compliance regime and on supervisory and financial reporting. On these occasions, we presented the updated version of the "Board of Statutory Auditors Manual" to the Chairmen of the Italian banking companies and the main operating companies of the Group.

Considering the above, we have no comments to make on the adequacy of the instructions given to the banks or subsidiaries to acquire the information flows needed to ensure the timely fulfilment of the legal disclosure requirements.

This Board also notes that no issues worthy of mention were identified from the meetings held throughout the year with the other Control Bodies, from the periodic conventions organised to share ever greater information among all the Control Bodies of the Italian banks and other Group companies or from consideration of the directives issued by the Parent Company.

XVI - OBSERVATIONS ON SIGNIFICANT ISSUES THAT AROSE DURING THE COURSE OF MEETINGS HELD WITH THE INDEPENDENT AUDITORS PURSUANT TO ART. 150 PARAGRAPH 3 OF LEGISLATIVE DECREE 58/1998

In accordance with the provisions of art. 19 of Legislative Decree 39/2010, the Board of Statutory Auditors, identified as the "Internal Control and Audit Committee", performed the required supervisory activity also on the operations of the Independent Auditors.

During 2018 and up to the date of this Report, we carried out continuous monitoring of the work performed by the Independent Auditors, analysing the implications for disclosure in the financial statements.

We scheduled a series of *ad hoc* meetings during the various phases of the audit, in which we also examined with reference to 2018:

- the Transparency Report, with particular reference to the attestation of independence of the staff of the Independent Auditors and of Quality Control (so-called "practice review");

- the work plan adopted for the audit of the financial statements of BPER Banca S.p.A. and the consolidated financial statements (Audit Scope), the materiality, the resources assigned to the audit (Group Engagement Team), the risks identified as significant and the key aspects of the audit;

- the Global Referral Instructions;

- reporting and related deadlines (Group Audit Timetable).

We analysed the methodological system adopted by the Independent Auditors and acquired the necessary information during the course of their work, with a constant interaction regarding the audit approach used for significant financial statement areas, sharing the problems relating to business risks, as well as receiving updates on the progress of the audit plan and analyses of the main points of attention for the Independent Auditors.

Through checks and information obtained from the Independent Auditors and from the Bank's senior management, we have been able to ensure compliance with the rules and laws on the preparation and format of the separate and consolidated financial statements and of the report on operations.

We have also supervised, to the extent relevant to this section, the financial reporting process, the effectiveness of the systems of internal control, internal audit and risk management, the legal auditor of the separate and consolidated financial statements, and the independence of the legal auditor pursuant to Regulation (EU) 537/2014.

We have met regularly with representatives of the auditing firm appointed by the Parent Company and the audit teams of the main subsidiaries, resulting in a mutually beneficial exchange of information, as required by art. 150 of Legislative Decree 58/1998.

In particular, together with the Independent Auditors, we examined the application of accounting standards, the best treatment and presentation of key elements in the financial statements from an economic, financial and capital point of view. The impacts deriving from the FTA of the IFRS that entered into force on 1 January 2018, IFRS 9 in particular, as well as the implementations and new policies adopted in order to allow correct application of the new accounting standards have been the object of analysis and discussions.

During our periodic meetings with the Independent Auditors, the main issues and changes in processes and organisation with an impact on the accounting systems and on the financial reporting were also discussed. Special attention was paid to the transition to IFRS 9, with particular regard to the correct determination of the impact on the carrying value of equity at 1 January 2018, to the methodological set-up and analysis of consistency with the requirements laid down in the accounting standard, to the impairment of financial assets (securities, loans and receivables), to determine the estimated realisable value of non-performing loans which are expected to be sold, in application of the NPL strategy communicated to the ECB. We also analysed the probability test for the recognition of deferred tax assets (DTA), derecognition of the NPL portfolio, the composition and stratification of the non-performing loan portfolio, the classification of performing loans to customers at greater risk and the results of the inspections that have been concluded or an update of those in progress by the ECB, the assessment processes in the Finance area and the processes of impairment of investments and goodwill. We also reviewed the information on subsequent events to be provided in the financial statements and consolidated financial statements in relation to extraordinary transactions between the closing date of the financial year and the date of approval of the financial statements by the Board of Directors.

We also informed the Independent Auditors about our activities and reported any relevant and significant facts about the Bank known to us. There are no acts or facts considered reprehensible and/or that need to be reported in accordance with art. 155, paragraph 2 of Legislative Decree 58/1998.

During these meeting and, in particular, in connection with the examinations of the interim reports on operations and the annual financial statements, the auditing firm described to this Board the statistical and other analyses performed on the loan portfolios of the Bank and the Group, including: the coverage of the various categories of performing loans, the coverage of the various categories of non-performing exposure and comparison with the banking system, the processes of measuring loans and the related property guarantees, the statistical analysis of bad loans and unlikely to pay exposures (e.g. ageing, discounting provisions), and the incidence of exposures already the subject of forbearance.

This Board discussed the relevant points for improvement with the functions concerned (second-level controls over lending, BPER Credit Management, CLO, Risk Department / CRO, Manager responsible for preparing the company's financial reports) and with the Chief Executive Officer, who supervised implementation of the recommendations made by the auditing firm.

During the year, we also continued to verify and monitor the independence of the Independent Auditors Deloitte & Touche S.p.A. in particular as regards the adequacy of the services provided other than the audit of the entity being audited and in the light of the acquisition of Nuova Carife in 2017.

Overall, based on the relations of this Board with the auditing firm, any anomalies, issues or omissions have arisen that should be reported.

XVII - ADOPTION OF THE CODE OF CONDUCT OF THE COMMITTEE FOR CORPORATE GOVERNANCE

The Bank has prepared the “Report on corporate governance and the ownership structure” required by art. 123-bis of Legislative Decree 58/1998, making close reference to the “Format for the report on corporate governance and the ownership structure” issued by Borsa Italiana S.p.A., and this Board confirms approval of that document by the Board of the Bank on 5 March 2019.

We would remind you that on 5 September 2017 the Board of Directors resolved to comply with the Code of Conduct by initiating a process of alignment with the recommendations of the Code. This was completed on the occasion of the appointments and reconstitution of the Committees on 14 April 2018.

On the basis of the "comply or explain" principle, in the Report on Corporate Governance and ownership structures the Bank has reported and justified any partial misalignments with these recommendations in the above Report.

The Bank's sensitivity to the spirit of the Code is also evidenced by the fact that the self-assessment process took account of the areas for improvement highlighted by the Committee for Corporate Governance, as requested by that Committee in its communication to the Chairman dated 21 December 2018 (valuation of the adequacy of the information circulated prior to Board meetings, attention to the independence criteria of Directors and supervision of control bodies, transparency of the board review, adequacy of remuneration policies with the pursue of sustainability in the medium-long term) and discussed in section 25 of the Report.

Given the change in the composition of the Board during the year, firstly as a result of the appointments made at Shareholders' Meetings and then due to the resignation of the Chairman and a Statutory Auditor, the Board in the current composition decided to adopt two different Self-Assessment methods for 2018, also for the purposes of the Bank of Italy Circular 285/2013, Part One, Title IV; the first, in continuity with the previous years for the comparability of the results, the second resorting to an external evaluator, in compliance with what was done by the Board of Directors. The two processes show a substantial convergence in terms of results; both were very positive as regards the evaluation of the composition, structure and functioning of the Board, the competences possessed by the Statutory Auditors and the training/induction activity, as well as the overall evaluation of the role of the Chairman. At the meeting held on 7 May 2018, this Board checked the independence, integrity and professionalism requirements (Legislative Decree 58/1998) of its members, as well as compliance with the instructions regarding multiple appointments and the absence of impediments or situations that would cause appointments to lapse.

After attending meetings of the Board of Directors following the appointments made by the Shareholders' Meeting, we acknowledged that the Board of Directors valued positively its qualitative and quantitative composition and functions and started the annual self-assessment process at the end of 2018, the result of which will be available in the first quarter of the current year.

XVIII - FINAL ASSESSMENT OF THE SUPERVISORY ACTIVITIES PERFORMED AND OF ANY OMISSIONS, MISCONDUCT OR IRREGULARITIES FOUND

Shareholders,

In concluding this report, we would like to confirm that we have carried out our supervisory activities with the full cooperation of the Corporate Bodies, of the managers in charge of administrative and management activities of the Independent Auditors, of the Internal Audit Department, the Manager responsible for preparing the company's financial reports and other Corporate Control Functions and that there are no omissions, misconduct, transactions at risk or irregularities that ought to be reported.

Our supervision and control activity did not reveal any facts that would require reporting to the Supervisory and Control Authorities or mentioning in this report.

As regards the principal risks and uncertainties to which the Bank and the Group are exposed, business continuity as a going concern and the situation of disputed items, as well as the business outlook, reference should be made to the report of operations and to the Group report on operations.

In referring to the Directors' report on operations and the Directors' report on Group Operations, this Board certifies that, to date, to the best of its knowledge, no other significant facts have occurred subsequent to 31 December 2018.

The economic, financial and equity position of the Bank presented in the draft financial statements report a net profit for the year of Euro 306,715,388, a comprehensive profit of Euro 125,713,712 and shareholders' equity di Euro 4,388,050,428.

In relation to this result for the year, the Board of Directors recommends (i) the preliminary allocation pursuant to art. 42 (para. 2) of the Articles of Association of Euro 26,842,046.83 to the non-distributable reserve pursuant to Legislative Decree 38/2005 (art. 6, para. 1, letter a), in relation to unrealised profits net of the related tax effects, (ii) allocation to the legal reserve of the required profit percentage, equal to Euro 13,993,667.04, and (iii) the declaration of a dividend of Euro 62,570,096.55

(Euro 0.13 for each of the 481,308,435 shares representing share capital), corresponding to 20.40% of the profit for the year, and thus (iv) allocation to equity reserves of the residual profit for the year of Euro 203,309,577.30.

In this regard, the Directors have noted that this distribution of reserves does not appreciably affect the capitalisation of the Bank and the Group, according to the parameters established by the prudential supervisory regulations and the decisions of the European Central Bank concerning capital requirements (SREP 2018) and in line with its Communications concerning dividend distribution policies.

In fact, the capital ratios of the Bank, Common Equity Tier 1 ratio of 18.04% and Total Capital Ratio of 21.46%, are markedly greater than the established minimums and SREP requirements.

The consolidated financial statements of the BPER Group report a profit of Euro 401,953 thousand, a comprehensive profit of Euro 192,519 thousand and shareholders' equity, including the profit for the year, of Euro 4,389,111 thousand.

The incidence of non-performing loans is 13.80% (6.81% net) at a consolidated level, with an average coverage ratio of 54.52% that is significantly greater than in the prior year; the Texas ratio is therefore 85.00%.

The capital ratios at consolidated level, Common Equity Tier 1 ratio of 14.27% (fully phased: 11.95%) and Total Capital Ratio of 17.25%, are also markedly greater than the established minimums and SREP requirements.

Both the draft separate financial statements and consolidated financial statements have been prepared on a going concern basis, without making exceptions when applying the established accounting standards and measurement criteria and, as already stated, they have been audited by the auditing firm without qualifications or emphasis of matter.

Overall, the results for the year just ended confirm the good performance of the Bank and the Group.

The results obtained and the good level of capitalization achieved, as highlighted by the Directors, must be directed towards a continuation of the reduction in non-performing loans.

XIX - PROPOSALS TO THE SHAREHOLDERS' MEETING

Completing our supervision and control activity, we do not believe that there is any reason to exercise our right to make proposals to the Shareholders' Meeting in accordance with art. 153, paragraph 2, of Legislative Decree 58/1998.

XX - CONCLUSIONS

Shareholders,

Taking into account all of the above, having considered the content of the reports prepared by the Independent Auditors, having taken note of the statements issued jointly by the Chief Executive Officer and the Manager responsible for preparing the company's financial reports, for matters within our sphere of competence, we are not aware of any impediment to approval of the draft separate financial statements at 31 December 2018 and the dividend distribution proposed by the Board of Directors. In this regard, we acknowledge that the Board of Directors has assessed the dividend distribution proposal based on prudent assumptions to allow constant compliance with the prudential capital requirements in a linear manner over time.

On the conclusion of the first year of our mandate, we wish to express our heartfelt thanks for the esteem and confidence shown in the appointment, as well as to express thanks to all the Directors, and among them, in particular, to the Chairman of the Board of Directors, Pietro Ferrari and to the Chief Executive Officer Alessandro Vandelli, to the Management, to the Internal Control Functions as well as to all personnel of the Bank for their assistance in carrying out the functions and duties assigned to us.

Modena, 26 March 2019

The Board of Statutory Auditors

Paolo De Mitri (Chairman)

Cristina Calandra Buonaura (Acting Auditor)

Diana Rizzo (Acting Auditor)

Francesca Sandrolini (Acting Auditor)

Vincenzo Tardini (Acting Auditor)

Other attachments

Geographical organisation of the Group

Group commercial banks

Details	BPER Banca	BSAR	CR BRA	CR SALUZZO	31.12.2018	31.12.2017
Emilia - Romagna	**337**				**337**	**338**
Bologna	55				55	55
Ferrara	55				55	55
Forlì – Cesena	33				33	33
Modena	76				76	77
Parma	27				27	27
Piacenza	5				5	5
Ravenna	31				31	31
Reggio Emilia	38				38	38
Rimini	17				17	17
Abruzzo	**97**				**97**	**97**
Chieti	37				37	37
L'Aquila	41				41	41
Pescara	11				11	11
Teramo	8				8	8
Basilicata	**34**				**34**	**34**
Matera	19				19	19
Potenza	15				15	15
Calabria	**42**				**42**	**42**
Catanzaro	10				10	10
Cosenza	14				14	14
Crotone	8				8	8
Reggio Calabria	6				6	6
Vibo Valentia	4				4	4
Campania	**94**				**94**	**95**
Avellino	26				26	26
Benevento	4				4	4
Caserta	5				5	5
Naples	23				23	24
Salerno	36				36	36
Lazio	**59**	**4**			**63**	**63**
Frosinone	3				3	3
Latina	10				10	10
Rieti	2				2	2
Roma	43	4			47	47
Viterbo	1				1	1
Liguria		**3**			**3**	**3**
Genova		1			1	1
La Spezia		1			1	1
Savona		1			1	1
Lombardy	**40**	**1**			**41**	**41**
Bergamo	1				1	1
Brescia	4				4	4
Cremona	5				5	5
Lecco	1				1	1
Lodi	1				1	1
Mantua	11				11	11
Milan	15	1			16	16
Monza Brianza	1				1	1
Varese	1				1	1
Marche	**9**				**9**	**9**
Ancona	2				2	2
Ascoli Piceno	2				2	2
Fermo	1				1	1
Macerata	2				2	2
Pesaro-Urbino	2				2	2

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Details	BPER Banca	BSAR	CR BRA	CR SALUZZO	31.12.2018	31.12.2017
Molise	**10**				**10**	**10**
Campobasso	7				7	7
Isernia	3				3	3
Piedmont			**28**	**27**	**55**	**55**
Alessandria			3		3	3
Asti			4		4	4
Cuneo			17	20	37	37
Turin			4	7	11	11
Puglia	**35**				**35**	**35**
Bari	11				11	11
Barletta Andria Trani	5				5	5
Foggia	16				16	16
Taranto	3				3	3
Sardinia		**327**			**327**	**327**
Cagliari		34			34	34
Nuoro		62			62	62
Oristano		49			49	49
Sud Sardegna		82			82	82
Sassari		100			100	100
Sicily	**17**				**17**	**17**
Agrigento	4				4	4
Catania	3				3	3
Messina	5				5	5
Palermo	2				2	2
Siracusa	3				3	3
Tuscany	**8**	**1**			**9**	**7**
Florence	2				2	2
Pisa	1				1	
Livorno		1			1	1
Lucca	3				3	2
Pistoia	1				1	1
Prato	1				1	1
Trentino-Alto Adige	**3**				**3**	**3**
Trento	3				3	3
Umbria	**2**				**2**	**2**
Terni	2				2	2
Veneto	**40**				**40**	**40**
Belluno	2				2	2
Padova	8				8	8
Rovigo	10				10	10
Treviso	2				2	2
Venice	3				3	3
Verona	11				11	11
Vicenza	4				4	4
Total as at 31.12.2018	827	336	28	27	1,218	
Total as at 31.12.2017	827	336	28	27		1,218
Changes during the year of the Group's territorial organization						-

List of IAS/IFRS endorsed by the European Commission as at 31 December 2018

Accounting Standards

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IAS 1	Presentation of Financial Statements	Reg. 1274/2008	Reg. 53/2009, 70/2009, 494/2009, 243/2010, 149/2011, 475/2012, 1254/2012, 1255/2012, 301/2013, 2113/2015, 2406/2015, 1905/2016, 2067/2016, 1986/2017
IAS 2	Inventories	Reg. 1126/2008	Reg.70/2009, 1255/2012, 1905/2016, 2067/2016, 1986/2017
IAS 7	Cash Flow Statement	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 494/2009, 243/2010, 1254/2012, 1174/2013, 1986/2017, 1990/2017
IAS 8	Accounting Standards, Changes in Accounting Estimates and Errors	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 2067/2016
IAS 10	Events after the Reporting Period	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1142/2009, 1255/2012, 2067/2016
IAS 12	Income Taxes	Reg. 1126/2008	Reg. 1274/2008, 495/2009, 475/2012, 1254/2012, 1255/2012,1174/2013, 1905/2016, 2067/2016, 1986/2017, 1989/2017
IAS 16	Property, Plant and Equipment	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 495/2009, 1255/2012, 301/2013, 28/2015, 2113/2015, 2231/2015, 1905/2016, 1986/2017
IAS 17	Leases	Reg. 1126/2008	Reg. 243/2010, 1255/2012, 2113/2015
IAS 19	Employee Benefits	Reg. 475/2012	Reg. 1255/2012, 29/2015, 2343/2015
IAS 20	Accounting for Government Grants and Disclosure of Government Assistance	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 475/2012, 1255/2012, 2067/2016
IAS 21	Effects of Changes in Foreign Exchange Rates	Reg. 1126/2008	Reg. 1274/2008, 69/2009, 494/2009, 149/2011, 475/2012, 1254/2012, 1255/2012, 2067/2016, 1986/2017
IAS 23	Borrowing Costs	Reg. 1260/2008	Reg. 70/2009, 2113/2015, 2067/2016, 1986/2017
IAS 24	Related Party Disclosures	Reg. 632/2010	Reg. 475/2012, 1254/2012, 1174/2013, 28/2015
IAS 26	Accounting and Reporting by Retirement Benefit Plans	Reg. 1126/2008	
IAS 27	Separate financial statements	Reg. 1254/2012	Reg. 1174/2013, 2441/2015
IAS 28	Investments in Associates and Joint Ventures	Reg. 1254/2012	Reg. 1255/2012, 2441/2015, 1703/2016, 2067/2016, 182/2018
IAS 29	Financial Reporting in Hyperinflationary Economies	Reg. 1126/2008	Reg. 1274/2008, 70/2009

(cont.)

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IAS 32	Financial Instruments: Presentation	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 494/2009, 495/2009, 1293/2009, 149/2011, 475/2012, 1254/2012, 1255/2012, 1256/2012, 301/2013, 1174/2013, 1905/2016, 2067/2016, 1986/2017
IAS 33	Earnings Per Share	Reg. 1126/2008	Reg. 1274/2008, 494/2009, 495/2009, 475/2012, 1254/2012, 1255/2012, 2067/2016
IAS 34	Interim Financial Reporting	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 495/2009, 149/2011, 475/2012, 1255/2012, 301/2013, 1174/2013, 2343/2015, 2406/2015, 1905/2016
IAS 36	Impairment of assets	Reg. 1126/2008	Reg. 1274/2008, 69/2009, 70/2009, 495/2009, 243/2010, 1254/2012, 1255/2012, 1374/2013, 2113/2015, 1905/2016, 2067/2016
IAS 37	Provisions, Contingent Liabilities and Contingent Assets	Reg. 1126/2008	Reg. 1274/2008, 495/2009, 28/2015, 1905/2016, 2067/2016, 1986/2017
IAS 38	Intangible assets	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 495/2009, 243/2010, 1254/2012, 1255/2012, 28/2015, 2231/2015, 1905/2016, 1986/2017
IAS 39	Financial Instruments: Recognition and Measurement	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 494/2009, 495/2009, 824/2009, 839/2009, 1171/2009, 243/2010, 149/2011, 1254/2012, 1255/2012, 1174/2013, 1375/2013, 28/2015, 1905/2016, 2067/2016, 1986/2017
IAS 40	Investment Property	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 1361/2014, 2113/2015, 1905/2016, 1986/2017, 400/2018
IAS 41	Agriculture	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 2113/2015, 1986/2017
IFRS 1	First-time Adoption of International Financial Reporting Standards	Reg. 1136/2009	Reg. 1164/2009, 550/2010, 574/2010, 662/2010, 149/2011, 1205/2011, 475/2012, 1254/2012, 1255/2012, 183/2013, 301/2013, 313/2013, 1174/2013, 2343/2015, 2441/2015, 1905/2016, 2067/2016, 1986/2017, 182/2018, 1595/2018
IFRS 2	Share-Based Payment	Reg. 1126/2008	Reg. 1261/2008, 495/2009, 243/2010, 244/2010, 1254/2012, 1255/2012, 28/2015, 2067/2016, 289/2018

(cont.)

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IFRS 3	Business Combinations	Reg. 495/2009	Reg. 149/2011, 1254/2012, 1255/2012, 1174/2013, 1361/2014, 28/2015, 1905/2016, 2067/2016, 1986/2017
IFRS 4	Insurance Contracts	Reg. 1126/2008	Reg. 1274/2008, 494/2009, 1165/2009, 1255/2012, 1905/2016, 2067/2016, 1986/2017, 1988/2017
IFRS 5	Non-current Assets Held for Sale and Discontinued Operations	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 494/2009, 1142/2009, 243/2010, 475/2012, 1254/2012, 1255/2012, 2343/2015, 2067/2016
IFRS 6	Exploration for and Evaluation of Mineral Resources	Reg. 1126/2008	
IFRS 7	Financial Instruments: Disclosures	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 495/2009, 824/2009, 1165/2009, 574/2010, 149/2011, 1205/2011, 475/2012, 1254/2012, 1255/2012, 1256/2012, 1174/2013, 2343/2015, 2406/2015, 2067/2016, 1986/2017
IFRS 8	Operating segments	Reg. 1126/2008	Reg. 1274/2008, 243/2010, 632/2010, 475/2012, 28/2015
IFRS 9	Financial Instruments	Reg. 2067/2016	1986/2017, 498/2018
IFRS 10	Consolidated Financial Statements	Reg. 1254/2012	Reg. 313/2013, 1174/2013, 1703/2016
IFRS 11	Joint Agreement	Reg. 1254/2012	Reg. 313/2013, 2173/2015
IFRS 12	Disclosure of Interests in Other Entities	Reg. 1254/2012	Reg. 313/2013, 1174/2013, 1703/2016, 182/2018
IFRS 13	Fair Value Measurement	Reg. 1255/2012	Reg. 1361/2014, 2067/2016, 1986/2017
IFRS 15	Revenue from contract with customers	Reg. 1905/2016	Reg. 1986/2017, 1987/2017
IFRS 16	Leasing	Reg.1986/2017	

Interpretation documents

IFRIC/SIC	Accounting Standards	Endorsement (a)	Amendments
IFRIC 1	Changes in Existing Decommissioning, Restoration and Similar Liabilities	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 1986/2017
IFRIC 2	Members' Shares in Co-operative Entities and Similar Instruments	Reg. 1126/2008	Reg. 53/2009, 1255/2012, 301/2013, 2067/2016
IFRIC 4	Determining Whether an Arrangement Contains a Lease	Reg. 1126/2008	Reg. 254/2009, 1255/2012
IFRIC 5	Rights to Interests Arising from Decommissioning, Restoration and Environmental Funds	Reg. 1126/2008	Reg. 1254/2012, 2067/2016
IFRIC 6	Liabilities Arising from Participating in a Specific Market - Waste Electrical and Electronic Equipment	Reg. 1126/2008	
IFRIC 7	Applying the Restatement Approach under IAS 29, Financial Reporting in Hyperinflationary Economies	Reg. 1126/2008	Reg. 1274/2008
IFRIC 10	Interim Financial Reporting and Impairment	Reg. 1126/2008	Reg. 1274/2008, 2067/2016
IFRIC 12	Service Concession Arrangements	Reg. 254/2009	Reg. 1905/2016, 2067/2016, 1986/2017
IFRIC 14	The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction	Reg. 1263/2008	Reg. 1274/2008, 633/2010, 475/2012
IFRIC 16	Hedges of a Net Investment in a Foreign Operation	Reg. 460/2009	Reg. 243/2010, 1254/2012, 2067/2016
IFRIC 17	Distributions of Non-cash Assets to Owners	Reg. 1142/2009	Reg. 1254/2012, 1255/2012
IFRIC 19	Extinguishing Financial Liabilities with Equity Instruments	Reg. 662/2010	Reg. 1255/2012, 2067/2016
IFRIC 20	Stripping Costs in the Production Phase of a Surface Mine	Reg. 1255/2012	
IFRIC 21	Levies	Reg. 634/2014	
IFRIC 22	Foreign Currency Transactions and Advance Consideration	Reg. 519/2018	
IFRIC 23	Uncertainty over Income Tax Treatments	Reg. 1595/2018	
SIC 7	Introduction of the Euro	Reg. 1126/2008	Reg. 1274/2008, 494/2009
SIC 10	Government Assistance – No Specific Relation to Operating Activities	Reg. 1126/2008	Reg. 1274/2008
SIC 15	Operating Leases - Incentives	Reg. 1126/2008	Reg. 1274/2008
SIC 25	Income Taxes – Changes in the Tax Status of an Enterprise or its Shareholders	Reg. 1126/2008	Reg. 1274/2008
SIC 27	Evaluating the Substance of Transactions in the Legal Form of a Lease	Reg. 1126/2008	Reg. 1905/2016, 2067/2016
SIC 29	Service Concession Arrangements: Disclosures	Reg. 1126/2008	Reg. 1274/2008, 254/2009, 1986/2017
SIC 32	Intangible Assets - Web Site Costs	Reg. 1126/2008	Reg. 1274/2008, 1905/2016, 1986/2017

(a) The Regulation listed is that of the first publication of the Standard or the replacement of the same.